

Jubilant Ingrev. (JUBLINGREA)

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Call: Aug 2022

August 10, 2022

BSE Limited

Floor 25, P. J. Towers

Dalal Street, Fort

Mumbai - 400 001

Scrip Code: 543271 National Stock Exchange of India Limited

Exchange Plaza

Bandra Kurla Complex

Bandra (E), Mumbai - 400 051

Trading Symbol: JUBLINGREA

Subject: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the Investors Conference Call for the quarter ended June 30, 2022

Dear Sir/Madam,

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors Conference Call for Un-audited financial results for the quarter ended June 30, 2022 conducted after the meeting of Board of Directors held on Friday, August 5, 2022.

The link to access the transcript of the Investors Conference Call is given below:

<https://jubilantingrevia.com/Uploads/files/6q2consfileJubilantIngreviaLimited-Q1FY23ResultConcallTranscript-Final.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For Jubilant Ingrevia Limited

Deepanjali Gulati

Company Secretary

Encl.: as above

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List of Management Attendees

1. Mr. Shyam S. Bhartia, Chairman
2. Mr. Hari S. Bhartia, Co-Chairman and Managing Director
3. Mr. Arvind Chokhany, Group Chief Financial Officer & Whole-time Director
4. Mr. Rajesh Kr Srivastava, CEO & Managing Director
5. Mr. Prakash Chandra Bisht President & Chief Financial Officer
6. Mr. Pavleen Singh Taneja, Director Investor Relations

External Participants during Q&A session

1. Tarang Agrawal – Old Bridge Capital
2. Rohan Gupta – Edelweiss Financial Services
3. Rohit Sinha – Sunidhi Securities
4. Bajrang Bafna – Sunidhi Securities
5. Vineet Gala – Monarch Networth Capital
6. Nitesh Dhoot – Prabhudas Lilladher
7. Sunil Kothari – Unique PMS
8. Ronil Jain – Electrum PMS

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Jubilant Ingrevia Limited

Q1 FY23 Earnings Conference Call Transcript

August 5, 2022

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY'23 Earnings Conference Call of Jubilant Ingrevia Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Singh Taneja, Director, Investor Relations, Jubilant Ingrevia Limited. Thank you, and over to you, sir.

Pavleen Singh Taneja: Good evening, everyone. Thank you for being with us on our Q1 FY2023 earnings conference call of Jubilant Ingrevia Limited. I would like to remind you that some of the statements made on the call today could be forward-looking in nature and a detailed disclaimer in this regard has been included in the press release and results presentation that has been shared on our website.

On the call today we have Mr. Shyam Bhartia, Chairman; Mr. Hari Bhartia, Co-Chairman; Mr. Rajesh Srivastava, CEO and Managing Director; Mr. Prakash Chandra Bisht, CFO, Jubilant Ingrevia Limited; and Mr. Arvind Chokhany, Group CFO Jubilant Bhartia Group.

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I now invite Mr. Shyam Bhartia to share his comments.

Shyam Bhartia: Thank you, Pavleen. We are glad to announce steady operational and financial performance in Q1 FY'23 in the backdrop of inflationary headwinds, leading to higher raw materials and energy costs during the quarter.

In our Specialty Chemicals business, revenue grew 26% year-on-year, on account of strong demand across all our product segments. We witnessed significant increase in input costs, including energy costs, which was passed on partially during the quarter, impacting segment's EBITDA margin.

Our Nutrition & Health Solution business, Niacinamide sales volume were significantly impacted due to spread of Avian and Swine Flu in EU and U.S. regions leading to lower segment revenue and EBITDA. However, the price realization was better during the quarter. This is a short-term challenge in the segment and business continues to maintain its market share and leadership position.

In our Chemical Intermediates business, we continue to witness strong demand resulting into volume growth. Business is maintaining the leadership position of Acetic Anhydride in domestic market and also improving market share in Europe. On Y-on-Y basis, segment has witnessed normalization of market situation and lower acetic acid prices, which is also reflecting in both revenue and EBITDA.

We are fully committed towards our growth aspirations and we are excited to realize the emerging opportunities going forward in our business segments. We are fully confident of moving ahead with our well defined growth CapEx plans, which is supported by our internal accruals. Our aim is to achieve sustainable profitable growth in the medium term. And

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structurally, we are poised towards moving on to the next tier of performance in our growth journey and margins.

With this, I hand over to Rajesh to discuss the businesses in detail.

Rajesh Srivastava: Thank you, Mr. Bhartia. A very good evening to all of you. At the outset, let me welcome you all for joining us today for Q1 FY'23 quarterly investor call for Jubilant Ingrevia Limited. I sincerely hope that you and your loved ones

are keeping very well.

Let me now take you through the details of Q1 FY'23 financial and operational performance of Jubilant Ingrevia Limited. Revenue during the quarter was Rs. 1,166 crore, driven by volume growth in Specialty Chemicals and Chemical Intermediates segment. EBITDA during the quarter stood at Rs. 151 crore. During the quarter, we have witnessed significant increase in raw material costs as well as energy costs. However, we have witnessed a significant improvement in our logistics situation.

We remain focused on continuous improvement in efficiencies using various business excellence tools and techniques to maintain competitiveness in ongoing challenging global environment. Sustainability is an integrated part of our culture and purposeful action. We believe in delivering on our promise of Caring, Sharing, Growing. In parallel to sustainability reporting, various ESG initiatives are being taken to enhance and drive long-term sustainable value for all our stakeholders, while minimizing the environmental footprint of our operations.

Under CSR program during the quarter, our team completed the plantation of more than 100,000 fruit tree in the community to ensure green coverage as well as sustainable livelihood to the farmer. Further, we have planned various other CSR programs designed in the realm of Health, Education and Livelihood of community around our facilities.

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Now let me take you through the update on all our three business segments.

Specialty Chemicals:

Revenue of Specialty Chemicals business was Rs. 382 crore and EBITDA was Rs. 64 crore during the quarter. Specialty Chemicals revenue grew by 26% on year-on-year basis, mainly driven by higher volumes across product segments. Revenue

share to agrochemical customers grew significantly.

We also witnessed healthy demand for oil field chemicals. Segment EBITDA and margin was lower, mainly due to unprecedented and sharp increase in input costs, including energy costs, which was passed on partly during the quarter. Our newly commissioned Diketene plant is now fully stabilized, and we have achieved the designed capacity. We are gearing up to meet the volume requirements of customers in coming quarters.

We are witnessing positive traction in our Chloro-pyridine range of products. Deliveries of our recently contracted CDMO products are happening on time. All our other products in CDMO business are moving as per plan. Our CDMO pipeline is healthy and progressing positively. Our new GMP and non-GMP facilities, which are expected to be ready during Q3 FY'23, will help us in capturing growing demand of CDMO projects. For our other Specialty Chemicals products also, we continue to observe positive traction of demand from both domestic as well as international customers due to China plus one strategy of most of our customers.

Nutrition & Health Solution business:

Revenue of Nutrition business was Rs. 150 crore and EBITDA was Rs. 19 crore. Our focus to maximize Niacinamide share in niche segments like Food & Cosmetics is getting positive results. On a year-on-year basis, the volumes in Food & Cosmetics segment continues to see positive trends. However, overall Niacinamide sales volume in Animal Feed segments

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during the quarter is impacted due to spread of Avian and Swine Flu in EU and U.S. regions, resulted into lower segment revenue and EBITDA, though price realization was better during the quarter. Flu situation in EU and U.S. regions is now improving and is expected to normalize during later part of the current quarter. This is a short-term challenge in the segment and business continues to maintain its market share and leadership position.

In our Animal Nutrition & Health Solution business, our focus is to improve market share of existing products and to further increase revenue by adding new products and new customers for value-added specialty premix. Animal Nutrition & Health Solution business is witnessing good traction for demand from domestic customers.

Chemical Intermediates business:

Revenue from Chemical Intermediates segment is Rs. 633 crore and EBITDA stood at Rs. 76 crore. Our key products in the segment, Acetic Anhydride, witnessed strong demand resulting into 22% volume growth on year-on-year basis. On Y-o-Y basis, segment has also witnessed normalized market situation coupled with lower acetic acid prices, which is also reflecting into our revenue as well as EBITDA.

After more than one and a half years now, acetic acid prices seems to be stabilizing. Revenue from Europe and the rest of the world have gone up significantly on Y-o-Y basis. Our market share in Europe has improved significantly and is continuing to grow. We continue to maintain domestic market leadership for Acetic Anhydride and remained a key supplier of Ethyl Acetate. We are witnessing good traction of demand for our new product that is Propionic Anhydride. While we expect to continue our growth in market share in Europe market, we continue to maintain our domestic market leadership for Acetic Anhydride and remained a key supplier for Ethyl Acetate.

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Outlook & Growth CAPEX Plan:

We expect overall healthy revenue growth during FY'23, led by volume growth in Specialty Chemicals and Chemical Intermediates business segment. Commissioning of our three new CAPEX, that is CDMO GMP CDMO non-GMP and Acetic Anhydride is likely to aid the revenue growth.

In the Nutrition & Health Solution segment, Niacinamide demand is expected to start normalizing during the latter part of the current quarter.

We expect our EBITDA of subsequent quarters of FY'23 to improve, assuming

no unexpected adverse situation.

We are fully committed towards our growth aspirations and we are excited to realize the emerging opportunities through our ongoing growth CAPEX plan of Rs. 2,050 crore during FY'22 to FY'25 period. We are strategizing towards improving our revenue mix of Specialty and Nutrition segments together to 65% by FY'26 from 46% in FY'22, and we believe this will be a key driver for overall margin improvements.

With this, I now hand over to Prakash to discuss the financials.

Prakash Bisht: Thank you, Rajesh. A very good evening to everyone, and thank you for joining us on Q1 FY'23 quarterly conference call.

I would now highlight the company's financial performance during the quarter ended June 30, 2022. Revenue from operations during Q1 FY'23 was at Rs. 1,160 crore as compared with Rs. 1,145 crore in Q1 last year, registering a growth of 2% on a year-on-year basis. The EBITDA during the quarter was at Rs. 151 crore as against Rs. 287 crore in Q1 FY'22. The margins stood at 12.9% in Q1 FY'23 as against 25.1% in Q1 FY'22. The drop in year-on-year EBITDA is mainly due to normalization of EBITDA in Chemical Intermediates segment, which was high in previous period due to favorable market situation.

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EBITDA margin of Nutrition segment were impacted due to lower sales on account of Bird and Swine Flu in Europe and U.S. regions, while EBITDA margins of Specialty segment was impacted due to high energy costs, which were passed on only partially during the quarter. Depreciation and amortization expenses during the quarter were at Rs. 31 crore. Finance cost

during the quarter was significantly lower at INR 4 crore versus Rs. 13 crore in Q1 FY'22, a reduction of 68% year-on-year on account of repayment of debt and lower interest rates.

The tax expense for Q1 FY'23 was at Rs. 36 crore. The company will continue to remain under the old tax regime during FY'23 and the ETR is expected to remain in the range of 31% to 32% during FY'23. PAT during the quarter was at Rs. 79 crore as against Rs. 168 crore in Q1 FY'22, witnessing a decline of 53% year-on-year basis due to lower EBITDA.

Gross debt as on 30 June was Rs. 285 crore and net debt stood at Rs. 228 crore as on 30 June, '22. The blended interest rate for Q1 FY'23 was 5.72%, as against 7.09% in Q1 FY'22.

The net working capital percentage and number of days of working capital for Q1 FY'23 on the basis of trailing 12 months turnover were at 17.9% and 65 days respectively. Increase in net working capital is driven by short-term decision to maintain higher inventory to manage uncertainty of market and supply chain situation. The capital expenditures during the quarter was approximately Rs. 77 crore.

With this, I would like to conclude our opening remarks. We will now be happy to address any questions that you may have.

Moderator: The first question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

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Tarang Agrawal: Just two questions from my side. So one, the power and fuel expenses, clearly, there was an acute implication in this quarter versus the base. Just wanted to get a sense exactly what happened and how recurrent is it going to be going forward? And number two, in the Specialty Chemicals business was there a substantial contribution of the Diketene capacities or will we see that those volumes come in? How do you see the utilization of that commercialized capacity now going forward in FY'23?

Rajesh Srivastava: Tarang, on energy, in our Gajraula plant we use coal for power as well as steam generation. We are allowed to have FSA coal which is the contracted from the Government because of the Government's decision not to supply coal to industries for short-term period, we did not get those volumes which were at a good price and all the coal we had to import from outside which was at a much higher price. That has impacted our

profitability for the quarter. This is in the tune of almost Rs. 45 crore. And even today, FSA coal is not available, but we are expecting that from 1st of September, the coal will be now available to us from FSA. The impact which has happened in quarter Q1, partly will also have in Q2. That is one-time impact which we have never seen in the past.

On Specialty Chemicals, the Diketene plant is well stabilized. We have achieved the capacity. Now we are gearing up to supply the volume to customers. The approval processes are on. Some volumes have started happening but the actual real capacity utilization we will see from the Q2, or end of Q3. Q3 onwards, we will actually see the real capacity utilization of Diketene.

Tarang Agrawal: Just a follow-up on the power and fuel and the fact that you were able to pass on some bit of it to your customers in Specialty Chemicals, but not fully, at least that's the sense that I got from the press release and the opening address. So going forward, how does that work? Do you believe in

your conversations with your customers they're open to, because my sense is, they would also be going through significant inflation in their procurement?

Rajesh Srivastava: No. on all of our products, all the input raw material costs we have passed

on. This unprecedented increase of coal unfortunately was not fully passed on. We are definitely capable to pass on the prices, but this was really unprecedented. So in future also, whatever raw material price goes up, we normally pass on. We have done that even this quarter. That's why we are saying partly because this unprecedented increase of coal was not fully passed on.

Tarang Agrawal: Last question on the Chemical Intermediates business. Given you're gaining market share in Europe and considering the developments in Europe and the end demand for your customer, are you anticipating some sort of softness in that business going forward or do you believe that you'll be able to grow those volumes and gain market share in the manner in which you've been doing in the last two, three quarters?

Rajesh Srivastava: Tarang, I mean, contrary to what you are saying, we are saying the European market demand going up. The reason is that there are new uses for Anhydride as I have been explaining in my last quarters, that Anhydride new users have come which are consuming large volume of Anhydride. And therefore, the demand is much more than the volume which is available. So we have not seen whatever you're saying. In fact, for us, it's the improvement in demand. And therefore, our market share in European market is also growing.

Moderator: The next question is from the line of Rohan Gupta from Edelweiss Financial Services. Please go ahead.

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Rohan Gupta: Sir, a couple of questions and a bit of clarification. First on Specialty Chemicals. Even on quarter-on-quarter basis, we have seen the dip in absolute EBIT or EBITDA. Is it only because of the higher fuel cost and coal cost which you have just explained or there was also some pressure on margins overall basis also or some cost increase which we have not been able to pass on or pass on with a lag?

Rajesh Srivastava: I think you are right that quarter-on-quarter, Specialty Chemical reduction is not only because of coal. There are two incidences which happened, which I would like to highlight. One, China was locked down for almost two and a half months to three months in last quarter. And we have a good export of our Specialty Chemical to even China. So we have seen some impact of volume in China and that also was very one-time impact. And the second one is something which we do once in six to seven years in our Pyridines plant. We do catalyst change once in six, seven years. So we did not plan that in this year, but we had to take that catalyst change during the first quarter. So we had impact of some volume in Pyridin

e also and these two reasons led the Specialty Chemicals quarter-on-quarter to be lower in volume. Otherwise, you are right that this was not only purely on coal.

Rohan Gupta: So both of these reasons are one-off and China has improved and this shutdown has?

Rajesh Srivastava: Absolutely. So some of the Pyridine volumes, we have not launched, it was only quarter shift. So we are coming back with the better volume in Pyridine as well as China is now picking up in Specialty. So this was mostly one-off. You are right, we would have not seen that gap from quarter-to-quarter.

Rohan Gupta: On the coal cost increase which you have mentioned has impacted your profitability up to you mentioned Rs. 40 crore, Rs. 45 crore. Did I get that number right?

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Rajesh Srivastava: Yes, you are right.

Rohan Gupta: So the coal cost still remains. I mean, the Government is still not giving us. The coal cost scenario will still remain the same till 1st of September or it

can go beyond that also?

Rajesh Srivastava: Yes, we will be higher on cost. But yes, because volumes are improving, we are also trying to improve our pricing to the customer to the extent possible. Definitely, the situation of profitability should be better.

Rohan Gupta: Sir, on our Nutrition business, we have seen that there's some kind of dip even on a quarterly basis and some margin compression. Any particular reason that has been driving this business or lower profitability in the current quarter?

Rajesh Srivastava: Nutrition business also has the impact from this coal price. On pricing front, Nutrition business stood well in the market. So it's only volume and the cost because of the coal price, that's all.

Rohan Gupta: In Nutrition, there is no one-off like it's Specialty except coal?

Rajesh Srivastava: No, Nutrition is one-off mainly because of the flu which we highlighted very boldly that in Europe and U.S., no one is in a position to sell Vitamin. And therefore, volumes are lost because of this flu now which now is improving and later part of this quarter is improving and we will see the real long life situation in Q3 up efficiently.

Rohan Gupta: Sir, In terms of this Europe's energy crisis what we are hearing is impacting many plants in Europe. And previously, some of the large plants like BASF and all have given warnings that they may see the closure. Do you see that for our business? And I think that we are definitely supplier to some of these chemical players in Europe as well. Do you see that there can be any kind of risk for our products that if those plants goes for closure, our volumes may be impacted in near-term?

Rajesh Srivastava: If you see other products which we sell in Europe, they are mostly value-added products. What you are talking about are mostly on building blocks which are most energy-intensive. Our end uses of products are not very high energy-intensive. And the contribution of energy costs to the finished product is not very large which is affecting the overall consumption. So we have not seen any drop in consumption of our product in Europe.

Moderator: The next question is from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha: Sir, on the Fluorine Specialty business, just wanted to know what kind of progress we have made in this segment and how has been the customer acceptance as of now?

Rajesh Srivastava: We have explained that plant is expected to start sometime next year. If you see our detailed presentation, we have said that it will start next year because the product is still under scale-up and we will decide sometime during this year at the end of the year and plant should be ready next year only.

Rohit Sinha: How the customer acceptance would be in progress after completing the project then only the samples would be sent to the customers or already those are sent to the customers? As and when it would be approved, we will be starting the commercial production?

Rajesh Srivastava: No. We already have a plant, as I said earlier also. We have a Fluorination plant from where we are developing two, three products. So all customer approvals are already happening from the existing plant. What we have announced is that fluorinated derivative volume capacity, that should come. Approval process is not hindered because of not having that facility. We already have a facility for the last two, three years developing the product, which is CDMO product, which will take some time to scale up and

make it to the market.

Rohit Sinha: If it's possible can you share, what kind of margin profile we should expect in each segment going forward on an annualized basis? As maybe in one or two quarters we may see some volatility, but on an annualized basis, would it be possible to give any ballpark number for segmental margin profile?

Rajesh Srivastava: We have been saying that in our Specialty Chemical & Nutrition business, our margin profile currently should be in the range of 18% to 20%. In our Chemical Intermediates business, our margin profile will be close to 10%. That's what we have been saying. And an improvement on this margin profile will happen as and when we are bringing the new capacities on Specialty and Nutrition to expand the ratio of Specialty and Nutrition revenue more, our margins will improve. As of now, you can expect anything between 18% to 20% on annualized basis.

Rohit Sinha: So basically, your CAPEX and all which is basically coming up and possibly as you are indicating that maybe Q2 also had some cost pressure. So from second half of FY'23 probably you will be having a better margin profile?

Rajesh Srivastava: You are very right.

Moderator: The next question is from the line of Bajrang Bafna from Sunidhi Securities. Please go ahead.

Bajrang Bafna: Sir, on last call also, I was trying to understand the acceptance of green chemicals. So when I say green chemicals, it means the chemistry which is without crude-based starting derivatives. You are the one of the pioneer in Page 15 of 26 that business and having lot of experience of last so many years. And now this de-carbonization is a global story, which is coming up or shaping up very well. So out of your existing product profile, how that ratio is? And the new CAPEX that you are going through, which is close to Rs. 2,000 crore, what is the break-up which is moving towards this non-crude-based chemistry or the green chemistry?

Rajesh Srivastava: Yes, I remember you mentioned this point in the last call and we are already going through the process of evaluating our carbon footprint saving because of our greener product, but it will take some time. We are working on that. In addition to that, we are also working on how to bring savings on our carbon dioxide emission with various ESG initiatives, which we have taken, which I already spoke about it in my speech also. Those details will be available after some time, maybe six to eight months' time, probably you have to hold it on. We are definitely working on that on each of our products, plus the new CAPEX which we just said.

Bajrang Bafna: Yes, I got that point. But even if not on the ballpark percentage number, I am just trying to understand from a customer's perspective that since the Europe and the developed world wants to use more and more non-crude-based products or these decarbonized products. How they are demanding these products from you? Because we have always seen that the price differential between these products and the crude-based derivatives is always detrimental for non-crude-based products. But since now there is a theory, there is an acceptance. So whether those customers are demanding more and more green products from you and that is why you

u have come up with this 25,000 metric ton Acetic Acid plants, which will purely come from non-crude-based grain. If you could tell us something about that will be really helpful?

Rajesh Srivastava: Acetic Acid case is totally different. Acetic acid is a Green Acetic Acid and the demand is specifically separately for food products. But the product Page 16 of 26 which we are making is Specialty Chemicals and other products. They are used for pharmaceutical and agrochemicals and value-added intermediates. Now in the process they are gaining some carbon footprint.

But to the extent whether they will pay us higher price for that, today is a big question mark. But you are very right. Going forward, with the pressure on net zero is increasing and Europe is taking the lead to source the product from the companies who are working on net zero, I think they will get some benefits in our market share. But other than food grade Acetic Acid, which is used for food, I don't think any products which we are supplying in agrochemical and pharmaceutical will fetch us some better price we have not seen in the market.

Bajrang Bafna: Sir, still it is a story of the future, not in the current scenario it is happening?

Rajesh Srivastava: And remember, if we are supplying to any food business, absolutely spot on, we will get the benefit. But if it is a non-food business, you said the intermediates, today people are not really looking at that field.

Bajrang Bafna: Sir, on the ethanol side, what is the additional capacity that we are putting up which can help us to achieve this green group more frequently in the future?

Rajesh Srivastava: We have already said that we are planning for one grain-based ethanol, which again, we have still not committed CAPEX, but it is in our planning. We are expected to do some time in Q3 or Q4. We will announce that. And we will start the process and planning of new CAPEX.

Moderator: The next question is from the line of Vineet Gala from Monarch Network Capital. Please go ahead.

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Vineet Gala: Sir, if you could elaborate on the inventory gain that we have, because of which the gross margins look really rich. And even with the lower Acetic Acid prices, how did we arrive at this inventory gain element?

Rajesh Srivastava: No, you are reading it wrongly. There is no inventory gain in the quarter. You are right, actually, there is a loss of Acetic Acid, because if you remember, we closed the last quarter at around \$740 of Acetic Acid and in June quarter we closed at around \$540. So there has been some impact negatively. What you see our margin in Anhydride business is purely on volume. So we have drawn significant volume in Europe I mentioned in my earlier discussion. So volume of Acetic Anhydride is strong and it is continuing to be strong and we are maintaining our prices also. So there has been impact of coal prices also on Anhydride, but we are in a position to recover that. So in case of Chemical Intermediates, we are in a position to push the margins because of volume.

Vineet Gala: Sir, if I look at your consolidated numbers, I see gross margins north of say like 49%. So is this sustainable?

Prakash Bisht: 49% gross margin you are saying at the overall level?

Vineet Gala: Correct. Gross margin. So if I'm just looking at the changes in inventory, there is a negative amount of around Rs. 112 crore. So I just wanted to understand that.

Rajesh Srivastava : That is because of extra volume we have sold.

Vineet Gala: So the low cost inventory got sold, is what we mean to say?

Rajesh Srivastava: Absolutely, yes.

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Prakash Bisht I think the correct way to read it is because you are reading it with Q4. In Q4 we had a very, very high inventory loss. To that extent because this quarter it is lower. So that advantage is also reflecting in this quarter's results. So because the last quarter

that is why the profit of Chemical Intermediates was low because we had an inventory loss, which this

quarter is much less.

Rajesh Srivastava: We had inventory loss larger than this quarter. Therefore, you see the better improvement.

Vineet Gala: Beyond this current quarter, I just wanted to understand your plans on Agro Actives. I came across a marketing template on your website only where in some of very interesting products which are being marketed, including Fluroxypyr or Pyriproxyfen. What is the timeline around this project in terms of validation? What is the kind of pipeline we are building on the competition? If you could throw up some perspective on these two segments will be very helpful.

Rajesh Srivastava: So now that you have seen the product list in our website and you have realized that most of these products are quite exciting, particularly from the requirement of domestic market also. All those products are under approval process with customers and also we have started working on regulatory approvals in various countries working with customers. So at the plant situation, as we have explained in our presentation, sometime in Q4 FY'24, we will be meeting our capex targets for agro because it's a totally greenfield plant. So it will be ready by Q4 FY'24. And till that time, we expect that we should be in a position to get the approvals from customers as well as we should be in a position to take our regulatory clearances from the various countries and sales should be in the position to start from FY'25 onwards.

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Vineet Gala: FY'25 onwards. How big can this segment be over, say like three years after it starts over FY'28, FY'27? How big can this be given the kind of pipeline we are targeting?

Rajesh Srivastava: Because we are making phase-wise investment, in the first phase, we are almost making investment of Rs. 200 crore or so. And as we have said that in Agrochemicals, our assets to turnover will be close to 1.52x, that's Phase-1. and then Phase-2, which will be herbicide and further expansion of insecticide, that we have not yet announced. So you can keep calculating the growth prospects for that business.

Moderator: The next question is from the line of Nitesh Dhoot from Prabhudas Lilladher. Please go ahead.

Nitesh Dhoot: Just wanted some clarification on Slide 45, which is on CAPEX. I compare this with the Q4 presentation, one CAPEX item has been removed which is Acetaldehyde. But when we see the total amount committed, that has increased from Rs. 800 crore to Rs. 900 crore?

Rajesh Srivastava That Acetaldehyde investment was more for captive, which has gone along with the other investment. So that is why you don't see that. Normally, Acetaldehyde is our captive consumption which also used for our food-grade Acetic Acid that is already completed and part is being completed. You will not see that as a separate investment.

Nitesh Dhoot: The total amount committed that has gone up from Rs. 800 crore to Rs. 900 crore, whereby there is no additional item that has come in.

Rajesh Srivastava: Yes, amount is going up because of the overall market situation of CAPEX costs, etc.

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Prakash Bisht: The total investment remains the same. When we had come to you in May, we had disclosed the commitment till that time. And since then, over this quarter we have made a further commitment of Rs. 100 crore. So Rs. 800 crore has become Rs. 900 crore. But you would see, on the future, there is a corresponding. Earlier it was Rs. 1,250 crore. Since Rs. 100 crore has come here, so it has become Rs. 1,150 crore. So the total remains the same. Since we have committed Rs. 100 crore now, so Rs. 100 crore has shifted from

the bucket of to be committed to already committed.

Out of this Rs. 100 crore, Rs. 75 crore was in Specialty and Rs. 25 crore was in Chemical Intermediates. When you will compare it with the I

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presentation, you would find that there is a corresponding decrease in these numbers. Earlier we had said Specialty at Rs. 750 crore, which is now Rs. 675 crore because Rs. 75 crore has already been committed. And earlier, the Chemical Intermediates was Rs. 300 crore, now it is Rs. 275 crore because Rs. 25 crore is already committed.

Rajesh Srivastava: And remember, these CAPEX which we are writing on this slide are major CAPEX. But beyond that, as we explained in various calls that we keep doing debottlenecking of our existing facilities. And therefore, you see some numbers changing in our commitment. So that's a continuous process. So you will see some changes in numbers, but you will not find that in specific CAPEX here because these are only major CAPEX which we have highlighted.

Nitesh Dhoot: Sure. just to follow-up on CAPEX itself. I was talking on Slide 46. if you could just help us understand this a bit better as to how should one read these numbers? Is it in value terms or in tonnage terms? And if I'm looking at the Specialty Chemicals particularly, you're seeing there is 3.5% mentioned as new capacity, whereas 13.6% is debottlenecking. Despite three upcoming major plants, GMP, non-GMP and another one I believe, all put together

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would be only 3.5% versus that debottlenecking would be such a large number? If you could just give some color on this?

Rajesh Srivastava: So what you're reading here is not the capacity. This is actually our revenue profile. So the CAPEX which will be rated this year, all of them are coming in Q3. You can imagine that in the current year, the impact from the revenue from those CAPEX will not be that significant. That will come in future years. That's why you are seeing that.

Nitesh Dhoot: So maybe just one more question on CAPEX. Rs. 2,000 crore of CAPEX put together, adding around INR 4,500 crore of top-line, implying a 2.25x asset turn, would it be possible to break it up on the segment-wise?

Rajesh Srivastava: We can broadly give you the segment-wise, but you don't take us for granted on that. Roughly on Specialty segment, it could be close to 1.5x to 2x. In Nutrition segment, it will be close to 2x to 2.5x; in Chemical Intermediates segment, it could be 2x to 2.5x. It is because it's mostly the batch processes where you find the investment more, but the revenue is not that much higher.

Nitesh Dhoot: Sir, one question on the Nutrition business. How much the Specialty Premixes contribute to Nutrition business currently?

Rajesh Srivastava: That's not very significant. That's a small business which we are growing now. And that Nutrition Premix business in India is not very large and currently, we are focusing Indian market because that market is now growing significantly higher, because now Animal Feed segment is looking for more and more field access. The demand is growing. The market is growing. And therefore, we are also launching new products. Though value will be not large, but they are very niche segments where the margins are better.

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Nitesh Dhoot: So would it be fair to say that Niacinamide a large part of the business maybe like in upwards of 75%, 80% for your Nutrition segment?

Rajesh Srivastava: Yes, you're right.

Nitesh Dhoot: And just moving out this quarter's disappointment because of the flu, will it be fair to say that Niacinamide would be at lower utilization for you?

Rajesh Srivastava: Yes, you're right. It was lower utilization of capacity.

Nitesh Dhoot: How do we see growth coming in in the Nutrition segment for the last part of FY'23 or maybe FY'24? Given that there is some delay that is supposed to come out with?

Rajesh Srivastava: We have said that in the current year, we are not expecting the volume growth over last year in Vitamin B3 because our first quarter and second quarter will be impacted. But from Q3 onwards, the demand will be norm

alized and we will see the Q3 and Q4 in the normal case.

Nitesh Dhoot: So Q3 and Q4, sir. H2 versus last year's H2 would see volume growth?

Rajesh Srivastava: So last year, we will see some impact in volume. We could see some impact.

Nitesh Dhoot: So what I understand is that the Niacinamide Capex, the 20% increase that you had mentioned earlier, that increase is not happening this year?

Rajesh Srivastava: We are adding that capacity because in H2 this year also, the volume will be definitely more than last year H2. The growth is happening. Just because of this one-time impact in Q1 and partly in Q2, we will need capacity in future because Vitamin B3 is a very important product, which we have never seen this situation what we have seen in Q1. We will go through the

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capacity expansion, we are going through the capacity because we will need capacity in H2 this year also.

Nitesh Dhoot: So that will happen in this year only or it will happen in FY'24, the expansion?

Rajesh Srivastava: It will happen this year and mainly we will do in next year.

Moderator: The next question is from the line of Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari: Sir, my question is a little long, please bear with me. My point I would like to understand is, since during the last three, four, five years, India as a chemical industry, really we got benefits of lot of things like China's pollution problem, people were finding out some China plus one, in between COVID and some supply disruption also advantage of very high prices. So many things happened. So with your experience and your vantage point of last 30, 40 years' experience, how do you see any major change happening in terms of say Indian chemical industries capability or prices or demand. Would you like to say some few sentences on this situation? Is there any change made that China again coming back and supplying and the competitiveness is increasing, anything about this thing?

Rajesh Srivastava: So we are seeing two changes clearly in the industry, at least for us. One is our end use customers, some of the products which we have produced outside, now they are more produced in India. Therefore, if you see our domestic sales also is strong and you can fairly assume that our consistency becomes much better because then the competition from China is normally neutralized because the domestic customers could prefer to buy from us as long as they get a good quality and good price. That is the one change.

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The second, as you said, the customers are now looking at an alternate option to source. So definitely, if they have an option of China and India for the same product, they would prefer us to see sell more share. And therefore, our share of each of our products to our existing customers and new customers is increasing. These are the two clear changes we are observing. Third one is the new inquiries for our CDMO business is also upwards.

Sunil Kothari: So both these changes indicate that people like us will have a bigger opportunity. Compared to last three, five years, next three, five years would be domestic import subscription and plus higher exports?

Rajesh Srivastava: Yes. And that is one of the reasons you see that in our growth CAPEX we had both, new product CAPEX as well as we have capacity expansion CAPEX. So like CDMO, CGMP, Anhydride, Vitamin B3, all these are the mix of CAPEX. They are not only for the new product. They are new product as well as capacity expansion.

Sunil Kothari: And this first quarter's numbers, mainly because of this power and fuel almost Rs. 100 crore plus compared to last year. It shows that there is some high competition in the market compared to some previous last 12 months or 24 months or how to look at this situation?

Rajesh Srivastava: If you see the competition of the similar product segment, I think everybody is impacted in the same

way. Of course, if you see the competition in a different product segment, different business segments, obviously that will not be a good competitor.

Sunil Kothari: So will it be possible to pass on this cost if it continues or we have to absorb and improve our cost efficiency and productivity?

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Rajesh Srivastava: No. If it continues, obviously, we have to pass on this cost because we can't keep absorbing these costs. So as we explained, partly we have passed on, some more we will pass on in this quarter. But we hope that it should normalize. It's not abruptly we will have to pass on.

Moderator: The next question is from the line of Romil Jain from Electrum PMS. Please go ahead.

Romil Jain: My question is on the capacities that we are adding up, the Rs. 2,000 odd crore of CAPEX that we are doing. Segment-wise, do we see in any of the product segments any oversupply kind of a scenario in the industry?

Rajesh Srivastava: No, we don't see in any of our products oversupply situation.

Romil Jain: So that means in those segments we should retain some pricing power as and when we need it?

Rajesh Srivastava: Yes.

Romil Jain: And similarly on the Diketene?

Rajesh Srivastava: As I explained, most of our products demand is growing up. So we are expanding capacity. So we are not seeing any pressure on our existing products of overcapacity.

Moderator: We'll move to the next question from the line of Tarang Agrawal from Old Bridge Capital.

Tarang Agrawal: Just wanted to check between the three businesses, which of them is the most intensive in power and fuel and which one is the least?

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Rajesh Srivastava: Specialty Chemicals segment is the most power intensive. And then second is Chemical Intermediates. And then the third is Nutrition business.

Moderator: Ladies and gentlemen, this was the last question. I now hand the conference over to management for closing comments.

Prakash Bisht: We thank you for joining this call today. We hope we have been able to answer your queries. For further clarification, we would request you to contact our Investor Relations team. Good evening, and thank you once

again for your interest in Jubilant Ingrevia.

Moderator: Thank you. On behalf of Jubilant Ingrevia Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Note: There could be unpublished price sensitive information that would have been shared /discussed during the call and we have shared Audio Transcript to the Stock Exchanges on August 5, 2022 for information of public at large.

Call: Nov 2022

October 28 , 2022

BSE Limited
Floor 25, P. J. Towers
Dalal Street, Fort
Mumbai - 400 001

Scrip Code: 543271 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E) , Mumbai - 400 051

Trading Symbol: JUBLINGREA

Sub.: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the Investors Conference Call for the quarter and half -year ended September 30, 2022

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors Conference Call for Un -audited financial results for the quarter and half - year September 30, 2022 conducted after the meeting of Board of Directors held on Thursday , October 20 , 2022.

The link to access the transcript of the earnings conference call is given below:

<https://jubilantingrevia.com/Uploads/files/7q2consfileEarningsCallTranscript.pdf>

We request you to take the same on record.

Thanking you,

Yours faithfully,
For Jubilant Ingrevia Limited

Deepanjali Gulati
Company Secretary

Encl.: as above
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Jubilant Ingrevia Limited
Q2 FY 2023 Earnings Conference Call Transcript
October 20, 2022

Moderator: Ladies and gentlemen, good day, and welcome to Jubilant Ingrevia Limited's Earnings Conference call for the quarter and half year ended September 30, 2022. As a reminder, all participant lines will be in the listen-only mode and anyone who wishes to ask a question may enter "*" and 1 on their touchtone phone. To remove yourself from the question queue, you may enter "*" and 2. Should you need assistance during the conference call, please signal an operator by pressing "*" then 0 on your touchtone phone. Please note that this conference is being recorded. I'll now hand the conference over to Mr. Pavleen Singh Taneja, Director, Investor Relations, Jubilant Ingrevia Limited. Thank you, and over to you, sir.

Pavleen Taneja: Thank you, Aman. Good evening, everyone. Thank you for being with us on the Quarter 2 and half year of Financial Year 2023 earnings conference call of Jubilant Ingrevia Limited. I would like to remind you that some of the statements made on the call today could be forward-looking in nature, and a detailed disclaimer in this regard has been included in the press release

and results presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia Chairman; Mr. Hari Bhartia, Co-Chairman; Mr. Rajesh Srivastava, CEO and Managing Director; Mr. Prakash Chandra Bisht, CFO, Jubilant Ingrevia Limited; and Mr. Arvind Chokhany, Group CFO, Jubilant Bhartia Group.

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I now invite Mr. Shyam Bhartia to share his comments please.

Shyam Bhartia: Thank you, Pavleen. A very good evening to everyone. Thank you for joining us on Q2 FY'22 earnings conference call of Jubilant Ingrevia Limited. We are pleased to announce stable operational and financial performance during the quarter under review despite continuing headwinds on account of high energy costs during the current financial year.

Our Specialty Chemicals business revenue grew 63% year-on-year on account of better demand across all products in this segment. Margins are impacted mainly on account of higher cost of energy due to restrictions on contracted coal supplies. While we expect the coal supply to normalize soon, we also continue to explore alternative energy solutions for future.

In Nutrition & Health Solutions business flu situation in U.S. and Europe is normalizing. However, demand for B3 continue to be suppressed owing to post-flu impact and excess inventory across the value chain. Our focus on niche segments like food and cosmetics is showing positive results, and we continue to increase our revenue share in this segment. We also believe that the demand challenges of vitamin B3 are short term. We continue to improve market share in our Animal Nutrition business of vitamin B4 and other branded premix products.

Our Chemical Intermediates business continues to witness strong demand resulting in volume growth. Business continued to improve its leadership position in Acetic Anhydride in domestic and international markets. Revenue impact year-on-year basis was primarily driven by lower prices of feedstock, leading to lower sales of Ethyl Acetate and Acetic Anhydride.

We believe that Jubilant Ingrevia Limited is well positioned to deliver robust growth in the future backed by its comprehensive growth plans for its

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growth projects. The performance in the coming quarters will be driven by higher share from Specialty Chemicals, where company is scaling its capacity and capability. Nutrition & Health Solutions, where the company is enhancing its value-added range of products in chemical intermediates segments where our core emphasis is on enhancing healthy volume contributions.

With this, I hand over to Rajesh to discuss about the business in detail.

Before that, on the behalf of the entire team Jubilant, we wish our investors and everyone present on this call, a very joyful, peaceful, safe and a very happy Diwali.

Rajesh Srivastava: Thank you, Mr. Bhartia. A very good evening to all of you. At the outset, let me welcome you all for joining us in our Q2 FY'23 investor call of Jubilant Ingrevia Limited. I sincerely hope that you and your loved ones are keeping very well. Let me now take you through the financials and operational performance of Jubilant Ingrevia Limited for Q2 FY'23.

Revenue during the quarter was INR1,304 crore. Overall revenue grew by 7% year-on-year basis, mainly on account of higher sales performance by Specialty Chemicals business. Nutrition & Health Solutions business continued to witness lower demand owing to post flu impact and excess inventory situation across the value chain, coupled with short-term demand impact in Europe due to ongoing geopolitical situation. Chemical Intermediates volume has further grown, while revenue impacted mainly

on account of lower prices of key raw material that is Acetic Acid.

EBITDA is at INR160 crore. Higher input costs due to non-availability of contracted coal, coupled with lower volume off take of Niacinamide has impacted EBITDA, while Specialty Chemicals and Chemical Intermediates volumes have grown significantly. We continue to focus on improving

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efficiency using various business excellence tools and techniques to maintain competitiveness. Sustainability continues to be a core focus area for us and during the quarter we successfully achieved E

coVadis CSA

assessment score of 93% with gold rating.

Now let me take you through the updates on all our 3 business segments.

Specialty Chemicals : Revenue of Specialty Chemicals business was INR480 crore and EBITDA was INR77 crore during the quarter. Specialty Chemicals' revenue grew by 63% on a year-on basis, driven by higher volume across product segments. Share of revenue to customers having Agrochemical end use increased during the quarter. We also witnessed healthy demand in our oilfield chemicals. Our CDMO pipeline is healthy and progressing positively. Our new GMP and non-GMP facilities, which are expected to be ready during current quarter, that is Q3 FY'23, will help us in capturing growing demand of CDMO projects. We observed a positive traction of demand for our other specialty chemicals also from both domestic as well as international customers due to China plus 1 strategy from all our global customers.

Demand of Pyridine continued to be strong during the quarter. Our business team has been successful to pass on most of the raw material costs and also partially increased energy costs as well. Specialty Chemicals segment, absolute EBITDA increased by 8% on the back of higher volume. In spite of significantly improved volumes in the segment, relative increase in absolute EBITDA and EBITDA margin are lower, mainly due to higher cost of coal.

Nutrition & Health Solutions Business : Nutrition business revenue was at INR114 crore during the quarter. Nutritional business revenue de-grew by 36% on account of lower demand owing to post flu impact and excess inventory situation across the value chain, coupled with the short-term

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demand impact in Europe due to ongoing geopolitical situation. However, share for food and cosmetics in segment revenue grew on a year-on-year basis. EBITDA and EBITDA margin also declined mainly on account of lower sales volumes of Niacinamide.

Flu situation in EU and America regions have improved. However, we expect that demand situation may normalize towards the end of Q3 or beginning of Q4. Demand of vitamin B3 is also witnessing short-term impact in Europe due to ongoing geopolitical situation. We expect these challenges to be short term and remain positive on the prospects of Nutrition business in the medium term, and we continue to maintain our leadership position in global market. Further, we continue to improve our revenue share of Niacinamide in niche segments like food and cosmetic on year-on-year basis. Our Animal Nutrition business has improved market share of vitamin B4 and other branded premix products.

Chemical Intermediates Business : Revenue from Chemical Intermediates segment was INR710 crore, down by 5% on a year-on-year basis and EBITDA stood at INR77 crore. Revenue de-growth was driven mainly on account of lower price of key raw materials that is Acetic Acid. However, Acetic Anhydride witnessed double-digit volume growth year-on-year basis. Also, revenue from Europe have gone up significantly year-on-year basis. EBITDA was lower due to stock impact on lower feedstock prices and lower demand of Ethyl Acetate.

We continue to maintain domestic market leadership for Acetic Anhydride and further strengthening our position in international markets. We remain the key strategic supplier for select customers of ethyl acetate. Our upcoming acetic anhydride plant at Bharuch is under construction and is expected to be ready during Q4 FY'23.

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Outlook and Growth CapEx Plans : We expect our H2 performance to be better than H1, assuming no unexpected adverse situation. We expect overall healthy revenue growth during FY'23, led by volume growth in Specialty Chemicals and Chemical Intermediates segments. Commissioning of new CapEx during H2 is likely to aid the growth. We are fully committed towards our growth aspiration, and we are excited to realize the emerging opportunities through

our ongoing growth CapEx plan of INR2,050 crore during FY'22 to FY'25 period. We continue our efforts towards improving our revenue mix of Specialty and Nutrition segment to 65% by FY'27 from 46% in FY'22, and we believe this to be a key driver for overall margin improvements.

With this, I now hand over to Prakash to discuss the financials, and I would like to wish you all very happy and prosperous Diwali for you and your family. Thank you.

Prakash Bisht: Thank you, Rajesh. A very good evening to everyone and thank you for joining us on Q2 FY'22 earnings conference call. I would now highlight the company's financial performance during the quarter and half year ended 30th September 2022.

Revenue from operations during Q2 FY'23 was at INR1,304 crore as compared with INR1,223 crore in Q2 last year, registering a growth of 7% on Y-o-Y basis. Similarly, revenue from operations during the H1 FY'23 was at INR2,469 crore as compared with INR2,367 crore in half year last year, registering a growth of 4% on a year-on-year basis.

The EBITDA during the quarter was INR160 crore as compared with INR202 crore in Q2 FY'22, witnessing a decline of 21% on year-on-year basis, and the margin stood at 12.3% in Q2 FY'23 as against 16.5% in Q2 FY'22. The drop in year-on-year EBITDA margin is mainly on account of high energy costs due to non-availability of contracted coal, coupled with the lower

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volume off take of vitamin B3. Similarly, EBITDA for H1 FY'23 was at INR311 crore as compared with INR490 crore during H1 FY'22. And margins were at 12.6% during H1 FY'23 as compared with 20.7% for the same period last year.

The EBITDA for H1 FY'23 is impacted on account of Chemical Intermediates segment's EBITDA normalization, lower volume uptake of vitamin B3, coupled with higher input cost impact in the Specialty Chemicals business due to non-availability of contracted coal. Depreciation and amortization expenses during the quarter were at INR31 crore. Finance cost during the quarter was at INR5.1 crore versus INR7.16 crore in FY'22 on account of repayment of high-cost long-term loans and lower average utilization of debt. Net debt was at INR282 crore at the end of Q2 FY'23 and the average blended interest rate for Q2 FY'23 was at 5.84%.

During the quarter, India Ratings upgraded its credit rating of the long-term debt of the company to AA+ stable from earlier AA stable. The tax expenses for Q2 FY'23 were at INR40 crore. The company would continue to remain under the old tax regime during FY'23. And the ETR is expected to remain in the range of 31% to 32%. PAT during the quarter was at INR84 crore as against INR111 crore in Q2 FY'22, witnessing a decline of 24% year-on-year due to lower EBITDA.

Similarly, PAT for H1 FY'22 was at INR164 crore as against INR279 crore PAT in H1 FY'21. Net debt-to-EBITDA ratio was at 0.41x on the basis of trailing

12 months EBITDA. The net working capital percentage and number of days of working capital for Q2 FY'23 on the basis of trailing 12 months turnover was at 17.9% and 65 days, respectively. Increase in net working capital is driven by short-term strategic decision of inventory building of certain products and temporary reduction in creditors due to procurement of domestic ethanol. The capital expenditure during the quarter was approximately INR110 crore.

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With this, I would like to conclude our opening remarks. We will now be happy to address any questions that you may have.

Moderator: First question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: So, 4 questions from my side. First, on the Chemical Intermediates business. For H1, was there any inventory loss? If so, if you could tell us? That's the first question. The following 3 questions are related to Specialty Chemicals. One, if you could give us the volume growth on the Specialty Chemicals business for Q2.

Second, just trying to understand how long the whole issue is probably going to continue? And in your conversations with your customers, if you see a potential for you to be able to pass on this cost because essentially, the Specialty Chemicals business one would presume is that you would have a strong ability to do so? And third, in the Pyridine space, would you have any peers operating out of Europe? And given the crisis that we're witnessing there, therefore a potential for you to probably garner more market share? That's it from me.

Rajesh Srivastava: Tarang, on your first question on Chemical Intermediates Q2 impact. As you can see, the Acetic Acid prices at the quarter end was \$745, and this quarter, we ended with \$620. So, you can fairly assume there is a reduction of \$120, which actually makes our 20-day stock valuation reduction on a gradual basis during the quarter. So, there is an impact.

On Specialty Chemicals, 3 questions on volume, yes, we have grown volume as we have explained, that out of 63% or 64% growth in Specialty Chemicals revenue, close to 42%, 43% has come from volumes and rest is from price. So of course, the entire growth of Specialty Chemicals, more than 65% of this growth is contributed with the volume growth.

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On second question of coal issue, it is so difficult to explain by when it will be over. But looking at the discussions which we are having with the Government and we are having with the coalaries we are very, very confident that this issue has to be behind us by end of this quarter or beginning of next quarter that is certainly there. Having said so, as a Company, we are taking a long-term view of this situation to de-risk ourselves in future, and we are making a strategy to really minimize this impact in future at all, if it happens. But it takes time. So that will be happening, let's say, in 2, 3 quarters, not immediately. So one is that coal impact will be behind us by, let's say, Q4. But overall, for future, we are taking strategies to minimize this impact even though if it happens.

On Pyridine question, there is no one in the Europe who is competing with us in Pyridine. The only competitors for us in pyridine and derivatives are sitting in China. And as you know, the tendency of now European and U.S. customers to source their specialty chemicals more from India, favorable situation is also making an impact on our Pyridine and derivative business because that's a positive trend. We continue. Hope I have replied to your question.

Tarang Agrawal: Sir, just one more. Sir, I mean, in terms of your ability to pass on the cost push that you're seeing in power and fuel. Is it a call that you've taken that maybe perhaps you see it as transient, therefore, not having a conversation with your customers or you are somewhere limited in your ability to pass

on the cost portion?

Rajesh Srivastava: No. So, if you see the coal impact to us in Q1 plus Q2 total is in the range of INR160 crore to INR180 crore. Now out of this, I'm sure you can see that we have not got impacted to this extent in Q1 plus Q2. So, there is a great amount of effort our business team has made to perform the cost of coal impact. However, since this impact is not in general for everybody, obviously, it is difficult for our products to take 100% pass on. So, you are

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right. We are not hesitant to talk. We have been talking to our customers, and they have been very, very favorable on our request. And to some extent, they are in a position to pass on those costs to us, but not, of course, 100%.

Moderator: Our next question is from the line of Malay Sameer from Breakthroughs in Stock Market. Please go ahead.

Malay Sameer: My first one is, in Quarter 1, we had taken a hit of about INR40 crore on the fuel as well as inventory losses on Acetic Acid. So how much would that INR40 crore compare in the current quarter? That's my first q

uestion. The second question is on the commentary that you've made that you're looking at alternate sources for energy. That somehow gives the feeling that we are not sure of getting FSA coal in future like we did in the past. And therefore, the third question is that if partial FSA coal and partial coming from imports or e-auctions become the norm in FY'24 too, then what is the kind of hit, incrementally do you expect from these new situations?

Rajesh Srivastava: Let me take your second question first because that's very straightforward. First of all, you should know that this contract is between us and Government. So, this is absolutely unlikely that we will not get FSA coal. It is definitely the deferment, not the canceling. And we have a contract for 5 years. So, it's absolutely not possible that we will not get. What I said that we are making alternate adjustment is not to the extent of FSA, we said we will be definitely working on the energy cost reduction overall. Now that is something which will reduce overall impact. But I'm not saying that we will stop buying coal or we will not get the coal. I hope I have clarified this. So please don't get that impression that even thinking about that we will not get FSA coal. So that is the clear answer for your question 2. Now your question one, the impact which you said INR40 crore Q1 is currently representing to the tune of almost INR55 crore to INR60 crore in Q2.

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Malay Sameer: So, my first question, which you've answered very clearly in Specialty, sir, was definitely on the participation from FSA coal and other means. I certainly didn't mean that we would be eliminating FSA and going on other means. But that has been taken by you very, very well. Now since this hit on coal and acetic acid inventory losses have increased from INR40 crore to INR55 crore. Can you give us a guidance in future so that we can build our models accordingly?

Rajesh Srivastava: Yes. So, what we can give today guidance is, so far, the FSA has not been released. We are expecting and we are hearing from the corridors of government as well as coalaries that from 1st December, they are expected to open. But if that does not happen by any chance, absolutely from 1st January, it will get open because even Government is now under pressure to supply it to the industry, there is a lot of pressure from various industries for FSA coal to start. I'm hoping it should be from 1st of December. But in worst situation 1st of January, certainly. So, we're definitely clear about it.

Malay Sameer: So, sir, in the last conference call, we had somehow hinted that the FSA coal will start by about the 1st of September. And it didn't happen that way, and I know it is due to backlog that the part of the Government. So, can we sort of draw a communication to the investors and potential investors, where we keep them updated on a regular basis, maybe a monthly basis or

something, where we update them about the current situations?

Rajesh Srivastava: Yes, we are doing it continuously. As and when we have any investor discussion calls, communication, we are updating our current situation. And this is something which is known to everybody because we are not the only sufferer of FSA. You talk to any industry who consumes, FSA, this is known thing. But you are right. Whenever we are meeting investors, we are meeting anyone, we are communicating very clearly.

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Moderator: The next question is from the line of Pratik Kothari from Unique Portfolio Managers. Please go ahead.

Pratik Kothari: So, a couple of data points. First, if you can share, sir, I mean, you shared the volume numbers of Specialty, but for the Health & Nutrition and Intermediate if you can share that, please?

Rajesh Srivastava: Yes. So, if you see our presentation, Health & Nutrition, our Niacinamide volume has de-grown by 40% over last year. On Chemical Inte

rmediates

segment, our volumes have grown by almost 10% to 12%, 10% by volume growth. However, there is a reduction on price impact to our profitability. So that's about 15%. So, there is a volume growth, but you don't see that impact in our profitability because of the Acetic Acid price impact in the inventory.

Pratik Kothari: So, the operating profit that we see at that because what I believe the pricing is based on first tonne basis and not on a percentage basis. The operating EBITDA drop basically would be because of the Acetic prices like the inventory hit that you would have to take?

Rajesh Srivastava: Absolutely. Absolutely. Because since this business runs with per tonne basis since our volumes are growing. Obviously, the absolute EBITDA is growing, but you don't see the full impact because of this impact of FSA. You are very right. And once this Acetic Acid price will normalize, you will see the normalized EBITDA of Chemical Intermediaries.

Pratik Kothari: Fair enough. And then my second question is on other expenses. I mean, excluding your fuel and par and first starts INR220 crore, it has gone up to about INR300 crore. So, if you can throw some light, what is this regarding?

Prakash Bisht: Yes. Pratik, so other expenses, the way the SEBI format so it is not all fixed expenses. This includes many variable expenses also. So, the expenses,

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which have gone up, primarily, it is on account of freight. And we also have increased our tolling business, which is outside tolling. So, these are the 2 expenses, which has gone up. So this increase is mainly on account of freight and incremental tolling.

Pratik Kothari: And sir, my last question, I mean, given the volatility, et cetera, there are a lot of in numbers, we have seen a lot of hit on the coal fuel prices, some inventory add on. But any positives that you can share, which are not reflected in the numbers in terms of the project fee, the CapEx that we had planned?

Rajesh Srivastava: Yes. So, one of the best positives which we can observe is what we have been telling everybody that as a business, we are standing very strong. Our volumes are growing. Specifically on our Specialty side, what we have been talking is turning out to be the reality, which will continue. And that's what will bring both in terms of volume achievement as well as profitability. So that is happening very positively.

On Chemical Intermediates side, the plant which we constructed of Acetic Anhydride in 2020 is running now in a very high level of capacity. And that's why we are building up the new plant. So, the CapEx which we put up was a very good decision at the right time. So those values are being realized.

You can see our overall Chemical Intermediates performance of 2 years before and now has significantly improved, and this will continue to improve because we are going to utilize this plant fully as well as this Q4, we will get the additional plant. So Chemical Intermediates business continue to grow volumes as well as our revenue and EBITDA profitability situation.

The temporary situation, the 2 realities which we are talking is very short term, which is the coal price increase. And secondly, is the temporary
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impact of our vitamin B3 business. Rest all, the business is really standing very strong, as you can see with the results.

Moderator: Next question is from the line of Rohan Gupta from Nuvama Institutional Research. Please go ahead.

Rohan Gupta: So, a couple of questions. Sir, first is on clarifications on our development on Diketene and CDMO projects, where have our Diketene projects reached and what kind of utilization the plant is operating right now?

Rajesh Srivastava: Rohan, our Diketene, as I explained in the last call also, fortunately, our plant has come out very successfully, both on capacity as well as on cost and quality. The challenge which we explained o

n Diketene was temporary where the demand from one of our large customers in India has been very low because of some unforeseen situation, which is going to be a normal situation by Q4. However, your specific question, I think currently, we are utilizing our facility to the tune of 40% to 50%. And we are very confident come Q4, we will be touching 80% to 100% of our capacity of Diketene.

Rohan Gupta: So sir, this is basically specific to UPL that is the agrochemical consumption which has been impacted, that is what is affecting our packaging consumption. Am I right, sir?

Rajesh Srivastava: Yes, that is correct. And one of the industry, which is Dye industry and Packaging industry is also not doing as great as it should be doing, which also is expected to normalize by Q4 or Q1 next year.

Rohan Gupta: So, with the 40% to 50% utilization level in Diketene, are we completely dependent on domestic market consumption or have you already started exploring the export market opportunities?

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Rajesh Srivastava: We have already started exploring export market, and we have a great success there also. But as of now, our major volumes are domestic. Because export market will take a little time for getting approval at commercial level, et cetera, which we have told earlier also.

Rohan Gupta: And sir, this is primarily for the, I think, 3 derivatives for Diketene where we are relying right now? And what is about the further expansion in the product line of Diketene-based derivatives?

Rajesh Srivastava: It stands as it is what we explained last time that Phase 2 of Diketene, we will bring up sometime next year, that is FY'24. And that will bring another 3 to 4 products when the Phase III will come subsequently. So that is on track. That is happening. The products are clear from R&D. We are doing a little bit of detail engineering part of it, and then we will bring up the CapEx next year.

Rohan Gupta: Sir, second question is on Specialty Chemicals, which is such a strong volume growth, which you have delivered up to 40% to 45% in the current quarter. Sir, what is this growth driver and what is the growth coming from the pyridine derivative and what is from the non-pyridine-based business?

Rajesh Srivastava: So you know in Specialty Chemicals, our major business is pyridine and pyridine derivatives, except for the Diketene and CDMO business. So you

can say that the growth is primarily coming from Pyridine and Pyridine derivatives.

Rohan Gupta: So, in Pyridine derivatives if I understand rightly, the market would not have been growing so much and we already have such a strong leadership position in many pyridine derivatives, almost 12 to 13, we have almost 60% to 80% market share. So, the key growth driver of this pyridine derivatives, which you're talking about 40%, it's basically driven from where, where you are gaining market share?

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Rajesh Srivastava: So, you are right in some of our products. We have 50% to 60% market share, but there are other products, where we are capturing more market share because I said because of China plus situation now globally. And lastly, we have continuously introduced new products in Pyridine, Pyridine derivatives, because we are expanding non-GMP facilities. So, all these new plants, new investments which we are making in Specialty Chemicals will also bring us revenue both from new products as well as from the existing products, more markets. So, we have not achieved, let's say, 70% or 80% market share in each of our products. So, there is enough room for us to grow within the pyridine and pyridine derivatives also. And overall market demand is also growing. So, though we have a share, but since the market is growing, that also gives us an opportunity to take our leadership position to further stronger way.

Rohan Gupta: And sir, just last on my side, on vitamin B3 and the business which has been impacted because of the flu. Sir, you mentioned that the flu scenario is over now, but the market has a high inventory. So, you see that the situation in Europe and the demand will improve by Q4? Or it can take some more time because of the high inventory in the system.

Rajesh Srivastava: So usually, what happens, Rohan, when this kind of situation of flu happens in poultry, people cull the birds and once the birds are culled, it takes almost 3 to 4 months for the farms to start consuming the same volumes, which they used to consume. So, after 3 to 4 months, of course, this inventory situation because suppliers have inventory. So overall, 5 to 6 months it takes. So Q4, we see that a great extent the situation will improve. But from Q1, we are certain that situation will become normal.

Moderator: Next question is from the line of Nitesh Dhoot from Prabhudas Lilladher. Please go ahead.

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Nitesh Dhoot: So, the first question is on the commodity on the Chemical Intermediates segment. So, how are the per kg margins in this business, right, normalized for Ethyl Acetate and Acetic Anhydride? Or is there any further normalization expected?

Rajesh Srivastava: So, on Anhydride, as I said earlier also, our per kg realization is improving because we are improving our volumes, we are improving our share with the customers. We are increasing our business to more international markets. So overall, our per kg margins are improving. So, as we will catch up the volume, you will see the overall profitability of Chemical Intermediates business improving, which is happening. If you see last 1, 1.5 years, this has been improving. And since we are increasing our capacity because of the demand, of course, volume will go. So, it will be a good impact of both per kilo impact as well as volume.

Nitesh Dhoot: Sir, and what's the current capacity utilization levels, both in Anhydride as well as in Ethyl Acetate?

Rajesh Srivastava: On Anhydride, we are fairly at a range of 70% to 80% overall, in general. Some of the plants are more than 90%, 92%. Some of the plants are lower. But in the next couple of quarters, the volume situation is definitely showing us that the utilization is going to significantly improve. And once

we bring the new plant, probably we will be in a position to add more value.

Nitesh Dhoot: And sir, what would be the reason behind the lower demand for Ethyl Acetate?

Rajesh Srivastava: So, Ethyl Acetate, the lower demand is happening because the extra pressure at China to produce Ethyl Acetate and dump in the European market, which is slowly now improving. So that is one. And secondly, in India, the demand in packaging industry is down. As you know, packaging is not doing as well. So that is the reason. But of late, we are also seeing a
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positive trend of Ethyl Acetate as well. So hopefully, in next couple of months, Ethyl Acetate will improve. But as you know ethyl acetate, we are very focused on only select customers, where we have a good quality requirement of products. So, we are actually not really focusing on large volume because this is not a product where we feel that we can make good money.

Nitesh Dhoot: But what would be the capacity utilization there on ethyl acetate?

Rajesh Srivastava: In general, if you see, we are at about 60% to 70%. But remember, these capacities are multipurpose. So, we can produce some other products as well, which are the value-added products, which we are launching one by one. Like we have done for Propionic Anhydride. We are utilizing the existing capacity with some debottlenecking, et cetera. So new products we are working on to take care of this capacity utilization. So, they are not sitting idle.

Nitesh Dhoot: And sir, another one would be on the balance sheet, on the debt levels, which have increased. So net debt has increased to INR280 crore. So where do we expect the de

bt to be keeping in mind the CapEx that we have?

Rajesh Srivastava: So, if you see the current situation, again, on the debt side, it is very short term because our profitability has been lower and of course, the CapEx is going very strong. But we have enough headroom for our short-term borrowings. So, for time being, for a few months, probably we'll go for short-term borrowing. And we are expecting H2 performance to improve significantly. And we see that we will be in a position to bring back the overall borrowing situation by end of this year to a controlled situation. That should not be a concern area at all.

Prakash Bisht: And Nitesh, just to add on to what Rajesh said, you would see that the increase in borrowing is only to fund the working capital increase.
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Nitesh Dhoot: So, what was the exact reason behind the working capital increase? I had missed out the earlier part. So if you can just repeat.

Rajesh Srivastava: Yes. It's just 2 key reasons. One is that we have taken 2 products as a strategic decision to improve inventory to gain in market share and profitability in next 2 quarters. So, it's a short-term event of 5 to 6 months. And second, as you can see that our creditors have increased because we were getting a better price in coal in domestic markets where the creditors are lower. So therefore, it is very short term. Coming December or January, we will be back with the normalized creditor. So, let's say, in 3, 4 months, that's why I'm saying that 3, 4 months, you will see the normal working capital, which we have been at the range of 15% to 16%.

Moderator: Our next question is from the line of Harsh Shah from Dimensional Securities. Please go ahead.

Harsh Shah: Sir, if I understand this correctly, the power and fuel costs, which has increased any 15%, 16% of sales. So earlier, it used to be around 8%, 8.5%. When the situation improves, so could be 2, 3, 4 months down the line. So, do we expect this to revert back to 8% to 9% of sales, which was the

normalized range? So that would be an alpha of 7%, 8% from where we are standing currently at 20% EBITDA margins. So, 6% to 7% from here, when we are talking about increasing contribution from the Specialty Chemicals business. And then we are also talking about phasing out of the inventory loss, which we are seeing in Chemical Intermediaries space. So, taking impact of everything from the current level of 12% EBITDA, do you think that can be alpha generation of around 9%, 10% over next year or so if all these factors start reversing?

Rajesh Srivastava: So, there are 2 things. Let me first address your point on EBITDA level. So, if you see the Q1 plus Q2, the overall impact of coal is in the range of INR140

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crore. Now if you add this and add our loss of niacinamide business contribution, these 2 things itself brings us on as one basis to the close to 20% EBITDA. Having said so, what you are comparing from last year, the cost of fuel and energy, particularly the coal has 2 impacts. One is the overall price increase of coal. Earlier we used to buy coal from import market at INR5,000 to INR6,000 per tonne, which has overall increased to the level of INR12,000 a tonne. So that has gone up for everyone that I don't think we have any visibility today to tell you whether it will come down. The second impact on that percentage is our FSA coal. Now that FSA coal, as I explained in the last question also, we are very sure that the situation has to come to normal definitely by Q4 of this year. So that impact of overall increase of coal is for everybody, and we have already recovered in our pricing. What we are not in a position to recover 100% is the difference of FSA versus the normal coal.

Harsh Shah: So currently, we are receiving no procurement from the FSA coal?

Rajesh Srivastava: Yes. So, nobody gets, it's not only we. Nobody is getting the FSA coal.

Harsh S

hah: So when the situation normalizes, what percent would come from FSA, and how much would we buy from the market once situation normalizes?

Rajesh Srivastava: So that's what I said that the overall cost impact of FSA coal for Q1 and Q2 is about INR140 crore. So that will be a normal situation, we will achieve in a normal FSA availability.

Harsh Shah: And then for Niacinamide, have you seen the realizations coming off sharply because of the inventory situation?

Rajesh Srivastava: Yes, yes. So the Niacinamide volumes are also lower, even realization is also lower, of course, because the inventories are high. And both have to improve.

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Harsh Shah: And how much are the realizations lower compared to FY'22 level?

Rajesh Srivastava: I think it is in the range of about 12% to 14%. On pricing.

Moderator: The next question is from the line of Nilam Saha from Ventura Securities Limited. Please go ahead.

Nilam Saha: So, in your investor presentation, you have mentioned that in the couple of coming years, your capacity of all the segments are going to increase by around 40%. And you have also mentioned that after the current CapEx positive terms, your constitution of revenue will change, and Chemical Intermediates will constitute from now 60% which was around 35% at that time. So, I wanted to understand how that changes things will happen or whether you're going to see your capacity utilization of different segments? And also, if you can give us further breakdown of importation in Specialty Chemicals, you are going to consider 50% of your revenue at that time.

Rajesh Srivastava: Yes. So, the answer to your first question is because most of our new growth CapEx investments are happening on Specialty Chemicals and

Nutrition side. All those new CapEx's, the new investments will bring additional revenues, which will change the entire revenue profile of Specialty and Nutrition. On Chemical Intermediates side, as you can see, our major CapEx is on anhydride and on Green Acetic Acid. Rest all growth CapEx's are in the Specialty and Nutrition side. And therefore, the change in mix will happen with that. Your second question is that on Specialty Chemicals, our existing performance itself is showing that our growth is now in line with what we have been talking. So definitely, it will be possible by FY'25, we have shown in our presentation, we will achieve.

Nilam Saha: Out of that 50%, how much will be in Specialty, and how much in Nutrition will you be able to give that breakdown?

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Rajesh Srivastava: As of now, I don't have exact number. I can come back to you later, please.

Nilam Saha: Okay. And my second question is, I have a few questions related to the financials. So, what is your current inventory deal? And you also mentioned that your other expenses some part of it is variable and some of it isn't, give an average percentage of tax? And also in your revenue, you have some intersegment revenue part of it. I would also have to know like why it depends on like is it a certain percentage of your revenue, a certain percentage of say Chemical Intermediates. I'd like to know that.

Prakash Bisht: So Nilam, the inventory days are 65. What you see in the segmental sales is the merchant revenue. It does not include the inter-segmental revenue. So it's all merchant revenue, which you are seeing as a segmental revenue, I missed your third question, what was that?

Nilam Saha: That explains a part of it. So, if you can give a breakdown of the other expenses leaving the power cost?

Prakash Bisht: So other expenses include all the rest of the expenses because the way the SEBI format has been designed, you have to show material separately, employee costs separately. And then actually if you can put everything else in the other expenses. So other expenses include everything else. So it has repair and maintenance, freight and forward

ding. So processing charges, travel expenses, all admin costs, selling and administration, all other expenses are included in that. The simple way is our annual report has been released recently. If you would see that annual report in the manufacturing and other expenses, you will get the full detail of these expenses, the nature of these expenses. The same expenses are coming here as well.

Moderator: The next question that is from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

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Rohit Sinha: So, some of my questions are already answered. Just one for clarity. As you say that Specialty Chemicals' volume growth was somewhere 30%, 32%. So this is Y-on-Y this is, right?

Rajesh Srivastava: That's right. Yes.

Rohit Sinha: So this Specialty Chemicals definitely includes Diketene business also. So I just wanted, with the growth number excluding this Diketene business that would be helpful.

Rajesh Srivastava: Honestly speaking, as we just explained to you in the last question, the Diketene business right now is not generating significant revenue. So if 30% capacity is utilized, you can assume what is the revenue we are generating. If you exclude that also, you might even just get to a 3% deduction in this. But still the growth in other products are much higher.

Rohit Sinha: Secondly on Acetic Anhydride as you again said here that the volumes were much higher. So just wanted to understand from which region we get the

maximum traction and how much these volumes are sustainable, going forward?

Rajesh Srivastava: So, this increase is across, let me explain you. So domestic market as such is growing. A lot of new products, a lot of new products customers have started manufacturing in India, which were never produced. So overall volume requirement of domestic market has gone up. So, we are capturing as you know, I said in the last call also that paracetamol now India is the leader in producing paracetamol. Earlier, China used to lead that production. So, India is capturing more and more market share in global market. Same is the situation for agro chemicals, same is the situation for any other end use of anhydride. And also in international markets, we are capturing our market share because Europe, as in India, European demands Page 24 of 31

have also gone up, and no other competitor have increased capacity. So we have a huge opportunity for increasing our volumes in Europe.

Having said so, even Southeast Asia demand, we are capturing all the increased demand globally. So, I would say it's across the regions, not single reason because globally, nobody is increasing capacity. Jubilant is the only company where we have increased the capacity of anhydride 2 years before. And this plant, which will come up in Q4 will be the only capacity expansion of anhydride in the global expansion. And as I explained in the last call also that one of the new use, which has come in anhydride uses, which is food acetylation that in Europe is going up, demand is going up. So all that is actually really mixing up in our performance of anhydride, which we have been having the clue in the past, and that's the reason we took this call of capacity expansion.

Rohit Sinha: And lastly, on the raw material procurement, I think we have started getting ethanol in the domestic right in this quarter. So apart from that, how has been the procurement for ethanol, methanol and any other media, raw material part prices we are seeing there?

Rajesh Srivastava: Ethanol, we are still the major importer from U.S. and Brazil. This domestic procurement is very small volume, and that happens on the spot availability situation. So sometimes, if the import prices are higher and domestic suppliers is sometimes trying to take the volumes and he doesn't have any other volume to sell, we buy and that if we get a little cheaper. But that's not a strategic purchase. Our st

ategic purchase is imported alcohol.

Coming to acetic acid and methanol, we have been saying we have a strategic procurement of acetic acid and methanol from global supplier. We have multiple suppliers. We have from China; we have from Europe. We have from U.S. We have from Asia. So that we keep doing from our relationship with multiple suppliers, both methanol and acetic acid.

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Moderator: The next question is from the line of Naresh Vaswani from Sameeksha Capital. Please go ahead.

Naresh Vaswani: So first question on the coal situation, with FSA coal. So, while you said that we have a 5-year contract, I wanted to understand the pricing phenomena. So how often does the price gets revised? And second question is on the CDMO part of your business. So in the annual report, you have highlighted that you have 5 molecules in the pharma and 2 in the agro. So I wanted to understand whether the 7 molecules will start generating revenues when the new capacities come online in the next quarter? And what portion of your capacities, your dedicated capacity will be utilized for these 7 molecules?

Rajesh Srivastava: So on FSA coal, prices are fixed for 5 years. It is auctioned price once, and it is fixed for 5 years. So that's the benefit. So there is no negotiation. There is no change in price for 5 years. On your second question on CDMO, there is continuous working to improve our pipeline. We explained in earlier calls that we had 5 products at commercial scale in pharma and 2 products at

commercial scale in agro. That number has changed now. We have now 7 products at commercial scales in pharma and now about 3 products in agrochemicals. Now in addition to this, we have almost 10 to 12 products in pipeline, which are under development with the customer with pharma, and there are about 3 to 4 production agrochemicals. So, this is a continuous exercise to offer these new products to customers.

And as and when customers' product gets commercialized, we start realizing our revenue. Now in your last question, how much we are utilizing capacity, very difficult to give you in percentage of the overall capacity. But let me tell you, we are fully utilized all our dedicated CDMO capacities. And this is the reason the 2 non-GMP capacities are getting ready in this quarter, which again will give us the revenue increase of CDMO business, and the demand increase of volumes will be serviced from those new capacities.

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And also, GMP, when we will be ready this quarter will be utilized for the increased volumes of the existing products as well as these new products which we have efficiently comes.

Naresh Vaswani: So sir, you expect that given the strong pipeline you have, these capacities would get utilized within a short period of time within 2 quarters, let's say?

Rajesh Srivastava: Absolutely. You are very right. I mean, I would say we always keep some extra capacity because CDMO business is a very strong business as of today in India for us. So we will keep some extra capacity. And therefore, as we have announced in our capital investment plan, if you see, we have one more large GMP capacity to be approved, which we will do as soon as we realize these volumes, which we will build up this quarter. So it's ongoing. We are keeping a very close watch on the demand and take a decision promptly to add capacity.

Naresh Vaswani: And one last question on this. So, will it be possible for you to tell us what contribution within the Specialty Chemicals is driven by the CDMO business currently?

Rajesh Srivastava: As we have been telling that it is in the, let's say, close to a double-digit percentage of our total Specialty Chemicals revenue, which is now going to improve significantly when these pipeline products will come.

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: Just

2 quick questions, sir. One, if I look at your Specialty Chemicals business and assume the COGS to be only raw materials and power and fuel, basically, what would be the ratio between raw material and power and fuel in your COGS for Specialty Chemicals only.

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Rajesh Srivastava: So, if the cost is INR100, our power and fuel will be in the range. So, it depends on the price. Right now, it will be in the range of 15% to 18%. Usually, it should be 10% to 15%.

Tarang Agrawal: That is power and fuel, correct? And the rest will be raw material, correct?

Rajesh Srivastava: Yes. Yes. And this is no 10% to 15% of the cost of the product, not on revenue part.

Tarang Agrawal: And second question, sir, I mean, the impact of coal at some point, you alluded to about INR140 crore for H1. And the other participants, you mentioned that in Q1, it was INR40 crore, INR45 crore. And in the second quarter, it was roughly INR50 crore, INR55 crore so INR100 crore. So I think I'm a little confused here sir.

Rajesh Srivastava: Yes, yes. So I explained this, now I explain again. So the impact is 2 parts. One is the specific to us that is FSA part. FSA part is almost INR140 crore for

H1. There is an additional cost increase of coal, which is for everyone. The last year, the price was INR6,000 a tonne, Today, it is INR12,000 a tonne. That is additional impact to us to the tune of INR70 crore, INR80 crore, but that we have already passed on in our pricing. So therefore, just for your understanding, you just count this INR140 crore. Forget the other number because the other number in any way, we are taking it passing on to our pricing.

Moderator: The next question is from the line of Bajrang Bafna from Sunidhi Securities. Please go ahead.

Bajrang Bafna: So sir, my first question pertains to as you have pointed out in your opening remarks that you are parallelly working on some offer in terms of going to alternate energy sources. And I have been tracking a lot of companies who have already entered into solar contract on OpEx model for next 25 years
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at a rate of close to INR5.5 to INR6. And without investing a penny, that is something which is available to your competitors also in the northern market. So are we thinking something on those lines? And if yes, by when we can expect this to flow to us and what percentage we are targeting to, let's say, migrate from the coal-based sourcing to, let's say, the renewable of the solar power and energy sourcing because it fits in our green team as well. So if you could highlight that it would be really helpful.

Rajesh Srivastava: So, first thing is that you are right. Solar is one of the sources, which we are very seriously working on. And we already have started solar sourcing in one of our sites that is in Maharashtra. We are working very seriously to start in Gujarat. We are working very seriously to start in UP. So you are very right. That is one of them. Now your second question, what percentage? Now as you know that we are generating our own power in Gajraula, and we plan to generate our own power in Bharuch. Now to that extent, this cost will be cheaper because we'll be generating our own power. If we consider all that, our solar percentage, let me give you this number a little later. But just be rest assured, we will be doing the best possible solar combination in our energy sourcing. And you must have seen about 2 or 3 quarters before, we have made an announcement with that Neerasourcing. So obviously, gradually, as and when we proceed towards the maturity of these discussions, we will bring it up to you. We will inform you.

Bajrang Bafna: So maybe in FY'24, we will have certain portion.

Rajesh Srivastava: Sorry, I missed that point. So, on timing, you are very right, give us about 9 months to 12 months. I think we'll be very clear and matured with our mix of energy sources.

Bajrang Bafna:

And sir, my second question pertains to your Specialty business. If we try to understand it, like we are as and when we are able to get the coal cost
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under our control, will be back to 20% plus margins, and we are at a base of, let's say, INR1,500 crore kind of top line. So now we have earmarked Diketene, where we are targeting 100% utilization probably by the end of this financial year, then we have 2 projects in the CDMO and the multiple purpose CDMO which are going to go operational. So is it this immediate near future maybe in next 12 months perspective, where do you see the INR1,500 crore base will shift? I know that you have already given a long-term target of INR9,500 crore top line by FY'26 and close to, let's say, the 20% kind of margins. But if you want to model it for, let's say, FY'24, where this base you expect because you are already entering into certain near to long-term contracts. So what is the visibility on the revenue side, will be really helpful?

Rajesh Srivastava: So, if you see the revenue side visibility, it's very clear, as we have been saying every time that whatever we are making investment. So, let's say, we have announced INR900 crore investment already committed. As and

when these capacities come on ground, we will give return of this asset investment to be close to 2 plus so that you can keep adding very, very clearly. So, as and when we bring the capacity, that revenue, it takes about a year time to bring the capacity utilization to the tune of 70% to 80%, 90%. So that time if you give that revenue keep adding. On our volume performance, obviously, these capacities we are bringing based on the requirement of existing products as well as new products. So just to be rest assured that as soon as the capacity comes in few quarters, the capacities are really utilized to an optimum level. So that should not be a challenge.

Bajrang Bafna: So I know, sir, this is sort of declarative but just to be precise on the number side, can we expect, let's say, on this base of INR1,500 crore by the end of Q4 of this year will be at least 15% to 20% higher and maybe next year, again, we can build up this kind of growth, especially on the Specialty business?

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Rajesh Srivastava: Very difficult to give these guidelines because most of these revenue numbers I am really hesitant to give guidelines because revenue is impacted based on the input prices. But we can definitely give guidelines on volume. So as I said, as soon as the capacities come, we will utilize the volume. But what happens to the raw material price, I don't know if you have any model, please let us know. We will be building up. But at least we don't have any model. Because raw material prices are changing so drastically, like methanol is changing, acetic acid is changing. So like acetic acid last year acetic acid was \$1,000. Today, acetic acid is sitting at \$550. So how can I give guideline on the revenue?

Bajrang Bafna: You can tell us; volume will also be okay. We don't mind even getting that.

Rajesh Srivastava: Volume, very clearly, I told you as much investments are coming, those volumes will be in 3 to 4 quarters will be utilized. Every investment we are making, once it comes on ground, we give a return of asset investment to the close to 2 plus. That will happen.

Bajrang Bafna: And just sir, my last question on the B3 side. Yes. Just on the B3 side, can we see the stabilization of business from this quarter? Or this still we might take 1 or 2 more quarters to get it stabilized?

Rajesh Srivastava: I have said it in the last question, in fact somebody asked the same question, I said the normalization, we can expect full normalization we can expect Q1 next year, but things are improving. This quarter, volumes are improving. Next quarter, further volume will include, but full normalization will happen in Q1 next year. Having said so, the overa

ll normal situation you will see in Q1 only. Because it will take time for inventories to liquidate. It will take time for demand to come to the normal position. But things are improving. So, from last quarter, this quarter is improving and of course, Q4 will also improve. But normal situation, we are very hopeful that Q1 next year should come.

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Moderator: Thank you. Ladies and gentlemen, that will be our last question for today. I now hand the conference back to the management for their closing comments. Thank you, and over to you.

Prakash Bisht: We thank you all for joining this call today. We hope we have been able to answer your queries. For further clarification, we will request you to contact our Investor Relations team. Thank you once again for your interest in Jubilant Ingrevia. We wish everyone a very happy and prosperous Diwali. May the coming days add warmth and joy to you and your sunny lives. Wishing safe celebration to you all.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Jubilant Ingrevia Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

Call: Feb 2023

February 04, 2023

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investors ' Conference Call for the quarter ended December 31, 2022

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors ' Conference Call for Un -audited financial results for the quarter ended December 31, 2022 conducted after the meeting of Board of Directors held on Tuesday, January 31, 2023.

The link to access the transcript of the earnings conference call is given below:

<https://www.jubilantingreva.com/Uploads/files/8q2consfileEarningsCallTranscript.pdf>

We request you to take the same on record.

Thanking you,

Yours faithfully,

For Jubilant Ingrevia Limited

Deepanjali Gulati

Company Secretary

Encl.: as above

BSE Limited

Floor 25, P. J. Towers

Dalal Street, Fort

Mumbai - 400 001

Scrip Code: 543271 National Stock Exchange of India Limited

Exchange Plaza

Bandra Kurla Complex

Bandra (E)

Mumbai - 400 051

Trading Symbol: JUBLINGREA

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List of Management Attendees

1. Mr. Shyam S. Bhartia, Chairman
2. Mr. Arvind Chokhany, Group Chief Financial Officer & Whole-time Director
3. Mr. Rajesh Kr Srivastava, CEO & Managing Director
4. Mr. Prakash Chandra Bisht President & Chief Financial Officer
5. Mr. Pavleen Singh Taneja, Director Investor Relations

External Participants during Q&A session

1. Tarang Agrawal – Old Bridge Capital
2. Nitesh Dhoot – Prabhudas Lilladher
3. Rohan Gupta – Nuvama
4. Siddharth Gadekar - Equirus Securities
5. Dhruv Muchhal - HDFC Mutual Fund
6. Rahul Veera – Abakkus
7. Pranav Tendulkar - Rare Enterprises
8. Harsh Shah - Dimensional Securities
9. Romil Jain - Electrum PMS
10. Sunil Kothari - Unique PMS

Jubilant Ingrevia Limited
Q3 and 9M FY'23 Earnings Conference Call Transcript
January 31, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Jubilant Ingrevia Limited Earnings Conference Call for the Third Quarter and 9 months ended December 31, 2022. As a reminder, all participant lines will be in the listen-only mode and anyone who wishes to ask a questions may enter '*' and 1 on their touchtone phone, to remove yourself from the question queue you may enter '*' and 2. Should you need assistance during the conference call, please signal an operator by pressing '*' then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pavleen Singh Taneja, Director, Investor Relations, Jubilant Ingrevia Limited. Thank you, and over to you, sir.

Pavleen Taneja: Thank you, Tanvi. Good evening everyone. Thank you for being with us on our Quarter three and Nine Months of Financial Year 2023 earnings conference call of Jubilant Ingrevia Limited. I would like to remind you that some of the statements made on the call today could be forward-looking in nature and a detailed disclaimer in this regard has been included in the press release and Results Presentation that has been shared on our website. On the call today, we have Mr. Shyam Bhartia – Chairman; Mr. Rajesh Srivastava – CEO and Managing Director, Mr. Prakash Chandra Bisht– CFO, Jubilant Ingrevia Limited and Mr. Arvind Chokhany Group CFO, Jubilant Bhartia Group. I now invite Mr. Shyam Bhartia to share his comments.

Shyam S Bhartia Thank you Pavleen. A very good evening to everyone. Thank you for joining us on Q3'FY23 earnings conference call of Jubilant Ingrevia limited.

We are pleased to announce stable performance during the quarter under review, amidst the continuing headwinds of higher energy costs and challenging global market situation. We are also glad to share that the Board has

recommended interim

dividend of 250% i.e. Rs 2.50 per equity share of face value of Re 1 each for the FY'23. This shall result in cash outflow of Rs 39.8 Crore.

We are pleased to inform that our Specialty Chemicals Business revenue grew by 34% YoY and absolute EBITDA grew 15% YoY driven by higher volumes and improved price realization.

In Nutrition & Health Solution Business the demand of Niacinamide (Vitamin B3) continue to be subdued impacting our price realization, though we have improved our volumes sequentially. The flu situation in EU and US regions is still continuing, though the situation is improving in EU region. The demand related challenges of Vitamin B3 are short-term and we continue to remain focused towards improving our presence in food and cosmetics segment.

In Chemical Intermediates Business the revenue on YoY basis is impacted due to lower prices of feed stock (Acetic Acid), leading to lower sales prices of Acetic Anhydride and Ethyl Acetate. However, we continue to improve our volumes and market share of Acetic Anhydride globally.

The company has firm plans to significantly reduce overall energy cost in phased manner through various initiatives by sourcing power from Grid and renewable sources, optimizing coal consumption through efficiency improvement in consumption

as well as in generation. We continue to focus on our growth plans through new products and platforms and we are committed to deliver robust growth in the future. With this, I now handover to Rajesh to discuss about the business in detail, before that on behalf of the entire Team Jubilant, we wish all of you, a very joyful and prosperous New Year..

Rajesh Srivastava: Thank you, Mr. Bhartia. A very good evening to all of you. , At the outset let me welcome you all for joining us today for Q3 FY23 investor call of Jubilant Ingrevia Ltd. I sincerely hope that you and your loved ones are keeping very well.

Let me now take you through the financial & operational performance of Jubilant Ingrevia Limited for the third Quarter of this financial year. Revenue during the quarter was Rs 1,158 Crore. Overall Revenue de-grew by 10% YoY basis, mainly on account of lower sales performance by Nutrition & Health Solutions, driven by lower demand due to swine and bird flu in EU and US regions and Chemical Intermediates business riven by lower price of Acetic Acid leading to lower realization. EBITDA is at Rs. 158 Crore. Though Specialty Chemical EBITDA improved, However higher energy cost due to non-availability of contracted Coal, lower volumes offtake of Vitamin B3 has impacted EBITDA adversely, while Specialty Chemical business volumes have grown significantly along with the improved pricing.

As mentioned by Mr. Bhartia, to minimize the risk our energy cost increase due to increase in coal price in future, we have prepared detail plans to work towards various initiatives to source power from Grid (at Gajraula) and from Renewable sources at all our sites. We have also prepared detail plan and initiatives including digital

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interventions to optimize coal consumption through efficiency improvement in consumption as well as in generation. These plans will start giving benefits in phased manner

Now let me take you through the updates on all our three business segments. During the quarter revenue of Specialty Chemical Business was at Rs 468 Cr, witnessed a YoY growth of 34% and EBITDA was at Rs 87 Cr witnessing an absolute YoY growth of 15%. Specialty Chemical Segments, Absolute EBITDA increased by 15% mainly due to higher volumes and better price realization. EBITDA Margins remained lower mainly due to higher cost of coal compared to same period previous year. Our Business team have been successful to pass on most of the raw material cost and also partially increased energy cost, although during the quarter we witnessed softening of imported coal prices

Specialty Chemicals revenue grew mainly on the ground of higher volume across major product segments and improvement in price realization. We continue to observe positive traction of demand for our other Specialty chemicals from both domestic as well as international customers. We continue to witness higher demand of our Pyridine and it's

derivatives from Chinese customers as well.

Our CDMO Pipeline is healthy and progressing positively. Our new GMP and non-GMP facilities project are slightly delayed by couple of months and are expected to be commissioned in next two months' time frame.

Nutritional Business revenue was at Rs 132 Crore which witnessed de-growth by 39%, on account of continued lower demand scenario owing to excess inventory across the value chain , primarily led by continuation of Avian and Swine Flu in Europe and US markets. , Demand continued to remain impacted also due to geo-political situation in Europe and severe covid restrictions in China.

EBITDA and EBITDA margin was significantly lower mainly on account of lower sales volumes and price realization of Niacinamide. We continue to increase our presence of Niacinamide (Vitamin B3) in Food and Cosmetics end-use segment.

Our Domestic business of Choline Chloride (Vitamin B4) as well as it's Specialty premixes have grown in volume and value both on YoY as well as QoQ basis. We have also seen positive traction of demand from South East Asia for our Choline Chloride (Vitamin B4) and it's Specialty premixes..

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We believe these challenges to be short term and remain positive on the prospects of Niacinamide (Vitamin B3) business in the medium & long term, and we aspire to retain our leadership position in global market

Revenue from Chemical Intermediates Segment was at Rs 559 Crore, down by 23% on YoY basis, mainly driven by lower price of feed stock (ie Acetic Acid) leading to lower realization of finished products i.e. Acetic Anhydride & Ethyl Acetate EBITDA in Chemical Intermediate segments stood at Rs 71 Crore, due to normalization of domestic market condition in Q3 FY'23 vs same quarter Last Year. We continue to grow our volumes to increase our market share and maintain leadership in domestic market as well as in international market, mainly in Europe and South East Asia. Global demand of Acetic Anhydride continues to grow in several use segments and there is no new capacity coming up globally, while we continue to leverage our capacity from existing as well newly built plant.

Further, our upcoming Acetic Anhydride plant at Bharuch is nearing completion and is expected to be ready during Q4'FY23. For Ethyl Acetate we remained focused towards our key strategic customers.

Our Specialty Chemicals segment would continue to grow. Overall our FY'23, full year performance expected to remain in line with our last three quarters.

We are fully committed towards our growth aspirations and we are excited to realise the emerging opportunities through our ongoing Growth Capex plan, which we have now improved from earlier Rs 2,050 to now Rs 2,275 Crore during FY'22 to FY'25 Period.

We continue our efforts towards improving our revenue mix of Specialty and Nutrition segments to 65% by FY'27 from 44% in FY'22 and we believe this to be a key driver for overall EBITDA and Margin improvements.

With this, now I hand over to Prakash to discuss the financials.

Prakash Bisht: Thank you, Rajesh. A very good evening to everyone and thank you for joining us on Q3 FY '23 Earning Conference Call. I would now highlight the Company's financial performance during the quarter and nine months ended 31st December, 2022.

Revenue from Operations during the Q3'FY23 was at Rs 1,158 Crore as compared with Rs 1,286 Crore in Q3 last year, witnessing a de-growth of 10% on YoY basis. Similarly, Revenue from Operations during the 9M'FY23 was at Rs 3,628 Crore as

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compared with Rs 3,654 Crore during the same period last year, witnessing a marginal de-growth of 1% on YoY basis.

The EBITDA during the quarter was Rs 158 Crore as compared with Rs 222 Crore in Q3'FY22, witnessing a decline of 29% on YoY basis, the margins stood at 13.7% in Q3'FY23 as against 17.3% in Q3'FY22. Though Specialty Chemical EBITDA improved, the overall imp

act is mainly due to significantly lower profitability in Nutrition business and non-availability of contracted coal leading to higher energy cost. Similarly, EBITDA for the 9M'FY23 was at Rs. 469 Crore as compared with Rs 712 Crore during 9M'FY22, margins were at 12.9% during the 9M'FY23 as compared with 19.5% for the same period last year. The EBITDA is impacted due to lower volumes offtake of Vitamin B3, Chemical Intermediate segments EBITDA normalization, and higher input costs impact in Specialty chemical business due to non-availability of contracted coal.

Depreciation & Amortization expense during the quarter was at Rs 30 Crore. Finance cost during the quarter was Rs 6.7 Crore versus Rs 4.9 Crore in Q3'FY22, interest cost was higher mainly on account of increase in the interest rates and higher utilization of working capital facilities. Net debt was at Rs 352 Crore at the end of Q3'FY23 and blended interest rate as on 31st December, 2022 was 7.03%.

The tax expense for Q3'FY23 were at 30 Crore. Tax expense for the quarter is lower on account of certain onetime true ups. The company remains under the old tax regime during FY 23 and the ETR is expected to remain around of 31% for full year. PAT during the quarter was at Rs 92 Crore, as against Rs 129 Crore PAT in Q3'FY22, witnessing a decline of 29% on YoY basis due to lower EBITDA. Similarly, PAT for the 9M'FY23 was Rs 256 Crore, as against Rs 408 Crore PAT in 9M'FY22.

Net Debt to EBITDA ratio was at 0.57 times, on the basis of trailing Twelve Month EBITDA. The Net Working Capital %age" & "Number of Days of working capital" for

Q3'FY23 on the basis of Trailing Twelve Month's Turnover were at 19.4 % & 71 Days respectively.

Increase in Net Working Capital is driven by strategic decision of inventory building of certain products and temporary lower creditors due to procurement of Domestic Ethanol.

The capital expenditure during the quarter was around. Rs 148 Cr

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With this, I would like to conclude our opening remarks. We will now be happy to address any questions that you may have.

Moderator: The first question is from the line of Tarang Agrawal from Old Bridge Capital.

Tarang Agrawal: Three questions from me. One, if you could give us the volume growth across each of your segments for this quarter. Second, in the press release, I noticed that there's a comment around Specialty Chemicals' garnering a lot of traction in the agrochemicals segment. So if you could give us some sense on what proportion of Specialty Chemicals business was from agro customers for 9-month FY '23, and what was this number for 9-month FY '22. And the last question is on power and fuel. You alluded to cost softening, so how should we look at it going forward for Q4 and probably subsequently from Q1 next year onwards?

Rajesh Srivastava: So Tarang, on your first question of volume growth, as you can see that the volume growth has come clearly from Specialty Chemicals business and in Nutrition and Health Solutions business, we have informed that there is a degrowth in volume both year-on-year as well as quarter-on-quarter. In Chemical Intermediates, the volume degrowth overall basis, but on acetic anhydride, we have grown in volume. Other than the Nutrition & Health Solutions business, the volume consistently is growing in Specialty Chemicals as well as acetic anhydride since Nutrition and Health Solutions business, niacinamide situation has not improved, we are not in a position to grow volume.

On agrochemical business is close to 40% of our Specialty Chemicals business. This is almost same in quarter-on-quarter as well as year-on-year basis. On power and fuel, regarding this Q2, we have seen little bit softening of coal prices of import and there is a slight benefit. But in Q4, we are expecting a little more benefit because of two reasons. One is, the coal prices are also coming down in import, as well

I as we

have now got some clearance of our contracted coal with road transportation. So there will be some benefit of cost of FSA.

Tarang Agrawal: Sir, just one question for volume growth. I was actually looking at numbers, specifically for each of the segments.

Rajesh Srivastava: Yes, I explained to you that in Specialty Chemicals, we have grown both quarter-on-quarter as well as year-on-year in volume. In Nutrition and Health Solutions, we have not grown, particularly on niacinamide, though we have grown in vitamin B4 choline chloride. On acetic anhydride, we have grown in volume both quarter-on-quarter as well as year-on-year. But ethyl acetate is not a focus product. We sell only when we

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get sufficient margin, and that's where you see the reduction in volume. We have not sold much.

Moderator: The next question is from the line of Nitesh Dhoot from Prabhudas Lilladher.

Nitesh Dhoot: So my first question is on the Specialty Chemicals. There is a sequential revenue decline in Q3. what is that on account of? Is there a sequential volume decline or a price decline? What exactly it is?

Rajesh Srivastava: The revenue decline on sequential basis is purely on product mix. We have almost 60 to 70 products in our Specialty Chemicals segment, in some quarter, a product mix, gives you little bit of lower revenue, but that doesn't mean that volume has not grown. So as I said, volume has grown. But there is a product mix change, which changes the price realization, but does not changes the EBITDA and volume.

Nitesh Dhoot: On the domestic sales for Specialty Chemicals, that has declined from INR 197 crores to around INR 164 crores. are we facing any pressure in the domestic market? What

would be the status of our Diketene derivatives plant there? What will be the utilization currently?

Rajesh Srivastava: Yes. So you are very right. In current situation, we are facing a very low demand in Diketene derivative, now, we can see a positive traction happening in Diketene derivative this quarter. Last quarter, we have seen Diketene demand being lower, but that's an opportunity for us to grow our revenue in domestic market through Diketene, which we can see in this as well as with other products.

Nitesh Dhoot: And sir, on the EBITDA. if you see there is a sequential increase in the Specialty Chemicals EBITDA and the margins have come up to 18.6%, and this is despite the coal availability not easing. How did we manage to increase the margins in the Specialty Chemicals segment, can you give some color?

Rajesh Srivastava: Yes. the increase in EBITDA has come from volume. Secondly, we also mentioned in the last call that though we are not in a position to do anything on coal cost, but we are definitely working with customer to pass on the cost to our customers. And somewhat, we are successful to partially pass on that cost increase, and therefore, the EBITDA margin improving. Going forward, both, we will see the softening of coal prices as well as the realization, which we have now taken the price increase on which customer will give us better result in future.

Nitesh Dhoot: Sure. Sir, just one clarification. So if I remember in our previous discussion, imported coal price movements are generally a pass-through, it is the difference between the FSA coal price and the imported coal price, which is in a way a benefit for us. And if

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the FSAs availability is not easing, so does it really have any benefit for us? I mean, the imported coal prices going down?

Rajesh Srivastava: Yes. as we have been saying that our contracted coal issue is only at our one site, which is Gajraula, and all other sites are based on imported coal. Now in Gajraula also, we partially have imported coal. So the impact in the Gajraula products is there. But I also mentioned that we are in a position to partially pass on the cost increase, even in Gajraula for our contracted coal

I. And therefore, you see the EBITDA improvements in Specialty Chemicals.

Nitesh Dhoot: Sure, Sir, next is on the energy efficiency projects that you have highlighted in the presentation and the debottlenecking projects. What kind of margin benefit that we can expect from this? What will be the quantum of investments going into these energy efficiency projects?

Rajesh Srivastava: So honestly speaking, there is not large investment in these projects. These are mostly business excellence projects. These projects are actually in the four segments. One, wherever our cost of generation of power today is higher with our own generation versus grid like in Gajraula, we are opening up to the grid, which will give us savings. Number two, we are going to improve efficiency of operation through the digital intervention. So we are taking a very major program of digitalization in all our energy production that will give us the benefit.

And third, we are also working on how to minimize the consumption side in the product. So combining all these excellent initiatives we are gradually, phase wise, going to get benefit of these programs, apart from going green in solar, which is the fourth initiative, which we are talking about in energy savings. These four initiatives in business we have planned which is going to be in phased manner. Some of the initiatives will start giving results in couple of quarters and some initiatives might take longer time because we need to make investments and take the benefits later.

Nitesh Dhoot: Sure. But I mean, can this be quantified in terms of like 100 to 200 basis points of margin improvement in the Chemicals business or maybe, if you can just highlight that?

Rajesh Srivastava: Yes. Once the entire program is implemented, then this is going to be a significant benefit. Unfortunately, I am not in a position to give any number because we are still working with our partners to put down these numbers on a hard basis. Maybe after couple of quarters, I will be in a position to give some indication of numbers. But I can assure you this is going to be a significant improvement in our overall profitability if we are in a position to implement all these initiatives.

Nitesh Dhoot: Right -- sorry if I'm repeating. But I mean on the FSA, we had earlier expected that from January onwards, the availability will ease, but it doesn't seem that much of benefit has started coming in. What is our view there? Do we see this in a quarter's time or what exactly are you envisaging over there?

Rajesh Srivastava: So based on our discussion with various agencies, we don't see this FSA to be 100% clear in next couple of quarters. But having said, I am pleased to inform you that from Q4, we are now allowed to take contractual coal at the contractual price from road transportation. We are going to get benefit in our cost but not 100% benefit. This quarter onwards, you will see the benefit in our cost, in our coal in Gajraula. But as per our information from various sources, we don't see the full FSA benefit coming to us neither in this quarter nor in next quarter unless there is a very huge production of coal and availability. Actually, the major issue is happening, in availability of rail transportation. Government is also working very aggressively to make the rail available for the industry. If they are successful to do it in next 2 to 3 months, probably we'll get the benefit. But at least I don't see in next 3 to 4 months. I think major relief has happened because we have got this clearance to get our contractual coal with road transport. So that's the benefit we will start getting from this quarter onwards.

Nitesh Dhoot: Sure. So in that case, would it be fair to assume 18.5%, 19% kind of sustainable margins for Specialty Chemicals? Would that be a fair understanding, till the time the energy efficiency projects don't come up fully, so would that be a fair

understanding?

Rajesh Srivastava: Nitesh, this is the discussion we had also 3 months before, you see margins are improving. The reason is we are not stopping our realization, we are trying to recover the cost increase from our customer, from the products we can recover ourselves. I don't make any commitment on the margins that it will not improve because it will all depend that if we can realize better pricing in our product, we can meet all the volumes projections, probably we should be improving.

Moderator: I'm sorry to interrupt you, Mr. Nitesh Dhoot, If you have any follow-up questions, we request to please come back in the queue. Next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Sir, first question is on your Nutrition & Health Solutions business. So we understand that there is a high inventory scenario, but I think that the impact on revenue is slightly less than what impact we have seen on the profitability or segment EBIT, which has come down to drastically to INR 5 crores, while Nutrition & Health Solutions have seen some revenue improvement on Q-on-Q basis. So is there any inventory losses

we have booked? Or it's a just a cleaning up the inventory at a lower prices which is impacting the profitability or the overall realization itself has come down? So what is the reason for such a sharp fall on EBITDA or EBIT on the Nutrition & Health Solutions?

Rajesh Srivastava: Last quarter, when we started, the pricing was not as bad as what we saw at the end of the last quarter. So therefore, the margins of last quarter are better. Having said your observation on revenue increase is correct. So this quarter, we have sold a little higher volume of Niacinamide. The reason that we are getting our customers' requirement, wherever we are selling on a positive contribution, we want to take the orders. And some improvements in volume in this quarter has happened. In Q4, we still estimate that our situation of volumes would be better as well as in this quarter, we are estimating price should also improve because last quarter, there were multiple problems. #1, the swine flu and avian flu in US and Europe. The lesser impact was also from China consumption was much lower because China had big restrictions because of COVID. The China is getting opened up last month and the China demand is improving and which is actually making the whole nutraceutical segment a little bit positive, even though the flu situation has not improved. It was lower in Q3, but we see Q4 becoming little better than Q2, that's what we estimate.

Rohan Gupta: So sir, unlike Specialty Chemicals, are there any cost increase we are trying to pass it on? Nutrition & Health Solutions business is seeing a steadier margin pressure and the prices are still significantly lower than what it used to be. Just wanted to

understand that how Nutrition & Health Solutions business pricing works with the end customer? And how you decide on the margin strength, it is just completely driven by the demand supply scenario? Or you see there is some cost-plus element there?

Rajesh Srivastava: So Rohan, good question. So our Nutrition and Health Solutions segment, we have 70% of our revenue of Nutrition and Health Solutions segment coming from animal feed industry, and 30% comes from Food and Cosmetics and others. 70% animal feed is impacting our volume and revenue because of demand.

It is demand and supply situation. But our efforts for future is to reduce this dependency on animal feed of Nutrition and Health Solutions business to more Food and Cosmetics, so that we can balance out, This kind of impact does not come in revenue and profitability. Currently, it's demand and supply situation, which impacts our volume as well as profitability.

Moderator: I am sorry to interrupt, sir. Maybe if I could request you to please come back in the queue. The next question is from th

e line of Siddharth Gadekar from Equirus Securities.

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Siddharth Gadekar: So just wanted some color in terms of we had announced a long-term contract for CDMO of INR 270 crores over 3 years. What is the status of that project?

Rajesh Srivastava: We are servicing that contract. The volumes of that contract will start increasing from this quarter end onwards. And the new capacity of GMP which we are building up, for that contract. And in fact, the overall CDMO traction, is not only with that contract also with other products as well, and are showing a positive result. We are expected to see a better performance of our GMP facility which we are building up, will be ready in the next couple of months' time. So that is on track, and we are servicing it on time.

Siddharth Gadekar: So basically, FY '24, we can see the entire INR 90 crores coming in from that project?

Rajesh Srivastava: So you are saying that FY '23 annual revenue, yes, it should come full, because that's the capacity we are building up, correct.

Siddharth Gadekar: Okay. Got it. Sir, and secondly, now in terms of Diketene, what kind of capacity utilization can we expect in FY '24 and FY'25?

Rajesh Srivastava: For FY '24, with our current estimates, we are planning to utilize to 70% to 75% of capacity.

Siddharth Gadekar: And the non-GMP plants also will be at similar levels in FY '24, they will take time to ramp up?

Rajesh Srivastava: Yes. As of now, it looks like that. But never know, if demand improves, we can even utilize better.

Siddharth Gadekar: Sir, the last question, in the Nutrition and Health Solutions segment, have we changed any capex because we are looking at some cosmetic-grade vitamin B3 as well, which was not there before. Is this something new that we have announced?

Rajesh Srivastava: Yes, very right. And that's what I mentioned to Rohan also that in Nutrition and Health Solutions segment, our endeavor is to improve our presence in non-animal feed segment more. And therefore, we are bringing up more capacity of cosmetic grades. In my last 3 quarter statements, I have been saying that our focus on food and cosmetic is increasing, and we are getting a very positive traction. Our demand situation of cosmetics and food has improved, and we are adding capacity there. So that we will actually make announcement very soon about the new capacity investment.

Above that, we also have plans on vitamin B4, which we currently have in animal feed segment. We are also going to have vitamin B4 for Food segment. Once we are

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ready, we will have a shift in our 70:30 ratio to close to 50:50 ratio of animal feed and food and cosmetic segment. So you are very right. You have correctly assessed it. We have additionally made the investment plan for the nutraceutical segment because that is going to give us much more sustainability and resilience to our profitability and revenue going forward.

Moderator: The next question is from the line of Dhruv Muchhal from HDFC Mutual Fund.

Dhruv Muchhal: Sir, the question probably is a bit repetition of the earlier question. If you can probably share the volume numbers for the Specialty Chemicals segment for this quarter and the 9 months. The reason I'm asking is also because for the 9 months, it seems you have grown about 40% - 50%. And I'm just trying to understand, does this largely volume-driven, does this pose any limitation in terms of the base business growth for the forthcoming years? Because I'm just trying to understand, are we probably filled up for the producing capacity that we have with this kind of volume growth?

Rajesh Srivastava: Yes, your assessment is correct. It is the overall Specialty Chemicals, including the pyridine volume. There is an increased volume of pyridine, and pyridine derivatives and therefore, you see the significant improvement in volumes of Specialty Chemicals. Now on your point whether it will have

an impact going forward, we don't

see that because the overall volume scenario of pyridine and pyridine derivative is still, it stands strong. We have a huge capacity upgrading in plant, as we already stated earlier, and we are still utilizing about 70% - 75%, not more. We still have capacity. If the demand comes, we will be in a position to take it up more.

Prakash Bisht: So just to add on to what Rajesh sir is saying, in the capex plan also, you would see that one debottlenecking for pyridine, that will also add to the capacity.

Dhruv Muchhal: Okay. I was coming to that. Great, sir. So at current after the 9 months volume growth, which I believe could be probably 20% the pyridine capacity will be 70%, 75% utilized?

Rajesh Srivastava: Yes, correct. And remember, this overall volume growth is from existing products as well as from new products. So we announced capex, which you see in our presentation, we have continuously debottlenecking capex and capital investment which happens regularly, which normally we don't announce. Because we keep doing it based on the customer demand of our existing products.

Dhruv Muchhal: Sure, sir two quick questions, as your two cGMP plants, one cGMP, non-cGMP both are coming in the next quarter. So wanting to get some better understanding in terms of the visibility of ramp-up. Probably one often sees in the industry that they have contracts in hand based on which the ramp-up visibility is there. So just wanted to get your sense also in terms of the visibility for the ramp-up of these capacities. I mean

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do you have contracts? Or are these established products? are the products already developed so that you only have to market it once the capacities are ready? Just trying to understand to get a better visibility on the ramp-up sir?

Rajesh Srivastava: I've already stated in the last question that the cGMP plant, which we are building up is based on our new demand and new orders, which we have already got it. There was actually additional traction and therefore, we took little bit more expansion of the existing facility. There is a delay of about 1 or 2 months. Hence, the utilization of cGMP plant is going to be in a very good situation, as we stated earlier. The first year, will see a utilization of more than 70% of cGMP plant. And the same is true for non-cGMP plant because cGMP is utilized for the more value-added products and non-cGMP is utilized for the early derivatives and intermediates.

Both plants are going to be utilized as per plan. We have a strong order situation. As soon as the plant will come next year, we will have a good traction of utilization close to 70% to 75%. In next 2 to 3 years we will reach close to 85% - 90%.

Moderator: Sorry to interrupt you, sir. If I could request you to please come back in the queue.

We'll move to the next question from the line of Rahul Veera from Abakus Asset Managers.

Rahul Veera Sir, a very interesting comment that you've given in the presentation that FY '23 year will largely be similar to the past 3 quarters. Sir, given the improvement in coal costs plus the ramp-up in the CDMO, I mean, shouldn't there be a very sharp improvement sequentially? I understand you have mentioned that it's going to be very marginal in terms of coal cost improvement, but I still believe there could be a much better opportunity, right?

Rajesh Srivastava: As I said, in coal cost, it is a marginal improvement. Also, I stated that nutraceutical business, we don't see much improvement. In Specialty Chemicals there is improvement. So when I say it will be in line with last 3 quarters, I don't know what you understand, but I'm not saying that we'll be significantly higher or better than what we have been doing in last few quarters.

Rahul Veera Okay, Fair point. And sir, the incremental capex that we have given from INR 2,000 crores to INR 2,275 crores now in the presentation, this is largely going

towards the
debottlenecking only?

Rajesh Srivastava: No. it's about three things. One is debottlenecking, secondly that we are adding a new capital plan for nutraceutical vitamin B4 for food business, about INR 100 crores increase in nutraceutical segment and debottlenecking. Third, we are also having the R&D expansion because of our good CDMO traction. So we are having some R&D

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investment plan, which we have highlighted in increased investment plan. Of course, debottlenecking is part of that.

Moderator: The next question is from the line of Pranav Tendulkar from Rare Enterprises.

Pranav Tendulkar: Sir, I just wanted to ask two questions. About Diketene plant, have we started commercial sales? And has the production quality been accepted by general market?

And if it is, then what is the 100% utilization revenue potential for this plant at current price? Also second question is that, if the rake availability improves and government, allows railway rakes, then how much of the saving could be done in the energy costs?

Rajesh Srivastava: So three questions. I think number one question was on your nutraceutical, I believe. Can you just repeat your first question?

Pavleen Taneja: Sir, the first question is the quality of Diketene, then capacity utilization and quality of Diketene.

Rajesh Srivastava: We have told you that we have already started selling the Diketene. But unfortunately, because of the lower demand, we were not in a position to utilize the plant. But now we see the demand is improving, and therefore, we are very confident that next year, we should be in a position to utilize, about 75% to 80% or 70% to 75% of the capacity. Now second question on your FSA coal. Now if after the road transportation, which we have just got cleared, if we convert that to total FSA coal on a quarter basis, I think we should be in a position to add about about INR 15 crores to INR 20 crores of EBITDA further, if that happens.

Prakash Bisht: That's right.

Pranav Tendulkar Right. So in current Diketene plant, revenue potential is how much?

Rajesh Srivastava: So we have a capacity of 8,000 tons. It's difficult to give a price commitment. There are three products, and each of these products are ranging from a price of INR 150 to INR 200 or sometimes it is more. Based on that 8,000 tons capacity, you can calculate the revenue. But it also depends that which product maximize your revenue and profitability.

Pranav Tendulkar Right. So \$100, \$150 per ton?

Rajesh Srivastava: No, this is INR. We had been saying, that the Phase 2 of Diketene is much awaited because this capacity of ours is not for 100% sales, this is for our forward integration of building blocks. We have built up to make value-added products, which I have been talking all the time. Phase 2 investments will come very soon. The realization from

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the existing capacity as well as new capacity is going to be higher, and that's our endeavor not to sell this 8,000 tons only as a commodity or bulk volume. This is beginning to launch as a building block and then add the value-added product which we will bring up very soon, in the Phase 2.

Moderator: The next question is from the line of Harsh Shah from Dimensional Securities.

Harsh Shah: Just revisiting your capex guidance, the first time when we had announced the capex in FY '22, the business outlook looked quite stable, we used to make 16% to 18% kind of margins, even better. But now today, where we stand, with the Europe slowing down, the prices of many of our commodities have eroded quite a bit and demand is sort of struggling, so how confident are you about the expectations with the revenue guidance that you had given for FY'27, that it will come through, because the business dynamics have changed quite a bit over the last 1.5 years?

Rajesh Srivastava: So from where we are seeing, I'm sure you're also seeing the same angl

e, what we

have said for FY'27 is still standing true, and all the investments which we have planned has no change. What is changing is mostly short term, which we have been talking. Number one, Nutrition and Health Solutions business of vitamin B3 is not long

term. This is the first time in last 2 decades, I know this business, this kind of flu has never extended to 2 or 3 quarters. But nevertheless, it is not going to long last. This is one.

Secondly, this energy cost. we are taking lot of initiative apart from getting the government coal contract. I don't see this is longer term. This is going to be sort terms. We will be behind it. Beyond this, I don't see anything which is currently in problem, except for the global situation of demand.

Now the global situation of demand, as we all know, India as far as chemicals is concerned, is definitely on a very high demand. So even though the global recession will happen, Indian companies in chemicals will keep doing good because there is a huge shift which is happening of demand from China to India. We have still not served the entire volume of China. We are still in single digits of percentage which we can take from China. We have a huge opportunity. So I don't see the future as dim as you are trying to explain.

Moderator: The next question is from the line of Romil Jain from Electrum PMS.

Romil Jain: I just want to understand a little bit on fluorination. So I think we are doing some capex on that. So can we know where we are standing right now in terms of our capabilities and whether the capex has started. When do we expect to commission, maybe some details on that? And second question is on the Life Sciences Chemicals. Are we

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seeing some rebound in prices and maybe Q3 was more of a bottom kind of a quarter there?

Rajesh Srivastava: On fluorination, as you can see in our presentation, we have still not committed the capex. The products which we talked about is still under development and scale-up. We hope that next year, will be bringing up that capex. And that time, I will announce to you. On your question on Chemical Intermediates, as I stated, acetic anhydride, our volumes are growing. The reason for growth is that overall demand is increasing, but there is no additional capacity, which are being available globally.

And in Europe, our competitors are not in a position to produce in full volume because cost has gone up. So I see continued positive traction of acetic anhydride demand.

And as you know, we are having the new plant coming up, next quarter, we are very positive about utilization of that plant also in future because of these reasons.

Romil Jain: Okay. Sir, just one question on food-grade acetic acid. So I think that was the plant that we had started. I'd like to know what the utilization is? If you can just point out what kind of revenue are we generating and what broad margins? Do we expect more capacity expansion there, because I think that was a very positive development that was there? So any insights on that?

Rajesh Srivastava: On food-grade acetic acid, we are under the regulatory approval process. We are going to start the commercial supplies from end of this quarter, and we see a good traction of demand from our international customers. So actually, the realization of revenue of food-grade acetic acid, we will see in next financial year because of several regulatory approval process, as well as the FSSAI approval, etcetera, it took about 5 to 6 months' time. We are going to in next 1 or 2 months. Next financial year, you will see the revenue realization of food-grade acetic acid.

Moderator: The next question is from the line of Sunil Kothari from Unique PMS.

Sunil Kothari: Sir, because of this road transportation we've chosen for this transporting coal, will it save INR 15 crores, INR 20 crores per quarter? Will it be effective from current quarter or next quarter?

Rajesh Sriva

stava: No. I think you noted wrongly that from the road, if you get 100% rail transportation, we will have additional benefit of INR 15 crores from the earlier quarter, now when we got road transportation, there is a benefit of about INR 10 crores to INR 12 crores, which we should accrue.

Sunil Kothari: That is per quarter, right?

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Rajesh Srivastava: Per quarter, you're right

Sunil Kothari: Okay. Sir, and second question is, we said that we got little bit ease off in coal prices in current quarter, if you take a percentage of the revenue that has gone up from 14% to 15% the cost, power and fuel costs. Why it has happened, if you can a little bit explain?

Rajesh Srivastava: No, because softening is happening only end of the last quarter. What you will see is this quarter impact, not in Q3. Q3 from beginning, it has been very high. It has just happened in the month of January, let's say, end of December when the softening of prices have happened. So you have not seen the impact of that in the last quarter.

Sunil Kothari: Okay. So both the benefit of road transportation and softening of price, both can materialize in the current quarter and onwards?

Rajesh Srivastava: But remember that any reduction in coal price imported, customers are also smart, they will ask for a pass on. As we take increase in pass on, they will also ask reduction in pass-on. So please don't just calculate in mathematics and highlight out.

Sunil Kothari: Sir, our other expense on top line of same INR 3,600 crores approximate for 9 months, has gone up from INR 336 crores to INR 432 crores, almost INR 100 crores, almost 30%, 35% increase. What is the reason for this, other expenses, I'm talking about?

Prakash Bisht: So Sunil ji, so if you take on the quarters, other expenses...

Sunil Kothari: No, sir, I want to understand for 9 months. Because quarterly, I understand there is some specific reason. But if you take 9 months, it is INR 336 crores, from INR 336 crores it has moved INR 432 crores.

Prakash Bisht: For 9 months, Sunil ji, primarily the reason for increase in other expenses is, a, the freight and forwarding cost has increased; and then it's partially also due to the processing charges and the warehousing charges and repair and maintenance. So these are the 4-5 reasons on account of which the overall other expenses has increased.

Sunil Kothari: Yes. But it is, sub-segments from the same revenue, we have spent INR 100 crores more. That is why I'm just trying to understand. This is we are getting control on any cost or it is going out of control?

Rajesh Srivastava: No, don't worry about control of cost, Let me explain you, last year 9 months, all other costs were based on the volumes which we have sold. The transportation costs, travel costs, repair and maintenance costs, everything is going up because our capacity

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utilization is going up, our new plants are coming up. So all that is going to increase our expenses. But at the same time, you are very right, we are in full control and we have plans to improve efficiencies all over, and this is a continuous exercise. So there are some costs, which this year has gone up like travel etcetera, which is usual because we are back to our normal situation of FY '22.

Sunil Kothari: Sir, my last question is...

Prakash Bisht: Sunil, just to give you a perspective, because I think you are seeing the revenue number as the same. But our volumes have increased, it is just that prices of Chemical Intermediates segment has come down, that is why you see the revenue at the same level. So volume of business has already increased. So the expenses are in relation to the volume of business. So perhaps you are just seeing the same level of revenue, hopefully, you're feeling the expenses are...

Sunil Kothari: You're absolutely correct. Absolutely correct. My request will be, so many people were asking about the volume growth

h. I think on a 64-page PowerPoint presentation, what is the volume growth quarter-on-quarter or year-on-year. I think I'm observing that people are asking about volume growth and we are not able to provide those exact precise numbers. I request, please make it a practice that we should announce or we should announce that we are not going to talk anything about volume. So please follow one practice that is my request.

And sir, my last question to Rajesh ji, sir, basically what we're talking about is we'll be improving our Specialty Chemicals and Nutrition and Health Solutions business to 65% over the next 3, 4 years, and that will give us far better margin and very respectable ROE and ROCE. But looking at this Nutrition and Health Solutions segment situation currently, and I understand this is the first time in this two decade, so are you, comfortable and confident about whatever your thought process and your observation or your strategy to achieve some respectable margin over the next 2, 3 years?

Rajesh Srivastava: So you're asking about revenue or you're asking about margin?

Sunil Kothari: No, sir, margin. Because we are saying that Nutrition and Health Solutions business and Specialty Chemicals will become a major part of our revenue, and that's why we'll be having a very respectable margin.

Rajesh Srivastava: What I can only tell you, of course, it's very difficult to see the future, but it is very easy to make a strategy for future. So what we have done, we have made a very strong strategy. And I'm very confident that all the strategy we have prepared, we are going on track. Having said so, need to realize that there are certain situations which are

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beyond our control like today, we have. Now you may ask that, last year you said this, but you did not see this. The question is, this can happen either side.

So if FY '23 was fantastic year, nobody asked questions. But FY '23 is a tough year, so obviously you have right to ask questions. If this kind of situation happens, it's beyond control. But having said so, what we can do best is, we are trying. If you see our intent, our energy cost is going up, we have a huge plan to bring down overall energy cost. That should give us resilience of any such trouble which we can face in future. So we are continuously changing our strategy to see whatever we are getting short-term impact whether that can be minimized and that's what our intent is. That's what anybody can do the best.

So having said so, I'm very confident that the strategy we have a place should realize the way we are looking at it. And I want to answer that on volume. I think you must appreciate the kind of declaration we give as a Jubilant Ingrevia is much more than anyone else. What we definitely not want to give, you must appreciate Jubilant Ingrevia, which is your company, we have leadership position in many products. And if we start giving volumes number of our product wise, you must appreciate globally, we are faced with many competitors. I hope you will appreciate, we will not have to land up in a situation, so please, please respect our declaration.

And on a different side, if we discuss, I can even talk to you what kind of volume growth we are talking. But on a call like this, if you ask me to give you volume growth product-wise, I think it is too much to ask. You must appreciate the kind of presentation details we had given, you saw all the other companies, whether you get this kind of detail. So please appreciate that.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Prakash Bisht for closing comments.

Prakash Bisht: We thank you all for joining this call today. We hope we have been able to answer your queries. For further clarification, we would request you contact our Investor Relations team. Thank you once again for your interest in Jubilant Ingre

via Limited.

We also wish everyone a very happy and prosperous new year.

Rajesh Srivastava: Thank you, everyone. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

Note: There could be unpublished price sensitive information that would have been shared /discussed during the call and we have shared Audio Transcript to the Stock Exchanges on January 31, 2023 for information of public at large.

Call: Feb 2023

February 04, 2023

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investors ' Conference Call for the quarter ended December 31, 2022

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors ' Conference Call for Un-audited financial results for the quarter ended December 31, 2022 conducted after the meeting of Board of Directors held on Tuesday, January 31, 2023.

The link to access the transcript of the earnings conference call is given below:

<https://www.jubilantingrevia.com/Uploads/files/8q2consfileEarningsCallTranscript.pdf>

We request you to take the same on record.

Thanking you,

Yours faithfully,

For Jubilant Ingrevia Limited

Deepanjali Gulati

Company Secretary

Encl.: as above

BSE Limited

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Dalal Street, Fort

Mumbai - 400 001

Scrip Code: 543271 National Stock Exchange of India Limited

Exchange Plaza

Bandra Kurla Complex

Bandra (E)

Mumbai - 400 051

Trading Symbol: JUBLINGREA

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List of Management Attendees

1. Mr. Shyam S. Bhartia, Chairman
2. Mr. Arvind Chokhany, Group Chief Financial Officer & Whole-time Director
3. Mr. Rajesh Kr Srivastava, CEO & Managing Director
4. Mr. Prakash Chandra Bisht President & Chief Financial Officer
5. Mr. Pavleen Singh Taneja, Director Investor Relations

External Participants during Q&A session

1. Tarang Agrawal – Old Bridge Capital
2. Nitesh Dhoot – Prabhudas Lilladher
3. Rohan Gupta – Nuvama
4. Siddharth Gaddekar - Equirus Securities
5. Dhruv Muchhal - HDFC Mutual Fund
6. Rahul Veera – Abakkus
7. Pranav Tendulkar - Rare Enterprises
8. Harsh Shah - Dimensional Securities
9. Romil Jain - Electrum PMS
10. Sunil Kothari - Unique PMS

Jubilant Ingrevia Limited
Q3 and 9M FY'23 Earnings Conference Call Transcript
January 31, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Jubilant Ingrevia Limited Earnings Conference Call for the Third Quarter and 9 months ended December 31, 2022. As a reminder, all participant lines will be in the listen-only mode and anyone who wishes to ask a questions may enter '*' and 1 on their touchtone phone, to remove yourself from the question queue you may enter '*' and 2. Should you need assistance during the conference call, please signal an operator by pressing '*' then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pavleen Singh Taneja, Director, Investor Relations, Jubilant Ingrevia Limited. Thank you, and over to you, sir.

Pavleen Taneja: Thank you, Tanvi. Good evening everyone. Thank you for being with us on our Quarter three and Nine Months of Financial Year 2023 earnings conference call of Jubilant Ingrevia Limited. I would like to remind you that some of the statements made on the call today could be forward-looking in nature and a detailed disclaimer in this regard has been included in the press release and Results Presentation that has been shared on our website. On the call today, we have Mr. Shyam Bhartia – Chairman; Mr. Rajesh Srivastava – CEO and Managing Director, Mr. Prakash Chandra Bisht– CFO, Jubilant Ingrevia Limited and Mr. Arvind Chokhany Group CFO, Jubilant Bhartia Group. I now invite Mr. Shyam Bhartia to share his comments.

Shyam S Bhartia Thank you Pavleen. A very good evening to everyone. Thank you for joining us on Q3'FY23 earnings conference call of Jubilant Ingrevia limited.

We are pleased to announce stable performance during the quarter under review, amidst the continuing headwinds of higher energy costs and challenging global market situation. We are also glad to share that the Board has

recommended interim

dividend of 250% i.e. Rs 2.50 per equity share of face value of Re 1 each for the FY'23. This shall result in cash outflow of Rs 39.8 Crore.

We are pleased to inform that our Specialty Chemicals Business revenue grew by 34% YoY and absolute EBITDA grew 15% YoY driven by higher volumes and improved price realization.

In Nutrition & Health Solution Business the demand of Niacinamide (Vitamin B3) continue to be subdued impacting our price realization, though we have improved our volumes sequentially. The flu situation in EU and US regions is still continuing, though the situation is improving in EU region. The demand related challenges of Vitamin B3 are short-term and we continue to remain focused towards improving our presence in food and cosmetics segment.

In Chemical Intermediates Business the revenue on YoY basis is impacted due to lower prices of feed stock (Acetic Acid), leading to lower sales prices of Acetic Anhydride and Ethyl Acetate. However, we continue to improve our volumes and market share of Acetic Anhydride globally.

The company has firm plans to significantly reduce overall energy cost in phased manner through various initiatives by sourcing power from Grid and renewable sources, optimizing coal consumption through efficiency improvement in consumption

as well as in generation. We continue to focus on our growth plans through new products and platforms and we are committed to deliver robust growth in the future. With this, I now handover to Rajesh to discuss about the business in detail, before that on behalf of the entire Team Jubilant, we wish all of you, a very joyful and prosperous New Year..

Rajesh Srivastava: Thank you, Mr. Bhartia. A very good evening to all of you. , At the outset let me welcome you all for joining us today for Q3 FY23 investor call of Jubilant Ingrevia Ltd. I sincerely hope that you and your loved ones are keeping very well.

Let me now take you through the financial & operational performance of Jubilant Ingrevia Limited for the third Quarter of this financial year. Revenue during the quarter was Rs 1,158 Crore. Overall Revenue de-grew by 10% YoY basis, mainly on account of lower sales performance by Nutrition & Health Solutions, driven by lower demand due to swine and bird flu in EU and US regions and Chemical Intermediates business riven by lower price of Acetic Acid leading to lower realization. EBITDA is at Rs. 158 Crore. Though Specialty Chemical EBITDA improved, However higher energy cost due to non-availability of contracted Coal, lower volumes offtake of Vitamin B3 has impacted EBITDA adversely, while Specialty Chemical business volumes have grown significantly along with the improved pricing.

As mentioned by Mr. Bhartia, to minimize the risk our energy cost increase due to increase in coal price in future, we have prepared detail plans to work towards various initiatives to source power from Grid (at Gajraula) and from Renewable sources at all our sites. We have also prepared detail plan and initiatives including digital

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interventions to optimize coal consumption through efficiency improvement in consumption as well as in generation. These plans will start giving benefits in phased manner

Now let me take you through the updates on all our three business segments. During the quarter revenue of Specialty Chemical Business was at Rs 468 Cr, witnessed a YoY growth of 34% and EBITDA was at Rs 87 Cr witnessing an absolute YoY growth of 15%. Specialty Chemical Segments, Absolute EBITDA increased by 15% mainly due to higher volumes and better price realization. EBITDA Margins remained lower mainly due to higher cost of coal compared to same period previous year. Our Business team have been successful to pass on most of the raw material cost and also partially increased energy cost, although during the quarter we witnessed softening of imported coal prices

Specialty Chemicals revenue grew mainly on the ground of higher volume across major product segments and improvement in price realization. We continue to observe positive traction of demand for our other Specialty chemicals from both domestic as well as international customers. We continue to witness higher demand of our Pyridine and it's

derivatives from Chinese customers as well.

Our CDMO Pipeline is healthy and progressing positively. Our new GMP and non-GMP facilities project are slightly delayed by couple of months and are expected to be commissioned in next two months' time frame.

Nutritional Business revenue was at Rs 132 Crore which witnessed de-growth by 39%, on account of continued lower demand scenario owing to excess inventory across the value chain , primarily led by continuation of Avian and Swine Flu in Europe and US markets. , Demand continued to remain impacted also due to geo-political situation in Europe and severe covid restrictions in China.

EBITDA and EBITDA margin was significantly lower mainly on account of lower sales volumes and price realization of Niacinamide. We continue to increase our presence of Niacinamide (Vitamin B3) in Food and Cosmetics end-use segment.

Our Domestic business of Choline Chloride (Vitamin B4) as well as it's Specialty premixes have grown in volume and value both on YoY as well as QoQ basis. We have also seen positive traction of demand from South East Asia for our Choline Chloride (Vitamin B4) and it's Specialty premixes..

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We believe these challenges to be short term and remain positive on the prospects of Niacinamide (Vitamin B3) business in the medium & long term, and we aspire to retain our leadership position in global market

Revenue from Chemical Intermediates Segment was at Rs 559 Crore, down by 23% on YoY basis, mainly driven by lower price of feed stock (ie Acetic Acid) leading to lower realization of finished products i.e. Acetic Anhydride & Ethyl Acetate EBITDA in Chemical Intermediate segments stood at Rs 71 Crore, due to normalization of domestic market condition in Q3 FY'23 vs same quarter Last Year We continue to grow our volumes to increase our market share and maintain leadership in domestic market as well as in international market, mainly in Europe and South East Asia. Global demand of Acetic Anhydride continues to grow in several use segments and there is no new capacity coming up globally, while we continue to leverage our capacity from existing as well newly built plant.

Further, our upcoming Acetic Anhydride plant at Bharuch is nearing completion and is expected to be ready during Q4'FY23. For Ethyl Acetate we remained focused towards our key strategic customers.

Our Specialty Chemicals segment would continue to grow. Overall our FY'23, full year performance expected to remain in line with our last three quarters.

We are fully committed towards our growth aspirations and we are excited to realise the emerging opportunities through our ongoing Growth Capex plan, which we have now improved from earlier Rs 2,050 to now Rs 2,275 Crore during FY'22 to FY'25 Period.

We continue our efforts towards improving our revenue mix of Specialty and Nutrition segments to 65% by FY'27 from 44% in FY'22 and we believe this to be a key driver for overall EBITDA and Margin improvements.

With this, now I hand over to Prakash to discuss the financials.

Prakash Bisht: Thank you, Rajesh. A very good evening to everyone and thank you for joining us on Q3 FY '23 Earning Conference Call. I would now highlight the Company's financial performance during the quarter and nine months ended 31st December, 2022.

Revenue from Operations during the Q3'FY23 was at Rs 1,158 Crore as compared with Rs 1,286 Crore in Q3 last year, witnessing a de-growth of 10% on YoY basis. Similarly, Revenue from Operations during the 9M'FY23 was at Rs 3,628 Crore as

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compared with Rs 3,654 Crore during the same period last year, witnessing a marginal de-growth of 1% on YoY basis.

The EBITDA during the quarter was Rs 158 Crore as compared with Rs 222 Crore in Q3'FY22, witnessing a decline of 29% on YoY basis, the margins stood at 13.7% in Q3'FY23 as against 17.3% in Q3'FY22. Though Specialty Chemical EBDITA improved, the overall imp

act is mainly due to significantly lower profitability in Nutrition business and non-availability of contracted coal leading to higher energy cost. Similarly, EBITDA for the 9M'FY23 was at Rs. 469 Crore as compared with Rs 712 Crore during 9M'FY22, margins were at 12.9% during the 9M'FY23 as compared with 19.5% for the same period last year. The EBITDA is impacted due to lower volumes offtake of Vitamin B3, Chemical Intermediate segments EBITDA normalization, and higher input costs impact in Speciality chemical business due to non-availability of contracted coal.

Depreciation & Amortization expense during the quarter was at Rs 30 Crore. Finance cost during the quarter was Rs 6.7 Crore versus Rs 4.9 Crore in Q3'FY22, interest cost was higher mainly on account of increase in the interest rates and higher utilization of working capital facilities. Net debt was at Rs 352 Crore at the end of Q3'FY23 and blended interest rate as on 31st December, 2022 was 7.03%.

The tax expense for Q3'FY23 were at 30 Crore. Tax expense for the quarter is lower on account of certain onetime true ups. The company remains under the old tax regime during FY 23 and the ETR is expected to remain around of 31% for full year. PAT during the quarter was at Rs 92 Crore, as against Rs 129 Crore PAT in Q3'FY22, witnessing a decline of 29% on YoY basis due to lower EBITDA. Similarly, PAT for the 9M'FY23 was Rs 256 Crore, as against Rs 408 Crore PAT in 9M'FY22.

Net Debt to EBITDA ratio was at 0.57 times, on the basis of trailing Twelve Month EBITDA. The Net Working Capital %age" & "Number of Days of working capital" for

Q3'FY23 on the basis of Trailing Twelve Month's Turnover were at 19.4 % & 71 Days respectively.

Increase in Net Working Capital is driven by strategic decision of inventory building of certain products and temporary lower creditors due to procurement of Domestic Ethanol.

The capital expenditure during the quarter was around. Rs 148 Cr

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With this, I would like to conclude our opening remarks. We will now be happy to address any questions that you may have.

Moderator: The first question is from the line of Tarang Agrawal from Old Bridge Capital.

Tarang Agrawal: Three questions from me. One, if you could give us the volume growth across each of your segments for this quarter. Second, in the press release, I noticed that there's a comment around Specialty Chemicals' garnering a lot of traction in the agrochemicals segment. So if you could give us some sense on what proportion of Specialty Chemicals business was from agro customers for 9-month FY '23, and what was this number for 9-month FY '22. And the last question is on power and fuel. You alluded to cost softening, so how should we look at it going forward for Q4 and probably subsequently from Q1 next year onwards?

Rajesh Srivastava: So Tarang, on your first question of volume growth, as you can see that the volume growth has come clearly from Specialty Chemicals business and in Nutrition and Health Solutions business, we have informed that there is a degrowth in volume both year-on-year as well as quarter-on-quarter. In Chemical Intermediates, the volume degrowth overall basis, but on acetic anhydride, we have grown in volume. Other than the Nutrition & Health Solutions business, the volume consistently is growing in Specialty Chemicals as well as acetic anhydride since Nutrition and Health Solutions business, niacinamide situation has not improved, we are not in a position to grow volume.

On agrochemical business is close to 40% of our Specialty Chemicals business. This is almost same in quarter-on-quarter as well as year-on-year basis. On power and fuel, regarding this Q2, we have seen little bit softening of coal prices of import and there is a slight benefit. But in Q4, we are expecting a little more benefit because of two reasons. One is, the coal prices are also coming down in import, as well

I as we

have now got some clearance of our contracted coal with road transportation. So there will be some benefit of cost of FSA.

Tarang Agrawal: Sir, just one question for volume growth. I was actually looking at numbers, specifically for each of the segments.

Rajesh Srivastava: Yes, I explained to you that in Specialty Chemicals, we have grown both quarter-on-quarter as well as year-on-year in volume. In Nutrition and Health Solutions, we have not grown, particularly on niacinamide, though we have grown in vitamin B4 choline chloride. On acetic anhydride, we have grown in volume both quarter-on-quarter as well as year-on-year. But ethyl acetate is not a focus product. We sell only when we

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get sufficient margin, and that's where you see the reduction in volume. We have not sold much.

Moderator: The next question is from the line of Nitesh Dhoot from Prabhudas Lilladher.

Nitesh Dhoot: So my first question is on the Specialty Chemicals. There is a sequential revenue decline in Q3. what is that on account of? Is there a sequential volume decline or a price decline? What exactly it is?

Rajesh Srivastava: The revenue decline on sequential basis is purely on product mix. We have almost 60 to 70 products in our Specialty Chemicals segment, in some quarter, a product mix, gives you little bit of lower revenue, but that doesn't mean that volume has not grown. So as I said, volume has grown. But there is a product mix change, which changes the price realization, but does not changes the EBITDA and volume.

Nitesh Dhoot: On the domestic sales for Specialty Chemicals, that has declined from INR 197 crores to around INR 164 crores. are we facing any pressure in the domestic market? What

would be the status of our Diketene derivatives plant there? What will be the utilization currently?

Rajesh Srivastava: Yes. So you are very right. In current situation, we are facing a very low demand in Diketene derivative, now, we can see a positive traction happening in Diketene derivative this quarter. Last quarter, we have seen Diketene demand being lower, but that's an opportunity for us to grow our revenue in domestic market through Diketene, which we can see in this as well as with other products.

Nitesh Dhoot: And sir, on the EBITDA. if you see there is a sequential increase in the Specialty Chemicals EBITDA and the margins have come up to 18.6%, and this is despite the coal availability not easing. How did we manage to increase the margins in the Specialty Chemicals segment, can you give some color?

Rajesh Srivastava: Yes. the increase in EBITDA has come from volume. Secondly, we also mentioned in the last call that though we are not in a position to do anything on coal cost, but we are definitely working with customer to pass on the cost to our customers. And somewhat, we are successful to partially pass on that cost increase, and therefore, the EBITDA margin improving. Going forward, both, we will see the softening of coal prices as well as the realization, which we have now taken the price increase on which customer will give us better result in future.

Nitesh Dhoot: Sure. Sir, just one clarification. So if I remember in our previous discussion, imported coal price movements are generally a pass-through, it is the difference between the FSA coal price and the imported coal price, which is in a way a benefit for us. And if

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the FSAs availability is not easing, so does it really have any benefit for us? I mean, the imported coal prices going down?

Rajesh Srivastava: Yes. as we have been saying that our contracted coal issue is only at our one site, which is Gajraula, and all other sites are based on imported coal. Now in Gajraula also, we partially have imported coal. So the impact in the Gajraula products is there. But I also mentioned that we are in a position to partially pass on the cost increase, even in Gajraula for our contracted coal

I. And therefore, you see the EBITDA improvements in Specialty Chemicals.

Nitesh Dhoot: Sure, Sir, next is on the energy efficiency projects that you have highlighted in the presentation and the debottlenecking projects. What kind of margin benefit that we can expect from this? What will be the quantum of investments going into these energy efficiency projects?

Rajesh Srivastava: So honestly speaking, there is not large investment in these projects. These are mostly business excellence projects. These projects are actually in the four segments. One, wherever our cost of generation of power today is higher with our own generation versus grid like in Gajraula, we are opening up to the grid, which will give us savings. Number two, we are going to improve efficiency of operation through the digital intervention. So we are taking a very major program of digitalization in all our energy production that will give us the benefit.

And third, we are also working on how to minimize the consumption side in the product. So combining all these excellent initiatives we are gradually, phase wise, going to get benefit of these programs, apart from going green in solar, which is the fourth initiative, which we are talking about in energy savings. These four initiatives in business we have planned which is going to be in phased manner. Some of the initiatives will start giving results in couple of quarters and some initiatives might take longer time because we need to make investments and take the benefits later.

Nitesh Dhoot: Sure. But I mean, can this be quantified in terms of like 100 to 200 basis points of margin improvement in the Chemicals business or maybe, if you can just highlight that?

Rajesh Srivastava: Yes. Once the entire program is implemented, then this is going to be a significant benefit. Unfortunately, I am not in a position to give any number because we are still working with our partners to put down these numbers on a hard basis. Maybe after couple of quarters, I will be in a position to give some indication of numbers. But I can assure you this is going to be a significant improvement in our overall profitability if we are in a position to implement all these initiatives.

Nitesh Dhoot: Right -- sorry if I'm repeating. But I mean on the FSA, we had earlier expected that from January onwards, the availability will ease, but it doesn't seem that much of benefit has started coming in. What is our view there? Do we see this in a quarter's time or what exactly are you envisaging over there?

Rajesh Srivastava: So based on our discussion with various agencies, we don't see this FSA to be 100% clear in next couple of quarters. But having said, I am pleased to inform you that from Q4, we are now allowed to take contractual coal at the contractual price from road transportation. We are going to get benefit in our cost but not 100% benefit. This quarter onwards, you will see the benefit in our cost, in our coal in Gajraula. But as per our information from various sources, we don't see the full FSA benefit coming to us neither in this quarter nor in next quarter unless there is a very huge production of coal and availability. Actually, the major issue is happening, in availability of rail transportation. Government is also working very aggressively to make the rail available for the industry. If they are successful to do it in next 2 to 3 months, probably we'll get the benefit. But at least I don't see in next 3 to 4 months. I think major relief has happened because we have got this clearance to get our contractual coal with road transport. So that's the benefit we will start getting from this quarter onwards.

Nitesh Dhoot: Sure. So in that case, would it be fair to assume 18.5%, 19% kind of sustainable margins for Specialty Chemicals? Would that be a fair understanding, till the time the energy efficiency projects don't come up fully, so would that be a fair

understanding?

Rajesh Srivastava: Nitesh, this is the discussion we had also 3 months before, you see margins are improving. The reason is we are not stopping our realization, we are trying to recover the cost increase from our customer, from the products we can recover ourselves. I don't make any commitment on the margins that it will not improve because it will all depend that if we can realize better pricing in our product, we can meet all the volumes projections, probably we should be improving.

Moderator: I'm sorry to interrupt you, Mr. Nitesh Dhoot, If you have any follow-up questions, we request to please come back in the queue. Next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Sir, first question is on your Nutrition & Health Solutions business. So we understand that there is a high inventory scenario, but I think that the impact on revenue is slightly less than what impact we have seen on the profitability or segment EBIT, which has come down to drastically to INR 5 crores, while Nutrition & Health Solutions have seen some revenue improvement on Q-on-Q basis. So is there any inventory losses

we have booked? Or it's a just a cleaning up the inventory at a lower prices which is impacting the profitability or the overall realization itself has come down? So what is the reason for such a sharp fall on EBITDA or EBIT on the Nutrition & Health Solutions?

Rajesh Srivastava: Last quarter, when we started, the pricing was not as bad as what we saw at the end of the last quarter. So therefore, the margins of last quarter are better. Having said your observation on revenue increase is correct. So this quarter, we have sold a little higher volume of Niacinamide. The reason that we are getting our customers' requirement, wherever we are selling on a positive contribution, we want to take the orders. And some improvements in volume in this quarter has happened. In Q4, we still estimate that our situation of volumes would be better as well as in this quarter, we are estimating price should also improve because last quarter, there were multiple problems. #1, the swine flu and avian flu in US and Europe. The lesser impact was also from China consumption was much lower because China had big restrictions because of COVID. The China is getting opened up last month and the China demand is improving and which is actually making the whole nutraceutical segment a little bit positive, even though the flu situation has not improved. It was lower in Q3, but we see Q4 becoming little better than Q2, that's what we estimate.

Rohan Gupta: So sir, unlike Specialty Chemicals, are there any cost increase we are trying to pass it on? Nutrition & Health Solutions business is seeing a steadier margin pressure and the prices are still significantly lower than what it used to be. Just wanted to

understand that how Nutrition & Health Solutions business pricing works with the end customer? And how you decide on the margin strength, it is just completely driven by the demand supply scenario? Or you see there is some cost-plus element there?

Rajesh Srivastava: So Rohan, good question. So our Nutrition and Health Solutions segment, we have 70% of our revenue of Nutrition and Health Solutions segment coming from animal feed industry, and 30% comes from Food and Cosmetics and others. 70% animal feed is impacting our volume and revenue because of demand.

It is demand and supply situation. But our efforts for future is to reduce this dependency on animal feed of Nutrition and Health Solutions business to more Food and Cosmetics, so that we can balance out, This kind of impact does not come in revenue and profitability. Currently, it's demand and supply situation, which impacts our volume as well as profitability.

Moderator: I am sorry to interrupt, sir. Maybe if I could request you to please come back in the queue. The next question is from th

e line of Siddharth Gadekar from Equirus Securities.

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Siddharth Gadekar: So just wanted some color in terms of we had announced a long-term contract for CDMO of INR 270 crores over 3 years. What is the status of that project?

Rajesh Srivastava: We are servicing that contract. The volumes of that contract will start increasing from this quarter end onwards. And the new capacity of GMP which we are building up, for that contract. And in fact, the overall CDMO traction, is not only with that contract also with other products as well, and are showing a positive result. We are expected to see a better performance of our GMP facility which we are building up, will be ready in the next couple of months' time. So that is on track, and we are servicing it on time.

Siddharth Gadekar: So basically, FY '24, we can see the entire INR 90 crores coming in from that project?

Rajesh Srivastava: So you are saying that FY '23 annual revenue, yes, it should come full, because that's the capacity we are building up, correct.

Siddharth Gadekar: Okay. Got it. Sir, and secondly, now in terms of Diketene, what kind of capacity utilization can we expect in FY '24 and FY'25?

Rajesh Srivastava: For FY '24, with our current estimates, we are planning to utilize to 70% to 75% of capacity.

Siddharth Gadekar: And the non-GMP plants also will be at similar levels in FY '24, they will take time to ramp up?

Rajesh Srivastava: Yes. As of now, it looks like that. But never know, if demand improves, we can even utilize better.

Siddharth Gadekar: Sir, the last question, in the Nutrition and Health Solutions segment, have we changed any capex because we are looking at some cosmetic-grade vitamin B3 as well, which was not there before. Is this something new that we have announced?

Rajesh Srivastava: Yes, very right. And that's what I mentioned to Rohan also that in Nutrition and Health Solutions segment, our endeavor is to improve our presence in non-animal feed segment more. And therefore, we are bringing up more capacity of cosmetic grades. In my last 3 quarter statements, I have been saying that our focus on food and cosmetic is increasing, and we are getting a very positive traction. Our demand situation of cosmetics and food has improved, and we are adding capacity there. So that we will actually make announcement very soon about the new capacity investment.

Above that, we also have plans on vitamin B4, which we currently have in animal feed segment. We are also going to have vitamin B4 for Food segment. Once we are

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ready, we will have a shift in our 70:30 ratio to close to 50:50 ratio of animal feed and food and cosmetic segment. So you are very right. You have correctly assessed it. We have additionally made the investment plan for the nutraceutical segment because that is going to give us much more sustainability and resilience to our profitability and revenue going forward.

Moderator: The next question is from the line of Dhruv Muchhal from HDFC Mutual Fund.

Dhruv Muchhal: Sir, the question probably is a bit repetition of the earlier question. If you can probably share the volume numbers for the Specialty Chemicals segment for this quarter and the 9 months. The reason I'm asking is also because for the 9 months, it seems you have grown about 40% - 50%. And I'm just trying to understand, does this largely volume-driven, does this pose any limitation in terms of the base business growth for the forthcoming years? Because I'm just trying to understand, are we probably filled up for the producing capacity that we have with this kind of volume growth?

Rajesh Srivastava: Yes, your assessment is correct. It is the overall Specialty Chemicals, including the pyridine volume. There is an increased volume of pyridine, and pyridine derivatives and therefore, you see the significant improvement in volumes of Specialty Chemicals. Now on your point whether it will have

an impact going forward, we don't

see that because the overall volume scenario of pyridine and pyridine derivative is still, it stands strong. We have a huge capacity upgrading in plant, as we already stated earlier, and we are still utilizing about 70% - 75%, not more. We still have capacity. If the demand comes, we will be in a position to take it up more.

Prakash Bisht: So just to add on to what Rajesh sir is saying, in the capex plan also, you would see that one debottlenecking for pyridine, that will also add to the capacity.

Dhruv Muchhal: Okay. I was coming to that. Great, sir. So at current after the 9 months volume growth, which I believe could be probably 20% the pyridine capacity will be 70%, 75% utilized?

Rajesh Srivastava: Yes, correct. And remember, this overall volume growth is from existing products as well as from new products. So we announced capex, which you see in our presentation, we have continuously debottlenecking capex and capital investment which happens regularly, which normally we don't announce. Because we keep doing it based on the customer demand of our existing products.

Dhruv Muchhal: Sure, sir two quick questions, as your two cGMP plants, one cGMP, non-cGMP both are coming in the next quarter. So wanting to get some better understanding in terms of the visibility of ramp-up. Probably one often sees in the industry that they have contracts in hand based on which the ramp-up visibility is there. So just wanted to get your sense also in terms of the visibility for the ramp-up of these capacities. I mean

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do you have contracts? Or are these established products? are the products already developed so that you only have to market it once the capacities are ready? Just trying to understand to get a better visibility on the ramp-up sir?

Rajesh Srivastava: I've already stated in the last question that the cGMP plant, which we are building up is based on our new demand and new orders, which we have already got it. There was actually additional traction and therefore, we took little bit more expansion of the existing facility. There is a delay of about 1 or 2 months. Hence, the utilization of cGMP plant is going to be in a very good situation, as we stated earlier. The first year, will see a utilization of more than 70% of cGMP plant. And the same is true for non-cGMP plant because cGMP is utilized for the more value-added products and non-cGMP is utilized for the early derivatives and intermediates.

Both plants are going to be utilized as per plan. We have a strong order situation. As soon as the plant will come next year, we will have a good traction of utilization close to 70% to 75%. In next 2 to 3 years we will reach close to 85% - 90%.

Moderator: Sorry to interrupt you, sir. If I could request you to please come back in the queue.

We'll move to the next question from the line of Rahul Veera from Abakus Asset Managers.

Rahul Veera Sir, a very interesting comment that you've given in the presentation that FY '23 year will largely be similar to the past 3 quarters. Sir, given the improvement in coal costs plus the ramp-up in the CDMO, I mean, shouldn't there be a very sharp improvement sequentially? I understand you have mentioned that it's going to be very marginal in terms of coal cost improvement, but I still believe there could be a much better opportunity, right?

Rajesh Srivastava: As I said, in coal cost, it is a marginal improvement. Also, I stated that nutraceutical business, we don't see much improvement. In Specialty Chemicals there is improvement. So when I say it will be in line with last 3 quarters, I don't know what you understand, but I'm not saying that we'll be significantly higher or better than what we have been doing in last few quarters.

Rahul Veera Okay, Fair point. And sir, the incremental capex that we have given from INR 2,000 crores to INR 2,275 crores now in the presentation, this is largely going

towards the
debottlenecking only?

Rajesh Srivastava: No. it's about three things. One is debottlenecking, secondly that we are adding a new capital plan for nutraceutical vitamin B4 for food business, about INR 100 crores increase in nutraceutical segment and debottlenecking. Third, we are also having the R&D expansion because of our good CDMO traction. So we are having some R&D

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investment plan, which we have highlighted in increased investment plan. Of course, debottlenecking is part of that.

Moderator: The next question is from the line of Pranav Tendulkar from Rare Enterprises.

Pranav Tendulkar: Sir, I just wanted to ask two questions. About Diketene plant, have we started commercial sales? And has the production quality been accepted by general market?

And if it is, then what is the 100% utilization revenue potential for this plant at current price? Also second question is that, if the rake availability improves and government, allows railway rakes, then how much of the saving could be done in the energy costs?

Rajesh Srivastava: So three questions. I think number one question was on your nutraceutical, I believe. Can you just repeat your first question?

Pavleen Taneja: Sir, the first question is the quality of Diketene, then capacity utilization and quality of Diketene.

Rajesh Srivastava: We have told you that we have already started selling the Diketene. But unfortunately, because of the lower demand, we were not in a position to utilize the plant. But now we see the demand is improving, and therefore, we are very confident that next year, we should be in a position to utilize, about 75% to 80% or 70% to 75% of the capacity. Now second question on your FSA coal. Now if after the road transportation, which we have just got cleared, if we convert that to total FSA coal on a quarter basis, I think we should be in a position to add about about INR 15 crores to INR 20 crores of EBITDA further, if that happens.

Prakash Bisht: That's right.

Pranav Tendulkar Right. So in current Diketene plant, revenue potential is how much?

Rajesh Srivastava: So we have a capacity of 8,000 tons. It's difficult to give a price commitment. There are three products, and each of these products are ranging from a price of INR 150 to INR 200 or sometimes it is more. Based on that 8,000 tons capacity, you can calculate the revenue. But it also depends that which product maximize your revenue and profitability.

Pranav Tendulkar Right. So \$100, \$150 per ton?

Rajesh Srivastava: No, this is INR. We had been saying, that the Phase 2 of Diketene is much awaited because this capacity of ours is not for 100% sales, this is for our forward integration of building blocks. We have built up to make value-added products, which I have been talking all the time. Phase 2 investments will come very soon. The realization from

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the existing capacity as well as new capacity is going to be higher, and that's our endeavor not to sell this 8,000 tons only as a commodity or bulk volume. This is beginning to launch as a building block and then add the value-added product which we will bring up very soon, in the Phase 2.

Moderator: The next question is from the line of Harsh Shah from Dimensional Securities.

Harsh Shah: Just revisiting your capex guidance, the first time when we had announced the capex in FY '22, the business outlook looked quite stable, we used to make 16% to 18% kind of margins, even better. But now today, where we stand, with the Europe slowing down, the prices of many of our commodities have eroded quite a bit and demand is sort of struggling, so how confident are you about the expectations with the revenue guidance that you had given for FY'27, that it will come through, because the business dynamics have changed quite a bit over the last 1.5 years?

Rajesh Srivastava: So from where we are seeing, I'm sure you're also seeing the same angl

e, what we

have said for FY'27 is still standing true, and all the investments which we have planned has no change. What is changing is mostly short term, which we have been talking. Number one, Nutrition and Health Solutions business of vitamin B3 is not long

term. This is the first time in last 2 decades, I know this business, this kind of flu has never extended to 2 or 3 quarters. But nevertheless, it is not going to long last. This is one.

Secondly, this energy cost. we are taking lot of initiative apart from getting the government coal contract. I don't see this is longer term. This is going to be sort terms. We will be behind it. Beyond this, I don't see anything which is currently in problem, except for the global situation of demand.

Now the global situation of demand, as we all know, India as far as chemicals is concerned, is definitely on a very high demand. So even though the global recession will happen, Indian companies in chemicals will keep doing good because there is a huge shift which is happening of demand from China to India. We have still not served the entire volume of China. We are still in single digits of percentage which we can take from China. We have a huge opportunity. So I don't see the future as dim as you are trying to explain.

Moderator: The next question is from the line of Romil Jain from Electrum PMS.

Romil Jain: I just want to understand a little bit on fluorination. So I think we are doing some capex on that. So can we know where we are standing right now in terms of our capabilities and whether the capex has started. When do we expect to commission, maybe some details on that? And second question is on the Life Sciences Chemicals. Are we

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seeing some rebound in prices and maybe Q3 was more of a bottom kind of a quarter there?

Rajesh Srivastava: On fluorination, as you can see in our presentation, we have still not committed the capex. The products which we talked about is still under development and scale-up. We hope that next year, will be bringing up that capex. And that time, I will announce to you. On your question on Chemical Intermediates, as I stated, acetic anhydride, our volumes are growing. The reason for growth is that overall demand is increasing, but there is no additional capacity, which are being available globally.

And in Europe, our competitors are not in a position to produce in full volume because cost has gone up. So I see continued positive traction of acetic anhydride demand.

And as you know, we are having the new plant coming up, next quarter, we are very positive about utilization of that plant also in future because of these reasons.

Romil Jain: Okay. Sir, just one question on food-grade acetic acid. So I think that was the plant that we had started. I'd like to know what the utilization is? If you can just point out what kind of revenue are we generating and what broad margins? Do we expect more capacity expansion there, because I think that was a very positive development that was there? So any insights on that?

Rajesh Srivastava: On food-grade acetic acid, we are under the regulatory approval process. We are going to start the commercial supplies from end of this quarter, and we see a good traction of demand from our international customers. So actually, the realization of revenue of food-grade acetic acid, we will see in next financial year because of several regulatory approval process, as well as the FSSAI approval, etcetera, it took about 5 to 6 months' time. We are going to in next 1 or 2 months. Next financial year, you will see the revenue realization of food-grade acetic acid.

Moderator: The next question is from the line of Sunil Kothari from Unique PMS.

Sunil Kothari: Sir, because of this road transportation we've chosen for this transporting coal, will it save INR 15 crores, INR 20 crores per quarter? Will it be effective from current quarter or next quarter?

Rajesh Sriva

stava: No. I think you noted wrongly that from the road, if you get 100% rail transportation, we will have additional benefit of INR 15 crores from the earlier quarter, now when we got road transportation, there is a benefit of about INR 10 crores to INR 12 crores, which we should accrue.

Sunil Kothari: That is per quarter, right?

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Rajesh Srivastava: Per quarter, you're right

Sunil Kothari: Okay. Sir, and second question is, we said that we got little bit ease off in coal prices in current quarter, if you take a percentage of the revenue that has gone up from 14% to 15% the cost, power and fuel costs. Why it has happened, if you can a little bit explain?

Rajesh Srivastava: No, because softening is happening only end of the last quarter. What you will see is this quarter impact, not in Q3. Q3 from beginning, it has been very high. It has just happened in the month of January, let's say, end of December when the softening of prices have happened. So you have not seen the impact of that in the last quarter.

Sunil Kothari: Okay. So both the benefit of road transportation and softening of price, both can materialize in the current quarter and onwards?

Rajesh Srivastava: But remember that any reduction in coal price imported, customers are also smart, they will ask for a pass on. As we take increase in pass on, they will also ask reduction in pass-on. So please don't just calculate in mathematics and highlight out.

Sunil Kothari: Sir, our other expense on top line of same INR 3,600 crores approximate for 9 months, has gone up from INR 336 crores to INR 432 crores, almost INR 100 crores, almost 30%, 35% increase. What is the reason for this, other expenses, I'm talking about?

Prakash Bisht: So Sunil ji, so if you take on the quarters, other expenses...

Sunil Kothari: No, sir, I want to understand for 9 months. Because quarterly, I understand there is some specific reason. But if you take 9 months, it is INR 336 crores, from INR 336 crores it has moved INR 432 crores.

Prakash Bisht: For 9 months, Sunil ji, primarily the reason for increase in other expenses is, a, the freight and forwarding cost has increased; and then it's partially also due to the processing charges and the warehousing charges and repair and maintenance. So these are the 4-5 reasons on account of which the overall other expenses has increased.

Sunil Kothari: Yes. But it is, sub-segments from the same revenue, we have spent INR 100 crores more. That is why I'm just trying to understand. This is we are getting control on any cost or it is going out of control?

Rajesh Srivastava: No, don't worry about control of cost, Let me explain you, last year 9 months, all other costs were based on the volumes which we have sold. The transportation costs, travel costs, repair and maintenance costs, everything is going up because our capacity

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utilization is going up, our new plants are coming up. So all that is going to increase our expenses. But at the same time, you are very right, we are in full control and we have plans to improve efficiencies all over, and this is a continuous exercise. So there are some costs, which this year has gone up like travel etcetera, which is usual because we are back to our normal situation of FY '22.

Sunil Kothari: Sir, my last question is...

Prakash Bisht: Sunil, just to give you a perspective, because I think you are seeing the revenue number as the same. But our volumes have increased, it is just that prices of Chemical Intermediates segment has come down, that is why you see the revenue at the same level. So volume of business has already increased. So the expenses are in relation to the volume of business. So perhaps you are just seeing the same level of revenue, hopefully, you're feeling the expenses are...

Sunil Kothari: You're absolutely correct. Absolutely correct. My request will be, so many people were asking about the volume growth

h. I think on a 64-page PowerPoint presentation, what is the volume growth quarter-on-quarter or year-on-year. I think I'm observing that people are asking about volume growth and we are not able to provide those exact precise numbers. I request, please make it a practice that we should announce or we should announce that we are not going to talk anything about volume. So please follow one practice that is my request.

And sir, my last question to Rajesh ji, sir, basically what we're talking about is we'll be improving our Specialty Chemicals and Nutrition and Health Solutions business to 65% over the next 3, 4 years, and that will give us far better margin and very respectable ROE and ROCE. But looking at this Nutrition and Health Solutions segment situation currently, and I understand this is the first time in this two decade, so are you, comfortable and confident about whatever your thought process and your observation or your strategy to achieve some respectable margin over the next 2, 3 years?

Rajesh Srivastava: So you're asking about revenue or you're asking about margin?

Sunil Kothari: No, sir, margin. Because we are saying that Nutrition and Health Solutions business and Specialty Chemicals will become a major part of our revenue, and that's why we'll be having a very respectable margin.

Rajesh Srivastava: What I can only tell you, of course, it's very difficult to see the future, but it is very easy to make a strategy for future. So what we have done, we have made a very strong strategy. And I'm very confident that all the strategy we have prepared, we are going on track. Having said so, need to realize that there are certain situations which are

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beyond our control like today, we have. Now you may ask that, last year you said this, but you did not see this. The question is, this can happen either side.

So if FY '23 was fantastic year, nobody asked questions. But FY '23 is a tough year, so obviously you have right to ask questions. If this kind of situation happens, it's beyond control. But having said so, what we can do best is, we are trying. If you see our intent, our energy cost is going up, we have a huge plan to bring down overall energy cost. That should give us resilience of any such trouble which we can face in future. So we are continuously changing our strategy to see whatever we are getting short-term impact whether that can be minimized and that's what our intent is. That's what anybody can do the best.

So having said so, I'm very confident that the strategy we have a place should realize the way we are looking at it. And I want to answer that on volume. I think you must appreciate the kind of declaration we give as a Jubilant Ingrevia is much more than anyone else. What we definitely not want to give, you must appreciate Jubilant Ingrevia, which is your company, we have leadership position in many products. And if we start giving volumes number of our product wise, you must appreciate globally, we are faced with many competitors. I hope you will appreciate, we will not have to land up in a situation, so please, please respect our declaration.

And on a different side, if we discuss, I can even talk to you what kind of volume growth we are talking. But on a call like this, if you ask me to give you volume growth product-wise, I think it is too much to ask. You must appreciate the kind of presentation details we had given, you saw all the other companies, whether you get this kind of detail. So please appreciate that.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Prakash Bisht for closing comments.

Prakash Bisht: We thank you all for joining this call today. We hope we have been able to answer your queries. For further clarification, we would request you contact our Investor Relations team. Thank you once again for your interest in Jubilant Ingre

via Limited.

We also wish everyone a very happy and prosperous new year.

Rajesh Srivastava: Thank you, everyone. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

Note: There could be unpublished price sensitive information that would have been shared /discussed during the call and we have shared Audio Transcript to the Stock Exchanges on January 31, 2023 for information of public at large.

Call: May 2023

May 22, 2023

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investors' Conference Call for the quarter and year ended March 31, 2023

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors' Conference Call for audited financial results for the quarter and year ended March 31, 2023 conducted after the meeting of Board of Directors held on Tuesday, May 16, 2023. The link to access the transcript of the earnings conference call is given below:

<https://www.jubilantingrevia.com/Uploads/files/9q2consfilejvl-q4fy23-earnings-call-transcript.pdf>
We request you to take the same on record.

Thanking you,
Yours faithfully,
For Jubilant Ingrevia Limited
Deepanjali Gulati
Company Secretary
Encl.: as above
BSE Limited
Floor 25, P. J. Towers
Dalal Street, Fort
Mumbai - 400 001

Scrip Code: 543271 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Trading Symbol: JUBLINGREA
Page 1 of 25 List of Management Attendees

1. Mr. Shyam S. Bhartia, Chairman
2. Mr. Hari S. Bhartia, Co-Chairman
3. Mr. Arvind Chokhany, Group Chief Financial Officer & Whole-time Director
4. Mr. Rajesh Kr Srivastava, CEO & Managing Director
5. Mr. Prakash Chandra Bisht President & Chief Financial Officer
6. Mr. Pavleen Taneja, Director Investor Relations

External Participants during Q&A session

1. Harsh Shah – Dimensional Securities
 2. Naushad Chaudhary – Aditya Birla
 3. Siddharth Gadekar – Equirus Capital
 4. Jainis Chheda – Spark Investment Advisors
 5. Rohit Sinha – Sunidhi Securities
 6. Nitesh Dhoot – Prabhudas Lilladher
 7. Dhruv Muchhal – HDFC Mutual Fund
 8. Rahul Veera – Abakkus Asset Managers
 9. Tarang Agarwal – Old Bridge Capital
- Page 2 of 25

Jubilant Ingrevia Limited
Q4 FY23 Earnings Conference Call
May 16, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Jubilant Ingrevia Limited earnings conference call for the fourth quarter and financial year ended March 31, 2023. As a reminder all participant lines will be in the listen only mode and anyone who wishes to ask a question may enter star and one on their touch tone phone.

To remove yourself from the question queue you may enter star and two. Should you need assistance during the conference call please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja, Director, Investor Relations, Jubilant Ingrevia Limited. Thank you, and over to you, sir.

Pavleen Taneja: Thank you, Tanvi. Good evening, everyone. Thank you for being with us on our Q4 and FY2023 earnings conference call of Jubilant Ingrevia Limited. I would like to remind you that some of the statements made on the call today could be forward-looking in nature, and a detailed disclaimer in this regard has been included in the press release and results presentation that has been shared on our website. On the call today, we have Mr. Shyam Bhartia, Chairman; Mr. Hari Bhartia, Co-Chairman; Mr. Rajesh Srivastava, CEO and Managing Director; Mr. Prakash Bisht, CFO, Jubilant Ingrevia Limited and Mr. Arvind Chokhany, Group CFO, Jubilant Bhartia Group.

I now invite Mr. Shyam Bhartia to share his comments.

Page 3 of 25 Shyam Bhartia: Thank you, Pavleen. A very good evening to everyone. Thank you for joining us on Q4 and Financial Year 2023 Earnings Conference Call of Jubilant Ingrevia Limited. We are happy to announce that during the year, FY23, our Specialty Chemicals business grew 29%, Chemical Intermediate business placed highest ever volume of Acetic Anhydride and gained higher market share globally. Howe

ver, Nutrition

business has faced headwinds for Niacinamide, leading to lower volume as well as lower price realization. EBITDA in FY23 was lower mainly on account of higher energy prices and challenging market situation of Niacinamide business.

During the quarter, though our Specialty Chemicals business recorded a higher revenue and Chemical Intermediate business have placed higher volumes of acetic anhydride year-on-year. However, overall revenue was lower due to price of Acetic Acid leading to lower price of Acetic Anhydride and headwinds we continue to face in Niacinamide business. Though EBITDA during the quarter for Chemical Intermediates business improved year-on-year. However, overall EBITDA performance impacted due to challenging market situation of Niacinamide and some of our Specialty products meant for agrochemical customers.

We firmly believe that challenges faced in Niacinamide business in some of the products in our Specialty Chemical made for agrochemicals are of short-term nature, and business is confident to regain volumes, revenue and profitability as market situation improves. Our endeavours towards growth plan remains undeterred through our structured growth capex, and we are confident that driving robust growth in future. This growth was led primarily through our Specialty Chemicals and Nutrition Business segment.

We are also glad to share that the Board has recommended a final dividend of 250%, that is INR2.5 per equity share of the face value of INR1 each for FY23. This shall result in a cash outflow of INR39.8 crore. During the year, company has already declared an interim dividend of 250%, that is INR2.5 per equity share of INR1 each and the total dividend for FY23 works out to the 500%. That is INR5 per equity share of INR1 each amounting to INR79.6 crore of cash outflow.

With this now, I hand over to Rajesh to discuss about the business in detail.

Page 4 of 25 Rajesh Srivastava: Thank you, Mr. Bhartia. Very good evening to all of you. At the outset, let me welcome you all for joining us today for Q4 and FY23 investor call of Jubilant Ingrevia Limited. I sincerely hope that you and your loved ones are keeping very well. Let me now take you through the financial and operational performance of Jubilant Ingrevia Limited for the fourth quarter and financial year 2023.

For FY23, our revenue was lower over last year mainly due to lower price of Acetic Acid, leading to lower price realization of both Acetic Anhydride and Ethyl Acetate and due to headwinds we faced in Niacinamide business. While our Specialty Chemical business revenue maintained healthy growth of 29%, we have also been successful to improve our market share of Acetic Anhydride by placing significantly higher volume over last year.

Overall, in FY23, our EBITDA was lower, mainly due to high energy costs, including coal prices, lower performance of Niacinamide and normalization of as Acetic Anhydride market situation as compared to last year. Revenue during the quarter was lower on year-on-year basis due to lower price of Acetic Acid, leading to lower sales price realization of Acetic Anhydride and Ethyl Acetate and lower demand of niacinamide leading to lower volume as well as lower price realization. EBITDA during the quarter was down on a year-on-year basis, mainly due to lower performance of Niacinamide and the headwind faced in Specialty Chemical

business, mainly from agrochemical customers. However, Chemical Intermediates segment EBITDA improved on a year-on-year basis due to better price realization of Acetic Anhydride.

We have started witnessing improvement in demand of Niacinamide, while we expect improvement in demand of agrochemical customer to normalize by end of Q2 FY24. On the energy cost front, we have arrested the increase in cost to a great extent, supported by lower coal prices as well as improving operational efficiencies both in generation as well as in consumption. Further, our plans to

reduce overall energy cost by sourcing power at Gajraula from grid, which will start by end of Q2 and from renewable sources which will materialize during next financial year are on track.

Page 5 of 25 Now let me take you through the updates on all our 3 business segments: Specialty Chemicals: Our Specialty Chemicals business during FY23 has recorded revenue growth of 29% over last year, mainly due to higher volume sales of both existing as well as new products. However, EBITDA for the year was lower over last year, mainly due to higher energy costs during the year and lower demand of agrochemical customer during H2.

During the quarter, revenue of Specialty Chemical was lower year-on-year basis, and EBITDA for the quarter was lower year-on-year basis, mainly due to lower demand from agrochemical customers, leading to significant drop in price realization of some of our products meant for agrochemical end use. We continue to see positive traction in demand of our CDMO products. In view of this during construction of our new GMP facility we have taken a conscious decision to upgrade the capacity, which though have delayed our GMP plant, however, will benefit us in longer term. We have commissioned both our cGMP plant in Bharuch and non-GMP plant in Gajraula now.

Our new cGMP multipurpose plant in Bharuch will help us to facilitate our global pharmaceutical clients, new drug development program and will position Jubilant Ingrevia Limited as a leading partner of choice to innovators within regulated markets. Our multipurpose non-GMP plant at Gajraula will further aid us to structurally shift more towards value-added Specialty Chemical business. This multipurpose product facility has been engineered to handle multistep complex chemistries and will expand company's forehand to value-added derivatives of both pyridine and non-pyridine based products.

Nutrition & Health Solutions: Our Nutrition business has recorded 28% lower revenue during FY '23 over last year and EBITDA was impacted significantly mainly due to severe headwinds we have faced during the year due to avian and swine flu in U.S. and EU regions, leading to lower volume and significant price erosion of Niacinamide. During the quarter, revenue of Nutrition business were also lower year-on-year. However, sequentially, volume has started improving, while price remained under stress during the quarter. Business has started witnessing the Page 6 of 25 improvement in demand as well as improvement in price of Niacinamide in the present quarter.

As mentioned by Mr. Bhartia, we firmly believe that the challenges faced in this segment are of short-term in nature and business is confident to regain volumes and revenue and profitability, along with improvement in market situation. Our efforts towards increasing our presence of Niacinamide in food and cosmetic end use segment is yielding positive results. And in view of this, we have approved the capex to build new cGMP-compliant facility which will produce about 3,000 tons per annum cosmetic grade of Niacinamide.

This capacity will be ready during the quarter April to June 2024. In addition, our development work on bringing up new cGMP-compliant facility for food grade Vitamin B4 is going on track. We expect to approve this capex sometime during July to September quarter this year. Both the above initiatives will reduce our high dependency on global feed market and will provide consistency to our Nutrition business.

Chemical Intermediates: Our Chemical Intermediates business has recorded lower revenue during FY23 over last year, mainly due to lower prices of Acetic Acid, leading to lower price realization of Acetic Anhydride and Ethyl Acetate. We continue enhancing our market share of acetic anhydride both in domestic as well as international markets. Chemical Intermediates business EBITDA for FY23 was lower than last year, mainly due to normaliza

tion of prices which was better during last year due to better market situation of Acetic Anhydride. During the

quarter, revenue of Chemical Intermediate was lower year-on-year basis, mainly driven by lower price of Acetic Acid leading to lower price realization of finished products.

EBITDA during the quarter was higher on year-on-year basis due to higher volumes. Overall outlook of Acetic Anhydride market appears to be stable, with global demand continues to grow in several end-use segments. During the quarter, we have been successful in bringing new customers for Acetic Anhydride, mainly in Europe region, which will ensure good utilization of newly added Page 7 of 25 capacity of Acetic Anhydride. We would continue rationalizing our sales Ethyl Acetate and Specialty Ethanol to niche customers only to optimize our margins. Other financial details : The company was under the old tax regime during FY23, and the ETR is 29.6%. Net debt was at 31st March was INR312 crore and net debt-to-EBITDA ratio was at 0.54x on the basis of trailing 12 months EBITDA. The net working capital percentage and number of days of working capital for Q4 FY23 on the basis of our trailing 12 months turnover were at 17% and 62 days, respectively. The capital expenditure during quarter was INR146 crore and for FY23 was approximately INR481 crore.

Outlook and growth capex plan: The Specialty Chemical business, though we expect short-term impact in demand from agrochemical customers for some of our Specialty Chemical products, and we expect demand to normalize during H2 this year. Our Niacinamide business is already witnessing improvement in global demand. And accordingly, we see price is also moving up. Our new capex plan is going on track, and we continue to focus on improving our revenue mix from Specialty and Nutrition business segment.

And with this, I would like to conclude our opening remark. We will now be happy to address any questions that you may have. Thank you.

Moderator: The first question is from the line of Harsh Shah from Dimensional Securities.

Harsh Shah: Sir, first question is on Specialty Chemical division. To the price reduction, which we have seen, is it more related to demand slowdown? Or have you also seen additional supply come into the market? And what would be the inventory situation right now?

Rajesh Srivastava: So, in Specialty Chemical, the agrochemical customers demand was under pressure, so therefore, we saw the price realization was lower. And also, some of the products like pyridine, the prices have been under pressure. Therefore, the performance of Specialty Chemicals was lower than last year and last quarter.

Harsh Shah: By how much percentage have the realization been impacted?

Page 8 of 25 Rajesh Srivastava: Very difficult to do the exact percentage, but yes, there has been significant reduction in price realization. It is difficult to give you product-wise.

Harsh Shah: No, maybe on a blanket basis in both Chemical Intermediate as well as Specialty Chemicals.

Rajesh Srivastava: No, Chemical Intermediates, the price realization has been as per the Acetic Acid prices. So there has not been any deterioration of price. Our margins also have been good. So Chemical Intermediates, there was no challenge.

Harsh Shah: Okay. And do we continue to hold any inventory in our book, which was bought at a higher price that still needs to get sold and whose impact is yet to be recognized in the books?

Rajesh Srivastava: No, So this performance is not because we are carrying high inventory. This performance was because globally, agrochemical demand was lower. So other suppliers have been supplying at much lower price to liquidate their material, but this is not the case for us. We are not carrying any extra inventory.

Harsh Shah: Okay. And sir, what would be the volume growth for Q4 and also for full financial year FY23 across all 3 segments?

Rajesh Srivastava: Volume growth in

terms of Chemical Intermediates, we have grown to the extent of 7% to 8%. In Specialty Chemicals, in quarter 4, our volume has been almost flat. We have not grown. In Nutrition business, as you know, our volumes have degrown from last year. But sequentially, from Q3, we have grown our volume in Niacinamide.

Harsh Shah: Okay. And sir, there's been a slight increase in the other expenses. Could you explain what could that be?

Prakash Bisht: So, the increase in the other expenses, primarily over last year is on account of this year's higher freight expenses, the higher warehousing charges and higher processing charges. Over the last quarter, the increase is mainly the above three factors, which is freight, warehousing charges and processing charges, in addition Page 9 of 25 to that, higher consumption of stores and displays. So, these were the reasons for which other expenses were high.

Rajesh Srivastava: They are general in nature. They are mostly general in nature.

Harsh Shah: And just last question. So, since the realization of many of our products, key products has come down, be it Nutrition or Specialty Chemical even Chemical Intermediaries, are you changing our guidance of revenues because the guidance which we have given, the prices of all these products are much higher than what they are now. So, do we stick to the same revenue guidance? Or do we want to bring that down in terms of absolute number revenue of the incremental capex.

Rajesh Srivastava: No. So, if you see, there is no fundamental change which is happening. As Mr. Bhartia also said, I also said, what is happening in the market is short term in nature. This is not going to last long. We are already seeing improvement in Niacinamide market situation, and we are very hopeful that H2 even agrochemical market should start improving. So, I don't think we are doing any change in our guidance for capex.

Harsh Shah: No, not the capex, but the revenue that you'll be generating from this capex.

There is guiding of doubling of the revenue. So, with the prices coming off?

Rajesh Srivastava: There is no change much. There is not much change because we have given you guidance based on what realistically we will do. We have not given guidance, which is very hypothetical. It's more realistic guidance we have given.

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla.

Naushad Chaudhary: Two clarifications. Firstly, in Specialty business, what percentage of revenue comes from Agchem and is entirely from the Generics segment? Or do we work on any innovative molecules here in specialty?

Rajesh Srivastava: So Agchem is contributing to almost 37% to 38% up of our Specialty Chemical revenue. And these are mostly the value-added derivatives, which we supply to large agrochemical companies, we are not supplying any innovative molecules.

Page 10 of 25 Naushad Chaudhary: Okay. And in terms of margin and EBIT run rate, this used to generate INR60 crore, INR70 crore that has come down to around INR40 crore, do you believe next 2 quarters is difficult to guide on this? Or do you think this could be a bottom and sequentially you should see an improvement at least on the EBIT side in this division?

Rajesh Srivastava: I can fairly assume this is the bottom we are touching. We have to have improvement from here. May not be immediately, but as I said from H2 will be definitely coming back to the normal situation.

Naushad Chaudhary: And what all things should have to happen for the improvement from here on?

Would that be from the price or would it from the raw material side, what should help from here on to improve this profitability?

Rajesh Srivastava: I mean, if the demand improves in agrochemical, our products are very well suited. Customers will buy. And of course, we will sell the product as we have been doing it earlier. The fundamentals are same.

Naushad Chaudhary: Okay. And these are our Specialty

largely are spot business? Or do you work on a contractual term?

Rajesh Srivastava: No. So, we do, as we explained earlier also, we always have the annual volume confirmation of the customers. And we discuss the volume dispatches every quarter. So, we know we have the visibility of volume. But if the market situation changes, the customer can change his volume in between also. So, we know clearly what volume is asking during the year.

Naushad Chaudhary: Okay. Sir, in specialty, see there is an operating deleverage challenge, but are you also experiencing the pricing pressure as well?

Rajesh Srivastava: Yes. Because the demand is lower, of course, the pricing pressure is there.

Naushad Chaudhary: Understood. And you expect this to improve from second half of this financial year?

Rajesh Srivastava: Yes. Yes.

Page 11 of 25 Moderator: The next question is from the line of Siddharth Gadekar from Equirus Capital.

Siddharth Gadekar: So first on Specialty Chemicals. We have just highlighted that our volumes were flat Y-o-Y in Specialty Chemicals. And if I look at the revenue numbers, they have increased 5% Y-o-Y. So, what am I missing here in terms of like is that a realization decline, volume decline? Or what explains the margin profile in this quarter?

Rajesh Srivastava: So sometimes this revenue also depends on the product mix, which you sell during the quarter, right? So, it's difficult to say that. So, what we said that, yes, the revenue has increased, but volume has been flat. So, because of product mix.

We have almost 40 products to sell. So, depending on which product mix, sometimes it happens.

Siddharth Gadekar: Sir, secondly, in terms of agrochemicals, can you just point out which products actually have seen a slowdown that has impacted our performance?

Rajesh Srivastava: So, agrochemical pyridine and some pyridine derivatives because we have mainly

pyridine, pyridine derivatives, which we are selling to agrochemical customers.

Siddharth Gadekar: So, the end agrochemicals, if you could highlight which are the agrochemicals which have seen the decline?

Rajesh Srivastava: Yes. The biggest one is Paraquat, Diquat which is produced out of pyridine and there are many host of products where we supply.

Siddharth Gadekar: And lastly, in terms of our capex, we have removed the capex slide from the presentation. Is there a change in our capex guidance or anything?

Rajesh Srivastava: No. Actually, for so many quarters, we have been just repeating the same picture. and that we did because we formed a new company, we wanted much better communication, but I now don't want to confuse you guys. But there is no change in our guidance, as I said earlier. It's just that we made our presentation much more cleaner, but of course, if there is any clarification question like you are asking, there is no change in capex.

Siddharth Gadekar: Also, what should be the capex for FY24 and 25 then?

Page 12 of 25 Rajesh Srivastava: So 24-25 or 23-24?

Siddharth Gadekar: FY24 and FY25? For the next 2 years.

Rajesh Srivastava: Okay, FY24, FY25. So, FY24, I think we have a guidance of almost INR700 crore cash outflow and FY25 should be close to INR600 crore as we said earlier, if you see our earlier presentation.

Moderator: The next question is from the line of Jainis Chheda from Spark Investment Advisors.

Jainis Chheda: My question is more to do with the power cost, which has gone up substantially, it's a contract from FY21 and FY22? And also, there is jump in the other expenses. So, can you help us understand how the power costs are likely to move in coming 2 to 3 years? And how will it impact the profitability?

Rajesh Srivastava: So, if you see the quarter 4, our energy costs are close to normal situation, of course, a little higher, but it used to be very high in Q1, Q2, Q3. But we have arrested it, as I said. One is that coal prices have come down. Secondly, we have done a lot of efficiency improvem

ent. And also, if you see our consumption profile in efficiency improvement, we have improved. So, I think there is not much now in terms of very high cost of power and fuel. But of course, we are working further to optimize our energy cost. But yes, FY22 has been very high as you have seen that.

Jainis Chheda: Yes. So, the steady state basis, what will be the power cost as a percentage of sales or some other ratio that you can help us with.

Rajesh Srivastava: Again, percentage becomes very difficult because in our case, sometimes revenue becomes difficult to explain because of raw material prices. But on an average, if you see last year, we have been close to 18% of our revenue on our energy cost. So that percentage keeps changing. Right now, I think in Q4, it is close to about 23%, that's what I said that maybe little bit more improvement will be close to our normal situation.

Jainis Chheda: Okay. And in terms of the Nutrition business, what is the outlook for FY '24 and for next 5 years and for next 3 years as well?

Page 13 of 25 Rajesh Srivastava: So, for 3 years, it is very difficult to confirm, but I can only tell you that in Nutrition business, the situation, we can see today is improving both in terms of price as well as demand. So, we are happy to say that, of course, this quarter, we will have lag. But by end of this quarter, our situation is coming much, much better than what we have been earlier.

Jainis Chheda: Okay. You have previous margin around 20% at time in Nutrition business in terms of lag. So, what will be our sustainable number is what we are trying to understand?

Rajesh Srivastava: I think we hope that H2 should be in a position to catch up.

Moderator: The next question is from the line of Rohit Sinha from Sunidhi Securities.

Rohit Sinha: One is that how we are seeing this Chinese market before and after the reopening of economy which all we are talking about and how it is now increasing our business segment?

Rajesh Srivastava: I missed your point. You were asking about Chinese market.

Rohit Sinha: Yes, yes. How are these Chinese markets actually influencing our business and how mainly it has influenced before and after the opening of this economy?

Rajesh Srivastava: So, we have been seeing that few products like Niacinamide or maybe some base products of pyridine where we have some competition from China and of course, if China gets aggressive, we get impacted. But most of our other products like CDMO and other specialty derivatives, there is hardly any competition we face. And in Chemical Intermediates, there is no competition from China. So, I don't think there is much impact in these businesses. But some products like Niacinamide, we have competition in China. Pyridine, we have competition in

China. So, we see if China becomes aggressive, then of course, we see the impact in price reduction.

Rohit Sinha: Okay. So, any change we have seen in the last few months especially, I mean, already, we are seeing kind of pressure in pyridine and Niacinamide. So, any improvement as of now? Or still it is the same situation?

Page 14 of 25 Rajesh Srivastava: Yes. So Niacinamide, I already said that improvements are happening now. Niacinamide, we can clearly see the improvement both in demand as well as pricing. And China has really come out of material. So obviously, situations are improving.

Rohit Sinha: And sir, one thing that what are the factors or measures, which should help us in sustaining the margin Speciality Chemical despite the volatility in the Acetic Acid prices or raw material, let the price be up or down, but we should at least manage to hold somewhere average margin in the segment. Or it may be, again, the question that we are looking at actual EBITDA growth or EBITDA margin improvement in that segment?

Rajesh Srivastava: No, Specialty Chemical is not that situation. You can say Chemical Intermediate, I can agree with you that depending on Ac

etic Acid, our margin percentage may vary. But yes, in Chemical Intermediates, we continue to see our EBITDA improvements because of volume growth. Coming back to Speciality Chemicals, we have more or less stable margins in most of the products, but sometimes when the market situation like we have now, which is not only for us, it is for the global. There, then it becomes difficult to hold the prices and we have to compete with the market. And that time, we have to really see our margins going down. But in specialty, it doesn't happen that raw material prices goes up, so our margin will go down.

Rohit Sinha: No. Just because this quarter, obviously, we are facing a different kind of pressure, but that is where I was indicating that it should not be coming again going forward as I think we were also saying that this should be a bottom out kind of situation.

Rajesh Srivastava: Yes.

Rohit Sinha: Okay. And one last question, if I can squeeze in. In power cost, earlier there was also a question at how you are placed going forward. So, as we are seeing that therefore on quarter-on-quarter, we are improving on power cost. So how we are now placed with the coal dependency? And are we still looking the opportunity Page 15 of 25 for renewable process? I mean putting our plant and or looking for sourcing the renewal.

Rajesh Srivastava: Overall coal prices have come down, as you know. So overall cost has come down. But in Gajraula, we see some positive results in terms of our contract volume supplies. Some volumes have started coming in. So that is why you see improvement. Coming back to further improvement, as we have said in our speech also, in Gajraula, now we are also going to get connectivity of grid. So of course, our power cost will further reduce and also, we are working on sourcing the renewable energy, which is solar and wind combined.

That something will happen after a year or so, maybe 1.5 years so that we are not committing for this year. But yes, we are working, which will long term give us the benefit starting next year onwards. But currently, I think situation is very much in control both because the overall market price of coal has come down and Government has eased a little bit of supplies of contracted coal in Gajraula.

Moderator: The next question is from the line of Nitesh Dhoot to from Prabhudas Lilladher.

Nitesh Dhoot: So, my first question is on the Specialty Chemicals and on the CDMO side. So, we had a couple of contracts totalling INR270 crore. So that was to be executed over a 3-year period. How much are we targeting to execute in FY24 from this contract? And if you can provide a revenue guidance for CDMO facilities overall for FY24.

Rajesh Srivastava: So that contract, which we had informed you is happening as contract volume. There is no change. Of course, what happens in these customers, sometimes the volumes you dispatch in one quarter and then second quarter, the volumes does not go. So, quarter-on-quarter may vary. But on an annual basis, whatever the customer has asked for is happening. There is no change.

Nitesh Dhoot: Okay. So, any number that you can ascribe for the CDMO revenue potential at an optimal utilization, any number that we can work with?

Page 16 of 25 Rajesh Srivastava: So earlier also, we have said that the new GMP facility, which we have just commissioned is going to add up the revenue in our CDMO business. And that revenue, it will normalize coming up in the H2 of this year because plant is picking up in capacity. And of course, as to onwards, our CDMO revenue also will go up.

Nitesh Dhoot: Okay. Okay. And sir, where have we reached on our Diketene derivatives plant utilization? And if you are maintaining our 70% utilization guidance for FY24 there.

Rajesh Srivastava: Yes, we are very close to 65% of our utilization. We are hoping that it will continue to improve in going quarter.

Nitesh Dhoot: Okay. Sir, on the Chemical Intermedi

ates side, where would we be on the capacity utilization of the CI segment for Q4 and for FY23 as a whole? And I mean, separately for Acetic Anhydride and Ethyl Acetate if possible.

Rajesh Srivastava: On Acetic Anhydride, other than this new plant, which we have just commissioned, I think we are operating at 85% to 90% capacity, and that is the reason we brought this new capacity. And in the current quarter will be our first quarter where the new capacity will be sold. And of course, we have a plan to slowly gear up on volume gradually. So, we have a plan in the next 1.5 to 2 years to use this entire capacity, which is about 50,000 tons. So, quarter-on-quarter, we will have improved volumes from this capacity.

Nitesh Dhoot: So, in a couple of years' time, you're looking at a full utilization there?

Rajesh Srivastava: Yes. We always say that, but it also depends on demand like in last plant we said that this will take 2 to 3 years. But fortunately, because of market conditions within a year, we could utilize the capacity. So, you never know, we always give a guidance, which we can definitely do it. So yes, in a couple of years, we will be in a position to utilize this capacity.

Nitesh Dhoot: Okay. So, have we already seen a base EBITDA number for the segment at INR960 crore with the pricing and the spread normalization that has happened for the older capacity? I mean or do we expect further spread compression coming up?

Page 17 of 25 Prakash Bisht: Unless there is very severe market headwinds we face, I don't think there will be change in this base profile. You never know in commodities; something very drastically happens. You don't know. But in normal situation, I think we should be seeing similar level or better because our volumes are going to be better.

Nitesh Dhoot: Sure. Sure. Sir, one question on the management change. So Mr. Anil Khubchandani's exit at a time when the company is in the middle of executing a large capex, especially on the Specialty Chemicals side. So, anything to read into this? Or if you can give some colour on this.

Rajesh Srivastava: I don't think there is much to read about it. I mean, it's a market where he found his next inning better somewhere else. He decided to move on. Of course, it's not a good situation for us, but we have our successive pipeline so strong. Our structure is such that the below, we have all the business heads who are taking business, Anil was responsible for Specialty Chemicals business, which is consisting of 3 or 4 smaller business units.

Those business unit heads are already at place. They are taking care of their business. I am already there, and there is now a new head for a leadership point of view. So, I don't think there is anything to be read more in this. But yes, anybody leaves the company. There is a situation where we don't feel good about it. But I think as some business continuity point of view, I don't see any challenge as of now.

Nitesh Dhoot: So, one last question, if I can just squeeze in before I come back in the queue. So, sir, how are we confident of the impact on the Specialty Chemical side and when we say that this is a one-off, 1 quarter impact. Because if I draw a parallel from what we experienced over the last year or so and what we initially perceived to be a short-term impact in case of Nutrition segment, or in case of the coal issues on the Specialty Chemical side. So, I mean, how are we so confident that this challenge will go away in a quarter's time.

Rajesh Srivastava: No. So, we are also looking at the market. You are also looking at market. I'm also reading that agrochemical market situation should improve in H2. If you read anywhere, any company in terms of agrochemical performance, everybody is Page 18 of 25 saying that H1 is going to be tough, H2 has to improve, and that's how we can envisage. I don't think I'm saying anything new.

Moderator: The next question is from the line of Dhruv

Muchhal from HDFC Mutual Fund.

Dhruv Muchhal: Question similar to the earlier ones. On the Spec Chem, for the last 2 years, a decent part of the growth in Spec Chem was driven by agro. I get data from your presentation. Your Agro and specialty revenues have moved from about INR300 crore to about INR700 crore in the last 2 years, FY21 to 23. And now that we are hearing all about China recovering back, normalizing and all those things. Our revenue growth was also coinciding a lot with the disruption, which has happened globally. So, I'm just trying to understand, is there something which was some

kind of one-off benefits that one should be aware of when you're thinking about the growth in the future?

Rajesh Srivastava: So if you see the regularly for last 7, 8 quarters, our performance of Specialty Chemicals has been improving both in pharma and agro and this time in this quarter, we have seen a very, very poor demand from agrochemical customers, and therefore, there is a performance gap but I don't see that this is something which is changing our regular performance of Specialty Chemicals business.

Shyam Bhartia: See, just to add that we hear from our customers that from H2, the demand will be normal. And that is why we feel that the customers who we are supplying the material, their excess stock of agrochemicals line with them because of lower demand of agrochemicals in Brazil and U.S. Therefore, they feel that this excess production which they have with them will be used by North America and Brazil and Europe. So therefore, we strongly believe that listening to our customers that from H2, the demand should be normal.

Dhruv Muchhal: Sir, I was just trying to dissect it because there is a lot of news flow that China is now back to normal versus what it was in the last 2, 3 years. So, this is not because of China recovering.

Shyam Bhartia: No, no. This is not because of China because our agrochemical companies in U.S. and Europe, they have surplus production lying with them on the finished

Page 19 of 25 agrochemical because of lower demand of agrochemicals in Brazil and in U.S., mainly and in Europe. Therefore, they as soon as stock levels will come down, they will start buying them. This is what we hear from our customers, there's nothing related to the Chinese Market.

Dhruv Muchhal: Yes. Sir, the second thing is on pyridines. Now based on a basic understanding, Pyridines also find a lot of application in some of the newer molecules, I mean, you might not directly be linked to it, but indirectly, your products might go, or some other competitor pyridine products be going. So, I'm just trying to understand your earlier comment that your products or pyridine products are largely into Generics. Just wanted to get some better understanding there.

Shyam Bhartia: See pyridine products are used in various uses and the new uses of these products are in electronic products like in the electronic circuit board also it is being used.

So, I'm just saying that new uses of product is coming in. But the overall demand increase is about 3% to 4% only. New uses are coming, which is a higher value pricing. But of course, the total demand is growing only at 3% to 4%.

Rajesh Srivastava: In case of pyridine if you see that all the new product development, which we are doing, we are taking care of many industries, so there are a lot of derivatives, which we are planning. And every year, we are launching 4 or 5 new derivatives.

So, pyridine for us, we say pyridine but there are almost 35, 40 products which we regularly sell which are used for pharma, agro, electronics, personal care, all those uses.

Shyam Bhartia: And just as a comment I'm telling you, that in pyridine, 40% pyridine is used internally by us. So, it is important for you to understand that we are also making new intermediates. New intermediate means new captive consumption goes up. So, we are adding value. Our objective is to add

value to pyridine in next 3 or 4

steps and then meet the requirement rather than selling pyridine.

Dhruv Muchhal: I got it. Sir, that is question, if you have a lot of inter-segment consumption, ideally, that should have knocked off in the intersegment revenue reporting, but that does not happen, probably take that offline.

Page 20 of 25 Shyam Bhartia: Pyridine-based intermediates, which are used in agrochemicals, the demand for this was less so our sales was less. So now that demand will become normal, then our sales will go up.

Dhruv Muchhal: Sir, the second question is on the capex for FY24, you mentioned INR700 crore. I believe the capex that you had earlier in the presentation mentioned this committed capex, large part is done in the end of FY23 or probably commissioned in early FY24. So, what is this capex now for INR700 crore, if you can probably mention the key projects?

Rajesh Srivastava: Okay. So, if you see our last presentation, the key capexes are this non-GMP multipurpose, which is going on. We have expansion of our Vitamin B3 into cosmetic grade, which is now going on. We have plans to approve vitamin B4 food grade capex then we have plans to add one more GMP facility. All that what we have said earlier in our last presentation is still prevailing. And we have said INR700 crore this year is still prevailing. So, there's nothing changed. If you see last presentation, you will find everything.

Dhruv Muchhal: Okay. Because a lot of these projects were not to be committed. So probably they have converted to committed now, is it?

Rajesh Srivastava: Yes, yes., yes. Of course. So, quarter-on-quarter, we keep taking decisions on those capexes which are ready with design, development, everything. So, it takes time. First, you develop a product, then you pilot it, then you design it, then you take a call of capex approval. So of course, we take it gradually, not all together.

Dhruv Muchhal: Sir, last question on the food grade ascetic asset. It's about a year now. So how is the ramp up? I think in the last call, you mentioned it takes a year or so about to get the approvals done.

Rajesh Srivastava: So, food grade acetic acid very much on place. We have a good product, quality product GMP plant being audited by customer now and volumes are picking up slowly. So of course, this is a product which is low volume, low pack size, going to food customer, we can't expect a large tanker load, but it is picking up very well. So, it will pick up. Of course, it will take a little time to gear up in the customer Page 21 of 25 segment to catch up the volume, but very well done in terms of facility being audited by customers. So, we are well placed. It's doing well.

Moderator: The next question is from the line of Rahul Veera from Abakkus Asset Managers.

Rahul Veera: Sir, the plants that are coming online and the opex is where the demand for the segment is only going to improve in H2. What is the probability for the overall consol EBITDA to degrow next year?

Rajesh Srivastava: Next year means FY25?

Rahul Veera: Yes, FY23 over FY24.

Rajesh Srivastava: FY24 over FY23.

Rahul Veera: Yes.

Shyam Bhartia: So far, we are confident that the EBITDA of FY2024 will be better than FY2023.

Rahul Veera: Okay. And what is the operating cost coming from on the new plant, sir, at opex level? And if they are working at 10%, 15% utilization given the demand scenario, I believe there will a large cost that will come in the opex, sir?

Rajesh Srivastava: Not all plants are 10% to 15% operating. Most of the plants, we start with full operation. Of course, during the year, the volumes will start picking up. But once you start the plant, you have to start full plant.

Shyam Bhartia: I can only tell you that our cGMP facility and also non-CGMP facility. From H2, it will be 100% utilized. 100% means probably 85% will utilized.

Rahul Veera: Okay. And given the current prices of the Specialty Chemicals, even

n at 85%, will it break even?

Shyam Bhartia: No, this will be a CDMO.

Rajesh Srivastava: cGMP is mostly pharma. So, it's not agro basically.

Rahul Veera: Okay. Okay. And for pharma, the demand is still maintained?

Page 22 of 25 Rajesh Srivastava: Yes, still there.

Shyam Bhartia: So, see cGMP is pharma. And non-cGMP is also agro and some extent of pharma also. But demand for agrochemicals from H2 is going to be normalized. So, from H2, all our plants are going to be used by at least 85% because that is why we put our plants because there is a demand for our products. And we are confident that we will use 85% of the cGMP.

Rahul Veera: So, I'm just trying to understand, like if we take the sequential EBITDA degrowth from Q3 to Q4, it's almost been like a INR50 crore degrowth.

Rajesh Srivastava: But that sequential EBITDA degrowth is not only Specialty Chemical. If you see Nutraceutical, we have significantly dropped in EBITDA. That is the major issue.

That is improving now. So, you will see overall performance going to be better.

Rahul Veera: Right. But sir, overall, if you see continue the same argument again, given the current prices of Pyridines or even the opex that will come from the new plants, EBITDA, in my view, even if there's an offsetting factor of power savings or offsetting factor of Niacinamide improvement on the Nutrition segment, there should be EBITDA degrowth.

Shyam Bhartia: No, see our performance on Specialty Chemicals, from H2, it is going to be totally normal. Plus, new plants will add to the additional sales that will give us leverage rather than deleverage, firstly. Secondly, on Chemical Intermediates, because of our new acetic anhydride plant starting, our over sales will be better. Now on Niacinamide, we have already told you that we expect the situation in Q1 has improved substantially. Q2 we expect to be better. And going forward, we expect the situation to be normal as we use to operate normally. Last year was a very unusual situation. Basically, in H2, if you see, it was very, very low. H1 last year was also reasonably okay in Niacinamide.

Rahul Veera: Sure. Sir, just one last question from my end. I wanted to understand what have been the incremental depreciation or interest costs that will come for FY24?

Page 23 of 25 Prakash Bisht: So, it will be in the range of INR20 crore to INR25 crore on depreciation. And about interest will be in the range of INR15 crore to INR20 crore.

Rahul Veera: Incremental?

Prakash Bisht: Yes.

Moderator: The next question is from the line of Tarang Agarwal from Old Bridge Capital.

Tarang Agrawal: A couple of questions from me. If I were to look at your Nutrition business, what will be the indicator that you think help this business move up? I mean, last one year, we've seen a significant compression in this business, because of market dynamics. So, what are you seeing now which is leading to the believe that Q1 situation is improved, and it should consecutively move up?

Shyam Bhartia: See, last year, there was 2 factors. One is the Avian flu in Europe and then Avian flu in U.S. So, if you see this Avian flu reduced the total requirement of the listing and supply was more. So, the prices also went down. But now the Avian flu effect is gone. And now the situation is normal, and we strongly believe, and we are seeing in the market today both the volumes and the price going up, what we are telling you what we are seeing in this quarter. So, we expect the H2 performance is likely to be good in Niacinamide, both on volumes and price. What we are telling you that we are seeing that is not that we expect. That's why We have stated that.

Tarang Agrawal: Got it. And sir, given how this market has been under pressure last year, are there significant inventories that are there?

Rajesh Srivastava: No. So as Mr. Bhartia said that in the beginning, it was the impact of flu for 2-3 quarters. But then last 1.5 quarters, we have been

en facing the liquidation of

inventory. So therefore, the prices are under pressure. But now the inventory is almost gone, it's normalized. And then only we are seeing the market situation coming up. So, there is no inventory in the pipeline.

Tarang Agrawal: Sir, second question is basically, if I look at your Specialty Chemicals and Chemical Intermediates business, the indexation of both these businesses to pharma is Page 24 of 25 reducing. I mean, percentage of revenues coming from pharma for both Spec Chem and Chemical Intermediate, that successively gone down. So, I under agrochemicals grown but is there any specific development in the Pharma segment that you all are seeing?

Rajesh Srivastava: So, let me tell you both. First, we start with Chemical Intermediates. Chemical Intermediates, pharma, mainly is paracetamol and ibuprofen. In that market, we have a very strong market share. And whatever market growth is happening, we are also growing. Now in Chemical Intermediates business, in Acetic Anhydride there are multiple uses where the growths are happening, like for example, in agrochemical is one part of it. There are other products which are also growing. So obviously, where the market will grow, we will also grow.

So, there is nothing wrong happening in pharma. It is just because the other end uses are growing better. Obviously, our volumes will also grow better. And the same is happening in Specialty Chemical. There is not a bad or something going down in fact in GMP, we are going to add capacity in GMP. So as much, we will add capacity in pharma, we will have the growth in revenue from Pharma also and at the same time, there is a growth happening in agro also. So, there is no fundamental change which is happening. If the demand is going a little higher in agro, we will do there equally better.

Moderator: We'll take the last question for today, which is from the line of Siddharth Gadekar from Equirus Capital.

Siddharth Gadekar: Yes. Also, just on the food grade acetic acid. So how do we look at the utilization for FY24 and FY25?

Rajesh Srivastava: FY24, we see that we will be in a position to utilize approximately 50% of the plant.

Siddharth Gadekar: Sir, secondly, in our Specialty Chemical again, now what we are looking in the market is that this quarter will be a peak destocking quarter where even domestic agrochemical companies have lowered their production. So, is it fair to assume that the revenue contribution from Specialty Chemicals in first quarter will be Page 25 of 25 lower versus last year? How should we look at it? So even our profitability will be lower in the first quarter?

Shyam Bhartia: We expect the demand to pick up slowly and will get normal by the H2. So, It's not that total demand is not there. Total demand is less than the normal demand that we were getting from our customers, mainly international customers. So, I think what we hear from them, what we hear from our customers, that demand will, of course, gradually go up, but ultimately it will become normal in H2.

Siddharth Gadekar: Just specifically from the next quarter, given that we are almost 45 days into the first quarter, so we would be having a fair sense of how things are because what I understand is at the entire margin deterioration or the volume decline that has

happened would have happened after 15th or 20th February, that is where we have seen that impact in the global market. So now given that you have 45 days into the quarter, is it a fair to assume that even first quarter would be on similar lines or would be better than this or worse than this.

Rajesh Srivastava: Yes. First quarter also is in the similar lines so far. But we still have half of the quarter. So far, we are seeing the same situation. Yes.

Moderator: This was the last question for today. I would now like to hand the conference over to Mr. Pavleen Taneja for closing comments.

Pavleen Taneja: We thank you all fo

r joining this call today. We hope we have been able to answer your queries. For further clarification, I would request you to contact me. And thank you once again for your interest in Jubilant Ingrevia Limited.

Moderator: Thank you. Ladies and gentlemen, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc.

The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jul 2023

July 31, 2023

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investors' Conference Call for the quarter ended June 30, 2023

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors' Conference Call for unaudited financial results for the quarter ended June 30, 2023, held on Thursday, July 27, 2023.

The link to access the transcript of the earnings conference call is given below:
Microsoft Word - JVL - Q1FY24 Earnings Transcript Final (jubilantingrevia.com)
We request you to take the same on record.

Thanking you,
Yours faithfully,
For Jubilant Ingrevia Limited
Deepanjali Gulati
Company Secretary
Encl.: as above
BSE Limited
Floor 25, P. J. Towers
Dalal Street, Fort
Mumbai - 400 001

Scrip Code: 543271 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Trading Symbol: JUBLINGREA
Page 1 of 20 List of Management Attendees

1. Mr. Shyam Bhartia, Chairman
2. Mr. Hari Bhartia, Co-Chairman
3. Mr. Rajesh Kr Srivastava, CEO & Managing Director
4. Mr. Prakash Chandra Bisht President & Chief Financial Officer
5. Mr. Pavleen Taneja, Director Investor Relations

External Participants during Q&A session

1. Tarang Agarwal – Old Bridge Capital
2. Harsh Shah – Dimensional Securities
3. Sanjesh Jain – ICICI Securities
4. Nitesh Dhoot – Dolat Capital
5. Siddharth Gadekar – Equirus Capital
6. Resham Jain – DSP Asset Managers
7. Rohan Gupta – Nuvama Wealth

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Jubilant Ingrevia Limited
Q1 FY24 Earnings Conference Call
July 27, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Jubilant Ingrevia Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this

conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja, Director, Investor Relations, Jubilant Ingrevia Limited. Thank you, and over to you, sir.

Pavleen Taneja: Good evening, everyone. Thank you for being with us on our Quarter 1 of Financial Year 2024 earnings conference call of Jubilant Ingrevia Limited.

I would like to remind you that some of the statements made on the call today will be forward-looking in nature and a detailed disclaimer in this regard has been included in the press release and results presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia, Chairman; Mr. Hari Bhartia, Co-Chairman; Mr. Rajesh Srivastava, CEO and Managing Director; and Mr. Prakash Bisht, CFO, Jubilant Ingrevia Limited.

I now invite Mr. Shyam Bhartia to share his comments. Over to you, sir.

Page 3 of 20 Shyam Bhartia: Thanks, Pavleen. A very good evening to everyone. Thank you for joining us on Q1 of Financial Year 2024 earnings conference call of Jubilant Ingrevia Limited.

We are pleased to announce stable performance in Q1 FY '24, given the backdrop of uncertain market conditions, especially in Agrochemical end use markets. In our Specialty Chemical business, demand from our agrochemical customers globally continue to face headwinds due to exceptionally higher pipeline inventories. However, the demand for our Pharmaceuticals and other customers has improved leading to improved price realization and margins from these products, including CDMO.

In our Nutrition & Health business, Niacinamide volumes improved significantly resulting in revenue growth. We continue to witness improved price realization due to

higher demand in the segment. Business continued to maintain global leadership position in Niacinamide and focus on niche segments like food and cosmetics.

In our Chemical Intermediates business, we continue to improve our market share in key products, Acetic Anhydride, despite challenges of lower demand from agrochemical end user segment. We also witnessed lower price realization in the segment due to pricing pressure from agro end users of Acetic Anhydride and lower realization of Ethyl Acetate in export and domestic markets. We are witnessing softening of coal prices, with that, our overall energy cost is expected to normalize. We remain committed towards our growth plans and confident that our well-defined capex plan will deliver structured growth as planned.

I would like to wish to update you with the leadership change announcements.

Rajesh Kumar Srivastava would superannuate effective 30th September 2023 from CEO and MD of the company. Rajesh joined Jubilant in the year 2000, and since then, he has held various leadership positions. He has grown the business and established a very strong leadership team.

He established a deep culture of innovation, process and manufacturing excellence.

He played an active role in developing global presence and brand of Jubilant Ingrevia. We thank Rajesh for his contribution in the Company's growth journey and Page 4 of 20 place on records our appreciations for the services rendered by him and his unwavering commitment to Jubilant.

We are pleased to announce that Deepak Jain will be appointed as the CEO and Managing Director of the company with effect from 1st October 2023. Deepak has more than 18 years of rich and diverse global experience with Bain & Company, where he has been working as a senior partner responsible for APAC - Advanced Manufacturing and Service Practice covering automotive, chemical, cement industries. We welcome Deepak to the Jubilant family and wish him a long and successful career with the company.

With this, now, I hand over to Rajesh to discuss about the business in detail.

Rajesh Srivastava: Thank you, Mr. Bhartia for the kind words of appreciation. A very good evening to all of you. At the outset, let me welcome you all for joining us today for Q1 FY '24 investor call of Jubilant Ingrevia Limited. I sincerely hope that you and your loved ones are keeping very well.

Let me now take you through the financial and operational performance of Jubilant Ingrevia Limited for the first quarter of financial year 2024. We are glad to inform you that after almost a year Nutrition & Health Solutions business witnessed a healthy bounce back in global demand of Niacinamide resulting into healthy volume and revenue growth year-on-year basis.

Specialty and Chemical Intermediates business faced headwinds in demand, especially from agrochemical customers leading to lower revenue realization. Revenue during the quarter was also impacted due to lower price realization of Acetic Anhydride as well as Ethyl Acetate because of lower Acetic Acid prices.

Overall business has improved EBITDA and margin sequentially due to better price realization from Niacinamide as well as Specialty Chemicals product from Pharmaceutical customers. However, EBITDA and margin performance year-on-year basis is lower due to lower demand from Agrochemical customers. On the energy cost front, our plans to reduce overall energy cost are well on track, both at generation side as well as at consumption side.

Page 5 of 20 Now, let me take you through the updates on all our three business segments.

Specialty Chemicals: We registered growth in volumes of Specialty Chemicals products, including CDMO from our Pharmaceutical and other customer resulting into normalization and sequential improvement in the margin for the segment overall. However, demand from our Agrochemical customers have faced significant headwinds, leading to lower revenue both year-on-year

as well as sequentially.

Our GMP and non-GMP plants for CDMO products, which we commissioned in last quarter are ramping up as per plan and are helping us to meet increased demand from our CDMO customers. Business continues to see improved demand from Specialty Chemicals products, including CDMO from non-agrochemicals segment use and our newly commissioned plant would see improved capacity utilization.

Nutrition & Health Solutions: In Q1 FY '24, our Nutrition & Health Solutions business has recorded a significant improvement in revenue both year-on-year basis as well as sequentially mainly due to higher demand of Niacinamide globally. Business has also witnessed significant improvement in price realization of Niacinamide globally. Demand of Niacinamide continue to be normal and price realization is in the process of stabilizing. Business continues to focus on expanding our global market share of niche segments like food and cosmetics.

To meet up the increased demand of this segment, we had already approved capex of new GMP compliant facility for producing cosmetic and food grade Niacinamide.

The work on this capex is on track. The developmental work for Food grade Vitamin B4 is almost over and business is at advanced stage of finalizing the capex for GMP compliant facility of Vitamin B4. Approval shall take place in the ensuing quarter.

Animal Nutrition & Health Solutions business continues to focus on its specialty products and to meet up the increased demand of these specialty products.

Business is working towards bringing up new capex for enhancing capacity for Specialty Premix products.

Chemical Intermediates: The business successfully managed to place higher volume of acetic anhydride globally for which has resulted in higher capacity utilization, our Page 6 of 20 newly commissioned plant of Acetic Anhydride at our Bharuch facility. Our Chemical Intermediates business has recorded lower revenue during the quarter over last year, mainly due to lower price of Acetic Acid, leading to lower price realization of both Acetic Anhydride and Ethyl Acetate.

Chemical Intermediates business EBITDA for the quarter was lower than last year, mainly on account of lower price realization of Acetic Anhydride, especially from Agrochemical customers due to global pricing pressure in their products. Business continues to rationalize sales of Ethyl Acetate due to excess supply, while the demand of ethyl acetate has further impacted negatively in EU and U.S. regions.

We expect the sluggish demand from agrochemical customers to continue for some more time. However, we expect improvement in our future performance on account of improved market situation of Niacinamide as well as the Specialty Chemical products including CDMO, especially from non-agro customers.

Other financial details: Net debt of the company as of 30th June 2023 was Rs. 492 crores and net debt-to-EBITDA ratio was at 0.89x on the basis of trailing 12 months EBITDA. The net working capital percentage to turnover and number of days of working capital for Q1 were at 20% and 73 days, respectively. The capital expenditure during quarter was Rs. 180 crores. The company continues to remain under the old tax regime and effective tax realization for Q1 stands at 29.1%.

With this, I would conclude our opening remarks. We will now be happy to address any questions that you may have.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Tarang Agrawal from Old Bridge Capital.

Tarang Agrawal: I have three questions. One, sir, despite coal prices coming off, we haven't seen a similar relaxation on your power and fuel spends. So, if you could give us some sense as to how that's going to move going forward?

Number two, in the Specialty Chemicals business, I think we are well aware of probably what's happening in the AgChem space. Sir, if you could give us a sense in

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terms of, how are our volumes in the non-AgChem space in terms of percentage growth and what was the de-growth that you witnessed in the AgChem space? And how are you all seeing yourself or how are you all seeing the AgChem business to resume?

And the third, I believe, in mid-April acetic anhydride capacity was commissioned.

So, given the current market structure, how do you see the ramp up of that facility?

Rajesh Srivastava: Okay. So your first question on coal, if you see our coal and fuel value wise, yes, you are right from last quarter, we are almost close to the same number. But look at the volumes, because the volumes have grown, so effective coal and fuel prices per ton has come down.

And if you see from last year level, we are already down by almost 20% to 25%. So there is a significant improvement and there is a continuous improvement, which is happening on coal prices, which you all know. So you will see further reduction on effective coal and fuel price realization in our business.

Second question, on AgChem business, if you see our presentation, our AgChem ratio of our revenues is down from 40% to 33%. So that gives you an indication what is the reduction of AgChem business in our overall revenue. And all that, you see the increase in pharma is in almost double-digit in terms of our pharmaceutical products and CDMO.

On third question, the acetic anhydride plant we are -- as we stated in our speech that our volume has gone significantly high in acetic anhydride in last quarter and that has happened because of the demand from pharmaceutical customer and other end users other than Agrochemical customers.

Currently, if you see our overall capacity of anhydride, we are close to 80% utilization all across the sites. We now run anhydride in three of our sites, and in total capacity, we have produced and sold, last quarter close to 80%.

Tarang Agrawal: Okay. Sir, just one follow-up. Thank you for these answers. Just one follow-up sir.

Historically, if I look at FY '21 and 2022, right, power and fuel, as a percentage of Page 8 of 20 your overall cost, ranged at about 10% to 11%. That number sort of zoomed up to about 17% because of market conditions in FY '23. Now, if I look in Q1 FY '24 as well, that number continues to remain at about 15% to 16% of your overall cost. So I would believe that if volumes are going up and the thermal coal prices are coming off, this percentage ratio should come back to, if not 10%, maybe 11%, 12% eventually. Is that the right way to look at it?

Rajesh Srivastava: No, because we have variety of products. We have -- we have so many products. So it depends also on product mix. In the Chemical, certain products uses steam and power much more than other products.

So if the product mix changes, it is very difficult to analyse that what is the value based on per ton. But if you see the overall normalization of coal prices, we -- I think we will not go back to 2021 prices ever because overall prices of coal -- even our FSA have gone up.

So what you will see today, there is an improvement possible and it is continuously happening. But if you ask that it will match to 2021, I doubt. It will not.

Moderator: The next question is from the line of Harsh Shah from Dimensional Securities.

Harsh Shah: Sir, first question is on the gross margin, which has seen market improvement sequentially from 43% to 48%. So going ahead, what is the level of gross margin? Is this sustainable at 48%, 49% going forward?

Rajesh Srivastava: You are talking about gross margin?

Harsh Shah: Yes. Gross margin.

Rajesh Srivastava: So gross margin today what you see is very much sustainable. There is no -- there is no doubt in that.

Harsh Shah: Okay. Okay. And my next question is again -- so it's related to power cost and also the realization because every quarter over last 4 to 5 quarters, we have seen that the realization has -- is growing everywhere. Just previous quarter Q4,

we were

Page 9 of 20 seeing the realization across products are coming down. This quarter in certain sectors, we saw that the realization is improving.

So is there any way we can track the realization, if any data point on quarterly basis, which you can give us, if you can give us a better indication about what exactly -- how the product mix is evolving for the company?

Rajesh Srivastava: So well, let me also add a point on your first question. When you talk about gross margin, the percentage is little bit -- it's difficult to say because if the raw material prices goes down, you sometimes see gross margin percentage goes up. But what I said will be maintained is the -- definitely better value. But percentage is very difficult, because right now, you see the acetic acid prices are very, very low level. So that's why you can see little bit a better percentage. But -- so but value-wise, yes. we definitely are very sure that it'll be maintained or it will be better.

Now, coming to your second question. On the realization product-wise, I mean, we can separately sit with you and explain you that which product realization is going up, where the product realization is going down depending on the product mix, but it is difficult to give those details right now in the call.

Harsh Shah: Not in the call, but it's for everyone's benefit, if we can give volume data for all the 3 segments in kilolitres terms. I know we must be having a lot of SKUs, but if we dumb it down to kilolitres that in Chemical Intermediates, we sold ex-kilolitres, in Specialty, even if it's aggregate and it can help us derive some numbers to work with.

Rajesh Srivastava: Okay, understand, yes, yes.

Harsh Shah: And last question is on the Chemical Intermediates side, you have mentioned in the PPT that the realization has gone down, but we've seen increase in the margin. So what was the reason behind that?

Rajesh Srivastava: Basically the acetic acid -- as I explained, acetic acid prices are so low, you see the better margin in terms of percentage.

Harsh Shah Okay.

Page 10 of 20 Rajesh Srivastava: We need to focus on the value.

Harsh Shah: Okay. So in absolute terms also we have maintained margins?

Rajesh Srivastava: Yes. Value-wise, absolutely.

Harsh Shah: Understood.

Moderator: Next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: First on the agrochemicals side, just wanted to understand a little bit more, is it that the customer were sitting on excess inventory and they're normalizing or do you think the higher interest rate is hurting the agrochemical player in terms of keeping the inventory and bringing it down? What is leading to this destocking? And when do you see the revival happening in the agrochemicals business? That will be very helpful.

Rajesh Srivastava: Based on our discussion with our customers, what we understand, there are two reasons for this situation of agrochemical. One is the weather conditions in Brazil, U.S. and Europe in last 6 to 8 months have been very, very difficult, and that has actually reduced the demand.

And the second is that the customers have piled up the inventory in anticipation of higher demand. So some of the customers have inventory up to even 10 months. You can imagine that this kind of inventory liquidation will take time. Though we estimate that this situation should be as per customers, it should be normalized sometime November, December. What we expect that the last quarter of our financial year should be the normal quarter. That is what we can estimate based on what our customers are intimating to us.

Sanjesh Jain: No, that's quite clear. Just wanted to understand a little bit more, do we sell agrochemical more to the innovator-innovative product or it's more of a generic?

Where does it find application for us?

Rajesh Srivastava: Our product is sold to both generic customers as well as innovator customers. So we have products

, which is sold to all the customers.

Page 11 of 20 Sanjesh Jain: Okay. Just one thing here. When we are making a comment, it is more pertinent to generic side of business, or you are saying, this is really across the players and there is really no differentiation between the generic customer and innovator?

Rajesh Srivastava: So some of our products, which are in the early stage of generic -- becoming generic, of course, there are differentiation. But in general, if you're selling a product, which is old -- it has got generic of 10 years before, then obviously it doesn't make difference whether you're selling to a generic customer or to an innovator customer.

Sanjesh Jain: And what will be the proportion for the generic in the overall agrochemical sales, if you can share that number?

Moderator: Sanjesh, sorry to interrupt you, but we are losing your audio?

Sanjesh Jain: Can you hear me now?

Rajesh Srivastava: Yes, I can get your question, but it is difficult to give that percentage as of now.

Sanjesh Jain: No, rough number will be helpful, will it be 30, 40, 50?

Rajesh Srivastava: It's difficult. We can tell you later.

Sanjesh Jain: That's fine, sir. Very helpful.

Rajesh Srivastava: Operator can we take the next question please?

Moderator: Yes, sir. Next question is from the line of Nitesh Dhoot from Dolat Capital.

Nitesh Dhoot: Sir, my first question is on the Nutrition segment where we see that the margins are still much lower than the historical numbers despite the business, as we say, having normalized. So what is the reason behind that and what would be your outlook going forward?

Rajesh Srivastava: In Nutrition business, we have said in the past also, normally we take the orders for a quarter, right? So if the prices start improving, we don't see the impact
Page 12 of 20 immediately. It takes about a quarter or 4 months to seek to reach to the actual normalized situation.

So last quarter, the improvement started mid of the quarter, if you remember, and we did not -- we could not enjoy the full quarter benefit. So now more or less, we are not still on the same level of last year, but we are now reaching to closer to the normal situation.

Nitesh Dhoot: Sure. So maybe the second half of the year, we should be seeing normalized margins of like maybe 18%, 20% range or any number that you can maybe help us with?

Rajesh Srivastava: Again, the percentage is very difficult to talk. But what I can definitely say that even the ongoing quarter as well as the future quarters should be definitely better.

Nitesh Dhoot: Sure, sure. Sir, my next question is on the Diketene plant that was commissioned. I mean, any number that -- any utilization number that you can maybe share, any ballpark number where it's currently operating? And how do you see the ramp-up going forward over the next year or so?

Rajesh Srivastava: So the good news in Diketene is that now the demand is picking-up. We have reached to a level of 55% to 60% of our capacity utilization in Diketene. And we foresee that in coming quarters, this utilization should further improve.

Nitesh Dhoot: So, in that case, I mean, how are we placed on our next phase of Diketene expansion, any color on that?

Rajesh Srivastava: So last quarter we had -- sorry, this quarter we have approved next phase of investment for two value-added products. We have planned to approve another investment during next quarter in Q3 for further two value-added products. So now gradually, as per plan, we are taking up the investments for the new value-added product because now our cost situation, our capacity and plant is running very well, and therefore, now we are taking up to the next value-added products in Diketene.

Nitesh Dhoot: Sure, sir. And on the overall capex schedule, if we talk about, so almost INR2,000 crores of capex was laid out for completion by FY '25. So how much of that is already
Page 13 of 20 commissioned and what part of it w

ould be -- would we be seeing over the next year-and-a-half? And any deferments or delays that we can -- that we expect there because of the headwinds around agrochemical side of things? Details over there would be very helpful.

Rajesh Srivastava: So in last 12 months to 15 months, we have completed the capex worth INR475 crores. The capexes, which are currently ongoing is of the value of about INR450 crores. So that's the number. And we are already taking up the under development and designing phase, over INR600 crores capexes are under design phase, which will come for approval in next 10 months to 12 months' time. So during next 10 months' time quarter-on-quarter, month-on-month as and when our design portion gets cleared, we will bring those capexes and that value will be close to INR600 crores. And further, the work is still going on.

Moderator: Thank you. Sir, sorry, but the line for the participant dropped. We move on to the next participant. Next question is from the line of Siddharth Gadekar from Equirus Securities. Please go ahead.

Siddharth Gadekar: Hi, sir. Just one -- first question on the capex, so what is the number that we should work with for FY '24 and FY '25 in terms of the cash outflow?

Rajesh Srivastava: FY '24 should be between INR600 crores to INR700 crores. FY '25 will be close to INR500 crores, so far. If we find something interesting, it might go up a little bit more.

Siddharth Gadekar: Sir, secondly now in terms of the capacity that we have commissioned in Specialty Chemical, we were supposed to commission three plants. So in terms of that, where are we in terms of ramp-up, and by year-end, will we be at around 35% to 50% utilization? How should we look at that?

Rajesh Srivastava: In fact, our Specialty Chemical, CDMO, non-GMP, GMP facilities are running very, very high level of utilization, because the demand is strong and we are close to more than 50% to 60% of utilization and it is ramping-up. In next couple of quarters, I think we will have a good position of utilization, and therefore, we will be quickly working on additional capacities for future.

Page 14 of 20 Siddharth Gadekar: So, is it fair to assume that by year-end, we will be at 70%-plus capacity utilization for this year?

Rajesh Srivastava: Absolutely. Fair assumption.

Siddharth Gadekar: Okay. Got it, sir. Secondly, our Specialty Chemicals, just -- can you just give some percentage in terms of the volume decline that we have seen this quarter.

Rajesh Srivastava: So Specialty Chemical, agrochemical volume decline is close to 20% to 24%, 25% in

the quarter overall. And in Pharmaceutical, we have grown almost, let's say, 10% to 11%. So net-net volume decline is there.

Siddharth Gadekar: Okay, sir. Got it. Sir, just one last question, in terms of the FSA coal we highlighted something in the opening remarks. But now are we getting the entire quantity that we were getting in FY '21 and FY '22 or it is still lower than those level?

Rajesh Srivastava: No. So in FSA coal what happens that, you get -- so first of all, we are now getting FSA coal, but there are two ways you get FSA coal. One is through rail transport.

Second is through road transport. Government has not opened up 100% rail transport. Once that happens, then you can say 100% normalization has happened.

So we are getting FSA coal, but we are getting through road. I have said this also in the last call. So therefore, our cost is still not 100% normal. We are close to 20% higher than the normal cost if you get from rail transport. But that is seemingly now looking at to be opening up maybe this quarter end, the government is giving, lot of push to open up. We can see some easing up happening this quarter. So we may give you next quarter a news, which can be better than this.

Siddharth Gadekar: Okay, sir. Got it. Thank you so much.

Moderator: Thank you. Next question is from the line of Resham Jain from DSP Asset Managers. Please go

ahead.

Resham Jain: So my question is to Mr. Shyam Bhartia and Hari Bhartia given that we have this change in management, and typically in a manufacturing company, what we have seen is a person who has worked in an industry is typically being chosen. So in your case, you have gotten a person who has more of a consulting kind of experience.

Page 15 of 20 So if you can just explain your thought process, what has gone behind this hiring? And any thoughts around this will be very helpful to us.

Shyam Bhartia: This is Shyam Bhartia. Deepak Jain has extensive experience in the chemical industry and has worked in many specialty chemical and chemical industry for both taking their business to a different level. So he has an extensive experience in both chemical and specialty chemical industry. And in many industries, he has taken a very active role in taking through their development of their business. So he really has an extremely good understanding of the chemical industry and specialty.

Having said that, of course, he has worked with many of the chemical companies in both in the manufacturing excellence, in the business excellence and also in taking the company to different heights in both specialty and chemical industry.

Resham Jain: Understood, sir. Sir, the other question, again, when we look at your company, especially on the Specialty side, we've seen lot of agrochemical -- Pyridine is used extensively. But what we have seen is that a lot of projects where there are forward integration steps, especially on the fluorine side or fluoropyridine side. The project has been won by some other players, which are more specialized higher margin business. How would you think about taking Specialty Chemical to the next level whereby we provide N-2, maybe N-1 kind of product to the market? If you can just explain your thought process around this, that would be really helpful.

Shyam Bhartia: Yes, I can explain that. And basically, some of the industries, who have fluorine-based products, because they have HF with them and they have a high capacity of HF. So they have a better position to derive that benefit from the fluorine in these products. But there are many chlorinated and brominated products, which is available for us and we are supplying in that segment, a lot of chlorinated and brominated products, which is also in high demand.

So that's where we have a particular advantage. But of course, since we don't have HF with us, we don't have any fluorinated products. So people go to people who have HF only for fluorinated industries. But all are not fluorinated. There are many Page 16 of 20 products, they are chlorinated, brominated and non-fluorinated, there we have an edge.

Resham Jain: Okay, sir. Understood. Sir, one request. Earlier, you used to give one slide which was very helpful for analyst on the capex updates. I think those slides are not coming from last two quarters. If it is possible -- because for a chemical company, it is very important to understand what kind of capexes are going and a continuous update around that would be very helpful. It is just a request, in case if it is possible.

Shyam Bhartia: I think I would say that by the end of the year, it is better to give that rather than in every quarter.

Resham Jain: Okay.

Prakash Bisht: Every quarter, we are announcing the capexes, which we are approving and also which we are executing. I think it's better to announce the end of the year when the complete strategy is ready for this. For this year, already capexes, which have been approved, this will be executed sometime next year. And also for next year capexes also, we'll be ready with our strategy next year.

Resham Jain: Okay. Fair, sir. Thank you.

Moderator: Thank you. Next question is from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Sir, first question is on our Specialty Chemical division, sir. Last year, we have seen that though there was

an increase in coal prices and lower availability of FSA coal, we were able to fairly pass it on to the end consumer and there was a price acceptance from the customer, because there was a high demand and the prices have gone up. But, sir, now, especially coming from the agro, the industry is witnessing the weakness. So though the coal cost is coming down, do we see that we may not be able to retain any benefit of the falling coal prices, and it has to be passed on to the end customer, and so that the margin in Specialty Chemical remain at the level at which they are?

Page 17 of 20 Rajesh Srivastava: So first of all, what you see the margins today is not what we should have. That is the answer. But detail, if you see, not only the coal prices, entire commodities have been very lower. So customers, they know when the commodity is going down and globally even coal prices. It -- so one situation was that we were not getting FSA, but now even global coal prices are going down.

So customers are expecting the price to be adjusted accordingly. And therefore, we have to also align to the customer expectation and -- which happens in positive side also. But again, answering your question, of course, we are aiming to be a better price realization -- EBITDA margin in Specialty Chemical, what you are seeing in this quarter. It should be better.

Rohan Gupta: Yes. Sir should be. But definitely, given that the pressure on the agrochemical industry, the demand is still low. We have seen a roughly 25% to 30% volume decline in agrochemical. And agrochemical still contribute one-third of our Specialty Chemical revenue. So the question I was having that EBITDA margin in the current quarter was roughly as low as 8% in -- in Specialty Chemicals has been as low as 7% to 8% - 16%, which earlier used to be roughly 20% to 22% range. So do we see that any near-term?

Rajesh Srivastava: No, 20% to 22% you're talking about one quarter or two quarter where we had some good positive news for one of the product, but in general, I have been always talking on our Specialty Chemical, product mix basis, our margin to be close to 16% to 18%. I've been saying that. So I think what you are saying 20% to 22% is still not there because we have to utilize our GMP facility completely, all the new products, which we have launched in CDMO have to come on commercial scale.

So it will take a little time to reach to that 20% level, which is what I had said earlier also. But yes, this is not -- this is not the actual normal. Should be little better than this, which we are working on that.

Rohan Gupta: Sir, second question is on the Diketene, you mentioned that definitely now utilization rate will have gone to roughly 50%-plus, expect further improvement. But I think that as a business model of Diketene, the money and the margins will be Page 18 of 20 made when we go in the value-added segment and when we put our second phase of capex. So as of now, how do you see that the visibility for that -- though you touched upon on that that you expect that commissioning of Phase 2.

But given that agrochemical and Diketene is primarily catering to agrochemical where you are talking about the current weakness going to remain there for at least next three quarters to four quarters. So do we see that in kind of environment, we still will see a Diketene business ramping up and margins improving there with the commissioning of the second, say, next four quarters to six quarters?

Rajesh Srivastava: First of all, the volume increase in Diketene itself will improve our EBITDA, correct? But you are very right that as we explained in the past also, this is not our aim to utilize 100% with these products. Our aim is to bring new value-added products. If you are asking for visibility, I have explained in the earlier question that the two intermediates we have approved, this will be commercialized during this year last quarter.

The next

two -- another four intermediates we are working on, which should come in next two quarters to three quarters for approval. So going forward in a horizon of, let's say, 1.5 years, one year to 1.5 years, you will start seeing the improvement in overall profitability of Diketene as and when the new value-added product will start coming in.

So this is as per plan. I think, if you see every time we have been talking that first task was to commercialize, utilize the basic building blocks and then bring up the value-added products. We are going with the same direction. So your question is

correct and we are in the same track. But of course, it takes time.

So that's why we don't want to unnecessarily tell you that it will happen next quarter or next to next quarter. But it is going very well because most important is stabilizing the building block production because that cost itself, we are assuming, this is a good achievement. Now, here onwards, you can only see the notch way going forward in terms of profitability.

Page 19 of 20 Rohan Gupta: Sir, just last question. On CDMO, if you can give some number for the current year how -- at what revenue from the CDMO we are likely to close for the FY '24?

Rajesh Srivastava: So again, we can't give you a specific number, but we have told earlier also that we are close to double-digit percentage of our total revenue is our CDMO business, that we have said earlier also in the past. So that we are trying to improve, but we can't give you exact value in terms of CDMO business.

Rohan Gupta: Okay. Fine enough, sir.

Moderator: Thank you. Next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Sir, just one more question on the Specialty Chemical piece. We had highlighted that volumes declined anywhere by around 35%. So how much of this would you attribute to the destocking and how much would you attribute to the China dumping or China coming back where China was not present for the last 18, 24 months?

Rajesh Srivastava: Yes, there is -- so I would say, major portion is the destocking. But yes, you are very right, slight portion is actually speaking, if you see the global agrochemical phenomena also, it is China dumping, because I explained in my earlier question, that one was the weather problem, the second was excess supplies from China. People kept their stock because they were anticipating that like last two quarters, three quarters, China was slow in supplies, people started buying, and China has started dumping. So it's a double impact, which you see today. So you are right, I mean, both impact. But mainly, the major impact is from the excess inventory at our customer end. In fact, China is even today dumping, but there is no buyer today. They want to dump, but there is no buyer.

Siddharth Gadekar: Also in terms of our cost of production, just a sense on Pyridine, what would be the differential between us and China? We would be evenly matched with China?

Rajesh Srivastava: Cost of production, we always claim that we are best in the world. Otherwise, if China does not dump the material, we also get an opportunity to sell in China. It is Page 20 of 20 only when China decides to sell. If you remember, about 1.5 years before, there was a situation when China was being very, very modest in their pricing.

They did not do the dumping about 1.5 years before, and that is the time we took some market from China. So unless they decide to sell lower than the cost, we are definitely best -- best cost situation in terms of Pyridine and Pyridine derivative.

Siddharth Gadekar: Okay, sir. Got it.

Moderator: Siddharth, do you have any follow-up questions?

Siddharth Gadekar: No. That's it.

Moderator: I now hand the conference over to Mr. Pavleen Taneja for closing comments.

Pavleen Taneja: We thank you all for joining on this call today. We hope we have been able to answer your queries. For further clarif

ication, I would request you to get in touch

with me. Thank you once again for your interest in Jubilant Ingrevia Limited.

Rajesh Srivastava: Thank you.

Moderator: Thank you very much. On behalf of Jubilant Ingrevia Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc.

The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2023

November 06, 2023

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investors' Conference Call for the quarter & half-yearly ended September 30, 2023

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors' Conference Call for unaudited financial results for the quarter & half-yearly ended September 30, 2023, held on Wednesday, November 01, 2023.

The link to access the transcript of the earnings conference call is given below:

https://www.jubilantingrevia.com/Uploads/image/951imguf_Q2-H1FY24ConcallTranscriptFinal.pdf
We request you to take the same on record.

Thanking you,

Yours faithfully,
For Jubilant Ingrevia Limited

Deepanjali Gulati
Company Secretary

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Trading Symbol: JUBLINGREA
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Jubilant Ingrevia Limited
Q2 & H1 FY '24 Earnings Conference Call
November 01, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Jubilant Ingrevia Limited's Q2 & H1 FY '24 Earnings Conference Call. As a reminder, all participants' lines will be in the listen-only mode and anyone who wishes to ask question may enter star and one on their touch-tone phone. To remove yourself from the question queue you may enter star and two. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja, Head of Investor Relations.

Thank you, and over to you, sir.

Pavleen Taneja: Thank you, Rayo. Good evening, everyone. Thank you for being with us on our Quarter 2 & Half Year of financial year 2024 Earnings Conference Call of Jubilant Ingrevia Limited.

I would like to remind you that some of the statements made on the call today could be forward-looking in nature, and a detailed disclaimer in this regard has been included in the press release and results presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia, Chairman; Mr. Hari Bhartia, Co-

Chairman; Mr. Deepak Jain, CEO and Managing Director; Mr. Prakash Chandra

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Bisht, CFO, Jubilant Ingrevia Limited; and Mr. Arvind Chokhany, Group CFO, Jubilant Bhartia Group.

I now invite Mr. Shyam Bhartia to share his comments. Over to you, sir.

Shyam Bhartia: Thank you, Pavleen. A very good evening to everyone. Thank you for joining us on Q2 & Half Year of financial 2024 Earnings Conference Call of Jubilant Ingrevia Limited. We are pleased to announce a stable business performance in Q2 and H1 FY '24 amidst the challenging market conditions.

Let me first take you through an overall macro trends. Globally, we see following trends in the Life Science business.

In agrochemical sector, we have witnessed reduced volumes of the actives in the global market due to continued destocking of inventory. Globally, prices are depressed due to increased supply from China at a very low prices since the lifting of COVID restrictions. This has put pressure on our Agrochemical Intermediate business on both volume and prices.

In pharmaceutical end-use segment, demand remained stable, and we are witnessing a good growth in our segments aligned to this sector. In segments like food, cosmetic and FMCG, demand for our products remain strong. In these segments, we are present through our vitamins and other ingredients.

As we move ahead, our outlook and priorities are as follows:

Going forward, we stro

ngly believe that the agrochemical segment should improve in H1 next year, with some green shoots in Q4 FY '24. We remain confident of serving agrochemical sector with international agrochemical companies trying to diversify their supply chain with China Plus One strategy. We are seeing many new inquiries and currently under discussions with a few of the agrochemical companies for meeting their long-term requirements.

We will continue to invest in this sector in view of the advanced discussions with some of our customers. Indian market fundamentals remain strong, with growth

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driven by domestic consumption across sectors, except for agrochemical sector, which is undergoing tough challenges in line with global trends. We continue to focus on pharmaceutical sector with both existing and new clients in order to increase our presence.

We will increase our presence for supplier of ingredients in food and cosmetic sectors through investments already underway. On input cost front, we have witnessed softening of coal prices during the quarter, leading to improvement in energy cost. We remain committed to deliver structured growth in future in line with our defined capex plan.

We are pleased to welcome Deepak Jain as CEO and Managing Director of the company, who assumed office on 1st October 2023.

I now hand over to Deepak to discuss about the business in detail and wishing all of you a very happy festive season and Diwali. Thank you.

Deepak Jain: Thank you, Mr. Bhartia. A very good evening to all of you. At the outset, I would like to thank you all for joining us today for the Q2 & Half Year FY '24 Investor Call of Jubilant Ingrevia Limited.

Let me now take you through the overall business and financial performance, along with key highlights of the company for the second quarter of FY 2024. I'm happy to report that share of Specialty Chemicals and Nutrition & Health Solutions business in the overall mix of our revenue continued to increase at 53% in Q2 FY '24 vis-à-vis 43% in Q2 of FY '23. The demand traction for Specialty Chemicals business from CDMO and Pharmaceuticals end-use customers has been healthy. However, demand from agrochemical customers is facing headwinds due to continued excess channel inventory in the system.

The Nutrition & Health Solutions business segment performance was stable as we saw stable volumes and improved realization in both Nutrition & Health Ingredients business, and Animal Nutrition & Health Solutions business. In the Chemical Intermediates business segment, revenue during the quarter was lower

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due to lower price realization of acetic anhydride as well as ethyl acetate on the back of lower acetic acid prices.

On the customer front, we are getting good traction with several customers across acetyl and Specialty Chemicals business for long-term contracts. In the CDMO business, we have a healthy pipeline across pharma, fine chemicals, and semiconductor chemicals for long-term contracts.

Our major capex projects are on track. The new acetic anhydride plant in Bharuch has been stabilized and the agro active/intermediate plant is on track for Q4 FY '24 commissioning.

On the energy cost front, our plans to reduce overall energy supported by lower coal prices have started bearing fruits, both at generation as well at consumption funds. On the back of all of above, despite the challenging markets in the last quarter, our overall EBITDA and margins have improved sequentially.

As we move into Q3, we are also initiating Project Lean, which will help us in making the organization leaner and more agile by taking out any inefficiencies in our overhead.

Let me now take you through the updates on all our three business segments individually. I'll start with the Specialty Chemicals business:

During the quarter, the Specialty Chemicals business segment witnessed sequential EBITDA growth, owing to better

product mix, higher sales contribution

coming from pharma, consumer and industrial end-use segments, including our CDMO customers.

Our CDMO business witnessed positive traction during the quarter. We added multiple new projects, which are currently in their early-phase pipeline. We are also getting inquiries from large global customers across pharma, agrochemicals and semiconductor space for strategic partnerships. We also launched two new forward-integrated derivative products. Pipeline of another seven to eight products are under advanced stage of development and commercialization.

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We are also observing good momentum in our Diketene range of derivatives, wherein we also operated our Diketene plant at optimum capacity utilization during the quarter. Our expansion of Diketene derivatives is also in progress, wherein we are expecting the commissioning of the new Diketene derivatives plant towards the end of FY 2024.

Our agro active/intermediate plant is also expected to roll out as per schedule, and we expect it to be commissioned in Q4 of FY '24. Under our Microbial control solutions business, we are witnessing healthy traction in Pyrithiones business, coming especially from paints and coatings end-usage. Therefore, we have carved out Microbial control solutions as a separate business unit for focused growth. We are also expanding production capacity of Pyrithiones, wherein we augmented the ZPTO active manufacturing capabilities in our Ambarnath production facility.

Finally, given the closure of plants from one of our competitors in pyridine and picoline, we have now become the only non-Chinese and world's largest producer of Pyridine and Beta globally. We have already started to receive a few inquiries from new customers due to this development.

I will now move on to Nutrition & Health Solutions business:

During the quarter, revenue and EBITDA within the segment grew on a year-on-year basis, primarily led by stable demand and improved pricing in major products. We observed the vitamin demand getting normalized after witnessing a pent-up demand in Q1 and also witnessed stable demand and improved pricing for niacinamide.

Our Animal Nutrition & Health Solutions vertical gain growth in volume and continues to focus on specialty products for future growth. Major traction was witnessed in premixes, especially in mineral premixes, emulsifiers and chromium and herbal formulations. We are continuing our focus on improving volumes and market share from customers in niche segments of cosmetics and food-grade end use.

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Our capex for GMP-compliant facility for expansion of food-grade Vitamin B4 is in its final stages of planning. We are also planning to enhance capacity for Choline and Specialty Premix products to cater to the improved demand.

Finally, let me just take you through the Chemical Intermediates business segment as well:

During the quarter, revenue within the segment on year-on-year basis was lower, mainly due to lower acetic acid prices. The acetic acid price remained range-bound, hovering between \$400 and \$500 per metric ton.

During the quarter, business observed muted demand from agrochemicals and paracetamol end-usage customers, wherein industry is observed to be maintaining lower levels of inventory. This led to continuing pressure on realizations. Despite the challenging situation, the business continues to maintain its market leadership for Acetic Anhydride in domestic as well as international

market.

Our newly commissioned global scale Acetic Anhydride plant at Bharuch was stabilized during the quarter. We are also evaluating volume-based contracts with global customers, which will help scaling up volumes in the future.

We are also happy to share that our new product, Bio Acetic Acid, is gaining its acceptance as a sustainable food preservative by major brands in India and is under approval with global customers, to

o. We have also received FSSAI and FSSC

22000 certifications for the same.

Let me move to the overall financials of the company. The overall revenue during the quarter stood at INR1,020 crore as against INR1,304 crore in Q2 of FY '23. The decline was due to lower revenue coming from Chemical Intermediates business largely. The EBITDA for the quarter stood at INR126 crore as against INR160 crore in Q2 FY '23. EBITDA margin was stable on a year-on-year basis. However, it improved sequentially.

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The capital expenditure incurred during the quarter was INR126 crore and INR306 crore during the first half of the year. The expected capital expenditure in H2 is INR330 crore. Majority of this expenditure will be in Specialty and Nutrition segment towards agro actives/intermediate plant, cosmetic-grade Niacinamide, value-added derivatives of Diketene and towards new boiler and power plant at Bharuch.

The net debt of the company as on 30, September 2023 was INR701 crore, and net debt-to-EBITDA ratio was at 1.3x on the basis of trailing 12-month EBITDA. Increase in net debt was primarily due to steady capex expenditure and higher working capital. The net working capital percentage to turnover for Q2 FY '24 was higher at 22.6%, due to decline in payables for earlier purchases while the fresh purchases were rationalized. The company continues to remain under old tax regime, and the ETR for Q2 stands at 28.1%.

As we move forward, I would also like to share some updates on a few strategic initiatives undertaken by the company in recent times. On the green initiatives and sustainability front, we conducted biogenic carbon content study of our products through C-14 testing, and two of our products received 100% rating and several products are 80% and above. This will increase acceptance of our products further as our global customers work towards meeting their ESG obligations. We set up a new state-of-the-art R&D lab at Greater Noida with advanced fume hoods and analytical machines to provide world-class technological and developmental support. On the digital front, we have started a new initiative called 'Project Surge' towards enabling transformation of business processes across manufacturing, supply chain and sales through digital interventions. This initiative has started yielding early-stage results through innovative solutions like 'Digital Twin of Plants'.

We have also implemented data analytics and visualization 'Project Insight' in our business processes to help more efficient decision making. We are working towards improving our efficiencies in the businesses and have targeted to

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improve our power mix towards renewable power, grid power, power purchase to exchange in addition to captive generation. We also have a target of increasing our share of renewable power to 4x by FY '28.

We have plans for implementing technological upgrades in existing as well as new production boilers to utilize biomass along with coal. Through our CSR initiatives, we have achieved significant milestones wherein in the field of healthcare, we have successfully piloted IVRS system for ensuring compliances for tuberculosis, monitoring and reduce the spread of MDR tuberculosis for over 3,000 patients. We also supported one lakh-plus patients for healthcare needs through our digital platform called 'JubiCare'.

On the education front, we created digital classrooms in more than 1,056 schools and have also created 70 micro science labs. On the livelihood front, we are supporting 20,000-plus farmers to improve their milk yields, create food orchards and good agricultural practices.

Finally, let me spend a few minutes to share my early thoughts on the future vision of the company. Despite the short-term market challenges, we continue to stay bullish on the long-term growth prospects in our core segments on the back of China Plus One macro trend. Given our strategic investments in

recent years,

we believe we are well poised to ride this growth wave in coming years.

Our vision is to transform into a global leader, providing innovative and sustainable solutions in our priority sectors such as Agrochemicals, Specialty Chemicals, Pharmaceuticals, cosmetics, human and animal nutrition.

As we embark on this journey, I see six pillars of our growth road map, namely customer centricity, safety, innovation and technology, world-class operations, ESG and people focus.

In the coming months, we will detail out our strategy further across our key businesses based on the above six pillars and start rolling it out.

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With this, I would like to conclude our opening remarks. We'll now be happy to address any questions that you may have. But before I close, I would like to wish you all a very happy Diwali and rest of the festive season.

Moderator: Thank you. The first question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Yes. Hi, good evening. First of all, congratulations, Mr. Deepak, and all the best for your journey at Jubilant Ingrevia. So, I have a few questions. First one is with respect to the capex and the related revenue and throughput, which is supposed to come. So, if you can just highlight in the last one year, what all capexes have been completed? And what are the progresses on each of those capexes? And over the next one year, which are the capexes which are going to get commissioned? And what are the expectation in terms of ramp-up of each one of them? That is my question number one.

Deepak Jain: Sure, Resham. Thank you for your wishes and good question on capex. If you recall, a couple of years back, we announced capex investment of about INR2,000 crore, spread over these three fiscal years, previous years, this year and next year. And the rough distribution was roughly 1/3, 1/3, 1/3. So, I'm happy to announce that we did spend 1/3 of that capex last year, and most of those capacities are in revenue-generation mode right now. And with coming quarters, we should be able to achieve a very high level of utilization on this capacity.

The second half, about INR550 crore to INR600 crore plus is planned for this fiscal year, of which half of that we have already invested in the first half of the year, and the plan for investing another half is on track for the second half of the year. In second half, most of the investments will be going into Specialty, not just in second half, but actually even next year, most of the investments will be going into Specialty and Nutrition businesses.

In second half of this year, the main investments are going to be in Diketene derivatives, our agro intermediate plant, as I said in my opening speech, which will be ready to be commissioned by Q4, and a few other derivatives that we are

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doing. We are also investing in a boiler to improve our overall power cost, which will also come up by Q4 of this year.

Resham Jain: Okay. So, in terms of, let's say, the unrealized revenue from capex, which has already been commissioned, based on the current, let's say, realization, if you can help that what kind of further revenue can come from projects which have already been commissioned? And whatever capex we have, we are planning, let's say, Board has approved, what incremental revenue can come from that?

Deepak Jain: So, I will answer that, Resham, by giving a couple of examples, of course, without getting into the specifics, which I should not. But the plants which got commissioned last year are already operating anywhere between 50% to 75% of capacity utilization. And we are very hopeful, obviously with a little bit of slowdown in the market, if we take a few additional months for the capacity to fill up. But we are very hopeful that by, let's say, Q1 of next year, most of those plants will be operating at a higher level of utilization.

The capacity, which is com

ing up this year, obviously, it is early stages, will take the normal ramp-up time, which any plant of these scales will take, let's say, six months to 12 months to get traction and then move to a higher level of utilizations.

Resham Jain: Okay. I was asking more from asset turn perspective, INR600 crore capex would be what kind of revenue, is what I was just trying to understand?

Prakash Bisht: So, if you see our overall revenue, because the acetic acid prices came down significantly. And because of that, the chemical intermediate revenue is significantly lower. But if you would see, we are on the run rate to maintain the last year's level. So, we are able to do that because our all the new plants have started producing and adding to the revenue. So whatever revenue came down

because of the lower acetic acid price, that has been led by the revenue generated from the new plants. This is how the revenue is balancing.

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Resham Jain: Okay. One last question, and then I'll come back in the queue. This is with respect to overall margins. We have seen a sequential improvement in margins since Q4 now. So, should one expect to see the sequential improvement even in the coming quarters? Because our earlier margin profile used to be like 15%, 16%. How should one think about margins, let's say, going forward? Because Q2 seems to be the worst quarter from a demand perspective, for a lot of agrochemicals and all. So just your thoughts around it?

Deepak Jain: So, Resham, as you would have observed, the margin improvement, a lot of it is driven by increase in our Specialty Chemical business contribution into the business, which has reached 55% at EBITDA level in this quarter. We are hopeful that the Specialty Chemicals business will continue to increase. And given the product line we have, which are mostly on high-value product category side, we are hopeful that the margin profile for that segment will continue to increase and will contribute positively to the overall EBITDA margin.

However, on the Chemical Intermediates business side, as I explained, there is some volatility. So, the overall EBITDA profile will be dependent on that as well. But at least from Specialty Chemical contribution perspective, we expect the EBITDA margin to continue to increase.

Moderator: Thank you. We take the next question from the line of Nitesh Dhoot from Dolat Capital. Please go ahead.

Nitesh Dhoot: Hi, team. Good evening. Deepak, welcome on board and best wishes for the future. So, my first question is on the Pyrithiones business. If you could just elaborate, just give some more color on that and the investments that are being envisaged there and the business potential?

Deepak Jain: Okay. Thank you for the welcome, Nitesh. So Pyrithiones is to the buyer side, which comes out from a product where we are backward integrated. So, we have an inherent advantage in that product. And we believe, we are the lowest-cost producer of that product today in the world with all the optimization work that our teams have done.

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We are getting very good traction in that product, both from companies which were earlier producing that product themselves but now want to outsource it to us, as well as some of the end customers of that product, particularly in the industrial and marine segment. And we have a facility in one of our plants in Ambernath, where we have expanded the capacity already. We are hoping as we fill up that capacity with the momentum and traction we are already getting, we may need to expand capacity further in coming years. But at an overall level, the traction is very good. And it's a reasonably strong and stable demand in the industrial and marine segment for Pyrithiones.

Nitesh Dhoot: That's helpful. My next question is on the power and fuel cost, which has come down, I think, because of the coal cost reduction around 13.1% of our revenues, our normal range used to be 8%

to 9% of revenues earlier. So, while I understand that this might be a function of the product mix or the prices as well, but what I'm trying to understand is that if the power and fuel cost per unit on our pyridine business would have come back to normal or not yet?

Deepak Jain: Yes. So, you're right, the power cost has come down to 13.1% with all the efforts we have taken, and coal costs have obviously contributed to it. But if you compare the coal cost, it has not come down to the level, historical levels yet. So that's one of the reasons which is still keeping it relatively higher versus the range you talked about, which we have seen in the past.

Secondly, obviously, our product mix is also changing. And as a result, in some of the products, we may not use the same benchmark which we have used in the past, Nitesh. But at an overall level, as we mentioned on this call as well as in our investor presentation, we are working on several initiatives to optimize our power costs further, including having renewables in next couple of years. We are hopeful to bring the overall cost as a percentage of revenue further down in coming quarters and years.

Moderator: Thank you. The next question is from the line of Rohan Gupta from Nuvama. Please go ahead.

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Rohan Gupta: Good evening and thanks for the opportunity. So first of all, welcome to Mr. Deepak Jain, and many wishes and hope under your leadership the company will

do very well, going forward, in reaching heights in terms of both profitability as well as stock prices. That's what is our expectation.

So, coming to question, so first, if you can give some reason for sharp increase in employee costs for the current quarter from the previous quarter?

Deepak Jain: Yes. Rohan, Thank you for the welcome. Obviously, that jumps out very clearly in the P&L the employed cost. There are two main reasons. One is as you know and as Resham also asked, we have been investing in the business and building up capacity for new products and projects. And we have been hiring in anticipation of demand on those projects and for those products.

So we have obviously built up an organization which is supposed to serve a certain level of revenue, which due to softness in demand in the market in the last two quarters has impacted our revenue, and revenues are below the projections we had in mind and as a result, on and percentage basis, the cost seems to be jumping up.

And one of the major difference there is the Chemical Intermediate business where revenues have come down in line with Acetic Acid prices, which obviously while the volumes have increased versus last year on Acetic Anhydride, that jump is purely price driven. So, these two factors from a denominator perspective, but also generally, in May, June, we do the appraisals for our employees, and that's when we have given increments as well. So, there is a onetime hit which has come because of that as well. So those are the two factors.

Having said that, given where the market is today, as I mentioned in my opening speech, we have launched a project called Project Lean which is focused on looking at every part of our overheads closely in coming weeks. And wherever we feel we can optimize our overheads or stagger it further; we'll do it and hopefully bring this cost in line with historical benchmark over the next couple of quarters.

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Rohan Gupta: So, there is some element of one-off in the current quarter, which you mentioned.

And can you further quantify a little bit, if possible?

Prakash Bisht: So, Rohan, what Deepak was explaining was that increments are effective from Q2 in our case. So, the impact of increment was there. And most of our new plants started operating towards the Q1, so the cost of those plants also started adding to the personnel cost.

Rohan Gupta: So, this is a normalization basically.

Prakash Bisht: Correct. It is also just time is constrain

d. Yes.

Rohan Gupta: Yes. Sir, second question, as you have mentioned, there definitely global AgCem industry is witnessing some weakness and you are expecting some green shoot maybe in Q4 and recovery in H1 next year. However, we are in a very critical time right now when many of our agrochemical intermediate plants were supposed to commission by Q4. I mean over the next two to three quarters, we are supposed to commission.

How our that business, I mean, agro actives or you can say active ingredient business is going to be impacted in terms of the commissioning of new plant? Any delays, any pushback from the customers on those intermediates?

Deepak Jain: Yes. So, Rohan, so one, at least from a plant capacity perspective, everything is on track, as I said earlier. So, our plant will come up in Q4. Secondly, even as per the original plan, there was a certain ramp-up we had assumed of that product. We have three or four products, which are going into production immediately, and we will start supplying to the customers in relatively smaller quantity. That was the original plan.

So, we have not seen any impact on those quantities as of yet. Having said that, there is a certain time which any new plant takes to fill up the capacity, and we are hoping that with time we will fill it up. And obviously, if markets go further south from here, there could be some implications, but we have not budgeted

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that as of yet because we are expecting a recovery by Q4 of this year and H1 of next year.

Rohan Gupta: Okay. Sir, third question is on Diketene derivative. Though the current plant you mentioned, that is almost at optimum level utilization, I think that margin and the money we were supposed to make from the value addition or moving upward or moving forward on Diketene derivative, which you mentioned is on track and commissioning by end of FY'24.

So if you can give some sense that how the Diketene business revenue would look like in next year, I mean, FY'25, and more so in terms of margin from the Diketene business itself because in earlier con call, we understood that the money will be

made significantly or the margin profile will only improve and be moved upward in the value chain?

Deepak Jain: Yes. So, as I said earlier, the Diketene business is on track. We are getting very good traction on the derivatives. We already have two products coming out of it, which are going to the customers, three, actually three products, and we have two more which will get commissioned in the new plant in coming months. In fact, the business has grown significantly over the last one year, almost more than doubling up, and we expect to get continued traction in that business, going forward, as well.

Rohan Gupta: So, any sense you can give that the revenue contribution from Diketene next year and likely margin profile?

Prakash Bisht: So, Rohan, it's margin accretive only. And during the next year because our current plant will be operating full capacity. The new derivatives which are going to come, that will come only during the next year. So, the impact, if you are looking at in terms of overall significant specialty, it would not be high. But this business, as we have explained many times in the past, it was building. So, over the next one or two years, you will start seeing the impact, not in one of two quarters.

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Moderator: Thank you. The next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Sir, my first question is on the Pyridine side. Just wanted to understand that with Vertellus shutting down with 35,000 tonne capacity, what kind of impact can you see on the industry, one? Secondly, any sense on was that capacity running at is still utilization? Or what was the capacity utilization? And can we see some pricing benefits because of that capacity going out from the market?

Deepak Jain: Yes. Siddharth, good question.

So, one, as I said in my opening remarks, with Vertellus shutting down its plant in the U.S., we have become the world's biggest producer of Pyridine and Beta Picoline and the only non-Chinese suppliers. And on the back of most companies wanting to add non-Chinese suppliers to their portfolio, we are getting good traction from customers in the last few weeks since Vertellus announced closure of its unit. We have already gotten a few leads for our Pyridine Portfolio, including the other derivatives.

Now in terms of the capacity utilization, I don't think we have a full sense. But if it were running at full capacity, they didn't need to close it down that you can expect. So obviously, they were struggling. And whatever volumes they were doing across their product lines, be it pyridine, beta, alpha, gamma, we have mapped out that capacity. As I said, a lot of customers have already reached out to us, and we have also started to reach out to customers proactively.

Having said that, as we discussed, the agrochem sector is going through softness. So, it's not that people are reaching out and placing orders immediately. They are inquiring, we are getting a sense of their volume requirement in next few quarters. And wherever customers are willing to sign up, we are booking orders as well.

Siddharth Gadekar: So basically, structurally, we can see like over the next 12 to 18 months that we can grab a meaningful market share from the guys who Vertellus were supplying to, is that a fair assumption?

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Deepak Jain: We are hoping to do that. But part of it is also dependent on the recovery of the market and with the dumping happening from China right now, so we'll have to take those considerations into account. But in steady state, yes, we are expecting to get major proportion of that capacity or requirement that was served by Vertellus from its US plant.

Siddharth Gadekar: Sir, secondly, on the Pyrithiones capacity, we would be mainly catering to the FMCG sector, if I'm not wrong. In terms of our approvals, are we have all the approvals with all the vendors in place? Or there would still be some approvals that would be pending after the capacity increases?

Deepak Jain: Siddharth, let me correct you there, the Pyrithiones capacity we are building is not only for FMCG sector. Obviously, there is a requirement in FMCG sector, and we have been serving it, at least in India. But the segment we want to go after with Pyrithiones is the industrial, paints and marine segment. It's especially in the international markets, where there are no regulatory requirements or GMP facility requirements. So that's the segment where we're getting a lot of traction from.

As I explained in the beginning, in answer to another question, there are companies which were producing or serving industrial segment, and they want us

to contract manufacture product for them. And at the same time, we also are reaching out to customers directly, end-users directly, where we are getting good traction.

Siddharth Gadekar: Okay. Sir, got it. Sir. And thirdly, in terms of our CDMO, you have mentioned that we are looking at multiple longer-term contracts in the CDMO business. Any color that over the next 2.5 years, three years, where can we see our overall CDMO revenue lag, like in a ballpark in terms of volumes or in terms of revenue?

Deepak Jain: So, I won't be able to share specifics, Siddharth. But what I can tell you, our CDMO business doubled up in last 12 months. And we hope to maintain similar kind of growth rates over the next three to five years. There are multiple discussions which are happening across pharma, biotech, agrochemicals and even semiconductor spaces. Many of them are in advanced stage. Of course, some of

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them are early stage and take time to build up in terms of volume. But our CDMO business, hopefully, will be one of the biggest growth drivers, going forward, in next three y

ears to five years, not just growth but also profit drivers.

Moderator: Thank you. The next question is from the line of Harsh Shah from Dimensional Securities. Please go ahead.

Harsh Shah: Can you help us with volume growth across all the three segments for this quarter and half year?

Deepak Jain: Harsh, you're asking about volume growth by businesses, is it? Your voice was not clear.

Harsh Shah: Volume growth across all the three segments.

Prakash Bisht: So Harsh, we believe that you are asking about the volume growth of three segments. To give you a sense, so niacinamide, which is our Nutrition, we have improved the volumes. Whereas in Specialty, we have improved the product mix, whereas the overall volumes have remained flat, but we have improved the product mix, which has led to the improvement in margin. And in Chemical Intermediates, our volumes have come down slightly because we have rationalized the sale of ethyl acetate.

Harsh Shah: Okay. And sir, just wanted to understand on the capacity utilization front. So, including the old capacity plus the facilities that we would have set up in the last 1.5 years, what would be the blended capacity utilization for us?

Deepak Jain: Harsh, your voice is very bad. It's hard to understand your question.

Harsh Shah: Yes. So, my question is, can you give us the data on capacity utilization across all our plants?

Deepak Jain: No. Harsh, we won't be able to share the utilization levels across plants. But as I said in the beginning, our existing plants anyway are running at high capacity, the new ones we stated last year have already reached 50% to 75%.

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Harsh Shah: Well, the purpose I asked this question is since FY '22, when we entered to this capacity expansion plans, we have spent around INR1,200 crore, but since then, our revenue has remained almost steady in fact, has come up by INR600 crore. I partially understand that lower realization of acetyls is due to it. But back then, our target was to double the revenue from FY '22 base, but we have already incurred INR1,200 crore of capex and only around INR900 crore left from here on. Just wanted to understand, do we still stick with that 2x revenue guidance?

Deepak Jain: So Harsh, as I explained earlier, first of all, we haven't done INR1,200 crore yet. We spent INR600 crore last year. The full potential revenue that will come out of that capacity is INR1,000 crore-plus, adjusted for some of the decline in acetic anhydride price. And we are on track to reach there over the coming quarters as markets bounce back.

We are creating another INR600 crore worth of capacity this year, which again, as I explained earlier, in another 12 months, after creating that capacity, we should reach full potential now. The revenue will, of course, follow and got slightly delayed, given softness across, particularly, agrochemical sector and our Chemical Intermediates portfolio.

Moderator: Thank you. The next question is from the line of Dhruv Muchhal from HDFC Asset Management. Please go ahead.

Dhruv Muchhal: Sir, for the anhydride business, you mentioned that you're looking for long-term contracts or probably contract in each of businesses there. So, is this a new trend or I mean, this such kind of contracts were already part of this business?

Deepak Jain: No. So, I think, yes, relatively and it's not that we have not been focusing on contractual arrangements there. Obviously, the contracts in acetyl business are very different from the kind of contracts we are doing in CDMO business, where

we have pricing formula and there is still volatility in the market. But we have at least three to four big customers in Europe, with whom we have contractual arrangements now. And in India also, some of the paracetamol customers, we have long-term contracts with them, based on some pricing formula. At an overall level, I think 60% to 65% of our business is based on these long-term contracts in acetic anhydride.

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level, I think 60% to 65% of our business is based on these long-term contracts in acetic anhydride.

Dhruv Muchhal: Okay. So, this was always the case? I mean 60%, 65% was always contracted for this kind of business?

Deepak Jain: It has increased over the years, particularly as we started expanding into export in European markets, where customers are willing to have at least annual contractual arrangements, if not two years or three years' long contracts agreements.

Dhruv Muchhal: Okay. Sure. And the second question was on the Nutrition business. So, it seems the revenues have recovered reasonably, but the EBITDA, on an absolute basis, still seems a bit low. So just trying to understand, is there's some pressure, some pricing pressure? So just some thoughts here, please?

Deepak Jain: Nutrition, as I think you guys will remember, last year was a bad year from a volume perspective. The markets have come back since then. Q1 was a lot of pent-up demand. Q2 has started to stabilize. But at the same time, there is pressure from China on pricing. One or two players in China have been aggressive in the market, especially in the last quarter and then even in current quarter, so because of which the margin obviously comes under pressure. But as market come out of it in coming one or two quarters, we hope the margins will stabilize.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, first question is in terms of revenues, how much percentage of our revenues actually is derived from the agrochemical sector? And if you could bifurcate that in terms of how much from the Specialty products and maybe basic intermediates or solvents? Thank you.

Deepak Jain: Yes, just agrochemical, in our overall portfolio, is about 1/4. And sorry, what was the second part of your question?

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Rohit Nagraj: So out of that 1/4, say, 25%, how much is catered through the Specialty products and maybe the basic intermediates or the basic commodity, semi-commodity chemicals?

Deepak Jain: Yes. I think almost 40, yes, you can assume a significant portion of agrochemical business is coming from Specialty, and that portion is only growing. Obviously, that will include all the derivatives we have coming from Pyridine and Picoline portfolio and some of the products which are coming from Diketene side as well.

Rohit Nagraj: Right. And this particular segment is likely to be relatively muted over the last couple of quarters. And as I hear from your commentary, the recovery will happen in the first half of FY '25, so maybe from April onwards, is that right?

Deepak Jain: Yes. You're talking about agrochemicals?

Rohit Nagraj: Yes, yes, right, right.

Deepak Jain: Yes. And that is true. And to your earlier question, almost 2/3 of our agro portfolio is coming from Specialty.

Rohit Nagraj: Right. Got it. Sir, second question is in terms of the current softness in demand across product lines. Is there any plan to rejig the capex that we had earlier envisaged and the one which is not yet put to on the ground? So, any thoughts on the same? Thank you.

Deepak Jain: No, I think as I explained earlier, we are on track. As per the original plan, we are on track to invest another 1/3 of that INR2,000 crore this year and the rest next year. In fact, there are other opportunities which are coming up on the horizon. As I explained, Pyrithiones could be one. There are others we are considering. So, there is no plan as of now to change any of the capex we already announced. And the other ones, which are on the horizon, we are evaluating them. And we'll -- as and when we decide on them, we will obviously come back to you and announce.

Moderator: Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla. Please go ahead.

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Naushad Chaudhary: A few clarifications. Firstly, on Project Lean. Can you talk specific steps, which we are taking here to get the result? And by when

we should expect the benefit of this initiative on our numbers?

Deepak Jain: So Naushad, we are still defining that, this is a very recent initiative. In the last couple of weeks only, we have identified some areas. And given the nature of this initiative, obviously, I can't disclose the details. But the idea here is to focus on areas which can help us take inefficiencies out as soon as possible. So, we are hopeful that whatever actions come out of this, we'll see the impact of that in next two quarters itself and subsequently as well.

Naushad Chaudhary: Okay. Secondly, in terms of your overall revenue, what percentage would be coming through distributor channel? And what percentage is directly from the client?

Deepak Jain: Yes. I think, as a philosophy, we like to deal with customers directly, by and large. In India market, I don't think we're dependent on dealers anywhere. In international markets, there are some parts of our portfolio which are through dealers or distributors. But at an overall level, the percentage for the full portfolio will not be very high. I don't have that number right now. On the spot part of the business, might be two dealers.

Naushad Chaudhary: Understood. And lastly, on Specialty business. So, if I'm correct here, in last two quarters, three quarters, we have commissioned two, three projects Diketene, agri, CDMO and one Pharma CDMO. But in terms of the revenue run rate, I understand there is a pain here in this, but these two, three projects are sizable, and they have not helped anything in terms of the revenue run rate for this business. So, are we facing challenges to sell these capacities? Or these new capacities are being fine, and we have an issue in the old capacity of Specialty? What's exactly the problem area here?

Deepak Jain: No. So, as I explained earlier, all the new capacities we set up, be it Diketene or the GMP facility, CDMO, agro active, of course, is still coming up, is not commissioned yet; we are getting good traction, and we're filling up capacity as

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we speak. But what has happened is on the Specialty side, we also have our traditional Pyridine, Picoline portfolio, which goes into agrochemicals. So, some of the positive impact coming from these new product lines got offset by the decline in that portfolio. And that you can see in our numbers as well. Sequentially, our volume in Specialty has been flat, but the realization and margins have improved because the new products are getting more traction, while some of the traditional products, which were going into agrochemical sector, have taken a little bit of hit, at least till agrochemical comes back.

Naushad Chaudhary: So, our initial guidance of ramping-up of this capacity within two years to three years, do we maintain that guidance? Or is there any change in that?

Deepak Jain: By and large, years, of course, there could be one quarter or two quarters delay, given what is happening in the market. But by and large, we are still hopeful that we will maintain that revenue trajectory for these new assets. And hopefully, the older assets, where we are seeing some pressure, like I gave an example, will also start to come back by H1 of next year. So that you can start seeing that upside or upward blip in the revenue, which you mentioned.

Moderator: Thank you. The next question is from the line of Gokul Maheshwari from Awriga Capital. Please go ahead.

Gokul Maheshwari: My question is on the industry structure, where one of your products, you mentioned that you are the only non-Chinese player there. But if you can just give an overview in terms of what is really happening because in a tough industry scenario and you being the lowest-cost producer across your products, are you seeing more such pressures on your competitors and more industry consolidation happening?

Deepak Jain: That's a good question, Gokul. So, there is definitely pressure from China, especially in

agrochemicals and parts of our Nutrition portfolio. And in some of the products, the Chinese companies are literally dumping products into markets at variable cost or at a marginal higher price and variable cost. So that pressure does exist right now.

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And as you would have seen, the other results coming out, it's an industry-wide phenomenon right now. So, but we are hoping that this is a short-term and unsustainable situation, which is what we are hearing from our customers as well as we meet them and speak about the future growth scenarios.

Gokul Maheshwari: Okay. Secondly, I mean, your broader plan in terms of your capex plan of INR2,000 crore and moving the business more towards Specialty over the years, if it translates the way you are envisaging, what does this lead to on a return-on-

capital-employed basis on a steady-state basis?

Deepak Jain: So, Gokul, whatever projects we planned as well as approved in the past and even for future, we internally take a target of 20% ROCE on those projects. So obviously, with a little bit of blip coming in the market at given point you cannot measure ROCE properly, especially when capacity is still being filled up gradually. But in steady state, we expect the new capacity to give at somewhere around 20% ROCE.

Moderator: Thank you. The next question is from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha: Some of my questions are already answered. But one is, when we are saying that Pyridine global capacity shutting down and we are getting inquiries about that, so I believe Chinese players would also be looking at this opportunity to cash in. So I'm just trying to understand that whether that would put a competition for us? And in order to get the market share on those customers, do we have to lose some margin on that front?

Deepak Jain: So, Rohit, if you are studying this sector, you would probably already know, Pyridine is a product where globally, there's already overcapacity, not just now but for probably decades. And still, we have been able to fill up all our capacity on the back of our lowest-cost structure and customer relationships. So, China had the overcapacity, they will continue to have the capacity. But still, even in the past, we have been able to utilize our assets fully.

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Secondly, as I mentioned earlier on this call, now that Vertellus is closed, we are the only scale and world's biggest remaining non-Chinese player in this segment. And people want to diversify their supply chain. So, they're not going to go to China for 100% of their requirements. And anyway, we have been serving most of those customers in the past, and their requirements have only increased on the back of this closure. Secondly, there are new customers, which always had the requirements but were buying from Vertellus in the past that are now coming to us for those inquiries.

Moderator: We seem to have lost the line for Rohit. We move to the next question. The next question is from the line of Narendra from RoboCap. Please go ahead.

Narendra: Most of my questions have been answered. Just one question regarding the acetic acid environment that you are seeing. So, when do we expect that to normalize?

Deepak Jain: So, Narendra, it depends on what you mean by normalized. The price, two years back, some people believe, was abnormal, right? So, the current prices are \$400 to \$500. There was a one-time spike last month, but we believe \$400 to \$500 will stay for some more time. So, we don't expect it to change significantly in this environment.

Narendra: Yes, I was asking that, that segment is expected to stay under pressure for a little while, right?

Deepak Jain: No. So, as I said, we are not seeing pressure on the demand here. It's just a commodity cycle, and the price is range-bound in \$400 to \$500. We are not expecting any further pressure or any increase in near future.

Moderator: Tha

nk you very much. That was the last question for today. I would now like to hand the conference over to Mr. Pavleen Taneja for closing comments.

Pavleen Taneja: We thank you all for joining on this call today. We hope we have been able to answer your queries. For any further clarification, I would request you to get in touch with us. Thank you once again for your interest in Jubilant Ingrevia Limited. Wish you all a very happy Diwali in advance. Thank you.

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Moderator: Thank you very much. Ladies and gentlemen, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc.

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Call: Feb 2024

February 2, 2024
BSE Limited
Floor 25, P. J. Towers
Dalal Street, Fort
Mumbai - 400 001

Scrip Code: 543271 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Trading Symbol: JUBLINGREA

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investors' Conference Call for the quarter December 31, 2023

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors' Conference Call for unaudited financial results for the quarter ended December 31, 2023, held on Tuesday, January 30, 2024.

The link to access the transcript of the earnings conference call is given below:

<https://www.jubilantingrevia.com/Uploads/files/12q2consfileJubilantIngrevia-ConCallTranscriptQ3'FY24Final.pdf>

We request you to take the same on record.

Thanking you,

Yours faithfully,
For Jubilant Ingrevia Limited

Deepanjali Gulati
Company Secretary

Encl: as above

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Jubilant Ingrevia Limited
Q3 & 9M FY24 Earnings Conference Call Transcript
January 30, 2024

Moderator: Ladies and gentlemen, good day and welcome to Jubilant Ingrevia Limited's Q3 and 9 months FY24 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pavleen Taneja, Head of Investor Relations. Over to you, sir.

Pavleen Taneja: Good evening everyone. Thank you for being with us on our Quarter three and Nine Months of Financial Year 2024 earnings conference call of Jubilant Ingrevia Limited. I would like to remind you that some of the statements made on the call today could be forward-looking in nature and a detailed disclaimer in this regard has been included in the press release and Results Presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia – Chairman; Mr. Hari Bhartia – Co-Chairman; Mr. Deepak Jain – CEO and Managing Director, Mr. Prakash Chandra Bisht – CFO, Jubilant Ingrevia Limited and Mr. Arvind Chokhany Group CFO, Jubilant Bhartia Group.

I now invite Mr. Shyam Bhartia to share his comments.

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Shyam Bhartia: A very good evening to everyone. Thank you for joining us on Q3 and Nine Months of financial year 2024 earnings conference call of Jubilant Ingrevia limited.

We are pleased to announce the stable business performance for Q3 amidst the continued challenging market conditions.

We are also glad to share that the Board has recommended an interim dividend of 250% i.e. Rs 2.50 per equity share of face value of Re 1 each for the FY'24. This shall result in cash outflow of Rs 39.8 Crore.

Let me first take you through the overall Macro Trends, Globally we see the following trends in Life Science business:

The Agrochemicals sector, continued to witness sluggish volume pick up globally. Although we believe that the inventory de-stocking is in its last leg, but the broader challenges to the sector still prevail. Prices globally were under pressure on account of excess Chinese supply, at very low prices. Consequently, the agrochemicals intermediate business was affected, both on volume and prices.

In the Pharmaceutical end-use segment, we saw steady growth on YoY basis, resulting in healthy placement of volumes across the value chain at and stable price environment.

In segments like Feed, Food, Cosmetics and FMCG, we successfully placed good volumes in the markets and maintained market share, however pricing recovery was muted due to aggressive volume push by the competition.

As we draw near to closing the financial year, we are hopeful and continue to have a view that the Agrochemicals segment would witness recovery from H1 of next financial year. We anticipate signs of pickup in volume by the end of Q4 FY2024.

As a key supplier to global agrochemical companies we are confident of our role in managing the transition of supply chain sourcing away from China. We are witnessing continuous interest and inflow of inquiries from global agrochemical clients, where these inquiries are also graduating towards advance stage discussions, and we are confident to meeting their long-term requirements, in the times to come.

On the input costs front, we kept costs under control through lean initiatives. The energy costs were also maintained at reasonable levels through sourcing coal at optimal prices and other efficiency and mix initiatives.

Driven by robust domestic consumption, we expect the Indian market fundamentals to remain strong and fuel further growth for us.

As we have remained on track towards investments in high-potential categories through our well defined modular capex plan of Rs 2,000 Crore till FY 2025, we remain focused to deliver structured growth in future.

With this, I now handover to Deepak to discuss about the business in detail.

Deepak Jain: A very good evening to all of you.

Thank you, Mr. Bhartia. A very good evening to all of you!

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At the outset I would like to thank you all for joining us today for Q3 & Nine Months FY24 investor call of Jubilant Ingrevia Ltd.

Let me now take you through the overall business and financial performance along with Key Highlights of the Company for the third Quarter of Financial Year 2024.

At an overall level, the last quarter remained a challenging quarter for global and Indian chemicals industry, driven by subdued demand in key end-use segments such as agrochemicals and continued price pressure across segments.

The demand traction for Specialty Chemicals Business from Pharma end-use segment witnessed improvement, however pricing is yet to witness a recovery, whereas Agro Chemical demand continues to remain impacted on account of lower volumes and prices, with the overall market situation remaining challenging.

In the Nutrition and Health Solutions business segment, vitamin demand was stable, however we witnessed increased competition from Chinese suppliers, due to which Niacinamide pricing remained under pressure.

In the Chemical Intermediates business segment, we continued to w

itness muted

demand in some of the downstream industries including Agrochemicals and

Paracetamol. Softer Paracetamol market also led to reduction of overall revenue from Pharma end use despite strong growth in Specialty and Nutrition end-user markets for this segment. We also witnessed lower realization against the pass through cost of Acetic Acid during the quarter leading to lower revenue in the segment.

As informed by Chairman, we are encouraged by continuous interest of global agrochemical clients for supply chain transition away from China and we are confident of capitalizing on this opportunity in the times to come. We are in advanced stage discussions for strategic partnerships with several key innovators.

On the customer front, we are continuing to witness healthy enquiry traction with several customers across Acetyl and Specialty Chemicals businesses for longer-term contracts. In the CDMO business, we have a healthy pipeline across pharma, agrochem, fine chemicals and semi-conductor chemicals.

Our major capex projects are on-track as planned. We commissioned one agro intermediates plant towards the end of the last quarter, while the Diketene derivative expansion and another agro active cum intermediate plant are planned for commissioning in Q4'FY24.

The capital expansion plan demonstrates our commitment and strategy to structurally expand and shift our business mix towards value-added Specialty intermediates. We are also revisiting our expansion plans for coming years in light of several opportunities where we are seeing increased and accelerated traction from our customers.

As communicated in previous quarter, with the help of our project Lean initiatives we successfully kept our costs under control and brought our working capital down.

Further, we also continued to source coal at optimal prices and deployed other efficiency and input material mix initiatives to improve the overall energy cost.

As we move into Q4 of financial year, our channel checks and client's order bookings for the next year indicates that the Agrochemicals segment may start witnessing

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recovery from H1 of next financial year, however we also anticipate some early signs of volumes recovery during the end of Q4 FY2024.

Now let me take you through the updates on all our three business segments individually.

Specialty Chemicals: During the quarter, Lower volumes driven by lower demand of agro chemical end-use induced pressure on margins of Specialty Chemical Business.

Although, Agro Chemical market witnessed decreasing pressure from de-stocking during the quarter, the influx of material from surplus Chinese capacities mitigated the demand and price pickup.

Pharma end-use demand witnessed improvement, however pricing in the end-use segment is yet to witness recovery.

On the back of good Pharma demand our share of revenue from Pharma End-use customers improved on YoY and QoQ basis, wherein we also added 38 new customers to our speciality chemical business segment.

We also witnessed steady demand for our products from Domestic markets, wherein North American region also performed well, whereas muted demand continued in Europe, owing to downstream industry slow-down in the region.

Our CDMO business continued witnessing positive traction during the quarter, wherein we are very hopeful of closing strategic partnerships with large global clients, on the back of firm enquires.

We are witnessing positive momentum in our Diketene range of derivatives, wherein we also operated our Diketene plant at optimum capacity utilization during the quarter. Our expansion of Diketene derivatives is also in progress, and we are expecting the commissioning of the new Diketene derivatives plant to take place during the Quarter4 of FY24.

Under Microbial control solutions, we expanded capacity of Pyrithiones to cater to increased demand. Witnessed continued healthy traction in

Pyrrithion business,

new customers and product approvals were also added.

We commissioned a multi-purpose Agro Intermediate plant towards the end of Q3'FY24. Further another Agro Active/ Intermediate plant to be commissioned in Q4'FY24

Now moving on to our Nutrition & Health Solution Business Segment

During the quarter, Revenue & EBITDA within the segment grew on YoY basis,

primarily led by improved demand and price recovery in major products.

Vitamin demand during the quarter remained stable, whereas we also witnessed competition from Chinese suppliers.

- We observed downstream industries continuing to maintain lower inventories across regions, wherein Niacinamide pricing also remained under pressure.

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Customers seem to be in wait and watch mode due to prices continuing at lower levels.

We witnessed marginal uptick in prices in the month of January, which we hope shall continue.

Our Nutrition & Health Ingredients (NHI) business witnessed improved demand from Food segment end-use on QoQ and YoY basis, wherein we acquired 12 new customers during the quarter.

Our Animal Nutrition & Health Solution (ANHS) business, witnessed demand traction in premixes especially in Mineral premixes, Emulsifiers, and Chromium & Herbal formulations

We continued our focus on increasing market share in Feed segment and acquired 17 new customers during the quarter.

We are continuing to prioritise improving volumes and market share from customers in niche segments of Cosmetics and Food grade end-use.

Our capex for GMP compliant facility for expansion of Food & Cosmetic grade Niacinamide is expected to commission in Q2 of FY2025

We are also planning to enhance capacity for Choline & Specialty Premix products and for Food Grade Vitamin B4 (CC/CBT)

Now let me throw some light on our Chemical Intermediates Business segment.

During the quarter, revenue within the segment was lower mainly due to muted market environment in end use industries which maintained low utilization and lower inventory levels, leading to lower volumes in the segment.

Despite the challenging situation the business continued to maintain its market leadership for Acetic Anhydride in domestic as well as international markets, and added 27 new customers during the quarter.

We improved share of domestic sales on YoY and QoQ basis by taking initiatives to promote sales with small Indian Manufacturers for augmenting domestic market share with value added product sales.

During the quarter our new Acetic Anhydride plant at Bharuch operated at optimal utilization level.

Lower demand in Ethyl Acetate continued during the quarter.

In order to scale our volumes in the segment, we are continuing focusing on volumes-based contract with global customers.

Now let us discuss the overall Financials of the company:

The overall revenue during the quarter stood at Rs 966 Cr, as against Rs 1,158 Cr in Q3'FY23, the decline was due to lower revenue of Specialty and Chemical intermediates segments.

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The EBITDA for the Quarter stood at Rs 104 Cr, as against Rs 158 Cr in Q3'FY23.

The lower revenue in Specialty and Lower realization in Chemical intermediate led to decline in EBITDA margins, the reasons for the same were explained during the business commentary.

The capital expenditure incurred during the Quarter was Rs. 123 Cr and Rs 429 Cr during the Nine Months of FY2024. The expected capital expenditure in Q4 is around ~Rs 190 Cr. Majority of this expenditure will be in Specialty and Nutrition Segment towards Agro Chemical plant, Food and Cosmetic Grade Niacinamide, Value added derivatives of Diketene, and towards New Boiler and Power Plant at Bharuch.

The Net Debt of the company as on 31st December, 2023 was Rs. 636 Cr and Net Debt to EBITDA ratio was at 1.36 times on the basis of trailing twelve month EBITDA.

We decreased the Net Debt by Rs 65 Cr

during the quarter through release of working

capital by focused lean initiatives. Consequently Net Working Capital 'Percentage to Turnover' for Q3 FY'24 was sequentially lower at 20%. We hope to reduce our debt levels further in coming quarter on the back of continued Lean initiatives.

The company continues to remain under the old tax regime and the ETR for FY24 is like to remain in the range of 29 to 30 %.

As we move forward, I would also like to share some updates on a few strategic Initiatives undertaken in recent times.

The leadership team of Jubilant Ingrevia conducted an Ambition workshop recently to jointly redefine our new Compass and bold growth ambitions. With that, we kicked off the exercise to redefine our next 5 year growth strategy. We will be able to share the specific actions from the new strategy in coming quarters

On the Energy Efficiency front, we activated program to Improve power mix towards renewable power, grid power and Power Purchase through exchanges in addition to Captive generation. With the help of this initiative we expect our share of renewable power to increase to 4x by FY2028, and also reduce our average power cost significantly in coming years.

On People front, we have taken initiatives towards having 50% Multi-skilled Manufacturing workforce, towards achieving higher workforce agility, efficiency and diversity.

We are leveraging our Research & Development capabilities, through our newly commissioned state-of-the-art R&D lab at Greater Noida to explore new products like Electronic & semi-conductor chemicals and fluoride based chemicals.

On the Digital front, we progressed with our program 'Surge', which is focussed towards enabling transformation of business processes across Manufacturing, Supply Chain & Sales through digital interventions. We have rolled out Multiple digital initiatives to improve our yield and efficiency, the full impact of these will be realised in next financial year. With this, I would like to conclude our opening remarks. We will now be happy to address any questions that you may have.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We have our first question from the line of Divya Sethi from Electrum PMS. Please go ahead.

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Divya Sethi: Sir, globally, I understand that the agrochem industry is facing challenges, and like you mentioned that the improvement might be seen in the H1 of FY25, will it be fair to say that we are already at rock bottom, or is the worst yet to come? If you could give us an idea on the best and worst case scenarios for the next 2 to 3 years, that will be really helpful. And my second question would be to understand the contribution of CDMO business to the total revenue that we are doing.

Deepak Jain: On your first question on agrochemical market, you are right – at least the general feeling in the market based on all the customer discussions we have done as well as what we can see in terms of our volume trajectory – that we have hit the bottom. And I say that because the destocking which has been going on for the last 6 quarters or so, we can see as well as we have been hearing from customers that it is at the fag end now. Hopefully, we have already hit the bottom in the last quarter itself and there could be some lingering effects in this quarter as well, but in general, the expectation is that volume growth will start to come by the end of this quarter and will continue into H1 of FY25, as I said earlier. And with that, the hope is, in the next year or two, it may take a few quarters for demand to come back to the normal levels, but we are hoping that the next fiscal year will be a growth year for the agrochemical industry. And once it becomes stable, then it will get back to the normal cycle which the agrochemical industry goes through, which is a

positive cycle for the next few years.

On your second question, I think the CDMO business, as I have said I think in the last call as well, is a meaningfully large business in our Specialty Chemicals, and it is expected to grow very fast. It's the fastest growing business in our portfolio, and we are hoping that in the coming years, that will be the biggest driver of our Specialty Chemicals portfolio. And it will grow on the back of growth coming from multiple end-user segments. We obviously have a significant portion of that today coming from pharma, where we are continuing to get good traction from the customers but increasingly, we are also getting traction from agrochemical customers for long-term arrangements, and we also have some few inquiries in the semiconductor space.

Divya Sethi: Can we quantify it in numbers like the total revenue that we have done Rs. 966 crore for this quarter? How much was CDMO's contribution?

Deepak Jain: Divya, we don't disclose the numbers at BU level, as you know. But what I can tell you is, within the Specialty Chemicals, it's a meaningfully large number.

Divya Sethi: Also, on my question on agrochem, if you could give an idea in terms of numbers, again, where are we looking at closing this year? And next 2 years, what are the projections if the situation of agrochem pans out completely?

Deepak Jain: Again, I won't be able to give you any specific numbers in terms of the growth, but as I said, the agrochemical industry is expected to come back to growth in the next fiscal year. And as it comes, we will be able to get to a growth trajectory for the overall business because one-third of our business is dependent on the agrochemical industry; and that part has taken the biggest hit, as I explained in my opening remarks as well. So, at the company level, obviously the agrochemical segment itself will grow in our portfolio, but also it will have a meaningful impact on the overall growth trajectory of the company, and we should be able to see good growth next year as the markets come back.

Divya Sethi: For our estimates, would it be fair to take a ballpark number of 20% to 25% growth year on year?

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Deepak Jain: Sorry, I would not like to comment, Divya, on that. It's your model. You should put the assumption you are comfortable with, but it will be a growth year in all likelihood is all I can say.

Moderator: We will take our next question from the line of Harsheel Mehta from Mehta Vakil & Company. Please go ahead.

Harsheel Mehta: Sir, my question was regarding the CAPEX that we are currently undertaking. We have already commissioned an agro intermediates plant in Q3. We have another couple of plants coming up in Q4 in Specialty Chemicals, and then in the Nutrition & Health segment in Q2 of FY25 as well. Sir, what would the outlook for these new capacities be in the coming years, given the subdued market demand in Specialty and the Chinese dumping that's happening in niacinamide?

Deepak Jain: Harsheel, you are absolutely right. There are at least 3-4 of our planned CAPEX or capacity which is coming on stream – just for your benefit, there is an intermediates plant that we started last quarter; there is another agro active and intermediates plant that will start in this quarter; this Diketene derivative that was lined up, that will also start in this quarter; and then we have the niacinamide cosmetic-grade and food-grade plant which will start in May or June time frame, roughly June timeframe – our expectation is, in all these segments, as the demand comes back in the market within the next 18 months or so, we should be able to take the capacity utilization to 70% plus, pretty much the way we have done it for all the CAPEX that we have made in the last 2 years. And that's one question which was there in the last call as well. All the new investments we made in the last 2 years and the capacity which has come on

the back of those investments is moving on track as per our original plan. And most of them are already at 70% plus utilization. Similar to that, we are hoping that all this new capacity coming up will get booked in the coming quarters and in another 18 months. And obviously, a lot of it is contingent on the market demand coming back, at least on the agro segment. But the hope is that in 18 months, we will be able to take the capacity to 70% plus utilization.

Harsheel Mehta: Sir, one more question. Would you be able to share some more details regarding the semiconductor chemicals that you referred to in your opening remarks?

Deepak Jain: Because these are very sensitive and confidential projects, I can't disclose too much. But all I can say is, there are at least 4 or 5 customers who have approached us who want us to do production of some of the semiconductor chemicals through our CDMO business on a contractual basis based on their technology that they will provide. We are getting good traction from them. We are in advanced stages of discussions with a couple of them. On the back of that, we hope to increase the size of our semiconductor chemicals pipeline in the coming quarters.

Moderator: We have our next question from the line of Nitesh Dhoot from Dolat Capital. Please go ahead.

Nitesh Dhoot: My first question is on chemical intermediates. I just wanted to check on the ethyl acetate demand. You just mentioned that the demand has been muted. However, one of your large local competitors in the ethyl acetate space remarked about growing market share there with competition getting impacted and not having the cost position and ramping down their capacities. Your comments on that. And if you could just give the capacity utilization currently in ethyl acetate.

Deepak Jain: On ethyl acetate, from a market perspective, obviously there is some impact on the demand, but from our internal planning purpose, obviously, given the nature of that

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product segment, we are not chasing every demand because the margin structure

has to make sense. Ethyl acetate, in general, is a low-margin product. And we, on a dynamic basis, do our planning and take a call depending on the margin we are getting in the market. In the last quarter, particularly because the demand was subdued, we internally prioritized the demand that we wanted to chase where we could get at least some margin. That is the overall situation there. I don't know about the other player you are mentioning, would not like to comment on that, but at least that was our strategy and that has been consistent in terms of how we have been running our ethyl acetate plant.

Nitesh Dhoot: Would you be able to give out the capacity utilization in the last quarter in ethyl acetate?

Deepak Jain: I would not be able to give that exact number for you, but as I said, it's a very dynamic capacity utilization depending on the kind of traction and margins we get in the market.

Nitesh Dhoot: Sir, would it be possible to give out capacity utilization for acetic anhydride including the expanded capacity?

Deepak Jain: What I can tell you on acetic anhydride, as I mentioned in my opening remarks as well, we are now the world leader in the merchant market, and we are maintaining a very high share in the domestic market. We have actually retained our market share in the domestic market, and we have gained share in the European market also marginally. And the second thing I can tell you is the new anhydride plant that we came up with in the last couple of years. Both of them are running at, I think, at least 80% plus utilization from what I remember. We are getting good traction. Obviously, there are some segments of acetic anhydride which have gone through slow demand in recent quarters, and as soon as that comes back, our overall volumes.... And the third thing, by the way, our acetic anhydride volumes versus last year's are higher. All

these 3 factors put together; I can tell you the overall utilization has been pretty high. But there is obviously more demand that we are expecting on the back of which our volume should increase in the coming quarters in acetic anhydride.

Nitesh Dhoot: My next question is on the Speciality Chemicals segment. Here, despite the Diketene capacity ramp up that we saw and despite the CDMO capacity commissioning, the revenue has declined both quarter on quarter and year on year. Here, what was the volume decline and how much was led by pricing on the Specialty Chemicals?

Deepak Jain: You are absolutely right. I think the right way of looking at our Specialty Chemicals business is to divide it into 2 parts. There is a part which is dependent on the agrochemical segment where some of our traditional products – pyridine and its derivatives – and a few other products fall in. And then, we have the new products which are coming from, let's say, Diketene derivatives which have largely pharma, cosmetic segment or paint segment focused or microbial products or CDMO products which are all pharma. The agrochemical part of it has declined significantly on the back of the volume decline in the market and also some pressure on the price. The rest of the portfolio has actually grown in terms of volume, in terms of the mix, and EBITDA margins. So, it's a story in 2 parts for Specialty Chemicals. Unfortunately, because the hit on the agrochemical market is very deep, which is offsetting some of the growth and margin gain that we are getting on the other areas where we are getting very good traction and where obviously going forward in future, we will differentially invest more time and CAPEX.

Nitesh Dhoot: Would it be possible to quantify the contribution of Diketene in the Specialty Chemicals revenue – ballpark?

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Deepak Jain: I won't be, again, able to give the specific numbers. As I said earlier, we don't disclose our numbers at specific BU levels. But what I can tell you is it's among the fastest growing product segments in our overall specialty portfolio. And overall trajectory is positive in terms of volume, pricing, and EBITDA margins and, of course, capacity utilization, as I said earlier.

Moderator: We have our next question from the line of Harsh Shah from Dimensional Securities. Please go ahead.

Harsh Shah: My first question is on the agrochemical part of the business, as you mentioned that that business has not done pretty well. If we take FY23 as the base – I believe that around 35% or 40% of our total revenue came from the agrochemical segment – could you put a number as to how much that part of the business has come down? And by when do we expect to return to FY23 or maybe FY22 level of business, the normal level of business for agrochemicals?

Deepak Jain: Harsh, the agrochemical business share – you are right – it used to be not 35% to 40%, but at least 30% plus or minus until last year, for about a third of our business.

In this fiscal or at least if I talk specifically in the last quarter, it has come down to about a fourth of our overall business. In fact, not one-fourth, it's one-fifth, almost 20%. That is the kind of impact. And as I said earlier, in the overall agrochemical volumes, there has been a hit of even up to 40% to 50% in some segments. That overall impact has led to the reduction in share of agrochemicals from 30 odd percent to close to 20%.

Harsh Shah: Referring to the pyridines and the picolines business, are we seeing any specific threat from the Chinese competitors, and do we expect the pricing to improve from current levels or the current prices will be the new normal going ahead?

Deepak Jain: I think on pyridine and the picoline, the Chinese competition was always there, and we have been competing against them. In fact, as I explained in the last quarter, if anything, the competitive scenario has gotten slightly better in pyridine

and picoline

with Vertellus closure and we being the only non-Chinese and world's biggest pyridine and picoline player now. Having said that, there has been pressure on pricing, but we are hoping that going forward, the prices should increase. And one of the reasons, of course, for the pricing pressure to be there was because for pyridine, one of the biggest end-user segments has been agrochemicals and because volumes were down there, obviously there was a second-order effect on the pricing of pyridine and picoline portfolio as well. Having said that, to the second part of your question, we have already seen a marginal price increase in pyridine and picoline portfolio in the last few weeks – last couple of months, in fact – and we are hoping that going forward, as the agrochemical demand comes back, the pricing will also start to come back. And obviously, volume will also come back. We, in fact, are already seeing volume booked for our pyridine and picoline portfolio for the next few quarters, which is a good sign, and which again reaffirms our faith that agrochemical demand is gradually coming back.

Harsh Shah: My last question is on the Nutrition segment. Is the competition or the pressure mainly on pricing only or have we lost market share in terms of volume as well?

Deepak Jain: No, we have maintained our volumes. In fact, if I just talk about the first 9 months of the year, Q1 we gained share significantly; Q2 and Q3 volumes have been in line with our expectations and our fair share of the market. It's only the price and that too only in Q3 – because Q2 pricing was also quite good – the pricing took a hit in Q3. There

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is a lingering effect in the early part of Q4, but we have already started to see a marginal uptick in pricing in the last 15-20 days.

Moderator: We have our next question from the line of Jainis Chheda from Spark PWM. Please go ahead.

Jainis Chheda: Sir, my question was in continuation with the earlier point that because of the closure of the largest player, shouldn't the demand shift back to us since we were the second largest producer and now the largest producer of pyridine and picoline products?

Deepak Jain: Yes, absolutely right, Mr. Chheda, but what has happened in the market is, because 1) the agro volumes came down. So, overall demand is less. 2) Vertellus before it closed down, it provided – based on our intelligence – at least 6 to 8 months of inventory to its customers. While a lot of those customers have already started to reach out to us to inquire for volumes but order booking in a big way has not started. We have gotten a few orders which have not made a huge impact on the overall quantum of the volumes, but we are already in touch with all those customers. We have mapped out all the customers whom our competitor was serving before they closed down and we have started to get inquiries, if not smaller volumes, from all of them. As the markets come back, the demands come back, we are hoping to get a lion's share of whatever capacity which went out of the market because of that closure in the coming quarters.

Jainis Chheda: Is it possible for you to quantify how much the capacity went out and what will be our market share currently in the overall market?

Deepak Jain: There are different numbers obviously we have heard, but what I can tell you is, there was a meaningfully large volume that our competitor was serving from their US plant, but their utilization was only 30% to 40%. And of those volumes, we are hoping to get at least 70% to 80% share.

Jainis Chheda: Industry-wide market share, what was their market share and what will be our market share because of the closure?

Deepak Jain: Our share in the market at an overall level is close to 20%. Obviously, that will go up as those volumes come back and we are able to grab those volumes.

Jainis Chheda: Secondly, 2 small questions. 1) When will we move to the new tax

regime? Because, that will have a significant impact on our EPS. 2) And what is our CAPEX plan for FY25 and FY26?

Prakash C. Bisht: Those, we will decide it next year, but most likely we may move to the next year because this year we had a MAT credit which we wanted to utilize. At the end of this year, we will take a final call. But possibility is that next year we may move to the new tax regime. And CAPEX for the next year; we will come back to you after the Q4 because right now, we are going through our strategy as well as our budget finalization. When we come back in the Q4, at that time, we will tell you.

Deepak Jain: Broadly, the CAPEX plan for next year, I will answer it in 2 parts. There is a part 1 which is linked back to the Rs. 2,000 crore CAPEX we had announced 2 years back. That part, as I mentioned in my opening remarks and Chairman also mentioned, stays on track. We had planned for Rs. 2,000 crore. Last quarter I explained roughly it was Rs. 600 crore in each of the 3 years. First 2 years have passed; or by the end of this fiscal year, we will be almost two-thirds done with that CAPEX. Remaining one-third, we already have plans to deploy in the coming fiscal year. When Prakashji said that

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we will come back with the final number, we are revisiting some of those CAPEX in terms of where we need to take slightly bigger capacities where we are getting some additional traction from our customers or in the product segments. And obviously, there are new opportunities on the horizon always, which have come up in the last 6 to 8 months, which we are considering how to accommodate either in the existing capacities or should we take additional CAPEX. All of those deliberations we are doing as we define our strategy, and we will come back. But one thing stays constant; whatever we announced earlier, that is on track and will happen.

Moderator: We have our next question from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Sir, my first question is on our agro intermediates MPP which we have commissioned in the current quarter and one more we are planning to go in Q4. Given the weakness in the global agri industry, will we see that the utilization level is still going to remain very poor, or we have got some firm order on agro intermediates from our customers?

Deepak Jain: In fact, Rohan, that is a very good question. But from a timing perspective, our capacity is coming on stream just about the time when volumes are expected to pick up and hopefully even faster than what they were in the last couple of years.

Obviously, 1 small plant came on stream last quarter, which we announced to the market. The one which will come up in this quarter is actually at least 4x bigger. If the volumes come back by the end of this quarter, as we are expecting, we should be able to ramp up the capacity utilization faster. And as I said earlier in response to the question Harsheel asked, I think we should be able to take the utilization to 70% to 80% within the next 18 months.

Rohan Gupta: Put together MPP 1 and 2, what is the CAPEX which we have incurred?

Deepak Jain: You are talking about the agro plants or....

Rohan Gupta: Agrochemicals, multi-purpose plants which we have put.

Deepak Jain: I think it goes into a couple of hundred crore, as you can expect. I won't give the specific numbers, but as I said that there are 2 plants, the first one was smaller, which was focused on intermediates; the second one is also multi-purpose, which can do both actives and intermediates. In fact, we already have orders in hand on contractual basis through the CDMO business model to serve at least a couple of customers. And as, again, I said in my opening remarks, there are multiple conversations we are having with global innovators for long-term contractual arrangements to fill up that capacity. In fact, that 70% I am saying with the assumption that it will take ti

me. But if

1 or 2 of those contracts get signed in the next few months, then we can even try to fill up the capacity faster depending on which contracts get signed first. Yes, that's a multi-purpose facility.

Rohan Gupta: The investment you mentioned is roughly Rs. 200 crore, broad number?

Deepak Jain: You can assume what you feel comfortable with. I said a couple of hundred crore.

Rohan Gupta: Sir, my second question is on our comment which we have mentioned on the global agri companies trying to reduce their dependency on China. However, we have seen that a significant disruption has happened from China in the last 1 year. Sir, what kind of confidence do we have in the current scenario that the capacities which are still there in China, and they will keep dumping at the lower prices and which can have a continuous long-term impact on our companies or global companies procuring from

China? Procurement from China may continue. We are still basing our theory that they will try to reduce their dependency on China, but however, it has not happened in the last 1 year. Actually, the opposite has happened.

Deepak Jain: No, I don't think the last part of your statement is entirely true, Rohan. Let me just at least share what we believe based on what we have been hearing from our customers also. 1) At least all the customers we are in touch with, everyone is very explicitly talking about diversifying out of China. They are not going to shut down things in China, but at the same time, they are looking for reliable strategic suppliers from India for their products. And this is happening despite the fact that in some of the product categories, China is selling the same products that we are speaking to our customers about at very low cost in the global markets. So, I think traction-wise, there is not even a single customer which has told me in the last several months that because the China prices are low currently that they will change their overall strategic direction and will not add more suppliers. Secondly, the belief at an overall level is that the low China pricing was a temporary phenomenon. And in fact, I think I mentioned in the last quarterly call also that we are tracking the pricing as well as volumes of all our key raw materials and products. We have already started to see that the prices have stabilized at a certain level, and in some areas, we are already seeing a slight uptick in the pricing as well, which essentially means that whatever dumping which was happening earlier has at least stopped, and in some cases, it has started to reverse as well, which again gives confidence that whatever was happening in the last, let's say, couple of quarters from China was temporary and will not sustain. So, as demand comes back in the market and as Chinese players become hopefully more rational, the combined effect of that should be that people will continue to look for reliable strategic suppliers from India; and those are the discussions we are also having with our customers.

Rohan Gupta: Sir, you mentioned a very important point that the leading player, Vertellus, is getting out of the business, and they filled the inventory 6 to 8 months before closing the operations. As we see that the inventory is getting over with the customers and the markets in agrochemicals picking up, you are talking about taking almost close to 70% market share which Vertellus will be leaving. Do we see that maybe Q4 or Q1 onwards when the inventories are dried down globally, we will be having a significant pickup in our Specialty Chemicals volume, also benefiting from Vertellus getting out of the business and that will drive our operating rates and profitability?

Deepak Jain: Yes, that's the general expectation. As market volumes come back and as some of the customers which were being served by our competitor start to book volumes with us, and that goes back to the overall point I

mentioned that starting Q1 of next fiscal in agrochemicals, we are hoping recovery. We will hopefully start to see a volume uptick. In fact, in a couple of products, we are already seeing some signs of uptick even in this quarter that we know. We are hoping that that will accelerate by next quarter. Whether it will happen like a full recovery or part recovery, then we will see. We will start to get more indications, I think, in another month or two as we get into March of this year and start booking volumes for the next quarter.

Rohan Gupta: Sir, will you give your capacity utilization level right now in the Specialty Chemicals at the current level, mainly pyridine derivatives?

Deepak Jain: Our Specialty Chemicals is a very spread out business. As I explained earlier, the right way of looking at that business is there is a part which is dependent on Agrochemicals where pyridine and its derivatives go, largely exposed to agrochemicals. And then there is everything else which is Diketene derivatives, microbial, and other things which....

Rohan Gupta: I was, sir, particularly asking for pyridine derivatives, the segment which can see a significant pickup due to the largest player getting exited from.

Deepak Jain: There, the utilizations compared to previous years were, of course, low because agrochemical volumes have been down. But we are hoping for an uptick in the utilization in the coming 2 quarters.

Moderator: We have our next question from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Sir, my question is with respect to your comment regarding the CAPEX. You mentioned that Rs. 600 crore is the remaining CAPEX out of that Rs. 2,000 odd crore which will happen in FY25, and beyond that also, you are looking for some more CAPEX plans which you will finalize. Since there was a demerger of the company,

I'm asking this question from that perspective. You have maintained your balance sheet in a very decent manner in terms of the overall debt situation, given the current situation where your overall cash profits are closer to Rs. 70 crore to Rs. 80 crore only. How would you balance your CAPEX plans, given the current profitability scenario? Will you still go for those CAPEX by taking debt or you will wait for green shoots to happen and then you will go for those additional CAPEX? Just capital allocation and maintaining that financial discipline perspective, I'm asking this.

Deepak Jain: That's a very good question, Resham. We have done a little bit of modeling there. As I was explaining, for next year, CAPEX is divided into 2 parts. There is a Rs. 600 crore of planned CAPEX, roughly, which we will go ahead with and given our expectations for EBITDA for next year, with market recovery happening in, let's say, Q1 of next fiscal, we are not expecting to increase our debt further if we do only that much. That we are reasonably sure. Of course, if the market recovery gets pushed out by a quarter or two, we will see what happens to our debt level. But even in that scenario, we are not expecting to delay any of our originally planned investments significantly because we believe in that and those are linking back to areas where we are already getting very good traction, be it the Diketene derivatives or our CDMO business or some of the food-grade vitamins business or Choline Chloride business that we have planned. Some of those planned CAPEX will happen, obviously, with the assumption that a recovery will happen. If there is a marginal delay, I don't think we will change those plans and it will not increase our debt from current levels at all. Now, obviously, anything new that we consider and as Prakashji explained earlier, we are going through that exercise internally to see what could be those additional items. I have a fairly high degree of belief that the areas that we are thinking about are the right areas. But obviously, if market

doesn't come back or if the recovery gets delayed, then we always have the option of taking those new CAPEX beyond what was planned in the original Rs. 2,000 crore plan by a few quarters. That will be the only change. The original plan, as I said earlier, I am repeating, we believe in it, and we will stay on track on that based on the traction we have seen. And if we do that much and with the recovery happening in Q1, our debt should not increase.

Moderator: We have our next question from the line of Pranav Tendolkar from Rare Enterprises. Please go ahead.

Pranav Tendolkar: Sir, I just have 2 questions. One is that after COVID, this is now the third year. And anybody would assume that all the supply chain abnormalities would have normalized. Then, in that case, if Chinese people are still dumping chemicals, what makes us sure that they will stop it after, say, 1 quarter? That is the first question. And the second question is, sir, about CDMO, I heard the comments, and you are mentioning that there are some semiconductor chemicals research projects also in

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the inquiry stage. Can you just elaborate what is the market size that could open up for us in this?

Deepak Jain: On the first question, Pranav, Chinese dumping, obviously, is very hard to predict what will happen from the China competition perspective. But what I can tell you, as I said earlier on the call, is the volume demand is going to come back from whatever we can see. And once that happens, obviously the level of desperation which is existing today, at least in China, that hopefully should come down. Second thing I can tell you based on the facts and the numbers I have before me is we are already seeing a little bit of rationality coming back in the products we compete in vis-a-vis Chinese players. And I gave a couple of examples earlier – the vitamin B3 business, niacinamide. We have seen in the last 15 days some price increase. A few other products whose pricing we are tracking, and we were seeing very intense competition from China until last quarter, there also we have seen a stagnation in price decline and in some cases even an uptick in the pricing. These factors put together just give us a hope that at least dumping will not happen. In fact, as demand comes back and there is some rationality which comes back to the market, the profitability and pricing should start to come back. That's the hope. Now, obviously, if somebody wants to ruin their P&L completely and continue doing that, that you cannot control. But the indications are it will slow down and hopefully the market will start to see an uptick starting the next quarter.

On the CDMO business, I think I answered that question already. These are initial-stage inquiries from 4-5 customers in the semiconductor space where they are asking us, based on some of the chemistry capabilities we have, if we can make products for them on the back of technology provided by them sometimes and sometimes based

on our own capabilities. We are getting good traction. We are in advanced stage discussions. And for us, because so far, we have not been doing semiconductor chemicals, this will be like an entry, and once we get an entry into it, we will figure out the plans to scale it up.

Moderator: We have our next question from the line of Dhruv Muchhal from HDFC AMC. Please go ahead.

Dhruv Muchhal: Sir, the question is on the Life Science or the acetic anhydride business. Is it possible to share what would be the per kg spread – not in numbers but in qualitative terms?

What is the per kg spread in this quarter? And say if you have to take an average of the last 4 or 5 or 6 years, how low are they versus that? Just trying to understand, as you know, the business normalizes, where could the numbers settle?

Deepak Jain: Dhruv, I won't be able to give you specific numbers, but as you know, the spread in anhydride business is linked to the pricing o

r the costing of acetic acid as well. What

I can tell you is obviously because of the demand pressure and slightly aggressive competition, the spread in the last quarter has been lower than what the average was for the last few quarters. And as I explained in my opening remarks also, the 2 factors which led to lower demand were, 1) the agrochemicals, because acetic anhydride goes into the Agrochemicals segment in a big way. 2) Paracetamol. As demand for these 2 areas start to come back, we are hoping the volume will increase, and obviously depending on the trajectory of acetic anhydride prices, we are hoping to get back to our normal operating margins, contribution margins. That's all I can say qualitatively. Dhruv, hope it answers at least part of your question.

Dhruv Muchhal: Yes, but the idea was just to get some sense. For example, the spreads in the current quarter and even in the last quarter 2Q, are they 40% or 50% lower than the average

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over the last 5-6 years? Because, this business is generally a spreads business. That will help us understand the trajectory.

Deepak Jain: I, again, won't give specific numbers here, but I think the drop is not as significant as you just mentioned because then we will be out of business.

Moderator: We have our next question from the line of Tarang from Old Bridge Asset Management. Please go ahead.

Tarang: I have 3 questions. Some of these might have an element of repetition, so please bear with me. The first question is, was this quarter as per expectations when you all started the quarter?

Deepak Jain: Expectations of whom, Tarang?

Tarang: Management. The quarter that's gone by, the Q3 quarter, did it play out the way you anticipated it to play out when you started in, say, October?

Deepak Jain: Yes, for non agro part, I think it's more or less in line with our expectations. Agro part, honestly, I was hoping to see at least some recovery which started to show some early signs towards the end of the last quarter but didn't actually happen in reality.

Tarang: Sir, I asked this because that's the sense that we have picked up or at least have picked up from a host of other companies who are exposed to that industry. Typically, Q2 earnings are held probably 30-40 days into the subsequent quarter. And one believes that one has a good sense in terms of how the current quarter would pan out. But did something go drastically south in the later half of the Third Quarter? Is that how you would probably see it if you were to introspect it?

Deepak Jain: No, not at all. I don't know about other companies, but we have been pretty consistent because, at least since the time I came into this business and started speaking to the customers, I think the hope was always that a meaningfully big recovery in agrochemicals will happen only by Q1 of next fiscal. But the only difference was that we were hoping that the recovery process would start from the last quarter itself, which has not started. And now we have visible signs that it has started. That's the only difference. I don't think we ever announced that especially in the last.... because I ran the last call. I don't think....

Tarang: No, sir, you didn't. And I'm not indicating or insinuating you did. I was just looking at the numbers the way Q2 panned out over Q1. And given the challenges that we faced in the previous year, that was the sense that I had. I might be overreading, but I just wanted to get your sense. That's okay; thank you. Sir, my second question is on pyridine. You are the global leader. China is extremely active in this space. How has the market pricing behavior here been? In your assessment, the realizations that you have seen over the last 6 months, do you think your peer-set out there is making money? I mean, you can never be sure, but I just wanted to get a sense.

Deepak Jain: You don't need to guess that. You just go online and check Red Sun's financial

res

ults. They are publicly available. You will get the answer to your question.

Tarang: Sir, this is to the management and Mr. Bhartia. Given the recent developments that we have seen, especially the aggression that we have seen in this industry coupled with whatever is happening in the end market, how has the Project IRR has changed from the time you calibrated the Rs. 2,000 crore outlay?

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Deepak Jain: I can start and then Prakashji and Mr. Bhartia can add, Tarang. I think I mentioned in one of the previous calls that when we projected all these CAPEX and then when we approved them because each one of them goes through an approval process, we look at, at least 20% ROCE. That is the internal hurdle based on which we evaluate each of the projects and CAPEX. Obviously, there has been some pressure in certain segments on volume and price, but the internal hurdle is not changing. We still believe and that's why we still are very confident of taking this incremental CAPEX that we had planned 2 years back even in the next fiscal year that we will be able to get back to that trajectory, which will give us 20% plus EBITDA margins leading to higher ROCE. Obviously, because of a little bit of slowdown in volumes and some impact on pricing because of what happened in the last 1-1/2 years, it may just disrupt it slightly, but it won't change the overall profile of this investment.

Moderator: We will take our next question from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain. Please go ahead.

Sanjesh Jain: Apologies, I am sticking to the agrochemical question again. In post January, agro commodities have suddenly started correcting sharply. The soybean prices are at the long-term median, and corn which is expected to have a larger acreage has actually dipped below long-term mean. Are we moving from a supply side issue to a more demand side issue now? Are we getting any of that kind of a sense when we are talking to the customer?

Deepak Jain: Sanjesh, honestly, not so far. At least, based on the commodity price movement, we haven't heard any impact coming on the demand side. In fact, if anything – and in the last 1 month, I have interacted with at least 10 to 15 of the CEOs or CXOs of different agrochemical companies in different parts of the world – everywhere I have heard that we have bottomed out in the last quarter from a demand perspective. Obviously, if this commodity what you talked about, agro commodity pricing thing sustains, then at some stage there could be some impact. But we can't comment on that right now.

Sanjesh Jain: One followup to that. Some of the companies commented that the buyers, which are agrochemical companies, have pushed their purchases from December to January. And that's why January-February optically looking better may not be a right indicator. Did we have any experience where some of our purchases were postponed from December to January-February and hence the Q4 may look better?

Deepak Jain: No, I don't think so. At least I haven't heard any such requests or any such actions from any of our customers. Given the pressure in the last quarter, in fact, if anything, we have pulled in and convinced some of our customers to do some of the sales early given how much the pressure was. So, it could be either ways, Sanjesh. At least, we haven't gotten any such requests from any of our customers.

Sanjesh Jain: This question was just to understand that is that really early signs of recovery or just another deception? Because the guidance for next year by most of the agrochemical companies is 2% to 3% growth, and I don't see that changing. That's the whole reason. Just to check upon the real recovery in the demand. Thank you, sir, and best of luck.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Pavleen Taneja for closing comments. Over to you.

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Pavleen Taneja: Thank you everyone for joining us today. We hope we have been able to answer your queries. For further clarification, I would request you to get in touch with me. Thank you once again for your interest in Jubilant Ingrevia Limited.

Moderator: Ladies and gentlemen, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high

level of accuracy.

Call: May 2024

May 20, 2024

BSE Limited
Floor 25, P. J. Towers
Dalal Street, Fort
Mumbai - 400 001

Scrip Code: 543271 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Trading Symbol: JUBLINGREA

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investors' Conference Call for the quarter and year ended March 31, 2024

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors' Conference Call for audited standalone and consolidated financial results for the quarter and year ended March 31, 2024, held on Tuesday, May 14, 2024.

The link to access the transcript of the earnings conference call is given below:

[https://www.jubilantingrevia.com/Uploads/files/13q2 consfileJubilantIngreviaLimited-Q4FY24ResultTranscript.pdf](https://www.jubilantingrevia.com/Uploads/files/13q2%20consfileJubilantIngreviaLimited-Q4FY24ResultTranscript.pdf)

We request you to take the same on record.

Thanking you,

Yours faithfully,
For Jubilant Ingrevia Limited

Deepanjali Gulati
Company Secretary

Encl: as above

Page 1 of 25 List of Management Attendees

1. Mr. Shyam Bhartia, Chairman
2. Mr. Deepak Jain, CEO and Managing Director
3. Mr. Prakash Chandra Bisht, CFO, Jubilant Ingrevia
4. Mr. Arvind Chokhany, Group CFO, Jubilant Bhartia Group
5. Mr. Pavleen Taneja, Head – Investor Relations, Jubilant Ingrevia

External Participants during Q&A session

1. Jinal Sheth – Awriga Capital Advisors LLP
2. Rohit Nagraj – Centrum Broking
3. Rohan Gupta – Nuvama Securities Limited
4. Gokul Maheshwari – Awriga Capital Advisors LLP
5. Pranav Tendulkar – Rare Investments
6. Neerav J – Anvil Research

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Jubilant Ingrevia Limited

Moderator: Ladies and gentlemen, good day, and welcome to the Jubilant Ingrevia Limited Q4 and FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja, Head of Investor Relations, Jubilant Ingrevia Limited. Thank you, and over to you, Mr. Taneja.

Pavleen Taneja: Thank you, Dorwin. Good evening, everyone. Thank you for being with us on our Quarter 4 and Financial Year 2024 Earnings Conference Call of Jubilant Ingrevia Limited. I would like to remind you that some of the statements made on the call today could be forward-looking in nature, and a detailed disclaimer in this regard has been included in the press release and results presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia, Chairman; Mr. Deepak Jain, CEO and Managing Director; Mr. Prakash Chandra Bisht, CFO, Jubilant Ingrevia; Mr. Arvind Chokhany, Group CFO, Jubilant Bhartia Group.

I now invite Mr. Shyam Bhartia to share his comments. Over to you, sir.

Page 3 of 25 Shyam Bhartia: A very good evening to everyone. Thank you for joining us on Q4 and financial year 2024 earnings conference call of Jubilant Ingrevia limited. We are pleased to announce stable business performance for Q4 amidst the continued challenging market condition.

We are also glad to share that the Board has recommended a final dividend of 250% i.e. Rs 2.5 per equity share of face value of Re 1 each for the FY'24. This shall result in cash outflow of Rs 39.8 Crore. During the year company has already declared an interim dividend of 250% i.e. Rs. 2.5 per equity share of Rs 1 each and the total dividend for FY'

24 works out to be 500% i.e Rs 5.0 Per equity share of Rs 1 each amounting to Rs 79.6 Crore of Cash outflow.

We are pleased to share that during the quarter, we commissioned our multipurpose Agro Active & Intermediate Plant at Bhauruch facility. This plant would strengthen our capacity and capability to produce forward integrated, high potential Agro Actives & Intermediates

In addition to that we also commissioned a plant for new Diketene Derivatives in Gajraula facility which will further enhance our Diketene product portfolio. Commissioning of these plants is in line with our stated strategy of further strengthening our Speciality Chemicals product portfolio, through long-term contractual arrangements with our customers.

The Agrochemicals sector, which faced dual challenge of overstocking of inventories and oversupply from China during the year, is yet to bounce back to normalcy, while the excess inventory situation is expected to ease out and volumes are likely to move, the prices may still remain under pressure due to excess supply of agrochemicals globally. We expect that the sector may still take 1-2 more quarters to recover fully and get back to normal.

In the Pharmaceutical end-use segment, we witnessed stable demand trends with healthy volume placements during the quarter. Early signs of further improvement in demand in certain products are signalling near term outlook remaining buoyant, with significant pricing recovery yet to take place.

Page 4 of 25 In Nutrition Segment the demand is steady however prices remained under pressure due to excess supplies from China.

With the onset of new financial year FY25, we expect all the three segments to improve sequentially over FY24. Our key focus in FY 25 will be on customer centricity, ramping up the newly commissioned plants, remaining lean and bringing back the margins to normal levels.

We are firm and on track towards investing in high-potential product categories and expand our product portfolio through our ongoing modular capex plan of Rs 2000 Cr, to deliver structured growth and drive us towards our newly created vision of Pinnacle 345 i.e. 3 times Revenue, 4 times EBITDA, in 5 years.

With this, I now handover to Deepak to discuss about the business in detail.

Deepak Jain: Thank you Mr. Bhartia, a very good evening to all of you.

At the outset I would like to thank you all for joining us today for Q4 & FY24 investor call of Jubilant Ingrevia Ltd. Let me now take you through the overall business and financial performance along with Key Highlights of the Company for the fourth Quarter of FY 2024.

At an overall level, the previous quarter was yet again a challenging quarter for global and Indian chemicals industry, primarily driven by muted demand in key end-use segments such as agrochemicals along with persistent pricing pressure across the segments.

Despite the above challenges, we could keep our financial performance largely stable vs. previous quarter driven by our continuous customer engagement and multiple cost savings initiatives.

In Speciality Chemicals, we witnessed higher volumes coming from Pyridine building blocks and Fine Chemicals including Diketene, wherein CDMO remained the key driver for our future growth.

In Nutrition & Health Solutions, we witnessed higher sales volume coming from Niacinamide, wherein pricing remained muted.

Page 5 of 25 In Chemical Intermediate business segment, Acetic Anhydride volumes were stable, while the pricing remained soft on account of lower demand from Paracetamol and Agro Chemical end use, in both India and European markets. During the quarter, we were also impacted due to higher freight cost led by Red Sea Crises, which correspondingly dented our overall margins. With the help of our Project Lean initiatives, we successfully kept our costs under control and brought our working capital down to 18% of

of sales through focused inventory optimization and other measures.

We have also signed an agreement with M/s O2 Renewables for captive Renewable Energy sourcing for our Gajraula and Savli facility. We expect the share of renewables to increase to 30%+ in next 12-15 months.

Under our Digital initiatives focused on productivity, yield and energy cost optimization through digital 'Surge' program, we have completed multiple projects to bring efficiency across our manufacturing locations.

Our committed capex plans stayed on track. During the last quarter we commissioned our multipurpose Agro Active & Intermediate Plant at Bharuch facility. In addition to that we also commissioned a plant for new Diketene Derivatives in Gajraula facility. Our GMP compliant facility for Food & Cosmetic grade B3 is expected to be commissioned in Q3'FY25.

Our capex execution track record demonstrates our commitment and strategy to structurally expand and shift our business mix towards value-added Specialty intermediates. This is also visible in Specialty and Nutrition share of revenue continuing its upward traction at 60% in Q4'FY24, compared to 54% in Q3'FY24. We are also under process of devising our further expansion plans for coming years in light of numerous opportunities where we are seeing increased and accelerated traction from our customers.

Now let me take you through the updates on all our three business segments individually.

Page 6 of 25 Specialty Chemicals: During the quarter, the Specialty chemicals segment grew by 30% QoQ and also saw marginal growth vs. last year. We witnessed continued improvement in demand from Pharma end-use segment, wherein volumes remained strong, and prices are yet to recover. Whereas, in Agrochemical End-use segment destocking phenomenon is expected to be at a fade end, however we are witnessing volumes growing gradually. Agrochemical oversupply from China is still a concern, which is keeping the prices muted.

Driven by Fine Chemicals & CDMO, demand from North American and Europe region grew during the quarter, while Domestic market was relatively soft. Our Di-ketene plant is currently operating at 60-70 % utilisation, wherein we witnessed sizable volume traction during the quarter.

In CDMO, we continue to have a high visibility on future growth pipeline. We are in advanced stages of discussions to close a few long-term contracts across agro and pharma sectors. We also continue to see new inquiries in semi-conductors and electronics chemicals too.

Our Microbial Control Solutions Business is witnessing good momentum through new products launch in Pyrithiones platform. This will support accelerated growth going forward.

As mentioned earlier, during the quarter we also commissioned our Multi-purpose

Agro Actives & Intermediate plant in Bharuch and Di ketene Derivatives plant in Gajraula.

Now moving on to our Nutrition & Health Solution Business Segment, during the quarter, the Nutrition business grew both on QoQ and YoY basis, largely driven by higher volumes. Vitamin demand remained stable, though competitive pressure was witnessed across the product range.

Our view is that customers seem to be in buying mode now, but unwilling to accept higher pricing. Despite that, we could increase our global market share in B3 in FY24.

Page 7 of 25 We also launched new products range in the segment, with introduction of Liquid Choline Chloride and Choline Bitartrate.

We also witnessed volume for Food & Cosmetics grade registering significant growth in Q4'FY24 sequentially and in FY24.

I would also like to share that our GMP compliant facility for Food & Cosmetic grade Niacinamide is expected to be commissioned in Q3'FY25, for which we have also started receiving good traction towards volumes booking. The decline in segmental EBITDA was warranted mainly due to benign pricing led by Chinese competition.

Now let me throw some light on our Chemical Intermediates Business segment. Revenue for the Quarter and the Year were impacted on account of lower prices of Acetic Anhydride, which were primarily driven by lower demand from end use industries and lower price of underlying key raw material Acetic Acid.

During the year, continued lower utilizations in downstream industries including Agrochemicals and Paracetamol constrained further volumes pickup in the segment.

During the quarter, the Red-Sea challenge also resulted in overall increase in ocean Freight, which impacted our sales and margins during the quarter. We continued to maintain our dominant market share for the Acetic Anhydride in domestic markets, while increased our share in the European market.

We also implemented world class digital initiatives at our global manufacturing facilities to improve our operational efficiencies in the business segment.

During the quarter gone by, we received +99% Biogenic Content Rating for Green Acetic Acid, this achievement would enable us push our sales with global food giants.

Now let us discuss the overall Financials of the company:

The overall revenue during the quarter stood at Rs 1,074 Cr, as against Rs 966 Cr in Q3'FY'24, the revenue was higher mainly due to higher volumes coming from

Page 8 of 25 Specialty Chemicals and Nutrition Segments. The revenue for FY 24 was Rs 4,136 Cr against a revenue of Rs. 4,773 Cr in FY 23

The EBITDA for the Quarter stood at Rs 101 Cr, as against Rs 104 Cr in Q3'FY24.

EBITDA was almost flat mainly on account of benign pricing in Nutrition segment led by Chinese competition and also lower realization in Acetic Anhydride. The EBITDA for FY 24 was Rs 456 Cr against an EBITDA of Rs. 580 Cr in FY 23.

The capital expenditure incurred during the Quarter was Rs. 143 Cr and for the FY 2024 it was Rs 572 Cr. We expect to spend the remaining approx. one third of announced capex of Rs 2,000 Cr in FY25, which will mainly be incurred towards Food and Cosmetic Grade Niacinamide plant, New food grade choline (CC CBT) plant, expansion of GMP facilities

The Net Debt of the company as on 31st March, 2024 was Rs. 653 Cr and Net Debt to EBITDA ratio was at 1.43 times. The Increase of Rs 341 Cr in Net Debt during the FY 24 is led by Rs 572 Cr of Capex. Despite high capex we restricted borrowings and actually decreased the Net Debt by Rs 48 Cr during the second Half of Financial Year through focussed working capital optimization led by active management of Inventories and other measures driven by Lean initiatives. Net Working Capital 'Percentage to Turnover' for Q4 FY' 24 was sequentially lower at 18%.

During the quarter, we opted to move to the new tax regime from FY24 onwards whereby the applicable statutory tax rate shall only be 25.17% as against the statutory tax rate of 34.94% in the old tax regime. However, the tax expense for the quarter and year includes a onetime transitional write-off of opening brought forward MAT credit amounting to Rs. 12.56 crores. The expected ETR from FY 25 onward will be in the range of 25-26%

The PAT for quarter was Rs 29 Cr (after adjusting for MAT credit write off), as

against Rs 39 Cr in Q3'FY'24, While the PAT for FY 24 was Rs 183 Cr against a PAT of Rs. 308 Cr in FY 23.

As we move forward, I would also like to share an update on a few strategic Initiatives undertaken in recent times:

Page 9 of 25 As I mentioned in the previous quarter, the leadership team of Jubilant Ingrevia has designed a bold 5-year growth strategy. We have set out a new Growth Roadmap for ourselves called Pinnacle 345 – i.e. 3x revenue growth, 4x EBITDA growth in next 5 years.

Over the last few months, we did a bottom-up assessment of each of our businesses and product platforms and crafted a detailed strategy for each business.

The Pinnacle 345 growth roadmap is deeply rooted in our core strengths,

i.e.

Customer centricity, world-class operations, Innovation, ESG leadership and People focus.

It also leverages the opportunity that is coming to Indian chemical industry on the back of 5 mega trends, namely, supply chain diversification, domestic demand scale up, value added products acceleration, digitization and ESG focus. You can find more details on Pinnacle 345 and our BU wise priorities in our Investor presentation.

We have already started the execution of this strategy across our BUs and have also created a Program Management Office to ensure a rigorous tracking mechanism.

Over the coming quarters, we will continue to share more updates on Pinnacle 345, and hopefully you will also start to see its impact on various aspects of our business, including new customer partnerships, new capex and several other new initiatives.

With this, I would like to conclude our opening remarks. We will now be happy to address any questions that you may have.

Moderator: The first question comes from the line of Jinal Sheth from Awriga Capital Advisors LLP. Please go ahead.

Jinal Sheth: Thank you for the elaborative and detailed inputs of the business. Just wanted to catch a point that obviously, the new capacity has come on stream. And what you

Page 10 of 25 also mentioned is that we're currently operating at 60%, 70% utilization. Just wanted your thoughts on the fact that currently our demand environment is a bit uncertain. So, is this something that comes from our customer base that we've kind of expanded to that extent? Some thoughts out there would be useful.

Deepak Jain: Yes, Jinal, you're absolutely right. As we spoke in the previous calls as well, we have invested heavily in the last 2 years and created new capacity in our businesses such as diketene, acetic anhydride, agro chemicals, etc. And because these are new product lines, except for acetic anhydride, which we have been doing for almost 4 decades, in most of these situations, we have found new customers, we are selling these products to. And across these plants, the capacity utilization is already touching almost 60% plus even in this environment. And as I mentioned in my opening remarks, as we get more volume traction, we are seeing that capacity utilization is only increasing month-on-month and quarter-on-quarter.

Jinal Sheth: Okay. And secondly, is it true that the inventory correction, are we seeing that in China as well, where capacities are probably going off? Any comments on that?

Deepak Jain: Those are two different points, Jinal, from the desocking perspective, as I mentioned in the past and even today, and we are seeing that in our business as well as hearing it from all our customers. The desocking seems to be at the far end after last 18 full months. From a supply perspective, China, of course, at least in agrochemicals from whatever we understand, has created a lot of capacity, and we still think there is excess capacity there.

Jinal Sheth: Okay. Just lastly, a connected question to the first question that I raised was that in regards to the capacity expansion that, would that kind of lead to say suboptimal returns given the demand environment and obviously considered the way to put it is the pricing is not optimal at this stage. Is that a fair way to see that?

Deepak Jain: So, I think, Jinal, for the areas where we have put up capacity, most of those are, number one, specialty areas, high-margin products. Number two, these are products, if you look at our business mix, only 20% , 25% of our business is linked

Page 11 of 25 to agrochemicals, remaining 70%, 75% business is in pharma, in cosmetics, in nutrition. We are getting good volume traction as the numbers also tell, if you look at our business by BUs. The volumes which are coming from there are helping us improve the capacity utilization. Of course, there is a pricing pressure in some product lines

es, but I don't think that will change our overall return profile if you look at it from a multi-year perspective. Of course, a few quarters, pressure will remain. But at least from the overall recovery value as well as returns from those assets where we have invested we still stay bullish, and we think the NPV or the IRR of these products on a multiyear basis will be at par with what we had projected.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: One question in terms of the different segments and product lines that we have. So, what has been the competitive scenario from China? Because as you had also mentioned in your opening remarks that there has been a competition. So, which are all areas where we are seeing that the competition is coming. And which and all area where we still have a pricing power once the normalcy returns from the inventory destocking and the other global phenomena, which are affecting the business? Thank you.

Deepak Jain: Yes, Rohit, I'll just add to what I said in response to Jinal's question, most of the pressure is in the Agrochemical segment. Obviously, there is competition in Nutrition and Pharma segments as well from China, but the level of pressure there is not as acute as it is in Agrochemicals. Just as an example, in some of the Agrochemical product lines, not just for us, but if you track the import data, the broader decline in pricing has been up to the 30%, 40%, 50% also.

While if I take example of vitamin B3, which is one of our core products in the Nutrition segment, the pricing has been flat for the last five or six months and there is only a marginal decline versus what it was previous to that. So the amount of pressure varies significantly by segment, as you rightly pointed out. It's more acute in Agrochemical. Nutrition and Pharma are largely stable.

Page 12 of 25 Shyam Bharti: Having said that, China plus one strategy with large companies still valid. And we are seeing some inquiries in the agrochemical intermediates, which are China plus one strategy. And as Deepak said that in the coming quarter, we are going to conclude a large contract for Agrochemical intermediates. This is just related to China plus one strategy. And a lot of inquiries still coming in. But since the China prices are so low, so people are trying to defer the inquiries, but this inquiry is very strong, and we are able to conclude this business, which is a large business. And secondly, we are receiving inquiries for Agrochemical sector, but people are trying to defer those, the strategy after discussing with large agrochemical company still remains still very active, that China plus one. But China being at such low prices, this is a wrong time to shift from China to India. But of course, that strategy as in the next three, four quarters, the China prices are going to go up, then definitely, this strategy will come back in action again.

Deepak Jain: Yes. And just to add to Chairman, I think as for everyone is satisfied, because I'm sure that question will come. Most of the discussions we are having with our customers, be it agro, pharma or even let's say, cosmetic space, particularly for the CDMO business, the customers are speaking to us despite whatever is happening to pricing and competition from China with a long-term view.

And in many cases, they are helping us working with our R&D team to optimize the cost structure to ensure that we collectively are able to take on the competition on pricing and then optimize our cost accordingly. So, couple of contracts that Chairman talked about are in line and with that kind of arrangement with the customers.

Rohit Nagraj: Sure. That's helpful in terms of collaborate answer. Just to put it slightly differently. Out of the entire business, how much of the business is, mean how much of businesses prices are governed by China

ina or dictated by China, given that there are incremental capacities which have come up or which are coming up in China, will still have pricing pressure on those set of products or segments that we have.

Page 13 of 25 Deepak Jain: So, Rohit, I don't have the precise number, but again, I will go back to what I was saying earlier and talk sector by sector, and then we publish that information in our investor presentation also. Agrochemicals is roughly 20%, 25% of our

business. Obviously, there is a huge pressure there from China. Pharma is roughly 30% of our business. The relative impact of China pricing is less there. And especially in our chemistries, be diketene, pyridine or some of the other products, we are able to command pricing.

If I take nutrition, as an example, vitamin B3, we are world number 2, and we and China are more or less at par. So, any one of us can disturb the price or any one of us can command premium as well. Right now, it's a deadlock where we are at a flat price, as I said, for the last six months or so. So, the answer very significantly, it's not a zero sum game that these are the products where China price does not impact, these are the prices where it can impact. It varies significantly. There is obviously some impact when there is a competition from China, but the level of impact and implication of that are very different by segment.

Shyam Bharti: In niacinamide also, having said that, there is more competition in the animal sector. Whereas in human and food sector, there is less competition, and we still get a price premium in that sector. And as Deepak mentioned about it that is why we have set up this new plant where we can supply for cosmetic and for food and for sectors where the people are sceptical of importing products from China and China does it offer such high-quality material. So therefore, we command a premium there.

Recently, also, in the food sector where we are from our existing niacinamide plant, we get a premium from what we supply to animal sectors. The main competition is in the animal sector, at which, of course, we being the lowest cost producer, we have an advantage. Of course, we cannot charge the premium pricing, only thing in the animal sector, but the food sector is still we get a premium price.

Rohit Nagraj: Sure, sure. That's really helpful. And thanks for the elaborate description. Sir, second question is, given the current environment and overall scenario, are we planning to defer any of our capexs? Or we will still continue to be doing the

Page 14 of 25 capexs or probably we will try to optimize certain capexs. Any views on that? Thank you.

Deepak Jain: No, Rohit, discussion had come up in the last two calls also, the answer remains the same. We are on track to do the capexs that we planned. Just as a reminder, two, 2.5 years back, we had announced a Rs. 2,000 crores capex. Of that Rs. 1,400 crores has already been committed in the last two or three fiscal years. And remaining Rs. 600 crores of the original plan will happen in this fiscal year. In fact, on the back of some of the long-term arrangements that we are seeking to a few big customers, we may even need to up that number once we have signed a contract with them.

Moderator: The next question comes from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Sir, first question is on your newly coined vision on Pinnacle 345. If you can sort of elaborate a little bit more on that making an initial target of 4x EBITDA. Just wanted to get some more clarity how we plan to achieve that? Which is the segment you're going to drive? And more importantly, this 4x EBITDA, we are talking about on a FY '24 base of EBITDA. Correct me if I'm wrong on that and further elaboration on that?

Deepak Jain: Yes. So, Rohan, we have given at least some details in the results presentation also. I can keep talking about Pinnacle 345 because

that's what we have been

living and breathing over the last several months. But just a few things, top of mind, I would say, number one, this is a bold vision and ambitious vision as you rightly called it. That has been co-created by the whole leadership team of Jubilant Ingrevia, we created in December. I think I had briefly talked about it in January call as well. It was originally created in a top-down manner, but subsequent to that, in the month of December and January, the whole leadership team spent a lot of time in working out the bottom-up plans by the use for each element of Pinnacle 345, which you could hopefully see in one of the slides we have put in our results presentation.

Obviously, that slide also is a 30,000 feet level. There are nth level of details in terms of what products, what market share, what cost structure against which

Page 15 of 25 competition, which geographies, which customers and how. So, all of that has been worked out BU by BU, which we discussed, debated that there in January and closed in February with our final presentation to the board.

So that strategy we firmly believe in, we think it is achievable. It is bold, but I don't think it is super bold because if you look at history, there are several companies

within chemical sectors also who have been able to achieve those kind of targets within a 5 year time frame.

Secondly, we have some fundamental strengths in our business in terms of the 35-plus chemistries we do, the 7 or 8 product platforms we have, starting from, let's say, our traditional platforms like pyridine but also newer ones like Diketene, pyrrithione, Piroctone and many others.

So, we have mapped out the specific opportunities, customers, geographies, which fall at the intersection of these product platforms and chemistries. And in a bottom-up manner, we have created this strategy. So, the level of confidence in achieving it is very high.

Number three, a lot of capex investments related to these products and chemistries has already happened as I was just explaining response to Rohit's questions. We have created capacity worth Rs. 1,400 crores of capex. That capacity now is coming on stream as I just said, it's getting filled very quickly. So many of the product lines, which are part of our strategy can be produced in this capacity. So, we have ready capacity, and that's why many of the customers are switching to us for long-term contractual arrangements across Agro, pharma, nutrition, and cosmetic sector.

Fourth and last thing I would say is there's a detailed initiatives plan that has been created behind this strategy. There are 50-plus initiatives falling across different BU's and different functions. Each BU head and functional head is driving that initiative with his or her team. And I am directly championing it and my office is doing the program management of that. So, we are taking a very rigorous approach to managing that whole process as well so that we stay on track. Obviously, the only unknown factor is how quickly the markets turn around, which

Page 16 of 25 is where our Chairman was also saying the hope is in the next 1 or 2 quarters, things will start to come back.

From a demand perspective, we are already seeing volumes going up. If you look at our Specialty Chemical business and Nutrition business, the volumes have come back quite handsomely. Specialty Chemical, in fact, 30% up. Nutrition 10% up versus the previous quarter.

The price is what we are hopeful that in next 1 or 2 quarters once China becomes less desperate, we will also start to see some uptick there. And hence, we will be on track to deliver on this bold strategy. Hopefully, there's a lot more we can talk about Pinnacle 345. Rohan, I am just restricting to 3, 4 main highlights right now. Let me know if you have any other questions.

Rohan Gupta: No, that's helpful. Sir, in the current quarter on a

Spec Chem business, the business has witnessed growth on Q-on-Q basis. This is something like EBITDA margins, which is still quite low at roughly 14% despite such a strong growth on Q-on-Q basis by roughly 30%. If you can on a full year basis, if you can give some broader number of getting into granularity, but roughly out of close to Rs. 1,600 crores kind of specialty chemical revenues. If you can break it down a little bit in the CDMO and how much comes from the Ketene and in next year, what kind of revenue target we are targeting from the Diketene and CDMO?

Deepak Jain: So, since we don't disclose the numbers at individual product platforms or growth units' level, I wouldn't be able to give that Rohan but what I can tell you is, number one, obviously, the volumes have grown at 30%. The pricing, of course, there is pressure even versus the last quarter, the prices came down for some of the product lines. And hence, the margins have not seen an uptick. It is hovering at 14%, 15% level. We believe that our Specialty Chemical business even today, based on the today's product mix, is a business that should give at least 17%, 18% EBITDA margin in steady state. So, there's an erosion of 3%, 4% points versus what the steady margin in today's mix should be largely driven by the fact that prices are subdued or muted.

Page 17 of 25 Now if I fast forward into future strategy, then we are going to have higher share of some of the high product lines we have added, the Diketene derivatives, some of the pyridine derivatives, some intermediates on the agrochemical side, the new products from CDMO, etcetera. That 18% plus steady-state margin will surely be north of 20% plus margin in the next couple of years. And that's how we have created all our business cases for the new capex we have made. So that's our aspiration. Within that, the Rs. 1,600 crores revenue number that you talked about, I think we expect our Specialty Chemical business as part of this Pinnacle 345 strategy also.

Our Specialty Chemical business should become at least three, three and a half times in next three years. At an overall portfolio level, it should be at least 60% of the overall business. And within that, bulk of the growth will come from CDMO, from our fine chemical business, which is where we have our pyridine and Diketene derivatives and from our Microbial Solutions business.

And just one more addition, the CDMO business that I'm talking about, as we discussed in the previous calls also, I'm talking about CDMO related to agrochemicals, pharmaceuticals and hopefully, semiconductors as well where we have started to see some initial traction in the last few months.

Moderator: The next question is from the line of Gokul Maheshwari from Awruga Capital Advisors LLP. Please go ahead.

Gokul Maheshwari: Thank you for the opportunity. I just wanted to know, in terms of your capex plan of Rs. 2,000 crores, you mentioned about Rs. 600 crores, Rs. 700 crores to be spent in FY '25. Could you sort of give a broader indication of what beyond that, I'm not talking of numbers, but more in terms of the projects, which you would want to take once this capex experiment is being done?

Deepak Jain: Gokul, your voice was slightly muffled, but if I understood the question correctly, you're talking about the FY '25 Rs. 600 crores, what kind of capex you are taking? Is that the question?

Gokul Maheshwari: Yes. So, your Rs. 2,000 crores of capex plan from FY '22 to '25, I believe Rs. 600 crores, Rs. 700 crores would be spent in FY '25, but what would be the spends or

Page 18 of 25 projects which you would take beyond FY '25, if you could give some color on it and if you could even quantify, that would be great.

Deepak Jain: Yes. So first, in this Rs. 600 crores, Rs. 700 crores that we plan to do in this fiscal year, as I mentioned in my opening remarks, there are a few opportunities

which

we have more or less decided but we are yet to do the capex approval, let's say, I talked about the CC/CBT, the food grade human nutrition product. We have the niacinamide product, which is coming up in September. There will be some capex related to that. We have a plan for GMP-3 for our CDMO business.

So those are some of the areas that we are planning for this year. And beyond that, there are certain opportunities in horizon. Obviously, the concrete plans have to be created. For instance, this long-term contract we are negotiating with our Agrochemical customers we will need expansion of current capacity. There will be some capex going there. We have plans for our diketene next phase of derivatives. We have done 2 phases. We have Phase 3 and Phase 4. We have a couple of products in Microbial segments where we are evaluating GMP grade plants.

Then on the microbial side, also, we have a new platform coming up sorry, for the human nutrition also, we have some premixes for which we are expanding the capacity or we are planning to expand the capacity. So just stepping back, if you look at the priorities for our different BUs in the investor presentation, all the new capex, be FY 2025 or beyond will be aligned to that strategy and those priorities.

Gokul Maheshwari: Given the number of initiatives, so beyond '25 also your capex range could be around Rs. 400 crores, Rs. 500 crores per annum?

Deepak Jain: Yes. So obviously, this original Rs. 2,000 crores announced takes us to, let's say, the end of FY '25 in terms of capex deployment. And we feel the full potential coming from that Rs. 2,000 crores of investment plus our existing business is, let's say, taking us close to Rs. 8,000 crores odd in terms of top line.

For the 3x growth in revenue from today's baseline, we will obviously need more capex, at least another Rs. 1,500 crores to Rs. 2,000 crores based on some broad

Page 19 of 25 estimates. Of course, the details have to be worked out and that will translate to at least Rs. 500 crores, Rs. 600 crores every year from now onwards.

Gokul Maheshwari: And lastly, on the margins front, you are investing more on the specialty, and you've mentioned in the past that the mix of this specialty would be becoming 60%, 70% versus the current 40%, 50% or so. With that mix coming in, what would be your steady-state margins? I'm not talking for the next 12 months, but more from a 3- to 4-year perspective.

Deepak Jain: Yes. So, we have worked that out. So one correction it's not mainly, it's only. So whatever investments we are making, we are going to make only in specialty chemicals or specialty nutrition products like CC/CBT. For each of those capex, our internal criteria is at least 20% plus of EBITDA margin and 20% plus of ROCE, otherwise, we are not approving those capex. In fact, we are not even recommending that to the Board.

Now if you take all of that into account plus what ever we have invested in the last 2 years, our view is at the overall portfolio level, our margin, as I was saying in the beginning, steady-state margin should surely be north of 20% plus. Specialty will be higher. Obviously, we have an acetal business, which remains volatile. Nutrition should be at least 15% plus. So, at the overall company level, we are quite confident that if we execute this strategy successfully, we should be north of 20%.

Moderator: Thank you. The next question is from the line of Pranav Tendulkar from Rare Investments. Please go ahead.

Pranav Tendulkar: Sir, in terms of the semiconductor product that you are planning to manufacture, is it for export or Indian, that is one? And is it for that wafer manufacturing level? Or is it related to cleaning and blasting, et cetera? And what is the market opportunity in similar products?

Deepak Jain: So, Pranav, these are, as I think I mentioned on the previous investor call also, most of these inq

quiries are coming to our CDMO business, which means by nature of our CDMO business, these are initial leads where customers are testing waters and giving us volumes in kg to see whether the product quality is in line with their

Page 20 of 25 expectations. Most of these are international customers. I had mentioned, I think, in the January call that till that time, we had got ten 3, 4 leads. Now we have another half a dozen. We are evaluating internally, which ones are aligned with our chemistry strength, which ones are not. But most of these are coming to CDMO business. And right now, the focus is to make the product in line with customers' expectations and then send the samples. And once the samples are approved then we get initial volumes with them. And obviously, given that semiconductor segment globally is growing very fast, the hope is once we are in, then the volumes will grow very fast.

Shyam Bhartia: Yes. But having said that, I would like to further add that any large contract on CDMO and specific investments if we have to make, we'll be doing basically on the basis of take-or-pay. Otherwise, we will not be investing.

All volume business on our existing multipurpose facility that's a separate thing. But any specific investment if you make, any specific large investment which Deepak was talking about, if the contract materializes, then we will be doing on the basis of take-or-pay because that we'd not like to risk our investments on the basis of any contracts which are not take-or-pay.

Deepak Jain: And on the semiconductor side, which is where your question specifically was, Pranav, there, obviously, the volumes are small currently. So, we have multipurpose plants, whatever inquiries we have got ten so far and which we are responding to, we feel comfortable and confident that we can do those products in our multipurpose facilities, which we have in the CDMO business. Obviously, the big contracts on the agro side and some of them may be on the pharma side also. There the arrangement is very different which is, in some cases, we may need new facilities which are dedicated and hence, the Chairman's point that it would be take-or-pay contracts.

Pranav Tendulkar: Right. Also, you commissioned 2 plants, one is that diketene derivatives and I think the cosmetic grade chemical product and you were also going to commission one more plant in the next quarter. I missed the nature of the plant that will be commissioned Can you just elaborate what is that?

Page 21 of 25 Deepak Jain: Pranav, your voice was breaking, but let me, I think just factually correct you. We have commissioned 3 plants in last 4 months. In December, we commissioned a small Agro intermediates plant in Bharuch. In January, we commissioned a bigger Agro intermediates and access plant again in Bharuch. And in February, March, we commissioned a diketene derivative plant, which can do 2 products. So, these are the 3 plants, which have come up in the last 4 months, all aligned with our long-term strategy.

The Agro intermediates plants, both the plants are targeted towards doing CDMO/CMO arrangements with our innovator customers globally in agrochemicals. In fact, from the bigger plant, we shipped first CMO contractual order in the month of February already. And as Chairman also said in the beginning, we are in discussions with several agrochemical customers to commit that capacity to a couple of them.

The diketene plant, the products coming out of that are advanced intermediates high-margin products, which go into pharma, paints and cosmetics segments. And there, we are already getting a lot of traction, and that capacity, we are already

getting good traction to fill up that capacity hope fully in the next couple of quarters itself. In fact, we are already thinking about how to debottleneck or expand that capacity.

The plant, which is going to come up in the next few

months is cosmetic grade

Niacinamide and food grade Niacinamide plant, which is attractive to get commissioned in the month of September this year and that will be targeting the high-grade, high-margin vitamin B3 segments in the cosmetics and food applications.

Pranav Tendulkar: Got it. Sir, last question from my side. So, with current added capacity in last 12 months, what is the revenue potential at current prices of product. So, we are operating at 60%, but obviously, the products that will come in the new plants are much better. So, what is the revenue potential with the current prevailing prices?

Deepak Jain: I think I already gave the answer Pranav, earlier. We are at Rs. 4,000 crores, Rs. 4,500 crores today. And I said on the back of the capacity that we have put up

Page 22 of 25 in the last 2 years and what we'll be putting up in this year, we have full potential road map or visibility to at least Rs. 8,000 crores.

Moderator: The next question comes from the line of Neerav J from Anvil Research. Please go ahead.

Neerav J: Thanks for the opportunity, sir. I have two questions. So, one is on the diketene part. Sir, since you have commissioned the derivatives plant and plant is getting ramped up, what sort of value addition in terms of per kg or percentage realizations we can see over and above the base diketene. And along with if you can just quantify the market of diketene and diketene derivatives in India.

Deepak Jain: So, I can't answer with precise numbers on the first one, but Neerav as you might already know from our previous calls, diketene is an unstable molecule, so it cannot be sold as a stand-alone molecule. So, whatever you sell in the market is on the back of value addition.

And typically, now we have at least 5 products in our portfolio, which are derivatives of diketene. These are at least one or two steps ahead of diketene and now we are gradually adding more advanced stage derivatives in the diketene portfolio, which will come up in Phase 3 and Phase 4, as I mentioned earlier. Sorry, what was your second question?

Neerav J: The markets for diketene and diketene derivatives in India?

Deepak Jain: Yes. So, I think overall, if you remember, the total market in India at least is 30,000 tons of diketene derivatives. One of our competitors is already active there with about 40%, 50% share of that. Rest was enforced until a couple of years back. We have already taken significant share of rest of the market. And the bigger opportunity, by the way, in diketene derivatives is the exports. Because like our other core products, be it pyridine, anhydride or B3, we are probably number 1 or number 2 and the lowest cost producer. Our aspiration in diketene derivatives is also to be among the top 3 global players having a very competitive cost structure on the back of the plant that we have created, which has happened on the back of our own process engineering. So, we are very confident that as we scale up our diketene capacity and add more derivatives in Phase 3 and Phase 4 of diketene,

Page 23 of 25 we will not be able to take significant share of Indian market, but also of the global market.

Neerav J: Just to understand in slightly qualitatively, let's say, every step of value addition of diketene derivatives - let's say, you mentioned that we are now at 1 or 2 steps further, would be further value additions will happen in Phase 2, Phase 3. What sort of percentage benefits we start getting on over and above the base diketene. Could it be 10%, 15%? Some understanding of some ranging that would be helpful, sir.

Deepak Jain: So, I wish Neerav the world of chemicals was working that simply. Obviously, depending on how complex the reaction is -- what are the other chemicals which are getting added in each reaction, the quantum of value addition on each step will vary significantly.

In fact, oftentimes, we - in recent years,

we have encountered situations where if

we go too far out in the value chain, the margin profile actually drops because then you are sourcing something which is cheaply available from China or elsewhere and hence, you get margin only for that one step, even if you are fully integrated. So, all kinds of permutations and combinations are feasible here.

And hence even though diketene has, let's say, at least 30, 40 different derivatives, which we have mapped out. We are not trying to make each and every one of them. For every derivative, we have done so far, we have picked up and what we have planned for Phase 3 and Phase 4, we are doing a thorough assessment of what is the product, which applications it is going into, what is the level of complexity and value addition. And hence, what kind of margin profile we can get, and if it is not giving us at least 20% EBITDA margins, then we are not prioritizing it.

So, if there was value addition on every chemical, then we would have added like 50 derivatives by now, but that's not the case. So, you have to pick and choose based on several factors, which is what we are doing as we pick up next phase of diketene derivative. And the same principle that applies for any value chain, I just took example of diketene because we were talking about it.

Page 24 of 25 Neerav J: Got it. The second question is on the MPP part. So, one we commissioned last quarter, the bigger one, which is like 4x of the size, we commissioned in this quarter. So, let's say, once the MPP starts ramping up, what sort of asset turnover we should work with once it is fully ramped up? And generally, how much time it takes to ramp it up fully to realize its full potential?

Deepak Jain: So typically, for our Specialty Chemical business and MPPs fall in Specialty Chemicals, the asset turnover is about 1.5-1.6x. And then that - where I think most of the capex projects we have taken, we built out the peak revenue potential of those product lines, which we plan to do in MPPs, all that adds up to 1.5x plus. Secondly, our experience has been in normal markets after the plant has been commissioned it takes at least 12 if not 18 months to get to 70%, 80% utilization level, which is what has happened with our Phase 1 diketene products, which, as I said, are running at 70%. It's, in fact, slightly delayed, I would say because of the soft market. But the Phase 2 products which have come up in February, for instance, we are hoping in the next 12 months, it will hit 70%, 80%.

Neerav J: Got it, sir. And just a last clarification. So does this MPPs use our pyridine chemistry as a starting material, which gives us a first move advantage in terms of the other suppliers with the same product to the same set of customers. How do you justify that?

Deepak Jain: So, Neerav, by definition, MPP can do multiple products. It doesn't have to be of redox based chemistry products. In fact, most of our MPPs will be doing pyridine derivatives, diketene derivatives and even products outside of these 2 product platforms.

Neerav J: Got it. Sir, in and all, how many MPPs do we have now after the commissioning of the last one?

Deepak Jain: We have 7 fine chemical plants, MPPs. We have 2 GMPs in Bharuch. And we are in the process of putting up more MPPs, as I mentioned earlier. And in agrochemicals, sorry, I forgot to mention the 2 plants, agrochemical plants we have set up recently are MPPs as well.

Page 25 of 25 Moderator: Ladies and gentlemen, that would be our last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Pavleen Taneja: Thank you all for joining on this call today. We hope we have been able to answer your queries. For further clarification, I would request you to contact me. And thank you, once again, for your interest in Jubilant Ingrevia Limited.

Deepak Jain: Thank

you very much.

Moderator: Thank you. On behalf of Jubilant Ingrevia Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc.

The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

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List of Management Attendees

1. Mr. Shyam Bhartia, Chairman
2. Mr. Hari Bhartia, Co-Chairman
3. Mr. Deepak Jain, CEO and Managing Director
4. Mr. Arvind Chokhany, Group CFO, Jubilant Bhartia Group
5. Mr. Pavleen Taneja, Head – Investor Relations

External Participants during Q&A session

1. Siddharth Gadekar – Equirus Securities Limited
2. Rohan Gupta – Nuvama Securities Limited
3. Divya Sethi – Electrum Portfolio Managers
4. Gokul Maheshwari – Awriga Capital Advisors LLP
5. Jatin Damania – Svan Investments
6. Ravi Singh – Cosmic Horizon Capital

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Jubilant Ingrevia Limited

Q1 FY25 Earnings Conference Call Transcript

July 16, 2024

Moderator: Ladies and Gentlemen, Good Day and Welcome to Jubilant Ingrevia's Q1 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja – Head of Investor Relations, Jubilant Ingrevia Limited. Thank you and over to you, Mr. Taneja.

Pavleen Taneja: Thank you, Dorwin. Good evening, everyone. Thank you for being with us on our Q1 of Financial Year 2025 Earnings Conference Call of Jubilant Ingrevia Limited.

I would like to remind you that some of the statements made on the call today could be forward-looking in nature and a detailed disclaimer in this regard has been included in the Press Release and Results Presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia – Chairman, Mr. Hari Bhartia – Co-Chairman, Mr. Deepak Jain – CEO and Managing Director and Mr. Arvind Chokhany – Group CFO, Jubilant Bhartia Group.

I now invite Mr. Shyam Bhartia to share his comments.

Shyam Bhartia: Thank you, Pavleen. A very good evening to everyone. Thank you for joining us on the Q1 of the Financial Year 2025 Earnings Conference Call of Jubilant Ingrevia.

We are pleased to announce healthy sequential performance for Q1 on the back of improving the Business Performance of our Specialty Chemicals business and positive impact coming from our cost initiatives from the last three quarters.

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Let me share the "Overall Market Update" with you all:

The Pharmaceuticals End Use segment continues to witness rising demand trend with healthy volume placements. We are also glad to share that we have gained significant traction in the regulated markets of North America, Europe and Japan. Visible signs of further improvement in demand of certain products are signaling near-term outlook remaining buoyant while pricing remains steady. However, we are witnessing continuous pressure on Acetyl segment owing to lower demand coming from the paracetamol end use segment.

The Agrochem sector has started to show marginal improvement, while the excess inventory situation is gradually easing out and the volumes have started to move.

The prices still remain under pressure due to excess supply of agrochemicals globally. We are hopeful that a recovery should continue to happen in the coming quarters.

In the Nutrition segment, the demand remained steady in line with our previous two quarters and the prices also moved up marginally towards the end of the quarter, except for choline, where the prices remain subdued.

Now, let me talk about our "Business Updates":

The volume of Pyridine and Diketene derivatives witnessed a rising trend, while demand for Niacinamide and Pyrithiones remained steady. In Acetyls, we remain focused towards maintaining market share despite challenges being faced due to lower demand, higher freight cost driven by Red Sea issues and a decline in the acetic acid crisis.

Strong traction continues in our CDMO business, wherein we have started delivery of new orders during the quarter. We are also in advanced stage of discussion for multiple projects in Pharma, Agro and Semiconductor end use.

We are pleased to share that our manufacturing facility at Bharuch has successfully completed its US FDA inspection with Zero 483 observations. This GMP compliant facility is intended for manufacturing nutraceuticals and dietary active ingredients for human consumption.

Now, let me share "Few Details of Our "Future Outlook":

We reaffirm our expectation of witnessing improvements in all three business segments in FY25 over FY24. Like last quarter, our key focus remains customer centricity, ramping up newly commissioned plants, remaining lean and bringing back the margins to normal levels.

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We are focused towards keeping the costs in control through our Project Lean and are on track to source renewable energy for our long-term energy requirements, which also underscores our firm commitment towards sustainability and environment.

We continue to see increasing utilization of our newly created plant and we remain on track with our CAPEX plants towards investing in high potential product categories to deliver on our bold vision of "Pinnacle 345," that is three times revenue, four times EBITDA in five years.

With this, I now hand it over to Deepak to discuss the businesses in detail.

Deepak Jain: Thank you, Mr. Bhartia. A very good evening to all of you.

At the outset, I would like to thank you all for joining us today for the Q1 of FY25 Investor Call of Jubilant Ingrevia Limited.

Let me first take you through the "Overall Market Overview for the First Quarter of FY2025":

In Pharmaceuticals, during the quarter, we witnessed steady demand with good visibility on volumes across segments. Also, volume growth was seen in both Pyridine and Diketene derivatives. Prices were stable across segments with an uptick in prices in some areas. Paracetamol-driven demand continues to remain under pressure with customers running their plants at suboptimal capacity.

On the Agrochemical front, demand is gradually coming back. With issues relating to global inventory destocking waning out, complete recovery is expected to be gradual. Pricing pressure continues due to excess supplies from China; however, volumes are gradually recovering in Pyridine-based products with prices

remaining muted.

In Nutrition, overall, Niacinamide volume remains stable with steady pricing during the quarter. We also witnessed marginal improvement in pricing in the last few weeks. Demand in choline was also stable, but pricing pressure was seen and continued for most part of Q1. We also observed good traction in Human Nutrition grade products during the quarter.

As you know, we have rolled out several new initiatives in the last quarter in line with our "Pinnacle 345 Growth Roadmap" that we announced in the last investor call. Let me share seven key highlights to demonstrate the progress on these initiatives:

#1. Our core product platform continues to drive growth and leadership with significant volume growth in pyridine and picolines on a year-on-year basis. We are

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now globally #1 player in pyridine and picolines and the only scale non-Chinese player. Prices are also inching up sequentially in our pyridine and picolines Business.

In Niacinamide, we maintained a leadership position, being top two in feed grade with steady quarter-on-quarter volume growth.

In Acetic Anhydride volumes were low and prices were hit due to macro factors,

although we maintained our market share in both India and Europe.

#2. We have improved our revenue share of the Specialty and Nutrition business to 60% and EBITDA share to 75% in the overall portfolio. Our fine chemicals and microbial products are showing strong year-on-year growth.

In CDMO also, inbound from pharma, agro and even semiconductor remains strong. Our new product lines in diketene and food grade choline bitartrate are also showing strong traction.

#3. We launch our efforts to open up new customer opportunities through roadshows in Japan, Europe and the US wherein we met 100-plus customers in Q1 FY25. We have identified several new leads through these roadshows, which we hope to convert into commercial opportunities in the coming quarters.

Our persistent efforts on international force have started to yield results. For instance, in the North American region, our revenues doubled up in the last one year, and in EU and Japan also, we steadily grew our revenue on a year-on-year basis.

#4. We increased focus on ESG, Safety and Efficiency further in Q1. For instance, we are unlocking our efficiency via several initiatives such as Surge, Lean and Business Excellence. The impact of that is visible in our P&L. During the quarter, we have increased our safety measures by focusing on the 5S culture and achieved zero incident months post signing contracts for Gajraula and Savli facility for renewable energy. Our captive renewable energy initiative with O2 is now being extended to our Bharuch facility as well.

#5. Our long-term CAPEX plans are on track with continued investments in new opportunities such as food and cosmetic grade Niacinamide, slated for commissioning in Q3 FY25 and other Multi-Purpose Plants in the pipeline. We are glad to share that our vaccine plant is running at 80% plus utilization for seasonal products and 50% to 70% utilization for newer products.

#6. We are also strengthening and expanding our leadership team with the onboarding of our new CFO, Varun Gupta, who has 18-plus years of experience at

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Unilever. Alongside, there are several new additions in the top leadership team, which are in progress.

And #7. Our manufacturing facility at Bharuch received US FDA EIR with zero 483 observations. This will help us accelerate our growth further in regulated markets such as the United States.

Now, let me take you through the updates on all our three business segments individually as well:

In Specialty Chemicals, during the quarter, the Specialty Chemicals segment revenue grew by 18% on a year-on-year basis on account of significant improvement in volumes of fine chemicals and pyridine products on bio viruses. EBITDA for Specialty Chemicals grew by 50% on a YoY basis and 28% sequentially

on the back of a healthy volume uptick and efficiency-led initiatives touching almost 20% EBITDA margins.

Our CDMO business remains on a strong growth trajectory and our new plants are optimally utilized. Our microbial control solutions business is study and products, and pyridine platforms are well accepted in the market with 80%-plus capacity already booked.

Nutrition and Health Solutions Business Segment Updates: During the quarter, revenue for the Nutrition business improved sequentially by 13% on account of higher volumes coming from Human end use and cosmetic grade products. EBITDA during the quarter improved 165% quarter-on-quarter and 37% year-on-year basis, mainly on the back of the favorable shift in volume towards food segment products along with our Lean initiatives optimizing the input cost.

Overall, Niacinamide demand remained stable during the quarter, though the pricing remained steady. Our newly launched products, food grade choline chloride and choline bitrate are gaining good acceptance in the market.

Our GMP compliance facility for food and cosmetic grade B3 is expected to be commissioned in Q3 FY25, for which we have also started to receive good interest from customers to book advanced volumes.

In the Chemical Intermediates business, revenue for the quarter was lower, driven by marginally lower volumes and muted prices. Ethyl acetate volumes improved on good demand in the export market, whereas acetic anhydride volumes were lower owing to key end use markets of paracetamol and agrochemicals remaining under pressure.

EBITDA during the quarter was impacted on account of lower demand, higher ocean freight due to Red Sea issues and overall realizations remaining subdued. We maintained our market share of acetic anhydride in Europe wherein we increased our market penetration by acquiring new customers. We also retained our dominant market share for the acetic anhydride in domestic markets.

Now, let us "Discuss the Overall Financials of the Company":

The overall revenue during the quarter stood at Rs.1,024 crore as against Rs.1,075 crore in Q1 of FY24. The revenue was lower mainly due to lower year-on-year revenue in the Chemical Intermediates segment.

The EBITDA for the quarter stood at Rs. 119 crore. Sequentially, we improved our overall EBITDA by 18%, largely owing to the margin improvement witnessed in Specialty Chemicals and Nutrition business segments as well as cost improvement initiatives.

The net debt of the company as on 30th June 2024 was Rs.677 crore and net debt-to-equity ratio was 1.5x on the basis of trailing 12-months EBITDA. The capital expenditure incurred during the quarter was Rs. 116 crore, which was primarily funded through internal accruals.

Net working capital percentage to turnover for Q1 FY25 was lower at 18.6% as against 20% in Q1 FY24. The number of days of working capital was reduced to 68 as against 73 in Q1 FY24.

We opted to move to the new tax regime from last quarter onwards wherein the applicable effective tax rate is now 25% as against tax rate of approximately 35% in the old tax regime.

The PAT for the quarter was Rs.49 crore as against Rs.29 crore in Q4 FY24.

With this, I would like to conclude our opening remarks. We will now be happy to address any questions that you may have.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: First of all, Specialty Chemicals EBITDA side, what has driven the sharp improvement both in terms of margins and absolute EBITDA growth on a YoY and on a sequential basis?

Deepak Jain: Siddharth, so, that's probably the main highlight of this quarter results. Couple of things. On a year-on-year basis, the volumes have increased significantly and that is the trend which started even in the last quarter if you look at our Q4 numbers as

well. And even though pricing is slightly lower, the net impact of that is that EBITDA is improving at an overall level versus last year. The second thing which has played out here very strongly is the cost initiatives that I think I've been talking about for the last two quarters now. The full impact of all those cost initiatives is reflected now in the bottom line quite strongly.

Siddharth Gadekar: Can you quantify the cost impact in this quarter so we could get a sense of how much the actual cost savings would be coming in the entire year?

Deepak Jain: See, all the initiatives that we have taken on the cost side between and then we have put that in our IR presentation as well between Surge, Lean, and Business Excellence initiatives and also on the energy side in last quarter, the combined impact of those initiatives on an annualized basis. Is Rs. 120 crore to Rs. 140 crore. Obviously, not all of that kicks in immediately, some of that takes its own time to ramp up, but on an annualized basis, that is the kind of impact we're talking about of all those initiatives.

Siddharth Gadekar: Secondly, unallocated corporate overheads have increased very sharply. Is there any one-off in that?

Deepak Jain: Yes, from Q4 of last year to Q1 of this year, there is an increase of about Rs. 8 to Rs. 9 crore. It is on account of some one-off expenses which were unavoidable in Q1, but we expect our unallocated corporate expenses to stabilize at Rs. 16 to Rs. 17 crore every quarter from now onwards.

Siddharth Gadekar: So, broadly we should do anywhere around Rs. 65-70 crore on an annualized basis. That is how we should look at it, right?

Deepak Jain: Yes, Rs. 60 crore around that number. You are right.

Moderator: We have the next question from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: In your opening remarks, you gave some sense that there has been a significant improvement in fine chemicals and also in feeding. In Diketene you mentioned that

the old products roughly utilization is 80% to 90% and new products is roughly 50% to 70% utilization. Just wanted to get some sense that how much contribution to EBITDA improvement is actually driven by the ramp up in diketene-based new products and overall utilization level going up?

Deepak Jain: Hi, Rohan. I think it's a combination of all the factors, Rohan. I think if I just talk about our key businesses within Specialty Chemicals, versus last year, the pyridine business has seen significant improvement in volumes and obviously the cost improvements we have done, the pyridine business is a major beneficiary of that

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because that's one of our biggest products as I think you know. On the vaccine portfolio, as you would remember, about one and a half or almost now two years back, we had launched phase-I of Diketene products. Those products are running at 80%-plus utilization level and the recent products that we have commissioned in March, one of them is already running close to 70% utilization levels, the other one hopefully will get there in next three-four, maximum six months. So, there is a significant contribution coming from these products in the overall EBITDA improvement.

On an incremental basis, while I don't have the number handy what is the percentage contribution and we can't even disclose that in public domain, but there will be a significant contribution coming from incremental revenues coming from diketene portfolio apart from what pyridine has contributed. The third main driver of course is the CDMO business, where as compared to last year, particularly on the pharma side, we're getting more traction, we have more products and obviously those are high margin products. So, they are also contributing significantly to the overall EBITDA increase.

Rohan Gupta: The question I was asking because you also mentioned that energy cost where we have done good saving and in last two years our energy

cost has gone up very

sharply because of the unfavorable changes which has happened at the government level. So, you mentioned almost at 120 to 125 annualized saving from the energy cost itself.

Deepak Jain: No, sorry, I didn't say 120 to 125 from energy. Rohan, sorry, I didn't mean that. What I said is we have 3-4 different big initiatives in the company on the cost side, which have been running. One is the digital program which we call "Surge" and we have talked about it in the last two calls. It is focused on improving the efficiency and productivity of our plants through digital interventions as well as improving our supply chain efficiencies and even on the same side it is contributing. So, that's one program.

The second one is the "Lean" program which was focused largely on the overhead cost optimization which we launched almost three quarters back. The third one is the ongoing business excellence initiatives that we take in our plants. The combined effect of all these initiatives is about Rs. 120 to 140 crore of annualized savings.

Energy will contribute to it, but it's not the only thing in that overall savings bucket.

Rohan Gupta: And out of this how much of this has already been achieved of Rs. 120 crore to 125 crore annualized?

Deepak Jain: See, as I said that at least some of these initiatives will take time to ramp up. So, if let's say the annualized impact is Rs. 120 crore every quarter except at least Rs. 30 crore plus kind of impact, I would say at least in Q1, we hopefully have achieved at

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least two-third of that, and then as we move into the subsequent quarters, we will start to see the full potential impacts of those initiatives.

Rohan Gupta: At least we can assume safely that Rs. 20 crore in this current quarter itself has been contributed by the efficiency that benefit which we have talked?

Deepak Jain: Significant part I would say, right. Exact math, obviously we should not do on this call, but as I said in the opening comments also, even Chairman said that in the very first line, the big improvement in profitability has happened on account of one Specialty portfolio firing and second whatever we have done on the cost side.

Rohan Gupta: Sir, on this CDMO, you also mentioned in your opening remark almost you have in quarter itself have met almost 100-plus customers in Japan and other countries as well. The kind of feedback if you can share with us that these are in the CDMO-specific categories or Specialty Chemicals or how soon do you think that some of these conversations can get converted into the top line addition?

Deepak Jain: So, the 100-plus customers that I talked about is not just CDMO to be very transparent, it's across Japan, US and Europe, we obviously did these roadshows

and met all our existing key customers of some of our catalog products as well. But at the same time there are at least, I would say 1/3rd of these customers whom we are calling our key customers and there we see CDMO kind of opportunities existing. In fact, in many of those conversations when we met the CXOs or senior executives of these companies and the discussion has been at a fairly strategic level and we discussed where we can become a long-term partner to them and obviously CDMO is one key lever to create that long-term strategic partnership. I think I explained in the last quarterly call also, we look at our CDMO business in three parts. There is an agro part of it where we are in discussions with all four or five major innovators, and we have specific opportunities we are discussing with them and one of them is in the very advanced stage of negotiations. Hopefully, we should be able to announce it very soon. But there at least half a dozen more such opportunities, which are in various stages and as you probably would know these agrochemical opportunities, they take time to grow up. But when they happen, they happen as a step function. So, that's what

we expect. But in agro, I would say hopefully that at least one we should announce soon, and there is another half a dozen which will hopefully materialize over the course of next year, year and a half. On the pharma side, obviously, it is lot more fragmented versus agrochemicals. There we start with small volumes in the early stages and then gradually they ramp up. So, it's more steady growth that we are expecting there and that is an ongoing process. Our CDMO Pharma business has grown quite well in the last three years also and we are hoping to accelerate that growth with the wider funnel that we have created. Not just through these roadshows, but otherwise also we have intensified our efforts to engage with pharma customers.

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The third part of CDMO business is the semiconductors-related opportunity. I had mentioned in the last two quarterly calls that we had four or five opportunities. The good thing is on the back of these roadshows, those leads have now become at least 2-1/2x. We have at least 10-12 real leads which have come up. We have already supplied samples for at least a couple of them and we are working with our customers to see how to move to the commercial stage of production sooner there. So, hopefully that answers your question, Rohan, but CDMO opportunities do take their time to materialize, but we are right now building up a funnel which will hopefully at least get the ball rolling for next couple of years, and as we move along, we'll continue to build up more opportunities in that funnel.

Rohan Gupta: Just confirmation on the EBITDA margins in Specialty Chemicals which is up 20% in the current quarter. So, you are still talking about some more efficiency that benefits to kick in and the product mix which will keep on improving in favor of diketene. So, some guidance ballpark number on EBITDA margins for the current year on Specialty?

Deepak Jain: No. So, I think I have been saying it consistently that our Specialty Chemicals business should be at least 20%-plus EBITDA margin in steady state and as we scale up and as we add more products not just in diketene but also in other parts of that portfolio, including CDMO opportunities, we hope to take that 20% closer to 24%-25%. Now whether that happens this year or not, that depends on a lot of factors. The market has to recover fully. Some of the opportunities we are working on, they have to materialize. It's very difficult to ascertain the timing of that right now, whether that will happen in a single year or not. But our aspiration is to keep our Specialty Chemicals business at 20% plus from here onwards.

Rohan Gupta: Sir, just if I am allowed your last remark on your agrochemicals which you mentioned the inventory destocking situation seems to be almost at the last stage. How much confidence you have because we're still getting mixed views there on the global agrochemical inventory. So, do you see that the customers are coming back, or it was just only temporary things which have just led to some kind of volume recovery and may fiddle down further?

Deepak Jain: That's a valid question, Rohan. I would say the hope is it's in the last leg because of the reasons you said. At least in some of our product categories, we have seen volumes coming back and customers coming back and obviously pyridine is one of our biggest products as you know. As soon as the volumes come back that gives a sense of where the agro market is moving. Having said that, what we are hearing from our customers and even in these discussions during the roadshows what we are saying is from a demand perspective the volumes will continue to come but not as fast and as steeply as everyone was expecting them to be six months back. The recovery on the demand side will be gradual and steady is what the anticipation is.

Obviously, the challenges now are more acute on the supply side, which are leading to lower

prices and hence in many of our products also we talked about it in the last quarter also the prices have been muted, but there the good news is in last few months the prices have not declined further, they have been holding up steady at lower levels versus what they were last year, but they are holding up in the last few months where they are, they're not going any further down.

Moderator: The next question is from the line of Divya Sethi from Electrum Portfolio Managers. Please go ahead.

Divya Sethi: So, I just want to understand for the Specialty Chemicals and Nutrition business, we did 20%, 12% effectively. So, how sustainable are these is coming in the 2-3 years and revenue mix that the company is targeting in these three segments?

Deepak Jain: So, if I understood your question correctly, you are saying how sustainable are 20% and 12% margins in Specialty and Nutrition business, is that the question, Divya?

Divya Sethi: Yes, yes.

Deepak Jain: As I was saying in response to the previous question from Rohan, if markets continue to recover in the agrochemicals side and if prices remain stable going forward, we are hoping we'll be able to sustain these margins. In fact, while Specialty as I said in response to Rohan's question, over the course of next couple of years, we hope Specialty margins to move up at least to 23% to 25% bracket and similarly in Nutrition, particularly with our new plant coming in later this year on cosmetic and food grade vitamin B3, the margin should move up more sharply at least on a steady state basis.

Now, having said that, as I think those of you have been tracking us in the past as well, at least on the feed side. vitamin B3 side, there is some volatility which exists in the market as and when the bird flu happens. So, if you discount for that impact and take the steady state, our vitamin B3 or the general feed segment margin should be at least 12% to 13% and with new high-grade products from cosmetic and food grade coming up, the margin should move up from here.

Moderator: The next question is from the line of Gokul Maheshwari from Awriga Capital Advisors. Please go ahead.

Gokul Maheshwari: Given the logistical challenges which we are facing in terms of these freight rates, etc., are you seeing any import substitution benefits for our products where imports are reducing and are being preferred by domestic consumers?

Deepak Jain: So, Gokul, that's a good question and I am hoping we will see those benefits because this whole issue of logistics, while Red Sea has been existing for almost 7-

8 months, the crunch in terms of materials coming in from China has started to impact everyone only in the last few weeks at least in our business. If that situation doesn't normalize soon, then it will start helping us and in some pockets or some products of ours we have seen advantage of that where let's say Chinese material is taking far longer to reach India and we have been able to bridge that gap and in some areas we have been even able to command some premium on the product because the logistics cost of bringing the products from China has increased and hence we had that opportunity to increase the prices. So, we have seen couple of such examples playing out, whether that is sustainable or not will depend on how quickly this whole logistics issue gets resolved in terms of container availabilities and the lead time of material coming in from China.

Gokul Maheshwari: Could you comment on the Chinese competition itself in terms of, well, they've been very aggressive in the last 12, 18 months, has that receded or that price competition still continues or there is some respite coming over there?

Deepak Jain: I won't use the word respite, but what I would say is there is more stability in terms of the behavior. As I was saying, the prices and the agrochemical side have been stable for the last few months. They're not increasing the prices but

at the same time they're not talking about them as well, which just makes things slightly steady, relatively speaking.

On the Nutrition business, which I mentioned in my opening remarks as well, we have seen some openness from Chinese players to even increase the prices now in the last couple of weeks. Whether that sustains or not, again we will have to see. So, I am hoping those are just early signs. I think I made this comment in the last quarterly call, if you pull up the financials of some of the listed companies in China,

they have been bleeding for a while now. So, hopefully there is an end to it, and which is close by.

Gokul Maheshwari: Lastly, just from the CDMO business, I believe this is approximately around 200 crore last year. What kind of numbers You are expecting for the CDMO business in FY25 and FY26?

Deepak Jain: So, Gokul, we never announce the numbers at sub-segment level, but as I've been saying, that's a meaningfully large part of our business. The pharma side of it should grow at a steady growth rate of at least 20%, 25% every year, if not more. The agro side of it, as I was explaining earlier is a more lumpy growth because as and when any molecule comes, it comes with big volumes and big revenues and then obviously semiconductor is very tiny or not even existing right now in the P&L, but with the opportunities we are getting, those will start to pick up, may not contribute too significantly to revenue, but will start building up our pipeline for future years.

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So, overall, our aspiration is to grow our CDMO business at least at 25% to 30% year-on-year and then with the kind of opportunities we are seeing in the market for future years we are hoping with agro, and pharma will be able to do that and as and when semiconductor kicks in in a bigger way hopefully we should be able to top it up with further go.

Moderator: The next question is from the line of Jatin Damania from Svan Investments. Please go ahead.

Jatin Damania: Sir, continuing on the Specialty chemical front, now when we are seeing that there is an improvement in the volume both on the fine chemicals as well on the diketene which are the high margin business, but when we compare our revenue on the sequential basis, we have seen almost 9% decline in the revenue. So, is it due to pricing or we are seeing some pressure on the other segment of the volume as well?

Deepak Jain: Jatin, so that's a good observation. So, one, the pricing for most of our Specialty segments on a quarter-on-quarter basis has only improved. So, it's not driven by the pricing. But having said that, as you can imagine, our Specialty Chemicals segment has several products and just a couple of products' volume getting pushed out by a quarter or two due to the campaigns of the customers can impact volumes. So, I would say the volume decline or reduction that you are talking about in Specialty, it's just a seasonality thing from Q4 to Q1 because traditionally Q1 has been a lower volume quarter for us vis-a-vis Q4 of previous year. But if I look at it from a secular trend perspective, the volumes in most of our segments of Specialty Chemicals have grown in the last six months versus what it was let's say the previous six months or the last few quarters.

Jatin Damania: So, is it right to assume that definitely because of the couple of campaigning that has been done by the customers, there was a bit decline in the volume sequentially, but we'll be able to offset with the offtake by the customers in the subsequent quarter?

Deepak Jain: Yes. So, that is the hope. Obviously, whether it happens within a single quarter or over the course of the year that we'll have to see depending on when customers need, particularly on the CDMO side, the campaigns are quite lumpy in nature. But at this stage, we are hoping that at an overall level, our Specialty Chemicals segment will see significant volume growth in FY25 vis-a-

vis FY24.

Jatin Damania: Sir, in terms of the utilization, I mean, did we operate on about 65%, 70% utilization or do we operate at much higher level?

Deepak Jain: See, the utilization levels vary for our older assets versus newer assets; for our older assets we are operating at probably close to 75% utilization level, the newer assets obviously depending on when they came up and which sector we are serving from

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them will be at different utilization levels like diketene, one of the plants, which was created in February, March, is already closing 70%, another product is also on fast ramp up and should get there in another four to six months as I was saying earlier, the agrochemical plant that we created in January, given the state of agro industry may take slightly longer to reach higher level of utilization. So, the new plants will have their ramp. Typically, our experience even in steady state, it takes at least 12 months, if not 18 months to take a plant to 70%-plus utilization levels. In agro depending on how the market plays out over the next three quarters, we'll have to see what the ramp looks like.

Jatin Damania: The last question is on the Nutrition front. Now, in this quarter, we clocked an EBITDA of nearly-about 12%. So, is it fair to assume that sequential improvement

or the year-on-year improvement is largely because of our cost structure and improvement in the product mix because if you look on the volume front and the pricing it has remained steady across all the vitamin, choline and the food and cosmetic segments?

Deepak Jain: So, quarter-on-quarter, our Nutrition business volumes have increased by almost 14%-15%. So, we are seeing higher volumes as well there. But the bigger impact in that business is happening on account of mix change because traditionally that business has been dominated by feed grade products and gradually the share of food grade and cosmetic grade is increasing. And as our plant gets commissioned in Q3 on food grade and cosmetic grade, vitamin B3 as I was explaining earlier, we will see a big impact coming on the overall revenue through pricing and EBITDA. The second impact is what you said is the cost impact. We have been focusing on cost. As I think, I don't know whether you know vitamin B3 is a derivative of pyridine value chain. So, like I was explaining, the biggest beneficiary of cost initiatives has been our pyridine business and as a result, anything downstream coming from that also gets benefited through those cost initiatives.

Moderator: The next question is from the line of Ravi Singh from Cosmic Horizon Capital. Please go ahead.

Ravi Singh: Sir, with the huge shortage of containers globally, the Red Sea crisis and also the inclement weather around South Africa, do you feel that it could lead to a major spike in commodity prices for chemicals like acetic acid, etc., something on the lines that we saw during COVID?

Deepak Jain: Ravi, it is very hard to answer the question and I am not an expert on the correlation between logistics and commodity prices. But what I can tell you is that the Red Sea issue has been happening for almost now eight months since December last year. You look at the acetic acid price, it has only come down from \$430 to \$408. So, if something like that had to happen, it should have started by now.

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Ravi Singh: And finally, sir, you know you've given this guidance of 3x revenue and 4x EBITDA in five years on the FY24 base. So, that kind of gives us a target EBITDA margin of about 13.6%-odd. But now given the fact that you just mentioned that Spec Chem You are expecting to do about 23% to 25% EBITDA margin and that should be a significant chunk of our business going ahead. So, just trying to understand the disconnect here as to why the EBITDA margin guidance for FY29 is coming to just about 13.6%. Shouldn't it be much higher?

Deepak Jain: 13.6%? I don't know how you calculate that, Ravi.

Ravi Singh: On the FY24 base, if I just do a 3x revenue and a 4x EBITDA.

Deepak Jain: No, EBITDA is right, 4x, but Ravi, somebody else also had asked a similar question in the last quarterly call. It depends on what starting EBITDA we are talking about. When we set up this vision for ourselves, "Pinnacle 345" we had a certain view of our steady state EBITDA on a revenue of about Rs. 4,500 crore, at that time that was visible. Now obviously FY24 numbers because of the market turned out to be what they are and the EBITDA also took a hit more than what we had anticipated at the time of 345, but without getting into the nitty-gritties of what 3x and 4x and 5x means, what our aspiration is from a steady state Rs. 4,500 crore top line company to at least Rs. 12,000 to Rs. 13,000 crore plus of revenue and 20% plus EBITDA margin on the overall company level. And that 20% plus EBITDA margin, as I was explaining earlier, we hope and aspire, and we also have a bottom-up plan as I explained in the last call when I talked about Pinnacle 345. Within that, the Specialty Chemicals business, we can see that to reach 23% to 25%. The Nutrition business which like somebody was asking currently at 12%, 13% but with Specialty products added to it hopefully getting 17%, 18%-plus margin profile. And for our acetyl business, the long-term average should be 10% to 12%. So, if you take a weighted average of that, you will get to that 20% kind of company level EBITDA margin, which is what we aspire to get to.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Sir, you had mentioned in one of your previous comments that we are in the advanced stages in talks with the agrochemical customer. Is that CAPEX already done, or we will have to do incremental CAPEX for that project that we are looking to tie up?

Deepak Jain: Sorry, can you repeat your question? Which project You are talking about?

Siddharth Gadekar: Sir, you have just mentioned in one of the comments that we are in the advanced stages with an agrochemical customer for the contract. Just wanted to understand

that from existing plants or we will have to do a new CAPEX for that.

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Deepak Jain: No, so the one which I mentioned, I think the last quarter also I said that we commissioned an agrochemical plant in January this year which can do both intermediates and actives. At this stage we are still evaluating it and we have invested significantly in that plant. Our plan right now is to do the modifications in that plant and take some incremental CAPEX to be able to serve the demand. Having said that, we are still going through the evaluation process and obviously first objective is to sign that contract and then work out the remaining details in terms of how and where we will service from.

Siddharth Gadekar: Secondly, sir, in UP, if we look at the presentation we have mentioned we have around 483 acres of land. How much of that is currently utilized and how much of that is unutilized?

Deepak Jain: Which plant are you talking about?

Siddharth Gadekar: Sir, the Gajraula land we have around 483 acres. So, how much of that land is currently utilized and how much is lying idle currently?

Deepak Jain: It's a big plant and I think we have a significant proportion of that which is still available for us to do future expansion. So, particularly on the fine chemicals front, our multipurpose plants, we have plans to expand there. At this stage, I think I can safely say, whatever expansion plans we have thought about so far for the next five years can be served from our Gajraula and Bharuch facilities together.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I would now like to hand the conference over to the management for closing comments.

Over to you, gentlemen.

Pavleen Taneja: We thank you all for joining on this call

today. We hope we have been able to answer your questions. For further clarification, we would request you to contact me and thank you once again for your interest in Jubilant Ingrevia Limited.

Moderator: On behalf of Jubilant Ingrevia Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc.

The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Oct 2024

October 28, 2024
BSE Limited
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Mumbai - 400 001
Scrip Code: 543271 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Trading Symbol: JUBLINGREA

Subject: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investors' Conference Call for the quarter and half-year ended September 30, 2024

Dear Sirs,

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors' Conference Call for un-audited standalone and consolidated financial results for the quarter and half -year ended September 30, 2024, held on October 22, 2024.

The link to access the transcript of the earnings conference call is given below:

<https://www.jubilantingrevia.com/Uploads/files/15q2consfileEarningsCallTranscript-Q2FY25.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For Jubilant Ingrevia Limited

Deepanjali Gulati

Company Secretary

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List of Management Attendees

1. Mr. Shyam Bhartia, Chairman
2. Mr. Deepak Jain, CEO and Managing Director
3. Mr. Varun Gupta, CFO – Jubilant Ingrevia Limited
4. Mr. Arvind Chokhany, Group CFO, Jubilant Bhartia Group
5. Mr. Pavleen Taneja, Head – Investor Relations, Jubilant Ingrevia Limited

External Participants during Q&A session

1. Siddharth Gadekar – Equirus
2. Gokul Maheshwari – Awriga Capital Advisors LLP
3. Rohan Gupta – Nuvama Institutional Equities
4. Nitesh Dhoot – Dolat Capital
5. Gaurav – Invesco Enterprises
6. Malay Sameer – Breakthroughs in Stock Market
7. Dhruv Muchhal – HDFC Asset Management

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Jubilant Ingrevia Limited
Q2 FY25 Earnings Conference Call Transcript
October 22, 2024

Moderator : Ladies and gentlemen, good day and welcome to Jubilant Ingrevia's Q2 FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja, Head of Investor Relations at Jubilant Ingrevia Limited. Thank you and over to you, Mr. Taneja.

Pavleen Taneja: Thank you, Dorwin. Good evening, everyone. Thank you for joining our Q2 of Financial Year 2025 Earnings Conference Call of Jubilant Ingrevia Limited.

I would like to remind you that some of the statements made on the call today could be forward-looking in nature and a detailed disclaimer in this regard has been included in the press release and result presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia – Chairman, Mr. Deepak Jain – CEO and Managing Director, Mr. Varun Gupta – CFO, Jubilant Ingrevia Limited and Mr. Arvind Chokhany – Group CFO, Jubilant Bhartia Group.

I now invite Mr. Shyam Bhartia to share his comments. Over to you, sir.

Shyam Bhartia: Thank you, Pavleen. A very good evening to everyone. Thank you for joining us on the Q2 of the Financial Year 2025 Earnings Conference Call of Jubilant Ingrevia Limited.

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We are pleased to announce a healthy quarter-on-quarter, year-on-year growth for the quarter, fueled by enhanced performance of our Speciality Chemical and Nutrition, Health and Solutions business, as well as the advantages gained from cost savings measures implemented over the last few quarters.

Let me share the Overall Market Update with you all:

Globally, the chemical markets are gradually improving in 2024, with volume showing marginal growth over last year and we are witnessing the same in our businesses.

The Pharmaceutical End-Use segment continues to experience steady demand supported by stable pricing and volume placements. Our Pharma folio in Fine Chemicals reflects the sentiments. We continue to face pressure in Acetyls' business though due to low demand in the Paracetamol segment.

The Agrochemical sector is beginning to show some signs of improvement. The excess inventory situation gradually is resolving and the volumes recovering in pyridine-based products. We are optimistic that a steady recovery will continue over the coming quarters.

In the Nutrition Segment, Demand remains steady with Niacinamide volumes showing an upward trend and prices rising during the quarter. Meanwhile, the demand for choline remains stable, although the pricing pressure continued due to high imports.

Let me talk about our Business Update:

In Speciality Chemical business, we saw notable increase in volumes of high margin in Fine Chemicals business in both quarter-on-quarter, year-on-year. The Pyridines and Picolines segment showed material year-on-year growth driven by higher volumes. The CDMO business continues to show good traction with customers across pharma, Agrochemicals and semiconductor segments although at an early stage.

In the Nutrition and Health Solutions business, significant year-on-year, quarter-on-quarter growth was driven by increased volumes and prices of Niacinamide. Margin growth was boosted by a better product mix and a higher share of volumes versus last quarter from human grade products.

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In Chemical Intermediates Business, quarter-on-quarter growth was attributed to an increase in volumes of Ethyl Acetate and Acetic Anhydride. However, year-on-year performance declined mainly due to lower prices.

We are excited to share that we have signed a five-year agreement with the multinational agro innovators to produce key intermediate for one of the strategic Agrochemicals. Jubilant Ingrevia will manufacture the intermediate using the MNC's proprietary technology. As a result of this contract, the company anticipates a significant increase in overall revenue share from its Agrochemical CDMO business post commencement of production.

We are glad to announce that our inclusion in the prestigious Global Lighthouse Network (GLN) of the World Economic Forum (WEF). The WEF has recognized Jubilant Ingrevia Limited's Bharuch manufacturing facility as a Global Manufacturing Lighthouse, making us only Indian company to achieve this distinction in this cohort. Over the last few years, we have made significant investments to digitally transform our plants and results are evident in enhanced efficiency, environmental performance and safety measures. We are grateful to the WEF for their ongoing partnership in this journey.

Now, let me share few details of our Future Outlook:

We expect to see improvement in our overall business performance in FY'25, particularly within Speciality Chemical and Nutrition and Health Solutions business segments. Consistent with the last few quarters, our primary focus remains on customer centricity, utilizing the newly commissioned plants, enhancing

operational efficiency, leading to further improvement in margins. We expect sequential improvement in the performance in Q3 and Q4 with H2 FY'25 to be even better versus H1 FY'25.

We are committed to our growth plans through our ambitious Pinnacle 345 Vision of achieving three

times revenue and four times EBITDA within five years.

With this, I now hand over to Deepak to discuss the Business in Detail, and Wishing All of You a Very Happy and A Prosperous Diwali. Thank you.

Deepak Jain: Thank you, Mr. Bhartia. A very good evening to all of you. At the outset, I would like to thank you all for joining us today for the Q2 of FY'25 Investor Call of Jubilant Ingrevia Limited.

Let me first take you through the Overall Market Overview for the 2nd Quarter of this Fiscal Year:

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In Pharmaceuticals, during the quarter, we observed steady demand and good visibility on volumes across segments, particularly in Pyridine Derivatives. Additionally, prices largely remained stable with a slight increase in certain segments. However, demand driven by Paracetamol segment continues to face challenges as most customers operated their plants at suboptimal capacities. In the Agrochemicals sector, demand is slowly returning and issues related to global inventory destocking seem to be easing. However, we anticipate that the full recovery will be gradual. Volumes for Pyridine-based products are also showing signs of recovery. We expect that additional capacity in select Agrochemical products in the coming years will further boost pyridine demand.

In Nutrition, we are seeing an increase in Niacinamide volume offtake, with prices also experiencing a rise. Demand for choline remains stable, although pricing pressure from international competition persisted for most part of Q2. We are also making ongoing efforts to gradually enhance traction in products aimed at human consumption.

We have rolled out several new initiatives in the last three quarters in line with our "Pinnacle 345" growth road map that we announced a few months back. Let me share a few key highlights to demonstrate the progress across those initiatives.

#1. Our core product platforms continue to drive growth and maintain our leadership position. We upheld our market share despite facing significant challenges in the acetyl sector. We achieved significant volume growth in Pyridine and Picolines on a year-on-year basis. We are now globally #1 player in Pyridine and Picolines and the only scaled non-Chinese player.

In Niacinamide, we retained our leadership position being the top two players in feed grade. We also achieved steady quarter-on-quarter growth in volumes along with a marginal increase in prices.

In Acetic Anhydride, we observed marginal quarter-on-quarter growth in volumes, although prices continue to remain under pressure. Despite the challenging circumstances, we manage to maintain our market share in H1 FY'25 in both Indian and European markets.

#2. We continue to maintain our revenue share of the Speciality and Nutrition business to 59% and EBITDA share at 73% in the overall portfolio.

Our Fine Chemicals, Microbials and Nutrition products are showing strong year-on-year growth.

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Our new product lines in Diketene and Food Grade, Choline Bitartrate trade are demonstrating strong momentum as well.

During the quarter, we secured orders in Agrochemicals space with two large MNC agro innovators. On the first one, by securing one of the largest CDMO deals in the Agrochemicals sector in India, we will serve as a critical agro intermediate supplier for a product from a Multi-National Corporation. Our aim is to partner with the client to scale up production in a reliable, sustainable, cost-efficient and quality assured manner. Furthermore, this partnership underscores our commitment to rapidly growing and investing in our CDMO business in the coming years.

On the second one, we have also received a similar but relatively smaller CDMO orders from another Agrochemicals innovator for a key intermediate of their new AI. The supplies are expected to start in early FY'26, and we hope this intermediate will scale up significantly in coming years as our innovator customer grows the AI

volumes going forward.

Our extensive customer engagement through roadshow continued in Q2 of FY'25 also with successful events held in Japan, Europe, US, China and India. These efforts

have generated significant interest in collaborating across the Agro, Pharma, Nutrition and Semiconductor spaces. We are already experiencing an increase in our export share, rising to 48% in Q2 FY'25 compared to 38% in Q2 of FY'24, thereby reducing our reliance on the domestic market. Our export grew by 30% year-over-year with the European Union and Japan driving this growth. With the China Plus One strategy gaining momentum we are seeing a steady stream of enquiries from global clients. Many of these discussions are progressing into advanced stages and we are confident in our ability to meet their long-term needs in the future.

#3, with our heightened emphasis on ESG, sustainability is central to our operations. As global leaders, particularly in Europe and the United States ramping up their efforts to cut Scope 3 emissions, Jubilant Ingrevia is dedicated to aligning with these goals and furthering our sustainability initiatives. In recognition of our ESG efforts, WEF has honored our Bharuch manufacturing facility as a Global Manufacturing Lighthouse, making us the only Indian company to achieve this distinction within the cohort at amongst the select few firms in chemicals industry globally. Through this program, we implemented 4IR technologies at our Bharuch site and reskilled many employees to prepare them for the digital future. Utilizing over 30-plus integrated use cases that leverage Artificial Intelligence, machine learning, IoT-based digital trends and predictive platforms, we achieved a 60% reduction in overall process variability and significantly increased production volumes. This initiative also boosted workforce productivity by more than 20% and cut Scope-I emission by over 20%.

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#4. Our long-term CAPEX plans are on track with continued investments in new opportunities such as food and cosmetic grade, Niacinamide slated for commissioning in Q3 of FY'25 and other multi-purpose plants in the pipeline. In coming quarters, we will announce the launch of more CAPEX projects in line with our long-term growth strategy.

#5. We have further strengthened our leadership team by welcoming Mr. Varun Gupta as our new CFO and Mr. Birajeev Singh as our new Supply Chain Head. Both Varun and Birajeev come with deep experience and expertise in their respective fields. With all the changes we have made in the organization, including in the top teams in the last year, I am glad to share that we now have one of the best and most energized teams at JVL to drive us towards our long-term Pinnacle 345 ambitions.

And #6. Finally, on cost front, as I have announced in the previous quarters, we continue to make the organization leaner and agile with over Rs. 120 crore per year of savings already mobilized. We have also been able to successfully manage our net working capital at optimal levels for the last three quarters driven by our inventory optimization and aggressive DSO management.

Now, let me take you through the Updates on all of our Three Business Segments Individually:

Speciality Chemicals : During the quarter, the Speciality Chemical segment's revenue grew by 13% on a year-on-year basis on account of higher volumes coming from pyridines building block and derivatives. EBITDA for Speciality Chemical grew by 26% on a year-on-year basis on the back of an increase in volumes of high margin fine chemicals pyridine derivatives both quarter-on-quarter and year on year touching almost 20% EBITDA margin.

Our CDMO business is on a robust growth plan, underscored by the signing of a five-year USD\$300 million plus contract with the multinational agro innovator.

The Diketene plant operated at healthy utilization levels with good volume traction in the newly commissioned facility. The Pyridine's

platform demonstrated strong market acceptance and experience both quarter-on-quarter and year-on-year growth.

In the Nutrition and Health Solutions business segment, during the quarter, revenue for the Nutrition business increased by 12% year-on-year, driven by higher sales volumes of both animal and human grade Niacinamide along with elevated pricing. EBITDA for the quarter increased by 29% year-over-year, primarily due to

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favorable shift in volume mix towards human grade products as well as lean initiatives and optimized input costs. Overall, Niacinamide remained stable during the quarter, though pricing improved significantly during the quarter.

Newly launched products, Food Grade, Choline Chloride and Choline Bitartrate continued getting traction in the market.

Our GMP compliant facility for food and cosmetic grade, vitamin B3, is set to launch

in Q3 FY'25, and we are already seeing strong customer interest in booking advanced volumes.

In the Chemical Intermediates business segment, quarterly revenue increased by 5% on a quarter-on-quarter basis due to improvement in volumes of acetic anhydride and acetyl. EBITDA for the quarter improved by 13% on a quarter-on-quarter basis primarily due to marginally higher volume and cost-saving initiative initiatives, although this was partially offset by rising ocean freight costs in broader Acetyls business. We witnessed improved volumes of Ethyl Acetate and Acetic Anhydride even though Acetic Anhydride volumes remained under pressure on account of lower demand from paracetamol.

Our market share for Acetic Anhydride in Europe remained firm, supported by the acquisition of new customers. We also maintained a dominant position in the domestic market for Acetic Anhydride.

With this, let me now hand over to Varun to discuss the Financials of the Company.

I Wish You All A Very Happy Diwali.

Varun Gupta: Thank you, Deepak. Festive greetings and a very good evening to all of you. I would like to thank you all for joining us today for the Q2 of Financial Year '25 Investor Call of Jubilant Ingrevia Limited. I am excited to interact with all of you in my first investor call.

The overall revenue during the quarter stood at Rs.1,045 crore as against Rs.1,020 crore in Q2 Financial Year '24. The revenue was higher mainly due to higher year-on-year revenue from Speciality Chemical and Nutrition and Health Solutions business segments. The EBITDA for the quarter is Rs. 135 crore, reflecting a 13% sequential increase quarter-on-quarter and 7% increase on a year-on-year basis.

This growth was primarily driven by margin improvements in the Speciality Chemical and Nutrition segment along with cost optimization initiative.

During the quarter, we also reduced our net debt when the net debt of the company on 30th September 2024 was Rs.650 crore and net debt-to-EBITDA ratio was 1.4

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times on the basis of trailing 12 months EBITDA. The CAPEX expenditure incurred during the quarter was Rs.91 crore and year-to-date for the first six months was Rs.207 crore, which was primarily funded through internal accruals.

Net working capital percentage-to-turnover for Q2 2025 was lower at 17.1% as against 24.3% in Q2 Financial Year '24. The number of days of working capital has reduced to 63 as against 89 in the same quarter last year. The PAT for the quarter is Rs. 59 crore as against Rs.57 crore in Q2 Financial Year '24.

With this, I would like to conclude our opening remarks. We will now be happy to address any questions that you may have.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Congrats on a strong set of numbers and the contract win. Sir, could you provide some clarity on the \$300 million contract like in terms of timeline when do we expect this contract to start?

Deepak Jain: So, that's obviously one o

f the biggest events for us in this quarter. So, as I already said, this is a \$300 million plus contract which is over next five years. The commencement of production will probably start sometime late next calendar year because we need time to prepare our Agrochemical plant to be able to produce this intermediate.

Siddharth Gadekar: So, how much incremental CAPEX we will be doing in that plant and how much time will it take to ramp up the entire volume?

Deepak Jain: So, I think as most of you already know we commissioned a new agro intermediate and active plant in the early part of this calendar year. So, the plan is to do the modifications and expansion in that plant, and we will require at least another Rs.300 crore plus to do that over the next 12 to 14 months for that plant to be ready to deliver on this contract.

Siddharth Gadekar: And largely in terms of margins or ROCE, how should we look at this in terms of this contract?

Deepak Jain: See, I think I have said that in the past also, every decision we take at Ingrevia from an investment perspective, the minimum threshold for us is 20% EBITDA and 20% ROCE. So, we have applied the same filters and same screens as finalize the commercial construct of this contract as well.

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Siddharth Gadekar: And in terms of the value chain, can you just give us some understanding like how many steps would we be doing for the customer, or it would be your basic pyridine derivative that you would be supplying?

Deepak Jain: Siddharth, I unfortunately cannot disclose too much, but what I can say is, it's in one of our core chemistries and #2 it will be a fairly advanced intermediate, so complex one.

Siddharth Gadekar: Just one more last question is on the second contract that we have just spoken about where we said supplies will start from next year. Can you give some color in terms of how much revenue can we expect from that contract?

Deepak Jain: So, again, I will not be able to give precise numbers. I think more than the revenue more important thing is it's for a molecule or AI which is a proprietary one and which has not been launched by the innovator. So, they have engaged us at a fairly early stage and even the initial volumes will be quite significant running into hundreds of tons and it's going to be high margin one for us as well and the supplies of this one will start in the early part of next financial year. So, this will come earlier than the bigger one that we talk about.

Siddharth Gadekar: So, this we will not have to do any CAPEX, is that understanding correct?

Deepak Jain: Some marginal improvements in one of our existing plants, but no major CAPEX.

Moderator: We have the next question from the line of Gokul Maheshwari from Awriga Capital. Please go ahead.

Gokul Maheshwari: Deepak, you mentioned in your opening comments that you are also working on certain newer projects in your horizon. While you will announce in due course, but if you could just give an overview of what areas are you really looking in terms of these CAPEX projects?

Deepak Jain: So, I think as we announced in Q4 of last fiscal year investor call, our Pinnacle 345 strategy has the aspiration of taking our revenue 3X of our size in next five years.

As part of that, we have worked out bottom-up plans across different business units and then the CAPEX that I talked about for the future are aligned with that strategy.

In fact, I had said that in these calls in the past, almost 100% of all incremental CAPEX is going to go into Specialty Chemical and Specialty part of Nutrition segment in future. And if I just talk about the specific areas, obviously I cannot share too much details, but most of it will go to serve our CDMO business both on the agro and pharma side, our fine chemicals portfolio through multipurpose plant, our

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Specialty Nutrition products, particularly on the human and cosmetic grade side. So, those are the

areas where we will be investing further going forward.

Gokul Maheshwari: My second question is, while you mentioned that there is stability and very decent growth in the pharma side, could you elaborate a bit more on where are we on the Agrochem side in terms of your interaction with the customers-- is it destocking done or is prices bottomed or moving, what are you picking up while interacting with your clients?

Deepak Jain: Yes. So, I think I would maintain what I said on the previous call also, Gokul.

Agrochemical sector in our view from a demand perspective, we think that the destocking problem is largely over, and we can see volumes coming back and you can also see our results where pyridine which goes almost 50% of our pyridine portfolio is built around Agrochemicals, we are seeing volumes coming back there.

So, for us that's the first indicator and we can already see that growth is coming back. On the pricing side also, while the broader markets still have softer pricing, at least in our segments, there are pockets where we have already started to see prices also moving up. Even though I think it may take some more time for the broader market to improve. But by and that we are seeing good traction both from volume and pricing perspective in our core segment.

Gokul Maheshwari: And just on this part, is China still a headache for us in a sense that they producing as aggressively as what has been in that case for the last 12, 18 months?

Deepak Jain: See, I think if you look at even the import prices from China they seem to have bottomed out and have seen largely a flat trend on pricing over the last few months and even uptick in certain product segments, #1, #2, despite China being aggressive over the last 1-1.5 years, I think as I mentioned in my opening remarks, the China plus one trend is playing out very strongly with the lot of innovators and our customers speaking to us as us being there potentially Indian supplier from a reliability perspective. And third, I think the biggest proof of this trend is the new contracts that we have signed on the CDMO side. Both of them are in agro and that's despite the fact that the market has been down over the last 6-8 weeks.

Moderator: The next question is from the line of Rohan Gupta from Nuvama Institutional Equities. Please go ahead.

Rohan Gupta: Thanks for the opportunity and first of all, congratulations winning dual contracts in CDMO. On the second contract, though I do not want to get into too much of the specifics of the contract, but if you can just share that it's at least \$300 million kind

of contract which you have mentioned in the PPT, what this \$300 million means and what over a period of time? Second, you mentioned that in your earlier remarks
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that this contract is actually I mean for the new AI, getting associated with the innovator at the early stage of product development. If you can elaborate a little bit that the product has not yet been commercialized, still in the phase of commercialization phase one, phase two, what stage it is with the innovator and where and what product or at what stage of N minus 1 or final AI what we are making for the customer?

Deepak Jain: So, Rohan, I think you have mixed up the two different orders. So, let me just talk about each one of them one by one so that there's absolute level of clarity. The first one, I talked about is the big one, which is \$300 million plus spread over next five years. That is not the new AI. This is an existing AI. And we are doing an advanced intermediate for that AI. It's a big contract. And as I said, we will need to make our agro intermediate and AI plant ready over the next 12 months for us to be able to deliver on this contract and commercial production will commence sometime in second-half or later part of next calendar year. So, that's one. The second one is the new AI, which is a relatively smaller order that we have gotten

. It's for an AI which

is not launched yet. So, the innovator has gotten us involved in the early stage, but they expect the volumes to run into hundreds of tons even at the time of launch. We are expecting the supplies to commence in the early part of FY'26, which is say April, May timeframe, which is when the product will be launched. We will be making intermediate for this as well. And this also is a multi-step process. We will be doing one of the intermediates in that value chain.

Rohan Gupta: I was talking about the second contract only, not the first one. So, when you say, sir, the early stage of the product innovation, so the product has yet to be launched by the customers, right, and whether we are replacing in intermediate manufacturing to whom we are replacing, whether the customer earlier was making it by himself or for buying this intermediate from China, what we are...?

Deepak Jain: No. So, Rohan, the final AI is not commercialized yet. The customer obviously, was in the process of doing the development of the product so far and hence all the steps they were developing internally. They have now gotten us involved where one of the intermediates which has linkage back to one of the platforms that we have in our portfolio. That's why they have gotten us involved on this product.

Moderator: The next question is from the line of Nitesh Dhoot from Dolat Capital. Please go ahead.

Nitesh Dhoot: Good evening team, and thank you so much for the opportunity. My first question is on the Specialty Chemical revenue. What I see is the revenues are up Rs. 50 crore year-on-year for Q2 and as the PPT mentioned that there is a significant volume growth on a year-on-year basis. So, how much of this growth is coming from
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pyridine and how much from diketene and where would we be in terms of capacity utilizations for both pyridine and diketene?

Deepak Jain: Thank you, Nitesh. So, obviously, as you can see in our results, the Specialty Chemical revenue have grown year-on-year by almost 13%. What I can tell you is in terms of volume; the growth has been much higher than this 13%. Obviously, as all of you know versus last year the prices have come down. So, that shaved off part of our overall growth. The growth in terms of volume is close to 25% in this portfolio for us and it is a broad-based growth within our Specialty portfolio. So, the pyridine building block has grown, pyridine derivatives have grown, diketene derivatives have also grown, microbial has also grown. So, it's across segments. In terms of second part of your question, the utilization level, on diketene, I think I had answered that in the previous quarter also and broadly the answer is same. We have done two phases of extension in diketene. The phase one happened almost 1.5, 2 years back. There, our plants are running at (+75%) utilization levels. The second phase expansion happened in the early part of this calendar year around March where we launched two more products. Of the two products, for one the utilization levels are already close to 70%. For the second one, we have supplied samples from the new plant to a few big customers and they are just in the final stages of approving the samples. As soon as that happens, we expect even the second plant to take to 50% plus utilization hopefully within this or later by next quarter.

Nitesh Dhoot: In terms of pyridine capacity utilization?

Deepak Jain: We have mentioned in the past we have 48,000 tons of capacity for pyridine and picolines and we are running it at close to 75% to 80%.

Nitesh Dhoot: Secondly, on the capacity utilization on acetic anhydride on the 2,10,000 tons capacity and also in the food grade acetic acid if you can help elaborate?

Deepak Jain: So, acetic anhydride, you're right, we have almost 2,00,000 tons of capacity. We are running acetic anhydride at around +70% utilization across our plants. Obviously, as I mentioned in my opening

remarks, there is some pressure on anhydride business particularly driven by lower paracetamol volumes and production. We are hoping as the markets improve will be able to take that utilization level up. But despite that if you see quarter-on-quarter in our broader acetyl portfolio, there has been an increase in volumes.

Nitesh Dhoot: On the choline chloride business, what I understand it's a largely domestic market oriented product there. So, what's the strategy in terms of the pharma and the food grade, etc., that you mentioned?

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Deepak Jain: So, choline does not go in pharma grade. We have two parts of choline business; one is the animal feed grade choline which is the dry CC and liquid CC choline chloride, which we do largely in domestic market, but we also supply to some of the neighboring international markets. That business volume wise is holding up, but there is some pressure on pricing because of the imports. So, we are working through our cost structure and other areas to be able to maintain our market share there. We are the biggest player in the domestic market there. On the second part of choline, where as I announced in the previous two calls, we have launched a food grade and human Nutrition grade choline products, choline chloride and choline bitartrate. Those products we have started to see in the market. We are getting very good traction with most of our customers. Many of the customers have now visited our plants as well and they have done the audit. So, we are hoping that the volumes will start picking up in that segment in the coming months.

Moderator: The next question is from the line of Gaurav from Invesco Enterprises. Please go ahead.

Gaurav: Thanks for this opportunity and congratulations for the good set of numbers. So, my question is on our vision to grow our revenue to three times and EBITDA to four times in five-year time horizon. So, I just want to understand what would be the base year when we are evaluating that from this number that we want to take to the three times of the revenue, is it the FY'24 or is it the current initial year FY'25 as the base year?

Deepak Jain: Somebody else also had asked this question in the last call. So, the base year for revenue is FY'24, which is let's say 4,200 crore of revenue and the landing year is FY'29. So, all the bottom-up estimates and planning was done keeping those numbers in mind. Having said that, as I explained in the previous investor call, obviously there were certain assumptions we have made at that time when we did this exercise in January, February timeframe on pricing as well as market recovery, particularly on the Agrochemical side. Given that there is some uncertainty and lag on that recovery, obviously, there could be a couple of quarters of a timeline tweaking to this, but by and large we stick to the overall vision we have crafted under Pinnacle 345.

Gaurav: Just for an understanding purpose, since mainly our revenue comes in three segments, Specialty Chemical, Nutrition and Health Solutions and the third one that is the chemical intermediates, which is a significant portion of our revenue, but in terms of the EBITDA this is not so great as compared to the Specialty Chemical and Nutrition and Health Solutions, right. So, whatever proportion of revenue was there in FY'24 vis-à-vis what we envisage as per our Pinnacle 345 strategy, what would be the ratio of these three segments then we are envisaging to achieve a turnover of

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maybe approximately Rs. 12,000 crore after five years, is it going to the same proportion or proportion is going to be changing or I mean to say the mix is going to change?

Deepak Jain: No, so Gaurav, I think you have seen the number part. You should also revisit the slide which we put in our presentation behind Pinnacle 345. What it clearly states is the overall direction is to increase the share of Specialty and Nutrition in our

business and that is something which we explicitly if you see even today's investor presentation we have laid out what percentage of EBITDA is coming from Nutrition and Specialty and that is close to 73% now. The plan as well as expectation is that will continue to grow. Today, acetyl constitutes roughly 35% to 40% of my revenue and almost 25% of EBITDA. The relative share of acetyl in the overall portfolio will

continue to come down as Specialty and Nutrition portfolio grow on the back of all the investments we have done in last three years and what we will continue to do even in future, as per the plans I described in response to one of the questions which came earlier.

Gaurav: I got that, and I was going to the presentation also, but when we are modeling or when we are expecting that, in terms of the percentage of the mix, right, you have clearly mentioned that 60% of the revenue between these two segments and EBITDA somewhere around 73% kind of EBITDA that is coming as of now. But, over a period of time three, four, five years, this revenue mix I am not focusing on because EBITDA you have already given that four times you want to increase vis-à-vis FY'24, right. So, what is going to be the mix change from 60% as of now which is going to be 65%, 70%, do your energy is more concentrated towards increasing the share?

Deepak Jain: Gaurav, I will not be able to give precise numbers as I should not, but yes, it will be north of 75% for sure for Specialty plus Nutrition together.

Gaurav: To achieve this strategy, any impact going to be in terms of our debt numbers like for incremental CAPEX, is it going to be funded from the internal accruals or external debt would be required to be taken up?

Deepak Jain: Yes, so I think again, I explained that in the last two calls and then we maintain that and you can see even in our last three quarters, we have been able to manage our debt in fact lower than what it was four quarters back, despite the fact that we have been continuously investing, So, what it means is by and large, our intent is to fund as much of incremental CAPEX as possible from our internal accrual which we have already seen and as well as the efficiency initiatives that we have taken. So, we are going to continue. We are expecting at least Rs. 600 to 800 crore of incremental CAPEX every year for the next three years at least and we feel a major proportion

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of that we can fund through internal accruals as well as the EBITDA which we hope to get on the back of all these investments. If at all we need to, we will need to increase our debt level marginally only, right now we are at Rs. 650, 700 crore as Varun explained, but in no scenario we want it to go beyond Rs. 900, 1,000 crore and keeping our coverage ratio well under 1.4x, which is what we have internally set as a benchmark.

Moderator: The next question is from the line of Malay Sameer from Breakthroughs in Stock Market. Please go ahead.

Malay Sameer: Hi Deepak, congratulations for the 2 orders that you've got in CDMO. Very impressive. I just want to pick your mind on the Bio Secure regulation that is expected to be coming in by 2034. We hear that there could be a very big swing away from China to the country that can supply and fill in that gap. Now that we are becoming one of the world's largest suppliers and we have a full backward integration chain, do you think these orders that are coming in right now are just the tip of an iceberg?

Deepak Jain: That's a very good question. First, let me answer your question at a slightly macro level based on all the interactions I have had with the customers as I mentioned in the past and then you can see in our IR presentation also. We have been doing several road shows, we have done seven of them and we have met some 120, 130 customers and not just at a buyer level, but at a CXO level in many of these meetings. So, obviously we gather a lot of insights a

nd understanding of how the customers are thinking about their future supply chain. And the consistent thing which I have heard in all these meetings is that everyone wants to diversify and add more reliable scale suppliers in India to de-risk from China and then that is what I said in my opening remarks as China plus one strategy which I think most of us have now heard several times, but I can tell you not even a single customer did not talk about it. So, everyone is just talking about it, thinking about it proactively, some are of course at advanced stages, some are still thinking about it, but sooner or later it was anyway supposed to happen. Now, with the Bio Security Act and obviously with the expected results of US elections, there is a feeling that it will become increasingly difficult for customers to rely only on Chinese suppliers and hence at least I expect this trend to only accelerate from here and leading to more and more outsourcing of manufacturing not just in pharma but also in Agrochemicals, cosmetics, semiconductor spaces to India. Coming to now the second part of your question, I see, these two contracts, these are only the tip of the iceberg in terms of the number of such opportunities we expect to catch and realize in the coming years. Obviously, the size of those opportunities could be different depending on which customer and which molecule you're talking about. The first one that I

described is a big opportunity in agro and it's one of the biggest contracts even in the Indian Agrochemical industry. So, those ones are rare in my view. So, in terms of numbers, to give you a sense, out of these 120 plus customer meetings, we have already created a pipeline of almost 100 plus opportunities. Now, the size of those opportunities vary and obviously not all of them is going to convert, but we have created an internal funnel which we are working on and hoping that as some of these duty structures and China plus one strategy play out, we will be able to convert many more contracts in the coming quarters and years.

Malay Sameer: So, I was thinking aloud that if a large player is shifting away from China to India, they will look at a full backward integrated chain. And as you just said in the presentation that we are such a large player not just in India, but of course India too, but we are a very large player globally, so would not that make us the first choice in India for those people to transition away from China?

Deepak Jain: We cannot generalize that. Of course, the chemistries and product platforms which we have and there are seven or eight of them and you can see it in our IR presentation also, anything which is falling in those value chains, obviously we will be the natural and first contender to grab those opportunities. We still need to be competitive, responsive, agile, all of that will still be required, but we will obviously have a natural advantage there. Likewise, some of our peer companies in India who are present and deep in other value chains, they will have an advantage over us in those chemistry. So, we cannot generalize it. It is dependent on the chemistry. I think the second part of it is of course all these companies while diversifying their value chains outside of China they are having a very strong focus on ESG as well and that is something where we score over many of our Indian peers, absolutely hands down, because if you see our ESG journey, we started way back in 2001 we are #2 in EcoVadis and Dow Jones ranking for several years now. Every year we are taking several new initiatives and many of them we have announced in our presentations as well. So, that advantage is going to be a huge and that advantage is going to give us an edge versus our peers. On top of that, now if I take the recent WEF Green Lighthouse recognition that our plant had that's just establishes us as one of the not only just cost affected backward int

egrated and environmentally focused player

but also digitally advanced player or peer in Indian chemical industry. So, if you put all of those elements together, our backward integration, the different product platforms, cost competitiveness, environmental focus or ESG focus, digitally-enabled plants, and on top of that, willingness to invest CAPEX ahead of revenue, it makes us a very solid contender for all these opportunities which are coming India's way in the next few years.

Malay Sameer: So, Deepak, like for the first order that you announced, you're saying that it will come somewhere late in calendar '26 because we are investing into the peripheral

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Deepak Jain: Sorry, calendar '25, not calendar '26.

Malay Sameer: Okay. Because we are investing in peripheral equipment, etc., so is it okay to assume that the future orders that will come to us will be executed with a much shorter time lag than receiving the orders compared to what we have done in the first two orders?

Deepak Jain: We have two examples right here. One, we are going to execute within four to six months from now, another one which will take at least 12 months. So, what I am trying to say is every order by definition, CDMO, 'C' stands for customize and customize means you have to have a customized set of facility depending on the nature of chemistry, the complexity of the molecule. So, obviously if there is a molecule which falls in our chemistry and can be fitted into one of our existing plants the timeline for that will be much shorter. That's a three to six months. And that's why we are creating a multipurpose plant ahead of time so that we are ready with excess capacity and we can fix some of these molecules into those plants. Obviously, if there is a bigger molecule which requires a specific kind of technology or process setup, the timelines and then we have to create a new plant or make significant changes to an existing plant, the timeline for that will be at least 12 months. So, at this stage it's very difficult to give you a timeline in a generic way. It will be customized to every order, but what I can assure and tell you is internally, our projects team, our design team, our operations team, we are gearing ourselves to ensure, even our R&D team, we are agile and in responding to our customers and deliver as quickly as possible because it's important not just for my P&L and balance sheet, it's important for my customers P&L even more because they

wanted the products yesterday and they are coming to us now because of this pressure coming to them and with the Bio Security Act which you talked about, there is a huge amount of urgency in their minds to move quickly.

Moderator: We have the next question from the line of Dhruv Muchhal from HDFC Asset Management. Please go ahead.

Dhruv Muchhal: Apologies if this is a repeat. If you can please help us some more granularity on the CAPEX plans that you have Rs. 600 to 800 crore per annum over the next three, four years, I understand largely this will be in Specialty and Nutrition, but some more granularity, where do they go, is it agro, is it pharma, is it I am not sure, pyridine, what areas are you looking at?

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Deepak Jain: Dhruv, for the CAPEX, there were questions in the previous three calls also. So, the wave-I of our CAPEX plan we had announced almost 2.5 years back of Rs. 2,000 crore. And at that time, we had announced a bunch of projects. 65% to 70% of that CAPEX was supposed to go into Specialty and the Specialty part of our Nutrition portfolio, which we have by and large stuck to, and as I speak this fiscal year with almost Rs. 1,300, 1,400 crore of investment which had already happened in the last two years, we are going through the last leg of initial or wave-I, say, Rs. 2,000 crore that we had announced 2.5 years back. So, this year with a couple of projects already in play between our boiler in

Bharuch and the cosmetic and food grade

Niacinamide plant and the few other debottlenecking and expansion plans, we will exhaust the wave-I Rs. 2,000 crore CAPEX. So, that's wave-I. But in order to deliver on our Pinnacle 345 aspiration in FY'29 or near about that time, we will need to take a wave-II CAPEX of Rs. 2,000 to 2,500 crore over the next three years which will be roughly, let's say, Rs. 700-800 crore that I was saying earlier. What I can tell you is 100% of that will be geared towards opportunities which are falling in Specialty and Nutrition side of the portfolio. Obviously, a lot of those opportunities which all will also be driven by what kind of CDMO and other contracts that we get from the customer because many of these will be multi-purpose plants where we can absorb any customized requirement which comes from our customers. But the focus would be on CDMO opportunities in agro, in pharma, in semiconductors, the fine chemical derivatives in our pyridine and diketene value chain, the human and high value animal food and Nutrition grade products in our Nutrition portfolio. So, those are the opportunities which we are looking at as we draw the investment plans for this second wave of Rs. 2,000, 2,500 crore of CAPEX over the next few years.

Dhruv Muchhal: So, primarily in the Specialty segment, the investments will be targeted towards the CDMO segment, be it pharma, agro or fine chem or semis, that is the fair understanding is it?

Deepak Jain: CDMO and fine chemical derivatives. As you know, we are world #1 in pyridine and diketene also we have aspiration to become a global leader, and we do those derivatives, and this is our core portfolio. So, we will be creating a multi-purpose plant to serve our pyridine and diketene derivatives portfolio to expand it in the coming years. So, CDMO and fine chemicals are the two major parts within Specialty.

Dhruv Muchhal: Quickly on the first CDMO, \$300 million contract, just trying to understand nature because there are various terms with industry uses for contracts. Is this take or pay, is it equal revenue over every five years and once this comes how does your Specialty segment margins look like say, FY'27 when the full benefits probably starts to flow in?

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Deepak Jain: So, Dhruv, I cannot disclose all the details for obvious reasons, but it is a classic CDMO contract where there is an obligation on both sides, the buyer and the seller. It's a five-year contract with an even split of revenues over the five years. And on the margin and ROCE, as I already answered in response to I think somebody asked one of the questions in the earlier part of this call, our internal threshold is 20% EBITDA and 20% plus ROCE. So, this contract crosses the threshold on those benchmarks.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Pavleen Taneja: We thank you all for joining this call today. We hope we have been able to answer your queries. For further clarification, we would request you to contact me and thank you once again for your interest in Jubilant Ingrevia Limited.

Moderator: On behalf of Jubilant Ingrevia Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc.
The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

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List of Management Attendees

1. Mr. Shyam Bhartia, Chairman
2. Mr. Deepak Jain, CEO and Managing Director
3. Mr. Varun Gupta, CFO – Jubilant Ingrevia Limited
4. Mr. Arvind Chokhany, Group CFO, Jubilant Bhartia Group
5. Mr. Pavleen Taneja, Head – Investor Relations, Jubilant Ingrevia Limited

External Participants during Q&A session

1. Siddharth Gadekar – Equirus
2. Gokul Maheshwari – Awriga Capital Advisors LLP
3. Rohan Gupta – Nuvama Institutional Equities
4. Nitesh Dhoot – Dolat Capital
5. Gaurav – Invesco Enterprises
6. Malay Sameer – Breakthroughs in Stock Market
7. Dhruv Muchhal – HDFC Asset Management

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Jubilant Ingrevia Limited

Q2 FY25 Earnings Conference Call Transcript

October 22, 2024

Moderator : Ladies and gentlemen, good day and welcome to Jubilant Ingrevia's Q2 FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja, Head of Investor Relations at Jubilant Ingrevia Limited. Thank you and over to you, Mr. Taneja.

Pavleen Taneja: Thank you, Dorwin. Good evening, everyone. Thank you for joining our Q2 of Financial Year 2025 Earnings Conference Call of Jubilant Ingrevia Limited.

I would like to remind you that some of the statements made on the call today could be forward-looking in nature and a detailed disclaimer in this regard has been included in the press release and result presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia – Chairman, Mr. Deepak Jain – CEO and Managing Director, Mr. Varun Gupta – CFO, Jubilant Ingrevia Limited and Mr. Arvind Chokhany – Group CFO, Jubilant Bhartia Group.

I now invite Mr. Shyam Bhartia to share his comments. Over to you, sir.

Shyam Bhartia: Thank you, Pavleen. A very good evening to everyone. Thank you for joining us on the Q2 of the Financial Year 2025 Earnings Conference Call of Jubilant Ingrevia Limited.

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We are pleased to announce a healthy quarter-on-quarter, year-on-year growth for the quarter, fueled by enhanced performance of our Speciality Chemical and Nutrition, Health and Solutions business, as well as the advantages gained from cost savings measures implemented over the last few quarters.

Let me share the Overall Market Update with you all:

Globally, the chemical markets are gradually improving in 2024, with volume showing marginal growth over last year and we are witnessing the same in our businesses.

The Pharmaceutical End-Use segment continues to experience steady demand supported by stable pricing and volume placements. Our Pharma folio in Fine Chemicals reflects the sentiments. We continue to face pressure in Acetyls' business though due to low demand in the Paracetamol segment.

The Agrochemical sector is beginning to show some signs of improvement. The excess inventory situation gradually is resolving and the volumes recovering in

pyridine-based products. We are optimistic that a steady recovery will continue over the coming quarters.

In the Nutrition Segment, Demand remains steady with Niacinamide volumes showing an upward trend and prices rising during the quarter. Meanwhile, the demand for choline remains stable, although the pricing pressure continued due to high imports.

Let me talk about our Business Update:

In Speciality Chemical business, we saw notable increase in volumes of high margin in Fine Chemicals business in both quarter-on-quarter, year-on-year. The Pyridines and Picolines segment showed material year-on-year growth driven by higher volumes. The CDMO business continues to show good traction with customers across pharma, Agrochemicals and semiconductor segments although at an early stage.

In the Nutrition and Health Solutions business, significant year-on-year, quarter-on-quarter growth was driven by increased volumes and prices of Niacinamide. Margin growth was boosted by a better product mix and a higher share of volumes versus last quarter from human grade products.

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In Chemical Intermediates Business, quarter-on-quarter growth was attributed to an increase in volumes of Ethyl Acetate and Acetic Anhydride. However, year-on-year performance declined mainly due to lower prices.

We are excited to share that we have signed a five-year agreement with the multinational agro innovators to produce key intermediate for one of the strategic Agrochemicals. Jubilant Ingrevia will manufacture the intermediate using the MNC's proprietary technology. As a result of this contract, the company anticipates a significant increase in overall revenue share from its Agrochemical CDMO business post commencement of production.

We are glad to announce that our inclusion in the prestigious Global Lighthouse Network (GLN) of the World Economic Forum (WEF). The WEF has recognized Jubilant Ingrevia Limited's Bharuch manufacturing facility as a Global Manufacturing Lighthouse, making us only Indian company to achieve this distinction in this cohort. Over the last few years, we have made significant investments to digitally transform our plants and results are evident in enhanced efficiency, environmental performance and safety measures. We are grateful to the WEF for their ongoing partnership in this journey.

Now, let me share few details of our Future Outlook:

We expect to see improvement in our overall business performance in FY'25, particularly within Speciality Chemical and Nutrition and Health Solutions business segments. Consistent with the last few quarters, our primary focus remains on customer centricity, utilizing the newly commissioned plants, enhancing operational efficiency, leading to further improvement in margins. We expect sequential improvement in the performance in Q3 and Q4 with H2 FY'25 to be even better versus H1 FY'25.

We are committed to our growth plans through our ambitious Pinnacle 345 Vision of achieving three

times revenue and four times EBITDA within five years.

With this, I now hand over to Deepak to discuss the Business in Detail, and Wishing All of You a Very Happy and A Prosperous Diwali. Thank you.

Deepak Jain: Thank you, Mr. Bhartia. A very good evening to all of you. At the outset, I would like to thank you all for joining us today for the Q2 of FY'25 Investor Call of Jubilant Ingrevia Limited.

Let me first take you through the Overall Market Overview for the 2nd Quarter of this Fiscal Year:

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In Pharmaceuticals, during the quarter, we observed steady demand and good visibility on volumes across segments, particularly in Pyridine Derivatives. Additionally, prices largely remained stable with a slight increase in certain segments. However, demand driven by Paracetamol segment continues to face challenges as most customers operated their plants at suboptimal capacities. In the Agrochemicals sector, demand is slowly returning and issues related to global inventory destocking seem to be easing. However, we anticipate that the full recovery will be gradual. Volumes for Pyridine-based products are also showing signs of recovery. We expect that additional capacity in select Agrochemical products in the coming years will further boost pyridine demand.

In Nutrition, we are seeing an increase in Niacinamide volume offtake, with prices also experiencing a rise. Demand for choline remains stable, although pricing

pressure from international competition persisted for most part of Q2. We are also making ongoing efforts to gradually enhance traction in products aimed at human consumption.

We have rolled out several new initiatives in the last three quarters in line with our "Pinnacle 345" growth road map that we announced a few months back. Let me share a few key highlights to demonstrate the progress across those initiatives.

#1. Our core product platforms continue to drive growth and maintain our leadership position. We upheld our market share despite facing significant challenges in the acetyl sector. We achieved significant volume growth in Pyridine and Picolines on a year-on-year basis. We are now globally #1 player in Pyridine and Picolines and the only scaled non-Chinese player.

In Niacinamide, we retained our leadership position being the top two players in feed grade. We also achieved steady quarter-on-quarter growth in volumes along with a marginal increase in prices.

In Acetic Anhydride, we observed marginal quarter-on-quarter growth in volumes, although prices continue to remain under pressure. Despite the challenging circumstances, we manage to maintain our market share in H1 FY'25 in both Indian and European markets.

#2. We continue to maintain our revenue share of the Speciality and Nutrition business to 59% and EBITDA share at 73% in the overall portfolio.

Our Fine Chemicals, Microbials and Nutrition products are showing strong year-on-year growth.

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Our new product lines in Diketene and Food Grade, Choline Bitartrate trade are demonstrating strong momentum as well.

During the quarter, we secured orders in Agrochemicals space with two large MNC agro innovators. On the first one, by securing one of the largest CDMO deals in the Agrochemicals sector in India, we will serve as a critical agro intermediate supplier for a product from a Multi-National Corporation. Our aim is to partner with the client to scale up production in a reliable, sustainable, cost-efficient and quality assured manner. Furthermore, this partnership underscores our commitment to rapidly growing and investing in our CDMO business in the coming years.

On the second one, we have also received a similar but relatively smaller CDMO orders from another Agrochemicals innovator for a key intermediate of their new AI. The supplies are expected to start in early FY'26, and we hope this intermediate will scale up significantly in coming years as our innovator customer grows the AI

volumes going forward.

Our extensive customer engagement through roadshow continued in Q2 of FY'25 also with successful events held in Japan, Europe, US, China and India. These efforts have generated significant interest in collaborating across the Agro, Pharma, Nutrition and Semiconductor spaces. We are already experiencing an increase in our export share, rising to 48% in Q2 FY'25 compared to 38% in Q2 of FY'24, thereby reducing our reliance on the domestic market. Our export grew by 30% year-over-year with the European Union and Japan driving this growth. With the China Plus One strategy gaining momentum we are seeing a steady stream of enquiries from global clients. Many of these discussions are progressing into advanced stages and we are confident in our ability to meet their long-term needs in the future.

#3, with our heightened emphasis on ESG, sustainability is central to our operations. As global leaders, particularly in Europe and the United States ramping up their efforts to cut Scope 3 emissions, Jubilant Ingrevia is dedicated to aligning with these goals and furthering our sustainability initiatives. In recognition of our ESG efforts, WEF has honored our Bharuch manufacturing facility as a Global Manufacturing Lighthouse, making us the only Indian company to achieve this distinction within the cohort at amongst the select few firms in chemicals industry globally. Through this program, we implemented 4IR technologies at our Bharuch site and reskilled many employees to prepare them for the digital future. Utilizing over 30-plus integrated use cases that leverage Artificial Intelligence, machine learning, IoT-based digital trends and predictive platforms, we achieved a 60% reduction in overall process variability and significantly increased production volumes. This initiative also boosted workforce productivity by more than 20% and cut Scope-I emission by over 20%.

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#4. Our long-term CAPEX plans are on track with continued investments in new opportunities such as food and cosmetic grade, Niacinamide slated for commissioning in Q3 of FY'25 and other multi-purpose plants in the pipeline. In coming quarters, we will announce the launch of more CAPEX projects in line with

our long-term growth strategy.

#5. We have further strengthened our leadership team by welcoming Mr. Varun Gupta as our new CFO and Mr. Birajeev Singh as our new Supply Chain Head. Both Varun and Birajeev come with deep experience and expertise in their respective fields. With all the changes we have made in the organization, including in the top teams in the last year, I am glad to share that we now have one of the best and most energized teams at JVL to drive us towards our long-term Pinnacle 345 ambitions.

And #6. Finally, on cost front, as I have announced in the previous quarters, we continue to make the organization leaner and agile with over Rs. 120 crore per year of savings already mobilized. We have also been able to successfully manage our net working capital at optimal levels for the last three quarters driven by our inventory optimization and aggressive DSO management.

Now, let me take you through the Updates on all of our Three Business Segments Individually:

Speciality Chemicals : During the quarter, the Speciality Chemical segment's revenue grew by 13% on a year-on-year basis on account of higher volumes coming from pyridines building block and derivatives. EBITDA for Speciality Chemical grew by 26% on a year-on-year basis on the back of an increase in volumes of high margin fine chemicals pyridine derivatives both quarter-on-quarter and year on year touching almost 20% EBITDA margin.

Our CDMO business is on a robust growth plan, underscored by the signing of a five-year USD\$300 million plus contract with the multinational agro innovator.

The Diketene plant operated at healthy utilization levels with good volume traction in the newly commissioned facility. The Pyridine's

platform demonstrated strong

market acceptance and experience both quarter-on-quarter and year-on-year growth.

In the Nutrition and Health Solutions business segment, during the quarter, revenue for the Nutrition business increased by 12% year-on-year, driven by higher sales volumes of both animal and human grade Niacinamide along with elevated pricing. EBITDA for the quarter increased by 29% year-over-year, primarily due to

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favorable shift in volume mix towards human grade products as well as lean initiatives and optimized input costs. Overall, Niacinamide remained stable during the quarter, though pricing improved significantly during the quarter.

Newly launched products, Food Grade, Choline Chloride and Choline Bitartrate continued getting traction in the market.

Our GMP compliant facility for food and cosmetic grade, vitamin B3, is set to launch in Q3 FY'25, and we are already seeing strong customer interest in booking advanced volumes.

In the Chemical Intermediates business segment, quarterly revenue increased by 5% on a quarter-on-quarter basis due to improvement in volumes of acetic anhydride and acetyl. EBITDA for the quarter improved by 13% on a quarter-on-quarter basis primarily due to marginally higher volume and cost-saving initiative initiatives, although this was partially offset by rising ocean freight costs in broader Acetyls business. We witnessed improved volumes of Ethyl Acetate and Acetic Anhydride even though Acetic Anhydride volumes remained under pressure on account of lower demand from paracetamol.

Our market share for Acetic Anhydride in Europe remained firm, supported by the acquisition of new customers. We also maintained a dominant position in the domestic market for Acetic Anhydride.

With this, let me now hand over to Varun to discuss the Financials of the Company. I Wish You All A Very Happy Diwali.

Varun Gupta: Thank you, Deepak. Festive greetings and a very good evening to all of you. I would like to thank you all for joining us today for the Q2 of Financial Year '25 Investor Call of Jubilant Ingrevia Limited. I am excited to interact with all of you in my first investor call.

The overall revenue during the quarter stood at Rs.1,045 crore as against Rs.1,020 crore in Q2 Financial Year '24. The revenue was higher mainly due to higher year-on-year revenue from Speciality Chemical and Nutrition and Health Solutions business segments. The EBITDA for the quarter is Rs. 135 crore, reflecting a 13% sequential increase quarter-on-quarter and 7% increase on a year-on-year basis.

This growth was primarily driven by margin improvements in the Speciality Chemical and Nutrition segment along with cost optimization initiative.

During the quarter, we also reduced our net debt when the net debt of the company

on 30th September 2024 was Rs.650 crore and net debt-to-EBITDA ratio was 1.4

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times on the basis of trailing 12 months EBITDA. The CAPEX expenditure incurred during the quarter was Rs.91 crore and year-to-date for the first six months was Rs.207 crore, which was primarily funded through internal accruals.

Net working capital percentage-to-turnover for Q2 2025 was lower at 17.1% as against 24.3% in Q2 Financial Year '24. The number of days of working capital has reduced to 63 as against 89 in the same quarter last year. The PAT for the quarter is Rs. 59 crore as against Rs.57 crore in Q2 Financial Year '24.

With this, I would like to conclude our opening remarks. We will now be happy to address any questions that you may have.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Congrats on a strong set of numbers and the contract win. Sir, could you provide some clarity on the \$300 million contract like in terms of timeline when do we expect this contract to start?

Deepak Jain: So, that's obviously one o

f the biggest events for us in this quarter. So, as I already said, this is a \$300 million plus contract which is over next five years. The commencement of production will probably start sometime late next calendar year because we need time to prepare our Agrochemical plant to be able to produce this intermediate.

Siddharth Gadekar: So, how much incremental CAPEX we will be doing in that plant and how much time will it take to ramp up the entire volume?

Deepak Jain: So, I think as most of you already know we commissioned a new agro intermediate and active plant in the early part of this calendar year. So, the plan is to do the modifications and expansion in that plant, and we will require at least another Rs.300 crore plus to do that over the next 12 to 14 months for that plant to be ready to deliver on this contract.

Siddharth Gadekar: And largely in terms of margins or ROCE, how should we look at this in terms of this contract?

Deepak Jain: See, I think I have said that in the past also, every decision we take at Ingrevia from an investment perspective, the minimum threshold for us is 20% EBITDA and 20% ROCE. So, we have applied the same filters and same screens as finalize the commercial construct of this contract as well.

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Siddharth Gadekar: And in terms of the value chain, can you just give us some understanding like how many steps would we be doing for the customer, or it would be your basic pyridine derivative that you would be supplying?

Deepak Jain: Siddharth, I unfortunately cannot disclose too much, but what I can say is, it's in one of our core chemistries and #2 it will be a fairly advanced intermediate, so complex one.

Siddharth Gadekar: Just one more last question is on the second contract that we have just spoken about where we said supplies will start from next year. Can you give some color in terms of how much revenue can we expect from that contract?

Deepak Jain: So, again, I will not be able to give precise numbers. I think more than the revenue more important thing is it's for a molecule or AI which is a proprietary one and which has not been launched by the innovator. So, they have engaged us at a fairly early stage and even the initial volumes will be quite significant running into hundreds of tons and it's going to be high margin one for us as well and the supplies of this one will start in the early part of next financial year. So, this will come earlier than the bigger one that we talk about.

Siddharth Gadekar: So, this we will not have to do any CAPEX, is that understanding correct?

Deepak Jain: Some marginal improvements in one of our existing plants, but no major CAPEX.

Moderator: We have the next question from the line of Gokul Maheshwari from Awriga Capital. Please go ahead.

Gokul Maheshwari: Deepak, you mentioned in your opening comments that you are also working on certain newer projects in your horizon. While you will announce in due course, but if you could just give an overview of what areas are you really looking in terms of these CAPEX projects?

Deepak Jain: So, I think as we announced in Q4 of last fiscal year investor call, our Pinnacle 345 strategy has the aspiration of taking our revenue 3X of our size in next five years.

As part of that, we have worked out bottom-up plans across different business units and then the CAPEX that I talked about for the future are aligned with that strategy.

In fact, I had said that in these calls in the past, almost 100% of all incremental CAPEX is going to go into Specialty Chemical and Specialty part of Nutrition segment

in future. And if I just talk about the specific areas, obviously I cannot share too much details, but most of it will go to serve our CDMO business both on the agro and pharma side, our fine chemicals portfolio through multipurpose plant, our
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Specialty Nutrition products, particularly on the human and cosmetic grade side. So, those are the

areas where we will be investing further going forward.

Gokul Maheshwari: My second question is, while you mentioned that there is stability and very decent growth in the pharma side, could you elaborate a bit more on where are we on the Agrochem side in terms of your interaction with the customers-- is it destocking done or is prices bottomed or moving, what are you picking up while interacting with your clients?

Deepak Jain: Yes. So, I think I would maintain what I said on the previous call also, Gokul. Agrochemical sector in our view from a demand perspective, we think that the destocking problem is largely over, and we can see volumes coming back and you can also see our results where pyridine which goes almost 50% of our pyridine portfolio is built around Agrochemicals, we are seeing volumes coming back there. So, for us that's the first indicator and we can already see that growth is coming back. On the pricing side also, while the broader markets still have softer pricing, at least in our segments, there are pockets where we have already started to see prices also moving up. Even though I think it may take some more time for the broader market to improve. But by and that we are seeing good traction both from volume and pricing perspective in our core segment.

Gokul Maheshwari: And just on this part, is China still a headache for us in a sense that they producing as aggressively as what has been in that case for the last 12, 18 months?

Deepak Jain: See, I think if you look at even the import prices from China they seem to have bottomed out and have seen largely a flat trend on pricing over the last few months and even uptick in certain product segments, #1. #2, despite China being aggressive over the last 1-1.5 years, I think as I mentioned in my opening remarks, the China plus one trend is playing out very strongly with the lot of innovators and our customers speaking to us as us being there potentially Indian supplier from a reliability perspective. And third, I think the biggest proof of this trend is the new contracts that we have signed on the CDMO side. Both of them are in agro and that's despite the fact that the market has been down over the last 6-8 weeks.

Moderator: The next question is from the line of Rohan Gupta from Nuvama Institutional Equities. Please go ahead.

Rohan Gupta: Thanks for the opportunity and first of all, congratulations winning dual contracts in CDMO. On the second contract, though I do not want to get into too much of the specifics of the contract, but if you can just share that it's at least \$300 million kind of contract which you have mentioned in the PPT, what this \$300 million means and what over a period of time? Second, you mentioned that in your earlier remarks
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that this contract is actually I mean for the new AI, getting associated with the innovator at the early stage of product development. If you can elaborate a little bit that the product has not yet been commercialized, still in the phase of commercialization phase one, phase two, what stage it is with the innovator and where and what product or at what stage of N minus 1 or final AI what we are making for the customer?

Deepak Jain: So, Rohan, I think you have mixed up the two different orders. So, let me just talk about each one of them one by one so that there's absolute level of clarity. The first one, I talked about is the big one, which is \$300 million plus spread over next five years. That is not the new AI. This is an existing AI. And we are doing an advanced intermediate for that AI. It's a big contract. And as I said, we will need to make our agro intermediate and AI plant ready over the next 12 months for us to be able to deliver on this contract and commercial production will commence sometime in second-half or later part of next calendar year. So, that's one. The second one is the new AI, which is a relatively smaller order that we have gotten

. It's for an AI which

is not launched yet. So, the innovator has gotten us involved in the early stage, but they expect the volumes to run into hundreds of tons even at the time of launch.

We are expecting the supplies to commence in the early part of FY'26, which is say April, May timeframe, which is when the product will be launched. We will be making intermediate for this as well. And this also is a multi-step process. We will be doing one of the intermediates in that value chain.

Rohan Gupta: I was talking about the second contract only, not the first one. So, when you say,

sir, the early stage of the product innovation, so the product has yet to be launched by the customers, right, and whether we are replacing in intermediate manufacturing to whom we are replacing, whether the customer earlier was making it by himself or for buying this intermediate from China, what we are...?

Deepak Jain: No. So, Rohan, the final AI is not commercialized yet. The customer obviously, was in the process of doing the development of the product so far and hence all the steps they were developing internally. They have now gotten us involved where one of the intermediates which has linkage back to one of the platforms that we have in our portfolio. That's why they have gotten us involved on this product.

Moderator: The next question is from the line of Nitesh Dhoot from Dolat Capital. Please go ahead.

Nitesh Dhoot: Good evening team, and thank you so much for the opportunity. My first question is on the Specialty Chemical revenue. What I see is the revenues are up Rs. 50 crore year-on-year for Q2 and as the PPT mentioned that there is a significant volume growth on a year-on-year basis. So, how much of this growth is coming from

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pyridine and how much from diketene and where would we be in terms of capacity utilizations for both pyridine and diketene?

Deepak Jain: Thank you, Nitesh. So, obviously, as you can see in our results, the Specialty Chemical revenue have grown year-on-year by almost 13%. What I can tell you is in terms of volume; the growth has been much higher than this 13%. Obviously, as all of you know versus last year the prices have come down. So, that shaved off part of our overall growth. The growth in terms of volume is close to 25% in this portfolio for us and it is a broad-based growth within our Specialty portfolio. So, the pyridine building block has grown, pyridine derivatives have grown, diketene derivatives have also grown, microbial has also grown. So, it's across segments. In terms of second part of your question, the utilization level, on diketene, I think I had answered that in the previous quarter also and broadly the answer is same. We have done two phases of extension in diketene. The phase one happened almost 1.5, 2 years back. There, our plants are running at (+75%) utilization levels. The second phase expansion happened in the early part of this calendar year around March where we launched two more products. Of the two products, for one the utilization levels are already close to 70%. For the second one, we have supplied samples from the new plant to a few big customers and they are just in the final stages of approving the samples. As soon as that happens, we expect even the second plant to take to 50% plus utilization hopefully within this or later by next quarter.

Nitesh Dhoot: In terms of pyridine capacity utilization?

Deepak Jain: We have mentioned in the past we have 48,000 tons of capacity for pyridine and picolines and we are running it at close to 75% to 80%.

Nitesh Dhoot: Secondly, on the capacity utilization on acetic anhydride on the 2,10,000 tons capacity and also in the food grade acetic acid if you can help elaborate?

Deepak Jain: So, acetic anhydride, you're right, we have almost 2,00,000 tons of capacity. We are running acetic anhydride at around +70% utilization across our plants. Obviously, as I mentioned in my openin

g remarks, there is some pressure on anhydride business particularly driven by lower paracetamol volumes and production. We are hoping as the markets improve will be able to take that utilization level up. But despite that if you see quarter-on-quarter in our broader acetyl portfolio, there has been an increase in volumes.

Nitesh Dhoot: On the choline chloride business, what I understand it's a largely domestic market oriented product there. So, what's the strategy in terms of the pharma and the food grade, etc., that you mentioned?

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Deepak Jain: So, choline does not go in pharma grade. We have two parts of choline business; one is the animal feed grade choline which is the dry CC and liquid CC choline chloride, which we do largely in domestic market, but we also supply to some of the neighboring international markets. That business volume wise is holding up, but there is some pressure on pricing because of the imports. So, we are working through our cost structure and other areas to be able to maintain our market share there. We are the biggest player in the domestic market there. On the second part of choline, where as I announced in the previous two calls, we have launched a food grade and human Nutrition grade choline products, choline chloride and choline bitartrate. Those products we have started to see in the market. We are getting very good traction with most of our customers. Many of the customers have now visited our plants as well and they have done the audit. So, we are hoping that the

volumes will start picking up in that segment in the coming months.

Moderator: The next question is from the line of Gaurav from Invesco Enterprises. Please go ahead.

Gaurav: Thanks for this opportunity and congratulations for the good set of numbers. So, my question is on our vision to grow our revenue to three times and EBITDA to four times in five-year time horizon. So, I just want to understand what would be the base year when we are evaluating that from this number that we want to take to the three times of the revenue, is it the FY'24 or is it the current initial year FY'25 as the base year?

Deepak Jain: Somebody else also had asked this question in the last call. So, the base year for revenue is FY'24, which is let's say 4,200 crore of revenue and the landing year is FY'29. So, all the bottom-up estimates and planning was done keeping those numbers in mind. Having said that, as I explained in the previous investor call, obviously there were certain assumptions we have made at that time when we did this exercise in January, February timeframe on pricing as well as market recovery, particularly on the Agrochemical side. Given that there is some uncertainty and lag on that recovery, obviously, there could be a couple of quarters of a timeline tweaking to this, but by and large we stick to the overall vision we have crafted under Pinnacle 345.

Gaurav: Just for an understanding purpose, since mainly our revenue comes in three segments, Specialty Chemical, Nutrition and Health Solutions and the third one that is the chemical intermediates, which is a significant portion of our revenue, but in terms of the EBITDA this is not so great as compared to the Specialty Chemical and Nutrition and Health Solutions, right. So, whatever proportion of revenue was there in FY'24 vis-à-vis what we envisage as per our Pinnacle 345 strategy, what would be the ratio of these three segments then we are envisaging to achieve a turnover of

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maybe approximately Rs. 12,000 crore after five years, is it going to the same proportion or proportion is going to be changing or I mean to say the mix is going to change?

Deepak Jain: No, so Gaurav, I think you have seen the number part. You should also revisit the slide which we put in our presentation behind Pinnacle 345. What it clearly states is the overall direction is to increase the share of Specialty and Nutrition in our

business and that is something which we explicitly if you see even today's investor presentation we have laid out what percentage of EBITDA is coming from Nutrition and Specialty and that is close to 73% now. The plan as well as expectation is that will continue to grow. Today, acetyl constitutes roughly 35% to 40% of my revenue and almost 25% of EBITDA. The relative share of acetyl in the overall portfolio will continue to come down as Specialty and Nutrition portfolio grow on the back of all the investments we have done in last three years and what we will continue to do even in future, as per the plans I described in response to one of the questions which came earlier.

Gaurav: I got that, and I was going to the presentation also, but when we are modeling or when we are expecting that, in terms of the percentage of the mix, right, you have clearly mentioned that 60% of the revenue between these two segments and EBITDA somewhere around 73% kind of EBITDA that is coming as of now. But, over a period of time three, four, five years, this revenue mix I am not focusing on because EBITDA you have already given that four times you want to increase vis-à-vis FY'24, right. So, what is going to be the mix change from 60% as of now which is going to be 65%, 70%, do your energy is more concentrated towards increasing the share?

Deepak Jain: Gaurav, I will not be able to give precise numbers as I should not, but yes, it will be north of 75% for sure for Specialty plus Nutrition together.

Gaurav: To achieve this strategy, any impact going to be in terms of our debt numbers like for incremental CAPEX, is it going to be funded from the internal accruals or external debt would be required to be taken up?

Deepak Jain: Yes, so I think again, I explained that in the last two calls and then we maintain that and you can see even in our last three quarters, we have been able to manage our debt in fact lower than what it was four quarters back, despite the fact that we have been continuously investing. So, what it means is by and large, our intent is to fund as much of incremental CAPEX as possible from our internal accrual which we have already seen and as well as the efficiency initiatives that we have taken. So, we are going to continue. We are expecting at least Rs. 600 to 800 crore of incremental CAPEX every year for the next three years at least and we feel a major proportion

of that we can fund through internal accruals as well as the EBITDA which we hope to get on the back of all these investments. If at all we need to, we will need to increase our debt level marginally only, right now we are at Rs. 650, 700 crore as Varun explained, but in no scenario we want it to go beyond Rs. 900, 1,000 crore and keeping our coverage ratio well under 1.4x, which is what we have internally set as a benchmark.

Moderator: The next question is from the line of Malay Sameer from Breakthroughs in Stock Market. Please go ahead.

Malay Sameer: Hi Deepak, congratulations for the 2 orders that you've got in CDMO. Very impressive. I just want to pick your mind on the Bio Secure regulation that is expected to be coming in by 2034. We hear that there could be a very big swing away from China to the country that can supply and fill in that gap. Now that we are becoming one of the world's largest suppliers and we have a full backward integration chain, do you think these orders that are coming in right now are just the tip of an iceberg?

Deepak Jain: That's a very good question. First, let me answer your question at a slightly macro level based on all the interactions I have had with the customers as I mentioned in the past and then you can see in our IR presentation also. We have been doing several road shows, we have done seven of them and we have met some 120, 130 customers and not just at a buyer level, but at a CXO level in many of these meetings. So, obviously we gather a lot of insights a

nd understanding of how the customers are thinking about their future supply chain. And the consistent thing which I have heard in all these meetings is that everyone wants to diversify and add more reliable scale suppliers in India to de-risk from China and then that is what I said in my opening remarks as China plus one strategy which I think most of us have now heard several times, but I can tell you not even a single customer did not talk about it. So, everyone is just talking about it, thinking about it proactively, some are of course at advanced stages, some are still thinking about it, but sooner or later it was anyway supposed to happen. Now, with the Bio Security Act and obviously with the expected results of US elections, there is a feeling that it will become increasingly difficult for customers to rely only on Chinese suppliers and hence at least I expect this trend to only accelerate from here and leading to more and more outsourcing of manufacturing not just in pharma but also in Agrochemicals, cosmetics, semiconductor spaces to India. Coming to now the second part of your question, I see, these two contracts, these are only the tip of the iceberg in terms of the number of such opportunities we expect to catch and realize in the coming years. Obviously, the size of those opportunities could be different depending on which customer and which molecule you're talking about. The first one that I

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described is a big opportunity in agro and it's one of the biggest contracts even in the Indian Agrochemical industry. So, those ones are rare in my view. So, in terms of numbers, to give you a sense, out of these 120 plus customer meetings, we have already created a pipeline of almost 100 plus opportunities. Now, the size of those opportunities vary and obviously not all of them is going to convert, but we have created an internal funnel which we are working on and hoping that as some of these duty structures and China plus one strategy play out, we will be able to convert many more contracts in the coming quarters and years.

Malay Sameer: So, I was thinking aloud that if a large player is shifting away from China to India, they will look at a full backward integrated chain. And as you just said in the presentation that we are such a large player not just in India, but of course India too, but we are a very large player globally, so would not that make us the first choice in India for those people to transition away from China?

Deepak Jain: We cannot generalize that. Of course, the chemistries and product platforms which we have and there are seven or eight of them and you can see it in our IR presentation also, anything which is falling in those value chains, obviously we will be the natural and first contender to grab those opportunities. We still need to be competitive, responsive, agile, all of that will still be required, but we will obviously have a natural advantage there. Likewise, some of our peer companies in India who are present and deep in other value chains, they will have an advantage over us in those chemistry. So, we cannot generalize it. It is dependent on the chemistry. I think the second part of it is of course all these companies while diversifying their value chains outside of China they are having a very strong focus on ESG as well and that is something where we score over many of our Indian peers, absolutely hands down, because if you see our ESG journey, we started way back in 2001 we are #2 in EcoVadis and Dow Jones ranking for several years now. Every year we are taking

several new initiatives and many of them we have announced in our presentations as well. So, that advantage is going to be a huge and that advantage is going to give us an edge versus our peers. On top of that, now if I take the recent WEF Green Lighthouse recognition that our plant had that's just establishes us as one of the not only just cost affected backward int

egrated and environmentally focused player

but also digitally advanced player or peer in Indian chemical industry. So, if you put all of those elements together, our backward integration, the different product platforms, cost competitiveness, environmental focus or ESG focus, digitally-enabled plants, and on top of that, willingness to invest CAPEX ahead of revenue, it makes us a very solid contender for all these opportunities which are coming India's way in the next few years.

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Malay Sameer: So, Deepak, like for the first order that you announced, you're saying that it will come somewhere late in calendar '26 because we are investing into the peripheral

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Deepak Jain: Sorry, calendar '25, not calendar '26.

Malay Sameer: Okay. Because we are investing in peripheral equipment, etc., so is it okay to assume that the future orders that will come to us will be executed with a much shorter time lag than receiving the orders compared to what we have done in the first two orders?

Deepak Jain: We have two examples right here. One, we are going to execute within four to six months from now, another one which will take at least 12 months. So, what I am trying to say is every order by definition, CDMO, 'C' stands for customize and customize means you have to have a customized set of facility depending on the nature of chemistry, the complexity of the molecule. So, obviously if there is a molecule which falls in our chemistry and can be fitted into one of our existing plants the timeline for that will be much shorter. That's a three to six months. And that's why we are creating a multipurpose plant ahead of time so that we are ready with excess capacity and we can fix some of these molecules into those plants. Obviously, if there is a bigger molecule which requires a specific kind of technology or process setup, the timelines and then we have to create a new plant or make significant changes to an existing plant, the timeline for that will be at least 12 months. So, at this stage it's very difficult to give you a timeline in a generic way. It will be customized to every order, but what I can assure and tell you is internally, our projects team, our design team, our operations team, we are gearing ourselves to ensure, even our R&D team, we are agile and in responding to our customers and deliver as quickly as possible because it's important not just for my P&L and balance sheet, it's important for my customers P&L even more because they wanted the products yesterday and they are coming to us now because of this pressure coming to them and with the Bio Security Act which you talked about, there is a huge amount of urgency in their minds to move quickly.

Moderator: We have the next question from the line of Dhruv Muchhal from HDFC Asset Management. Please go ahead.

Dhruv Muchhal: Apologies if this is a repeat. If you can please help us some more granularity on the CAPEX plans that you have Rs. 600 to 800 crore per annum over the next three, four years, I understand largely this will be in Specialty and Nutrition, but some more granularity, where do they go, is it agro, is it pharma, is it I am not sure, pyridine, what areas are you looking at?

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Deepak Jain: Dhruv, for the CAPEX, there were questions in the previous three calls also. So, the wave-I of our CAPEX plan we had announced almost 2.5 years back of Rs. 2,000 crore. And at that time, we had announced a bunch of projects. 65% to 70% of that CAPEX was supposed to go into Specialty and the Specialty part of our Nutrition portfolio, which we have by and large stuck to, and as I speak this fiscal year with almost Rs. 1,300, 1,400 crore of investment which had already happened in the last two years, we are going through the last leg of initial or wave-I, say, Rs. 2,000 crore that we had announced 2.5 years back. So, this year with a couple of projects already in play between our boiler in

Bharuch and the cosmetic and food grade

Niacinamide plant and the few other debottlenecking and expansion plans, we will exhaust the wave-I Rs. 2,000 crore CAPEX. So, that's wave-I. But in order to deliver on our Pinnacle 345 aspiration in FY'29 or near about that time, we will need to take a wave-II CAPEX of Rs. 2,000 to 2,500 crore over the next three years which will be roughly, let's say, Rs. 700-800 crore that I was saying earlier. What I can tell you is

100% of that will be geared towards opportunities which are falling in Specialty and Nutrition side of the portfolio. Obviously, a lot of those opportunities which all will also be driven by what kind of CDMO and other contracts that we get from the customer because many of these will be multi-purpose plants where we can absorb any customized requirement which comes from our customers. But the focus would be on CDMO opportunities in agro, in pharma, in semiconductors, the fine chemical derivatives in our pyridine and diketene value chain, the human and high value animal food and Nutrition grade products in our Nutrition portfolio. So, those are the opportunities which we are looking at as we draw the investment plans for this second wave of Rs. 2,000, 2,500 crore of CAPEX over the next few years.

Dhruv Muchhal: So, primarily in the Specialty segment, the investments will be targeted towards the CDMO segment, be it pharma, agro or fine chem or semis, that is the fair understanding is it?

Deepak Jain: CDMO and fine chemical derivatives. As you know, we are world #1 in pyridine and diketene also we have aspiration to become a global leader, and we do those derivatives, and this is our core portfolio. So, we will be creating a multi-purpose plant to serve our pyridine and diketene derivatives portfolio to expand it in the coming years. So, CDMO and fine chemicals are the two major parts within Specialty.

Dhruv Muchhal: Quickly on the first CDMO, \$300 million contract, just trying to understand nature because there are various terms with industry uses for contracts. Is this take or pay, is it equal revenue over every five years and once this comes how does your Specialty segment margins look like say, FY'27 when the full benefits probably starts to flow in?

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Deepak Jain: So, Dhruv, I cannot disclose all the details for obvious reasons, but it is a classic CDMO contract where there is an obligation on both sides, the buyer and the seller. It's a five-year contract with an even split of revenues over the five years. And on the margin and ROCE, as I already answered in response to I think somebody asked one of the questions in the earlier part of this call, our internal threshold is 20% EBITDA and 20% plus ROCE. So, this contract crosses the threshold on those benchmarks.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Pavleen Taneja: We thank you all for joining this call today. We hope we have been able to answer your queries. For further clarification, we would request you to contact me and thank you once again for your interest in Jubilant Ingrevia Limited.

Moderator: On behalf of Jubilant Ingrevia Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc.

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List of Management Attendees

1. Mr. Shyam Bhartia, Chairman
2. Mr. Hari Bhartia – Co-Chairman
3. Mr. Deepak Jain, CEO and Managing Director
4. Mr. Varun Gupta, CFO – Jubilant Ingrevia Limited
5. Mr. Arvind Chokhany, Group CFO, Jubilant Bhartia Group
6. Mr. Pavleen Taneja, Head – Investor Relations

External Participants during Q&A session

1. Siddharth Gadekar – Equirus
2. Gaurav - Invesco
3. Tarang Agarwal – Old Bridge Capital
4. Rohit Nagraj – B&K Securities
5. Prateek Poddar – Bandhan
6. Gokul Maheshwari – Awriga Capital Advisors LLP
7. Resham Jain – DSP Asset Advisors
8. Nitesh Dhoot – Dolat Capital

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Jubilant Ingrevia

Q3 & 9M FY25 Earnings Conference Call Transcript

January 28, 2025

Moderator Ladies and gentlemen, good day and welcome to Jubilant Ingrevia's Q3 and 9 months FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja – Head of Investor Relations at Jubilant Ingrevia Limited. Thank you and over to you, Mr. Taneja.

Pavleen Taneja Thank you, Nirav. Good evening, everyone. Thank you for joining the Quarter 3 of Financial Year 2025 Earnings Conference Call of Jubilant Ingrevia Limited.

I would like to remind you that some of the statements made on the call today could be forward looking in nature and a detailed disclaimer in this regard has been included in the press release and results presentation that has been shared on our website.

On the call today we have Mr. Shyam Bhartia – Chairman; Mr. Hari Bhartiya – Co-Chairman; Mr. Deepak Jain – CEO and Managing Director; Mr. Varun Gupta – CFO Jubilant Ingrevia Limited and Mr. Arvind Chokhany – Group CFO, Jubilant Bhartia Group.

I now invite Mr. Shyam Bhartia to share his comments.

Shyam Bhartia Thank you, Pavleen. A very good evening to everyone. Thank you for joining us on Quarter 3 of the Financial Year 2025 Earnings Conference Call of Jubilant Ingrevia Limited.

We are pleased to announce significant year-on-year growth for this quarter attributed to enhanced performance of our Specialty Chemicals and Nutrition businesses, as well as to the benefits derived from cost-saving initiatives implemented in recent quarters.

We are also glad to share that the board has recommended an interim dividend of 250%, which equates to Rs. 2.5 per equity share with the face value of Re. 1 each for FY25. This will result in a cash outflow of Rs. 39.8 crore.

Let me share the overall market update with you all:

Globally, chemicals markets are witnessing gradual volume improvements. But pricing is staying muted in most segments and regions. We expect the volume growth momentum to continue into 2025, while the price recovery may still be slow. The pharmaceutical end-use market continues to see steady demand, bolstered by stable pricing and volume placements.

Our pharma portfolio in the Fine Chemical business mirrors these trends. However, we continue to encounter challenges in the Acetyl business due to low demand in the paracetamol segment.

The agrochemical sector has continued its upward momentum in this quarter, driven by positive volume growth on both year-on-year and quarter-on-quarter basis. However, average prices in the sector have remained flat, indicating potential price stabilization.

The Nutrition market experienced a continued resurgence in demand. Niacinamide volumes remained stable with a slight price increase during the quarter. Choline demand saw stronger growth, however, faced pricing pressures from imports.

Now let me talk about our business updates:

In the Specialty Chemical business segment, we observed a notable year-on-year increase in volumes for the high margin fine chemical segment. The diketene segment within fine chemicals experienced significant year-over-year volume growth and stronger price improvements. Pyridine and picoline segment also showed substantial year-on-year growth driven by higher volumes. Additionally, the CDMO business continues its traction with an increase in inquiries from customers in the pharmaceutical, agrochemical and semiconductor sectors.

The Nutrition and Health Solution business segment experienced continued year-on-year and quarter-on-quarter volume growth, primarily driven by significant

volume increases in choline products while niacinamide volumes remain stable. We also saw an uptick in niacinamide prices last quarter.

In the Chemicals Intermediates business segment, we observed year-on-year volume improvements driven by ethyl acetate sales. Acetic anhydride volumes were muted due to low demand in paracetamol segment. Prices in this segment remained under pressure and impacted margins significantly. We are pleased to announce the commissioning of our new cGMP compliant vitamin B3 facility in Bharuch, Gujarat. This facility will produce nutraceuticals and dietary active ingredients for human consumption in food and cosmetic segments. The production of these new grades of vitamin B3 will significantly boost our presence in the value-added products market offering high value and high margin solution. We are also proud to announce that Jubilant Ingrevia Limited has received the prestigious "Global Lighthouse Network Award" from the World Economic Forum. This honor recognizes our Bharuch manufacturing facility for its outstanding integration of "Fourth Industrial Revolution Technologies", making us the only chemical Company worldwide in the 2024 cohort to achieve this distinction.

Let me share a few details on our future outlook:

We anticipate continued improvement, continued upward momentum and improvement in our overall business performance in the ensuing quarters, driven by advancements in Specialty Chemicals and Nutrition health solutions business segments, as well as through our continued efforts to manage the cost efficiently. In line with recent quarters, our pr

imary focus remains on leveraging newly

commissioned plans and enhancing operational efficiency to deliver improved sequential performance in Q4 of FY25.

We are committed to our growth plans through our ambitious Pinnacle 345 Vision, and we are on track to achieve the same.

With this now I hand it over to Deepak to discuss the business in detail. Thank you.

Deepak Jain Thank you, Mr. Bhartia. A very good evening to all of you.

At the outset I would like to thank you all for joining us today for the Q3 FY25 Industrial Call of Jubilant Ingrevia Limited.

Let me first take you through the overall market overview for the 3rd Quarter:

Pharmaceuticals:

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During the quarter we experienced steady demand with clear volume visibility across pharma end use segments with notable growth in pyridine derivatives and stable prices with some areas seeking, seeing an uptick. However, paracetamol demand remained under pressure as customers run their plants below optimal capacity.

In the agrochemical sector, global inventory destocking issues are diminishing and demand is gradually returning with a full volume recovery expected in coming quarters. Volumes in pyridine-based products are also recovering and future expansion in the select agrochemical products will further boost pyridine demand. In Nutrition, we observed significant year-on-year and quarter-on-quarter volume increases for choline though pricing remain muted due to competition. Niacinamide volumes remain stable while prices saw some uptick. With the newly commissioned cGMP plant, we are poised to increase traction in human food and cosmetic-grade products. As you know, we have rolled out several new initiatives in the last few quarters in line with our Pinnacle 345 growth roadmap that we announced a few months back.

Let me share some key highlights to demonstrate the progress:

#1. Our product platforms continue to drive growth and leadership in Quarter

3. Pyridine and Picoline experienced significant year-on-year volume growth with prices also rising across several segments. In Niacinamide, we maintained our top two leadership position in feed grade with year-on-year growth in volumes and an uptick in prices showing both year-on-year and quarter-on-quarter growth. In Choline chloride we maintained our number one position in the dry Choline chloride market and recovered market share with both quarter-on-quarter and year-on-year growth in volumes.

#2. We have increased our revenue share of the specialty and Nutrition business in the portfolio to 62% up from 59% last quarter and its EBITDA share in the overall portfolio has grown to 87% up from 73% last quarter. Our pyridine and picoline, fine chemicals and microbial segments are showing strong year-on-year revenue growth. Growth areas like diketene continue to gain traction with stronger year-on-year growth. In the semiconductor end use segment too, we sent more new samples to our customers in Quarter 3.

#3. In acetyl we observed year-on-year volume growth in non-acetic anhydride products like ethyl acetate and acetaldehyde. This positive impact of volume increase was offset by slight dip in acetic anhydride volumes.

However, prices remain under pressure across all products. Despite the

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market challenges, we have retained our market share in acetic anhydride market while increased shares in both ethyl acetate and acetaldehyde segment.

#4. We are increasing our revenue mix in the US, EU, and Japan and continuously investing in building capabilities in these regions. During the quarter, we increased our international revenue share to 45% compared to 34% in the same period last year, achieving an exports revenue growth of 47% year-on-year. Our US revenue doubled on year-on-year basis while EU and Japan revenue grew by 43% year-on-year. Thanks to our structured key account management program. To further scale up our international business we are expandi

ng our BD teams across US, Europe and Japan.

#5. Our key efficiency initiatives have delivered substantial annualized savings of over Rs. 120 crore from Surge, Lean, BE and Energy Saving programs. We are now launching phase two of our cost program and we hope to achieve even higher efficiencies in coming quarters, thus improving our margins further.

#6. On the CAPEX front we have commissioned our niacinamide facility for food Nutrition and cosmetic applications, marking a significant milestone in our journey. Already being one of the world's largest producers of niacinamide, we aim to become global leader in vitamin B3 as we ramp up the utilization of this new plant. This positions us among the select few capable of producing high quality vitamin B3 for high value, high margin offerings providing a strategic moat against industry volatility in feed grade niacinamide. Also the CAPEX for upgrading the existing agrochemical plant has commenced. This investment is aimed at establishing a dedicated

facility to fulfill the five-year agreement which we signed last quarter with a multinational agro innovator producing a key intermediate for one of their strategic agrochemicals. We anticipate beginning deliveries from this plant towards the end of the next financial year. Likewise, our existing multipurpose plant in Gajraula is being readied to serve the second agrochemical order we announced in the last quarter. We expect both these orders to add significantly to our revenue growth in coming years in Specialty Chemicals business. In coming quarters, we also plan to announce the launch of more CAPEX projects in line with our long-term growth strategy.

#7. On sustainability front too, our core initiatives remain on track to keep our leadership position intact. As we announced earlier, we hope to move more than 30% of our power requirements to renewables in FY26, which will not
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only contribute significantly to the reduction of scope 2 emissions, but also reduce our power cost in coming quarters. Likewise, we have taken several other green initiatives which will help have significant impact both environmentally and commercially.

Let me now take you through the update on all of our three businesses individually: Starting with Specialty Chemicals:

During the quarter the Specialty Chemicals segment revenue grew 28% year-on-year and 8% quarter-on-quarter basis on account of higher volumes coming from pyridine and diketene portfolios. During the quarter, Specialty Chemicals achieved its highest ever EBITDA of Rs. 121 crore in a given quarter and also highest EBITDA margin of 26%, in the last 14-quarters. EBITDA for Specialty Chemicals grew by 120% on a year-on-year basis. Improvement in EBITDA was also witnessed on account of cost efficiencies gained from initiatives focused on enhancing productivity, yield, and reducing energy costs through lean initiatives. The CDMO business continued to grow with capital expenditure initiated for the two contracts we talked about earlier. We also witnessed a growing number of inbound inquiries from the agro, pharma, and semiconductor sectors. The high margin Fine Chemical business volumes increased year-on-year and quarter-on-quarter, with diketene volumes rising significantly with improved pricing.

In the Nutrition business, during the quarter, revenue for the business increased by 25% year-on-year, driven by higher sales volumes coming from niacinamide and choline products. EBITDA for the quarter increased by 44% on a year-on-year basis primarily due to higher year-on-year volumes and prices of niacinamide.

On quarter-on-quarter basis, EBITDA remained stable due to the positive impact of niacinamide and choline volumes, but impact of higher niacinamide prices got offset slightly by dip in Choline realizations. We witnessed increased niacinamide sales volume and pricing on a year-on-year basis and marginal price increase for quarter-on-

quarter basis. We also observed improved demand for food grade products with both year-on-year and quarter-on-quarter growth. For Choline products volumes were strong both quarter-on-quarter and year-on-year basis, whereas pricing remained under pressure. With our new cGMP plant getting commissioned, we expect our revenue and margins to increase in coming quarters on the back of increased volumes of food and cosmetic-grade vitamin B3. Our food-grade choline chloride and choline bitartrate products have started to get good traction in the market, and we expect their volumes to grow in coming quarters.

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In Chemical Intermediates business quarterly revenue and EBITDA declined due to continuing headwinds from the primary end use markets for paracetamol impacting both volumes and pricing of acetic anhydride. During the quarter, higher year-on-year and quarter-on-quarter volumes of ethyl acetate partly cushioned the impact of declining acetic anhydride volumes. We have taken a few strategic measures to counter the downward impact in this segment such as higher share of domestic sales of acetic anhydride to mitigate the impact of increased logistics cost associated with export sales, secondly, improvement in our cost structure for key products, and thirdly, renewed push on non-acetic anhydride portfolio in this segment, such as ethyl acetate and acetaldehyde.

With this, let me now hand over to Varun to discuss the overall financials of the Company. Thanks, Deepak.

Varun Gupta A very good evening to all of you. I would like to thank you all for joining us today for Quarter 3 of the Financial 25 Investor Call of Jubilant Ingrevia Limited.

The overall revenue during the quarter stood at Rs 1057 crore as against Rs 966

crore in Q3 FY24. The revenue was higher mainly due to the higher year-on-year revenue from Specialty Chemicals and Nutrition and Health Solutions business segments. The EBITDA for the quarter was Rs 148 crore reflecting a 9% sequential increase and 42% rise on year-on-year basis. The growth in EBITDA was primarily driven by margin improvements in the Specialty Chemicals, better mix along with the cost optimization initiatives. The net debt of the Company as on 31st December 24 was Rs. 684 crore and net debt to EBITDA ratio was 1.36 times on the basis of trailing 12 months EBITDA.

During the quarter we also optimized the overall finance cost and reduced it through a combination of strategic initiatives. The capital expenditure incurred during the quarter was Rs. 92 crore and YTD in the first nine months is Rs. 299 crore which was primarily funded through internal accruals. The net working capital percentage to turnover for Quarter 3 was at lower at 18.4% against 22% in the last year same quarter. The number of days of working capital has reduced to 67 as against 80 days in Quarter 3 Financial Year 2024.

Lastly, the PAT for the quarter was Rs. 69 crore as against Rs. 39 crore in Q3 Financial Year 2024, witnessing an increase of 80% on year-on-year basis.

Before we conclude our opening remarks, I would like to inform you that the Company is organizing its Investor and Analyst Day in Mumbai on February 28, 2025.

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On behalf of the entire management team of Jubilant Ingrevia Limited, I would like to invite you all to join us at the event. This will be an opportunity for you to meet in person and interact with the entire leadership team of Jubilant Ingrevia Limited, where we will showcase organizations' future plans and highlight the key growth levers for the coming years.

We will now be happy to address any questions that you may have.

Moderator Thank you very much. We will now begin with the question-and-answer session.

The first question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar The first question is regarding the Specialty Chemical business margin. Given the sharp improvement that we have seen in

this quarter, how should we look at it on

an annual basis? Because maybe this quarter there was some product mix towards higher value products. On an entire pull year basis, how should we think about the Specialty Chemical margins for FY25 going ahead?

Deepak Jain Yes, Siddharth, thank you. It's a good question. A few things I would say, number one, as we have been saying in the previous quarters as well, Specialty Chemical business is something which we have been continuously focusing on and there are multiple drivers which are helping us improve the overall growth as well as mix of the business. So, like I said in my opening remarks also, the Pyridine portfolio of course continues to do well on the back of the additional volumes we have gotten which helps us in improving efficiency and improving the cost structure. At the same time the Diketene portfolio has started to grow, and the utilization levels are growing, and we are getting high margin products there and of course we have the CDMO business which is a high margin business for us. So, what happened in the last quarter was all three converged and led to the kind of margin that we have delivered. Having said that, now obviously last quarter was also a quarter where both Pyridine and Beta prices were on the higher side which we understand and appreciate, will or not remain at the same level all through the year and hence there will be some volatility. Even if I adjust for that, our expectation is that our specialty business should remain at least at 23% to 24% EBITDA margin versus the 26% that we have given in the last quarter. That is our expectation for a steady state .

Siddharth Gadekar Secondly, in the Chemical Intermediates business was there any inventory losses because our EBIT has come at Rs. 9 crore which is at a historic low level?

Deepak Jain No, there is no inventory loss but unfortunately that business is going through very tough times and like the way I talked about a bunch of positive forces on specialty, on Chemical Intermediates there are lot of negative forces. So, what has happened

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is the biggest application of acetic anhydride is paracetamol in Indian market where we have almost 70%-80% share. So, paracetamol is going through tough times with almost 20%-25% lower volumes versus last year. Secondly, even internationally, Europe is a big market for us and I think most of us know what's happening in Europe. The growth has come down and as a result, we are losing some volumes there as well. Thirdly, the Red Sea crisis did not make life any easier with the higher logistics cost, the level of competitiveness and profitability both went down. And

on top of that in the last quarter exchange rate also worked against us both on US dollar and Europe. We import our raw materials for Chemical Intermediates business in US dollar while export in Euros to Europe and both of those forces worked against us. So, a combination of all those factors led to the lower margin that you saw in the last quarter. What we expect at this moment is that these forces are continuing at least for this quarter and then for perhaps another quarter or so. But gradually we expect the inventory that is there in the paracetamol market will clear up and volumes will start to come back. Agro, and other use case or application for anhydride will start to gradually show some uptick and then Europe hopefully will start showing growth as well and then the exchange rate has already started to normalize. As these negative forces reverse one-by-one we are hopeful that in the next couple of quarters we will start to see at least some uptick from where we are in Acetyl business.

Siddharth Gadekar Secondly, on this new vitamin B3 capacity, can you just talk about the realization difference between animal feed and new grades of vitamin that we are looking to launch and what would be the margin differential between these two grades?

Dee

Deepak Jain See the cosmetic grade and food grade niacinamide and then the product is there and we sell it even today from our existing plant. There is reasonable delta of course I can't give the precise numbers but you can assume the delta could be even up to 40% to 50% sometimes in the pricing and obviously there are incremental costs associated with that as well but at an overall level cosmetic and food grade products are higher margin for us, significantly higher margin for us versus what the feed grade is. Margin is just one part of it, Siddharth, but I think what it also does is as I think most of you know there is more volatility in the feed grade product. The cosmetic and food grade products are more stable with the secular growth in the demand and volumes. So, it also brings more stability to our overall Nutrition portfolio. And thirdly, it also gives us access to human grade customers, which is a segment, as I have announced in the previous quarters also, we are anyway focusing on with more and more products coming in the human-grade side.

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Siddharth Gadekar So, our mix used to be more tilted towards animal feed. Like we had 70%-75% of our revenues coming from animal feed. Now, 1 or 2 years down the line, how should this mix look in the Nutrition business?

Deepak Jain In terms of volume, we hope that human and cosmetic grade will get to at least 35%-40% and in terms of value it will be much higher than that because these are high value products.

Siddharth Gadekar Just one last question on the CDMO contract, can you just give some color in terms of how should we think about the margin profile on the CDMO business mainly for those two contracts? And by FY27, will we see a full ramp-up in both the contracts?

Deepak Jain The two contracts we announced in the last quarter are both agro contracts. The CDMO margins for good products and also for us as I think I have repeatedly said on several calls every quarter, our threshold is to get at least (20%) EBITDA and (+20%) ROCE. Both those contracts will give us returns in line with those internal benchmarks and of course we continue to work on the cost structure to see if we can get anything better. But those are more stable long-term contracts, and we are hoping that they will overall help us increase the profitability of the business.

Siddharth Gadekar And just lastly on the semiconductor side, have you seen any more traction in terms of like, are we close to make any announcements, or it is still some time away?

Deepak Jain Semiconductor, as I mentioned it's a journey we have taken only about 10 months back. We have gotten good traction, we have almost 8 to 10 different products and RFPs which we have been discussing with customers. On a few of them we have sent samples. We are hoping to get our first commercial order in FY26 but as I said in the past because semiconductor chemicals are new to India and of course to us as well. Customers will be slightly cautious in the beginning and will give only small volumes. And we expect that starting FY26, we will have a separate P&L for that business with commercial orders coming in and gradually we can ramp it up. But we're looking at semiconductor as more of at least 3-year journey in which we scale it up, rather than getting any big bang opportunities in the near future.

Moderator Thank you. Next question is from the land of Gaurav from Invesco. Please go ahead.

Gaurav We have seen consistent improvement in the numbers, EBITDA margin and all those things. So, if you can help us understand that in the last one year since we have announced this Pinnacle 345 journey, the CAPEX that we have done, the agro plant in January 2024, diketene derivative plant I think in March 2024, what would be the kind of utilization of those plants in these numbers, installed capacity versus capacity utilization and any clarity on that please?

av. So, not just the couple of plants you talked about, if you just go back 18 or 24 months now, I think there are at least 5 or 6 plants which we have commissioned. For most of them, we have raised at least 50% utilization level. The agrochemical plant of course as I mentioned I think on the last call also we started production but then we got this big contract. So, we are repurposing that plant and doing the modifications in that to be ready to serve that big contract by end of this calendar year or end of this next fiscal year latest. But outside of that all the other plants we put up are running at least 50% utilization level.

Gaurav Building on this question only, just for an understanding purpose also, considering long-term investment in the Company, when we put up money in a CAPEX, what do we expect in terms of the asset turnover ratio? Like for example, I think in the last 2-3 years we have invested substantial amount in the CAPEX. So, what would be the asset turnover ratio? Like for example, Rs. 1500 crore invested then it can give us a revenue of maybe whatever X number that you envisage as a turnover ratio? Thank you very much. That's the last question.

Deepak Jain In steady state, we expect specialty turnover to be at least 1.3x to 1.5x. And for our Acetyl business, in the range of 1.8x to 2x. Having said that, and then most of the planning, as well as deployment of this CAPEX has been done keeping those kind of asset turnover in mind. Having said that in the last 18 months to 24 months as I think at least in 18 months and most of you know that there has been reduction in prices across most segments. So, obviously what it has done is at least these ratios have come down slightly in that context and how we are offsetting that part is by improving our cost structure, which is what I just announced in both Lean 1 and Lean 2.0 and obviously in certain segments as I mentioned we can already see pricing coming back. So, the combination of these two things will hopefully take us back to the original ratios on which the whole planning was done.

Gaurav One request maybe if you can take it up and if you allow, that in the numbers that we report in the presentation specifically, we don't mention the capacity in terms of installed volume, vis-à-vis the utilization. Is there any specific reason that we do not disclose, but we disclose the segment-wise revenue for sure, right? But not the installed capacity or against that, the capacity utilization? Any specific reason of not reporting that?

Varun Gupta Yes. Varun here. See, these are sensitive information which is privy and material from the organization point of view. Detailing the capacity and the utilization is something very confidential and we will continue not to publish it.

Deepak Jain And just to add to Varun, the second thing is see you have to appreciate that many of our plants are multi-purpose plants. So, depending on which product we are

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producing at what point in time the capacity is quite fungible as well as dynamic.

So, for both these reasons, I think it's very difficult for us to disclose that information.

Moderator Thank you. Next question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal Couple of questions, one on your specialty, chemicals business. What drove the growth, I mean, which segment, which business segment drove the growth for Q3 of FY25?

Deepak Jain Yes, so Sarang as I was saying in the beginning in response to the first question also, our Specialty Chemical business is a combination of three things, pyridine and its derivatives, diketene and its derivatives and CDMO business. So, luckily for us right now all three are doing very well and all three are growing, both in terms of volumes and in some pockets, we have seen the price increase as well. So, there is no particular factor but it is a combination of all those forces which led

to the growth.

Tarang Agrawal Let me rephrase, I mean how much was pharmaceuticals as a percentage of your spec. chem. revenue in Q3 of FY24 and how much is it in Q3 of FY25?

Deepak Jain I won't give you the specific percentage but your question is still pertinent. Pharma as even Mr. Bhartia said in the beginning, pharma segment is doing well and has been growing for us as well. Now at an overall portfolio level pharma is roughly 30 to 35% of our business and same will translate into Specialty Chemicals as well. But what is happening is because across our portfolio be it pyridine derivatives or diketene derivatives and even CDMO products, we have been focusing on pharma over the last couple of years. Gradually the level of penetration and share are both increasing and that is one of the key drivers. Having said that we also have other

sectors which we serve through our Specialty Chemical division the agrochemical, of course where we have signed and announced these two big contracts, cosmetics and industrials as well. So, the traction is across the board. Of course, in the last 18 months because pharma has been doing well the overall share of pharma should have increased in specialty.

Tarang Agrawal And one on bookkeeping. So, if I look at your segmental operating profitability, the EBITDA number that you publish in your press release, there's almost a Rs. 25 crore to Rs. 30 crore difference on a quarterly basis, versus the operating EBITDA that gets published on the P&L. My sense is these are common costs. So, from our modeling perspective, is it fair to presume, is it fair for us to consider a Rs. 32 crore-Rs. 35 crore number on a quarterly basis? And what would be the nature of these costs?

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Varun Gupta I am Varun here, Tarang. The number is in the range of Rs. 20 Cr. per quarter, which is unallocable to any specific. And these are the corporate resources which serve across all the three division of our segments.

Deepak Jain So, Tarang, I think somebody had asked that question last quarter also, you can expect it to be around Rs. 20 crore plus minus, and we are, of course, controlling it very tightly. For your modeling perspective, I'll leave it to you how you want to allocate, but revenue share will be probably the right methodology, because that's how at least we split our time across the businesses.

Tarang Agrawal And last, in your Chemical Intermediates business, I think the commentary on volumes has been strong across acetic anhydride, ethyl acetate, and acetaldehyde. I mean, this business, I think, was at a Rs. 50 crore quarterly operational profit number. And obviously, there are headwinds in the end markets. But just to get a context, how is the pricing environment in this business at the end of your products? And would Rs. 50 crore to Rs. 60 crore be a good baseline number of profitability to work with on a quarterly basis?

Deepak Jain These are relatively commodity products. Acetic anhydride, ethyl acetate, acetaldehyde, these are the three big products that we do in that segment. We have a couple of more products like propionic anhydride and others. These are volume products, so that's why the focus as well as commentary so much on the volumes, Tarang. The pricing in these segments is a combination of several factors right, one is obviously the input raw material so for acetic anhydride as an example what price acetic acid is trading at that plays a critical role but also the demand and supply dynamic in the end segments plays a very big role. For instance, as I said in the beginning, acetic anhydride right now, the pharmaceutical segment is going through tough times, the demand is 25% less and suddenly there is over supply of acetic anhydride and hence it puts pressure on the pricing. So, it's from both sides, from raw material direction perspective as well as from the end user or end application segment perspective. Right now, the price

s are very low, of course, and

they are putting pressure on our contribution margin as well. That's the reality and as I said in my opening remarks as well we hope in the next couple of quarters gradually as demand comes back we will see an uplift in both volumes and contribution margin. Now to your second question on what the baseline EBITDA should be in this business what I can tell you is we look at this business from a multi-year perspective and if I look at the last ten years, we have made good margins in this portfolio which have averaged at around 10% plus minus. And then I don't see that changing going forward as well. And that will come with a combination of demand coming back as well as we continue to improve our cost structure.

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Tarang Agrawal Sure, just last, the current spreads would be what? 30%-40% away from what the normalized spreads in this business are generally?

Deepak Jain Current EBITDA margin you are talking?

Tarang Agrawal Spreads, contribution.

Deepak Jain Sorry I can't give that number but if I wish I were making 30%-40% contribution margin in this business, numbers would have been much higher at an overall level.

Moderator Thank you very much. The next question is from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj First question is on the food grade niacinamide. Given that we have recently commissioned plants for food as well as cosmetic grade, from a human consumption perspective, do we need any USFDA approvals? And just a little bit on the market for human grade niacinamide in terms of the opportunity size, whether it's a domestic or international market and who will be the current competitors in the global market and how do we foresee to expand this particular portfolio maybe

over the next 3 to 5 years? Thank you. A lot of questions inside but if you go ahead....

Deepak Jain So, let me just try to address them one-by-one. So, first of all to your question on USFDA, I think you might remember we got USFDA approval on our niacinamide plant last year and the new facility is an extension of the existing facility. So, technically speaking the plant is already USFDA approved. Having said that of course as we start production and send the product to different markets, we do expect at some point in time there will be another round of USFDA. I am hoping it will be at least a couple of years away but the plant has been created and constructed with all the practices that we demonstrated last year when we got zero, '483' in our existing plant as well. So, we are not worried about it, even if it happens it's just a milestone and we will get done with it. Number two, in terms of the demand, it's a global product so the market is also global. There are customers in India as well for their India business as well as their international business. So, we hope to serve both domestic markets and international markets. In fact, there will be more, there should be more volumes internationally than in domestic market, but there are customers in India as well who will be using the product to produce their end product and send them outside of India as well. Third, in terms of what kind of demand we can expect, this plant is about 4500 tons-5,000 tons between cosmetic grade and food grade, and has the fungibility to produce both kinds of products depending on what demand we are seeing at any given point. We will keep the plant production planning dynamic but the expectation is and given the strong traction we are getting from the customers and as I said in the beginning, we are

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already selling some of these products from our existing plants also. So, we already have access to the customers, and we are talking to some of the big customers. Our hope is that we will fill up the capacity of this plant in the next 12 months to 18 months once it has stabilized. I hope I have answered all the questions you asked.

Rohit Nagraj Yes, sir. And just one last clarification in terms of competition, are there any global players who are currently serving this market?

Deepak Jain Yes, so I think there are global players in B3 segments. It's the same set of competitors we compete against for feed as well. But we have taken share, right? In feed grade, we are number two globally. And our aspiration is with now this food and cosmetic grade coming in, there also we become a leading player globally and improve our market share.

Rohit Nagraj That's very helpful. The second question is on the CDMO contract, which we have signed, the \$300 million, you gave a lot of information during the last call. Just from last call to now, in terms of the project milestones and may be towards the end of commercialization, by the end of FY25, what could be the milestones that we are looking at? So, have we done the product in the R&D pilot stage, and we are just waiting for the plan to get ready and approved? And just one consequent question to that, in terms of the \$300 million of total opportunity size, will it be linearly spread over a five-year period or probably it will be relatively lower in the first couple of years and then rest of the year it will be linear?

Deepak Jain Rohit, I had talked about both these last quarter. First the correction, it's not end of FY25, it is end of FY26 commissioning. We expect to commission it by December or January timeframe. Now coming to your question on how we are doing on the milestones, so I am happy to tell and it's there in my opening remarks as well. The plant is on track. We are tracking it very tightly given the quantum of this contract and the importance of it both for our customer and for ourselves. On a weekly basis it's absolutely on track. There is no deviation, and we are meeting all the milestones which we had defined till month four of this project since the start of signing.

Number two, in terms of the revenue trajectory, it's a contract in which from month one we are expected to hit certain rate but within first few months itself we are expected to get to the steady state revenue trajectory. So, it's not a linear trajectory except for the first few months which we will need to stabilize the plant as well as capacity, it should start firing at the expected annualized run rate within the first year.

Moderator Thank you. Next question is from the line of Prateek Poddar from Bandhan. Please go ahead.

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Prateek Poddar Just one small question. Could you call out the cost savings from 2.0, the Lean 2.0? I think Lean 2.1 was around Rs. 120 crore if I am not wrong. Could you call out what kind of savings can we expect?

Varun Gupta Varun here. So, yes, Lean 2.0 will be of course more than Lean 1.0 savings where we have say more than Rs. 100 Cr. in the first round. The second round will be at

least double digit higher than the first one.

Prateek Poddar When you say double digit you mean growth on that Rs. 120 Cr. or whatever Rs. 100 Cr.?

Varun Gupta Percentage. Yes, correct.

Prateek Poddar And do you wish to retain this or in terms of, or let's say pass on for more business or reinvest for more opportunities? How should I think about it?

Deepak Jain What do you think, Prateek? What do you think is the answer to the question?

Prateek Poddar I think you should reinvest in the business and grow the business more.

Deepak Jain Absolutely right. You answered it. I guess you will see more of it in 28th when you will come and visit. So, all these questions will be answered visibly and on the 28th Feb in our Investor & Analyst Day. So, I'll humbly request you guys to hold this till the next three weeks finger crossed and we should be able to answer it much more depth on that day.

Prateek Poddar And if I may please in one small question, I think this question was asked, it was basically the spreads on the intermediary business. How far are they t

oday from the

mean? And I am just trying to get a sense of profitability, right? Because look, you called out that Q4 is better than Q3 in the initial remarks as well as in the press release. And in the same breath, you also said that you're not seeing any improvement in the chemical intermediary business, which means that we see further strengthening in the other two businesses. So, I am just trying to understand from a, let's say next 3-4 quarters perspective, when do we see normalization of this business coming back, given that you have a multi-decadal view?

Deepak Jain Prateek, I don't know where you picked up that Q4 is better. I think in my view, Q4 is very similar to Q3. I am talking about Chemical Intermediates business only, Right? So, Chemical Intermediates, I would say will take at least a couple of quarters for paracetamol problems to get behind us, as well as some of the cost initiatives we are working on, and hopefully some growth coming back in Europe. For the rest of the business, yes of course we continue to improve as you can see the last four

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quarters trajectory, our cost initiatives now Lean 2.0 that you asked all of that incrementally should keep adding to the overall portfolio performance.

Prateek Poddar And in that case, is there a, I mean, maybe this is a question for February 28th and I'll ask it at that point of time. Thanks Deepak, all the best.

Moderator Thank you. Next question is from the line of Gokul Maheshwari from Awriga Capital Advisors. Please go ahead.

Gokul Maheshwari So, you've mentioned about cost measurements which you've taken in the chemical intermediaries business. So, can you sort of explain whether you are now cost-comparative versus your peers within India or also in terms in the region. Are you the lowest cost producer for this product?

Deepak Jain See Gokul and I don't know whether you cover the commodity products or not more broadly. You see there is nothing called best in class in commodity chemicals because it's a dynamic thing. Like the way we are working on our cost structure continuously, I am sure our competitors are doing the same. Having said that we of course have a very competitive cost structure that's the reason why we have been able to build almost 70% to 80% market share in Indian market and almost 15 to 20 percent market share in Europe despite the fact particularly if I take Europe as an example we import some of the raw materials, process them and send back into Europe. So, logistics in a commodity business can play a huge role in normal times despite doing all of that in the supply chain, we have been able to compete and gain market share in Europe. So, yes, the short answer is we are one of the lowest cost producers whether we have the lowest cost or not that depends on what point of time you are talking about. In acetic anhydride definitely there are bunch of initiatives we are doing across the conversion cost. In fact, the Lighthouse Award we got from WEF, the acetic anhydride plant was one of the plants which was covered in that assessment and some of the digital usage, automation, supply chain optimization and a bunch of other things that we are doing has held us in keeping the cost structure low. We are replicating the same across all of our products including the ones which are there in Acetyl business or Chemical Intermediates business.

Gokul Maheshwari On your power cost for the nine months, that power and fuel cost has come down from Rs. 404 crore to Rs. 359. Is this, what is the reason for this drop in power cost?

Deepak Jain Yes, of course, there has been a bunch of initiatives. Our operations team has been driving on the power cost and what I can assure you and with the announcements we have already done of moving to renewal that will only come down further from here and that's part of Lean 2.0.

Gokul Maheshwari Just lastly a data point, what was the expected

CAPEX plan for FY25 and '26?

Deepak Jain FY25 we have already announced in the beginning and that's a continuation of the original Rs. 2,000 crore that we had announced almost 3-years back now. So, we are on track and by end of FY25 we will be more or less at par with the Rs. 2,000 crore number we had envisaged couple of months here and there. For FY26 we are going through the planning process and the budgeting process which we will have clarity on by March end. So, at that time we can tell but as I have said at the time of announcing our Pinnacle 345 strategy also, we do have intention to invest further in the plants as well as other areas of our business, given the growth aspirations we have. So, we will more or less continue with the similar kind of run rate CAPEX year-on-year as we have done in the last three years, ideally. But the exact numbers will work out and come back.

Moderator Thank you very much. Next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: I have two questions. The first one is on Pyridine and its derivatives. Last year, we saw like globally Jubilant being the only one, except Chinese player producing Pyridine and its derivatives. Is the status the same currently and because of the same, initially I think there was an assumption that some of the customers might have built a higher inventory because they were aware that some of the capacities were going out of production and all. But are you seeing any advantage of that coming in?

Deepak Jain Resham, good question and the short answer is yes. The inventory was built only for the first six months. The Aurorium plant closed down in September in the US, the US one I am talking about in September of 2023. We started seeing traction on Vertellus or Aurorium volumes in FY25 itself. I think I have said that in the previous quarters and we maintain that, we were hoping to get almost (+70%) of the incremental volumes which Vertellus was serving from that plant and we have achieved that objective. And that is reflected in the volume increase in our trading business as well. So, now we are hoping even the second plant will close down which we are hearing will happen in 2025. Once that happens we hope to get more, but there is some uncertainty associated with that right now on the timeline.

Resham Jain: And the second one is on the Diketene front. I think you did remarkably well. I think you have 5000 ton capacity right now in terms of its derivatives. Given that you must be utilizing fully and the margins are also relatively much better, are you planning to further expand capacity of Diketene and its derivatives?

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Deepak Jain Yes, the answer to this question is also yes, Resham. We have expanded the diketene in two phases so far. The phase one products were done almost two years back, phase two was launched last year. I think for both phases we are running the plants at a reasonably high capacity. Of course, there is some variation quarter-on-quarter based on when the products are used in their end applications. But by and large speaking it's tracking in the right direction. And with some of the commitments we have gotten for our phase two products in recent months, we are in fact thinking about de-bottlenecking those plants and already increasing the capacity that's one. And second as I have said in the past, there's a phase three also planned for diketene products for which our team is working on the CAPEX proposal which we hope to get approved in coming months and start the construction of those plants.

Moderator Thank you. Next question is from the land of Nitesh Dhoot from Dolat Capital. Please go ahead.

Nitesh Dhoot As you elaborated that in case of Specialty Chemicals in Q3, there was a product mix improvement in favor of derivatives plus there was a price improvement and also an increase in the diketene derivatives revenue. So, all put toge

ther there was

an increase in revenue by around Rs. 35 crore. So, by any chance is there a sequential decline in the volume of the pyridine building block? And if yes, what would be the reason behind this?

Deepak Jain You mean previous quarter or future quarters you're talking about, Nitesh?

Nitesh Dhoot No, I am just comparing Q3 with Q2. So, there is a sequential Rs. 35 crore increase in revenue and the reasons that you elaborated, increase in revenue from the derivatives and from diketene and some bit of price improvement. So, I am just wondering if there was a decline sequentially in the volume of the building block pyridine?

Deepak Jain We have almost, you mean the base pyridine you are talking about is it, Nitish?
Nitesh Dhoot Yes.

Deepak Jain The pyridine volumes we are running over plants almost at full capacity, so there could be marginal ups and downs because of let's say dispatch issues or production issues but directionally I am telling you like we are in fact we took a CAPEX to debottleneck pyridine capacity because we want more pyridine because of the reasons that the Resham asked. We are getting traction we are the only non-Chinese scale players left in the world. So, all the incremental pyridine and beta demand or picolines demand is coming to us. So, we are running our plant at full

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capacity there could be marginal ups and downs but there is no secular decline so to say in the demand or volumes of our building blocks in pyridine and beta value chain.

Nitesh Dhoot And sir just one more question. So, now that we've reached high utilizations in diketene, how much is it contributing to total revenue? I mean, say Rs. 470 crore of total Spec-Chem revenue in Q3, what would be the contribution of diketene derivatives there? And secondly, what are the margins that we're making there? I mean, you're not able to give the exact numbers that I am sure, but whether it's higher or lower than the Q3 overall Spec-Chem margins.

Deepak Jain The diketene is still a growing portfolio in our business. So, you rightly said it, we don't disclose the specific numbers, but it is a meaningful part of our Specialty Chemical overall business. Of course, you have to keep in mind that we have been doing pyridine and its derivative for 30 years, so that takes lion share today and diketene started only two years back, so it will require at least a few years to have something which is reasonably big, but it is moving in the right direction and as I said at least the plants we have created are running at reasonably high capacity. In terms of margin profile, I think the answer is similar. It's tracking in the right direction and it's like if the overall margin is 26% for that segment then diketene cannot be very low. So, you have to look at it from that perspective but overall we are tracking well and in steady state which we hope to achieve very soon in diketene. It should have the margins which is the specialty segment should have which is at least 20% plus.

Nitesh Dhoot Just one last, if I may. I think I missed this point on the new niacinamide capacity. So, how do we see the ramp up happening over there in the context that, I mean, how would be the product approval cycles given that it's a food grade, I think. So much time do we see or how much time would we need to ramp this capacity up to full utilizations?

Deepak Jain See, the plant has just commissioned last week. and we are hoping within next few months or couple of months it will stabilize and will start from a production perspective will take care of all the teething issues. From a demand perspective as I said we are already in touch with most of our customers; the approval process was started almost six months back, because we were doing some of these products already so none of that will come in the way of selling the product. Obviously still it takes some time to fill up the capacity and that's what I sa

id earlier on. We expect

to fill up the capacity in 12 months to 18 months.

Moderator Thank you. I now hand the conference over to Mr. Pavleen Taneja for closing comments.

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Pavleen Taneja We thank you all for joining this call today. We hope we have been able to answer your queries. For further clarification, I would request you to get in touch with me separately. Thank you once again for your interest in Jubilant Ingrevia Limited. Have a good day. Thank you.

Deepak Jain Thank you, everyone.

Varun Gupta Thanks, everyone.

Moderator Thank you very much. On behalf of Jubilant Ingrevia Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc.

The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Mar 2025

March 6, 2025
BSE Limited
Floor 25, P.J. Tower
Dalal Street, Fort
Mumbai - 400 001

Scrip Code: 543271 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex,
Bandra (E)
Mumbai - 400 051
Trading Symbol: JUBLINGREA

Sub.: Transcript of Investors / Analysts Meet

Dear Sirs,

In continuation to our earlier communications dated January 28, 2025 & February 28, 2025, please find attached the transcript of the Investors and Analysts Meet held on Friday, February 28, 2025. The same has also been uploaded on the Company's website and the link to access the transcript is:

<https://www.jubilantingrevia.com/investors/investor-meets>

Kindly take the above information on records.

Thanking you,

Yours faithfully,

For Jubilant Ingrevia Limited

Deepanjali Gulati Company Secretary

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List of Management Attendees

- 1.Mr. Hari S Bhartia, Co-Chairman
- 2.Mr. Deepak Jain, CEO and Managing Director
- 3.Mr. Varun Gupta, CFO – Jubilant Ingrevia Limited
- 4.Mr. Vijay Kumar Srivastava, Head of Operations and Whole-Time Director
- 5.Mr. Arvind Chokhany, Group CFO, Jubilant Bhartia Group
- 6.Mr. Ambrish Dixit, Head of Speciality Chemicals Business
- 7.Mr. Ashish Sinha, Head of Animal Nutrition and Health Solutions Business
- 8.Mr. Himanshu Dhapola, Head of Chemical Intermediates Business
- 9.Mr. Pavleen Taneja, Head – Investor Relations
- 10.Mr Parthasarathy Basu, Head Strategy

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Jubilant Ingrevia Limited
Investor & Analyst Meet Transcript
February 28, 2025

Pavleen Taneja: Good day everyone, I am Pavleen Taneja, heading investor relations at Jubilant Ingrevia Limited. Today, I warmly welcome you all to the Investor and Analyst Meet 2025.

Before we begin today, I'd like to brief you on the safety and security arrangements here. Please take a moment to familiarize yourself with the venue and the nearest exits, which are located on your left and on your right,

in case you have any emergency, these exits will serve you as a safe evacuation point. Additionally, we have assembly areas outside for emergencies, if you or anyone around you requires medical attention, please contact the nearest event staff and they'll promptly coordinate medical assistance. Secondly, I would request you all to please keep your mobile phones on silent mode.

Moving forward, please note that today's discussion will include forward looking statements which could be considered in relation to the risk associated with our businesses. We have three main objectives for today, the first is to give you a deeper understanding of all of our business units, the second is to share with you our vision and outlook for the next 5 years concerning the 'Pinnacle 345' strategy and third and most important one is to offer you an opportunity for you to meet and interact with our business leadership team who is present over here.

With that, I'd like to introduce our management team. Today, we have with us Mr. Hari S Bhartia, Co-Chairman of our company, Mr. Deepak Jain, Chief Executive Officer and Managing Director, Mr. Varun Gupta, Chief Financial Officer, Mr. Vijay Kumar Srivastava, Head of Operations and Whole-Time Director, Mr. Arvind Chokhany, Group CFO, Jubilant-Bhartia Group, Mr. Ambrish Dixit, Head of Speciality Chemicals Business and rest of the Management team. The agenda for today is as follows, first, Mr. Hari S Bhartia will provide an overview about the Jubilant Bhartia group and our company. Following that, Mr Deepak Jain, along with the Management team will introduce the company and share our vision for 'Pinnacle 345'. Towards the end, we have an interactive Q&A session to address your queries. To register your queries, I would like to request you to please scan the bar code placed on your table and we will address the maximum possible questions in the last 30 minutes.

Following the Q&A session, please join

us for cocktails and dinner for an engaging networking session. At this point, we would like to present a brief video showcasing Jubilant-Bhartia Group and the company.

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Without further delay, I would like to invite Mr. Hari S Bhartia to share the group and company overview. May we have you on the stage Sir.

Hari Bhartia: Good evening to all of you. I know all of you have many things to do, and I can fully understand that. We really appreciate that you have come here this evening to spend time with us and listen to the story of Jubilant Ingrevia.

I must tell you my story of my connection with this company. It was 1979, I just passed out as a chemical engineer from IIT Delhi. By the way, our CEO is also from IIT Delhi. So, and, my brother at that time was trying to set up a new company, which was known as VAM Organic at that time. He was just starting the business plan, that was the licence raj, and we got the approval to build the end product, assumed was Vinyl Acetate Monomer and with all the intermediates like acetic anhydride, acetaldehyde, acetic acid, ethanol, starting from molasses. So, it was a unique concept in late 70's put together. Technology was brought in from different places to really create the first total bio-Vinyl Acetate Monomer. Every product, the starting raw material was molasses, it was quite unique from that point of view. Today, the value of bio-products is much more than what it used to be in 70's. At that time, the feed stock was cheapest for us to make these products. So, when I joined, my first job was to go and buy, we had an almost, in Gajraula we have almost 460 acres. So, my first job was to go and buy land from farmers. So, I used to be sitting in Hasanpur tehsil and negotiating with farmers to buy, so we bought 100 acres at that time and then we expanded it to almost 5 times. So, I am deeply attached to what Jubilant Ingrevia is today because I have seen my own career growth and the growth of Jubilant Ingrevia and really, this was the starting point for us to build the pharmaceutical company which is now

known as Pharmova and even Jubilant industries was part of one large VAM Organic Chemicals which became LifeSciences. I think it was 2021, we decided that we will kind of, break LifeSciences into 2 divisions, because the idea was to really transform what we were trying to do in Chemicals.

And that's where the journey of transformation started to really bring more focus in the group to what we are doing in chemicals. We also changed management in terms of leadership, Deepak joined, we have new leaders like Varun, many of our team members joined when this transformation started to move it from chemical intermediates company to more of building a specialty portfolio. And in the Specialty Chemicals also, our effort is to even look at higher end products. Our products go into cosmetics, which is applied on skin for nutrition and different other applications. It goes into hair care, personal care products.

So, you can imagine that for us it is a major transformation now focusing the company more and more towards Specialty. And if you want to be a Specialty company, and I believe 60% profits comes from Specialty portfolio, you have to be very customer centric. And I think in the last few years, that's been a major change, not to be inward looking, because if you are an intermediates company or a commodity based company, then the customer centricity is not taken that seriously. But I think in Specialty, we need to work very closely with our customers. Sometimes, they come with the problems to us and we need to solve them. If you want to be a CDMO, you want to do Contract Development and Manufacturing, then it requires strong partnership and also

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strong trust, because they are handing over some of their most important molecules to manufacture.

So, I must tell you, there has been a C change in the way we partner with our chemicals and I'm sure Deepak will share a lot in his presentation on the transformation that has happened in the different parts of our Specialty business.

And of course, with specialty, we were always strong in some of the chemistry platforms but I think we are adding more capacity in research. We added research in Greater Noida, we already have pilot facilities and research facilities at our manufacturing locations. And the other part was, if you look at our infrastructure, the 4 main facilities, which total amounts to almost 1,000 acres, Gajraula is 460 acres, Bharuch is 310 and a lot of them are still, the infrastructure we have built has a lot more capacity to be added there. It has the potential to almost double if you look at the kind of infrastructure that has been built, and with that infrastructure we have recently worked on, I'm told, almost 200 digital interventions and Jubilant Ingrevia won the prestigious World Economic Forum – Lighthouse Network Award, being the only chemical company globally in the 2024 cohort. This is a solid achievement, using data and analytics for improving productivity is really outstanding and not only our Bharuch facility we are now working across all our facilities to improve productivity.

You know, if you are a chemical manufacturer and if you are not safety-first, you are not sustainable. Outstanding job has been done by our team across all facilities. Deepak can share the outcome of that but I am so pleased that we are acting for environment, people and safety, all across is one of the highest level that I have seen in the last many years. Sustainability remains at the core of our operations; we were ranked the top 5% of global chemical companies with ECOVARDIS gold rating and among the 2 top Indian chemical companies in the ESG score. Also, under the Dow Jones Sustainability Index of Corporate Sustainability Assessment of 2023, we achieved a ranking of 93%ile. This really requires a lot of work and also it builds trust with our customers, they see that we are a long-term sustainable operation.

As Deepak has shared before, his 'Pinnacle345' journey, which aims for 3 times revenue growth and 4 times EBITDA growth in the next 5 years. At the end, I must tell you, that personally at the board level, we are superbly excited

about the transformation that is going on and some of the stories you will hear now, in the presentations later on.

Thank you again for coming tonight and listening to our story, and I look forward to interacting with you tonight. Thank you.

Deepak Jain: Good afternoon, everyone. Thank you very much for coming over and welcome once again for Investor Day. It's a privilege to have all of you in the room and share our story, not just from last 1 and a half years but also talking about what we are aspiring to do in the coming years and how, step-by-step, we are building out that story.

Before I introduce the agenda, I just wanted to quickly introduce myself because I met many of you individually and in smaller groups but just very quickly in 2 lines. I joined Jubilant Ingrevia as CEO and MD about 1 and a half years back and before that I was with Bain and Company, Senior Partner, Page 5 of 36

leading the Chemicals and Industrial practice of Bain in Asia-Pacific and had the privilege of working with several of the chemical companies and leaders in India and in the region with, and of course with Jubilant Ingrevia and when I took over this role 1.5 years back and met Mr Bhartia first time, his first few words for me were that Deepak this is a true transformation, as he just explained here and the number one thing I want you to work on is customer centricity to the organisation. So, I am very happy with whatever Mr Bhartia said and the hard work that all of us has done, we can already see moving in the right direction. We will talk about how it is impacting our business and what we expect to get out of it over the coming years but we have started to take the first step towards it and I'm quite confident that in the coming years you will see many ac

hievements and accolades coming on the back of all the hard work our team is doing.

What we are going to do today is, we are going to talk about, I'll take the first 20 minutes or so to talk about our company, to talk about the Pinnacle 345 and what we aspire to do but also share the progress from the last 3 or 4 quarters in which we have started to take the baby steps towards the Pinnacle 345 journey and the outcomes of those baby steps have given us the confidence that we are taking the right journey, we of course have a lot of work to do in coming years, which the whole team is committed. The leadership team sitting in this room, whom you will interact with today is fully committed behind that vision, so we are going to talk about that. Some of the leaders from the leadership team will come and present specific BUs plans as well as progress on 345. We will also talk about our operations - how we are transforming them, the safety aspect, the sustainability aspect and many more things we are doing in the company to ensure that the right enablers and foundations which are needed to deliver on this Pinnacle 345 aspirations are in place in a very foundational and robust manner.

Varun will touch over the financial plan and discipline while a lot of focus is on putting in the right inputs and hard work into the business, of course, the outputs matter and one of the things that is needed is to have the right financial ecosystem, the team, the tools to ensure that we measure what we are doing with the right metrics and at the right time and take the course correction as and when it is needed. Varun will talk about all of that, and I will round up by sharing the overall investment thesis.

Before I get into the details, perhaps we will play one more video on Jubilant Ingrevia for a couple of minutes and then we can just dig in into the details. Gaurav, can we have the video please. Thank you.

So, let's jump in. I think Mr. Bhartia already covered the story of how was Ingrevia created, and how in 2021, we came out of, we were together in Pharmova, known as Jubilant Lifesciences until late 2020, early 2021, and that's when the split happened between Ingrevia and Pharmova. Ingrevia literally means 'Ingredients for Life'. It is a combination of 2 words and we are

truly and fundamentally an ingredients company which supply different kinds of ingredients into Lifesciences sectors such as Pharma, Agrochemicals, Cosmetics, now, even Semiconductors and many others, and we'll talk about that more. And the fundamental objectives behind this split was number one, to unlock shareholder value and we have seen the magic of that happening over the last 4 years when both the companies have done extremely well and have grown more value for their respective shareholders.

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We created separate companies. We were very clear that Pharmova had more business on the pharma and healthcare side while Ingrevia was focused on intermediates, which was fuelling different sectors as I said. So, it was critical to bring lot more focus, lot more investments in those businesses and that's exactly what has been happening over the last 4 years or so when we invested in the business of some Rs. 2,000crs, created new R&D centres and hired and grew the team over the last few years. And of course, as I think most of you know, chemical sector has provided so many new opportunities, especially in the last 4 or 5 years since the macro-economic sectors turned in favour of India with China plus one and the trade wars playing out and just capitalizing on those opportunities was very critical and hence it was required to have a very different kind of focus on those opportunities which is what Ingrevia has been doing over the last 4 or 5 years.

The whole story, I think you saw glimpses of it in the video as well, can be divided into 4 major chapters. Of course, we got created as VAM Organics in

1978 and that's when we focused on VAM chemistry, the acetic anhydride and the whole acetyls portfolio. In the second chapter which played out over the next 2 decades, we added Pyridines and we are very proud of the Pyridines chemistry and we are globally number one and we will talk about in our Specialty portfolio, how it is helping us identify and capitalize on the new opportunities, but in the next 2 decades, we expanded our acetyls portfolio but also added Pyridine as our core chemistry.

Starting 2011, we started moving forward into the Pyridine value chain particularly and added almost 3 dozen Pyridine derivatives and we are number 1 in almost, actually 35 out of 50 odd Pyridine derivatives that we do today. We also forward integrated in Picoline value chain to add Vitamin B3, so chapter 3 was more into forward integrating Pyridine and Picoline value chains and what we call now, which, probably, in my view, the most exciting chapter of Ingrevia's history is the transformation into the specialty leader, which is what Mr. Bhartia alluded to in the beginning. We are doing several changes, the whole journey started after the split in 2021 but in last couple of years we have given a new momentum and acceleration to that journey in multiple ways. Of course, we continue to focus on our core businesses of acetyl and Pyridine, particularly Pyridine, adding more and more products in the forward part of the value chain. We have added Diketene as a new platform and we already have around half a dozen products in our portfolio, and we are hoping to add another half a dozen in the next 12 months.

We have gotten our CDMO business off the ground over the last 4 years and you will see later on in the presentation, that is going to be the biggest driver of our growth and profitability in the coming years. We have already announced some big contracts in the last 2 quarters and there's many more achievements and announcements to come in the next few quarters. Our specialty business in the nutrition side beyond Vitamin B3 has started to pick up pace and will drive the future growth. So, this is just the start of the transformation we were talking about in getting big in scale in Specialty which I will talk about in subsequent slides with the rest of the team.

How we look at the business today, there are 3 parts which is what we share with all of you every quarter. We have the Specialty business, which is the biggest part of our business, about 42% of our portfolio. We are globally

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number 1 in bio-pyridine, in beta-picoline and many other derivatives of pyridine, almost 3 dozen of them, as I said. Within Specialty, we have 3 businesses units, we have CDMO business, we have Fine Chemicals and we have Pyridine and Picoline. We will talk about each one of them in far more detail, even more in detail that we have talked about in our IR presentations over the years.

The second pillar of our business is the Nutrition business, which is where we have Vitamin B3, we are globally number 2 and we have just commissioned our cosmetics grade and food grade B3 plant and once it fills up its capacity, we are hoping that we will catch up with number 1 position very soon. We are domestic leader in choline, vitamin B4 and we are expanding that portfolio and adding more specialty products into it as well.

Chemical intermediates which is our acetyl business, we have some world leading products there, we have acetic anhydride. We are world number 1 or number 2 in merchant market capacity, depending on which year you talk about, and we are continuously expanding share in international markets, like Europe, and we have maintained our 75%+ market share in the domestic market. And likewise, in ethyl acetate, we are very skilled, we are the biggest players in ethyl acetate in the country, acetaldehyde, bio acetic acid and many more products that we have in our acetyls portfolio. And t

hat's how we

look at our portfolio today. I think the one underlining thing in our core products, whichever chemistry products that we have picked up. We have invariably made a leadership position for ourselves and that defines our aspirations on anything new that we are doing. Some of the new aspects of our business, the growth factors we will talk about in the next half an hour, you will see the starting aspirations, Diketene being the prime example, our aspiration is to be in the top 3, in not just in India, but globally and that's what all the investments are about, all the portfolio we are developing, the products which are in R&D phase, will help us get there in coming years.

This is the current profile of the business, business wise I have already talked about the specialty chemicals almost 43%, the biggest business, acetyl still remains big and is fundamental to our business, it's a core business. It gives us the threshold level of, the scale which helps all other businesses. It also seeps into other businesses, Nutrition almost 20%. By application and fairly diversified application, which helps us even in the tough times like we saw in the last 2 years. Pharma is almost one-third of our business, Nutrition is growing very fast, almost 22%. Agro varies between 20 to 25%, Agro has not been very good market wise over the last couple of years, so the relative share has come down to 20% but in stable times, it touches almost 25%. And then industrial and consumer, consumer is also picking up on the back of some if the investments that we are making in cosmetic related products and haircare and some other areas where some of our core products as well as some of the CDMO opportunities we are getting. Geographic wise, India is almost half our business but what is driving our growth going forward is the international business. I'll talk about it, our business in the US and Europe have grown substantially in the last 1 year and despite the fact that the growth has been slow in the western world, I'll show that data. But, going forward, we expect exports to be almost 70% of our business in the coming years.

Facilities, we already talked about, you saw it in the picture, so I won't repeat but there are 2,000+ people that work in our organization. We are making
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some changes in the organization, we will talk about the team as well. We are hiring the talents in areas where we need to strengthen our capabilities to deliver on the growth vision that we have painted which we will discuss in a few pages.

I think R&D is one area which, in all honesty, I think we have, historically, we have under invested and only in the last few years, with the advent of the new R&D centres, we have created, the one picture you can see on the left hand side of this page, is our newly built R&D centre in Greater Noida. It

houses almost 1,000 engineers across our group and almost 150 of them are dedicated to Ingrevia. Some of the cutting-edge work, especially in our fine chemicals, CDMO and Nutrition portfolio is happening in the R&D centre. We also have R&Ds in our big plants and we are investing, somebody was asking me outside, what is our R&D spend as the percentage of revenue, I said it's still very low. The good companies in India have caught upto 2.5% in chemicals R&D spend. At a company level, we are probably less than 1% but even if I take acetyl out, which skews it, still we are on the lower side and we expect to double it up in the coming years because that is the kind of innovation that is needed to fuel our growth aspirations.

This is the leadership team, as you can see, with the green dots on the page. Most of them are in the room today. Some of you have interacted with them at the booths, so please, find them, interact with them. You will know what their aspirations are. As a leadership team, one of the things that you will see, alm

ost 50% of the leaders from this page have taken up these roles in the last 1.5-2 years. So, we have gone through a real change in the organization as well, starting right from the top. On one side, we have several members of the team like Yuvraj, Anurag, Amit Saini, Sumit and many more, who have been in the Jubilant system for many years, to understand our core capabilities, chemistries and understand what we bring to the table and are able to explain it to the customer but also are able to deliver on the expectations of the customer at the same time. But at the same time, we have brought people from the outside, be it Ambrish, now Vishal has just joined us last week for our Nutrition portfolio. Himanshu came in a couple of years back. Vijay came from outside, Varun just joined 6 months back, Rajiv joined some 4 months back. So, wherever we felt that the organization needs a different way of working to deliver on the expectations of the customer, Specialty customer has a very different kind of expectation. We have tried to bridge those gaps. We are still going through some changes in the lower layer of the organization, we have moved to a culture where we are doing a lot of changes from the perspective of what is not going to work from future growth perspective and accordingly bringing in new teams, bringing in new members to bridge those gaps.

Of course, the quality systems and the world class accreditation are just, I would say, table stake and it's good to see some of the work and effort over the last 1.5 years, getting even externally acknowledged. I think again, Mr. Bhartia talked about it, this is one of the unique things that exists with Jubilant as a group and not just for Ingrevia. For the last, almost 20 years, we have been ESG focused. We started focusing on ESG in early 2000s. We have been part of ECOVADIS, Dow Jones and several other ratings for almost a decade and we have maintained our top 2-3 positions over the years and every year, now, we keep looking for initiatives that help us just move ahead in that journey. This year, you saw in the video, we have signed 2 new

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contracts with O2 renewable power just as an example, which will take our power composition to almost 35% renewable and we are not going to stop there, we will keep looking for more areas which can help us become more and more green in coming years.

So, that was a quick snapshot of what we are as Ingrevia, what changes we have made in recent past and how we are structured. Let me also talk about Pinnacle 345, I think the video also explained, what I call the hardware part of it, which is the number - 3x growth, 4 times EBITDA in the next 5 years. But, I think the heart of Pinnacle 345 is what I call the compass. This is the vision we have as the leadership team, as a Board, we aligned on it 1.5 years back, what do we want to become? We want to be the leader provider of innovative solutions in our core chemistry. I think the key words here, to focus on are 'innovation' and 'core chemistry'. As a company with almost 45 years of history, there's probably no chemistry which we have not worked in. So we have a lot, but we also have one of the core chemistry that you might have seen on the booths outside, almost 12-15 of them, which is where we get the bulk of our business and those chemistries and their potential is tremendous.

We have not tapped it fully. So, the idea is to continue to focus on those chemistries and to obviously come with more and more innovative solutions on the back of it.

The second thing of this is the middle part of which we call the 4 pillars. I think Mr Bhartia covered many of them in the opening remarks. Customer centricity being the very first one. The world class operations, you should visit the booth, Vijay can explain you the kind of initiatives we are taking there, including the completely revamped safety programs that we launched 1 year back a

nd it is already showing a very good progress. Innovation and technology, I already talked about in R&D. ESG I already talked about, people focused, we are already going through transformational changes culturally within the organization and that starts from the way, each one of us, from the leadership team, how we engage with our team, how quickly we respond to our customers, how quickly we respond to our internal requirements and what message we send down to the organization. So, almost on every aspect, we are working on and the hardware part I already talked about and what it means in terms of numbers is that, if you take 2024, the trailing 12 months, we are about Rs. 4,200cr in the topline, we hope to get to Rs. 12,000cr. In all honesty, we have a bottom up plan which takes us to almost Rs. 10,000cr, we have a gap of Rs. 2,000cr but still that vision. We feel that we will be able to figure out how to bridge that gap through inorganic opportunities or by finding new platforms along the way. But based on the current products, platforms, visibility we have, we feel that we are confident of delivering organically, at least Rs. 10,000cr through that bottom-up plan. The bulk of the growth, I will show on next page, will come from Specialty and Nutrition part of the portfolio which eventually means our profile will improve significantly. You have already seen over the last 4-5 quarters, it has moved by almost 1% point every quarter from 9.5% to 14% in the last quarter and a lot of it has come from new, high margin growth areas but some of it has also come from lean and cost effective areas which again we will explain down the line. But on the back of all these efforts, the portfolio shift towards high margin segments and the cost improvement efforts, we have embarked to get to Rs. 2,000cr EBITDA and ROCE, I mean, it has improved over the last 4 quarters from 9-10% to almost 12%, we have a path to take it to 17-20%, obviously we'll keep investing in the business, so sometimes the ROCE

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number gets skewed by what we call the whip capex but adjust it so that every investment we are making in the company has a business case which is banking on a 20%+ ROCE and hence, majority of the future portfolio, most of it, I mean, all of it will be 20%+ ROCE.

This will require some fundamental shifts and already a lot has been talked about, so I won't deliver the points on this page but this is the true transformation in making and we have taken the first few steps, as we said in the beginning, given our confidence that we are on the right track, we're on the right journey but the Specialty will increase, the customer centricity of course, some of you speak to our customers also and we feel very happy when we hear the feedback of the customers through some of you. Whenever I meet any of you, I think some of you know, the very first question you hear from me is what are the customers saying about us, please tell me, right, transparently. So, that's always a very good filter to look back into the mirror and see if we are doing the right things to the customers and the external stakeholders or not. Innovation technology, ESG, world class operations, digital and of course cohort systems and culture are all changing significantly and I would, somebody asked me outside - are you done with all the changes? I said that I won't be done by the time I'm running this company because change is the only constant and world is moving very fast and we need those change and we will keep making those changes. And wherever we hit the wall, we will of course bring something new to de-bottleneck that problem.

I think this is Pinnacle345 summarized in one page and apologies on the small font. I will touch up on some of the key points but my team members

will dig deeper into some of them, one-by-one, vertical by vertical. If you can just look at the few areas which you will, and hopefully h

ave started to notice

in some of our quarterly results. If I start with Specialty, I think Pyridine and Picolines are number 1. We are very proud of that. We have almost 25%+ share globally. we are the only scaled non-Chinese player left in Pyridine chemistry and we are still a big and growing chemistry. There are many new products coming up, in our portfolio as well as to supply the building blocks to many of our customers and we will maintain our leadership position, be it at scale but also at cost. And we have the cost leadership here despite the fact the Chinese companies are very competitive but one metric which I often quote is, the world has excess capacity with only 50% capacity utilized today in Pyridine. We have not planned that 80%, we are de-bottlenecking the plant this year to increase the capacity of Pyridine because we are running our plants at 80% and that just shows that despite all the competition, price drop from the Chinese competitors, we are still competitive versus them and to an extent that they run their plants at 30-40% utilization and we are running at almost 70-80% consistently. So, that will remain our focus, we have to protect our leadership position, and we will protect our leadership position and in Pyridine. The new opportunities coming in Pyridine portfolio is oil field chemicals. This is a segment which started to grow. It's a by-product of Pyridine value chain. We have built a reasonably scaled business over the last couple of years in oil field chemicals and will continue to push there and it will scale up significantly.

In Fine Chemicals, there are three parts to our Fine Chemical business. We have the Pyridine derivatives. These are all downstream derivatives of Pyridine. As I said, we do almost 50 of them and almost three dozens of them.
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We are globally number one and we will maintain that position. We are pushing hard. We are growing them. That portfolio, as Ambrish will show in a few minutes, is still growing at 15% plus every year.

Diketene derivatives, this is a platform we created two years back. It's not a new chemistry for us, by the way. It comes from Ketene chemistry, which is linking back to our acetic acid and acetic anhydride groups. We are very familiar with this chemistry. We have created the portfolio of this chemistry organically over the last few years. The traction we have gotten in the first two years is just amazing. We have created a reasonably scaled business within the last two years, which is growing at almost 50% every year. Again, Ambrish will show some of that data.

And the third part, which again Mr Bhartia alluded to, the cosmetics part, we have almost half a dozen products in our portfolio which go into skincare and haircare industry. We have very strong relations with some of the leading and marquee names of customers in the cosmetics space. We feel that it is the right time to leverage all those strengths, be it on the products side, or supply side or customer side to scale up this portfolio and this is something we have only recently decided and of course, we have a set of products existing for several years, but we are going to capitalize on them and grow their portfolio. The third part is the CDMO business which I know a lot of you are very excited about and it is the most exciting part of the portfolio for us also because of the growth we expect to get out of it. Again this has 3 parts, the Agro part of it, we have been providing several Chemical Intermediates to agrochemical innovators for almost 3 decades. Now it's time to capitalize on those strengths and covert many of those relationships into CDMO oriented relationships and that we announced 2 quarters back. One of which runs into hundreds of millions of dollars. I think you have the details of some of them. That contract we signed in October and announced to all of you. The construction is in full swing and will be r

eady hopefully by October, November
this year so that we can start getting benefit of revenues coming from that project starting Q4 of FY26.

The second one also, we have to modify one of our multipurpose plants. So that is also ongoing and that will start kicking in and giving revenues as I announced I think couple of quarters back in the investor call by middle of this calendar year. So both of those are on track and there are many more which again Ambrish will explain how we are speaking to our customers. So on Agro there are more discussions we are doing with the innovators and hopefully in coming quarters we will be having more good news to share with all of you.

On the Pharma side we have been doing Pharma CDMO for almost 5-6 years. We have a handful of customers and reasonably scaled business there. Recently last 6 months or so we accelerated and doubled down on that pipeline. I think I had mentioned that on the investor call again. Within last 6-9 months we have doubled our funnel size and there are almost 12 molecules which are confirmed by the customers. Of course Pharma pipeline moves at a relatively slow pace. So, we have to be patient and let that funnel grow up naturally as our customers volumes grow up.

Semiconductor is again we announced about a year back. We started focusing on it and within a year we have been able to build a pipeline of

almost 8-10 molecules where customers have already confirmed at least kg volumes and we have already started supplying samples to almost 3-4 of them. So we are quite, quite is a bad word, reasonably happy with the progress we have made in the first year of semiconductor. We can do a lot more and the traction we are getting from our customers will help us hopefully open up that funnel. As I mentioned in one of the investor calls, semiconductor for us is going to be a multi-year journey because the customers are still just gradually opening up to outsourcing idea unlike what has happened in Pharma or Agro over the last one decade. Semiconductor Chemicals customers will take few more years before they can start outsourcing in a big way, but we feel we are one of the early movers here and on the back of all the traction, partnership we are getting with our customers, we feel that portfolio will continue to grow in the coming 3-5-7 years.

So that's on Specialty, on the Nutrition similarly, we have 2 parts, animal nutrition and vitamin B3 is our core product. We will consolidate our leadership position there with the new plant, sorry, the new plant will be focusing more on Human Nutrition but even in the Animal Nutrition side, we will continue to gain share and some of the markets are still lesser penetrated for us like US, we are doubling down on them. B4, choline chloride - that's the core products for us and also the rider products for some of our Specialty portfolio we have created for the Indian markets and the neighbouring markets in South-East Asia. So, we are doubling down on them and we see huge growth potential in those businesses.

On the Human Nutrition side, we are relatively small today, but we are putting a lot of trust. We recently had Vishal, who is here in the room, and you should meet him in the booth outside, he comes with a very rich experience of Human Nutrition development product. So we will be doubling down on it on the back of 2 products which we already have in the portfolio, which is Vitamin B3 food grade, for which we just commissioned a new plant and choline chloride which we just announced in the market and getting good traction. So, these are the products for the Human Nutrition portfolio but on the back of it, we have plans to get in the premixes and some of the formulations which we are just starting the journey on and will hopefully grow in coming years.

Chemical intermediates, if I have to summarize the strategy, it's about sweating the assets with a lean co

st structure. So, we have huge capacity, we are running most of the capacity at 70% utilizations even in tough times like these. We believe that with the leadership positions and the cost structures we have and the global presence we have in these products, we

should be able to push more volumes in the coming years and take those utilizations up to at least 85-90% in the coming years. So, most of the incremental growth in this portfolio will come from the back of existing capacities. We don't have any plans to invest more to increase the capacity in the Chemical Intermediates portfolio which just started and obviously we are working continuously on the cost structure and we have already turned at least 10 different initiatives to optimize the cost structure of our acetic anhydride, ethyl acetate, acetaldehyde and other products portfolio and we will continue to work on that.

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So, that hopefully gives a bird's eye view, we will talk about some of them in detail in subsequent pages. Obviously, there are a bunch of enablers in the bottom which I already mentioned, I will not repeat what I said on them. How it will look in terms of the portfolio shifts is summarized on this page. If I talk in terms of the business units, today, as I said, Specialty is almost 40%, Nutrition is almost 15-18%. These two businesses will become almost 75-80% of our portfolio in the next 4 or 5 years with Specialty taking almost 60% share and largely growing on the back of all the investments we are making in CDMO and Fine Chemicals portfolio. Like I said, exports will become almost 60%, 65% of our portfolio and you can see how fast America is already growing. We expect America to become almost 20-25% of our portfolio in coming years. In terms of end application mix, the mix is not going to change significantly because these are core sectors particularly Pharma, Agro, Nutrition have been our top 3 sectors for a while.

The Agro share is increasing on the back of some of the big contracts we are signing in agro. As I said in the beginning, it's anyway even stable times almost 25% of our portfolio so it will remain 25-30%. So pharma, agro, and nutrition will thrive and consumer will become relatively bigger on the back of what I said on the cosmetics and hair care space. So that's we are doubling down on.

We believe we will deliver on this strategy because of a few reasons. Number 1, if you look at the markets we are in, the end application and this is just market data for global market growth from some of our core segments. Irrespective of short-term challenges, all those markets are growing quite well. In the global context, those of you who follow the global chemical industries, 5-6% growth is a very healthy growth, and all these segments are high growth segments. Of course, there are some short-term volatilities but take that out. The secular growth in all these sectors is very robust and strong and when you translate it into what gets outsourced to a country like India, the growth becomes almost 3-4x. So, while these sectors will grow at let's say 5% on an average over the next 5, 10, 15 years, when it gets translated to what comes to India for manufacturing will be at least 15% if not more. So that is our addressable market. The TAM or SAM, serviceable market for us, will be growing at least 15% in any of the domains or all the domains where we are present. So that was reason number one for our confidence or belief in this Pinnacle 345 strategy.

The reason number two is if you take the last one year and with all the changes we have made, the baby steps that I explained in the beginning we have taken, that has led to some meaningful outcomes for all of us which actually has been on one side heartening and second time morale booster for all of us as the leadership team that what we are doing is right and hopefully will help us build out the kind of portfolio we want to bu

ild over the

next five years. So, I will not again talk everything out of this page. You have seen it in our quarterly presentations. But be it our USFDA, that was our first USFDA for a Chemical company to go through USFDA process. If you have not done it, the simplest word would be nightmare. The kind of preparation and changes you have to do and I know Vijay, myself, and many other members of the team spent several sleepless nights to just ensure that we deliver on the expectations. It was for a food grade product. It was not pharma in all honesty. But still, it was a big test for us, and we were very

it gave a different kind of confidence to our teams that yes, we are ready for some of the challenges which are coming ahead in this journey.

WEO Lighthouse has been talked about multiple times, so I will not repeat. I think this is a constant endeavour from all of us to bring digital and new interventions. Vijay will talk about it. Almost 200 plus interventions we have made across our plant, supply chain, even front end and have started to yield results. The big CDMO contracts, it took a lot of hard work. Almost one and a half years of continuous hard work with several of us just doing calls and meetings with the customers almost on a weekly basis and giving them the comfort that we just, of course, we have the capabilities, and chemistry stands which they are looking for, but we will be responsive and we will deliver on what they expect us to deliver.

So, like that, there are several other achievements from the past one year which has given us the confidence and that has overall improved the quality of our portfolio in several ways. Now again, I will not, some of these points we have already talked about, but you look at whichever way, whether the business mix today, the percentage share of profits coming from Specialty and nutrition, you look at the customer mix, you look at how fast our CDMO and some of the new businesses are growing, you look at the composition of the leadership team, you look at the product mix, the kind of incremental growth. One thing I did not mention is in Pyridine, when one of our international competitors closed down in the US, within six months we grabbed 70% of their volumes. So that's the speed at which we had to move to capture that market because otherwise Chinese would have taken it from us. Ambrish and Amit, I know they spoke to all the customers. We mapped out the customers, we reached out to each of the customers and Ambrish will again share the stories, but almost 70% of those volumes we captured within six to probably nine months and then we have those customers now, hopefully for future as well.

So, likewise we have several such examples which gives us the confidence and the overall mix of the quality of portfolio, moving in the right directions along the lines of what we envisaged it to be in a few years as a part of Pinnacle345 journey. And obviously, financial results are just one outcome, the last 4 quarters have again given us the confidence that we are on the right track, obviously it is a result of hard work in terms of both growth, particularly volumes growth because some of the volumes growth got wiped off due to the decline in the market, but that's something we cannot control. But at least, if I look at our growth journey over the last few years we have seen volume growth, profitability has improved, as I said in the beginning, based on the 2 key drivers - no 1 is the portfolio shift we are doing and no. 2 is the cost imperatives which has helped us take out almost Rs. 100cr+ from our cost structure. This data, again, we have shared in the quarterly presentation. The Specialty portfolio has grown 20% in the first 9 months, the profitability has improved significantly, Nutrition similarly has grown 8%, part of it grew more be

cause of the price. In terms of volume, we have grown probably 15%. EBITDA, of course, has improved. The one area where markets are still troubling us, and we are not out of the woods completely, is the acetyl business. That business, particularly our anhydride business, is driven by what happens in paracetamol and acetate, which is a big agrochemical molecule. Both these markets have gone through tough times in the last, I would say, six or eight quarters, to an extent that most of our
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customers are either not running their plants, or even if they are running, they are running them at 40% to 50% utilization only. From the analysis we have done, where we have mapped out the inventory in the system for each of our customers, and based on the discussions with the customers, we feel things have bottomed out. The de-stocking is done there, and hopefully in the next couple of quarters, the volumes will start to come back there as well. And

gradually, with a couple of more quarters, we'll start to see a price movement upwards as well. So we are hopeful that Chemical Intermediates will start to come back, but that's a relatively commodity product, and we'll have to live with those commodity cycles. But we are well prepared by focusing on cost and by pushing on some of the products where we still see room to gain market share, which Himanshu will explain in a few minutes.

So, all of that has helped us in just, again, ensuring the overall quality of the portfolio moves in the right direction. As I said in the beginning, the U.S. and Europe have grown very significantly for us. Just to give you a sense, the U.S. used to be 4% to 5% of our portfolio. Today, last quarter results, almost 9%, and we are on track to hopefully, by FY27 itself, it should become 15% plus, and obviously in the next five years, we want to make it 20%, 25%.

Europe also grew almost by 30% in the first nine months of this year, and we are hoping with the confidence that the European and American customers have shown us, we'll continue to grow this.

And the only other point I would say on this slide is Japan is a market where we are investing now. We have hired somebody recently, and Japanese customers take time, but when they open up, they open up in a big way. So we have just started our journey in Japan in the last few months. I have personally travelled there. Senior members are traveling almost every three months. So, we are hoping in a, if not in a few quarters, definitely in a couple of years, from the rest of the world, we'll be able to carve out Japan separately with all the push and hard work we are doing in that market to open it up. So that was, I think at an overall level, what Pinnacle 345 is and what the journey has been in the last couple of quarters since we defined and announced the Pinnacle journey.

Let me now invite a few of my leadership team members one by one to talk about some of the details. I think the key points I have already covered, but it will be good for you to hear from them also directly. So let me start by inviting Ambrish. Ambrish will introduce himself. He joined us a couple of years back, brings very rich experience in CDMO and Specialty Chemicals, and will take us through the Specialty Chemicals presentation.

Ambrish Dixit: Thank you everyone, thank you Deepak. It is my privilege to be here and let me introduce myself, I am Ambrish Dixit, I am heading the specialty chemical business as a President – Specialty Chemicals, around 24 years of experience, out of that, almost 18 years with Specialty Chemical, 3 years in API, sales earlier. Out of 18 years, 2 years with Jubilant now. I've taken this role in May 2023 and 10 years with SRF in their Specialty Chemical business, 6 years I was running a small company called Paushak in Phosgene specialty chemical.

So, pleasure to be here and, no, really, thank you Deepak for introducing lot of stuff about

our company, about our businesses. I will try to give you some

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more glimpse, how we have been operating, how we have been doing and what the future plans are. And, here, we operate 3 businesses in Specialty Chemical business, starting with Pyridine and Picoline, starting way back in 1991, you know, we have been the largest player globally for last couple of years, you know, this marketplace has been invaded by Chinese. Despite the invasion we have been firm and today we are the largest producer of these materials in the world.

Followed by, we have Fine Chemicals where it was started as a downstream for Pyridine and Picoline, you know where we forward integrated, started supplying and this story is also linked with our growth in the pharma market in early 2003, demand started coming up in pharma, especially on the API side for Pyridine derivative and it is further being diversified. Here, we have more than 50 products, out of this, 36 products are globally number 1. There are a couple of products which, you know, are coming from China, and a

couple of products which are manufactured by a few small companies in India. So, we have a very strong global position on these products. Then, Deepak has talked about, we have also identified opportunities in Diketene, we entered a couple of years back, we have aspirations to become top 3 in the globe. We are not looking to dominate only in India, what we are looking for is to dominate the world. And based on today's relationships, the kind of connections we are making, we are confident that we would be able to achieve one of the top 3 positions in the world in very near future, not too far.

Coming to another piece, CDMO, which is our growth driver. Here, you know, we have been talking about agro, pharma, Semicon and I would be sharing some more details. So, all put together 50% is coming from domestic, 53% is coming from exports, 470+ customers, 50+ product lines, all put together, we are selling to agro, pharma, industrial paint, we are selling to consumer, etc. So, how this journey has been special for last 2 years, as you know, because I shared, so, our revenue has grown from Rs. 1,600cr, if you see, last trailing 12 months, we are Rs. 1,800cr+, our margins have improved. You know, despite the headwinds, the market, the Chinese onslaught and there's nothing, you guys are really well aware, that it has become difficult to survive in the difficult market but still we have been able to prove our margins to 20% level, and then the plan is to take this to business to Rs. 6,000cr, with EBITDA of 25% and then, here our FC and CDMO business would be key drivers to take it to next level and obviously, our Pyridine will remain, you know, supplying to the market as well as, another good stuff is CDMO business is a capital incentive business, you know, you have to invest some large amount to take this business to the next level. Here, you know, management is very supportive, we have a very clear capex plan and we believe those opportunities, what we have, we should be able to achieve those numbers, what we are committing.

Another area, you know, which we have identified is Semiconductors and, you know, cosmetics, which we have started working since last 4.5 years only. We believe that these are the new growth areas that can put us in a different map. But obviously, our primary driver would be coming from Pharma and Agro for next 3-4 years. Then, we are also looking for inorganic growth opportunity which fits into chemistry capability help us to offer more ancillary creating opportunity in the area we are operating in. Typically, we have been operating in 3-5 steps of chemistry, so can we go 10 step for that, you don't require 1 chemistry, you require a couple of other chemistries to

add in. So, we have 35 chemistries platform as on date, we do bromination, we do chlorides, you know, we do ethers, etc

etc. But then we are looking to add further chemistries so that we can make way to offering more robust services to our customers. We are not looking to see products now. What we are looking to sell more and more is services which can help us to grow more with the customers.

So, with this, I will talk about our Pyridine and Picoline, which is our legacy business which if you can see, we have been able to grow our volumes by 150%, we have been able to grow our beta-picoline, other than our captive, 10%, so, these are all merchant sales where we have more than 25% market share. We have, you know, Vertilabs, which was a US company that got closed around end of 22-23 and then we have been able to capitalize all those accounts, so rather than the Chinese getting intrigued by the margins, we have been able to sell, we have been able to capture 75% of those accounts which has also helped us to sell more volumes in markets.

I think, Deepak also talked about oil fields, so we also sell certain pyridine derivatives in oil fields, and we believe that the kind of relation we have with the large players across the globe, US, Middle East, etc., we would be further diversifying launch in these 2 regions. So, for our PNP business whose relations will become our backbone, and we believe that we will be focusing on this in the near future. And then, obviously, Vijay will talk about, we have a lot of cost initiatives and 80%+ capacity utilization which will make sure that

we remain present in the market. And, last but not the least, PNP will continue to have very high captive demand from our business in FC and CDMO which will allow us to optimize on the other margins.

Coming to Fine chemicals, you know, Fine Chemicals again, I could say that there are 2 parts running this business, one is PNP derivatives which is the forward integration. Here, we have 36+ products where we are the number 1 in the globe, we have typically from 50%+ to 75% market share average to 55%, we have 5 new products we wrapped up in last 1 year. We are also further exploring talking to innovators or any new molecule which is in the pipeline will definitely come to us due to our unique position of being non, the only non-Chinese player who can play large.

Then we have Diketene which we launched a couple of years back. Now, here, we had initial tipping issues and we have been scaling up. We have 6 products, 4 we will be launching this year. We are actually you know, 70% of our plants already being utilized, we have launched 2 new plants within last 1 year, we are scaling up further. We are also planning to multipurpose our various products for Diketene. So, Diketene as a chemistry, we have been doing acetic anhydride which is primary Ketene and Diketene has been a natural extension, so based on these extensions, we believe that acetic anhydride, we have been handling ketene chemistry for the last, since 1980, for 40 years+, diketene for last few years but we can play this game really, for a really long time and we are pretty confident that we will be able to grow this existing business almost 2 times in the next 4-5 years.

Again, for Fine Chemicals, there is an attractive market, we have existing products, we have relationships in place and we have chemistries differentiation in the capability, in terms of the various other chemistries which are required to sell this product and that is a reason we have this belief that

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we would be able to achieve these targets with dedicated teams of Anurag, or Yuvraj or Amit, who have been running business, who have been with us since last 10 years+, they know this chemistry, the team which are handling this Pyridine and all its derivatives have been with us for a number of years. So, with this we should be able to grow our existing business by at least 2 times.

Now coming to the CDMO, you know, which is a buzz word. Everybody talks about CDMO, every

body talks about whether CDMO is good or whether catalogue products are good, or a mix of both of them is good. So, if you see all big players in Indian market, very few are CDMO players, many of them are having their own products where they have global positions and then there are certain products who are offering those services as an extension of those capabilities. So, I think Jubilant is very unique in that sense where we have global positions and along with the CDMO business we can see ourselves as a global leader in those set of products. CDMO, again, we have further bifurcated in 3 parts. One is Agro, we have been on that space for long but more selling of our own products, second is Pharma and third is Semicon which we just initiated rolling of.

I think CDMO Agro, Deepak has already talked about, we have signed a \$300mn contract, we have another contract with another innovator. So, out of top 10, 7 are our big customers. We have that relationship, we have been able to forward that pipeline, we have been able to extend our relationships to our customers, couple of months we had multiple roadshows, we had multiple visits to the customers. I think, I, along with my team has travelled at least thrice to US, many more times to Europe, China, Japan. We have somebody in Japan, we have a China office, we are hiring and moving some of our internal talent to Europe or further accelerating the touch base with our customer. In US, we have offices, and we are further expanding those offices with great talent. So, we are increasing the touch base with the customer on the CDMO as well as on the Fine Chemicals side, which we believe will help us to infuse this pipeline. And then, Vijay will talk about, we have proved our

executions, so, in terms of the capex which should take about 20-22 months, we are now targeting let's say 12 months or 14 months all put together.

Coming to the pharma side, you know pharma has been a backbone for Jubilant in a very long time. Here, as I already shared, we have more accelerated our efforts to hire more resources, we have 9 molecules under development, we have already known some certain innovators for a very good long time. We believe the kind of relationship, the kind of trust, will help us to grow further. We have some more discussions happening. So, all put together, Pharma and Agro, we have a strong belief that the kind of relations will definitely help us to multiply the business to come.

Semicon is an area everyone is talking about, semiconductor, one is the Indian supply chain which will take some time to evolve. So, what we have done, we have gone to the US, we have gone to Japan and Taiwan, we have, to understand what kind of synthetic chemistry has been asked for, and here we have been further able to identify certain molecules which are under discussion. We believe, you know, we thought we helped the revenues come a little early but definitely there are more challenges in terms of chemistry capabilities or purification etc. But we believe that we should be able to have some good revenues very soon, starting from next year onwards.

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Then, you know Pyridine and Picoline, we have been selling for a number of years and there is also an application in semiconductors, electronics side. Where we are also in the process of working out and launching this molecule where there should be reasonable volume coming in. And then, this requires capex, this requires specific plants, specific labs, which we are also working on and so Deepak will be the one sharing the news in terms of when we are going to get it approved. So, with all this, what we are looking for, and good part for our CDMO business, we are looking at least 5x growth in the next 2 years. And I'm very pleased to share that we have already clarity for more than 70% of the POs in hand, so technically 3.5x anyways it will happen and then we are talking about taking it

to another 2x. So, all put together, by FY30, it would be something like 7x growth happening and what we are hoping aggressively and so we are hoping with multiyear contracts happening with the Agro innovators which is not only just for existing molecules, we are getting into new molecules. One of the new molecules that we launched commercially and we believe that it would be one of the blockbusters in the world, so we'll also grow with the innovators, as it grows.

We are further increasing efforts to take it to the next level, the kind of molecules that we are getting, will help us further increasing these numbers. So, on the CDMO side we are confident with the kind of infrastructure we are putting in, the kind of capex we are putting in, the kind of relationship we have, or we are increasing, we'll ensure this kind of growth coming in.

So, with this, I will take a pause, really appreciate your time for hearing me out and then I would like to invite my colleague Ashish to talk about nutrition. Thank you very much.

Ashish Sinha: Thank you Ambrish. So, I am Ashish Sinha, I handle Animal Nutrition and Health Solutions business. I have been with Jubilant for the past 6 years and before that I was with Reckitt Benckiser, GSK Consumer, Novartis Consumer, ITC and Diageo. Before I take you through the nutrition and health solutions growth plan, I would request each of you that there is a QR code kept on your table, so you can scan the QR code and send the questions, if you have any, to us.

So, in Nutrition and Health Solutions business, we have a very strong presence in animal and human nutrition. We have a very robust portfolio spanning across animal and human nutrition. So, in animal nutrition we are globally number 2 in niacinamide which is vitamin B3, and we are domestic leaders in choline chloride, which is vitamin B4. Apart from this, we also have

more than 18 branded formulations, so, these formulations go into feed additives, so poultry feed, pet food, dairy feed, aqua feed, swine feed, it goes into that. So, it basically enhances the performance of the animal by increasing the nutritive value in the feed. So, this is the product that we have in animal nutrition.

While in human nutrition we have choline salts, which is like vitamin B4, in the form of choline chloride and choline bitartrate which goes in pharma as well as nutritional products. We also have niacinamide for food application as well as cosmetic application, which goes into human application. This apart, we are planning to foray into pre-mixes which goes into nutraceuticals

and nutritional powders. Apart from that, we are also planning to identify some more straight nutritional ingredients to get into that.

So, in terms of geographical revenue, we have around 74% of our revenue coming from our export markets and balance coming from domestic markets. So, our customers is very robust and so we have around 400+ customers globally who have been associated with us for a long time and in terms of split between animal and human nutrition, so, 69% of our business comes from animal nutrition and balance comes from human nutrition.

So, in terms of the pinnacle vision for the business, nutrition and health solutions business, so, our vision is to triple the revenue by FY30 and almost double the bottom line, so almost current 12% EBITDA margin, we want to take it to 18-20% and how we will do this, the growth drivers that you can see on the right hand side of the slide. So, the first is niacinamide cosmetic grade, so we have already commenced production for the newly commenced plant for the niacinamide cosmetic grade that we will double down and ramp up the niacinamide cosmetic grade and food grade from there. That we are doubling down on human nutrition, so on human nutrition we are focusing on pre-mixes, we have already launched choline chloride and choline bitartrate, which goes in

to human nutrition and pharmaceuticals, we are ramping up those values.

We are also to go ahead with the capex, we are working on green field GMP plant for choline chloride and choline bitartrate, and the third one is speciality formulations, now speciality formulations, these go into animal feed, these are like vitamins, minerals pre-mixes, emulsifiers, herbal formulations which go into feed which has more higher margin and more stickiness with the customer and which has more traction in India and the neighbouring markets. So, we will double down on this also. While doing this, so there will be a fundamental shift in the entire portfolio which we have currently. So, currently if you see, 33% of our revenue in nutrition and health solutions segment comes from food, cosmetics and speciality pre-mixes. This year, this will increase to 36%, with increased focus on the speciality formulations and the food products which we have on our portfolio. By FY30, we will take it to 67%. Now, as I have said, how will this grow? This will grow with increased focus on doubling down and focusing more on human nutrition pre-mixes.

We have also deployed a dedicated team for leveraging the full potential on human nutrition, as Deepak has said. Vishal has joined us and leading the human nutrition efforts for us. Then, we are pushing on CC CBT, which is the choline chloride and choline bitartrate, vitamin B4, and as I have said, we are planning to take a capex for that for Green Field GMP manufacturing facility for that. Then niacinamide which has already been commissioned for food grade and cosmetic grade, we are ramping up the volumes for that and very soon we will take up the leader board and number 1 position in niacinamide globally and we are adding more pre-mixes in the feed additives segment. So, that's the whole chart on how we want to achieve this aspirational growth numbers as well as the higher bottom line. So, with that, I'll call my colleague Himanshu, who heads the chemical intermediates business to tell the chemical intermediates plan.

Himanshu Dhapola: My name is Himanshu, I take care of the chemical intermediates business division here in Jubilant Ingrevia. Super excited to be in front of all of you
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guys and happy to take you through all acetyl or the chemical intermediates business. So, you might have already heard from Mr Bhartia, or Deepak, chemical intermediates being the building block not only for Ingrevia, but from where our name comes, you know, chemicals for life, ingredients of life, truly, this encompasses the true meaning of that with the variety of application of what we have. Our chemical intermediates business touches all through the applications, you know, and it gives us that relationship which all of us talked about, in terms of customer base, huge customer base, in terms of application, most variety you could see in pharma, agro, nutrition, consumer, industrial, everywhere this product goes. So, what does it create? It creates a customer base, it creates a relationship, it creates a strength which can sometimes be used to even open the doors for the other products. So, we are there to serve those segments.

How we are split in terms of our business? We are almost 70-30, 70% domestic business and around 30% export business, primarily led by Europe and you could see that in the bulk business we have really pushed our capabilities, and we are among the top 2 players in acetic anhydride, globally. And, in this market, in this scenario considering the global players around, this is significant achievement in terms of how we place and prove ourselves in the market over the years. Ethyl Acetate, we still remain a very significant player in the market and some of you, one of you did call me out outside that where we are on this product. Sir, we are still there, and we are still a significant player in the market and we will continue to be a s

ignificant player

in this business. We have other products, and we continue to run that, be it acetaldehyde, be it bio - acetic acid, be it formaldehyde, be it Propionic-Anhydride, so we are in this business.

How we have shaped up and how we are going to play a role going forward in our Pinnacle 345 strategy. So, what we are looking or what we are proposing. As such, we are looking at an increase by 1.5 times in the topline, currently we are somewhere around Rs. 1700cr of the topline with around 8% of EBITDA. So, what we are looking at, by FY30, we should be atleast Rs. 2500cr for chemical intermediates division with 10-12% EBITDA, which is a normal, standard % in our kind of business. And how we are going to achieve that is a critical question.

The critical role is that we will maintain our market share and we will grow our market share, we will maintain our market share in a market like in India, and we will grow our market share in a market like Europe, and we will also enter into new markets which we have either not touch based or not focused on in the past, where South-East Asia being a market, US being a market, Turkey being a market for that matter, in all those areas. How we are going to do that is not only by efforts in the market but by also improving the cost positions. So, I'm sure Vijay will take you through all the initiatives we are taking but then it's a very significant progress that we have done in terms of the initiatives we have launched. How to make our business more sustainable by looking at the cost structure and where we can improve those processes. And, of course, as we move along, the margins will increase and then we could again see the 10-12% EBITDA levels.

Acetic anhydride, I know many of you also talked about acetic anhydride because, within our portfolio, one of the major components, we have had challenges, yes, we have had challenges in India in terms of demands
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projection, certain applications in India, if you have seen the challenges, you know that the demand in India has gone down. But I can assure you that we have not only maintained our market share, we have increased our market share even in this depressed market. So, we are around 74% market share in India despite all the challenges and we are looking at Europe market at,

you know, in Europe, you have already seen, because of the Ukraine war, it has been a challenging involvement overall, but there also we have been able to maintain our market share. In fact, we have also grown our market share, if I leave India and Europe outside, we have significantly grown our share in the RoW market. And that's a mandate that we have, we have to focus on these markets, grow our footprint and probably, you know, as you move along, knock the doors of the customers, gain those entries and again be back as the number 1 producer of acetic anhydride globally.

Other key products, you know, what we have in this time, apart from focusing on acetic anhydride, we have grown almost 30% of our ethyl acetate business. Like I said, someone was asking me outside that why we are vacating this space, no sir, we are not, we are coming more stronger in this. Propionic-Anhydride, we have increased our business in this, acetaldehyde, you know, almost 180% we have increased and this product we have not only increased in India, we have also started exporting this product. So, we are also focusing on all other areas in this product portfolio where we have a space to grow ourselves, where we have a space to grow the product availability we have with us, to capitalize on the enormous customer base we have built over the years because of the other products, and we hope we can continue to do that.

With this, I'll call on Deepak to take us through this exciting journey. Thanks.

Deepak Jain: So, hopefully that gave you a good glimpse about the bottom-up work that is happening in each of our bus

iness units. Now, of course the businesses cannot perform unless we have a strong foundation of all the enablers helping them. There are 6 of them that I showed in the pinnacle strategy phase. The first one, I'll just quickly talk about them and invite Vijay to come over and explain them in detail. The first one is about customer first approach or customer centricity as I explained. I think last year we took the big initiative here of key account management.

We mapped out our big customers, identified almost 30-35 of them, some of them came from acetyls as well, as Himanshu explained, what acetyls portfolio does is that it gives us access to the big customers and on the back of those relationships, we have been able to open up conversations to talk about our broader portfolio and newer opportunities. So, for these 30+ customers, we did a bottom-up mapping of all opportunities across our portfolio of 130+ products that we have today but also studied what their priorities are. Many of them are listed so they have announced their strategies, they have announced what they are going to do and many of them have specifically talked about what they are planning to do in India and how they are looking for new partners so when we leverage all of that groundwork and went out to meet all the customers, as Ambrish was mentioning, all of us were on the road last year between March and September-October, went and met almost 120+ customers right at the senior most level, discussed with them what we bring to the table, reintroduced the new Jubilant Ingrevia, our new strategy and what we bring to the table and of course talked to them

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about some of the potential hooks we had in our armour for them and that generated a conversation of new opportunities which runs into 100s or possibly 1,000s of crores. Now, of course, not all of those will materialize because some of them are just ideas at this stage but what it does is a very clear sense of potential opportunities and areas where our customers are focusing on and we are now in a focused way speaking to those customers, following up on our discussion to see if we can convert any of the opportunities into real commercial revenues for ourselves.

The second is on world class operations, I won't go into the detail of that, I'll invite Vijay in a minute and he'll cover each aspect of it in detail and after that R&D, I talked about, we are investing, we will be investing even more, we are expanding our team almost every passing month, we have got some new senior talent also, both in R&D and technology side. We are setting up a new

process safety lab because a lot of our customers in MNC space expect us to have even higher standards of safety and processes than we ever had. So, we are setting up a lab in our Greater Noida facility which we will be focusing just on process safety and that is just one example.

Like, we are creating a technological cell and centers of excellence which Vijay will explain how that will help us create the right infrastructure to deliver on this growth. Digitally, obviously, the surge program that I talked about, which we started couple of years back has really good results, Mr Bhartia talked about it, will continue with that journey. We got lighthouse for one of our facilities, our aspiration is to get it for atleast one more plant within next 2 years and we are working towards that by introducing all these interventions across all the other plants as well.

We have, on the supply chain, Birajeev, who just joined us a few months back. He comes with a very deep experience of looking at supply chain in a different way. He comes from a digital background, so we are re-looking at every aspect of our supply chain, bringing digital intervention, making it more agile, lean, responsive and efficient and that is giving us synergies and some of the savings, Vijay will talk about it in phase 2 of t

hat, I mentioned in the last investor call, it has already started, a significant portion of that will be driven by the supply chain.

And finally on the people side, we have improved the productivity of our plants. I'm not sharing all of that data but a lot of savings in our lean program, not all but a significant portion of that has come from productivity improvement. We have applied our performance management systems with a lot more discipline and wherever we had inefficiencies or lacuna in our organization, we have cleaned that up, we are still cleaning and we are getting new talent, more capable talent into the organization which it needed to not just bridge the gap but to bring in fresh energy and momentum which it needed for this transformation. So, these are the 6 parts, and we will talk about 3 of them. I think the customer one, I have already explained so I will not go deeper into this stage.

But let me just invite now Vijay, who is our chief of operations, and he will talk about some of the initiatives in more detail on how we have done them and what are the benefits we have already gotten, and possibly more benefits are coming in years or next few quarters.

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Vijay Srivastava: Thanks Deepak and thanks everybody for coming here today and listening us patiently for almost 2 hours now. My name is Vijay Srivastava, I think you have already heard the name. I am graduate from IIT Kharagpur, passed out in 1998, having a 24 year of industrial experience, worked in different companies like Dupont, United Phosphorus, Deepak Nitrite and others.

So, in my discussion today, I'll talk on 4 major elements, cost reduction, then I'll talk about ESG, safety and digitalization. I'll talk about what we were able to do so far now and also give you a perspective looking forward, down the line so that you get an confidence of how we are taking the strategy to the next level. This year, as Deepak has already said, we could reduce our cost by Rs. 120cr. The most of these savings are coming from the different initiatives we are taking at plant level, we are focused on renewal power energy and that has helped us to really reduce our cost by improving our efficiency in boilers, we have formed a centre of excellence, we have done an assessment of our boilers compared with the best practices of other companies are following internationally and based on that we have developed a program which has been implemented across the sites and we could gain an efficiency of around 9% in boiler, which is significant.

Second, we feel we are sourcing our power differently, earlier we used to get all our power from grid except Gajraula and this year we have purchased some of the power through exchange and also signed short term contract,

we have signed a long-term contract, which Deepak was saying, which will benefit down the line, next year onwards. Productivity improvement, this is an area we continue to work on, I'm also a sigma black belt so once a strategy is made up, I find it, I mean, our team is quite capable to looking into it in detail and have a laser sharp approach to provide a solution to those issues, and that is helping us, I mean, all of this has led to saving Rs. 120cr. We have a line of sight to get additional Rs. 100cr saving each year moving forward. I'll touch base on this in other slide.

So, these are the kind of 5 main pillars where the savings are coming from. Energy, as I said, already explained to you, 17% improvement we see there. Effluent is another area we are working on and, as Deepak was telling, and another colleague that we are working on centre of excellence, so here we have formed a centre of excellence team who is looking at how are we treating our effluents. And we had a major success in one of the big products we are making at our Gajraula site, and that initiative itself has given us good improvement. Now similar project we have built fo

r other product as well and

I think this year and next year we will continue to get savings from effluent treatment setup. Our target is to significantly reduce our effluents and when I'm going to talk about ESG initiatives, this will also give us a good benefit there. Today, our, 95% of our total waste we are recycling.

In terms of norms, again we have formed a group who is doing external benchmarking for us, looking at how we are making our product, what are the new technologies happening, not only in chemical, but in other industries and then how do we leverage those technologies in our plant and then drive the improvement, so that is giving us a good saving. The number is 1% for this year but moving forward this will go up significantly. Lean, we have looked at the entire function including operation, supply chain, quality, maintenance, projects and then we identify the pocket where there is opportunity for us to drive the improvement and those are the areas we have

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quickly worked on and then reduced the number of people, and thus we see a productivity improvement of 20% coming from there. Digital, so far, 30 high impact initiatives are implemented, and these initiatives are cutting across all other areas, like, we have an initiative in energy, we have put APC in one of the boilers where we are taking a trial on how automatically all parameters of boiler is maintained and it is running efficiently. So, similarly, it is implemented in different functions there.

Now, I'm switching gears, talking about ESG. A company who has a vision to become a world class operation cannot go there if you don't focus on ESG. So, this has been a focus area for us. Environment, in the scope 1 and 2 we have achieved a 6% reduction and moving forward, we are expecting another 6-8% reduction in the coming, in the next 2 years' time. As I was talking about waste here, recyclability - 95%. That's a big number for a chemical company.

On social part, we have a strong, in our Jubilant-Bhartia group, our CSR activity, we spend a lot of time and energy behind it and so far, close to 1mn lives are being impacted due to the work we do on CSR. 90,000 health consultations have been provided by us. Diversity is another area which we are working on. Currently our diversity is at 6%, we want to take it to 20%, there is a program put in place. Next 3-4 years' time, that is where we want to take our organization to. In terms of ESG rating, Akash has already talked about it, so I'm not going to touch on this but those are the kind of good reflector that external bodies are recognizing the work we are doing and that's how those ratings are coming.

Safety, this is a pillar which we wanted to build on. This will not only help us to make sure that we reach to the top but also sustain it. Our focus is on 3 pillars here, one is workplace safety, process safety and then we are working on building a culture. Workplace safety, we have made a good progress on this part and the work progress is coming from there. Process safety, again, we have found a CoE, centre of excellence, we have placed down the best

vertical which has to be implemented in the chemical industry and most of these are already, I would not say, matured at the level it should be, but we have implemented it and now our current focus is to build a culture around it, that's the last 2 parts. So leadership and we have put up an auditing process. Our intent is, in the Bradley curve, we want to move from reactive zone to the interdependent and this will happen, generally it will take us 2 years to reach there, but we are very confident that we will be reaching there, our safety performance has already started showing significant improvements. I mean, compared to last year, all the data is available but, compared to last year we have improved both in lagging as well as leading indicators.

Digitalization, this is, we believe that

this is the game changer for chemical industry. So far, Indian chemical industry has not made significant process, so we are the early movers there and this advantage we want to continue to hold. As Deepak was saying, close to 200+ digital interventions have been already implemented. We have 36+, sorry 26+ CoE who is working at different sites and functions and helping us to make sure that these interventions that we are developing are implemented. Here, 60+ people in the plant, who have formed a team and looking after different initiatives that we are implementing across the sites. We have another 300 interventions in the pipeline with this group of 26+, almost 80 people, they are going to do a

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funnel activity, identify the opportunities which we need to take to the next level and that is how the program will be driven throughout.

So, that is pretty much from my side on operations. I'll invite Varun, our CFO to talk about the financial plan and digitally.

Varun Gupta: Good evening, everybody, I hope everybody is as excited as me listening about the Pinnacle 345 plans and the transformation that this organization has gone through in the past 12 months. Before I take you through the financial plan, a one liner introduction about me. I joined this company in August last year and prior to that I was with Unilever for 18 years. And last 6 months have been truly exciting, a lot to do, a lot done.

So, all the plans that all the business heads and Deepak have shared, what does it mean financially? So, if I take you to the next slide. One key metric that we keep tracking is our ROCE, from sub 8% last year it has gone up significantly to 12% in this last quarter that we reported, and we intend to take it to 17-20% in the coming years. And there will be key 3 big drivers for that. One, as the portfolio shifts from Chemical Intermediaries dominant towards speciality business and nutrition business, which is far more profitable. Our return on assets will improve significantly. As Deepak shared, our exports will increase from a current 45-50% to 60%+ in the future and our spread of chemicals will be more than 60% so that's the one key big driver.

Second, as Vijay mentioned, the savings program that we have unleashed in the organization which is going to consistently deliver Rs. 100cr+ per annum will increase the return substantially. And these savings are not one time savings, these are systematic savings which are taking the cost permanently out of the business. So, our asset returns significantly improves, especially in the utilities areas. Thirdly, the discipline that we have inculcated in our business, especially in the capital allocation that we are going to do, we will be much more controlled. Nothing less than 20% return will be invested in. So, these 3 drivers will improve the ROCE sequentially, and we intend to reach it sooner than later, 17-20%.

Now, the second key metric that we will be focusing on is the cash conversion and the net debt to EBITDA ratios, and you will see consistent improvements in our cash conversion also. From a sub-90% last year, we are sequentially going to, are delivering 100% cash conversion to EBITDA and we intend to keep it this way for the coming quarters. It will be done through really optimizing our working capital by increasing our credit days and managing our inventory well and the other is releasing the cash from the tapped assets.

The second one is really how do we manage our net debt, so we will try to reduce it from 1.5 and bring it down to the range of 1.2-1.3 by improving our ROCE and profitability ahead of investment plans. So, together with ROCE and better cash management, we see a much better balance sheet and P&L because of the better mix and EBITDA. This will not be possible without the sequential, systematic improvement of our financial processes. We are in journey to automate our end-to-end processes

, be it in the procure to pay or

in the analytics or putting strong guardrails around our project management or our consolidation and putting the robotic process automation, RPAs, for end-to-end processes. So, idea is to remove all non-judgemental activities and automate it, so that teams can be focused more on business partnering and we can be much more efficient and digitized. So, better return more cash

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and more automated services in a business which is more speciality driven and far more profitable, that's the whole summary.

So, if I have to summarize, what this entire transformation will mean like, we'll be touching Rs. 10-12,000cr of topline by financial year 2030. and if I have to see if we are on track of it, 4 times on EBITDA from where we started, so, in the range of Rs. 2,000cr by 2030. and if you see this year's results for the first 3 quarters there's a big improvement we have done from where we started a year back. ROCE, as I mentioned, from 8%, we are already touching 12% in the last quarter through portfolio mix and better cost savings and more discipline, and the net debt to EBITDA ratios to be in a controlled way in around 1-1.3, these are the 4 key matrices that we will there as a result of Pinnacle 345.

With that, I'd like to hand it over back to Deepak but also, I would like to remind all of you to please scan the QR and put in the questions. I have seen a few questions, pretty interesting ones, I'd like to see more interesting questions coming from all of you. Thank you.

Deepak Jain: Thank you, Varun. So, I think we have exceeded the time and apologies for that, but I thought it gave you a good, holistic and integrated perspective on what Ingrevia is and what is it doing. Just to round it up, I am an ex-consultant, so the presentation will not be completed unless I present the investment thesis for you guys as potential investors or existing investors.

I think we have a wonderful platform at Ingrevia, we are on the right track. The end users segment, that I showed the data also are attractive with secular and robust long term growth and higher margins. Number 2, the growth is rapid and we are hoping to touch the Rs. 10-12000 cr in the next 5 years with higher margins closing almost 17-18% atleast, if not more on the back of all the growth drivers we discussed today. Number 3, increased focus towards high value and specialty segments in our overall specialty portfolio but also in our nutritional portfolio as Ashish showed the mix almost flipping from 67-33 to 33-67.

Creating new growth platforms, semiconductors, cosmetics, human nutrition and to some extent, oil field also which Ambrish talked about, these are the new growth vectors which we can already see and smell the opportunities in these areas, we will invest. Some of them will give meaningfully large revenues in the next 4-5 years, some of them may take longer, but the idea is to create this platform in not just the next 4-5 years but also for the growth that we foresee even subsequent to that. Diversified portfolio, I think I started my presentation by saying this that, look at our portfolio, it is a complex portfolio, even I took 6 months to learn about the portfolio after joining.

We have to keep simplifying it in terms of getting rid of areas which don't perform or don't have the potential, but we have already cleaned up quite a bit but still, the portfolio is complex. But what it also does is bring diversity and balance to our portfolio. You just saw this year that acetyl has not done well for us unfortunately, but the other 2 businesses have stood up and held us together and have given us the growth and profitability that we were

looking for.

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The operations, I will invite those of you who are interested in our operations to visit our plants. Mr Bhartia talked about our 2 big plants - Bharuch and Gajraula. We are doing a lot of changes,

some of our plants are old but we are investing in them, we are ensuring that the plants are safe, they are reliable and at the same time we are investing in new plants. We created 6 new plants in 1-1.5 years, and we have plans to create at least 2-3 more in the coming 12 months. Thereafter, we will be investing almost every year, significantly to create more plants, because that is needed for the future growth and finally, you met all the team members and with that I'll also invite my leadership team on the stage for the Q&A. We have an experienced and energized leadership team. It's a good balance between the old hands at Ingrevia who know the system, who know the capability but also a lot of fresh blood and thinking in the company which will hopefully take us forward.

So, that's just a quick summary, let me just invite all the leaders from Ingrevia on the stage so that we can start the Q&A. So please come over and we can take the questions, Pavleen if you and Partha can moderate, we'll take the questions, atleast some of them. I don't know how many questions we have but we will try to take as many as possible. Sumit, please come. Vishal, Amit, Yuvraj, Anurag. Some of the members did not present but let me introduce you to them as they come on the stage.

Sumit leads our Vitamin B3 business and has been with the company for 12+ years, or 14 years rather. He knows A, B, C, D, E, F of vitamin B3. Himanshu, you met, I think, where are the other members? Yuvraj, so Yuvraj runs our CDMO business. Vishal has joined us just about 10 days back, is leading our human nutrition business. Anurag leads fine chemicals business, has been there for 12 years. Amit has been with us for a while but took over the pyridine and picoline business, about a year back. Am I missing somebody? Where is Partha? Partha is our strategy head and he is the administrator of this Pinnacle 345 strategy and has done a lot of leg work for this investor day as well and Pavleen also you know.

I think all of us are here to take some questions so Pavleen, you tell us and we will go around. Obviously, all of us are around post dinner and at the booth so please catch us if you have any specific questions.

Pavleen Taneja: First of all, thank you everyone for submitting your questions. A couple of interesting questions have come up and we would like to address as many of them as possible. So, we would first start with the question which is for Deepak in which the participant has asked Deepak and promoters have done various road show meetings, various potential customers globally, what has been the key common takeaways from interacting with these customers and how has been your conversion in getting business from these customers?

Deepak Jain: Sorry Pavleen, I didn't get the second part of this question.

Pavleen Taneja: Second part is what has been your conversion in getting business from these customers?

Deepak Jain: Okay. Yeah, so good question. I'll touch upon it briefly. As I said, we have been travelling around. All the businesses, like if I say personally, some of them have done many more trips. I have been to Europe 4 times in the last 1 year, US 2 times, and Japan once and China once and South-East Asia a

couple of times. And obviously, in India we have 50% business so a lot of trips to Hyderabad, to Ahmedabad, to Baroda and Mumbai. But some of the key takeaways I would say, I think the very first thing our customers have appreciated is the new direction and changed Jubilant that we talked about in this room also in the last 2 hours.

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What are we changing? Even yesterday, some of our biggest customers were talking about pyridine but in the 2-hour session, we didn't talk about pyridine at all. Now, some of you won't even believe that Jubilant going to a customer and not even talking about Pyridine because Jubilant and pyridine are synonymous, but for 2 hours, all we

talked about was what were their new molecules coming up, how can we accelerate some of those projects on the CDMO side, we can accelerate and what other areas can we support them on their growth. So, I think, our customers acknowledged that we are changing, we are listening to them, and we are talking a different language than just going and talking about pyridine and pyridine crisis and volumes.

Number 2, of course, with at least 35 of those customers which we are calling, we went with a lot of groundwork and preparation, before seeing them, in terms of identifying their focus areas and priorities and which molecules are they looking to outsource, so, which I explained earlier part of our TAM initiative. So, that led to a more meaningful and constructive dialogue. And in many of those, customers have told us that we should look at their molecules, as I said, we have created a big pipeline on the back of that. Some of that have converted and it will be quite foolish to expect a big proportion of that converting within a year. All of it we are looking as a multi-year journey and relationship, but a few big contracts that we have announced and what you saw coming as an upside blip in our revenue trajectory, gives us the confidence that the conversions will also follow. So, honestly, at this stage, I am not worried about the conversions because we are doing the right thing, customers are engaging, they are opening up leads for us and we are following up and we have the capabilities to convert on them so conversions will happen, if not immediately, then in coming quarters or years.

Pavleen Taneja: Thank you, Deepak. The next question is on Pyridine derivatives. How much of the base Pyridine is consumed captively and with expansion of pyridine portfolio, how do you see the mix getting changed over a period of years? Also, if you can share out of these 36 derivatives, how many of these would be campaign based and the current contribution to specialty chemicals? What we see today is the new leadership team helping us in the transformation journey and your thoughts on the retention of this talent to achieve your desired goals?

Deepak Jain: Pavleen, you'll have to simplify the question.

Pavleen Taneja: Okay. There were 2 questions actually, the first one is for Ambrish, and the second one is for Deepak.

Ambrish Dixit: So, I think, you know, on the pyridine derivatives side, we have 7 plants which are multi-purpose plants, there are certain streams which are dedicated for certain molecules where volumes are large but these are all multi-purpose plants, then you know, certain products are 24x7x365 days, certain products are on campaign basis, so, it's a mix of the lot. Now, the other question, Pavleen, was on the?

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Pavleen Taneja: If you can share out of these 36 derivatives, how many of these would be campaign based and the current contribution to specialty chemicals?

Ambrish Dixit: I think when we say 36, it's a majority I think, almost 80%+ would be where we are market leaders and contributing to our FC sales and our PnP derivatives. Obviously, diketene are also there, which are more dedicated in nature, but it's a mix of the lot. And it has been pretty old, we have been in these products for almost 20 years, all put together as a derivative journey. So, these are very strong large products, this is a large portfolio, primarily serving to pharma, agro and industrial, consumer, food, nutrition etc. We are selling across the globe, domestic. US, we sell within China as well, we sell to Japan. Europe sales is relatively large across the globe, other than India. So, it's a big slot.

Deepak Jain: Yeah, so, I think part of the question was whether they were campaign based products. So, because there are so many derivatives, and we make them in our multi-purpose plants. We have 7 multi-purpose plants in Gajraula and building the 8th one. So, obviously,

these have to be campaign based products, all these are speciality, these are not the bulk volume based products. So, we know, who those customers are, and they give us the visibility and we do the real-time planning and scheduling and production of the products in our multi-purpose plants. So, yeah, these are campaign-based products, but for many of them, for all of them, customers know us for several years and they give us visibility well in advance for us to plan that up.

Pavleen Taneja: So, the next question from the same participant is, what we see today is the new leadership team helping us in the transformation journey and your thoughts on the retention of this talent to achieve your desired goals? This is for Deepak.

Deepak Jain: Obviously, not just for our industry and company, finding the right talent and retaining them is the biggest challenge if you ask me. We have been lucky to find, first retain whatever good talent Ingrevia anyway had and then we as a group are known as somebody who can find and retain the talent not just in this business but in other businesses also, so we obviously had a good start but we also have been very lucky to find some of the new talent, some of them standing here. I think, for me at least, now I am saying as somebody who has been on the other side as a consultant, the biggest thing that helps in retention of the talent is whether we are excited about the mission and the challenge that has been taken. I think I personally feel, and you should interact with the team, and they will talk, I don't want to speak on their behalf but the energy, the excitement and the focus that I see towards the mission we have defined, gives me the confidence that all of us are charged up and working towards the mission. Obviously, there are other aspects of keeping a team motivated, all of that is well taken care of through our HR systems and our incentives systems.

Pavleen Taneja: So, the next question is for Ambrish and Amit. For the Oil field Chemicals and Specialty Chemical Portfolio, could you please share the application areas and also what would be the total addressable market and serviceable market for Jubilant?

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Amit Saini: So the application area where our current intermediates are getting into is the corrosion inhibition application in the oil field segment. And this particular segment of corrosion inhibition is very wide, there are several alternatives that can be used. But this is one of the key intermediates which gets into the upstream, midstream and downstream side of the oil field. And if you talk about the total key customers the oil field, it is very wide and we believe it's about a \$13bn industry. And having a good foothold in the segment, with notable customers in the segment, we are looking at adding new products as we move ahead and specially trying to see where or what those fits could be based upon our expertise and what the customers need.

Pavleen Taneja: Thank you. Our next question is for Varun. What is the asset turn that the company is expecting from the speciality chemical business at the maturity when the company achieves the Rs. 6000cr target by FY30?

Varun Gupta: So, I'll put it in a different way. Any new capex that we will do should give me a minimum of a 20-25% ROCE and typically in a specialty chemical, be it a CDMO contract the ratio of the asset turnover should be in the range of 1.2-1.5 at the best. So, that's how I will put it. As long as my assets are giving me a better ROCE, turnover for me comes secondary from then. They should be more profitable and generating more profits for us. But that's the typical, 1.2-1.5 is the ratio that it goes to.

Pavleen Taneja: So, another question is also for Varun. Since we are aiming at tripling our

revenue by FY30, how do you expect to fund the capex required to achieve this kind of a growth going forward?

Varun Gupta: A goo

d question for all the analysts building the model here. So, most of it will be funded through our internal accruals as our profitability increases and our cash conversion touches 100, the first port of call will be the growth capexes, and while the timing plays a factor here, most of it, the lion's share will be through the EBITDA that we generate. Does it answer?

Deepak Jain: Yeah, I'll just like to add to that. If you see the last 3 years also and some of you have asked this question during the investor calls also. We have invested almost Rs. 1700cr and our loan is still only at Rs. 750cr, so we have, whatever internal accruals we have generated through the EBITDA and through the efficiencies, we have reinvested and that's the plan. And if we do it in a disciplined manner, atleast our excel model suggests that we will remain within the asset turnover ratio that Varun showed in his slide, despite the massive growth that will happen in the next 5 years.

Pavleen Taneja: So, the next question is, how should one think about the incremental Rs, 100cr savings that we have planned to do and what are the changes that we'll need to drive this?

Deepak Jain: Vijay.

Vijay Srivastava: So, this 100cr savings we are expecting to come from few critical assets, energy will go on to be a driving factor where 50% of the savings is expected to come next year. After that, norm improvement is the second area we are working on, third is the effluent treatment. These are the 3-4 areas where we expect the savings to come.

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Pavleen Taneja: Thank you, and the next question is, for the growth roadmap that we have given for Pinnacle 345, is it only the volume growth that we have taken into consideration or certain price increase also that we have planned for the Pinnacle 345 roadmap? Also, what are the key risks for our pinnacle 345?

Deepak Jain: Let me take that, I think it is a very good question. And we did build out those scenarios. So, first, couple of base assumptions we have made, of course, we expect the market to come back in the near terms. As I said in early parts of my presentation that we are already seeing volumes coming back in the core segments, so we are hoping that atleast from volumes perspective, the market will normalize and whatever the bloodbath which has happened over the last couple of years will subside. And atleast the indicators suggest that assumption is a valid one and the volume recovery will not get delayed any further. On the pricing, in most segments, going in assumption is, that prices have reached a new normal because of the overcapacity in China and we are not expecting the prices to come back anytime soon in a meaningful way.

So, our say is that it will take atleast 2-3 years for prices to show any kind of recovery in all likelihood to, we have come to a new normal. There are products in China where the over capacity is upto 60%-70% and hence the competition will remain and of course it is a very uncertain world. All the tariffs laws happening around the world, no one can predict what can happen, if tomorrow, there are meaningfully large tariffs for one country or others.

But the base case scenario we are building is keeping the prices for most segments where there are marginal uptakes in some segments. Acetyl is the only assumption in that segment because acetyl works in a very different way. It's a commodity product; it goes with the cycle. There, we are hoping that as volumes come back, the acetic acid, which is a driver for acetic anhydride, which is our core product, the prices should come back. But again, that's just an assumption. As Himanshu showed in acetyl business, we are not expecting an exploded growth in the next 5 years, 1.5 times sales based on, largely volume recovery but a little bit price recovery as well.

Pavleen Taneja: Thank you, Deepak. The next question is that we have seen significant manufacturing

footprint and strong balance sheet for Ingrevia, so what kind of inorganic growth strategies can we see and what kind of growth potential targets that the organization would be interested in?

Deepak Jain: Partha, do you want to take it?

Partha: So, as we look at the pinnacle 345 target and we have laid down the plans by each business unit but we do believe that there is an inorganic part which will also play a critical role. So, it's not a gambit, we are actively looking at quite a few assets in the space spread across the business units and we will talk about, you know, as and when it materializes, but it will play a part of our growth strategy.

Deepak Jain: Yeah, so, I think, one thing I would like to add over what Partha said, our areas where we want to do M&A are very cleanly and neatly defined and sharply defined. We are not going to do M&A just for the sake of doing M&A. We are very clear and in line with the strategy we share today, where we think there are gaps in our portfolio and were doing something inorganically, whether it's a full-fledged acquisition or JV or partnership or whatever other
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structure we follow. We are very clear where the gaps are and where doing any inorganic move can help us accelerate our journey and bridge the gap that I talked about to reach

Rs. 10-11,000-12,000cr. So, organically, we already have a lot to do as you saw in the portfolio, so we of course want to, our first priority is to deliver on that, obviously as Partha is explaining that based on the thesis area that we have defined, we have already started to make a list of potential targets and we are also speaking to some bankers who are helping us, so as and when we find the right target in our thesis area, we will of course, go for it.

Pavleen Taneja: Thank you, Deepak. So, the next question is, with the exports remaining a key area for our future growth, how much are we immune to the tariff wars US and other global trades issue and how we see our future revenues' contribution from US and European region?

Deepak Jain: Ambrish, you want to take it.

Ambrish Dixit: See, I think, right now Trump is our elephant in the room. Nobody can predict it will go in which manner. For our products, there is no manufacturing in the US, we believe even that the tariff comes, we would be competing against China, you know, let's assume. Because of the fact that we are competing with them only. So, in that scenario, if we assume the worst, we still believe that the Chinese tariffs would be higher than the tariffs which will come to India. So, still that delta will allow us to sell more and also that will increase the cost of what we have seen over the time.

If there's a manufacturing in US, typically they are put at 6-7% of import duties and wherever there is no manufacturing within US, duties have been zero. So, that delta is large, you now, on forth of every, China has, the government has put some duties on them, 10%+, so if it is 0, then it is 10% and if it is 6.5% then it is 16.5%. So China can absorb to a certain percent but beyond that it would be a challenge. So, we believe that this issue will not much impact on our sales.

Second, during presentation, Deepak has already shown that our focus is to increase in Europe and US both. Now, if you see on the agro side, the major players are based out of Europe, top 3 players are there, there are 2 players within US. We are focusing each one of them in both regions, you know, we are focusing on our Fine Chemicals derivatives which we believe will bring strong value. With the facts fully on the pharma side, the tier-1 CDMOS are based out of Europe itself. On one side, we are trying to work with innovators to increase our sales, second, we are also working with their tier 1 CDMO in

Europe where we can increase our sales directly to them.

So, overall, the numbers will double, India will come do

wn as a whole, even

nutrition and any other business. We believe that trade tariffs will be there, but we will be able to take it to next level and Deepak already announced and shared the TAM initiative and the matrix we are having. This example of what he shared was of a customer who came, we met yesterday, was a European player, you know. First time, we almost had 100% share in last 20-25 years and so I think that's the difference we are making with our services. So, we have the products, we have improved our services which will give us a premium, you know, and a certain premium on refusal and long term, longevity in all relations, in days to come. Thank you.

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Pavleen Taneja: Thank you. The next question is, in our CDMO pipeline, what is the % mix of the business that comes from pyridine and Diketene chemistry and also, to reach Rs. 2000cr CDMO revenue target by FY30, what will be the mix like?

Yuvraj: Hello. So, typically, if we talk about our CDMO project mix, it's primarily, in terms of pyridine and Diketene derivatives, but moving forward what we have seen that we are depending upon the kind of chemistry we are working on. We have shifted this to non-pyridine mix more now. That's the shift we are looking at and moving forward in the next 5 years as well.

Ambrish Dixit: I think we can share that in the next 5 years of our major revenue would be coming from non-pyridine. Just let me put it that way. So, pyridine remains a very core building block to offer our share and I stated earlier we are trying to build multiple chemistries which we can offer in the bundle. It is not only limited to pyridine that we will do, it can be other chemistries. In fact, one of our agro contracts, I can share is not based on pyridine chemistry, it is non pyridine, what we are talking about. So, we are growing and will grow as the specialty chemical company offering multiple chemistries where pyridine is one of them, you know, which, we have expertise but not only limit to pyridine or diketene. 50%+ revenue would be non-pyridine.

Deepak Jain: No no, I think I would add to that because I think this question has come up several times in the past also. So, while we are very proud of being number 1 in pyridine, our future growth will be from non-pyridine areas, so just from a CDMO perspective, I think what Yuvraj and Ambrish already said, just to put some numbers in perspective in pharma portfolio. Even today, 70% of my business is non-pyridine. In agro, the 2 big molecules we won are, recently which we announced, one is pyridine, and one is non-pyridine, so we hope that ratio will maintain. Semiconductors has some organic chemistries which we are experts in but none of them are led to pyridine. So, no pyridine.

Pavleen Taneja: So, what about e-pyridine ?

Deepak Jain: So, e-pyridine is of course a catalogue product but in our CDMO project there is none of them are pyridine. So that hopefully gives you a sense that what we are leveraging to push hard in our CDMO business is our chemistry capabilities, not necessarily pyridine as a product capability. And when CDMO customers are coming to us, they are saying like hey, we need these 4 steps, how many of them can you do in your plants or how many of them have you done in the past. That is what is clicking with them, for them to speak to us and give those projects. So, obviously, whatever comes in pyridine, we will take it wholeheartedly and then customers also, in all honesty, do not have a too much choice, I say that in humility, beyond China, if somebody wants to come for pyridine, they have no option but to come to us. But bulk of our growth will come from non-pyridine areas.

Pavleen Taneja: So, another question, again for CDMO, how would the pharma CDMO of Jubilant Ingrevia be different from the CDMO business of Jubilant Pharmova?

Deepak Jain: Okay, let me answer that also. Good question again. I think, first, we did not talk too much about Pharmova in this room. So, for those of you who do not know Pharmova, it is the second baby which came out of Jubilant Life

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Sciences when the split happened in 2021. Almost 1:1 split. Pharmova handles most of our healthcare and pharma businesses. They have multiple businesses. In fact, they also did their investor day a few days back. Some of you might have attended it. The way we look or split responsibilities across, and I just see Arvind here. So, I will invite him also to add in case I miss out something. But the way, at least on the CDMO side, we split the responsibilities. The intermediates part is with us because that is our core capability. As I explained, the name Ingrevia itself means ingredients for life. So, all the intermediates in the pharma world, by and large, are then buyers. Biosys, which is part of Pharmova, thus pharma CDMOs for APIs and some advanced intermediates. So, that is how we split at least the responsibilities or roles. But having said that, obviously, we are sister companies. As and when they get some opportunity where we can help on the intermediate side, we tag team. And likewise, when we meet some customer which is looking for API capabilities as well, beyond just the intermediate strength that we bring to the table, we pull them in into the picture. So, they have more GMP-grade plants for APIs. We have plants more suitable for intermediates.

Pavleen Taneja: Thank you. So, the last question is, the phase-1 of the capex for Jubilant Ingrevia is on March 2025. What is the capex plan for the next 3-4 years?

Varun Gupta: So, the capex plan for the next few years will be predominantly investments in specialty chemicals as we have outlined, which will include investments in the CDMO in the multi-purpose plants or into a new GMP facility as and when the business will come for CDMOs. We will not shy away from making any investments, as long as it meets the threshold criteria. So, the investments we have made, I believe we have enough ammunition till '27 to reach our desired top line and bottom line in line with pinnacle 345 and to reach to the Rs. 10-12000cr top line and deliver the bottom line we have just shown, any additional capex will be in predominantly the specialty and nutrition segments.

Deepak Jain: Yeah, so I think some of you have asked this question in different ways in the past. I think we have invested heavily in the last 3 years, we are hopeful that the peak revenues on the back of those investments will hit in FY27 and a part of it in the market recovery and the slowness in the last 2 years otherwise, ideally, we should have hit the peak in FY26 but nevertheless, all the investments we have made so far, we will hit the peak revenue on the back of that by FY27 but for hitting the numbers we have for FY30, we will need to continue to invest in the business and the quantum could be even bigger than what we have invested in the past, to get that incremental growth in revenue that we are aspiring to get.

Pavleen Taneja: So, one last question, that is again for CDMO, what is the mix of early and the late stage commercial projects, and are we doing any development work for the innovators?

Varun Gupta: To answer this question, we are working for with the innovators from development in-phase molecules as well, and look at our mid as well, we have around 65% of the molecules which are in the in-phase stage of molecules and the rest 35% in the commercial side of it.

Ambrish Dixit: We can say that the majority of the CDMO business is with the innovators, we are not mixing it with the generics, it's directly with innovators, we have been able to create a relationship and we are going deeper and we are

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further expanding into the market and we have already shared that we have accelerated BD efforts and we have been recruiting more people in US, Europe and J

apan. I think those number of projects will go up, phase-1, phase-2, phase-3 and all we are looking. There is the reason why we are also planning to invest further into a new GMP facility, we have 3 ones already but we are planning to put up more on the operational areas side so that we can produce the volumes of these intermediates, primarily on the pharma side are and agro anyway we have been talking big, so those numbers will continue to grow.

Pavleen Taneja: So, this brings us to the end of the Q&A session. And now I would request Deepak to please give his closing comments.

Deepak Jain: I think that it's been wonderful having you all. We really appreciate it, we do realize that it's a Friday evening so you must be having some plans, but you still took time out to join us and hopefully whatever we covered in the last 2-2.5 hours was helpful. We are around, we will be at the booth and obviously we will have dinner as well, so we invite all of you to join us for the dinner and interact with us and have a great evening and a great weekend. Thank you once again for joining us.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2025

May 18, 2025
BSE Limited
Floor 25, P. J. Towers
Dalal Street, Fort
Mumbai - 400 001

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crip Code: 543271 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Trading Symbol: JUBLINGREA

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Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investors' Conference Call for the quarter and financial year ended March 31, 2025

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ursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors' Conference Call for audited standalone and consolidated financial results for the quarter and financial year ended March 31, 2025, held on Tuesday, May 13, 2025.

T

he link to access the transcript of the earnings conference call is given below:

<https://www.jubilantingrevia.com/investors/financials/quarterly-results>

We request you to take the same on record.

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ours faithfully,
For Jubilant Ingrevia Limited

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eepanjali Gulati
Company Secretary

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ncl: as above

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List of Management Attendees

1. Mr. Shyam Bhartia, Chairman
2. Mr. Hari Bhartia, Co-Chairman
3. Mr. Deepak Jain, Chief Executive Officer and Managing Director
4. Mr. Varun Gupta, Chief Financial Officer
5. Mr. Pavleen Taneja, Head Investor Relations

External Participants during Q&A session

1. Rohan Mehta, Ficom Family Office
2. Siddharth Gadekar, Equirus
3. Resham Jain, DSP Asset Managers
4. Rohit Nagraj, B&K Securities
5. Vidit Shah, Spark Capital
6. Nitesh Dhoot, Anand Rath
7. Gokul Maheshwari, Awriga Capital Advisors

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Moderator: Ladies and gentlemen, good day and welcome to the Jubilant Ingrevia Limited Q4 & FY25 Earnings Conference Call.

As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call. Please signal the operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja, Head of Investor Relations at Jubilant Ingrevia Limited. Thank you and over to you, sir.

Pavleen Taneja: Thank you, Ryan. Good evening, everyone. Thank you for joining Quarter 4 of Financial Year 2025 Earnings Conference Call of Jubilant Ingrevia Limited.

I would like to remind you that some of the statements made on the call today could be forward-looking in nature and a detailed disclaimer in this regard has been included in the Press Release and the Results Presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia – Chairman, Mr. Hari Bhartia – Co-Chairman, Mr. Deepak Jain – CEO and Managing Director, and Mr. Varun Gupta – CFO, Jubilant Ingrevia Limited.

I now invite Mr. Shyam Bhartia to share his comments.

Shyam Bhartia: Thank you, Pavleen. A very good evening to everyone. Thank you for joining us on Quarter 4 of the Financial Year 2025 of Jubilant Ingrevia Limited.

We are pleased to announce sustained growth in revenue and margins for our Specialty Chemicals and Nutrition businesses.

Our ongoing cost reduction efforts have further boosted our profitability with quarter's EBITDA margin reaching 14.7% and profit after tax increasing by 153% on year-on-year basis.

We are glad to share that the Board has recommended a final dividend of 250%, that is Rs.2.5 per share, equity share of face value of Re.1 each for FY25. This shall

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result in a cash outflow of. Rs.39.8 crore. During the year, the company has already declared an interim dividend of 250%, that is Rs.2.50 per equity share of Re.1 each and a total dividend for FY25 works out to be 500%, that is Rs.5 equity per share of Re.1 each amounting to Rs.79.8 crore cash outflow.

Let me share the overall market update with you all:

The global chemicals and Specialty Chemicals sector has largely moved past the inventory destocking phase, showing volume recovery in specialty materials.

Commodity segments continue to have volume under pressure though prices remain muted across segments and have stabilized at a new normal.

The Pharmaceuticals end use market is experiencing steady demand, supported by stable pricing and consistent volume placements. Our pharma portfolio with fine chemicals business reflects these positive trends; however, we continue to face low volumes in acetyl business due to low demand in the Paracetamol segment.

Agrochemicals segment has maintained its upward momentum this quarter, fueled by sales growth on both year-on-year and quarter-on-quarter basis. Consequently, average prices in the sector have shown signs of recovery, suggesting potential price improvements during the ensuing quarters

Nutrition markets saw a consistent rise in volumes. Niacinamide demand held steady with prices remaining stable throughout the quarter.

Meanwhile, Choline demand experienced a notable surge, though its pricing remained under pressure due to China imports.

In the light of recent global tariffs imposed by U.S. government, we are pleased to report that the impact on our US sales has been minimal. Approximately, 10% of our total sales are in the US and only 25% of those fall under additional 10% dutiable items. This means just 2.5% of our overall global sales might be affected by the US tariff.

Additionally, the potentially higher tariff on Chinese exports to US compared to Indian exports, we anticipate favorable conditions on both volume and pricing of our US export portfolio in the coming quarters.

Now, let me talk about our Business Updates:

In the Specialty Chemicals business segment, overall volumes remain stable. We

are observing continuous growth momentum across our pyridine and picoline, fine chemicals and CDMO businesses with an expanded pipeline of newer opportunities for the coming quarters. In certain segments, we have started to see a slight price uptick as well.

The Nutrition and Health Solutions business segment saw substantial year-on-year and quarter-on-quarter volume growth primarily fueled by significant increases in choline product volumes. While Niacinamide volumes remain stable, pricing within the segment remains stable throughout the quarter.

We are witnessing a strong interest and customer enquiry in our human and cosmetic grade products and anticipate increasing production at our newly commissioned cGMP-compliant Niacinamide plant and Bharuch, Gujarat in the coming quarters.

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In the Chemical Intermediates business segment, we observed sustained growth in ethyl acetic sales volumes both quarter-on-quarter and year-on-year. However, acetic anhydride volumes remain slow due to weak demand from Paracetamol sector. Overall prices in this segment stay relatively benign, which affected our margins.

Now, let me give you an update on our CAPEX:

In our strategic shift towards value added specialty chemical products, our CAPEX execution track record highlights our dedication of expanding and diversifying our business mix to enhance profitability. To achieve our goals, we have invested Rs.1,745 crore in the last three years out of the announced CAPEX plans of Rs.2,000 crore in FY22.

Looking ahead to FY26 and beyond, we plan to invest in high growth projects such as multi-purpose plants for Fine Chemicals, Diketene Derivatives, new CDMO Projects and Human Nutrition and Health Solutions Portfolio.

Now, let

me share a few details on our future outlook:

We expect sustained growth and improved business performance, driven by advancements in Specialty Chemicals and Nutrition and Health Solutions along with efficient cost management. We remain committed to our Pinnacle 345 Vision and on track to achieve our envisaged growth plans.

With this now I hand it over to Deepak to Discuss the business in detail. Thank you.

Deepak Jain: Thank you, Mr. Bhartia. A very good evening to all of you. At the outset, I would like to thank you all for joining us today for the Q4 of FY25 Investor Call of Jubilant Ingrevia Limited.

Let me first take you through the Overall Market Overview. In pharmaceuticals, during the quarter we observed consistent volume demand across pharma end use segments, particularly in our Fine Chemicals portfolio. Prices remain stable across various end use segments with some areas experiencing increases. However, demand for Paracetamol end use was subdued as customers operated their plans below optimal capacity.

In the Agrochemicals sector, the global inventory destocking issues have eased, leading to a gradual rebound in agrochemical volumes and stabilized pricing.

Pyridine-based agrochemical products are experiencing a steady recovery in both volumes and prices, contributing to consistent growth in our P&P portfolio.

In the Nutrition sector, Choline has seen continued traction with significant year-on-year and quarter-on-quarter volume increases despite prices remaining under pressure. Niacinamide has experienced year-on-year improvements in both volume and prices. Additionally, we are witnessing significant growth in human and cosmetic grade nutrition products, driven by the recent commissioning of our cGMP Vitamin B3 plant.

As you know, we have rolled out several new initiatives in the last few quarters in line with our Pinnacle 345 growth roadmap. Let me share a few highlights on the progress from the last few months. First one, our core product platforms continue to drive growth and leadership in Q4. In pyridine and picoline, we have achieved globally #1 position, and we are the only scale non-Chinese player with significant

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volume growth in FY25 and price increases in select segments. We are now World Leader in almost 35 of Pyridine Derivatives.

In Niacinamide, we have maintained our top two leadership position in feed grade with year-on-year growth in volume and an uptick in prices, while our new cosmetic grade plant should further strengthen our global market share and position.

#1. In Choline, we have maintained the #1 position in the dry CC domestic market with market share recovery in both quarter-on-quarter and year-on-year basis.

In the Acetyl segment, we have retained our market share in Acetic Anhydride and

increased our share in Ethyl Acetate and Acetaldehyde.

#2. We have increased our revenue share of the Specialty and Nutrition businesses in the portfolio to 64%, up from 62% last quarter, and its EBITDA share in the overall portfolio has increased to 94%, up from 73% last quarter.

Our Pyridine and Picoline and its Derivatives, Diketene and Nutrition segments are showing strong year-on-year growth in revenue terms.

Growth areas such as CDMO Pharma, Semiconductor Chemicals and Niacinamide for Cosmetics end use continue to gain strong traction. In our CDMO business we added 25-plus new molecules in our funnel in FY25 across pharma, agrochemical and semiconductor, thus creating new growth vectors which we hope to scale up in coming quarters and years.

#3, on our international revenue, the revenues have grown to 45% share versus 34% last year with a 47% year-on-year increase. Our US revenue grew 22% year-on-year and 4% quarter-on-quarter, while revenue from Europe, Japan also increased.

We continue to focus on key accounts and are expanding our business development teams across US, Europe and Japan with senior sales leaders recently hired f

or

Japan and Europe already.

#4 our key efficiency initiatives from last year continue to deliver substantial annualized savings of over Rs.120 crore from Surge, Lean, Business Excellence and other Energy Saving Programs.

We have now launched Phase-II of our cost optimization program aiming to achieve even higher efficiencies of Rs.100 crore to Rs.150 crore in the coming quarters, thereby further improving our margin.

On the CAPEX front, our recently commissioned Food and Cosmetic Grade Niacinamide and Niacin plant at Bharuch has witnessed rapid volume scale up over the last three months. Additionally, CAPEX is progressing as planned for the two new agro CDMO orders announced in previous quarter.

As Mr. Bhartia has already mentioned, we have already invested Rs.1,745 crore over the past three years from the announced CAPEX plans of Rs.2,000 crore in FY22.

Looking ahead in FY26, we plan to invest Rs.600 crore of additional CAPEX, including some spillover from FY25, which will be largely funded through internal accrual. In future years, the investment will go into high growth projects in a modular manner, including multi-purpose plants for fine chemicals, diketene, new CDMO projects and human nutrition portfolio. In the coming quarters, we will announce the launch of more CAPEX projects in line with our long-term growth strategy.

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On the Sustainability Front as well, our core initiatives remain on track to keep our leadership position intact. I am pleased to announce that we have retained our ESG ranking, achieving a gold rating and being in the top 95th percentile in the Eco Vadis rating. Additionally, our score of S&P Dow Jones Sustainability Index has improved further placing us in the 92nd percentile within the global chemical industry.

As we announced earlier, I m delighted to share that during the last quarter, Jubilant Ingrevia Limited has partnered with O2 Power to source 50% of the energy for its Bharuch manufacturing facility from renewable sources. This marks another step in our journey towards clean energy adoption following similar initiatives at our Savli and Gajraula manufacturing facilities last year. With this agreement, over 35% of our energy needs across all manufacturing units will now be met through renewable, reinforcing our commitment to a greener future. With such initiatives, we are proud to be driving impactful change, as we integrate sustainability into our operations. This will not only contribute significantly to the reduction of scope to emissions but also reduce our power cost in the coming quarters.

Likewise, we have taken several other green initiatives which will help us have significant impact both environmentally and commercially.

Now, let me take you through the updates on all of our three business segments

Individually:

During the year, Specialty Chemicals segment revenue grew 15% on a year-on-year basis on account of improved sales from pyridine and its value-added derivatives, diketene derivatives and CDMO businesses. During the quarter, Specialty Chemicals once again achieved its highest-ever EBITDA of Rs.129 crore and the highest EBITDA margin of 27% in the last 15 quarters. EBITDA for Specialty Chemicals grew by 93% on a year-on-year basis. Improvement in absolute EBITDA and elevated margins were achieved on account of cost optimizations and higher growth in pyridine and diketene derivatives.

The CDMO business continues to grow with substantial increase in volumes both quarter-on-quarter and year-on-year basis fueled by rising number of inbound

enquiries from the agro, pharma and semiconductor sector.

CAPEX for two agrochem orders announced last quarter is progressing on schedule and will add to Specialty Chemicals business revenue and margins in the coming quarters.

In the Nutrition and Health Solutions business during the quarter, revenue for the Nutrition and Health Solutions business increased by 15% year-on-year

on account

of higher volumes of both Niacinamide and Choline segment. EBITDA for the quarter increased by 237% year-on-year and 17% quarter-on-quarter, driven by higher sales of choline products. Additionally, increased year-on-year sales volumes and pricing of Niacinamide contributed to this growth. Our continuous cost optimization efforts are also contributing to higher margins.

With our cGMP facility ramping up well, we observed a significant increase in demand for cosmetic-grade products while our food grade volumes continue to remain steady.

During the quarter our choline products maintained strong volume traction on both quarter-on-quarter and year-on-year basis with stable pricing.

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We achieved positive traction through ongoing cost rationalization efforts and an improved product mix. Additionally, food grade CCBT continue to gain traction, experiencing growth in volumes over the quarter.

In the Chemical Intermediates business, quarterly revenue and EBITDA for the segment declined due to ongoing challenges in the primary end use markets for paracetamol, which negatively impacted both the volumes and pricing of acetic anhydride. Additionally, lower prices of ethyl acetate, led by intense competition also impacted adversely. Since acetic anhydride continues to face challenges from its main end market such as paracetamol and we are placing greater emphasis on ethyl acetate and acetaldehyde volumes to offset the impact of lower acetic anhydride volumes.

Before I hand over to Varun, I am also pleased to share with you that Jubilant Ingrevia got a Great Place to Work Certification in the last quarter which is just the substantiation of all the efforts we are putting in to make our company better place to work for our people.

With that, let me just hand over to Varun to take you through the Financials.

Varun Gupta: Thank you, Deepak. A very good evening to all of you. I would like to thank you all for joining us today for the Quarter 4 Investor Call of Jubilant Ingrevia Limited.

The overall revenue during the quarter stood at Rs.1,051 crore as against Rs.1,071 crore in Quarter 4 last year. The revenue was lower mainly due to the lower year-on-year revenue from our Chemical Intermediates business segment. The EBITDA for the quarter stood at Rs.155 crore, reflecting 54% rise on a year-on-year basis and a 5% increase sequentially over the last quarter. The growth in EBITDA was primarily driven by margin improvements in the Specialty Chemicals and Nutrition and Health Solutions business segments along with the various cost optimization initiatives which we have highlighted in the earlier call.

The net debt of the company as on 31st March 2025 was Rs.658 crore and net debt-to-EBITDA ratio has now reduced to 1.18 times as against 1.36 times in the previous quarter calculated on the basis of trailing 12-months EBITDA.

The capital expenditure incurred during the quarter was Rs.65 crore and Rs.365 crore for the completed financial year, which was primarily funded through internal accruals. In Financial Year '26 too, we plan to invest Rs.600 crore including the carry forward of the previous year's projects in CAPEX to be again funded primarily through internal accruals.

Net working capital percentage to turnover for Quarter 4 '25 reduced further at 17% as against 18.3% in Quarter 3 '25. Similarly, number of days of working capital has further reduced to 61 days as against 65 days in Quarter 3. This is reflective of our continuous efforts towards having optimal working capital and improving our OC which has shown continuous improvement in the last few quarters.

Lastly, the PAT for the quarter was Rs.74 crore as against Rs.29 crore in Quarter 4 Financial Year '24 witnessing an increase of 153% on a year-on-year basis.

We will now be happy to address any questions that you may have. Thanks.

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Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. The first

question comes from the line of Rohan Mehta from Ficom Family Office. Please go

ahead.

Rohan Mehta: Hi, thank you so much for the opportunity. So, I wanted to understand what are the current spreads in the acetic anhydride business, and also, when can we expect bottoming of both the acetyl cycle? That is my first question. And also on the Specialty Chemicals segment, purely from the next quarter perspective, how do you see the current export volumes on the Specialty Chemicals side, especially pyridine derivatives?

Deepak Jain: Yes. Thank you, Rohan for the questions. Let me start by talking about the acetyl business cycle. As I shared in the previous two quarters as well, we are going through a down cycle in acetyl business on the acetic anhydride side, at least primarily driven by the low demand on a couple of big segments, end use segments such as paracetamol as well as agrochemical segment where acetic anhydride goes as a key ingredient.

What we have observed is over the last few quarters there was a stocking of excess inventory in both the segments, but at least based on what we are hearing from our customers and our own analysis suggests that most of the inventory is now cleared up or will get cleared up in the coming quarter and hence we are hoping that we are very close to the bottom of the cycle and demand will start to pick up again in both paracetamol and in acetate at least which is one of the key and use segment of acetic anhydride, we are already seeing some volumes coming back gradually. So, we are hopeful that as that happens, in the coming few months, the pressure on the segment will start to ease off, and as a result, we hope to see an uptick both on volumes as well as the price of acetic anhydride.

Coming to your second question on Specialty Chemicals exports, the exports have been increasing. Even in the last six months if you analyze EXIM data you will see our exports have increased significantly. Now diketene derivatives also we got couple of big orders in the last quarter which will continue through the year and then hopefully in the coming years as well for some of our newer products in the diketene value chain as well as our CDMO business, where in the coming months we will start to supply volumes against the CDMO contracts that we have announced in the past few months. So, across the three parts of our Specialty Chemicals business, our exports volume are growing in a very significant way, which is also reflected in our overall business mix where exports have grown almost 50% versus last year in the overall portfolio.

Rohan Mehta: Got it. That is all from my side, sir. Thank you so much.

Moderator: Thank you. The next question comes from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Hi, good evening. So, the first question is on FY25 revenue growth. Despite the kind of performance we have seen, we have not seen any material revenue growth. How should we think about this under our 345 Pinnacle program?

Deepak Jain: Yes, that is a good question, Siddharth. You will have to dissect our growth rates by businesses. If you look at Specialty as well as Nutrition segments, they have grown quite significantly. Specialty segment growth is 15% year-on-year for the whole year FY25 and volume growth is even higher than that because pricing decline in a couple of segments the net growth in revenue terms is 25% and Nutrition segment has also

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grown by almost 10%. And these are the two segments where we have been investing heavily and as we shared in our opening remarks also Rs.1,800 crore of investment that we have made in the last three years has gone into specialty and nutrition segments and we are in the process of ramping up the capacity utilization of these two businesses or the capacity which have come up in these two businesses.

So, we are pretty sure that we will be ab

le to maintain almost 15% to 20% growth in these two segments on a year-on-year basis in the coming years, which is very critical to meet our Pinnacle 345 Vision. Acetyl is the only business which as I explained in response to the first question which is going through a down cycle, but as I mentioned it is very close to the bottom of the cycle and we see an uptick in both volumes and price which will further give boost to the growth on the acetyl business, but also on the overall company revenue. So, at this stage, we are hopeful that we will be able to maintain a 20% year-on-year growth trajectory to meet our Pinnacle 345 aspirations by FY30, at the overall company level.

Siddharth Gadekar: Yes. The second question is on the spec chem EBITDA for the full year. EBITDA has grown by almost 70% from Rs.248 crore to Rs.422 crore. Out of this EBITDA, how much of this would be attributed to the cost savings initiatives that we have done?

Deepak Jain: See, I have been sharing those updates in the quarterly calls. We have been working

on both sides. One is increasing the volumes in Specialty Chemicals and as I just said, the volumes have grown even faster than or more than 15% last year and at the same time we are focusing on cost optimization efforts as well. We have not shared the exact breakdown in the markets because of confidentiality reasons. But what I can tell you is both sides have contributed in a very healthy way to the overall growth of EBITDA which we have seen.

Siddharth Gadekar: So, lastly, on that Lean 2.0 where we are expecting Rs.100 crore, Rs.150 crore of incremental cost savings, should we look at that coming entirely in FY26 so that can spill over to FY27?

Deepak Jain: The intent is to deliver those kind of savings during the year itself, but of course as we talk we are still in the process of defining as well as executing some of those initiatives. We are moving as fast as we can to ensure that bulk of it gets aggregated into FY26 P&L itself. There could be some minor spillover, but at this stage at least we are hopeful and working towards ensuring all of it, or most of it comes in FY26 itself.

Siddharth Gadekar: Okay, sir. Thank you so much.

Moderator: Thank you. The next question comes from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Yes. Hi. Good evening, team. Congratulations first of all for a very strong performance in FY25. So, I think there are three questions from my side. First is the overall Rs.2,000 crore CAPEX including some spillover in FY26, what is the kind of revenue you are expecting overall, how much has been achieved and what is that incremental which is yet to come by?

Deepak Jain: Yes, Resham, that is a good question. So, out of the Rs.2,000 crore, as we said, we have committed close to Rs.1,800 crore, some part is spilling over into FY26 particularly against the big project that we announced on the agro CDMO side couple of quarters back, but as we shared in the previous calls as well our revenue to

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CAPEX ratio for most of the Specialty and Nutrition investment is close to 1.3, 1.4 and on the acetyl side, it is close to 1.6, 1.8 of course, depending on what price acetic anhydride is floating at. But at an overall level, average revenue to CAPEX ratio has been close to 1.5, which means the full potential revenue coming from this Rs.1,800 crore of investment and then if I take out some of the infrastructure investment like in the boiler, etc., will be close to Rs.2,000 crore to Rs.2,500 crore. Of course, part of it is dependent on what price level the market is operating at. I would say at this stage based on the capacity utilization as well as the mix of revenue from new areas in our FY25 revenue, I can tell you almost 50% of that has already been achieved and the incremental growth of another 50% will be coming or Rs.1,000 crore odd will be coming from the same asset as we star

t utilizing them at a higher capacity levels.

Resham Jain: Okay, understood. So, basically if I look at the revenue at aggregate level, we have improved on margins, but revenue maybe because of price it is still not fully visible, but you expect a good healthy growth in FY26 because of all this utilization level?

Okay, got it.

Deepak Jain: Resham, absolutely right. And if you look at our revenues, just compare it with FY23 revenue with FY25, you will see the Chemical Intermediates revenues have come down to almost Rs.1,000 crore. So, what has happened is we have added new revenue of about Rs.1,000 crore plus through all these investments but that got offset by the decline in Chemical Intermediates, which is what I was saying, on the back of this new capacity, if the total incremental revenue expected were Rs.2,000-2,500 crore, half of that we have achieved, but of course that half got offset by whatever happened in Chemical Intermediates, but the other half of Rs.1,000 crore plus is yet to come, which we are hoping to achieve in next year or so.

Varun Gupta: Resham, Varun here. Just to add to what Deepak mentioned, if you see our full year results, our specialty has grown by 15%, our Nutrition has grown double-digit at 10%.

So, the growth drivers that we have highlighted are continuing firing, it is just that pricing in chemical intermediaries at an overall level makes the results look muted, but the growth drivers are performing in line with what we have highlighted earlier.

Resham Jain: Yes, correct. The second question is with respect to Nutrition. So, if I look at FY22 level, you did almost like Rs.160-odd crore of EBITDA. We have seen good improvement this year compared to last year, but still much lower than what we did in FY22. So, should one expect that what happened in FY22 was aberration, what could be the normalized level of EBITDA compared to what you did in the past?

Deepak Jain: See, FY22, as we all know, Resham, was a peak year for everyone in all chemical categories. So, I would not set that as a benchmark. We have always said that in the Nutrition business; our steady state EBITDA should be around 16% to 18%. And if

you look at last quarter or let's say FY25 overall, we are at 14% while last quarter is at 16%. So, we are close to where it should be based on the existing set of assets. So, I think maybe there is some improvement potential from Rs.101 crore that we have announced in FY25, but I do not think at least on current asset it will go back to Rs.160 crore.

Having said that, we have recently commissioned the new plant, which is a high margin, high price product, that will add significantly in the next three or four quarters and we are already seeing a good ramp on the volumes from the new plant. #2, even in our animal nutrition portfolio, we are adding new products on the premixes side which are high margin products for us. And #3 in the human nutrition portfolio, as I have announced in the past, both state molecules like CCBT as well as some of the premixes we are working on, should add further to the overall growth as well as margin profile of that business. Stepping back, currently, our Nutrition business is about Rs.750 crore. As we shared in the Investor Day also in February, Page 11 of 16

we have plans to take the business to 2, 2.5 times in the next five years as part of our Pinnacle journey and the EBITDA margin falling close to 16% to 18% in steady state.

Resham Jain: Yes, got it. The last question is we saw a very good margin growth this year as a whole. So, the EBITDA grew much faster than revenue. And given that you have cost saving initiatives, should one expect similar momentum in FY26 as well in terms of EBITDA growing faster than revenue?

Varun Gupta: Hi, Resham. So, yes, EBITDA growth will continue in the very similar trajectory. But next year, as Deepak mentioned, for us, we are intending to grow aggressively in 2026. S

o, EBITDA growth will definitely outpace the growth in revenue predominantly because of the portfolio shift as well as the savings initiatives. So, logically it will be pacing ahead of growth.

Resham Jain: Okay, understood. All the best for the next year. Thanks.

Deepak Jain: Thank you, Resham.

Moderator: Thank you. The next question comes from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Hi sir, one more question on the CDMO side. What was our CDMO revenues in FY25? And we spoke about 25 new opportunities we are exploring on the CDMO side. Can you give some color on what kind of opportunities are those and when we will see actually those shaping up?

Deepak Jain: Yes, Siddharth, hello, again. First of all, we, we never disclose the segment wise revenues within specialty. So, I would not be able to give you a specific number. But what I can tell you is our CDMO business is full and will scale up pretty rapidly on the back of the contracts we have signed on the agrochemicals side as well as the traction we are getting on the pharma and semi-con side. Now coming back to the second part of your question on this 25 plus molecules, as we have shared in the past, our CDMO business has three parts – Agro, Pharma and Semiconductor. We have sales funnel which we have created along with dedicated team for each of the three parts and we are doing aggressive business development in terms of meeting the customers in US, Europe and Japanese markets. On the back of these 25 molecules which we added in FY25 itself. They are at various stages, for instance, in pharma, a lot of leads which come, are at Phase-2 Phase-3 level. So, they will take time to scale up. But these are high quality molecules and falling in our chemistry and that is why customers have confirmed even samples for many of these to us. So, we are hoping that as they scale up in the coming quarters and years, the pharma side of CDMO business will scale up.

Similarly, on the agro side, there are two commercial projects which we have already announced to the market. So, I would not talk about them. Both are scaled projects and will add substantially to our overall revenue as well as margins by end of this fiscal year, but there are at least half a dozen other opportunities or molecules where customers have shown strong interest, and they are again in various stages of discussions with the customers.

On the semiconductor side, I have shared in the last quarterly call as well as on Investor Day presentation that we have close to eight to 10 molecules and for half a dozen molecules we have already sent the samples also to the customers. Small volumes, small value to start with, but because this is just the start of semiconductor Page 12 of 16

for us, we are hoping on the back of this we will be able to create both capabilities as well as credibility with the customers to scale up this business in the coming years.

Siddharth Gadekar: Sir, just on the semiconductor part, how long does it take from samples to actual

deliveries, like what is the time for customers to approve a vendor?

Deepak Jain: See, Siddharth, you will appreciate semiconductor chemicals is new to India access not just to us. And even the customers who are outsourcing these molecules are testing the water. So, they are navigating in a calibrated manner. So, I think they have moved within a year, almost six of them moving from just a plain vanilla lead to sampling is actually faster than at least what I thought last year around this time. We are hopeful that they will move to commercial revenues in the next couple of quarters, but the revenue contribution of that could be small to start with because this is how the semiconductor space works and anyway as I said customers are also moving in a calibrated manner.

Siddharth Gadekar: Got it, sir. Thank you so much.

Moderator: Thank you. The next question comes from the line of

Rohit Nagraj from B&K

Securities. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and congrats on good set of numbers. First question again is on the CDMO front. So, given that our strong focus incrementally on CDMO with the three sub-segments catering to, what are the capabilities that we have developed over the last couple of years and where we are differentiating probably from other competitors from their offering. So how everything is shaping up from the capabilities and the chemistry point of view? Are there any unique chemistry that we are working on where probably we will have some kind of advantage? Yes. Thank you.

Deepak Jain: Thank you, Rohit. Yes, definitely I think the customers also keep asking us the same question and we have been able to give a credible answer to them, that is why we are getting these leads. But while I cannot go into the technicalities and details of that, what I can tell you is there are three or four areas where we have invested heavily in the last couple of years. Number one is we have a strong R&D team of 150-plus people and we have hired a bunch of new folks in our new R&D center in Greater Noida which we had announced two years back. So, the core R&D capability has been beefed up significantly in the last two years and we are still going through that process. So, even this year, we will be investing heavily in our R&D to create that muscle.

#2, while we have 30-plus chemistries where in the last four decades we have done plenty of work. There are 10 to 12 chemistries which are core to us where we have done probably more amount of work than anyone else in India. And in those chemistries, the customers always prefer us.

#3, we have some core product platforms or chemistries like pyridine or diketene or many other even acetyl anhydride, etc., Whenever customers have a requirement in these chemistries or wherever the KSM is dependent on these chemistries, we are the first port of call. So, the two agro chemical contracts we announced couple of quarters back are linked to these kind of product platforms where we have the unique advantage vis-à-vis anyone else not just in India but in the world.

And fourthly, even in terms of our BD capabilities and the level of engagement we have had with the customers over the last 1.5 years with almost 120 plus customer meeting that I myself have done, which I told in last two quarters as well and the whole business team as well as the business development teams that we are

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strengthening as well as scaling up in markets like US, Europe and Japan, we are getting very strong traction. The customers believe in our story and they are seeing what we are delivering in the projects which have already been awarded to us. So, a combination of all these 4-5 things is leading to a very strong flywheel for us, which has started to spin and I am very confident that in the coming quarters it will move even faster.

Rohit Nagraj: Thanks. That is a detailed explanation. The second question is in terms of again coming back to Pinnacle 345. In terms of incremental CAPEX to reach that 3X and 4X revenue and EBITDA expectedly, what is the kind of CAPEX which will be required beyond FY26 where you have already spelled out the CAPEX number?

Deepak Jain: Yes. So, we gave a directional answer there even in our Investor Day in February.

Rohit, the short answer is over the next 3-4 years, we'll need at least Rs.600 crore to Rs.800 crore of investment every year, to achieve the organic part of that Pinnacle 345 Vision that we have crafted, which means if you take the four years, anywhere between Rs.2,000-2,500 crore of additional investment. Of course this comes with the disclaimer that we are making certain assumptions on the pricing of the products which now seems to have stabilized, but we will have to see what happens to pricing in the coming two or three years. If the pricing st

ays where it is, with that kind of

incremental investments, we are hopeful we will cross the Rs.10,000 crore mark which we said organically we want to do as part of the Pinnacle journey.

Rohit Nagraj: Right. And one last clarification on the cGMP compliance facility. So, have we started providing the samples and where are we in terms of the approval process and what are the timelines we are looking at for the initial commercial orders to commence from this?

Deepak Jain: You are talking about the cGMP, right or the pharma?

Rohit Nagraj: Yes, the human and the cosmetic grade products.

Deepak Jain: Oh, human and cosmetic grade?. Okay. That plant just got commissioned in January. The total capacity is about 4,500 tons. We are hoping that in the next 18 months we will be able to get to 70%, 80% utilization levels.

The plant is ramping up well, has started to stabilize now as well and in the last three months itself, we have done significant volume, more than what at least I thought the kind of traction we will get, and we are also in discussions with a couple of big customers for long contracts and recurring annualized contracts. So, we are quite hopeful. And what will help us in that business is whatever is happening in the US market because that is one key market for us and we compete against the Chinese and with the tariff situation evolving so far at least in favor of India we are quite hopeful that we will get a big upside there in the next 12-months, which we will be able to capitalize on.

Rohit Nagraj: Sir, that is all from my side. Thanks. And all the best.

Deepak Jain: Thank you.

Moderator: Thank you. The next question comes from the line of Vidit Shah from Spark Capital. Please go ahead.

Vidit Shah: Hi, thanks for taking my question. My first question was, you mentioned that we are seeing volume recovery in Chemical Intermediates and parts of Specialty Chemicals,

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but can you guide us as to what we are envisaging for the prices in FY26 and '27 and how impacted they are and when do we expect the prices to start seeing some sort of recovery?

Deepak Jain: So, Vidit, the answer will vary significantly by the three segments. If I look at the Specialty Chemicals segment, obviously, prices have come down across segments as we have been sharing in the last few quarters, but we think they have bottomed out now and for the last six months or eight months also the prices by and large speaking have been stable. At least based on what we know in terms of the capacity situation globally, particularly in China we do not see a big possibility of price coming back in a significant manner, but of course there will be some marginal increase which can come based on the demand/supply factors depending on which segment you are talking about. That is on specialty. So, in a base case scenario we mentioned or announced that in investor day also has been worked out based on today's pricing, which we hope will remain stable with some upside coming in, in at least some segments due to the demand/supply factors.

On the Nutrition and Health Solutions segment, the feed segment of B3 will remain stable. There are some short-term volatilities during the quarter, but if I take long term secular trend, it will remain stable, we do not see any big upside or pressure there but the new segments that we are getting into like the high grade niacinamide, cosmetic grade, food grade and some of the food nutritional products there we see price benefit anyway because those are high value segments, but also in those segments, given the higher demand, I am hopeful that pricing can go up marginally. On the Chemical Intermediates, as I explained to the very first question, we are at the bottom of the cycle or very close to that. We are hopeful that pricing will start to go up gradually in next quarter or so based on at least whatever we are hearing from our customers.

Vidit Shah: Okay. Than

ks for that detailed answer. And the second one was on margins. So, in

FY26, we are still implementing some cost saving initiatives which you said by the end of the year should hopefully be fully through. So, FY27 and beyond, what would you expect steady state margins for each of the segments? Nutrition you said is 16% to 18%, but if you could help us guide for the other two segments would be great?

Deepak Jain: I think for the Specialty Chemicals with everything we are doing and we have said that in the past also 22%-plus margin is visible, hopefully more close to 25% as we build out scale and continue to work on our cost initiatives. Nutrition, you already said it; 16% to 18%. And Chemical Intermediates. If you take a long-term secular trend and we see the data regularly. If I take the last 10-year average EBITDA of my Chemical Intermediates business, it will be 10-12%. So, those are the baseline assumptions. But of course there are several factors which keep playing every year,

Vidit. So, just extrapolating it based on that may not be the right thing. But at a company level, what we are working towards as we announced in our Pinnacle 345 strategy also is more than 17%, 18% plus margin across the three segments put together.

Vidit Shah: Got it. And just a last one on the semiconductor business and the new products you are introducing out there, you said you will be starting in a small way, but what is the functionality of the products that you are introducing in this space, would you be able to share any of that?

Deepak Jain: On semiconductor, as I mentioned, these are CDMO products. So, these are custom synthesis products based on the customer's requirements. So, we cannot share too much about those products. Having said that, we also have our core pyridine chemistry where we are the world leader. There is an electronic grade. Pyridine also
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we are working on that and as and when we are ready with that product we will announce to the markets.

Vidit Shah: Okay, sir. Thank you so much for your responses and all the best.

Deepak Jain: Thank you.

Moderator: We take the next question from the line of Nitesh Dhoot from Anand Rath. Please go ahead.

Nitesh Dhoot: Hi, sir. Good evening. Sorry, I joined really late. Not sure if this has already been taken up. So, just needed one clarification. So, the current year's capitalization is only around Rs.200 crore. So, while I think the cash spend was around Rs.400 crore, but most of it is in the agro MPP. So, was that just the agro MPP that has been commercialized or there any other CAPEX is also?

Varun Gupta: So, the total capitalizations is not Rs.200 crore, it's ahead of Rs.365 crore, that is the capitalization. So, this year we have spent north of Rs.350 crore in our CAPEX. And second part of it, cash flow. Cash flow is in two forms; one is what we have capitalized; and second is the capital advances which sit in the balance sheet. So, we are committed to invest in the CAPEX to fund the growth. What was the second part?

Nitesh Dhoot: No, just wanted to clarify, whether it was just the agro MPP or was there any other commissioning?

Varun Gupta: There is a Niacinamide plant that we have invested in. That was highlighted to start. It was commissioned in January. That was a big CAPEX that we have invested in, In this year, which was commissioned in FY25.

Deepak Jain: As we announced in the past, I think the big investments have gone into of course the agro Intermediate plant which we are going to use for the big CDMO contract. We have invested in the Niacinamide plant, the cGMP plant, we have invested in boiler, we are investing in other infrastructure to support all the growth initiatives and there was some spillover from our GMP and MPP plants which we have invested behind, including the diketene plant in FY24. So, those were the four, five big investments in FY25.

Nitesh Dhoot: All right. Well, thank you

so much.

Moderator: Thank you. The next question comes from the line of Gokul Maheshwari from Awriga Capital Advisors. Please go ahead.

Gokul Maheshwari: Yes, hi. Thanks. Just a clarification on the CDMO project. You had indicated last time that it will go live by January of '26. Is the timeline still pretty much intact?

Deepak Jain: Yes, the big one we are hoping to commission the plan by end of this calendar year and start the supplies to the customers latest by January, hopefully sooner than that. And we had also announced the second one for which the supplies will go starting this quarter itself.

Gokul Maheshwari: Okay. So, in this year you will see the second, but the smaller order being played out in FY26, but the full combined impact of both these orders will be played in FY27?

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Deepak Jain: That is right. But there will be a significant impact on hopefully in the last quarter numbers from the big one even in this year.

Gokul Maheshwari: Right, sir. Great. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, that was the last question, and we conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.

Varun Gupta: So, we thank you all for joining this call today. We hope we have been able to answer your queries. For further clarifications, I will request you to contact our Investor Relations team. Thank you once again for your interest in Jubilant Ingrevia Limited. Good evening to all.

Deepak Jain: Thank you very much.

Moderator: Thank you. On behalf of Jubilant Ingrevia Limited, that concludes this conference.
Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc. The

Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

Call: Aug 2025

August 06, 2025

BSE Limited
Floor 25, P.J. Tower
Dalal Street, Fort
Mumbai - 400 001

Scrip Code: 543271 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Trading Symbol: JUBLINGREA

Subject: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investors' Conference Call for the quarter ended June 30, 2025

Dear Sirs,

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors' Conference Call for un-audited standalone and consolidated financial results for the quarter ended June 30, 2025, held on July 31, 2025.

The link to access the transcript of the earnings conference call is given below:

<https://www.jubilantingrevia.com/Uploads/files/18q2consfileJVL-Q1FY26ConcallTranscript.pdf>

This is for your information and records.
Thanking you,

Yours faithfully,
For Jubilant Ingrevia Limited

Deepanjali Gulati
Company Secretary
Page 1 of 20
List of Management Attendees

1. Mr. Shyam Bhartia, Chairman
2. Mr. Deepak Jain, CEO and Managing Director
3. Mr. Varun Gupta, CFO – Jubilant Ingrevia Limited
4. Mr. Pavleen Taneja, Head – Investor Relations

External Participants during Q&A session

1. Siddharth Gadekar – Equirus
2. Pradeep Thakur – Edelweiss Mutual Fund
3. Rohit Nagraj – B&K Securities
4. Rohan Mehta – Ficom Family Office
5. Junail Shaikh – Awriga Capital
6. Surabhi – NV Alpha
7. Shreya Banthia – Oaklane Capital
8. Harsh Mehta – Perpetual Capital Advisors

Jubilant Ingrevia
Q1 FY26 Earnings Conference Call Transcript
July 31, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Jubilant Ingrevia's Q1 FY'26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pavleen Taneja – Head of Investor Relations at Jubilant Ingrevia Limited. Thank you and over to you, Mr. Taneja.

Pavleen Taneja: Thank you, Rayo. Good evening, everyone. Thank you for joining the Q1 FY'26 Earnings Conference Call of Jubilant Ingrevia Limited.

I would like to remind you that some of the statements made on the call today could be forward-looking in nature and a detailed disclaimer in this regards has been included in the press release and results presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia – Chairman; Mr. Deepak Jain, CEO & Managing Director and Mr. Varun Gupta – CFO, Jubilant Ingrevia Limited.

I now invite Mr. Shyam Bhartia to share his comments. Over to you, sir.

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Shyam Bhartia: Thank you, Pavleen. A very good evening to everyone. Thank you for joining us on the Q1 FY'26 Earnings Conference Call of Jubilant Ingrevia Limited. We are pleased to present the Financial Results for the 1st Quarter of this fiscal year.

Our Specialty Chemical business has continued to perform strongly, growing in double-digit year-on-year and with stable performance on quarter-on-quarter. Our Chemical Intermediate business has started to recover marginally quarter-on-quarter. Ongoing cost optimization initiatives have further enhanced profitability, with EBITDA for the quarter rising 29% year-on-year and profit after tax increasing by an impressive 54% year-on-year.

Let me share the overall market update with you all:

The global chemical sector is emerging from the inventory de-stocking phase. Specialty chemicals are seeing volume growth, though pricing remains stable. Commodity segments continue to face demand challenges, with prices stabilizing at the lower levels. The pharmaceutical end-use market continues to show steady growth, driven by stable pricing and consistent volume growth across various derivatives as well as intermediate segments. The agrochemical sector continues its upward momentum, driven by strong volume growth, both year-on-year and quarter-on-quarter basis. Average prices have been stable for last few quarters now.

Nutrition market saw stable volumes during the quarter. Niacinamide demand remained muted as customers delayed purchases amid competitive offerings, while choline demand rose notably, with prices holding steady. With China Plus One, the macro-trend is creating more opportunities for us, especially in our specialty chemical segments, where we are witnessing healthy funnel across sub-segments. The recent imposition of anti-dumping duty in EU on Chinese choline products, Vitamin B4, is expected to significantly enhance our competitive positioning in this choline chloride market across Europe.

Now, let me share few details on our future outlook:

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FY'26, we anticipate continued growth and improved performance, driven by advancements in our Specialty Chemicals and Nutrition businesses, and expected recovery in Acetyls portfolio. Alongside, we remain committed towards our Lean 2.0 cost-efficiency initiatives to further improve our margins. We are on track to deliver the big CDMO order in early 2026, which should further accelerate our growth trajectory in coming months.

With this, I now hand over to Deepak to discuss the business model in detail. Thank you.

Deepak Jain: Thank you, Mr. Bhartia. A very good evening to all of you. I would like to thank you all for joining us today for the Q1 FY'26 Investor Call of Jubilant Ingrevia Limited.

As you know, we launched our "Pinnacle 345" strategy last year with bold growth aspirations. In last one year, we have made significant progress across every building block of our new strategy, the early results of which are visible in our last few quarters' results, with significant growth in our specialty and nutrition portfolio, and increased EBITDA margins. In Q1 FY'26, we continued building on our Pinnacle journey and achieved several new milestones.

Let me share a few highlights to demonstrate the progress:

The Specialty and Nutrition segment continues to maintain a steady and dominant position, demonstrating significantly improved customer engagement that is actively fueling a strong and expanding business pipeline. This portfolio now contributes approximately 63% of the company's total revenue and an impressive 90% of its EBITDA, underscoring its strategic importance.

Our core product platforms continue to drive growth and leadership in Q1 FY'26. A few examples, within the Pyridine and Picoline segment, we successfully maintained our global leadership and market share in both Pyridine and Beta-Picoline markets. Under our fine chemicals business, we sustained a robust

growth

trajectory, delivering over 15% year-on-year growth.

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Our leadership position across a broad portfolio of 36 Pyridine derivatives remained intact, supported by strong customer engagement and operational excellence. We also witnessed encouraging momentum in our Diketene derivatives segment, characterized by high-capacity utilization levels.

To support future growth and meet rising demand, we have already initiated capacity de-bottlenecking and expansion efforts for new product lines. Additionally, we expanded our cosmetic ingredients portfolio during the quarter, which has seen promising initial traction, particularly with key multinational customers.

Under our CDMO business, the pharma segment saw a significant expansion in its opportunity pipeline, with the funnel doubling in size in the last few months. This growth has been driven by strong traction with innovative pharmaceutical companies and tier-1 CDMOs across key global markets, including the EU, US, and Japan.

In the Agro segment, we started deliveries for first agro contract, progressed well on plant construction for the second one, and continued several other discussions with innovators. In the Semiconductor segment, we now have over 12 opportunities in the pipeline, reflecting growing interest and demand. To support this momentum, we have made strategic investments in R&D and established a dedicated team focused on advancing our capabilities and offerings in this space. Under our Nutrition business, we continued to maintain our leadership position in Vitamin B3, particularly in the animal feed segment. Additionally, we are actively ramping up our presence in the cosmetic and food-grade segments, supported by the commissioning of our new production facility. In Animal Nutrition, we are witnessing strong traction in export markets, especially across Europe, with our specialty portfolio registering double-digit growth across markets. On the Human Nutrition front, we have established a dedicated team that is now scaling up efforts in Choline Chloride and Choline Bitartrate, and also developing several pre-mix solutions for marquee customers. Furthermore, 2–3 new molecules are currently in

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the pipeline, aimed at expanding our offerings and strengthening our position in human nutrition segment.

In the Acetyls segment, we successfully retained our market share in both domestic and EU markets for Acetic Anhydride, reaffirming our position as a reliable supplier in these geographies. Additionally, we achieved volume growth across other key products, including Ethyl Acetate and Acetaldehyde, driven by consistent demand and operational efficiency. Throughout the quarter, we maintained a strong focus on cost optimization initiatives and have actively pursued capacity debottlenecking measures to support future scalability and enhance throughput across our product lines in Acetyls.

The Key Account Management initiative is gaining momentum, evidenced by a noticeable increase in inbound inquiries across Pharma, Agrochemicals, Semiconductors, Cosmetics and Nutrition segments. Currently, there are over 70 high-priority opportunities being actively pursued within the sales funnel, reflecting

robust market interest and potential for future growth. To further capitalize on KAM momentum, we have strengthened our Business Development teams across key geographies including the U.S., European Union, and Japan, enabling deeper customer engagement and broader market coverage.

As a result, we are witnessing a notable increase in revenue contribution from the U.S and Rest of the World markets, with the U.S. revenue growing by 11% year-over-year and Rest of the World revenue surging by an impressive 45% year-over-year. This growth has been primarily driven by the strong performance of our Specialty Chemicals and Nutrition business segments.

We are actively upgrading our plants through a sustained fo

cus on Safety, ESG and

the disciplined implementation of 5S methodologies. As part of our Lean 2.0 cost optimization program, we have set a target of achieving annualized savings exceeding Rs 100+ crore in FY'26, and have progressed well in Q1. In parallel, we have initiated the integration of Generative AI within our R&D functions, aimed at

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accelerating pipeline development and enhancing agility in product innovation and formulation processes.

On the CAPEX front, we continue to make strategic investments to support future growth and key capital expenditure milestones being successfully achieved. We successfully completed the plant modification for our first key agro CDMO order, and started the deliveries with a First Time Right approach in Q1 FY'26. Also, CAPEX execution remains on track for the \$300 million big Agro contract, and we expect to start the supplies early 2026.

The commissioning of the new boiler at our Bharuch facility is scheduled for Q2 of FY'26, with more than 99% work already completed. In addition, debottlenecking initiatives are actively underway to unlock additional capacity across our core platforms, including Diketene and Pyridine. We have also commenced detailed engineering work for a new multi-purpose plant at our Gajraula site, further reinforcing our commitment to expanding capabilities and supporting long-term demand. We expect to start the construction in next few months for this plant. With above progress, we are confident that our topline and margins will continue to show the expected growth trajectory in the next few quarters.

Now, let me invite Varun to take you through the "Financial Updates" on all our three business segments individually and also give an overall financial update.

Varun Gupta: Thank you, Deepak. A very good evening to all of you.

Let me start with Specialty Chemicals:

During the quarter, the Specialty Chemicals segment's revenue grew 11% on year-on-year basis on account of higher sales coming from fine chemicals and CDMO businesses. During the quarter, Specialty Chemicals once again achieved its highest ever EBITDA of Rs. 130 Crore and the EBITDA margin of 27%. The EBITDA of Specialty Chemicals grew by 52% on a year-on-year basis.

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For the Nutrition and Health Solutions business segment:

During the quarter, revenue marginally declined by 4% year-on-year on account of lower niacinamide prices and shipment delays as customers opted for lean inventories. The sequential drop in EBITDA was mainly driven by lower volumes and marginal drop in prices of niacinamide.

Chemical Intermediate Business Segment:

Segmental revenue and EBITDA improved sequentially during the quarter, with revenue of 1.5% quarter-on-quarter, primarily driven by an uptick in acetic anhydride volumes. EBITDA went up by 170 bps to 4.4 bps versus last quarter, driven by our focussed cost initiatives in this segment.

Regarding the overall financial update:

The overall revenue during the quarter stood at Rs. 1,038 crore as against Rs. 1,024 crore in Q1 FY'25. It is critical to note that our volumes grew by 5% in this quarter despite the macro challenges and typical muted momentum in Q1 in most segments. The EBITDA for the quarter was Rs. 153 crore, reflecting a 29% rise on a year-on-year basis. The growth in EBITDA was primarily driven by margin improvements in the Specialty Chemicals and Nutrition business segments along with various cost optimization initiatives. The net debt of the company as on 30th June was Rs. 700 crore and the net debt to EBITDA ratio remained stable at 1.18x, calculated on the basis of trading 12 months EBITDA. The capital expenditure incurred during the quarter was around Rs. 54 crore, which was mainly utilized towards the upcoming CDMO agro plant at Bharuch and was primarily funded through internal accruals.

In FY'26, we planned to invest Rs. 600 crore in CAPEX. The PAT for the quarter was Rs. 75 cro

re as against Rs. 49 crore in Q1 FY'25, witnessing an increase of 54% on a year-on-year basis.

We will now be happy to address any questions that you have.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Hi sir, good evening. So, the first question is on Choline Chloride. Can you give some sense on with this anti-dumping duty on China, what kind of opportunities this can open for us and what kind of volumes and pricing delta that we can see in this segment?

Deepak Jain: Yes, thank you Siddharth. That's a good question and definitely an opportunity that we are very excited about. Choline Chloride, as you may know, is a core product in our portfolio. We have been doing it for several years now and we are the market leader in India with more than 50% share and we have been exporting it to other markets as well. Recently, European Union has put a 125% duty on Chinese Choline Chloride, which opens up an opportunity for us. While we are still getting a sense of the overall market, the initial numbers we have gathered from different sources run into tens of thousands of tons of market in Europe. We are already working on getting our product ready for European Union and we are hopeful that within the next couple of weeks, our first shipments will go to Europe. Once the product is accepted by the market, we are hoping we will be able to scale it up. Like we have created a leadership position for ourselves for Vitamin B3 in the European market, we are hopeful that in Vitamin B4, which is Choline Chloride also in Europe, we will be able to build a leadership position for ourselves in the coming years.

Siddharth Gadekar: Just on the realization difference, what could be the realization difference between India and Europe because of this anti-dumping duty?

Deepak Jain: It's too early to say that, Siddharth. What we do know is before the duties were put, there was already a premium that European market was paying to Choline Chloride versus what the prices in India are. With the duties being put, we are hopeful that the premium will only increase. The exact quantum of that, we will know once we start sending materials to the customers. We are in touch with the customers, so I don't want to speculate the prices right now, but definitely the realizations will be better than India.

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Siddharth Gadekar: Sir, secondly, the multipurpose plant that you spoke about, can you give some sense of what kind of CAPEX that we would be doing for the new multipurpose plant? Is this for the new customer or contract that we would be looking to sign up? Or we are just setting up capacities in anticipation of the demand?

Deepak Jain: As I mentioned in my opening remarks, this is a multipurpose plant and that by definition will be serving several product categories in our fine chemicals as well as CDMO portfolio. Very much similar to the way our seven existing multipurpose plants serve our CDMO and fine chemicals business from Gajraula today. No, it is not a dedicated plant for any particular contract, but it is in anticipation of the products and the volumes we are expecting in some of our core as well as new product categories in the next year or so. For most of them, we are already in advanced stages of discussions with the customers and we are building or at least conceptualizing right now the plant in a way that there is enough fungibility in the plant to fit in multiple products as per the need. And linking it back to the other comment I made in my opening remarks, we are in discussion with our key accounts for almost 70 plus different opportunities and we are hopeful many of them will start materializing in coming quarters. So, we want to be ready with capacity as we get confirmations from our customers.

Siddharth Gadekar: Okay, sir. Thank you very much.

Moderator: Thank you. The next question is from Pradeep Thakur from Edelweiss Mutual Fund. Please go ahead.

Pradeep Thakur: Good evening. Thank you for the opportunity. My question is, during the recent investor meet, the company had guided the additional Rs. 2000 crore investment that you would have done. You would reach a peak revenue of Rs. 8000 crore by FY'27. Does the management still maintain this outlook, sir?

Deepak Jain: So, Pradeep, you are right. We have invested Rs. 2000 crore and with the dedicated plant that we are building in Bharuch for the big agro contract, that Rs. 2000 crore will get completed later this year. But the peak potential of that, I think even in the

investor day, was not Rs. 8000 crore, but we had said around Rs. 6500 crore depending on the pricing. And we maintain that view that from today, once all of this CAPEX gets fully utilized and hopefully in FY'27, we will get closer to that number. But as I mentioned in the investor, a lot depends on pricing as well because in certain segments, pricing is still volatile and has not come back completely. So, let's see how prices come back. But we do hope to utilize the capacity built through this Rs. 2000 crore to be almost 70%-80% utilized by end of FY'27.

Pradeep Thakur : All right, sir. So, my second question is regarding the agro CDMO discussions that the company is engaged in, when can we expect few other agro CDMO contracts to be awarded to us, sir?

Deepak Jain: So, that we are working on them and obviously we announced two last year in October. There are at least five to six more. I have been updating all of you in these quarterly calls. A couple of them are in advanced stages. It also depends on the global macro environment which has just started to turn around. So, we are hopeful in coming months or couple of quarters we will get more confirmations. But we are in constant touch with the customers. We have sent samples also in couple of them. So, all of that is on track. It's hopefully just a matter of time.

Pradeep Thakur: Last question, sir. Now that you are seeing demand coming back in most of your segments, how confident are you that this demand will not fade away and there would be a meaningful recovery?

Deepak Jain: So, Pradeep, obviously like chemical business goes through cycles and we are coming out of a very deep negative cycle. And if you look at segment by segment agrochemical volumes, you look at the results of the MNCs as well as our Indian peers, we are seeing improvement in volumes. In pharma also, there is stability in volumes and prices are holding up. Nutrition is also by and large holding up the volume. So, given that, it's been almost 7-8 quarters of low volumes. Acetyls also by the way, as Varun mentioned in his notes, there is some increase in volumes in the last quarter. So, we are hopeful that we are coming out of the deep drop we were in. Obviously, if some other external global event happens or if the tariff

situation moves against us, not just as a country but as an industry, then anything can happen. But at least at this stage, based on the indications we have from our customers, based on the results we are seeing of our peers as well as customers and our own volumes in different segments, we are hopeful that this will be a more sustained recovery. The pace of which of course varies depending on which segment you're talking about.

Pradeep Thakur: Okay. Thank you, sir. Thank you very much.

Moderator: Thank you. The next question is from Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: Thanks for the opportunity. The first question is the 70 molecules pipeline that you talked about. So, two parts, one is what is the kind of addressable market for these molecules? And second, is there any particular geography that we are concentrating either in terms of import substitution or maybe certain markets like Europe

or so? So, just a little clarity on this would be helpful. Thank you.

Deepak Jain: Yes, so I think while I will not give specific numbers, but what I can say is given that these 70 opportunities we have, we have kind of created by engaging deeply with our key accounts, 30-plus key accounts over the last two years, these are reasonably scaled opportunities. And at an overall level, the overall addressable market will run into thousands of crore. Now, of course, they are at different stages of maturity in our sales funnel. I'm hopeful that over a period of time, 70%-80% of that will materialize, but we will see. As I said earlier, it also depends on a lot of external factors, customers' own plans. But at this stage, we are quite well poised and we are doing everything from our side to give comfort and confidence to our customers that we are the right partner for these opportunities. To your second question, the opportunities are spread across the three geographies which I mentioned in my opening comments, which are EU, which has been a traditionally strong market for us, US, where we are focusing very heavily and we have doubled our business in FY'25 versus FY'24, and Japan, where we are relatively new, but we

have gotten very good traction in the last one year there and we are getting new opportunities from there as well.

Rohit Nagraj: Thanks. Sir, second question, in terms of Pyridine Picoline, where we have a global leadership position. In terms of the pricing, do we not have any material advantage given that we are the largest producer and we can dictate the prices to some extent,

similar to what Chinese players usually do? Do we not have that kind of an advantage here? If not, what deters us in terms of the pricing volatility? Is it predominantly demand led or are there any other factors? Thank you

Deepak Jain: We are the leader, as you rightly said. We run our plants at 80% capacity utilization in Pyridine and Picoline. We do have some price advantage, particularly in the US market, where we are sweetly placed vis-a-vis Chinese. We do get some price premium sometimes in the European market also for specific segments, particularly for Picoline. But I think that segment is driven more by our scale and cost because we continuously keep working on the cost structure and keep optimizing it and hence our imperative as well as intent there is always to ensure we protect our market share and run our plants at 80% plus utilization. So, while we do have some power to command premium, particularly in markets like US and for certain specific applications in that segment, our focus is always to maximize our volumes and keep our cost structure linear.

Rohit Nagraj: Sure. Thanks a lot and all the best, sir.

Moderator: Thank you. Next question is from Rohan Mehta from Ficom Family Office. Please go ahead.

Rohan Mehta: Hello sir. Thank you so much for the opportunity. So, I wanted to understand what percentage of ethyl acetate in terms of is part of your chemical intermediates revenue? That's the first question and secondly, on the entire chemical intermediates space, I think we saw a bounce back in terms of EBITDA margins. Last quarter, you reported at about 2.5% to 3% margins and this quarter it's been better.

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Have you seen that that bottom now has been made and prices can at least stabilize in the interim at these levels?

Deepak Jain: So, to the first question, Rohan, unfortunately, I will not be able to give you specific numbers, but all I would say because we never disclose product-level numbers externally, but what I can say is ethyl acetate is a key product in our portfolio along with acetic anhydride, the two products together form bulk of our acetyl segments and we are pushing hard on both and we have significant share of the market in particularly domestic market for both the products and we intend to protect that position and we have been growin

g volumes in both in the last few quarters, as I

said in my opening remarks. To the second question, yes, we are hopeful. Acetyl has gone through a long low cycle now, almost 6 to 8 quarters and we have seen some uptick in volumes, particularly and applications in agro chemicals for acetic anhydride and some of the industrial segments for ethyl acetate, so we are hopeful that volumes will hold up now and as that happens and with all the cost initiatives we have taken to optimize our cost structure for both the products, we hope to continue to be competitive in the market and maintain our share if not grow it further. And with that, we are hopeful that margins should improve. Now, of course, that market is volatile so anything can happen within a week's time but looking at the fundamentals, the growth coming back in the key segments of agrochem as I was saying as well as pharma and some of the consumer segments where these two chemicals go, we are hopeful that we have seen the worst and we are coming out of it. The pace of recovery could be slower than what we have seen in the past for this product at least based on the initial indications that I have heard from our customers but let's see, I think we will have to see for another quarter or two, how this pans out and whether the volumes hold up or not to be able to draw any meaningful conclusion on the long-term trajectory.

Rohan Mehta: My second question is I think one of your domestic competitors in the Acetyl space actually reported worsening EBITDA on this front. So, I'm just trying to understand was it purely the acetic acid prices which helped you or apart from your lean initiatives was there something more to the margins jumping?

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Deepak Jain: See, I will not be able to comment on any other player's performance, but regarding our business it's a combination like I said, our volumes have grown so that has clearly given us the scale. Our cost initiatives we have been continuously working on so that are helping us as well. Pricing has been muted in fact sometimes or most times, it has acted negatively especially versus last year. On a quarter-to-quarter basis, I think it's been pretty stable if I remember correctly. So, it's largely driven by the volume increase as well as the cost initiatives.

Rohan Mehta: Thank you so much.

Moderator: Thank you. Next question is from Junail Shaikh from Awriga Capital. Please go ahead.

Junail Shaikh: Good evening, Deepak. Firstly, I'd like to applaud the team for what you guys

communicated on Spec Chem and you guys have been very consistent on the profit margins in that division. My question is on the choline side, as obviously the last four quarters in the nutrition segment, we have been in that Rs. 180-Rs. 185 crore run rate. I just wanted to see in the short term at least around 12 months out, what can we expect out there? I know you commented on that, but at least in the next 12 months if you can talk about certain expectations that'll be great.

Deepak Jain: Yes, so nutrition segment there are various forces acting on that portfolio and then part of it, we had explained in our investor day presentation also in February. So, on one side, we have our core Vitamin B3 portfolio which has both feed and now increasingly growing nonfeed segment which served food and cosmetic segment. So, for the food and cosmetic segment, we expect that to grow and with the new plant which got commissioned in March and is now stabilizing, we are hoping the growth will accelerate as we fill up that plant with new orders from a couple of marquee customers. So, hopefully in next couple of quarters, we will see a step change coming from there. The feed segment has been volatile, those of you who have been tracking us there between price and volume, there is always some volatility but we hope that from a long-term trend perspective, it will stay stable and with the US market opening up for us, parti

cularly for food grade on Niacin, we

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hope to grow volume significantly there. The second component of that is our Choline, B4 segment where unfortunately prices have gone down significantly in domestic market, but we have increased the volume significantly versus last year and we are building a specialty portfolio which will again drive growth. At this stage, we feel the combination of specialty and exports growth which I responded to Siddharth's first question on European, we should be able to grow that portfolio as well. And third is we have recently started the human nutrition business and the rest should start hopefully to give us some upside in next couple of quarters. The combined effect of all of that, we are hoping the negative forces which come because of the volatility in the feed segment and prices of chlorine chloride will get more than offset by the growth in our specialty as well as the export growth. Putting together, we do hope to grow this business at 20%-25% year-on-year, which is what we have communicated in investor day as well.

Junail Shaikh: Thanks Deepak and good luck. Thank you.

Moderator: Thank you. Next question is from Surabhi from NV Alpha. Please go ahead.

Surabhi: Thanks for the opportunity. Could you just break down your CDMO pipeline in terms of end-user segments, what proportion would come from pharma versus agro-chem? Within the pharma segment also, if you could indicate any major therapy areas that you would be contributing to?

Deepak Jain: Surabhi, we have three parts to our CDMO business and some of this information we had shared in our investor day presentation in February which is publicly available including the number of molecules in each of the three sub-segments at that stage. That will give you a good sense but there are three parts. There is pharma where as I said in my opening remarks, our funnel has just doubled in the last one year with all the push we have given and mostly we are interacting with innovators and tier 1 CDMOs in Europe and US. The agro-segment as you would probably know, there are only four or five big customers, we are in touch with all of them and like I said in response to one of the questions, we announced two contracts last year, one of which we served the revenues against it in this quarter

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and the second one hopefully will start early 2026 and there are another half a dozen which are in various stages of discussions. Semicon is nascent for us as well as for India as an industry Indian chemical industry, but we have a dozen of semiconductor related CDMO opportunities which most of which we have supplied the samples for and we are hopeful some of them will convert into commercial opportunities, but initially we expect very little revenues from them because these are still early days for semiconductor chemicals for us as well as for the industry and customers are still testing waters here.

Surabhi: Got it. Thank you.

Moderator: Thank you. Next question is from Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: I have one more question on the CAPEX. So, what sort of projects are in the pipeline currently in terms of the plans that we are likely to put up in this year?

Deepak Jain: So, Siddharth, part of it is the flow over on the Rs. 2000 crore plant we had announced. So, obviously as I said earlier, there is a big dedicated plant we are creating in Bharuch which will get completed hopefully by end of this year. That is the major one. Second is the boiler project which also we are expecting to fire

within next month or two. Thirdly, we have existing multi-purpose plants in both Bharuch and Gajraula which we are debottlenecking and creating at least 15% to 20% additional capacity to serve our immediate requirement. Fourth is the MPP8 which I mentioned the multi-purpose plant in Gajraula which should, the detailed engineering has already started and we are hoping

to start the construction in the next couple of months and on our niacinamide plant also, which we commissioned in March, we are doing some changes to convert it into a multi-purpose plant for the human nutrition segment. So, these are the four or five major ones and these along with what we have already invested and announced in the past as I was saying earlier, we are hopeful that the target that we have for FY'27 will have enough capacity in our system to serve that.

Siddharth Gadekar: Okay sir, got it. Thank you.

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Moderator: Thank you. Next question is from Shreya Banthia from Oaklane Capital Management. Please go ahead.

Shreya Banthia: Thanks for the opportunity. As we have reported a strong growth share of the specialty segment, so how do you see these on a sustainable basis, what would be the contribution from the specialty chemicals to the overall EBITDA going forward?

Deepak Jain: Shreya, so specialty segment if you observe, our business over the last eight quarters, it has increased significantly. Now, Specialty and Nutrition together are close to 90% and Specialty is I think close to 65%-70% plus. So, we do hope that in steady state even after Acetyls bounces back which we are hoping in next few quarters as we were just discussing, Specialty will be at least at 65%-70% of our overall company level EBITDA.

Shreya Banthia: So, could you give us some sense on the semiconductor opportunity, the molecules that are developing?

Deepak Jain: Yes, so I just responded to the previous question, we have 12 odd molecules in different stages, many of them we have sent samples too and we are hoping they will move into commercial stage in near future even though we don't expect a big impact on revenue coming from these in the next few quarters because these are at least customers in the initial stages. We are just testing quarters and once they get comfortable, we are hopeful that they will start giving revenues. Besides that of course, I can't disclose what kind of molecules they are, but these are high value and low volume products and focus on synthesis part of the value chain.

Shreya Banthia: Thank you.

Moderator: Thank you. The next question is from Harsh Mehta from Perpetual Capital Advisors. Please go ahead.

Harsh Mehta: So, my first question was what kind of CAPEX is being done for the CDMO business and in the last call, you had mentioned that majority of CAPEX that I want to understand in the CDMO business, what kind of gross returns to assets, what kind

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of margins and what kind of working capital cycle will be there for the CDMO business?

Deepak Jain: Harsh, so as we have been saying of the Rs. 2000 crore we invested, 70% of that has gone into specialty and most of it has gone into creating multipurpose plants or dedicated plants to serve our CDMO and Fine Chemicals businesses. Many of the multipurpose plants are used interchangeably to serve our fine chemicals and CDMO plants. Now, to the broad sense I can say that at least revenue level, we expect 1.2 to 1.3x at least and sometimes even 1.4 to 1.5x on the revenue to CAPEX ratio. The rest of it of course, varies so much based on specific products and their profile that it is hard to generalize.

Harsh Mehta: And sir, one more question was that there is a new product that you started to export, if I am not wrong the key ingredient to produce pyronaridine, anti-malarial 44.37, the average revenue per unit for this particular intermediate was \$300 plus.

So, I wanted to understand how big can this opportunity be for the company?

Deepak Jain: So, I will neither confirm nor deny what you said. So, because we never disclose any specific information related to our CDMO products, but what I can say is this product, the one which we have started to export in this quarter, we are hopeful that in next couple of years, the full potential will be at least 4-5x of what we will do this year.

Harsh

Mehta: Right, thank you so much.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference over to the management team for closing comments.

Pavleen Taneja: We thank you all for joining this call today. We hope we have been able to answer your queries. For further clarification, we would request you to contact me and get in touch with me. Thank you once again for your interest in Jubilant Ingrevia Limited.

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Moderator: Thank you very much. On behalf of Jubilant Ingrevia Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc.

The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Oct 2025

October 31, 2025

BSE Limited
Floor 25, P.J. Tower
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 543271 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Trading Symbol: JUBLINGREA

Sub: Press Release and presentation on the financials and operational performance of the Company for the quarter and half year ended September 30, 2025

Dear Sirs,

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors' Conference Call for un-audited standalone and consolidated financial results for the quarter and half year ended September 30, 2025, held on October 27, 2025.

The link to access the transcript of the earnings conference call is given below:
<https://www.jubilantingrevia.com/Uploads/files/19q2consfileEarningsCallTranscript.pdf>

This is for your information and records. Thanking you,

Yours faithfully,

For Jubilant Ingrevia Limited

Deepanjali Gulati
Company Secretary

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List of management attendees

1. Mr. Shyam Bhartia, Chairman
2. Mr. Hari Bhartia, Co-Chairman
3. Mr. Deepak Jain, CEO and Managing Director
4. Mr. Varun Gupta, Chief Financial Officer
5. Mr. Pavleen Taneja, Head – Investor Relations

External participants during Q&A session

1. Rohn Mehta, Ficom
2. Gaurav Gupta, Invesco
3. Archit Joshi, Nuvama
4. Darshita Shah, DSP Asset Managers
5. Siddharth Gadekar, Equirus
6. Nitesh Dhoot, Anand Rath
7. Prateek Poddar, Bandhan AMC
8. Rohit Nagraj, B&K Securities

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Jubilant Ingrevia Limited
Q2 & H1 FY '26 Earnings Conference Call
October 27, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Jubilant Ingrevia's Q2 and H1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja, Head of Investor Relations at Jubilant Ingrevia Limited. Thank you, and over to you.

Pavleen Taneja: Good evening everyone. Thank you for joining the Quarter Two of Financial Year 2026 earnings conference call of Jubilant Ingrevia Limited.

I would like to remind you that some of the statements made on the call today could be forward-looking in nature and a detailed disclaimer in this regard has been included in the press release and Results Presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia – Chairman; Mr Hari Bhartia Co-Chairman; Mr. Deepak Jain – CEO and Managing Director and Mr. Varun Gupta, CFO Jubilant Ingrevia limited.

I now invite Mr. Shyam Bhartia to share his comments.

Shyam Bhartia: Thank you, Pavleen. A very good evening to everyone. Thank you for joining us on the quarter 2 of the financial year 2026 Earnings Conference Call of Jubilant Ingrevia Limited. We are pleased to share the financial results for the second quarter of this fiscal year. The company grew 7% year-on-year basis with high double-digit volume growth. Our Specialty Chemicals segment continues to drive the growth

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momentum with double-digit year-on-year revenue growth and positive growth over last quarter.

Our Nutrition business maintained a steady volume growth trajectory across the core products. Meanwhile, our Chemical Intermediates business clocked highest quarterly sales across value and volume in last six quarters. Despite the challenging market conditions, we have grown revenue on the back of growth in volume, market share and maintained profitability. This quarter, our EBITDA grew 8% year-on-year and our profit after tax saw an impressive 18% increase. On a yearly basis - on a half yearly basis, EBITDA grew 18% and profit after tax surged by 34%.

Let me share the overall market update with you all. Across the broader chemical industry, we are witnessing a steady recovery in volumes even as pricing remains under pressure across all segments. At the same time, many global players, especially players in Europe, are reporting deteriorating financials due to weaker demand, continued pricing pressure and elevated energy costs. The pharmaceutical end-use market continues to show steady volume growth, supported by stable pricing. We saw consistent volume expansion across CDMO and Fine Chemicals products.

Additionally, we saw a margin recovery in volumes last quarter within the paracetamol segment. The global Agrochemical sector has successfully moved beyond the inventory destocking phase with volumes now stabilizing and showing clear signs of growth. This upward momentum is supported by strong volume expansion on both year-on-year and quarter-on-quarter basis. Pricing in this segment has remained stable over the last few quarters, reinforcing the recovery trend.

The Nutrition market recorded steady volume growth during the quarter through feed-grade vitamin pricing and showed short-term volatility globally and in India. Niacinamide demand showed a modest uptick as customer purchasing activity resumed following subdued volumes at the start of financial year. Choline volumes traditionally dip in quarter 2 versus quarter 1 due to festivals.

However, we have seen a notable increase year-on-year volume increase. Let me share a few details on our future outlook. Looking ahead to H2 FY '26. We expect

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continued growth momentum, fueled by progress in our Specialty Chemicals and Nutrition businesses, along with the expected part recovery in Acetyl portfolio.

We are also on the track to start serving our major CDMO order in early 2026. A milestone that is expected to significantly accelerate our growth trajectory in CDMO segment. To meet the increased demand in CDMO, within groundbreaking of our new MPP in Gajraula. We hope to complete it by late 2026.

With this, I hand it to Deepak to discuss the business in detail. Thank you.

Deepak Jain: Thank you, Mr. Bhartia. A very good evening to all of you. I would like to thank you

all for joining us today for the Q2 FY '26 Investor Call of Jubilant Ingrevia Limited. Over the past year, we have made substantial strides across all pillars to set business up for long-term while also stabilize the short-term performance amid challenging global market conditions.

These efforts are already bearing fruit as reflected in our recent quarterly results, highlighted by robust growth in our Specialty and Nutrition portfolio, stable EBITDA and significantly expanded funnel of 100-plus new opportunities. In Q2 FY '26, we continued to build momentum in our Pinnacle journey, achieving several new milestones that further reinforce our trajectory towards long-term value creation. Let me share the overall business update with you all. From an overall business perspective, we are pleased to report our highest quarterly revenue and sales volume in the last 10 quarters. This milestone reflects the strength of our diversified portfolio, consistent execution across segments and our ability to capture market opportunities despite a dyna

mic and tough operating environment.

The Specialty Chemicals segment continued on its revenue trajectory and reported 25%-plus margins during the quarter, driven primarily by strong performance in Fine Chemicals and CDMO sales. Pyridine derivatives have delivered high double-digit growth on both quarter-on-quarter and year-on-year basis, underscoring robust demand over competitive positioning. Diketene derivatives also maintained its growth momentum across both quarter-on-quarter and year-on-year basis, reflecting consistent performance and market traction.

In our CDMO business, we successfully delivered volumes against one of our new Agro CDMO innovator contract in Q2. In last 3 quarters, we have added 10-plus new

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molecules in our CDMO and Fine Chemical portfolio, which have already started to show in our FY '26 revenues and are expected to contribute almost INR1,200 crore of peak annual revenues in coming years.

We have another 10-plus opportunities in advanced stages of discussions, which we hope to convert in coming quarters. We continue to make rapid progress in our new growth segments, such as Cosmetics and Semi-conductor Chemicals.

In Cosmetics, our team has already developed multiple products, and we are getting good traction with several customers. Similarly, in Semi-conductor Chemicals, too, the number of opportunities has increased in last quarter, and we are making significant investments in equipment and teams to accelerate our journey.

The Nutrition & Health Solutions business segment grew volumes on a year-on-year basis, with volume growth seen across most segments. We achieved record high volumes in both vitamin B3 and B4 during the quarter.

While pricing softness partially offset revenue growth, the underlying volume performance remains robust. Our new cGMP facility is ramping up and continues to drive growth in cosmetic grade sales. The EU's anti-dumping duty on Chinese origin Choline product is creating a good pipeline, which would get realized in coming quarters with early orders already booked in Q2.

In the Chemical Intermediates segment, our strategic initiatives on Ethyl Acetate and Acetic Anhydride sales drove a notable quarter- on-quarter and year-on-year growth in volumes and revenue, clocking the highest quarterly revenue and volumes in last 6 quarters. We have continued to secure and grow our domestic and global market share despite market pricing pressures. With our sustained focus on cost efficiency, we successfully maintained margins in line with the previous quarter.

Let me give a quick update on the progress we have made across the 5 core pillars of our strategy. From a customer-centricity perspective, our key account management approach continues to deliver strong results. In Q2, we expanded our opportunity funnel to over 100-plus active opportunities, up from 70 in Q1, reflecting deeper engagement and growing interest across strategic accounts.

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These opportunities collectively have peak annual revenue potential of INR3,500 crore. Over the past year, we have secured confirmation for more than 10 molecules with an estimated peak revenue potential of INR1,200 crore and we are in advanced stages of discussions for another 10-plus opportunities, which we hope to close in coming months.

From an operations and ESG standpoint, we are seeing tangible results from our sustainability initiatives. The impact of our green power is clearly visible. Our power and fuel expenses dropped by 16% year-on-year despite an increase in production

volumes. We have successfully commissioned renewables O2 Power at our Bharuch site, taking Ingrevia's Renewable power share to 28%, a significant step toward our clean energy goals.

On the operational front, our INR100 crore plus per annum lean savings program remains firmly on track driving efficiency across the value chain. We are also proud to share that our ESG effort

s were recognized with the ICC Sustainability Award in the Water Stewardship category, reinforcing our commitment to responsible group.

From a people and organization building perspective, we continue to strengthen our leadership bench with strategic senior talent additions. For instance, this quarter, we welcomed a new Head of Nutrition and Health Ingredients to drive innovation and growth in a key segment. We also onboarded a Business Development Head for the US market to accelerate our global outreach.

We also expanded our R&D and technology team significantly in the last few months, specifically to support the new CDMO Fine Chemicals opportunities. These appointments reflect our commitment to building a high-performance future-ready organization aligned with our long-term growth ambitions.

On the innovation and R&D front, we continue to build a strong pipeline that supports our long-term growth strategy. We now have approximately 50-plus products under development across our business segments, reflecting our commitment to differentiated and value-added solutions.

Looking ahead, we expect to launch 18 new products in FY '26, each aligned with emerging market needs and customer priorities. These innovations will further

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strengthen our portfolio and reinforce our position as a science-led customer-centric organization.

On the capex front, we firmly remain on track with the Q4 commissioning of our \$300 million Agro-Innovator project, a key milestone in our CDMO growth strategy. In Bharuch, a new boiler is scheduled for commissioning in Q3 FY '26, further enhancing operational efficiency.

We are also debottlenecking capacity in our existing plants by 15% to 20% to serve incremental volumes from new CDMO and Fine Chemical opportunities.

Additionally, during the quarter, we have also done groundbreaking for a new multipurpose plant at Gajraula, which will add significant flexibility and capacity across our CDMO portfolio.

Looking ahead, we are excited to announce plans for the state-of-the-art Semiconductor R&D facility in Greater Noida, making our entry into a high-tech innovation space with long-term strategic relevance. Given the progress across our strategic initiatives, we remain confident in sustaining the expected growth trajectory in both top line and margins over the coming quarters.

With that, I would now like to invite Varun to walk you through the financial performance of each of our three business segments, followed by consolidated financial overview.

Varun Gupta: Thanks, Deepak. A very good evening to all of you. Starting with overall financial update, we achieved our highest quarterly turnover in the last 10 quarters with overall revenue reaching INR1,121 crore compared to INR1,045 crore in quarter 2 financial year '25.

Importantly, volume grew by approximately 18% during the quarter despite macroeconomic headwinds and the typically muted price momentum seen across most segments in quarter 2. EBITDA for the quarter stood at INR146 crore, marking an 8% year-on-year increase. This growth was largely driven by margin expansion in our Specialty Chemicals segment on a year-on-year basis, supported by ongoing cost optimization initiatives across the business.

On a half yearly basis, EBITDA stood at INR300 crore, representing an 18% increase compared to the first half of last year. The net debt of the company as on 30th

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September '25 was INR748 crore, and net debt-to-EBITDA ratio remained at 1.24x calculated on the basis of trailing 12 months EBITDA.

During the quarter, we incurred a capital expenditure of INR59 crore, taking the year-to-date capex spend to INR109 crore. This was primarily directed towards the upcoming CDMO Agro plant at Bharuch and the groundbreaking of our new multipurpose facility in Gajraula, which Deepak just mentioned. The investments were largely funded through internal accruals.

Loo

king ahead, we plan to invest approximately INR600 crore in '26, which will also be supported by internal accruals. The PAT for the quarter was INR70 crore as against INR59 crore in -- quarter 2 '25, witnessing an increase of 18% on a year-on-year basis. For the first half 2026, we have delivered a 34% increase in the PAT as compared to the first half of 2025.

Specialty Chemicals. In quarter 2, our Specialty Chemicals segment delivered 12% year-on-year revenue growth, led by a strong performance in CDMO, pyridine and diketene derivatives portfolio. Also, EBITDA grew 50% year-on-year to INR125 crore with margins holding steady at 26%, which was supported by higher offtake of Fine Chemicals and CDMO offerings, along with the cost optimization initiatives.

Sequentially, EBITDA declined marginally due to the short-term price volatility in pyridine and picoline and a temporary pyridine plant shutdown for maintenance.

Nutrition & Health Solutions business segment. While we saw strong volume growth in both vitamin B3 and choline during the quarter, overall revenue growth was tempered by short-term pricing pressure across the broader nutrition portfolio, whereas the revenue declined marginally by 1% on a year-on-year basis.

EBITDA for the segment declined 13% year-on-year with margins trending lower and settling in 12% to 14% range, primarily due to pricing pressures. However, we expect margin improvement in the coming quarters as price stabilize and the share of cosmetic and food-grade products increase in the overall portfolio.

Chemical Intermediates business segment. The segment delivered 20% sequential revenue growth and 6% year-on-year, fueled by strong volume expansion in Acetic Anhydride and Ethyl Acetate reaching the highest level seen in the last 6 quarters. On a quarter- on-quarter basis, the segment EBITDA marginally remained stable,

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while the year-on-year decline in absolute EBITDA was primarily due to the market-driven contribution erosion.

Subdued pricing resulting from the pass-through of lower cost of input raw material and an oversupplied market also impacted the EBITDA performance. Overall, business is showing steady growth across segments and delivered yet another solid quarter. We will now be happy to address any questions that you may have.

Moderator: We'll take our first question from the line of Rohan Mehta from Ficom Family Office.

Rohan Mehta: Okay. Sir on the Nutrition segment, firstly, on the choline chloride, I'm trying to understand that after EU's anti-dumping duty, what sort of shipments are you currently exporting to Europe versus Q1? And what has so far been the market feedback on this? And also when it comes to the realization, what sort of premium currently are you seeing versus the domestic market?

And within the Nutrition segment, coming to niacinamide, so currently, what is the capacity utilization? And given that the quarter 1 period was a lean period when it came to inventory from the customers end, what sort of customer offtake have you seen since then? And in the month of October, any improvements have you seen on the realization front?

Deepak Jain: Yes. Thank you, Rohan, for those questions. Let me just take each one of them one-by-one. On the choline chloride side, as I mentioned in my opening remarks also, we are seeing strong traction with European customers after the anti-dumping duties got imposed on Chinese players. We have already sent a few shipments to Europe in the last quarter as well, and the pipeline is looking very healthy.

The overall market, as per our estimates is running into at least 30,000 tons to 40,000 tons. And we are hopeful that as our product gets qualified in coming months and quarters, we will be able to capture a meaningful portion of that.

We have already started to work with customers very closely in qualifying our product and ensuring that if they have any requirements for specific

grades, we

work on them. So all of that work is ongoing, and you will start to see the impact of that in our Nutrition business portfolio in coming quarters.

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The realization part of it, obviously, the realizations are better than Indian market.

We are still testing waters and the market dynamic is also changing very quickly with, of course, Chinese player not able to supply the material at such lower prices as they were doing earlier. And obviously, there is some competition coming from other markets as well or other manufacturing markets as well.

But we are going through all that process. But definitely, we are expecting to get

price premium vis-a-vis domestic market in choline. So that's on the first part. On the niacinamide part also, as we explained in the opening remarks and also in our investor presentation as well, we have seen a very strong increase in volumes vis-a-vis last quarter.

And we are hoping -- and by the way, a significant portion of that has come on the back of volumes increasing in the high-value categories like cosmetic grade and food grade. We are hoping to maintain that momentum into this quarter and the next 2 quarters. And we are in advanced stages of discussions with some of our biggest customers to start supplying them high-value grades in coming months. The utilization of the plant, of course, will accordingly increase. We are hoping that within the first few months of commissioning of the plant, we should be able to take our volumes up at least by 25%, 30% vis-a-vis what we had earlier. The pricing -- the last part of your question was on the pricing of niacinamide.

As I think it's already well known in the market, the pricing went through a trough in the last quarter, which is also reflected in our margins for the last quarter. But we have seen a slight uptick in recent months, and we are hoping that will sustain and we can also see some uptick in coming months. That's the hope we have.

Rohan Mehta: Right. And for the realizations, the same thing goes for choline chloride, right, when it comes to the improvement that you are expecting for the next quarter?

Deepak Jain: Yes. And the other thing to note is the mix of cosmetic, food and pharma grade niacinamide in our portfolio is continuously increasing every passing month. And the pricing there is far more stable and of course, has a premium in-built. As the relative proportion of those grades in the overall portfolio increases, which is part of our strategy, and that's why we have commissioned this new plant, we are hoping the volatility coming from the feed grade will gradually get subdued.

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Rohan Mehta: Okay. And my final question is on the CDMO segment. So, you spoke about the Gajraula plant that we plan to break by the next year, late 2026. So, I'm trying to understand what sort of pipeline -- is this part of the peak revenue that you see from the 10 molecules worth INR1,200 crore? Or which part of the molecule does this address?

Deepak Jain: Yes, that's right. Of course, in the business case that we have built for that new multi-purpose plant, which will have multiple streams, we have taken certain assumptions on which products out of the pipeline that I announced will come up first. So, we are planning for them, and we are hoping to ramp up the volumes of those products starting 2027 calendar year. In the interim, for 2026, when we need relatively smaller volumes on those products, we would be able to serve them through our existing multi-purpose plants that we have almost 7 of them in Gajraula and 3 of them in Bharuch.

Rohan Mehta: Got it. So that means you're still on track for INR2,000 crore EBITDA by FY '30?

Deepak Jain: Yes, we hope to get there. Of course, we are working on multiple fronts to achieve that milestone. And if you remember, there were some in-built element of inorganic and partnership-driven opportunities as well into that. So, as

of now, we

are hopeful that we'll be able to achieve in the time frame we announced in the Investor Day in the early part of this year.

Rohan Mehta: Got it. So, no update to your guidance, right?

Deepak Jain: No.

Moderator: We'll take our next question from the line of Gaurav Gupta from Invesco.

Gaurav Gupta: So first one is just a clarification. Like you mentioned that I think because of anti-dumping duty, on China and in European Union region, we have already booked certain orders in Q2 itself. So just wondering if the reported number of Q2 is including the revenue from these pre-booked orders or how it is?

Deepak Jain: Yes. We have booked orders and we have made deliveries as well for some volumes.

So of course, in the overall scheme of things, that number is not as big, given the size of our Nutrition business, but that number is included right now. And as we move into Q3 and Q4, we are hoping to scale it up significantly.

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But you need to understand that the product approval process takes a few weeks, if not months. So right now, we are going through that process with at least a dozen different customers. So as and when that process gets completed and as we start booking higher volume orders with them, you will see a meaningful uptick in the revenue trajectory going forward.

Varun Gupta: Gaurav, Varun here. Just to add on to what Deepak just mentioned, the revenue

includes only the deliveries made. The order book, we have anything in quarter 3 delivery will be recorded in quarter 3 delivery.

Gaurav Gupta: That's great. So, in the first question, which would be like -- we have again mentioned that in the last couple of quarters, we have added almost 10-plus new molecules, right, including our CDMO and Fine Chemical chemistry, right?

So, would you be able to help us as an investor, as an analyst, that what percentage of our revenue in Q2 or H1 of FY '26, right, is having contribution of these 10 molecules, right, or either in percentage terms or maybe some ballpark number, approximate number, if you can share?

Deepak Jain: Gaurav, that's a good question. Of course, I can't give you the breakup on a quarterly basis because as you can imagine, the CDMO business by nature is slightly lumpy. Having said that, the typical ramp-up of a new CDMO contract, especially when it is focused on innovative molecules is not more than 15% to 20% in the first year going to close to, let's say, 40% to 60% in second year and hopefully reaching the peak revenue by third year of 80% to 100%.

In most cases, right? These are general guidance I'm giving, not talking about any specific molecule here. We hope to see a similar kind of trajectory for most of these 10 molecules that we have announced, which essentially means we are expecting some revenue from these molecules even FY '26 also. In fact, as we have announced in the previous call, one of the molecules that we announced last year with the agro-innovator, the volumes corresponding to that, we already supplied in the last quarter.

Gaurav Gupta: That's great. My last question is considering the tariff announced by United States and the tussle between India and United States over a couple of issues, right? Is there any impact of these announced US tariffs on our business or on our margin

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profile or our overall competitiveness in the world markets when we supply our products? Yes, that's all from me.

Deepak Jain: Yes. Again, excellent question, Gaurav. Let me just answer that in 2 parts. One is our existing business and second is the prospective business, which we are building in CDMO and Fine Chemicals and Nutrition, particularly on the back of those 100-plus opportunities I announced. On the existing business, and I think we have clarified that earlier also, only 2% of our business falls in areas where duties have been imposed.

And there also, we are far more competitive than Chinese if you take into account

all the duties which have been put on the Chinese suppliers. So, in short, on that business, we have seen zero impact so far, and we hope that will continue. In fact, that will only get better as the dust related to all these tariffs settles down.

On the new business also, most of these discussions that we are doing, especially with the US customers are very strategic molecules for which customers are looking for genuine alternate suppliers from India, mostly outside of China. And hence, they have an imperative to create a long-term strategic partner for these molecules in India. And they are, in many cases, handholding us. And of course, we are using our technological strength to serve them.

As of now, we don't see any big impact of tariffs coming into that, except for the fact that tariffs have created some short-term uncertainty. And hence, some of the discussions, which should have completed in 3 months might be taking 6 months or 8 months. That's the only impact we see as of now.

But from a mid- to long-term trajectory perspective, given the fact that by design customers want to develop a strategic partner in India, and they are continuing to engage with us and even confirming these molecules as you can see we have 10 confirmations. We will continue on that journey.

And for our existing molecules, to the best of our knowledge, even the existing molecules -- or sorry, new molecules that we have signed, which some of them are expected to go into the US market, we don't see them in the list of tariffed chemicals. And hence, we are hopeful that these will not impact us in future also.

Moderator: We'll take our next question from the line of Archit Joshi from Nuvama.

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Archit Joshi: Sir, first question, I guess in the opening remarks, I heard you saying something about a new plant in Noida within Semi-conductor chemicals. And I think we've kind of stopped at that. Would it be possible to have a slightly more better understanding of what we're trying to do here? Any capex or any product-wise details that you might want to share?

Deepak Jain: Archit, Happy Diwali to you as well, and thanks for the wishes. In the opening remarks, we talked about semi-conductor R&D lab, not a plant in our Greater Noida facility. This is a facility we are creating to accelerate the pace of R&D and innovation that we are doing in our semi-conductor vertical, which as we have been announcing in the last 4 or 5 quarters.

There is a meaningful progress we have made there with almost a dozen plus different molecules that we are working with different customers in Europe, US and Japan. So, the idea is to create a dedicated facility, which is, of course, world-class in nature, but also takes into account the extreme level of cleanliness and glass housing kind of setup, which is required to serve these molecules.

We have already started to build an R&D team also, dedicated R&D team. And we have also started to invest in equipment including buying some very expensive equipment, which are required to serve this segment.

So that's the idea. Of course, in our pipeline capex plans, we also plan to set up a new plant, most likely a pilot plant in near future. So as and when the plans for that plant are finalized, we will announce it to our investors and analysts.

Archit Joshi: Sir, my second one CDMO bit, I'm slightly perplexed with regards to how we classify this entire segment. I think I believe that right now, whatever CDMO revenues we are doing is largely from pharma. And in the Analyst Day, we were speaking of some six to eight opportunities, which are in the advanced stage of discussion, which we are hoping to convert soon.

And then we are talking about these 10 products that we commissioned recently, which could have a INR1,200 crore plus potential. Now -- and plus we have these two contracts, I think one of which is already contributing to our 2Q revenues

and

one we are expecting in the early part of the next calendar year.

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So, these 10 products would -- that also has some shape and form with regards to, let's say, a 5-year project or a 10-year project or a contract, any particular industry that might mimic anything that you might want to help us with? How do we categorize all this in better understanding of the business?

Deepak Jain: So Archit, that's again a good question. So it's pretty consistent with what we said in the Investor Day. You're right at that time, if I remember correctly, we had said about six to eight molecules in advanced stages of discussion for Pharma and I think three to four in Agro. So Pharma and Agro still remain the dominant segments, but of late, we have started to get good traction in Nutrition and Cosmetic segments as well.

So the 10 molecules that -- we have not commissioned by the way, you used the word commissioned. We have not commissioned the 10 products. We have won the 10 products, of which two are -- one is already supplied and a couple of them are being supplied in recent -- or in near months. And one big one will start the supplies in next quarter, Jan to March quarter.

But to your question, it's a combination of Pharma, Agro and a couple of opportunities coming from Cosmetics and Nutrition. So it's a well-diversified portfolio. And even in the new opportunities that I mentioned in my opening remarks, of 10-plus molecules, which we are hoping to close in coming months, you will see a similar kind of distribution across Agro, Pharma and other segments.

Archit Joshi: Sure, just one addendum to the same question. When we speak of CDMO, because we have 2 contracts per se, which essentially should be coming under the broader terminology of contract development. These seem to be products that we are doing on a campaign basis, these new 10 ones that we have won, not commissioned, sorry, pardon me.

And the 10 more that we are working on. I'm just trying to understand the nature of this business in terms of classifying them. Should this be consistently seen as revenue growing businesses with some longevity expected from our side?

Deepak Jain: Yes. So I think you're right, Archit. So I think your overall question is whether we see these products to be giving us volumes consistently year-on-year, right, and with a certain level of threshold margin level, which is what the nature of the CDMO

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business is. And the answer is yes. Most of these products -- in fact, all of these products are long-term products as per the understanding with the customer.

All these products, we are hopeful will give us at least 20% to 25% EBITDA margin and healthy ROCE as we have announced in our past calls also, the threshold for us at the ROCE level is 20% minimum. All these products, we will -- in most of them, I

would say, will be working exclusively with the customers. Maybe 1 or 2 products will be serving a couple of customers, but not too many.

So these are exclusive or semi-exclusive arrangements with the customers. From a contractual obligation perspective, every customer has a different way of working. And hence, not all of them will be like a multi-year contract to start with. But the understanding is that we will be working with them for multiple years with certain level of volume commitments, which will come every year.

Archit Joshi: Sure, sir. And last one, if I may squeeze in. FY '25 R&D expenses, I think, were a tad lower than 1% of the total top line. Do we have a ballpark, let's say, guesstimate, how do we look at spending R&D over the, let's say, next 1, 2, 3 years, maybe? That would be your last one.

Deepak Jain: Our R&D should be seen separately for Acetyl business and rest of it, right? So when you just calculate it on the overall company, that gives a wrong picture in my view because Acetyl business is a stable, mature business and which doe

s not require

too much R&D. So we always look at our R&D spend more with the denominator being the -- some of the new areas, particularly coming from Specialty and Nutrition business.

If you look at it from that perspective, our R&D spend will be at least 2x, 2.5x of what you just described. Number two, we are investing heavily in our R&D in a few areas. We have strengthened our R&D team with a new R&D Head of Specialty Chemical, who joined us early part of this year or about a year back. We have expanded the number of people in our R&D team by almost 20%.

And even now, we are hiring almost on a daily basis to expand the team because to serve all these 100-plus opportunities that we are talking about, 50-plus products in R&D, we need more manpower. So, we are expanding that. Number three, we are also investing in new equipment and new infrastructure. Our Greater Noida

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R&D, which came up about 2 years back, we are expanding the number of stations, we are investing in new equipment like I talked about for semi-conductor.

In fact, we are expanding it into another floor to create a dedicated lab for semi-conductor. So all of that put together will obviously increase our R&D spend as a percentage of Specialty and Nutrition revenue in coming years. So, the right way to look at it is to look at how much we're spending as a percentage of Specialty and Nutrition because most of our R&D spend goes into those segments, not in Acetyls.

Moderator: Next question is from the line of Darshita Shah from DSP Asset Managers.

Darshita Shah: My first question was actually more of a clarification. Deepak Ji, you mentioned briefly that one of the products of the 10-plus new molecules with a revenue potential of INR1,200-odd crore, the supplies for which will start in the early next year. And this is expected to be a bigger product. Is it -- I mean, my clarification is, is it the same as the CDMO, the one large \$500 million CDMO contract that we've spoken about in the past?

Deepak Jain: Yes, that's \$300 million, 5-year contract, that's the big one, which will start in next quarter. That's right, Darshita.

Darshita Shah: Right. So the \$300 million is included in the INR1,200 crore plus number. I'm sorry...

Deepak Jain: \$300 million is a 5-year number. So the annual number is \$60 million, which is close to INR500 crore.

Darshita Shah: Okay. So -- sorry, I actually ended up joining a little late. So the INR1,200 crore number that you're mentioning is per annum kind of a revenue increase that you could see...

Deepak Jain: That's right. Yes, that's the peak annualized revenue number, which we -- as I was explaining, we hope to get to in the next couple of years. And a significant proportion of that, including the big contract will start to come into our P&L next year itself.

Darshita Shah: Got it. Okay. And just on the big contract, I was just -- so we have a threshold of ROCE -- 20% ROCE and a 20% EBITDA is something you've mentioned in the previous calls. So that kind of translates to about INR100 -- INR120-odd crore of EBITDA every

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year. Would the pricing of the product have any impact on that additional INR100 crore EBITDA that we could get from this large contract?

Deepak Jain: Of course, if the price changes, it will. But I don't know what is triggering that question because it's a signed contract with a pre-agreed pricing, and we don't see any change in that price happening. In short, we maintain to start serving this big contract starting next quarter, and we will -- we hope to get the kind of EBITDA

margins that we built into the original business case.

Darshita Shah: Got it. Great. And we have mentioned in our PPT a few times that we've been seeing a temporary pricing softening -- temporary softening in the prices for pyridine, picoline and a few of our other products. So why do we say this is temporary in

nature?

Deepak Jain: Because see, if you see, we have mentioned it on a couple of occasions, primarily for Vitamin B3 segment and for Pyridine and Beta segment for some derivatives.

For B3, if you track the feed prices over the last few years, you will see there will always be a few quarters or a couple of quarters, every 4 to 6 quarters where the price dips and then it recovers.

And in fact, as somebody asked early on, on this call, we already saw some uptick in B3 prices towards the end of last quarter and early part of this currently running quarter. So, we are hoping that, that should come back.

Secondly, on Pyridine and Beta also, our experience is that the price, while it wobbles sometimes on a quarterly basis, it recovers if it stays too low for a couple of quarters. And because the Pyridine and Beta prices have been low for now last quarter and let's say, early part of this quarter, we are hopeful it will come back like it has done in the past.

Moderator: We'll take our next question from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: Happy Diwali and congrats on a good set of numbers. So, the first question is on the human grade vitamin plant. Can you just highlight that where are we in the cycle in terms of commissioning the plant and ramping up the supplies to the customers? Like are all customer approvals in place? And when do we get to peak volumes in that capacity?

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Deepak Jain: Yes. So that plant we already commissioned in March. You're talking about vitamin B3, right? Siddharth.

Siddharth Gadekar: Yes, sir.

Deepak Jain: Yes. So, that plant is supposed to make both cosmetic and human-grade product.

We have the flexibility in that. The cosmetic grade product already started to be shipped to the customers about 2 quarters back, I think in March or April is when we started the shipments, and that volume is ramping up well.

We have started to produce the human-grade product also from that plant now, and we shipped starting volumes in the last quarter. And then we are hoping that this will continue to ramp up in coming two quarters. To your overall question on the utilization, we are hoping that -- we expected by the way, that plant has been designed to serve 4,000 to 4,500 tons of cosmetic and food grade products in the steady state.

We are hoping that in 18 to 24 months, we'll get to those numbers. And the initial ramp-up that we have seen between cosmetic and food grade, we are hoping that sometime by next year, we will hit 60%, 70% utilization levels. And one part of your question was the approval process. So I'm happy to share that we will be starting supplies to one of the big -- world's biggest cosmetic players starting January, where the approval process has already happened.

With another big consumer player globally, we are running through the approval process, and we hope to get the green flag from them by November, December and start the supply from early next year. So, like that, there are several other conversations going on with big as well as smaller customers to get the approval.

So as soon as that happens, then volumes will start to ramp up quickly, which is why I said that we hope to get to 60%, 70% utilization by sometime next year.

Siddharth Gadekar: So just a follow-up on this. What would be the realization difference or the margin difference between the animal grade and the cosmetic grade products?

Deepak Jain: So, this, I think, Siddharth, I have explained in previous calls also, generally, there is at least \$2 to \$3 delta in pricing between feed grade and the high-value grade, what we call the high-value grade, which is cosmetics and even food and sometimes even pharma grade. Of course, the margin profile also changes accordingly.

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And that's where in the early part of the call, I said as the share of Food, Cosmetics and Pharma grade niacinamide increases in our overall mix of niacin

amide, that will

bring a lot more stability as well as high margins to the business. And as we have said in the past, that business in steady state, we hope to get to 16% to 18% EBITDA

margins, which I think we should be able to get as soon as the volume share of high grades increases to 60%, 70% next year.

Siddharth Gadekar: Sir, now coming to the CDMO part. So, the contract that we have already started supplying volumes for in the first 2 quarters, how should we think about that opportunity given that the end product is relatively almost \$800 million to \$1 billion opportunity over the next 5, 7 years? What could be the peak revenues for us from that molecule? And how should we think about the scale-up of that product?

Deepak Jain: I think I have said in the past that is an intermediate which goes into an expected blockbuster AI of one of the global innovators. And what we supplied in Q2 primarily is just the starting point.

As per at least the direction given to us or visibility given to us by the innovator, the peak revenue could be at least 4 to 5x of what we have supplied. So, we are hopeful and even next year the volume visibility we are getting is at least 50% more than what we got this year. So, I'm hopeful that it will get to that 4 to 5x mark in next 3 years.

Siddharth Gadekar: Okay. And lastly, on the \$300 million contract, so is it fair to assume that the intermediates that we would be supplying would not be restricted to a single product, but it will be going to multiple products?

Deepak Jain: Siddharth, we have a very exclusive arrangement with the innovator there. Our agreement with them is to supply the intermediate in a certain quantity every year.

Now where they want to use it, it's entirely their prerogative. We neither have a say nor the visibility into that process. But having said that, yes, this is an intermediate which can serve multiple products, and hence, it brings some flexibility at the innovator end. But we don't have visibility into what they want to use it for.

Siddharth Gadekar: And incrementally, if any other product would require the same intermediate, are there any restrictions for us to supply to any other innovator?

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Deepak Jain: No, this is an exclusive arrangement. So, we cannot supply to any other innovator.

Moderator: Next question is from the line of Nitesh Dhoot from Anand Rathi.

Nitesh Dhoot: So, my first question is on the renewable power contribution. So how much would be the contribution right now in our quarterly requirement? And what is the differential in terms of per unit cost for us?

Deepak Jain: So, as I mentioned in my opening remarks, this quarter with Bharuch starting, we have almost touched 28% of our overall power requirement to be served through renewables. And even Gajraula has started, but it's ramping up. So, total in steady state, maybe in a few weeks from now, renewable will be contributing almost 35% of our overall power requirement.

In terms of the rate differential, I think those numbers are well known for every sector in India. While the grid power costs anywhere between INR7 to INR9, depending on which state you're talking about, the landed cost for renewable is much lower. It's in the range of INR5 plus/minus, depending on what billing charges you are paying. So there is definitely an impact we are expecting in our overall power cost.

If you see our energy cost has already come down by almost 16% versus last year at around 9.5%, we are now versus 11.5%, 12% that we were last year. So, with all the initiatives we are taking in our energy mix, including the introduction of renewable power, we are hoping that our energy cost will come down further. It is captive power.

And by the way, our new boiler is also coming up in Bharuch, which we are hoping to start this quarter itself. So, that will also give us benefits as -- boiler and turbine, which will give us benefits starting next quarter.

r. So, all those initiatives put together should continue to reduce our overall energy cost and thus add to our P&L bottom line.

Nitesh Dhoot: Right. Sure. Sir, second one is on the CDMO business. Can you just give the number of what is the total completed capex so far and the laid-out numbers? And in terms of capex, what is the total amount that we are investing in the CDMO business?

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Deepak Jain: See, we treat capex together for our CDMO and FC businesses because both use multi-purpose plants. And in a fungible manner, we optimize which products to be manufactured where. As we have said in the past, of the INR2,000 crore odd investment that we have made in the last few years, almost 70% has been targeted towards our Specialty and Nutrition portfolio. So, Specialty will be almost 50%, 60%,

let's say, around INR1,000 crore to INR1,200 crore.

Most of it is targeted towards the multi-purpose plants we have created in Gajraula in Bharuch and the more we are creating, which serve both our CDMO and Fine Chemical businesses. And the new plant that we announced, right, with the plant that is expected to serve the big contract that will be ready hopefully by December or January itself, that has a huge investment we have made. And now we are starting the work on another multi-purpose plant in Gajraula, which will serve our CDMO business primarily.

Nitesh Dhoot: Sure. Okay. So just one last thing. Maybe on the Acetyls business, you've indicated of signs of improvement there. So, could you just elaborate a bit on that? And if at all, there's something structural that is happening, if you can give some color.

Deepak Jain: So Acetyl business has been volatile, and we look at it one quarter at a time. Obviously, last quarter from volume perspective was good, which is reflected in our numbers as well. And the drivers for Acetyls business are, number one, how the paracetamol market is doing in India; number two, how the agrochemical market is doing in India; and number three, how Europe, which is a significant market for us for Acetic Anhydride particularly, is doing.

A combination of these three things essentially drive what is happening in Acetyls. At least based on the early signs for this quarter, we feel this quarter will be more or less similar to the last quarter. But of course, we're still getting more visibility from our customers on what their volume requirements are.

So at least in terms of volume, we hope that we will replicate what was done in the last quarter. Pricing is very volatile, and it's very hard to make any estimates or projections on pricing. So that will have to play on a day-to-day basis depending on the direction of the market.

Moderator: Next question is from the line of Prateek Poddar from Bandhan AMC.

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Prateek Poddar: Sir, just two clarifications. Sorry. You talked about 16% to 18% margins for the Nutrition part. Was it for the new plant or you were saying for the segment overall?

Deepak Jain: For the segment overall, Prateek, because if you see last few quarters, we were keeping that business at around 15%, even without having a big share of cosmetic and food grade. Only this quarter, it has dropped by 1 or 2 percentage points because of the price dip that we believe is temporary. So, it should come back to 14%, 15% anyway. And with the mix change we are doing, we are hoping to take it to 16% to 18%.

Prateek Poddar: Fantastic. And lastly, sir, you talked about out of the 10 molecules signed, 1 has already been shipped or supplied and the others are in the process. And you said - and I just wanted a clarification here. You said INR1,200 crore of annualized revenue, the peak revenue, and you said a couple of years.

So is it like 2 years from today or 2, 2.5 years from today on an exit basis we kind of get to that full ramp-up mode because you just explained, right, it's 20%, 60% and 100% depending on the molecules and

their life cycle, etcetera. So from a 2-year...

Deepak Jain: So that is what the hope is for majority of them, as I said earlier, Prateek. Of course, some part of it also depends on customers own projections. And if their plans happen faster or later, then accordingly that trajectory changes.

But as I said, you picked it up right, 20%, 60%, 100% is the typical trajectory, which means in 3 years, you get to the peak revenue, which is what we are hoping to get for most of those molecules. By the way, there's one exception here, which I think we have been talking about. The big molecule that we are starting in January, February will start from 100% potential from day 1 itself, which is the agreement with the customer.

Prateek Poddar: No, that's clear. And lastly, sir, fantastic cost controls. How much of more juice is left for you? I think this is something of an ongoing exercise. Just wanted to check because it keeps on building operational efficiency. Are there still material levers for you to lower your entire fixed cost for the company as a whole?

Varun Gupta: Prateek, Varun here. So yes, there's still a juice. We will continue to endeavor to find the ways and means to cut the cost; either to better norms or more efficiency

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or taking a hard call on the cost that can be weeded out. So, there is a proper process where we keep on finding it and then putting it in place.

So, answer to your question, we have given an indication of INR100 crore per year as part of Lean 2.0. We are firmly on track. Whether we will find more cost saving opportunities in years to follow, answer to yes -- to that question is also yes. We

have that process, robust process of how we can be more efficient in terms of our manufacturing or in terms of sourcing for how we work.

Deepak Jain: Prateek, just to add, and for everyone's benefit as well, I think we'll keep digging is the short answer because the markets are very dynamic and what kind of pressure we have seen in some of the segments on pricing, it will be premature for us to just be complacent and say whatever cost we could have taken out, we have done that. So, I think it's the need of the hour. All our peers are also doing it and will not stop. And this year, we are pretty much on track. In fact, we are ahead of what we had defined as targets internally, and we are hoping that we will be able to create similar programs in coming years as well.

Moderator: Next question is from the line of Rohit Nagraj from B&K Securities.

Rohit Nagraj: And again, delving on to the CDMO part. So just a question about this 2000 -- INR1,200 crore revenue potential. Just a clarification, does this include the molecule starting from January because that itself will have close to about, say, \$60-odd million of yearly revenue potential?

Deepak Jain: Yes, it does.

Rohit Nagraj: Sorry.

Deepak Jain: It does. It includes it.

Rohit Nagraj: Okay. Fair enough. That clarifies. Second, on the semi-con Chemicals. So we are starting with the R&D process. So, what is the journey that we are looking at in terms of commercialization investment?

Because if we are starting indigenously, probably it will be slightly longer in terms of the game. And any more clarifications in terms of markets that we are looking

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at, domestic, external, any technology tie-ups that we are looking at? And will it also form a part of some revenues by 2030 in terms of our targeted goal?

Deepak Jain: Yes. So, I think we have been very explicit about it in the past calls as well. Semi-conductor is more of a 5- to 10-year journey rather than just, let's say, next couple of years, given the nature of that segment, the fact that it is new to India, not just us and the qualification process itself is quite long. We are starting, but not necessarily or not organically entirely.

We are collaborating with a few of our customers and are in advanced stages of discussions

with some of them to take this collaboration to the next level. And at the right time, we will, of course, announce that, and that will hopefully accelerate the journey. Right now, we are focusing on two things.

One is keep building the capabilities because we need at least some starting ground to be able to even work collaboratively with some of the partners we are speaking to. And second, just focus on the synthesis of some of the CDMO molecules we are getting in semi-conductor space so that we start getting traction with the customers in that field and build relationships with them.

Rohit Nagraj: Sure. That's helpful. And just one last clarification on the CDMO front. This will be completely for the exports market? And any particular geographies that we are targeting or it is across geographies?

Deepak Jain: See, our international markets are largely focused on Europe, US and Japan now increasingly. Those are the three geographies where we are focusing primarily. And we have hired people on the ground in all three geographies now.

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference back to management for closing comments. Over to you, sir.

Pavleen Taneja: We thank you all for joining this call today. We hope we have been able to answer your queries. For further clarification, I would request you to please get in touch with me. Thank you once again for your interest in Jubilant Ingrevia Limited.

Moderator: Thank you. On behalf of Jubilant Ingrevia Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Feb 2026

February 09, 2026

BSE Limited

Floor 25, P.J. Tower

Dalal Street, Fort

Mumbai - 400 001

Scrip Code: 543271 National Stock Exchange of India Limited

Exchange Plaza

Bandra Kurla Complex Bandra (E)

Mumbai - 400 051

Trading Symbol: JUBLINGREA

Sub: Press Release and presentation on the financials and operational performance of the Company for the quarter ended December 31, 2025

Dear Sirs,

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Investors' Conference Call for un-audited standalone and consolidated financial results for the quarter ended December 31, 2025, held on February 05, 2026.

The link to access the transcript of the earnings conference call is given below:

<https://www.jubilantingrevia.com/Uploads/files/20q2confileEarningscallTranscript.pdf>

This

is for your information and records.

Thanking you,

Yours faithfully,

For Jubilant Ingrevia Limited

De

epanjali Gulati

Company Secretary

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List of management attendees

1. Mr. Shyam Bhartia, Chairman
2. Mr. Hari Bhartia, Co-Chairman
3. Mr. Deepak Jain, CEO and Managing Director
4. Mr. Varun Gupta, Chief Financial Officer
5. Mr. Pavleen Taneja, Head – Investor Relations

External participants during the Q&A session

1. Archit Joshi, Nuvama Institutional Equities
2. Abhijit Akella, Kotak Institutional Equities
3. Nitesh Dhoot, Anand Rathi Institutional Equities
4. Siddharth Gadekar, Equirus
5. Avnish Burman, Vaikarya
6. Gokul Maheshwari, Awriga Capital
7. Atishray Malhan, Abakkus Mutual Fund

Jubilant Ingrevia Limited
Q3 & 9 Months FY '26 Earnings Conference Call
February 05, 2026

Moderator: Ladies and gentlemen, good day, and welcome to Jubilant Ingrevia's Q3 and 9 Months FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja, Head of Investor Relations at Jubilant Ingrevia Limited. Thank you, and over to you, Mr. Taneja.

Pavleen Taneja: Thank you, Rayo. Good evening, everyone. Thank you for joining the quarter 3 of financial year 2026 earnings conference call of Jubilant Ingrevia Limited. I would like to remind you that some of the statements made on the call today would be forward-looking in nature and a detailed disclaimer in this regard has been included in the press release and the results presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia, Chairman; Mr. Deepak Jain, CEO and Managing Director; and Mr. Varun Gupta, CFO, Jubilant Ingrevia Limited. I now invite Mr. Shyam Bhartia to share his comments.

Shyam Bhartia: Thank you, Pavleen. We are pleased to share the financial results for the third quarter and 9 months of this fiscal year. On year-to-date basis, our Specialty Chemicals segment has continued to fuel growth momentum, delivering revenue expansion and a robust double-digit increase in EBITDA.

Our Nutrition business has sustained a healthy trajectory of volume growth across all core products. At the same time, our Chemical Intermediates segment has successfully maintained its market share while recording a year-on-year volume growth.

This quarter presented its challenges with softer pricing across all 3 segments. However, strong volume growth helped offset this impact, resulting in overall business performance remaining stable. EBITDA was maintained at 13%, same as quarter 2 over the 9 months period, our volume growth in double digits, leading to r

venue increasing by 3% and EBITDA rising by 8%.

And even after accounting for amendment to the Indian Labour Code and the associated 1x exceptional expense, our profit after tax registered an increase of 8%. We are pleased to announce that the Board has recommended an interim dividend of 250%, translating to INR2.5 per equity share.

Markets update. Across the broader chemical industry, we are witnessing a steady recovery in volumes even as pricing pressure continue to persist across segments. Importantly, while many global players are reporting deteriorating financials due to weaker demand, sustained pricing pressure and elevated energy costs, our performance demonstrates resilience and strength in navigating these challenges. In the pharmaceutical end-use market, volumes have remained steady across segments with particular strength in our core fine chemicals portfolio. With recent signing of FTAs with United States and EU, we are expecting a higher degree of engagement and inquiries from customers in coming months.

In agrochemical sector, we are witnessing a steady recovery in volumes, both globally in India with pyridine-based products and the acetlys group showing consistent improvement. However, the demand supply imbalance persists, exerting short-term price pressures that we expect to ease in the coming quarters. We continue to advance our cost initiatives to ensure we can absorb this impact. In the nutrition market, Niacinamide demand remains strong across key segments, including feed, food and cosmetics. Pricing, however, has been under strain due to supply-demand mismatches, though we anticipate margins to improve marginally in the next quarter.

Meanwhile, the demand for choline, vitamin B4 is stable. While domestic prices are affected by global imports, we are encouraged by positive traction in the European market, supported by tariffs imposed on Chinese suppliers.

Now let me share a few details on our future outlook. Looking ahead to Q4 FY '26,

we anticipate sustained growth momentum driven by progress in our Specialty Chemicals and Nutrition businesses, alongside a partial recovery in acetyls portfolio. During the quarter, we commissioned a new boiler at our Bharuch site, which will further enhance our operational efficiency.

We are also on track to commence delivery of major CDMO order in Q4 FY '26, a milestone that will significantly accelerate our growth trajectory in the CDMO segment. In addition, construction work has begun on our new multipurpose plant in Gajraula, which will further strengthen our capacity and future readiness for

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upcoming CDMO projects. With the latest FTA signed with Europe and EU, we expect to gain share in these markets in the coming quarters.

With this, I now hand over to Deepak to discuss the business in detail. Thank you.

Deepak Jain: Thank you, Mr. Bhartia. A very good evening to all of you. I would like to thank you all for joining us today for the quarter 3 FY '26 investor call of Jubilant Ingrevia Limited. Over the past year, we have made significant progress across all pillars of our strategy, laying the groundwork for sustained long-term growth while ensuring stability in the near term even amid current challenging global market conditions. These efforts are already delivering results as reflected in our stable quarterly performance in our Specialty and Nutrition portfolio, overall margins, along with a substantially expanded pipeline of more than 100 new opportunities, including 16 wins in this year itself.

In quarter 3 FY '26, we further accelerated our Pinnacle journey, achieving important milestones that reinforce our momentum and strengthen our trajectory towards enduring value creation. Let me share the overall business update with you all first. From an overall business perspective, we are pleased to report stable revenues and margins delivered despite challenging market cond

itions.

This performance was fueled by incremental sales volumes across all segments. While volumes grew during the quarter, performance in our Specialty Chemicals segment was tempered by pricing pressures across core products. Nevertheless, the segment demonstrated resilience, continuing to deliver margins above 25%, underscoring its strong fundamentals even in a challenging environment.

Our pyridine and Derivatives business continued to deliver strong volume growth on both quarter-on-quarter and year-on-year basis, reflecting the robustness of market demand and reaffirming our competitive positioning. Diketene derivatives maintained steady volumes on a quarter-to-quarter basis and demonstrated strong growth momentum year-on-year, reflecting consistent performance and clear market traction.

In our CDMO business, we continue to see increased customer traction across pharma, agro, industrial and cosmetics and nutrition segments. The overall momentum underscores the strong demand and growing confidence in our capabilities. We continue to make rapid progress in our new growth segments such as cosmetics and semiconductor chemicals.

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In cosmetics, our team is already developing multiple products and we are getting good traction with several customers. Similarly, in semiconductor chemicals, too, the number of opportunities has increased in last quarter and we are making significant investments in equipment and teams to accelerate our journey.

In our Nutrition & Health Solutions business, we delivered volume growth both quarter-on-quarter and year-on-year. Demand for feed-grade vitamin B3 remained steady with volumes reaching their highest level in past 7 quarters. While intensified global competition placed some pressure on prices, the segment continued to demonstrate resilience.

Cosmetic grade demand sustained its steady growth on both quarter-on-quarter and year-on-year basis, with pricing remaining stable. In food grade products, we observed marginal price softening, though demand trends remained encouraging and supportive of long-term growth.

In our Chemical Intermediates segment, we recorded higher market volumes in the domestic market, supported by a modest uptick in agrochemicals and paracetamol end use segment. In contrast, Europe continues to face headwinds with weak demand and plant closures weighing on the performance.

While prices have remained subdued, rising raw material costs and positive momentum in acetic acid point towards an upward trend ahead. Importantly, our lean initiatives and cost efficiency measures have helped offset pricing pressures,

reinforcing the resilience of this segment.

Let me also give you a quick update on the progress made across our key pillars. Number one, driven by our customer-centric approach, our key account management strategy continues to deliver strong results.

In Q3, we expanded our opportunity funnel beyond 100 active opportunities, reflecting deeper engagement and growing interest across our strategic accounts. Collectively, these opportunities represent a peak annual revenue potential of INR3,500 crore.

Over the past year, we have secured confirmation for more than 16 molecules with an estimated peak potential of INR1,400 crore and we are in advanced discussions on over 7 additional opportunities with a potential of INR900 crore.

From an operations and ESG perspective, we are seeing tangible outcomes from our sustainability initiatives. The benefits of green power are evident with power and

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fuel expenses reduced by 10% year-on-year and around 3% quarter-on-quarter despite higher production volumes.

This progress reflects the successful commissioning of renewable O2 power at our Bharuch site, which has taken Ingrevia's renewable power share to 34% in Q3 as against 28% in Q2, a significant milestone in our clean energy journey.

On the operational front, our INR120 crore plus an

nual lean savings program

remains firmly on track, driving efficiency across the value chain. Complementing these efforts, our ESG initiatives earned significant recognition last quarter.

We received multiple recognitions at the seventh South Asia ASQ Team Excellence Awards and were also awarded as the Manufacturing Team of the Year 2025 Large category at the Manufacturing Today 13th Annual Conference and Awards. These accolades highlight our unwavering commitment to responsible practices and sustainable growth.

From a people and organization perspective, I am pleased to share that we have been recognized among the top 50 best workplaces in manufacturing in India for 2026. We continue to strengthen our leadership bench with strategic senior talent additions.

This quarter, we welcomed a new Chief of Manufacturing, further reinforcing our operational excellence. In addition, we remain committed to continuously strengthen our R&D and technology teams through key hires in strategic growth areas such as human nutrition and semiconductors, positioning us for long-term success.

On the innovation and R&D front, we continue to build a strong pipeline that supports our long-term growth strategy. We now have approximately 55 products under development across our business segments, reflecting our commitment to differentiated and value-added solutions.

These innovations will further strengthen our portfolio and reinforce our position as a science-led and customer-centric organization. On the capex front, we commissioned a new boiler at our Bharuch site in quarter 3 FY '26, further enhancing operational efficiency. We remain firmly on track for the commissioning of our agro innovator project, which is expected to begin dispatching volumes from March 2026. During the quarter, we also commenced construction of a new multipurpose plant at Gajraula, which will add significant flexibility and capacity to our CDMO and fine chemicals portfolio. Given the progress across our strategic initiatives, we remain

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confident in sustaining the expected growth trajectory in both top line and margins over the next few quarters.

With that, I would now like to hand over to Varun to walk you through the financial performance of each of our businesses, followed by consolidated financial overview.

Varun Gupta: Thanks, Deepak. Very good evening to all of you. Starting with overall financial update. We achieved our second highest volumes in the last 12 quarters with overall revenue at INR1,051 crore compared to INR1,057 crore in quarter 3 '25.

Notably, volumes grew by nearly 9% during the quarter despite macroeconomic headwinds and the typically muted price momentum across most segments in quarter 3. EBITDA for quarter stood at INR136 crore, reflecting an 8% year-on-year decline, primarily due to lower pricing across most segments.

However, on a 9-month basis, EBITDA reached INR436 crore, representing an 8% increase compared to the same period last year. PAT for the quarter, excluding the impact of amendments under the Indian Labour Code stood at INR60 crore with a margin of 6%.

The adjustment of INR13 crore was recorded under the exceptional items and primarily related to provisioning of employee gratuity and leave encashment mandated by the New Labour Code amendments.

PAT for the quarter after accounting for exceptional items stood at INR47 crore comparable to INR69 crore in quarter 3 financial year '25. Consequently, the net debt-to-EBITDA ratio improved to 0.94x during the quarter compared to 1.24x in quarter 2 financial year '26 based on trailing 12 months EBITDA.

We have incurred year-to-date capex of INR366 crore. The majority of this spend was directed towards the upcoming CDMO agro plant at Bharuch and the construction of our new multipurpose facility at Gajraula. These investments were largely funded through internal accruals.

Looking ahead, we plan to invest appro

ximately INR500 crore in 2027, which will

also be supported by internal accruals. Specialty Chemicals. In quarter 3, our Specialty Chemicals segment reported revenue of INR458 crore compared to INR468 crore in the same period last year. While segment revenues was impacted by pricing pressures across core products, this was partially offset by a healthy volume growth in our pyridine and diketene portfolios.

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Our quarterly EBITDA margin for the segment remained stable, sustaining a trajectory above 25% with absolute EBITDA reported at INR116 crore. This performance was supported by a favorable product mix driven by higher offtakes in our volumes of fine chemicals and CDMO offerings, along with ongoing cost optimization initiatives.

On a 9-month basis, segment revenue stood at INR1,421 crore compared to INR1,331 crore in the same period last year, reflecting a growth over 7%. With EBITDA margins remaining well above 26%, segment EBITDA for 9-months period was INR371 crore, up from INR293 crore last year, representing growth of 27%. During the quarter -- Nutrition, Health and segment business segment. During the quarter, segment revenue stood at INR201 crore compared to INR190 crore in quarter 3 '25, reflecting a year-on-year growth of 6%.

This growth was primarily driven by steady market demand with the segment recording its highest overall volumes in the last 7 quarters and delivering the strongest ever volume growth in the vitamin B3 portfolio.

Segment EBITDA for the quarter stood at INR23 crore, declining 10% year-on-year, with margin trending lower at 11%, primarily due to price declines across vitamin B3 portfolio and choline. However, margins are expected to improve in the coming quarters as prices recover and the share of cosmetic and food grade products increases in the overall product mix.

On a 9-month basis, segment revenue for this upper Nutrition remained stable at INR560 crore, with EBITDA margins sustained over 12%, segment EBITDA for PS stood at INR68 crore. Chemical Intermediates business segment. During the quarter, segment revenue stood at INR393 crore compared to INR400 crore in the same period last year.

Also on a sequential basis, revenue declined primarily due to lower realization across our key products such as ethyl acetate and acetic anhydride. On a 9-month basis, segment revenue stood at INR1,229 crore compared to INR1,237 crore in the same period last year.

The margin decline in absolute EBITDA was driven by pricing contraction along with the pass-through of lower input raw material costs in an oversupplied market, which also impacted overall EBITDA performance. Overall, the business delivered a resilient quarter, posting stable results despite a very challenging and dynamic market environment.

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We will now be happy to address any questions that you may have.

Moderator: Thank you very much. We will now begin the question and answer session. We take the first question from Archit Joshi from Nuvama Institutional Equities. Please go ahead.

Archit Joshi: Good evening. Thanks a lot for the opportunity. Sir, first question, I think when looking at our comments from the last maybe 2 or 3 quarters, we have been continuously highlighting pricing pressure in most of the portfolios that we operate in. So is this supposed to be seen as price decline happening quarter after quarter sequentially? How transient would it be in your opinion, if you can give your understanding on all 3 segments, specifically pyridine, B3 and in the acetyls

business?

Deepak Jain: Thank you, Archit. Very relevant question. And the answer, there are nuances by business segment. So let me just cover each one of them one by one. So if you look at our specialty business, particularly on the pyridine and its derivatives, the pricing pressure has come in the last 2 quarters and particularly, let us say, second half of last calendar year.

And real

big impact of that has been on the last quarter results, as we just described.

The outlook going forward on that segment from at least our side, we are already seeing some uptick in pricing in certain derivatives.

And as you might be tracking, China has also announced some imperatives or some actions as part of their anti-involution strategy, which we are hoping will help in bringing the price back, but we can already see some uptick. So that is on specialty. Similarly, on the nutrition, particularly the vitamin B3, which is a derivative of pyridine value chain, we see the similar impact. In fact, in the last few days itself, we have seen almost a 7% to 8% increase in price of vitamin B3 feed grade and we are hoping it will sustain in coming weeks.

Acetyl is a different story where obviously, it is a commodity and hence, it goes through its own cycles. The price has been deflated for last couple of years. There was pressure and it had bottomed out, as I explained in the last analyst call also in the last quarter. And since then, if I look at the last 2 months, particularly, we have seen already an uptick in acetic acid price, which we are hoping will gradually start to translate into our acetic anhydride and ethyl acetate prices as well.

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So the different product categories are at different stages of the cycle. But one thing we can see, we have bottomed out. In the last 6 months or so, we have not seen any significant further decline in price. In fact, in a couple of areas, we have only seen a marginal increase. So that is why we are hopeful that going forward, we should only have upside on the pricing front rather than any further decline across the segments.

Archit Joshi: Sure, sir. Sir, my second one, a slightly longer question given the data points from the presentation. So in the previous quarter, we are speaking of around INR1,200-odd crore of net realizable value from a few products that we had mentioned.

I think that number has jumped to INR1,400 crore, so maybe an increase of INR200 crore. On the same lines even in the previous quarter and this quarter, we are talking about this INR3,500 crore of net realizable value from peak potential of some of these 100-plus products that we have mentioned.

So in line with that, if you can throw some light as to which application areas, which products, maybe the time line in which we will be able to realize this benefit? Would this be in CDMO because these are all products that we have been talking about for quite some time and quite keen to understand how our CDMO journey is going to be through these new initiatives that we have taken?

Deepak Jain: Yes. Again, good question, Archit. So let me try to address each of your points one by one. Number one, I think from a pipeline perspective, we talked about this 100-plus opportunities with a peak potential of about INR3,500 crore.

And I think in the last analyst also, I explained that generally, the peak potential takes at least 3 years, if not more, because it is linked to the pace at which the innovator are able to grow their volumes and our demand is a derivative demand of that. So we hope that for most of these, once confirmed, it will take at least 3 to 4 years to get to the peak demand.

Number two, what we announced in the last quarterly investor call was about 10 or 11 molecules with a peak potential of INR1,200 crore. In last 3 months, as you would have seen in today is announcement also, we have added another 5 molecules and then the peak potential has reached almost INR1,400 crore plus.

So that is a moving pipeline and we are getting the confirmation. And of course, we start counting revenues of those molecules as confirmed as soon as our samples are cleared and the customers start giving us the first commercial order of these molecules.

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So for all these 16 molecules largely in the last 10 or 11 months of this fiscal year, we have

we gotten our samples approved. The customers have given the first commercial orders, which also means even in this fiscal year, we are seeing revenue and margins accruing to our overall P&L from these molecules.

And FY '27, we will see a big jump because we have a couple of contracts, which will be scaling up pretty quickly. And of course, the real peak potential of these already confirmed molecules, as I explained earlier, will take at least 3 years. Point three, there is another 80-plus -- 80, 85 molecules. We are, of course, continuously pushing. Hopefully, we will be able to expand the funnel by adding more opportunities. We will, of course, lose some as well. So it is a dynamic funnel, which we will keep working on. And we are hoping as we move along in coming quarters, we will be able to announce more wins. So I think I covered all parts of your questions, Archit.

Archit Joshi: Yes. I just want to...

Deepak Jain: And I think you also had a question -- so, you also were asking about whether these are CDMO molecules. So like I explained in last call also, these are most of the molecules that belong to CDMO and fine chemical part of our businesses.

And in most of those situations, we will have exclusive or semi-exclusive kind of arrangement with the customers with Specialty Chemical kind of margins. And you know the EBITDA margins that we have in our Specialty Chemical business.

Archit Joshi: Sure. Understood. Just one more. If I just look at the total global landscape or rather the Indian landscape of the CDMO players that we have in India, I think there will be about 2 or 3 of them who are able to garner a critical scale and mass with regards to one product. So maybe crossing more than \$50 million of revenues per year. And I think there will be only about 2 or 3 products which might be able to do that in the current scheme of things.

And the potential that we are talking about is with 100 products for INR3,500 crore.

So if I take a simple average, each product does about INR35 crore. So would our approach be as dilute as this much that a product can do maybe somewhere between INR50 crore to INR100 crore tops at peak sales?

Or do you think that there will be opportunities for us available in the agri space or the agri CDMO space for us to garner similar kind of contracts that we have had, the one that we are going to commission in Q4, which is about \$60 million or so. So sir,

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your thoughts on this to understand the ramp-up in CDMO business for us in the next 3 to 5 years?

Deepak Jain: Yes. Again, a very good question, Archit. I think what you talked about, \$50 million kind of opportunities, as you rightly said towards the end of your question, those kind of opportunities largely exist in agrochemical segment.

And there have been handful of such contracts in the Indian CDMO industry in the last few years and we are lucky to have one of them. Having said that, if you just step back and look at our portfolio and our capabilities, our business mix is roughly 30% pharma -- at an overall level, I am saying, not just specialty or CDMO. 30% is pharma, about 20%, 25% agro, 15% to 20% nutrition, now increasingly consumer, about 10% and some industrial.

So by nature, our portfolio or at a fundamental level, our portfolio is well diversified. What it means is we have access to customers across all these segments. And invariably, in each of these segments, we will be working with most of the top 10 or top 20 customers because some of our products are going there.

Moreover, we have 35-plus chemistries, which cover a vast space of the products that -- new products that most of these customers will be working on. And hence, when we are going and speaking to them and then talking about -- first, we have the relationship with them. And second, when we present our capabilities to them, we are getting traction from them across these verticals.

And with that,

now if you look at those 100-plus opportunities and while we have not disclosed the breakup of that publicly, the mix of opportunities in terms of numbers pretty much reflect the mix of our overall portfolio, which means we have opportunities from agro, from industrials, from cosmetics, from nutrition and from pharma.

And that is why when you do the average math, while the average is coming out to be INR30 crore, INR35 crore, there are opportunities which are worth INR100 crore within that. And there are opportunities which could be even INR5 crore, INR10 crore because if you look at the pharma opportunities or cosmetics opportunities, some of them will run into just INR5 crore, INR10 crore, INR15 crore while the agro could run into INR100 crore, INR200 crore INR500 crore as we have in our portfolio. So it is a spectrum.

Given our strength, given our relationship with customers across these 5 key segments where we operate, we are able to get traction with the customers across

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the board and create the funnel. We have internally aligned ourselves to focus on each of these verticals.

There are separate teams with the right kind of expertise and depth, not just from a BD perspective, but from R&D and technical capabilities perspective so that we are able to provide the right kind of support and respond to these inquiries and which is reflected in the first 16 wins that we have announced so far.

Archit Joshi: I understand, sir. That is quite elaborate. Thank you, sir, and all the best. Thank you, Deepak ji.

Moderator: Thank you. Next question is from Abhijit Akella from Kotak Institutional Equities. Please go ahead.

Abhijit Akella: Good afternoon. Yes. Thank you so much for taking my questions. First, just on the agrochemical intermediate project, which you have stated in your presentation is to be -- start deliveries in March. Is there some meaningful amount of business that we could expect this year itself in fiscal '26?

And then do you expect it to scale up to full potential in '27 itself? Or will it take a little bit longer? And if I may just add on one related kind of extension to that question.

Deepak, would appreciate your outlook for how this year is going to end up overall in terms of maybe EBITDA or something and then what you are expecting for next year as well?

Deepak Jain: On the first question, we remain pretty much on track. As we had announced at the time of signing this contract that by this quarter, the plant will be ready. The good news is the plant is ready. We had the whole Board visiting the Bharuch site yesterday. We had our Board meeting there. So we showcased not just that plant, but the other infrastructure and plants that we have developed in Bharuch.

And I am happy to share that with all the investors and analysts that the Board came back very happy with the progress we have made, not just on that plant, but overall. And the plant is already charged with the batch a few weeks back and we are hoping that the first output, a lot of output will come within this quarter.

Quantum-wise, we will have to see because, obviously, it is a complex molecule with multiple stages. We are trying our best to maximize the production within this quarter and we already have confirmation from the customer to start dispatching as soon as we are ready.

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So that remains on track. The contract, and I think this question was asked a couple of analyst call back, we get to full potential of the production as soon as we start.

That is the understanding with the customer. So far, they have given us visibility for the first few months, which is what we are gearing towards and planning to start supplies of that hopefully by mid and late March this year. So as of now everything remains on track.

The second part of the question, Abhijit, I think as you can see, we have given a consistent EBITDA growth. Our business mix has been changin

g. Obviously, last

quarter, there was some impact coming on the business because of pricing, which I have explained in response to Archit's question, the pricing gradually seems to be coming back.

So we are hoping that if you take the average performance for this year, we will maintain that kind of run rate and we will continue to give the volume growth. The pricing as of now looks like we have hit the bottom and we will see some recovery. So definitely, this quarter should be better than the previous one in terms of both plan as well as whatever visibility we have right now.

Varun Gupta: Just to add to it, Deepak, Varun here, Abhijit, if you see our 9 months, we have delivered an 8% increase in the EBITDA overall. And as Deepak mentioned, for the full year, we expect it to be higher than that, yes. So if that gives you a certain outlook for the quarter 4.

Abhijit Akella: No. That is really helpful. And any thoughts, preliminary thoughts for fiscal '27 as well at this point? Or is it too early?

Varun Gupta: It is too early.

Deepak Jain: Too early, but I think we have given a multiyear guidance anyway in last year also that we hope to continue to grow -- if you take a multiyear average, our EBITDA at least at 20% CAGR. So that is the trajectory. Now one particular year, there is so many factors, Abhijit, but that is the aspiration and that is what all of us are working towards.

Varun Gupta: So Abhijit, maybe in the next week, once we conclude, we will be able to throw more

light on the year, after we have presented it to the Board, yes.

Abhijit Akella: Sure. Perfect. Appreciate that. And just one last quick one from me. Any deferrals of any shipments that happened in this past quarter, that may spill over into the next quarter?

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Deepak Jain: Our portfolio is so wide and diversified. There are always some orders which move up and down based on the customers' requirement and sometimes even, let us say, the availability of ships.

But there was no major change. But at the same time, because there were some uncertainty, particularly in this FTA that was to be signed with the U.S., which now is signed, a couple of customers had slowed down the booking of our new orders, which now obviously, now that the FTA is signed and that uncertainty is gone, we are hoping those customers will go ahead and confirm the orders, which anyway they had given the visibility of.

So no major movement. But at the same time, I am hoping that the pace of booking and the quantum of booking from some of the customers on the back of the 2 FTAs which have been signed in the last couple of weeks will help us accelerate the momentum.

Abhijit Akella: Thank you so much and wish you all the best.

Moderator: Thank you. The next question is from Nitesh Dhoot from Anand Rathi Institutional Equity. Please go ahead.

Nitesh Dhoot: Yes, good evening, team. Thank you for this opportunity. So my first question is on the CDMO part. So our CDMO customer has guided for continued pressures in its EPC diamide portfolio and modest volumes for CY '26. So how does that translate into the minimum offtake commitments or the volume visibility for Jubilant under this CDMO arrangement?

Deepak Jain: Nitesh, we never disclose the names of our CDMO molecules or customers publicly. So I will not be able to answer this question in the specific context of what you referred to. But as I mentioned in response to Abhijit's question, our CDMO contracts and the delivery against what we have agreed with the customer stays on track and we do not see any lack of visibility there. At least for the first few months, even for the big contract, we have already gotten visibility from the customer, and we are planning to start dispatching late March.

Nitesh Dhoot: Sure. So in case of any resistance or any regulatory tightening in certain geographies, we are insulated contractually or does any of the volume risk sit partially with

us?

Deepak Jain: See, as you would be aware, the typical construct in CDMO industry is to have commitment from both sides for some minimum volume offtake. So we have covered

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our risk by having similar arrangements with wherever we have invested heavily.

And of course, that is a typical nature of the CDMO industry, particularly on the agro side, as you know. So we have followed a similar norm and we are well covered there.

Nitesh Dhoot: Sure. So just one last on the FTA, on the India EU FTA. So as I understand, I mean, on the U.S. part, I believe there will not be too much of an incremental benefit from this reduction because we are not any which way impacted significantly. But on the EU trade deal, I mean, which are the products or the areas where we expect significant gains coming through in terms of market share?

Deepak Jain: Yes. So Nitesh, I think there is, of course – I will answer the direct impact of it. But as I was mentioning, because of the uncertainty created by, let us say, delay in particularly the U.S. FTA, some customers had become tentative even on the products which were not coming under any duty regime or tariff regime because there is a long exemption list, as you know, in Annexure 3.

But the indirect impact and that is true for both U.S. and European FTAs is that we are hoping now for customers that tentativeness will go and the pace and the quantum of order booking will increase. In terms of direct impact, I think you are right on the U.S. In a call a couple of quarters back, I clarified only 2% of the overall portfolio was getting directly impacted.

Now that is gone and we are hoping that with increased competitiveness, we will be able to increase volumes there. On the EU side also, right now, there is duty or tariff of about 6% to 7% for a bunch of our products like it is for China as well. As those duties go away next year, hopefully, our level of competitiveness will increase, which we are hoping to leverage to get some volume and hopefully even price upside

starting next year.

The exact quantum will depend on a case-to-case basis, of course, because in many of the customer or product categories, we already have a very high share in those products. And one example, by the way, is the choline where as soon as we had a favorable tariff structure vis-a-vis the Chinese competition, our share has already started to increase and we have started to book volumes in European market. So we are hoping a similar kind of upside will start to come once the EU FTA is executed hopefully early next year.

Nitesh Dhoot: Great, sir. I think that is very helpful. Thank you so much and all the best. I will get back into the queue if I have more. Thank you.

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Deepak Jain: Thank you, Nitesh.

Moderator: Thank you. The next question is from Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Hi, first, coming to the Specialty Chemical business, if we look at our EBITDA for the last five quarters, it has largely been range bound at INR115 crore to INR130 crore.

Now can you just quantify how much of this would be -- we had a positive volume gain and how much would be the negative pricing impact over the last five quarters?

Deepak Jain: Yes, Siddharth, you are right. I think as I was explaining in response to the first set of questions, the price, of course, has taken off or offset some of the volume growth that we have seen. At an overall, if you take the last 2 years rather than just quarter, I think our Specialty Chemical volumes have grown at least at 10%, 12% every year. But what is also true is in the last 6, 7 months, particularly, the pricing has come down, which, as I was explaining, in our view, has bottomed out and we have seen already some uptick in price in some of the product categories. So on the back of that, we should hopefully be able to increase the absolute value as well.

What you should also see is th

at our margin has remained at 25%, 26% despite all the pressure which is coming from pricing, which has happened because of 2 reasons. One is, as we have been publicly announcing from time to time, we have taken a cost program a couple of years back and that remains on track and we are actually still working on it. And even next year -- for next year also, we are putting together a similar program, which we should be able to announce by next quarter. At the same time, the mix of our Specialty Chemical business is also improving because the share of fine chemicals and CDMO in specialty is increasing and those are high-margin growth driver segments for us, as we explained in last year investor call as well. So the hope is as soon as the pricing starts to come back, you will see a meaningful jump in the absolute margins as well, while we still maintain the percentage EBITDA at least at 25%, like we have done in the last five or six quarters.

Siddharth Gadekar: Sir, basically, I wanted to understand that because given we would have some cost savings also in this, so the pricing decline would have been much higher than the volume growth. Is that a fair understanding?

Deepak Jain: Yes, that is right for part of the portfolio -- for Specialty, yes.

Varun Gupta: For Specialty -- Siddharth, Varun here, our volume growth and the mix is higher than the price decline.

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Siddharth Gadekar: Okay. Sir, secondly.

Varun Gupta: For the first 9 months of the year, our -- if I take it together to give you a more broader view, we have grown more than double digit in volume and mix for the Specialty, yes. And the pricing has gone back in the high single digits. That is why our Specialty has grown on a year-to-date basis, which we have mentioned in our notes also. So answer to your question is pricing has come down, but not ahead of the volume and mix.

Siddharth Gadekar: Okay. Secondly, in terms of capacity utilization now from here on beyond the CDMO, can you give some color in terms of capacity utilization or what kind of volume growth can we see going ahead also?

Deepak Jain: So if you just see, Siddharth, we announced a INR2,000 crore capex program 3 years back and all of that capex with this new CDMO plant that we are constructing in Bharuch coming in would be deployed. On the back of that INR2,000 crore, we had expected about, let us say, INR3,000 crore of additional revenue on the base of INR3,000 crore, INR3,500 crore we had a few years back. So of course, there is some price deflation which has happened versus the projection we had at that time. So if you take that lens, I think we are pretty much on track. And most of the new capacity we have created, including the one which we just are commissioning for the

new agro project, we run at around 50-odd percent capacity utilization. So we have enough growth room with the already invested assets, which we are hoping a significant portion of that will get capitalized in FY '27 because from the overall growth journey perspective, which we shared with the market also, FY '27 is like a pivotal year in which a lot of that capacity we are hoping to fill on the back of both confirmed orders, which we have announced as part of our pipeline, but also some of the new areas that we are working on.

Siddharth Gadekar: Okay. Got it. Thank you so much.

Moderator: Thank you. The next question is from Avnish Burman from Vaikarya. Please go ahead.

Avnish Burman: Hi, good evening. Thanks for taking my question. Deepak, this large agrochemical order that you have, I just wanted some color on the profitability. If I am not mistaken, in the last call, you mentioned this is coming at about 20%, 25% EBITDA margin. I just wanted some understanding on typically when CDMO players are working with innovators, the margins are typically higher. So why in this contract are the margins

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lower than what we typically see with some of the ot

her players who are working with innovators?

Deepak Jain: So Avnish, the first part of your question, as we have been consistently saying, every new project, every new capex that we take in our company, we keep at least a threshold margin of 20% EBITDA and ROCE of 20% plus. So the same is true for this project also. I would not be able to give the specific margins, but that will be north of that threshold for sure.

To your second question, we need to just appreciate that this product is a generic product. And obviously, we have to -- ultimately, the key principle behind a CDMO business is also to support the customer to be competitive in the market. So obviously, we worked together on it and got to a point where it felt like a win-win and hence, we have the margin.

More broadly also, if you look at the agro segment within CDMO, margin for most players will be between 20% and 25%. Of course, pharma operates closer to the 30% -- 25% to 30% mark. But in agro CDMO segment, 20% to 25% margins are not bad, especially when the products are much bigger and give a step change kind of growth to you.

Avnish Burman: Understood. The second question is more of a directional thing. I mean, I am referring to the presentation that you made last year. Your FY '30 guidance for Spec Chem also kind of indicated a 25% margin, which you have been maintaining in the last three quarters. The business seems to be stable at that margin.

The growth from here on to FY '30 seems to be driven more by fine chemicals and CDMO. And like you said, I mean, that improves the business mix. Then why is the guidance for FY '30 not higher than 25% and the same as the current business mix right now, which has a larger proportion.

Deepak Jain: No. So I think in terms of mix, you are right, Avnish. Of course, we made certain assumptions at that time. I do feel if we continue growing our fine chemicals and CDMO business at the pace that what we see with the pipeline building up and particularly all the cost initiatives which we have taken, which, by the way, were not built into the 5-year projection when we shared those numbers last year, I think we should hopefully be able to do better than 25% in Specialty Chemical.

But at the same time, right, FY '30 is far away. There are so many factors which will have to -- positive and negative, which we may need to navigate through over the years. But I think I would put it more like an aspiration that we need at least 25%

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EBITDA in Specialty Chemicals, which is what we have been maintaining. And from whatever we can see, we should hopefully be able to do that quarter-on-quarter and year-on-year. We will, of course, try to do better than that with all the cost-saving initiatives as well as some of the new projects that we are working on.

Varun Gupta: Just to add to it, Avnish, what Deepak just mentioned, we are also reinvesting for growth. Growing Specialty Chemicals remains the key focus area. And there is a reinvestment of incremental margin that will go in building the capability, both in R&D and in our technical teams.

Avnish Burman: That makes sense. Thank you so much.

Moderator: Thank you. The next question is from Gokul Maheshwari from Awriga Capital. Please go ahead.

Gokul Maheshwari: Thank you for the opportunity. My first question is on the Nutrition and the Health

business. When do you start seeing the benefit of improving margins with the mix improving towards cosmetics and food moving away from the animal feed?

Deepak Jain: Yes. So Gokul, actually, that has already started to happen implicitly. Of course, that is not visible to you based on the public number, but because the impact of price decline in feed segment, which, as you might know, if you are tracking us for a few years, is a very volatile market or cyclical market. The price decline in feed has kind of offset the positive impact coming from cosmetic and food segment growth, which

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we are hoping that as we grow -- continue to grow the volumes of cosmetic and food relative to feed, will become more and more prominent.

And like I was explaining in the last few days itself, we have seen price uptick in feed as well, which we are hoping will help us anyway counter the negative impact. So the combined impact of both of these should hopefully start reflecting in this quarter and definitely next quarter onwards. And just to give you a sense versus the peak volume we expected to get from the new plant that we commissioned last year, already we have reached almost 30%, 35% of those volumes within the first year despite the fact that it takes some time for the customers to approve the product. So we are hoping in FY '27, we will scale up the utilization and the volumes coming out of that plant even further, which will accelerate or help us in taking the margins up further.

Gokul Maheshwari: Okay. And my second question on the large CDMO order, which we start from March, is the product largely going to be sold in India or will be exported across the world?

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Deepak Jain: See, we are making an intermediate and we will be sending it to the innovator. They will convert it into the final molecule. And obviously, they can send in any part of the world, that is their prerogative. But they have told us where we need to send the molecule, where they will convert it into the final. Yes.

Gokul Maheshwari: Okay. So it is largely an export order?

Deepak Jain: Our intermediate, yes, is an export order.

Gokul Maheshwari: Yes. Okay. Great. And lastly, just on the INR depreciation which has happened, does this really help us for where we have import substitution for certain products, which helps in us getting better pricing versus pricing which was benchmarked to import pricing?

Deepak Jain: Yes, it does, Gokul. Obviously, there is been a lot of volatility in rupee. So whenever rupee depreciates in the segments where we export a lot of products to outside markets and in import substitution segment, it does help us increasing the price and we have marginally increased the price there as well. But our overall portfolio, if you look at we are naturally hedged because we also import a lot of raw materials, particularly on our acetyls business and even in Specialty. So we have a natural hedge within the P&L. So at the overall company level, we are by and large agnostic to the rupee movement.

Gokul Maheshwari: Okay. Great. Thank you so much and all the best.

Deepak Jain: Thank you.

Moderator: Thank you. The next question is from Atishray Malhan from Abakus Mutual Fund. Please go ahead.

Atishray Malhan: Hi, good evening. My question pertains to the Agrochemical CDMO contract. So I believe in the last concall, you had mentioned that the contract should start from about January onwards, which has now been moved to March. Now I appreciate that it is a very slight delay. But if you could just help me understand the reasons behind it or is it just to do with the delivery schedule of the innovator?

Deepak Jain: Atishray, this -- I think we always maintained we will start the production process, the plant in January, so which is what we did. 5th of January, we did the puja at the plant and commissioned the first batch. It is a complex multistage product. So the whole cycle of producing even the first kg of final product is at least a six to eight weeks process because it goes through the different stages. So there is no delay or delay of production or even on placement of the order from the customer. It is just a

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process. And that is why I said by mid-March, we are hoping we will get the first kg out and we will start shipments in March itself. So a couple of weeks here and there, but by and large, it is on track.

Atishray Malhan: Okay. Understood. Thanks. That was very clear. Thank you and good luck for the fourth coming quarters.

Deepak Jain:

Thank you.

Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Pavleen Taneja: On behalf of the entire management team, we would like to thank you for joining the call today. We hope we have been able to answer your queries. For further clarification, I would request you to get in touch with me. Thank you once again for your interest in Jubilant Ingrevia Limited.

Moderator: Thank you very much. On behalf of Jubilant Ingrevia Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2026

May 29, 2026
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Exchange Plaza
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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended – Transcript of the Investors' Conference Call for the Quarter and Financial year ended March 31, 2026

Dear Sir/Madam ,

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we enclose the transcript of Investors' Conference Call for audited standalone and consolidated financial results for the Quarter and Financial Year ended March 31, 2026, held on May 26 , 2026.

The link to access the transcript of the earnings conference call is given below:
<https://www.jubilantingrevia.com/investors/financials/quarterly-results> .

This is for your information and records. Thanking you,

Yours faithfully,
For Jubilant Ingrevia Limited

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List of management attendees

1. Mr. Shyam Bhartia, Chairman
2. Mr. Deepak Jain, CEO and Managing Director
3. Mr. Varun Gupta, CFO – Jubilant Ingrevia Limited
4. Mr. Pavleen Taneja, Head – Investor Relations

External participants during Q&A session

1. Siddharth Gadekar, Equirus
2. Abhijit Akella, Kotak
3. Harsh Shah, Rare Enterprises

4. Archit Joshi, Nuvama
5. Srishti Jain, Monarch
6. Nitesh Dhoot, Anand Rath

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Jubilant Ingrevia Limited
Q4 and FY '26 Earnings Conference Call
May 26, 2026

Moderator: Ladies and gentlemen, good day, and welcome to Jubilant Ingrevia's Q4 and FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja, Head of Investor Relations at Jubilant Ingrevia Limited. Thank you, and over to you, sir.

Pavleen Taneja: Thank you, Neerav. Good evening, everyone. Thank you for joining the Fourth Quarter Financial Year 2026 Earnings Conference Call of Jubilant Ingrevia Limited.

I would like to remind you that some of the statements made on the call today could be forward-looking in nature, and a detailed disclaimer in this regard has been included in the press release and results presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia, Chairman; Mr. Deepak Jain, CEO and Managing Director and Mr. Varun Gupta, CFO, Jubilant Ingrevia Limited. I now invite Mr. Shyam Bhartia to share his comments.

Shyam Bhartia: Thank you, Pavleen. A very good evening to all of you.

We are pleased to report a healthy performance in Q4 and FY '26. We had the highest quarterly revenue and EBITDA in Q4 FY '26 when compared with last 14 quarters with healthy double-digit growth in both top line and bottom line, reflecting our strong execution. Specialty Chemicals had the best quarterly revenue at Rs. 516 crore. A key highlight for the quarter was our effective handling of the Middle East crisis with no force majeure and 0 production loss. The other h

ighlights include successful dispatch of our newly constructed agro CDMO facility and the acquisition of Remidex to accelerate

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the growth of our Human Nutrition business. The Board has recommended a final dividend of Rs. 2.5 per share, 250% and taking a total FY '26 dividend to Rs. 5 per share 500% with the total cash outflow of Rs. 79.8 crore.

Now let me take you through an update on the markets we operate in.

Overall, chemical industries demand remains resilient despite Middle East disruptions. Volumes continue to grow, while the pricing has firmed up due to higher crude linked costs and effective pass-through to customers.

Pharmaceuticals continue to anchor growth with strong volumes and consistent demand. Agrochemicals saw strong growth with robust export visibility and successful price increases, especially in second half of the quarter. Nutrition and Personal Care markets witnessed volume and price-

led growth driven by niacinamide with strong demand in feed and cosmetics. Now let me share a few details on our future outlook. Early outcomes of our Pinnacle Journey are clearly visible in our performance with strong EBITDA growth and improving portfolio mix, enhanced customer relationship and a robust opportunity pipeline, more efficient cost structure and balance sheet. With improving volume demand and escalated pricing, we are confident of sustained growth going forward across our segments.

For FY '27, we expect growth to be led by Specialty Chemicals and Nutrition along with recovery in acetyls. We are expecting a sequential growth in revenue and EBITDA in coming quarters, starting from Q1 FY '27 itself. We continue to invest further in our business. The construction of the Gajraula MPP plant is progressing well. This will further strengthen our CDMO growth road map.

With this, I hand over to Deepak. Thank you.

Deepak Jain: Thank you, Chairman. Thank you, everyone, for joining. We appreciate your participation in the Q4 FY26 investor call.

Over the past year, we have made a strong progress across all strategic pillars, building long-term growth while managing global challenges effectively. Despite Middle East disruptions impacting supply and prices, our diversified sourcing and agility ensured minimal disruption with effective cost pass-through. Strong customer engagement and timely renegotiations have strengthened resilience, reflected in improved performance in Q4.

Let me first share the overall business update for Q4 and FY26. Q4 recorded highest revenue in 14 quarters at Rs. 1,179 crore, up 12% year-on-year, driven by 10% volume growth. EBITDA stood at Rs. 172 crore, up 11% year-on-year and 26% quarter-on-quarter. PAT was Rs. 86 crore, up 17% year-on-year and 84% quarter-on-quarter.

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Net debt by EBITDA improved to 0.99x. Our net debt has reduced by 11% in 2026. In Specialty Chemicals, revenue stood at Rs. 516 crore, rose 6% year-on-year and 13% quarter-on-quarter. EBITDA stood at Rs. 139 crore with margins at 27%, which we have maintained for last 6 quarters.

FY26 revenue stood at Rs. 1,937 crore, up 7%; EBITDA stood at Rs. 510 crore, up 21%. During the quarter, Specialty Chemicals showed strong momentum driven by volume recovery despite stable pricing with margins rising above 27%, reflecting robust fundamentals and resilience.

Our Pyridine and derivatives showed strong volume growth. Our Fine Chemicals and Diketene derivatives recorded steady quarter-on-quarter and strong year-on-year growth. Our CDMO business progressed well with higher realizations and commencement of a large agro contract, reflecting a shift towards value-added products.

In Nutrition business, segment revenue stood at Rs. 230 crore, up 21% year-on-year and 15% quarter-on-quarter. Segment EBITDA stood at Rs. 32 crore, up by 42% quarter-on-quarter and margin stood at 14%. FY26 reve

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stood at Rs. 790 crore and EBITDA at Rs. 100 crore. In our Nutrition & Health Solutions business, we witnessed a strong recovery during the quarter with growth driven predominantly by volume across segments. Growth was led by niacinamide, supported by cosmetics demand. Choline has also improved with surge in exports in Europe. We completed acquisition of Remidex Pharma, expanding presence in Human Nutrition and Premix Solutions.

In Chemical Intermediates business, revenue stood at Rs. 433 crore, up 15% year-on-year and 10% quarter-on-quarter. Segment EBITDA improvement supported by cost pass-through.

In our Chemical Intermediates business, domestic volumes improved on the back of strong agrochemical and paracetamol demand. We remain optimistic about recovery supported by European force majeure events and plant closures. While Middle East disruptions firmed up input costs, rising acetic acid prices have set the stage for a favorable pricing outlook for the segment going forward.

Let me just give a quick update on Pinnacle Journey as well. We launched our Pinnacle Journey almost 2 years back. I am glad to share that we have

made significant progress across all pillars of the journey, leading to the creation of a strong foundation for future growth. A few highlights: Number one, across businesses, we delivered strong volume growth. Nutrition saw highest B3 volumes in 8 quarters and steady choline growth. Acetyls improved volumes and pricing with market share gains in Europe. Specialty continued momentum in Pyridine, Fine Chemicals and CDMO shipments. vi/
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Number two, driven by our customer-centric approach, we now have 100-plus opportunities with almost Rs. 3,500 crore potential with 20-plus confirmed molecules and additional pipeline of 10-plus advanced stage molecules, which have peak potential of Rs. 1,100 crore.

From an operations and ESG perspective, we achieved Rs. 120 crore lean savings and glad to share that we achieved 97th percentile in S&P Global CSA ranking. We also successfully commissioned Bharuch CDMO plant in record 14 months, reflecting strong execution. WEF Lighthouse Award and successful USFDA audit of our Bharuch site are testament to the world-class infrastructure we are creating at our plants.

From a people and organization perspective, we strengthened leadership with key senior hires in almost every department of our organization, such as supply chain, manufacturing, HR, businesses, design and technology and so on, and we transitioned to a vertical structure to drive focused growth across nutrition, pharma, agro, cosmetics, industrial and semicon segments. We invested heavily in our R&D and technical teams in the last 2 years.

From an awards and recognition perspective, we were certified as a Great Place to Work and ranked among the top 50 companies in the country in manufacturing sector. We were also recognized with the Golden Peacock Award and a British Safety distinction.

On the M&A front, we completed the acquisition of Remidex Pharma to strengthen our Human Nutrition premixes portfolio.

The early results from these initiatives have already started to show in our financial results in the last 2 years. For instance, our EBITDA has grown by almost 33% in last 2 years despite tough market demand and declining prices. Our Q4 FY26 run rate EBITDA is 70% plus higher than Q4 FY24 EBITDA, signaling the pace of improvement we could showcase in last 2 years. Portfolio mix moving in favor of specialty and nutrition, contributing almost 85% plus of overall EBITDA. Specialty EBITDA almost doubling in last 2 years. improved net working capital at 59 days, leading to a more efficient balance sheet and a net debt-to-EBITDA ratio of 0.99. This strong foundation and the early results give us the confidence that our Pinnacle strategy is working well. FY27 is a pivotal year in this journey, where we

are hoping to accelerate our growth, starting with Q1 FY27 itself.

We will now be happy to address any questions that you may have.

Moderator: Thank you very much. We will now begin with the question-and-answer session. First question is from the line of Siddharth Gadekar from Equirus Securities. Please go ahead. vi/

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Siddharth Gadekar: Hi, first question is on the Chemical Intermediates business. So how should one think about the spreads in 1Q given that we have seen a very sharp improvement in both ethyl acetate and acetic anhydride spreads globally? And beyond 1Q also, how should we think given we have now entered into a falling environment. Should we expect any inventory losses beyond 1Q?

Deepak Jain: Yes, that is a good question, Siddharth. And as I think most of us have seen different cycles in the acetyls business, particularly in acetic anhydride. So, you are absolutely right. When the war began in late February, we saw a sudden escalation in the raw material prices. But given our typical approach of having raw material inventory and locking in the raw material at the right price at the right time in an agile way, we started to see some benefits of that coming in last quarter itself as reflected in the acetyls business results for Q4 FY26. And we are hopeful that those benefits will continue in Q1 as well in a

strong way.

Besides that, a lot depends on what happens to pricing in coming months.

As you rightly said, we are already seeing acetic acid prices coming down.

We have been very thoughtful in the way we have purchased inventory and the kind of stocks we maintained when the prices were at their peak. So we are hopeful that whatever inventory impact has to come, we will be able to nullify within this quarter or at best in the early part of next quarter and hence, minimize any negative impact coming from that in Q2.

Siddharth Gadekar: Okay. That is very helpful. Secondly, on the CDMO business, so what was our revenue growth in CDMO for FY26? And the entire was classified into specialty chemicals or there was some part of it in the Nutrition business also?

Deepak Jain: No. So, our CDMO business, currently, all the revenues are recognized within the specialty business itself. And as I have mentioned in the past also.

We never disclosed the exact number or exact size of the CDMO business, but it has been growing at a very healthy rate, almost 30% to 40% every year.

Even last year, we have seen that kind of growth. With the advent of some of the big contracts and other opportunities that we have won, we are hoping it will start to accelerate its growth in FY27 further.

Siddharth Gadekar: And given that we have highlighted the number of projects that we are in discussion with, are any projects in the early stage or late stages? And can we expect any closures in FY27?

Deepak Jain: Yes, I think if you saw our announcement in the investor presentation also, even in the last quarter, we added 8 new molecules to the 15-odd molecules that I had announced in the last quarter. So every quarter, we are securing new molecules. Of course, not every molecule is a scaled molecule or vi/

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commercialized molecules to start with, and there is a ramp-up period to the scale up.

And the true impact of these opportunities will start to reflect in the P&L in coming quarters. But to your precise question, yes, we do have a couple of late-stage opportunities in the hopper, which we are hoping to convert. And particularly one of them is reasonably sized. As and when that gets secured, we will, of course, come back and announce to the market.

Siddharth Gadekar: Just last question on the Nutrition acquisition. Can you just speak about what benefits could we have from that? And what is our strategy going ahead with that acquisition?

Deepak Jain: Yes. I think as we announced even in our presentation last year in Investor

Day, Human Nutrition is a vertical which we are trying to create within our broader Nutrition vertical. We already have a couple of products in our portfolio, which go into Human Nutrition segment, such as Vitamin B3 and Vitamin B4, which is choline salts. So we already have access to all the customers. Our customers have been asking us if we can also start to do premixes and specialty products for them.

So the idea of acquiring this business is to forward integrate into that segment and leverage both our strength in discrete molecules and the customer relationships that we already have and provide them an integrated solution.

And the traction that we are getting with the customers is actually quite strong. Of course, we did not have the capacity, and with this acquisition, we have the capacity as well as some existing customer relationships.

But that, topped up with the strengths we already have in our Nutrition business with all those customer relationships and the molecules, we are hoping we will be able to scale up that business pretty rapidly.

Moderator: Thank you. Next question is from the line of Abhijit Akella from Kotak. Please go ahead.

Abhijit Akella: Good evening. Thank you so much for taking my questions. First, with regard to the outlook for the sequential growth in EBITDA every quarter going forward coming year, would it be possible to offer any form of quantification regarding what sort of growth we should expect for the quarter ahead and for the full year ahead?

Deepak Jain: Yes, Abhijit. I think we have been pretty consistent in saying that if we take our EBITDA, we aspire to get at least 20% year-on-year growth in EBITDA

on the full year basis. I think the challenge in giving quarterly growth rates is because one contract moving up and down by a few weeks can make things look very staggered. So that is why we do not give that guidance.

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But we will stick to our overall guidance of achieving at least 20% growth in EBITDA through the year. And if you just take a linear trajectory to that, hopefully, we will be able to get that on a quarterly basis as well.

Abhijit Akella: Got it. Thank you. And of the CDMO order book we have assembled now, how much of a contribution should we expect from the \$300 million contract in the upcoming year? And then also the remaining part of the Rs. 1,500 crore order book, how should we expect these to contribute during the upcoming year?

Deepak Jain: The big contract and a quick update on that. I think I have been giving it on every investor call. The project actually started in March, as we had promised to all of you. And we started shipping the material also in March.

And then currently, we are shipping the material to the customer. We are discussing with them about various volume scenarios for rest of the year. And once we have that firm plan with them, we will be able to give any guidance on that.

But that does form a main pillar of the overall growth projections for this year, as we have communicated in the past. On your broader question on the pipeline of opportunities, these are opportunities which are in different stages. Some of them are, let us say, if I take some of the pharma sector opportunities, these are Phase II, Phase III opportunities.

And hence, in the beginning, they will be relatively small. But as they scale up, as the customers move forward in their overall development journey, we should be able to scale up those products, while some others to start with will be, let us say Rs. 10 crore, Rs. 20 crore, Rs. 30 crore kind of opportunities. There is a mixed bag there. But as I mentioned, I think in the last investor call also, generally, the trend at the overall portfolio level for these new opportunities, what we expect is in the first year, they give at least 20%, 25% of their peak revenue.

By second year, they give 50% to 60%. And by third year, the

y give 80% plus

revenue. While each opportunity will have its own life cycle, but at a portfolio level also, I think we should be able to mirror that trend to gain incremental growth in our portfolio.

Abhijit Akella: Thank you. That is helpful. And just one last one from my side. The capital work-in-progress on the balance sheet seems to have come down to about Rs. 150 crore. In light of that, what is the capex number we should work with for

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Varun Gupta: Hi, Abhijit, Varun here. See, capital work in progress has come down a bit because we have capitalized our CDMO plant in March. To your question, in 2027, as we have indicated earlier, we will continue with the range of Rs. 400 crore to Rs. 500 crore of yearly capex to continue to invest behind our growth. The big capex is coming into Gajraula MPP, which we have announced earlier, which will be finished this year and will go in to commence production in quarter 4.

Moderator: Thank you. Next question is from the line of Harsh Shah from Rare Enterprises. Please go ahead.

Harsh Shah: Yes, thank you for the opportunity. So, my question is on the pinnacle growth journey, from here on, we have to achieve the same objectives of that is 3x revenue and 4x EBITDA, but now in the next 4 years. So, what specific growth levers, business drivers or strategic initiatives gives the management confidence that such aggressive targets are still achievable?

Deepak Jain: That is a good question. Like I said, if I just talk in terms of EBITDA, if we are

able to achieve our, let us say, between 20% to 25% growth every year, we will be largely on track. There was some growth we had assumed coming inorganically in that growth journey, pinnacle growth journey as we announced even in our Investor Day.

We still feel confident that by FY30, we should be able to take our EBITDA organically to the ranges that we announced in the Investor Day. And obviously, one big assumption which I keep calling out is the pricing, which has surprised all of us.

Now with the recent disruptions, we have seen pricing coming back in some segments. We are hopeful that at least part of that will stay. If that happens, then we feel confident that we should be able to track back on the journey that we have found and the vision that we have defined, as well.

Harsh Shah: My next question is, the company had signed the \$300 million contract during October 2024, while the commercial deliveries have begun just now from March onwards. At the time of signing, the U.S. dollar to INR exchange was at around \$84 per, whereas the rupee has now depreciated significantly, and it is around \$96 per. Could the management elaborate on whether the company stands to benefit through higher rupee revenues?

Deepak Jain: See, that if you see on a standalone basis, that I do not think is the right way of looking at it. First of all, you have to appreciate that at an overall company level, we have a huge amount of imports which come in. In fact, our dollar-based import bill is as big as our exports in the last fiscal year. So we are naturally hedged at a company level.

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Number two, in the context of the specific contract you talked about, we have a bunch of raw materials we will be sourcing from different geographies, which will also come on dollar. And obviously, as we were constructing the plant, some equipment were also imported. If you take all of those into account, we still feel there will be some positive impact, but it will not be just as linear, as you said that Rs. 84 becoming Rs. 95 and what is the benefit coming into the P&L.

Harsh Shah: All right. So on the semiconductor side, when can we expect the revenues coming to us?

Deepak Jain: We already have some revenues coming in, but very small. And as I have been very explicit about it, semiconductor chemicals we are focusing from a

long-term growth journey perspective. We do have almost a dozen different projects, which we are working on, and we have also supplied commercial volumes in small quantities to the customers.

We are getting good traction from the customer. But at the same time, customers in this segment as you will appreciate, like to move slowly and they want to get absolute level of comfort that they can start using materials supplied by any supplier, including ourselves to their customer and without creating any disruption because even an iota of deviation can have huge implications.

So we expect a slow ramp-up in that segment, but our number of opportunities are definitely increasing. The traction, I just came back about 2 weeks back from Japan, the number of new opportunities we could add has only increased. And there are more number of international semiconductor chemical companies, which are looking for partners in India, and we are in touch with a couple of them and having some healthy discussions. Of course, these things are taking longer than what normally any other sector in chemicals world will take because it is a very sensitive segment, which moves slowly and in a calibrated manner.

Harsh Shah: All right. One final question from my side. The company has been highlighting CDMO as a key long-term growth driver, particularly in the agrochemicals segment. Could the management provide an update on where the company currently stands in terms of securing CDMO contracts from global agrochemical majors apart from the two that we have already secured?

Deepak Jain: Yes. We have given the update on that in every investor call. Agro is a key segment for us. Almost 20% of our business comes from agro segment at an overall company level also. The two molecules we won and we have

executed both of them successfully, first time right and in record time, that has been hugely acknowledged and appreciated not just by those two customers, but also by the broader agrochemical industry, including some of vi/ JUBILANT INGREVIA

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our peers. And on the back of that, the traction we are getting with all 5 or 6 top innovators is actually at the highest level that we ever had.

And as we speak, there are at least more than half a dozen molecules that we are in various stages of discussions with the customers. The challenge in agrochemical industry, as I think most of you already know has been that it has been moving very slowly and there are massive cost pressures coming from China as well.

So as a result, while things are moving in the right direction, they have been slower than what, let us say, in normal times, they would have been. But having said that, we are getting traction with the customer. Even now, like I said, there are at least actually more than 6 to 8 different opportunities that are in various stages of discussions with the agro customers.

But I think just stepping back, our CDMO opportunity is broader than that as our pipeline also shows. While agro is one part of it. The pharma side we have made a meaningful progress with our pipeline becoming almost 3x of what it was 1.5 years, 2 years back. On the Personal Care side, also, we are getting some exciting opportunities and we are working on them. We have won a couple of them, and we are in the process of advanced stage of discussions with a few of them. So that CDMO story is broader than just agro, but we do have a good number of opportunities in agro as well that we are discussing with the customers.

Moderator: Thank you very much. Participants you may press star and one to ask a question. Next question is from the line of Archit Joshi from Nuvama. Please go ahead.

Archit Joshi: Hi. Good evening. Thanks a lot for taking my question and congrats on a good set of numbers. First one, trying a bit on the previous issue discussed by an earlier participant. What would be the building blocks for growth, not looking at it from

a quarterly perspective, but on a yearly basis since there have been deliberations regarding the innovator contract with regards to their position in the global market.

What is it that we fetch from them? Do we really have a clear path of recouping volumes if there has been a loss or a delay that we have seen in the beginning of the quarter, maybe because it started towards the end of March. Do we see that we might be able to execute the 60 million yearly trade with them in terms of revenues? That would be the first one.

Second one, I will just club it up. So we have written that our pipeline in the pharma piece within the CDMO segment has gone up by 3x in 2 years and this is with innovators and Tier 1 CDMOs. So is there a scope of entrenching vi/

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into some pharma majors also? And if there are any opportunities or rather tangible opportunities that you might want to highlight to us so that we can pencil in that kind of growth for FY'27 within CDMO. That would be it, sir?

Deepak Jain: Yes. Thank you, Archit. All good questions. Let me just take them one by one. I think your first question was what are the multiyear growth drivers, I think they remain same as what we announced in the Investor Day. There is no change in our strategy. So bulk of the incremental growth in our business is supposed to come, number one from our fine chemicals business, where we have Pyridine derivatives, diketene derivatives and we are launching several other new molecules, including some of the cosmetic grade molecules.

Number two, the CDMO opportunities, which as I was just explaining as a response to the previous question, across agro, pharma, semiconductor and increasingly now in personal care space as well. Number three, our nutrition portfolio, where both on animal nutrition and human nutrition, we are taking

both organic and inorganic moves.

These three will be the fundamental drivers of both growth and profitability going forward. And on top of that, as we saw recently and I explained as a response to one of the questions, if acetyls come back and stay where it is right now, that will also give us some fillip. These four building blocks essentially should help us accelerate our growth journey and FY27 being the middle year or let us say, the third year of our Pinnacle Journey.

We see this as a pivotal year in which if these four things come together, we should be able to show the acceleration that you are talking about. So that is part one. The part two of your question was about the big agro contract. Of course, the customer is going through some tough times and we are in constant touch with them. We have an excellent relationship with them. They have been very supportive of us and so are we very supportive of whatever is happening there.

So far, they gave us the visibility for first quarter of volumes, which is what we are serving in this quarter as per the plan and agreement with them. For future volume visibility, they are building their scenarios and the market has been very dynamic as well. So it is taking a little bit of time.

But we do have an understanding as well as commitment from them that just in case there is any shortfall in volumes, they will make us whole as per the contractual agreement. We are fully covered and we will go as per the projections that we have committed to the markets in terms of bottom line.

The part three of your question was about pharma. Sorry, just repeat the question. What was the third question, on pharma?

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Archit Joshi: Yes. I was just wanting to know the pipeline that we have built over the last 2 years, you have mentioned in the PPT that it is gone up by 3x, 3x rather.

And with innovators and Tier 1 CDMOs, just wanted a better elaboration of that, whether this is something that is newly blowing up as a growth opportunity for us, pharma CDMO particularly because we ha

ve seen a few

peers who are doing extremely well in the pharma intermediate side, making disproportionate margin.

So, are we taking up that track over there? Or is it the same piece of Pyridine business that you used to cater to some of the large pharma guys? So how do we think about this, if you can help us understand?

Deepak Jain: No, that is again, a good question. On the pharma; one, obviously, if you track pharma CDMO, particularly on the intermediate side, you would appreciate that if we are focusing on Phase II, Phase III opportunities, it takes at least four, five, six years before the opportunity gets to a commercial scale. So, point number one, most of the intermediate opportunities we are focusing on currently are in Phase II, Phase III. The scale-up will happen gradually with time as the customer also scale up those molecules.

Number two, to your question on whether these are just Pyridine-based or more broad-based, these are broad-based opportunities, are more linked to the kind of chemistries we have strength in. So only 25% to 30% of this pipeline we have created in pharma is Pyridine-based, 70% is non-Pyridine. So, customers are recognizing our broad-based capabilities beyond just Pyridine as a molecule in the broader chemistries. And we have 30-plus chemistries where we operate. And in our discussions, we have educated the customers, and we are still doing it every time we go and meet them. And on the back of it, we are getting good traction with them.

Thirdly, obviously, given that we were not promoting our pharma CDMO as actively until a few years back, and we have started this journey only a couple of years back. So, customers are internalizing that and hence, even the quality of the portfolio and the leads is also improving. And that is why we have mentioned explicitly now we have opportunities coming from innovators as well, which is a good point for us because of the pipeline we have.

I think almost one-third or close to 40% will be coming from innovators now, which augurs well for future years because on the back of it, we will not only start working with them on these Phase II, Phase III opportunities, but as we gain their credibility, we are hopeful we will be able to get into some already

commercialized opportunities, which can give us step change kind of scale and growth in coming years.

By and large, if I just look at even...you mentioned some of the players in the industry are doing well, but you need to track the history and see that they vi/

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took a few years before they establish themselves as a credible CDMO player and then only they started to scale up. So, we are in the second or third year of that journey, but we are getting good traction and we will start scaling up hopefully starting this year itself. And then some of the opportunities that we are currently tracking can give us nonlinear growth in the outer years of this Pinnacle Journey.

Archit Joshi: Right, sir, of course. As you rightly mentioned, it takes some bit of time to develop that pipeline. The only understanding that I wanted was since you mentioned Phase II, Phase III, and we have seen a lot of lumpiness in those kind of revenues with other companies because sometimes you kind of hit the wall when it comes to synthesizing a particular molecule and then you have to go back to pavilion to rework things and try to find newer opportunities.

Are we also you know I just wanted to know or rather understand if we are embarking upon that journey wherein, we are pegged to certain innovator APIs, which are in the development phase. And in the light of the day, we hopefully get in their supply chain. So would that be a correct understanding.

Deepak Jain: That seems the correct understanding, that is the correct understanding. All the molecules which we have currently or recently received from the innovators, they feed into some APIs, which t

he innovators are developing.

Now to your point, it can play either ways, right? If the molecule is successful, goes through the whole journey, it can scale up in a big way. And because we will be one of the early ones to enter that value chain, hopefully, we will scale up with them.

But at the same time, there will be some natural mortality rate to these molecules. At this stage, it is difficult to predict. The only thing we can do from our side is just keep the funnel wide enough so that even if you adjust it for the probability of any kind of mortality, the rest of the portfolio still has a good number of opportunities for us to scale up the pharma CDMO, which I think we have announced and we presented even in our Investor Day presentation that the pharma CDMO business we want to take it to at least 3x to 4x of its current size.

So, the pipeline that we are working on and the pace at which we are adding new molecules, which now we have started to announce in the last 2 quarters, gives you a sense at which we want to scale up so that the funnel is wide enough to take care of any kind of mortality, which anyway happens in this business in a natural way.

Archit Joshi: Sure. That is great. Thanks for the answer. Just one last, the capex that we should build in for FY27, if you could help us with that? And thanks, and all the best. vi/

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Varun Gupta: Archit, Varun here, on the capex, I mean, I mentioned to Abhijit also just on the call, we are looking into a range of INR500 crore of the capex next year, and it is in line with what we have given the indication to the market during our Investor Day that we will continue to invest behind our growth.

Moderator: Thank you. Next question is from the line of Srishti Jain from Monarch. Please, go ahead.

Srishti Jain: Thank you for the opportunity. Can you just share your thoughts on the demand-supply scenario in the Pyridine side and the possible reasons for muted pricing there?

Deepak Jain: Yes. First of all, I am happy that the question on Pyridine is coming 45 minutes into the call, given the change in focus of our portfolio. So, thank you for asking that question. But Pyridine is an old molecule, and we are global leaders in that. We are world is biggest in terms of sales.

We have capacity of about 50,000 tons for Pyridine and Picoline and we run our plants at 90% plus utilization levels.

The rest of the capacity in Pyridine is in China, which is to the best of our understanding, about 2.5 lakhs to 3 lakhs tons. The plants in China typically run at 30%, 40% utilization levels, while obviously, our plant, as I just mentioned, is running at 90% plus utilization. There are 2 factors which help us in Pyridine business. One is, given our long history and extreme focus on that business, we have been able to optimize our cost structure to have a level of competitiveness, which is better than even the Chinese.

Number two is, obviously, the world is seeing China Plus One trend very strongly. And hence, anybody who wants to buy Pyridine, Picoline or any of their derivatives, they do want to have at least one more partner or supplier outside of China. And since we are the only ones, they partner with us for their requirements. I hope I answered your question.

Srishti Jain: Yes. So, this 30% to 40% utilization of the Chinese facilities, right, is there any change in that? Or the price - like the question was that is there a reason for the muted pricing? Or you expect any changes in the pricing scenario?

Deepak Jain: See, the Pyridine and Picoline pricing, if you track back last 10, 15, 20 years, you will always see some volatility in that, and particularly the 2 main products, the Pyridine and Beta Picoline they go hand-in-glove together. If one goes up, second comes down, if second goes up, first comes down. But if you look at the average pricing, it hovers between \$2.5 to \$3.5, \$4 if you just t

ake a multi-month average and then plot it on the curve. Right now, as we speak, for Pyridine prices, they are very low, in fact, at the rock bottom

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right now. And while the beta-picoline prices are at the highest level, higher than what at least I have seen even in the last years.

So it is very hard to predict when one goes up, other comes down, but they kind of balance things out and that is how at least we have been able to manage the volatility in that business and still take margins on that product because it is very core for us. And it impacts not just the building block, but also all the downstream products, which we do in our Fine Chemicals.

Srishti Jain: So that is perfect. And sir, one on our revenues in the rest of the world has seen strong growth. Are there any new geographies that we are focusing on? And do you want to probably throw some light there?

Deepak Jain: Yes, because we have Japan, we have Southeast Asia and particularly in our Nutrition and Personal Care businesses, we are getting good traction from Japan, Korea and Southeast Asian markets. That is one factor which is showing the sudden rise of rest of the world.

Srishti Jain: In this inflationary environment, our Specialty Chem EBITDA margins are at about 26%, 26.5%. What do you think is the sustainable margin here?

Deepak Jain: So we have been pretty consistent in saying for the last 6 quarters now that the sustainable margin for our Specialty Chemical portfolio as a whole should be between 23% to 25% post adjustment of the corporate overheads. This 27% when you adjust for that, lands at around 25%, which is what we have been maintaining for last, I think, 5 or 6 quarters now.

We are confident of maintaining the EBITDA margin in Specialty Chemicals at that level going forward as well. And obviously, there will be some positive forces, some negative forces. Positive is the fast growth of CDMO business within that.

While on the negative side, of course, there could be some pressure on trading costs and some other derivatives that we do. These forces kind of balance out each other. We keep focusing on the cost optimization as well to ensure that, that business remains 25% plus EBITDA margin.

Moderator: Thank you very much. Ladies and gentlemen, we will take the last question from the line of Nitesh Dhoot from Anand Rath. Please go ahead.

Nitesh Dhoot: Hi, team. Good evening. Congratulations on a decent set of numbers. So a few clarifications. First, on the smaller agri contract that we executed last year, do we have any sense on the scale-up opportunity there? I mean how much can the execution be in FY27 from that molecule? You had earlier indicated on a larger order versus last year that is coming up in H2 FY27.

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Deepak Jain: Yes. Of course, are having those conversations with the customer. The 3- to 4-year outlook they had given us was showing us a path to take it to 4x to 5x for what we did last year. For this year, we are still discussing with them various scenarios. And given the volatility in the agro world, all this disruption, they have not confirmed the final volumes yet. But we do hope that we will get at least as much as we got last year, but hopefully, we should be able to top it up with something more.

Nitesh Dhoot: All right. Second on the human-grade B3 plant. If you could just, I mean, give out the utilization numbers currently and the customer qualification status for the expanded portfolio there? And what would be the time to full utilization there?

Deepak Jain: We had planned to use that plant for 2 different products. One was Personal Care grade or PC-grade niacinamide and second was Niacin, which goes into food and feed, both applications, roughly 50-50 each.

On the PC-grade niacinamide, which we launched first last year, the scale up was very, very fast. And I think we are already doing almost

50% of what

we had estimated in terms of volumes. On the Niacin side, because we started it late, the ramp-up is gradual.

At this stage, I would say we are probably projecting for this year getting to at least 30%, 40% of - in fact, more probably 40%, 50% of the volumes that we have assumed to come from that plant at the peak level.

Nitesh Dhoot: Right. And just one last. Your presentation mentions some European force majeure events and plant closures. So which competitors or what capacity has come out of the market? And is it like permanent or temporary? If you could just help us with some color there?

Deepak Jain: Yes. In the acetyls business, there were some announcements from European competitors for force majeure for a few weeks because of at least the official reason quoted was mechanical failures. I think that is still going on. So we will know how long it would be in coming days or weeks. But if you do a quick search, you will find which competitor has announced force majeure.

Nitesh Dhoot: Sure. Thank you so much for answering.

Deepak Jain: But I think what is more important just on the last point is that on the back of that, we are able to - and especially with all the hard work our acetyls team has done to get our product qualified with almost every customer in Europe, we are hopeful that in this year, we will gain volumes in Europe, showing a very healthy growth, and we will gain market share as well in the European market. vi/

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Moderator: Thank you very much. With this, I now hand the conference over to the management for closing comments.

Pavleen Taneja: Thank you all for joining this call today. We hope we have been able to address your queries. For further clarification, I would request you to get in touch with me. Thank you once again for your interest in Jubilant Ingrevia Limited.

Moderator: Thank you very much. On behalf of Jubilant Ingrevia Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity, readability, etc. The

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Call: Jul 2026

July 27, 2026

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended – Transcript of the Investors' Conference Call for the Quarter ended June 30, 2026

Dear Sir /Madam ,

Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we enclose the transcript of Investors' Conference Call for un-audited standalone and consolidated financial results for the quarter ended June 30, 2026, held on July 23, 2026.

The link to access the transcript of the earnings conference call is given below:

https://www.jubilantingrevia.com/Uploads/upload/Earning_Call_Transcript.pdf

This is for your information and records.

Thanking you,
Yours faithfully,

For Jubilant Ingrevia Limited

Deepanjali Gulati
Company Secretary & Compliance Officer
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List of management attendees

1. Mr. Shyam S Bhartia, Chairman
2. Mr. Deepak Jain, CEO and Managing Director
3. Mr. Varun Gupta, CFO – Jubilant Ingrevia Limited
4. Mr. Pavleen Taneja, Head – Investor Relations

External participants during Q&A session

1. Siddharth Gadekar, Equirus
2. Abhijit Akella, Kotak Institutional Equities
3. Nitesh Dhoot, Anand Rathie Institutional Equities
4. Archit Joshi, Nuvama Institutional Equities
5. Harsh Shah, Rare Enterprises
6. Rohit Nagraj, 360 One Capital
7. Kiran Gadge, Knightstone Capital

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Jubilant Ingrevia Limited
Q1 FY27 Earnings Conference Call
July 23, 2026

Moderator: Ladies and gentlemen, good day, and welcome to Jubilant Ingrevia's Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be

in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pavleen Taneja, Head of Investor Relations at Jubilant Ingrevia Limited. Thank you, and over to you, sir.

Pavleen Taneja: Thank you, Rayo. Good evening, everyone. Thank you for joining the Quarter 1 of FY 2027 Earnings Conference Call of Jubilant Ingrevia Limited.

I would like to remind you that some of the statements made on the call today could be forward-looking in nature, and a detailed disclaimer in this regard has been included in the press release and results presentation that has been shared on our website.

On the call today, we have Mr. Shyam Bhartia, Chairman; Mr. Deepak Jain, CEO and Managing Director; and Mr. Varun Gupta, CFO, Jubilant Ingrevia Limited. I now invite Mr. Shyam Bhartia to share his comments.

Shyam Bhartia: Thank you, Pavleen. A very good evening to all of you.

We are pleased to report a strong start to FY 2027, delivering healthy financial performance in the first quarter. Revenue grew by 25% year-on-year, while EBITDA increased by 36% year-on-year, reflecting the strength of our business model and disciplined execution across operations.

Now let me take you through an update on the markets we operate in.

Despite continued geopolitical uncertainties in the Middle East, demand across chemical industry has remained resilient. Industry volumes have

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stayed stable. While pricing has shown a firming trend in the recent weeks, driven by improving consumption dynamics across key customer segments. Pharmaceuticals continued to be a key growth driver for the company, supported by volume growth and sustained

demand across markets. We

witnessed a stable momentum in the agrochemicals during the quarter, with demand trends showing encouraging signs of recovery across key segments. Healthy export visibility and improving market dynamics have supported recent price increases.

The Nutrition and Personal Care market witnessed healthy growth during the quarter, led by higher realizations for niacinamide and choline. At the same time, volumes remained resilient across end-use segments, underscoring stable market demand. We are also seeing a strong traction with customers in electronic semicon segment who are keen to partner with us for integrated opportunities.

Now let me share a few details on our future outlook. We are encouraged by the progress of our Pinnacle journey, which is increasingly reflected in our performance through strong revenue and EBITDA growth and a stronger opportunity pipeline. Supported by sustained volume growth and a firmer pricing, we remain confident of continuing our growth momentum.

FY 2027, we expect growth to be led by Specialty Chemicals and Nutrition alongside a recovery in acetyls. We anticipate sequential improvement in revenue and EBITDA over the coming quarters. In the new multipurpose plant remains on track for commissioning by the end of current calendar year, further strengthening of our CDMO and Fine Chemicals growth road map.

With this, I hand over to Deepak. Thank you.

Deepak Jain: Thank you, Mr. Bhartia. A very good evening to everyone. We appreciate your participation in the Q1 FY27 investor call.

During the quarter, we continued to advance our strategic priorities while effectively navigating global challenges. Despite disruptions in the Middle East affecting global supply chains and price dynamics, our diversified sourcing capabilities, customer relationships and operational agility enabled strong business performance and effective cost pass-throughs. The

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strength of our agile operations and execution capabilities during this challenging period is clearly reflected in our strong Q1 performance.

Let me share the overall business update for Q1 FY27 first. Q1 marked a strong start to the year with revenue reaching a 15-quarter high of INR1,300 crore, up 25% year-on-year, driven by healthy volume growth and improved realizations. EBITDA increased to INR209 crore, growing 36% year-on-year and 22% sequentially, while PAT stood at INR106 crore, up

41% year-on-year and 22% quarter-on-quarter.

In our Specialty Chemicals business, we delivered revenue of INR533 crore, up 11% year-on-year and 3% sequentially, supported by steady business volumes and robust growth in Fine Chemicals and CDMO businesses. EBITDA stood at INR139 crore with margins of 26%, benefiting from improved pricing and a richer product mix led by value-added CDMO and fine chemical offerings. Our pyridine and picoline business delivered steady volumes during the quarter. Despite some pricing pressure in pyridine, cost optimization initiatives helped sustain a healthy performance. Our Fine Chemicals business delivered strong momentum during the quarter. Pyridine and Diketene derivatives recorded healthy volume growth with improved pricing.

In Personal Care, we now have over 20 products under development, and we are seeing increasing traction across key Personal Care segments. In Industrials, we continue to strengthen volumes with existing customers while expanding our new customer pipeline.

Our CDMO business continues to gain momentum during the quarter. The agro segment benefited from the rollout of big innovator CDMO volumes, while pharma saw strong customer traction and a more than threefold expansion in the pipeline following our U.S. and Europe roadshow.

In semiconductors and electronics, we are building a dedicated R&D and clean room facility at our Greater Noida facility, and we are seeing encouraging growth in our opportunity funnel.

Our CD

MO and Fine Chemicals pipeline continued to show good momentum. We have a funnel of 100-plus molecules with INR3,500-plus crore of peak revenue potential with now 25-plus confirmed molecules, Page 5 of 20

which will drive our growth in coming years. We added 5 new molecules in the last quarter across pharma, semicon and Personal Care.

In our Nutrition & Health segment, the Nutrition segment continued its strong momentum with revenue growing to INR243 crore, up 36% year-on-year and 6% quarter-on-quarter. We achieved the highest EBITDA in the segment over the last 3 years at INR36 crore, reflecting a 45% year-on-year and 12% sequential increase, while margins improved to 15%. In Human Nutrition, niacinamide volumes grew steadily, supported by strong pricing across food and cosmetics applications. Choline chloride and CBT pricing also improved on the back of strong customer engagement across key global markets.

In premixes, we strengthened our presence with Tier 1 customers in India following the successful integration of Remidex. Our Animal Nutrition business delivered a strong performance, supported by significant pricing improvement. Vitamin B3 volumes remained stable, while pricing improved substantially on both year-on-year and quarter-on-quarter basis.

In choline, we maintained our domestic market position and continued to witness healthy demand from Europe alongside improved customer realizations. The premixes business also performed well with volume growth and a favorable product mix driving margin expansion.

In Chemical Intermediates business, it saw a strong rebound in Q1 on the back of robust demand and price escalations. Revenue in the segment grew to INR524 crore, up 38% year-on-year and 21% quarter-on-quarter, driven by strong volume growth and improved realizations, supported by higher input cost pass-throughs. EBITDA for the segment stood at INR57 crore, up 240% year-on-year and 163% quarter-on-quarter, driven by strong realization gains across the product portfolio and effective cost pass-through.

Let me also share a few other critical updates. On the operations and ESG front, we remain firmly on track, targeting INR100 crore of lean savings in FY27. We are progressing well on our new MPP plant and advancing our Supernova program with new Gen AI use cases. We successfully cleared over 20 customer quality and EHS audits during the quarter and maintained an exemplary safety record across our manufacturing facilities.

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From an awards and recognition perspective, we achieved several notable milestones during the quarter. We were certified as a Great Place to Work and ranked among the top 50 manufacturing companies for FY27.

On the safety front, our Gajraula facility earned a distinction at the British Safety Council International Safety Awards, while our Bharuch and Nira sites were also recognized at the same prestigious platform.

On the M&A front, we successfully completed the integration of Remidex Pharma, and we are witnessing encouraging traction from Tier 1 human nutrition customers. We are also actively evaluating new growth opportunities across high potential segments such as electronics, semiconductors, cosmetics and nutrition.

We also hosted a highly interactive Investor and Analyst Day at our Bharuch facility, showcasing our operational strength, pipeline visibility and growth aspirations. Feedback from the investment community was very encouraging with the visit reinforcing confidence in our manufacturing capabilities, operational excellence and expansion potential. Investors also gained deeper conviction in our CDMO growth story, supported by a robust opportunity pipeline and strong commercial traction.

With a strong start to FY27, we are increasingly confident that our Pinnacle strategy is delivering results. We believe this will be a pivotal year in our journey, providing a strong platform to accelerate growth a

nd create greater value in the quarters ahead.

We will now be happy to address any questions that you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Good evening. The first question is on the CDMO contract. So can you give us some sense on what was the contribution on the large CDMO contract this quarter? And if the utilization was lower, was the plant reporting an EBITDA loss this quarter?

Deepak Jain: So Siddharth, I think we shared some light on that at the plant visit also a couple of weeks back, but the plant has been running absolutely smoothly. We started the supplies in March and will continue through Q1 and a
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significant bump in EBITDA of our Specialty Chemicals business is reflected on the back of those volumes.

We did not serve the full volumes last quarter as the innovator had confirmed because in between the raw material prices had escalated due to war and the innovator asked us to take a temporary pause till pricing came down. That was the only challenge by and large, except for some small challenges on the operational front. So, we did make good positive EBITDA on it, which is reflected in the Q1 numbers.

Siddharth Gadekar: And how should we think about the full year EBITDA on this contract if the entire volumes do not come?

Deepak Jain: So as communicated earlier also, we have certain EBITDA expectations on this contract, which I have announced to the markets in the past and on analyst calls in the past as well. We maintain that expectation. We, of course, are in discussions with the innovator on the volume visibility for coming quarters. They are building their scenarios, as I explained a couple of weeks back as well.

They have not finalized and hence, I cannot provide any further visibility. But in the unforeseen circumstances of they not giving us any volume, we have full protection, which will more than cover for whatever EBITDA expectations we have communicated to the markets.

Deepak Jain: Secondly, we have made a comment on the presentation that we will see sequential growth in the coming quarters. Can you highlight what are the drivers for that growth? And secondly, how should one think about the spreads in 2Q versus 1Q?

Deepak Jain: If you see our business, and I think this is not different from what we have been communicating in our Pinnacle strategy, the growth drivers in the business are coming from our fine chemicals business, CDMO business and nutrition business. All three businesses are showing sequential growth in terms of volume as well as portfolio expansion as our pipeline also shows.

At the same time, the new plant on Niacinamide that we created, we are filling up the capacity very fast. You can see the growth numbers in that business. A lot of it is driven by volume, and we expect to continue on that
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journey. The plant is already reaching almost 50% plus volumes versus what we had envisaged. And we are hoping in coming quarters, we will be able to take it to 70% of the peak volumes very soon.

So all three businesses are expected to continue to grow in coming quarters. And all three are high-margin businesses. So that will give a very strong lift in the positive direction to our EBITDA. On top of that, acetyls or chemical intermediates, as you saw in Q1, has done well, and we are seeing that business continue to do well in current quarter as well, especially on the back of the recent escalations in oil price and the raw material prices. So if that continues, then we should be a sequential improvement in EBITDA coming quarters.

Siddharth Gadekar: Just last question on the CDMO funnel. Last quarter, we had indicated we had 20 projects with a potential of around INR1,500 crore peak revenue. That number has increased to 25 projects. Can you give us the peak rev

enue number for this incremental for the total peak revenue from the CDMO contracts?

Deepak Jain: Yes. I think so that is a good and valid observation. I think we explained 5 new molecules which we have added. Most of them come from pharma or personal care segment and are early stage. And hence, right now, it is difficult to comment on the peak potential of those new molecules. And hence, we have not updated that INR1,500 crore number.

Obviously, there will be upside coming from them. And as and when we get visibility from our customers on what kind of peak revenue potential exists in them, we will add to the confirmed revenue potential. But those are good early-stage molecules and will obviously take some time to get further visibility on what their peak potential could look like.

Siddharth Gadekar: Okay, that is it. Thank you so much.

Deepak Jain: Thank you, Siddharth.

Moderator: Thank you. The next question is from Abhijit Akella from KIE. Please go ahead.

Abhijit Akella: Good evening. Thank you so much and congrats on much improved numbers. First question is just actually a follow-up on the previous one. So

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this INR1,500 crore order book, would it be possible to just break out by end-use industry, what the rough mix is? That was one.

And second, when we talk about pharma or personal care, given that these are early-stage molecules, and as you mentioned, it is difficult to quantify the opportunity there. How exactly have we arrived at the peak order value for these? Is it based on some firm contracts from the customer or how do we think about it? Because it is difficult to quantify just the requirements at early stages.

Deepak Jain: Okay. Abhijit, This question came, I think, in the last call as well. And I explained that not all molecules in this pipeline are backed up by a multiyear or annual contract. This is based on a very customized set of discussions with the customers where they needed some molecules and we had those chemistries and we created those molecules and started the commercial supplies to them. So we start counting them as confirmed molecule as and when customers start taking first commercial volumes from us, even if it is small quantity, that is point number one.

Point number two is, in most of those molecules, customers have given us at least some visibility on what their peak volumes would look like in 2 or 3 or 4 years from now. So we have taken assumptions based on that on what it means for our volumes and our revenues.

Number three, a couple of these molecules are very big and are backed up with contracts, including the big CDMO agro molecule that we talked about in response to first question. So obviously, all of that is included in this INR1,500 crore plus of potential.

And fourth, as I have explained in the past also, if you look at our business mix, we have about 20%, 25% agro, about 30% pharma, about 10% to 15% industrial, 15% nutrition and 10% consumer. The broad mix of these molecules as well as broader pipeline also is reflecting that because when we started this exercise 2 years back and we met customers, we met customers across all segments. Of course the traction is higher in some and lower in some, like agro right now is going through downturn. We do have molecules, of course, the 2 contracts which we have already

announced to the market plus a few more. But the speed at which we are moving in agro is relatively slow versus if I compare it with personal care or pharma pipeline because those segments are still holding up in the market, Page 10 of 20

while agro is recovering gradually and will hopefully start to bounce back in the coming quarters. Hopefully, I answered your question, Abhijit.

Abhijit Akella: Yes. Thank you. That is helpful. And the second one I just had was we have done INR209 crore of EBITDA this quarter, and we are talking about sequential growth through the rest of this year. In the context

of that, is

there any possibility you might want to upgrade your full year guidance of INR750 crore to INR800 crore? Would you see upside to that? And just from the standpoint of the segmental drivers, would it be possible to comment on how much of this increase year-on-year would be driven by spec chems and nutrition versus chemical intermediates?

Varun Gupta: Abhijit, Varun here. Regarding your first point, whether we want to upgrade our guidance, we would like to stick with the same guidance of INR750 crore to INR800 crore. Sequential growth will be there. It will be in the similar range of what we have indicated when we met in the Bharuch a month back of roughly INR200 crore kind of an EBITDA in the first half will be around INR400 crore plus.

And in terms of the mix, bulk of our EBITDA and revenue growth will be done through specialty and nutrition, which has been continuing in the range of 70% to 80% of our EBITDA mix total. So if you do the math, 15% of total EBITDA for the quarter or for the year, chemical intermediaries will be coming in the similar range of INR100-odd crore. The rest all will be through specialty and nutrition.

Deepak Jain: Yes, Abhijit, I think I will just add one point to what Varun said. The reason we feel hopeful about sequential growth despite the guidance we have given is because we see acetyl doing well and continue to do well in this quarter as well. And on the back of some of the orders we have booked with the customers, we are hopeful that if they materialize in time, we can hopefully beat the target that we have set for ourselves.

So that is why there is optimism that we should be able to improve sequentially. But given the volatility which exists in the market, particularly on the Acetyl segment, we never know what happens in Q4. right? So the fundamentals are strong, which make us believe that sequentially will improve. But obviously, there is always a risk if the market go down again in Q3, Q4. So that is why we maintain overall guidance at the levels we discussed.

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Abhijit Akella: Got it. Great. Just the last one from my side. I will step back in the queue after that. Just in terms of the order book and its materialization into revenues, we are aware of the large agro contract, of course. So that is one. But then what about the rest of the portfolio? How much of a contribution to revenues could that have in this year? And second, from the standpoint of the agro contract itself, should we expect the full annual run rate to be visible this year itself or should we wait for that for another year or so?

Deepak Jain: See, I think based on our earlier calculations and assuming we get full revenue from the big contract as per the agreement with the customer, the confirmed molecules were supposed to contribute at least 25% of our Specialty and Nutrition portfolio together here. Now obviously, we do not have the visibility on the volumes from big contract, depending on where it lands, at least in revenue terms, there could be some adjustment. But in EBITDA terms, we should still be able to maintain what we have committed, as I explained in response to the first question.

Abhijit Akella: Okay, got it. Thank you so much. I will come back in the queue for any more.

Moderator: Thank you. The next question is from Nitesh Dhoot from Anand Rathi Institutional Equity. Please go ahead.

Nitesh Dhoot: Good evening, team. Congratulations on a good set of numbers. My question is on the Specialty Chemical segment numbers that we see. So the sequential increase there is only about INR17 crore in sequential revenue increase, and there is no change in EBITDA if you look at the previous quarter. So taking sequential numbers as our new plant got

commercialized towards the end of the last quarter. So would that imply that the segment ex of the agro CDMO contract would have seen some revenue decline? And I mean, any pricing or margin press

ures there? Or

was the CDMO revenue looking lower than expected there. So could you just clarify?

Deepak Jain: Yes. So I think the question is valid. And one thing to note is Q4 is always a heavy quarter for us because of the year-end. And what also happens is the customers also slow down their purchase in Q3 because that is year-end for them. They do not want to increase their inventory. So naturally, in Page 12 of 20

Q4, we get benefit from that. So I think from Q4 to Q1, sequential trajectory is not the factor of what is happening in the business.

Secondly, of course, given the nature of our business, particularly on the Fine Chemicals and CDMO side, there are always some orders which can get pushed off by 1 quarter here and there, which I have explained in the past also, which may be some. So just keep these two factors in mind.

But coming back to the specifics of your question, as you rightly said, the business has grown. The CDMO business has also grown, particularly on the back of the big order. And as I explained in response to one of the questions, we have not served the full volume in Q1 because customers asked us to delay some of that to Q2 because of the price escalations on raw material side, which hits them than us because we have to pass it on to them. So we took some call there.

On rest of the business, the pyridine business is pretty stable in terms of volume because it is a mature business. There was some pressure on pyridine pricing, which might have offset some part of the growth. The Fine Chemical business also is going strong in terms of both volume as well as holding up on the pricing. But because Q4 is a peak period for Fine Chemicals, again, when you compare Q1 to Q4, you will not see that sequential growth.

So it is a combination of factors in our portfolio between CDMO business growing, fine chemicals coming out of a strong base quarter and pyridine stable but some price decline. All those forces put together is essentially what is leading to the kind of INR17 crore growth that we talked about. The more, I think, right way of doing it is to compare it versus last year, where versus last year, we have increased by almost 11% on specialty on a like-to-like basis. And a significant portion of that growth has come from our fine chemical and CDMO.

Nitesh Dhoot: Sure. So just checking on the confirmed molecule count that has climbed up steadily in the last couple of quarters, 5 every quarter to 25 now. But the advanced stage bucket, that seems to be static at around 10 molecules for 2 straight quarters. So any color that you would want to give there?

Deepak Jain: Nitesh, you answered the question yourself. The confirmed moving means advance is also moving, right, if it is remaining at 10. So those 10

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molecules at advanced stage are not the same molecules which were 3 months back because some of them have moved to confirmed part of the pipeline and some from rest of the pipeline had moved to the advanced stage pipeline.

So the whole funnel is moving. Even the 100-plus molecules that we have mentioned even for this quarter is not the same 100 molecules, which we might have explained or announced 2 quarters back because the fact is some of them drop, some new opportunities come. Our funnel at the top part of it is also improving. I just came back from U.S. last week, met 7 customers. On the back of that itself, there are at least 10 new opportunities we have now, which is not even reflected in the numbers we announced in the last quarter.

So it is a moving funnel. Obviously, at the same time, there are some molecules, customers' plans are changing. So they come back and say that we want to put it on backburner. So it is a very dynamic pipeline. Each number, whether at the top of the funnel of 100-plus molecules or the confirmed molecules or advanced, all 3, the composition is changing every month, I would say, not this quar

ter.

Nitesh Dhoot: Right. And just one on the nutrition side, if I can squeeze in. So last quarter, I think you had announced that Q1 benefits from the inventory were expected to fade from Q2 onwards. So does that still hold? Have we started seeing any reversal on those benefits? Or we still expect some of these gains to sustain there on the pricing side? And would want to know the capacity utilization at our human grade plant there and what kind of annual EBITDA do you expect from the Nutrition segment overall for FY '27?

Deepak Jain: Yes. So I think I did mention that remark last call that because the raw material prices were increasing mid-May when we last spoke on this call, so there was this risk of we ending up being with high raw material inventory and pricing of finished good crashing. The good news is, number one, we were very careful in building up the stock of high raw material inventory. So we were very thoughtful and careful.

Number two, the prices of finished goods, while they came down from the peak a little bit, they did not come down as much. And particularly in our specialty CDMO segment and Nutrition segment, we have been able to keep the pricing where they were in Q1. And number three, which in

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general is not a good news, but because the war restarted, the finished good prices have started to move up again in certain segments. So because of these three factors, we feel the impact coming from any inventory being carried over from Q1 to Q2 will be very minimal on the business. And hence, to Varun's earlier point, we feel confident about the numbers and the guidance we have given for Q2.

To your second part, I think I already answered on the nutrition plant. That plant was created for 5,000 tons annual capacity. As we speak, we are already serving volumes of niacin and niacinamide cosmetic grade, which are the two products for which that plant was created, which are at a 50% of that run rate, and we are hoping to take it up to 70% plus by end of this year.

Nitesh Dhoot: Sure. So thanks a lot. Thank you so much, and all the best for the coming quarters.

Moderator: Thank you. Next question is from Archit Joshi from Nuvama Institutional Equities. Please go ahead.

Archit Joshi: Hi. Good evening. Thanks for the opportunity. A slight clarification. From the presentation, I was reading that B3 volumes, we have mentioned it to be steady. And we have sort of said that the improvement in the quarterly results is coming because of pricing. And at the same time, we have written that strong volumes in niacinamide.

So I just wanted to understand what would be the quarterly performance of Human Animal Nutrition business be? And is the pricing sustained in this current environment? And if we can see this INR28-odd crore EBIT number being sustainable for the rest of the financial year? That would be my first one.

Deepak Jain: So Archit, I think the volumes have increased. They grew steadily. Maybe the English shared is confusing. But the volumes of B3 at the overall segment level have increased. And obviously, the high-value segment that we have started to serve through the niacin and niacinamide cosmetic grade from the new plant, that is also increasing. So I think the English might have confused, but I just explained in response to the previous question, the volumes have increased.

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The second question is about the pricing of B3. Obviously, that is a very volatile territory in the past historically. What we have seen is when prices move up, they stay up for at least 2 to 3 quarters at a time. So prices were up in Q1, and we have a little bit of spillover effect coming into Q2 as well. There is a possibility that prices may start to come down by end of Q2 based on historical trends. The good thing for us is because the relative mix of high value-add products on the food grade, pharma grade and cosmetic grade is increasing, the price

ing, even if it comes down, hopefully, it should not impact us significantly.

Secondly, at the same time, we have been continuously working on the cost improvement for that product to ensure we can protect our margins. So if we are able to do that, both of those things in the -- depending on where the pricing is towards the end of Q2. Q2, we feel comfortable because a lot

of booking for Q2, we have already done.

That will, if at all, pricing comes down, it will have some impact on the Q3 pricing, which we will see. But as I said, we have already done some mitigation actions, which should hopefully help us in protecting the margins.

Archit Joshi: Got it, sir. Got it. Thanks for answering. The second one on, if you can give some update on the pricing of base pyridines. And how have we fared in the pyridine derivatives? And how do we sort of look at it for the rest of the 9 months growth driver?

Deepak Jain: Pyridine, as you all know, we are world leaders in pyridine and its derivatives. So we are running our plant currently also at 95% plus utilization level. So we have a strong momentum on the volume side, both on pyridine and its derivatives. The pricing depends on which derivative you are talking about in Pyridine. We do almost 60-plus products. In most of them, we have leadership position, and we are holding up on the pricing as well.

There are some commoditized variants of Pyridine, including the building block itself. The pricing pressure is more acute there because of the overcapacity in China. But because increasingly, our focus is more on either pyridine downstream, more advanced derivatives or the picoline part of it, where the pricing is holding up. So we are able to manage that business in a fairly steady manner.

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Archit Joshi: One follow-up on the same one. To what extent have we internalized the base pyridines for captive use? I am sure the ratio was significantly higher towards base pyridines. I think you had indicated that also in the few calls in the past. And right now, how much are we captively consuming? And what would be the external sales of base pyridines? That would be my last one. Thank you.

Deepak Jain: Yes, we never disclosed those numbers specifically, Archit. So I will not be able to give those numbers. But what is more important is that percentage of captive usage is increasing year-on-year, especially a lot of picoline. A lot of beta-picoline particularly goes into B3 requirement. And like I explained in earlier responses to the questions, the B3 volumes are growing substantially for us, which automatically means a lot of beta-picoline is getting used.

So the percentage of captive usage is definitely increasing for picoline as well as in our pyridine business, we are doing and adding new derivatives, and we are signing new CDMO contracts pyridine. So in general, our relative share of captive consumption on the whole pyridine and picoline family is increasing, and it is significant.

Archit Joshi: Sure. That is helpful. Thanks a lot and all the best.

Moderator: Thank you. The next question is from Harsh Shah from Rare Enterprises. Please go ahead.

Harsh Shah: Thank you for the opportunity. You have just mentioned that we will not supply much of the large CDMO contract for this quarter due to the hike in the raw material prices. But can you indicate what about the present quarter? Are the volumes more for this quarter for the particular CDMO contract?

Deepak Jain: Yes, Harsh, the volumes in this quarter will be more than the previous quarter.

Harsh Shah: My second question is, last year, you have indicated that you have won more than around 15 molecules. And you have said that it takes generally 3 years to reach the peak potential from those molecules. And a few of those molecules will be reaching the second year in this financial year. So can we expect a ramp-up in those molecules?

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Deepak Jain: Absolutely

y, there are molecules where we were doing volumes, and we are already getting indication from the customers that they will be giving higher volumes to us. Obviously, there is a lead time to all of it. We announced our pipeline first time, I think, last year, probably October.

So as we get into the negotiations as well as discussions with the customers, generally, most Western customers give us volume indications by August, September and then confirmation by October for the following year. So there are at least a few molecules where I know the volumes will be higher in second year versus what they were in the first year.

Harsh Shah: My final question would be, despite the massive investment that we have done in renewables and green energies, but our power and fuel expenses have gone sharply for this quarter. And also other expenses have also gone up. Could you explain the nature of these costs? And can we expect the power and fuel expenses to go down from here onwards?

Varun Gupta: Hi, Harsh. Varun here. So yes, in this quarter, the power and fuel expenses have gone up on account of two reasons. One, first reason is year-on-year, our volumes have increased and so has the quantity of power and fuel.

Second, because of this Gulf crisis, the cost of LSHS or the natural gas has also gone up, which has led to the increase in the cost of power, which is fuel, which is reflected in our P&L.

In terms of the other expenses, which you see in the P&L, bulk of the increase is due to the logistic cost where we have been hit by the increase in the cost of logistics, both domestic and international, which is reflected there, which we were able to successfully pass on to our customers as is reflected in our increase in pricing.

Harsh Shah: So one last question from my side. Has the large CDMO contract customer, have they given us any time line by which they will be providing us the full volume visibility?

Deepak Jain: We have been in constant discussions with them. As you know, the market is dynamic. And obviously, they are also listed. I am sure all of you are tracking them as well. As and when they have the visibility, they will provide us. Unfortunately, they have not given us a firm time line. But in order to plan for Q3, we will need some clarity from them within the next month or

so. So we are hopeful we will get more visibility at least about next quarter by next month.

Harsh Shah: All right. Thank you and all the best.

Shyam Bhartia: Thank you.

Moderator: Thank you. The next question is from Rohit Nagraj from 360 One Capital. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and congrats on a good quarter. First question on the Specialty Chemicals front. We have given in our press release that there has been volume jump as well as pricing increase. So in terms of 11% top line growth on a Y-o-Y basis, what would be the volume and value breakup given that the EBITDA increase is limited to 7%, so there could be some cost inflation transfer? Thank you.

Deepak Jain: Rohit, we do not give the breakup of volume and price, but it is driven by both. Because as I explained earlier, our CDMO business has grown versus last quarter in terms of volumes. Our pyridine volumes are holding up at least at a steady level. Fine Chemical volumes have also grown. So there is a reasonably strong growth on the volume front.

The other thing which is changing in specialty is the mix of the business, which is also giving high-priced products that also adds to the overall growth. And then, of course, there is some contribution coming from pricing growth. So it is a mixed bag. It is a healthy growth on volume supported by some price escalation. And obviously, the volume mix, which is being taken in a certain direction.

Rohit Nagraj: Sure. That is helpful. Second question on the Chemical Intermediates front. Now if you look at Y-o-Y basis of the consolidated EBITDA delta of

about

INR56 crore, almost INR40 crore is contributed from Chemical segment, the Intermediates segment. What gives us confidence that this particular performance will continue in Q2 and thereafter? And an allied question to that, were there any inventory gains during the quarter gone by? Thank you.

Deepak Jain: Yes, Rohit. So see, that is why we have a portfolio of businesses. Now if you pick one business and say whether we are confident that every quarter,

it will start increasing, that becomes slightly sticky because of what I explained earlier that every business has its own nuances and drivers. Sometimes one order moving from one quarter to other can reflect differently on the growth trajectory of the business. But I think if you see as a portfolio, 3 years back, we were giving INR100 crore EBITDA in a quarter, and now we are at INR209 crore. So what is more important is there is a steady growth over the last 3 years.

Now in some quarters, some business fires and some business does not fire because of specific factors, which are outside of control. But as a portfolio, I think that is why we feel more confident in giving the guidance on the overall business. And you can analyze the last 12 quarter results. There will be quarters when specialty chemicals have fired, there will be quarters when nutrition has fired and there will be quarters when chemical intermediate has fired like the current one. But as a combination, we feel good about the portfolio. And put together, we feel confident that we will deliver on the numbers we have committed.

Rohit Nagraj: Perfect. That is helpful. Just one last clarification. In terms of the large CDMO contract where the revenues of \$300 million spanned over 5 years, is there any take-or-pay commitment? And if initially for whatever reasons, if the commitment is lower, can that contract get extended beyond 5 years to fulfill the entire \$300 million? Thank you.

Deepak Jain: No. So, Rohit, we have clarified it multiple times in the past and on this call also, probably even not part of this call earlier. Yes, we have full protection.

Rohit Nagraj: Perfect. That is helpful. Thanks a lot and all the best, sir.

Deepak Jain: Thank you.

Moderator: Thank you. Next question is from Kiran Gadge from Knightstone Capital Management. Please go ahead.

Kiran Gadge: Sorry, my question has been answered. Thank you.

Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference over to the management team for closing comments.

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Pavleen Taneja: Thank you, everyone, for joining this call today. We hope we have been able to answer all your queries. For further clarification, I would request you to get in touch with me. Thank you once again for your interest in Jubilant Ingrevia Limited.

Moderator: Thank you very much. On behalf of Jubilant Ingrevia Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

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